

[1] Gleim #: 1.1.1 -- Source: CIA 597 1-60

The purposes of the *Standards* include all of the following **except**

- A. Establishing the basis for the measurement of internal audit performance.
 - B. Guiding the ethical conduct of internal auditors.
 - C. Stating basic principles that represent the practice of internal auditing as it should be.
 - D. Fostering improved organizational processes and operations.
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- Answer (A) is incorrect. The purposes of the *Standards* are to
 - 1. State basic principles that represent the practice of internal auditing as it should be.
 - 2. Provide a framework for performing and promoting a broad range of value-added internal audit activities.
 - 3. Establish the basis for the measurement of internal audit performance.
 - 4. Foster improved organizational processes and operations.
 - Answer (B) is **correct**. The IIA Code of Ethics describes Rules of Conduct that constitute “behavior norms expected of internal auditors. These rules are intended as an aid to interpreting the Principles into practical applications and are intended to guide the ethical conduct of internal auditors.” The purposes of the *Standards* are to
 - 1. State basic principles that represent the practice of internal auditing as it should be.
 - 2. Provide a framework for performing and promoting a broad range of value-added internal audit activities.
 - 3. Establish the basis for the measurement of internal audit performance.
 - 4. Foster improved organizational processes and operations.(Introduction to the *Standards*)
 - Answer (C) is incorrect. The purposes of the *Standards* are to
 - 1. State basic principles that represent the practice of internal auditing as it should be.
 - 2. Provide a framework for performing and promoting a broad range of value-added internal audit activities.
 - 3. Establish the basis for the measurement of internal audit performance.
 - 4. Foster improved organizational processes and operations.
 - Answer (D) is incorrect. The purposes of the *Standards* are to
 - 1. State basic principles that represent the practice of internal auditing as it should be.
 - 2. Provide a framework for performing and promoting a broad range of value-added internal audit activities.
 - 3. Establish the basis for the measurement of internal audit performance.
 - 4. Foster improved organizational processes and operations.

[2] Gleim #: 1.1.2 -- Source: CIA 1196 III-30

The proper organizational role of internal auditing is to

- A. Assist the external auditor to reduce external audit fees.
 - B. Perform studies to assist in the attainment of more efficient operations.
 - C. Serve as the investigative arm of the board.
 - D. Serve as an independent, objective assurance and consulting activity that adds value to operations.
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- Answer (A) is incorrect. Reducing external audit fees may be a direct result of internal audit work, but it is not a reason for staffing an internal audit activity.
 - Answer (B) is incorrect. The primary role of internal auditing includes, but is not limited to, assessing the efficiency of operations.
 - Answer (C) is incorrect. Internal auditors serve management as well as the board.
 - Answer (D) is **correct**. According to the definition of internal auditing, “Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization’s operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes.”

[3] Gleim #: 1.1.3 -- Source: CIA 580 I-9

One of the purposes of the *International Standards for the Professional Practice of Internal Auditing* as stated in the Introduction to the current version of the *Standards* is to

- A. Encourage the professionalization of internal auditing.
 - B. Establish the independence of the internal audit activity and emphasize the objectivity of internal auditing.
 - C. Encourage external auditors to make more extensive use of the work of internal auditors.
 - D. Establish the basis for evaluating internal auditing performance.
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- Answer (A) is incorrect. The professionalization of internal auditing is important but is not a direct purpose of the *Standards*.
 - Answer (B) is incorrect. Independence and objectivity are but two aspects of the practice of internal auditing as it should be.
 - Answer (C) is incorrect. The *Standards* do not formally encourage external auditors to make more extensive use of the work of internal auditors.
 - Answer (D) is **correct**. The Introduction states the following purposes of the current version of the *Standards*:
 1. State basic principles that represent the practice of internal auditing as it should be.
 2. Provide a framework for performing and promoting a broad range of value-added internal audit activities.
 3. Establish the basis for evaluating internal auditing performance.
 4. Foster improved organizational processes and operations.

[4] Gleim #: 1.1.4 -- Source: Publisher

Internal audit activities may involve which of the following?

- A. Assurance services.
 - B. Consulting services.
 - C. Both assurance and consulting services.
 - D. Neither assurance nor consulting services.
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- Answer (A) is incorrect. Internal audit activities may involve both assurance and consulting activities.
 - Answer (B) is incorrect. Internal audit activities may involve both assurance and consulting activities.
 - Answer (C) is **correct**. Internal audit activities may involve both assurance and consulting services. Assurance services are objective examinations of evidence for the purpose of providing an independent assessment of risk management, control, and governance processes for the organization. Consulting services are advisory and related client service activities. Their nature and scope are agreed upon with the client and are intended to add value and improve an organization's governance, risk management, and control processes without assumption of management responsibility by the internal auditor.
 - Answer (D) is incorrect. Internal audit activities may involve both assurance and consulting activities.

[5] Gleim #: 1.1.5 -- Source: Publisher

Which Standards expand upon the other Standards?

- A. Performance Standards.
 - B. Attribute Standards.
 - C. Implementation Standards.
 - D. All of the Standards listed in the other answer choices.
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- Answer (A) is incorrect. Performance Standards apply to all internal audit services.
 - Answer (B) is incorrect. Attribute Standards apply to all internal audit services.
 - Answer (C) is **correct**. According to the Introduction to the *International Standards for the Professional Practice of Internal Auditing*, Implementation Standards are provided to expand upon the Attribute and Performance Standards. They provide requirements applicable to assurance or consulting activities.
 - Answer (D) is incorrect. Implementation Standards provide requirements applicable to assurance or consulting activities.

[6] Gleim #: 1.1.6 -- Source: CIA 1190 I-5

An internal auditor often faces special problems when performing an engagement at a foreign subsidiary. Which of the following statements is false with respect to the conduct of international engagements?

- A. The IIA *Standards* do not apply outside of the United States.
 - B. The internal auditor should determine whether managers are in compliance with local laws.
 - C. There may be justification for having different organizational policies in force in foreign branches.
 - D. It is preferable to have multilingual internal auditors conduct engagements at branches in foreign nations.
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- Answer (A) is **correct**. Pronouncements by The IIA have no geographic limits. Internal auditing is practiced in diverse environments and organizations throughout the world, and laws and customs vary among nations. These differences affect the practice of internal auditing and therefore the implementation of the *Standards*. However, compliance with the concepts in the *Standards* is essential before the responsibilities of internal auditors can be met.
 - Answer (B) is incorrect. The internal auditor should evaluate the adequacy and effectiveness of controls, including those relating to compliance with laws, regulations, and contracts (Standard 2120.A1).
 - Answer (C) is incorrect. Varying laws and customs and other environmental factors justify policy differences.
 - Answer (D) is incorrect. The internal audit activity collectively must have the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210).

[7] Gleim #: 1.1.7 -- Source: CIA 591 I-1

Which of the following **best** describes the purpose of the internal audit activity?

- A. To add value and improve an organization's operations.
 - B. To assist management with the design and implementation of risk management and control systems.
 - C. To examine and evaluate an organization's accounting system as a service to management.
 - D. To monitor the organization's internal control system for the external auditors.
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- Answer (A) is **correct**. According to the definition of internal auditing, "Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes."
 - Answer (B) is incorrect. Performing the functions of design and implementation of risk management and control systems would impair the objectivity of the internal auditors. An internal auditor may recommend control standards and review procedures prior to their implementation.
 - Answer (C) is incorrect. Internal auditing is much broader than examining and evaluating an organization's accounting system.
 - Answer (D) is incorrect. Internal auditing serves the organization, not the external auditors.

[8] Gleim #: 1.1.8 -- Source: CIA R98 I-37

The function of internal auditing, as related to communicating results, is to

- A. Ensure compliance with reporting procedures.
- B. Review the expenditure items and match each item with the expenses incurred.
- C. Determine whether any employees are expending funds without authorization.
- D. Identify inadequate controls that increase the likelihood of unauthorized expenditures.

- Answer (A) is incorrect. Ensuring compliance is an operational responsibility.
- Answer (B) is incorrect. Actual outflows of funds and accrued expenses are unlikely to be equal.
- Answer (C) is incorrect. One of the primary roles of the internal audit activity is to evaluate and contribute to the improvement of risk management, control, and governance systems (Standard 2100). However, other organizational functions would have immediate operational responsibility for determining whether unauthorized expenditures were occurring.
- Answer (D) is **correct**. According to the definition of internal auditing, "Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes." Accordingly, the internal audit activity should evaluate the adequacy and effectiveness of controls and develop recommendations for improvement.

[9] Gleim #: 1.1.9 -- Source: Publisher 2009

The internal audit activity's scope of responsibilities includes

- A. Eliminating risk.
- B. Managing risk.
- C. Evaluating risk.
- D. Controlling risk.

- Answer (A) is incorrect. Eliminating risks is the responsibility of management.
- Answer (B) is incorrect. Managing risk is the responsibility of management.
- Answer (C) is **correct**. The internal audit activity helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluating and improving the effectiveness of risk management, control, and governance processes. Managing, controlling, and eliminating risk is the responsibility of management.
- Answer (D) is incorrect. Controlling risk is the responsibility of management.

[10] Gleim #: 1.2.10 -- Source: Publisher

The *Standards* consist of three types of standards. Which standards apply to the characteristics of organizations and parties providing internal auditing services?

- A. Implementation Standards.
- B. Performance Standards.
- C. Attribute Standards.
- D. Independence Standards.

- Answer (A) is incorrect. Implementation Standards apply to specific types of engagements.
- Answer (B) is incorrect. Performance Standards describe the nature of internal auditing and provide quality criteria for evaluation of their performance.
- Answer (C) is **correct**. The *Standards* consist of Attribute Standards, Performance Standards, and Implementation Standards. Attribute Standards concern the characteristics of organizations and parties providing internal auditing. Performance Standards describe the nature of internal auditing and provide quality criteria for evaluation of their performance. Attribute and Performance Standards furnish guidance for all internal audit services (assurance, consulting, and other).
- Answer (D) is incorrect. Independence Standards are not one of the three types of Standards. The Attribute Standards address organizational independence.

[11] Gleim #: 1.2.11 -- Source: Publisher

During a consulting engagement, an internal auditor should exercise due professional care by considering which of the following?

- I. Needs and expectations of engagement clients, including the nature, timing, and communication of engagement results.
- II. Relative complexity and extent of work needed to achieve the engagement's objectives.
- III. Cost of the consulting engagement in relation to the potential benefits.

- A. I and II.
- B. II and III.
- C. I and III.
- D. I, II, and III.

- Answer (A) is incorrect. All of the choices are items that the internal auditor should consider when exercising due professional care on a consulting engagement.
- Answer (B) is incorrect. All of the choices are items that the internal auditor should consider when exercising due professional care on a consulting engagement.
- Answer (C) is incorrect. All of the choices are items that the internal auditor should consider when exercising due professional care on a consulting engagement.
- Answer (D) is **correct**. The internal auditor should exercise due professional care during a consulting engagement by consider the:
 - Needs and expectations of engagement clients, including the nature, timing, and communication of engagement results.
 - Relative complexity and extent of work needed to achieve the engagement's objectives.
 - Cost of the consulting engagement in relation to potential benefits.

(Standard 1220.C1)

[12] Gleim #: 1.2.12 -- Source: Publisher

What is the responsibility of the internal auditor with respect to fraud?

- A. The internal auditor should have sufficient knowledge to identify the indicators of fraud but is not expected to be an expert.
- B. The internal auditor should have the same ability to detect fraud as a person whose primary responsibility is detecting and investigating fraud.
- C. An internal auditor should have sufficient knowledge and training so that (s)he is able to detect fraud.
- D. An internal auditor's primary role is to detect and investigate fraud.

- Answer (A) is **correct**. Internal auditors must have sufficient knowledge to evaluate the risk of fraud and the manner in which it is managed by the organization, but are not expected to have the expertise of a person whose primary responsibility is detecting and investigating fraud (Standard 1210.A2).
- Answer (B) is incorrect. The internal auditor is not expected to have the expertise of a person whose primary responsibility is detecting and investigating fraud.
- Answer (C) is incorrect. An internal auditor must have sufficient knowledge to identify the indicators of fraud but is not required to have sufficient knowledge and training to be able to detect fraud.
- Answer (D) is incorrect. Detecting and investigating fraud is not a primary role of an internal auditor.

[13] Gleim #: 1.2.13 -- Source: Publisher

Which of the following is responsible for developing and maintaining a quality assurance and improvement program that covers all aspects of the internal audit activity and continuously monitors its effectiveness?

- A. Senior management.
- B. Chief audit executive.
- C. The board of directors.
- D. Audit committee.

- Answer (A) is incorrect. They are not responsible for developing and maintaining a quality assurance and improvement program that covers all aspects of the internal audit activity and continuously monitors its effectiveness.
- Answer (B) is **correct**. The chief audit executive must develop and maintain a quality assurance and improvement program that covers all aspects of the internal audit activity. A quality assurance and improvement program is designed to enable an evaluation of the internal audit activity's conformance with the Definition of Internal Auditing and the *Standards* and an evaluation of whether internal auditors apply the Code of Ethics. The program also assesses the efficiency and effectiveness of the internal audit activity and identifies opportunities for improvement.
- Answer (C) is incorrect. They are not responsible for developing and maintaining a quality assurance and improvement program that covers all aspects of the internal audit activity and continuously monitors its effectiveness.
- Answer (D) is incorrect. They are not responsible for developing and maintaining a quality assurance and improvement program that covers all aspects of the internal audit activity and continuously monitors its effectiveness.

[14] Gleim #: 1.2.14 -- Source: CIA 595 I-36

The chief audit executive (CAE) of a mid-sized internal audit activity (IAA) was concerned that management might outsource the internal audit function. Thus, the CAE adopted a very aggressive program to promote the IAA within the organization. The CAE planned to present the results to senior management and the board and recommend modification of the IAA's charter after using the new program. The following lists six actions the CAE took to promote a positive image within the organization:

1. Engagement assignments concentrated on efficiency. The engagements focused solely on cost savings, and each engagement communication highlighted potential costs to be saved. Negative observations were omitted. The focus on efficiency was new, but the engagement clients seemed very happy.
2. Drafts of all engagement communications were carefully reviewed with the engagement clients to get their input. Their comments were carefully considered when developing the final engagement communication.
3. The information technology internal auditor participated as part of a development team to review the control procedures to be incorporated into a major computer application under development.
4. Given limited resources, the engagement manager performed a risk assessment to establish engagement work schedule priorities. This was a marked departure from the previous approach of ensuring that all operations are evaluated on at least a three-year interval.
5. To save time, the CAE no longer required that a standard internal control questionnaire be completed for each engagement.
6. When the internal auditors found that the engagement client had not developed specific criteria or data to evaluate operations, the internal auditors were instructed to perform research, develop specific criteria, review the criteria with the engagement client, and if acceptable, use them to evaluate the engagement client's operations. If the engagement client disagreed with the criteria, a negotiation took place until acceptable criteria could be agreed upon. The engagement communication commented on the engagement client's operations in conjunction with the agreed-upon criteria.

Which of the following elements of Action 1 taken by the CAE would be considered inappropriate?

- I. The type of engagements was changed before modifying the IAA's charter and going to the audit committee.
 - II. Negative observations were omitted from the engagement communications.
 - III. Cost savings and recommendations were highlighted in the engagement communication.
- A. I and II.
 - B. I and III.
 - C. I only.
 - D.

- Answer (A) is **correct**. The charter defines the IAA's purpose, authority, and responsibility. It must be consistent with the Definition of Internal Auditing, the Code of Ethics, and the *Standards* and approved by senior management and the board (Standard 1000). The CAE dramatically changed the purpose of the IAA without consulting with the board. A second violation is the omission of negative observations. Under the Code of Ethics, the auditors must disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review (Rule of Conduct 2.3).
- Answer (B) is incorrect. Highlighting potential cost savings is appropriate for an engagement communication. Engagement results, observations, conclusions, recommendations, and action plans must be communicated promptly.
- Answer (C) is incorrect. Omitting negative observations is also a violation.
- Answer (D) is incorrect. Highlighting potential cost savings is appropriate for an engagement communication. Engagement results, observations, conclusions, recommendations, and action plans must be communicated promptly.

[15] Gleim #: 1.3.15 -- Source: Publisher

According to the International Professional Practices Framework of The IIA, which pronouncements represent mandatory guidance for implementing the *Standards*?

- A. Development Aids.
- B. Practice Aids.
- C. Performance Standards.
- D. Practice Advisories.

- Answer (A) is incorrect. The Code of Ethics, Attribute Standards, Implementation Standards, and Performance Standards constitute mandatory guidance.
- Answer (B) is incorrect. The Code of Ethics, Attribute Standards, Implementation Standards, and Performance Standards constitute mandatory guidance.
- Answer (C) is **correct**. Development Aids and Practice Aids are not part of the IPPF. Practice Advisories are strongly recommended guidance. They assist internal auditors in applying the Definition of Internal Auditing, the Code of Ethics, and the *Standards* and promoting good practices. Practice Advisories address internal auditing's approach, methodologies, and consideration, but not detailed processes or procedures. They include practices relating to (1) international, country, or industry-specific issues; (2) specific types of engagements; and (3) legal or regulatory issues. The Code of Ethics, Attribute Standards, Implementation Standards, and Performance Standards constitute mandatory guidance.
- Answer (D) is incorrect. The Code of Ethics, Attribute Standards, Implementation Standards, and Performance Standards constitute mandatory guidance.

[16] Gleim #: 1.3.16 -- Source: Publisher

Which of the following are closely related to engagement objectives?

- I. The engagement work program
 - II. Engagement communications
 - III. The engagement plan
- A. I and III only.
 - B. I and II only.
 - C. II and III only.
 - D. I, II, and III.

- Answer (A) is incorrect. Engagement communications include the engagement's objectives and scope as well as conclusions, recommendations, and action plans.
- Answer (B) is incorrect. The engagement plan includes the engagement's scope, objectives, timing, and resource allocations.
- Answer (C) is incorrect. Internal auditors develop work programs to achieve engagement objectives.
- Answer (D) is **correct**. Engagement objectives are broad statements developed by internal auditors that define intended engagement accomplishments (Glossary). The engagement work program is a document that lists the procedures to be followed during an engagement that are designed to achieve the engagement objectives (Glossary). An engagement communication must include the engagement's objectives and scope as well as applicable conclusions, recommendations, and action plans (Standard 2410). The engagement plan must include the engagement's scope, objectives, timing, and resource allocations (Standard 2200).

[17] Gleim #: 1.3.17 -- Source: Publisher

Internal auditors need to ascertain the extent to which management has established adequate criteria to determine whether goals and objectives have been accomplished. For this purpose, which of the following actions may be appropriate?

- Determining whether operating and program goals and objectives conform to those of the organization
 - Reviewing operations to ascertain the extent to which results are consistent with established goals and objectives
 - Working with management to develop appropriate control evaluation criteria
- I only.
 - I and II only.
 - I, II, and III.
 - II only.
- Answer (A) is incorrect. The internal auditors may take any of the actions described in statements I, II, and III.
 - Answer (B) is incorrect. The internal auditors may take any of the actions described in statements I, II, and III.
 - Answer (C) is **correct**. According to Standard 2130.A2, "Internal auditors should ascertain the extent to which operating and program goals and objectives have been established and conform to those of the organization." Standard 2130.A3 states, "Internal auditors should review operations and programs to ascertain the extent to which results are consistent with established goals and objectives to determine whether operations and programs are being implemented or performed as intended." Furthermore, "Adequate criteria are needed to evaluate controls. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished. If adequate, internal auditors must use such criteria in their evaluation. If inadequate, internal auditors must work with management to develop appropriate evaluation criteria" (Standard 2210.A3).
 - Answer (D) is incorrect. The internal auditors may take any of the actions described in statements I, II, and III.

[18] Gleim #: 1.3.18 -- Source: Publisher

In planning an engagement, internal auditors should consider which of the following items?

- The objectives of the activity being reviewed and the means by which the activity controls performance.
 - The adequacy and effectiveness of the activity's risk management and control systems compared to a relevant control framework or model.
 - The opportunities for making significant improvements to the activity's information technology systems and control systems.
- I and II.
 - II and III.
 - I and III.
 - I, II, and III.

- Answer (A) is **correct**. In planning the engagement, internal auditors must consider:
 - The objectives of the activity being reviewed and the means by which the activity controls its performance.
 - The significant risks to the activity, its objectives, resources, and operations and the means by which the potential impact of risk is kept to an acceptable level.
 - The adequacy and effectiveness of the activity's risk management and control processes compared to a relevant control framework or model.
 - The opportunities for making significant improvements to the activity's risk management and control processes.(Standard 2201)
- Answer (B) is incorrect. The internal auditor does not have to consider opportunities to improve the activity's information technology system.
- Answer (C) is incorrect. The internal auditor does not have to consider opportunities to improve the activity's information technology system.
- Answer (D) is incorrect. The internal auditor does not have to consider opportunities to improve the activity's information technology system.

[19] Gleim #: 1.3.19 -- Source: Publisher

Internal auditors should communicate results. Communications for assurance engagements should include

- I. Limitations on distribution to outside parties
- II. The auditor's overall opinion when appropriate
- III. Recommendations and action plans when appropriate

- A. II only.
- B. III only.
- C. I and II only.
- D. I, II, and III.

- Answer (A) is incorrect. Communications for all assurance engagements also should include limitations on distribution to outside parties and recommendations and action plans.
- Answer (B) is incorrect. Communications for all assurance engagements also should include limitations on distribution to outside parties and the auditor's overall opinion when appropriate
- Answer (C) is incorrect. Communications for all assurance engagements also should include recommendations and action plans.
- Answer (D) is **correct**. Standard 2410.A3 states, "When releasing engagement results to parties outside the organization, the communication must include limitations on distribution and use of the results." Standard 2410.A1 states, "Final communication of engagement results must, where appropriate, contain internal auditors' overall opinion and/or conclusions." Standard 2410 states, "Communications must include the engagement's objectives and scope as well as applicable conclusions, recommendations, and action plans."

[20] Gleim #: 1.3.20 -- Source: Publisher

The internal audit activity has a role in an organization's governance process. The internal audit activity **most** directly contributes to this process by

- A. Identifying significant exposures to risk.
- B. Evaluating the effectiveness of the risk management system.
- C. Promoting continuous improvement of controls.
- D. Evaluating the design of ethics-related activities.

- Answer (A) is incorrect. Standard 2100 states, “The internal audit activity must evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach.” Identifying significant exposures to risk most directly relates to risk management. According to the Interpretation of Standard 2120, “Determining whether risk management processes are effective is a judgment resulting from the internal auditor’s assessment that:
 - Organizational objectives support and align with the organization’s mission;
 - Significant risks are identified and assessed;
 - Appropriate risk responses are selected that align risks with the organization’s risk appetite; and
 - Relevant risk information is captured and communicated in a timely manner across the organization, enabling staff, management, and the board to carry out their responsibilities.”
- Answer (B) is incorrect. Standard 2100 states, “The internal audit activity must evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach.” Identifying significant exposures to risk most directly relates to risk management. According to the Interpretation of Standard 2120, “The internal audit activity must evaluate the effectiveness and contribute to the improvement of risk management processes.”
- Answer (C) is incorrect. Standard 2100 states, “The internal audit activity must evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach.” Promoting continuous improvement of controls most directly relates to control. According to Standard 2130, “The internal audit activity must assist the organization in maintaining effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement.”
- Answer (D) is **correct**. Standard 2110 states, “The internal audit activity must assess and make appropriate recommendations for improving the governance process in its accomplishment of the following objectives:
 - Promoting appropriate ethics and values within the organization.
 - Ensuring effective organizational performance management and accountability.
 - Communicating risk and control information to appropriate areas of the organization.
 - Coordinating the activities of and communicating information among the board, external and internal auditors and management.

Thus, in an assurance engagement, “The internal audit activity must evaluate the design, implementation, and effectiveness of the organization’s ethics-related objectives, programs, and activities” (Standard 2110.A1).

[21] Gleim #: 1.4.21 -- Source: Publisher

The work of the internal audit activity includes evaluating and contributing to the improvement of risk management systems. Risk is

- I. The negative effect of events certain to occur
 - II. Measured in terms of impact
 - III. Measured in terms of likelihood
- A. I only.
B. I and II only.
C. II and III only.
D. I, II, and III.

- Answer (A) is incorrect. Risk involves uncertainty, and the effects of events are not necessarily negative.
- Answer (B) is incorrect. Risk involves uncertainty, and the effects of events are not necessarily negative.
- Answer (C) is **correct**. The IAA must evaluate the effectiveness and contribute to the improvement of risk management processes (Standard 2120). Risk is the possibility that an event will occur having an effect on the achievement of objectives. It is measured in terms of impact and likelihood (Glossary).
- Answer (D) is incorrect. Risk involves uncertainty, and the effects of events are not necessarily negative.

[22] Gleim #: 1.4.22 -- Source: Publisher

The chief audit executive is **best** defined as the

- A. Inspector general.
 - B. Person responsible for the internal audit function.
 - C. Outside provider of internal audit services.
 - D. Person responsible for overseeing the contract with the outside provider of internal audit services.
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- Answer (A) is incorrect. The term “chief audit executive” is defined broadly to reflect that the IAA may be insourced or outsourced and that many different titles are used in practice.
 - Answer (B) is **correct**. The CAE “is a senior position within the organization responsible for internal audit activities.” Normally, this person is the internal audit director. When internal auditing services are obtained from external service providers, the CAE is the person responsible for (1) overseeing the service contract and overall quality assurance, (2) reporting to senior management and the board regarding internal audit activities, and (3) follow-up of engagement results. The term also includes such titles as general auditor, head of internal audit, chief internal auditor, and inspector general (Glossary).
 - Answer (C) is incorrect. The term “chief audit executive” is defined broadly to reflect that the IAA may be insourced or outsourced and that many different titles are used in practice.
 - Answer (D) is incorrect. The term “chief audit executive” is defined broadly to reflect that the IAA may be insourced or outsourced and that many different titles are used in practice.

[23] Gleim #: 1.4.23 -- Source: CIA 581 I-5

A major reason for establishing an internal audit activity is to

- A. Relieve overburdened management of the responsibility for establishing effective controls.
 - B. Safeguard resources entrusted to the organization.
 - C. Ensure the reliability and integrity of financial and operational information.
 - D. Evaluate and improve the effectiveness of control processes.
-
- Answer (A) is incorrect. Management is responsible for the establishment of internal control.
 - Answer (B) is incorrect. Governance, risk management, and control processes ultimately serve to safeguard the organization’s resources.
 - Answer (C) is incorrect. The IAA cannot ensure the reliability and integrity of financial and operational information. Its responsibility is to evaluate risk exposures relating to governance, operations, and information systems regarding the reliability and integrity of financial and operational information (Standard 2120.A1). The IAA must then evaluate the adequacy and effectiveness of controls in responding to risks within governance, operations, and information systems regarding the reliability and integrity of financial and operational information (Standard 2130.A1).
 - Answer (D) is **correct**. Control processes are the “policies, procedures, and activities that are part of a control framework, designed to ensure that risks are contained within the risk tolerances established by the risk management process.” Hence, they have a prominent role in internal auditing, which “helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes” (Glossary).

[24] Gleim #: 1.4.24 -- Source: Publisher

What is the **most** accurate term for the procedures used by the board to oversee activities performed to achieve organizational objectives?

- A. Governance.
- B. Control.
- C. Risk management.
- D. Monitoring.

- Answer (A) is **correct**. Governance is the “combination of processes and structures implemented by the board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives” (Glossary).
- Answer (B) is incorrect. Control is “any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved” (Glossary).
- Answer (C) is incorrect. Risk management is “a process to identify, assess, manage, and control potential events or situations to provide reasonable assurance regarding the achievement of the organization’s objectives” (Glossary).
- Answer (D) is incorrect. Monitoring consists of actions taken by management and others to assess the quality of internal control performance over time. It is not currently defined in the *Standards* and Glossary.

[25] Gleim #: 1.4.25 -- Source: Publisher

The actions taken to manage risk and increase the likelihood that established objectives and goals will be achieved are **best** described as

- A. Supervision.
- B. Quality assurance.
- C. Control.
- D. Compliance.

- Answer (A) is incorrect. Supervision is just one means of achieving control.
- Answer (B) is incorrect. Quality assurance relates to just one set of objectives and goals. It does not pertain to achievement of all established organizational objectives and goals.
- Answer (C) is **correct**. Control is “any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved” (Glossary).
- Answer (D) is incorrect. Compliance is “adherence to policies, plans, procedures, laws, regulations, contracts, or other requirements” (Glossary).

[26] Gleim #: 1.4.26 -- Source: Publisher

Which of the following is the **most** accurate term for the attitudes and actions of the board and management regarding the significance of control within the organization?

- A. Control processes.
- B. Control environment.
- C. Governance process.
- D. Management’s philosophy and operating style.

- Answer (A) is incorrect. Control processes are the “policies, procedures, and activities that are part of a control framework designed to ensure that risks are contained within the risk tolerances established by the risk management process” (Glossary).
- Answer (B) is **correct**. The control environment encompasses “the attitude and actions of the board and management regarding the significance of control within the organization. The control environment provides the discipline and structure for the achievement of the primary objectives of the system of internal control. The control environment includes the following elements:
 - Integrity and ethical values
 - Management’s philosophy and operating style
 - Organizational structure
 - Assignment of authority and responsibility
 - Human resource policies and practices
 - Competence of personnel” (Glossary).
- Answer (C) is incorrect. Governance is the “combination of processes and structures implemented by the board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives” (Glossary).
- Answer (D) is incorrect. Management’s philosophy and operating style is just one element of the control environment.

[27] Gleim #: 1.4.27 -- Source: CIA 04 Model Exam I-60

What is residual risk?

- A. Impact of risk.
- B. Risk that is under control.
- C. Risk that is not managed.
- D. Underlying risk in the environment.

- Answer (A) is incorrect. The impact of risk is its consequence.
- Answer (B) is incorrect. Risk that is under control is managed risk.
- Answer (C) is **correct**. Risk is the possibility of an event’s occurrence that will have an impact on the achievement of objectives. Risk is measured in terms of impact and likelihood. Residual risk is the risk remaining after management takes action to reduce the impact and likelihood of an adverse event, including control activities, in responding to a risk.
- Answer (D) is incorrect. The underlying risk is the inherent risk.

[28] Gleim #: 1.4.28 -- Source: Publisher

Internal auditing is an assurance and consulting activity. An example of an assurance service is a

- A. Process design engagement.
- B. Facilitation engagement.
- C. Training engagement.
- D. Compliance engagement.

- Answer (A) is incorrect. Consulting services include “advisory and related client service activities, the nature and scope of which are agreed with the client, are intended to add value and improve an organization’s governance, risk management, and control processes without the internal auditor assuming management responsibility. Examples include counsel, advice, facilitation, and training.”
- Answer (B) is incorrect. Consulting services include “advisory and related client service activities, the nature and scope of which are agreed with the client, are intended to add value and improve an organization’s governance, risk management, and control processes without the internal auditor assuming management responsibility. Examples include counsel, advice, facilitation, and training.”
- Answer (C) is incorrect. Consulting services include “advisory and related client service activities, the nature and scope of which are agreed with the client, are intended to add value and improve an organization’s governance, risk management, and control processes without the internal auditor assuming management responsibility. Examples include counsel, advice, facilitation, and training.”
- Answer (D) is **correct**. According to the Glossary, an assurance service is “an objective examination of evidence for the purpose of providing an independent assessment on governance, risk management, and control processes for the organization. Examples may include financial, performance, compliance, system security, and due diligence engagements.”

[29] Gleim #: 1.4.29 -- Source: Publisher

What are the policies, procedures, and activities that are part of a control framework, designed to ensure that risks are contained within the established risk tolerances?

- A. Risk management process.
- B. Internal audit activities.
- C. Control processes.
- D. Governance process.

- Answer (A) is incorrect. This is not the definition of a risk management process.
- Answer (B) is incorrect. This is not the definition of an internal audit activity.
- Answer (C) is **correct**. Control processes are the policies, procedures, and activities that are part of a control framework, designed to ensure that risks are contained within the risk tolerances established by the risk management process.
- Answer (D) is incorrect. This is not the definition of a governance process.

[30] Gleim #: 1.4.30 -- Source: Publisher

Internal auditors should be objective. Objectivity

- A. Requires internal auditors not to subordinate their judgment on audit matters to that of others.
 - B. Is required only in assurance engagements.
 - C. Is managed at the individual auditor, engagement, functional, and organizational levels.
 - D. Prohibits internal auditors from providing consulting services relating to operations for which they had previous responsibility.
- Answer (A) is **correct**. Objectivity is “an unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they have an honest belief in their work product and that no significant quality compromises are made. Objectivity requires internal auditors not to subordinate their judgment on audit matters to that of others” (Glossary).
 - Answer (B) is incorrect. Objectivity is also required in a consulting engagement. An impairment of objectivity should be disclosed to the engagement client prior to acceptance of the engagement (Standard 1130.C2).
 - Answer (C) is incorrect. Independence is managed at the individual auditor, engagement, functional, and organizational levels.
 - Answer (D) is incorrect. Standard 1130.C1 states that internal auditors may provide consulting services relating to operations for which they had previous responsibility.

[31] Gleim #: 1.4.31 -- Source: Publisher

Freedom from conditions that threaten objectivity or the appearance of objectivity is

- A. Control.
- B. Compliance.
- C. Independence.
- D. Avoidance of conflicts of interest.

- Answer (A) is incorrect. Control is “any action taken by management, the board, or other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved” (Glossary).
- Answer (B) is incorrect. Compliance is “adherence to policies, plans, procedures, laws, regulations, contracts, or other requirements” (Glossary).
- Answer (C) is **correct**. Independence is “the freedom from conditions that threaten objectivity or the appearance of objectivity. Such threats to objectivity must be managed at the individual auditor, engagement, functional and organizational levels” (Glossary).
- Answer (D) is incorrect. Conditions other than conflicts of interest may impair objectivity.

[32] Gleim #: 1.4.32 -- Source: CIA 594 I-55

The term “risk” is **best** defined as the possibility that

- A. An internal auditor will fail to detect a material misstatement that causes financial statements or internal reports to be misstated or misleading.
- B. An event could occur affecting the achievement of objectives.
- C. Management will, either knowingly or unknowingly, make decisions that increase the potential liability of the organization.
- D. Financial statements or internal records will contain material misstatements.

- Answer (A) is incorrect. Detection risk is just a component of risk.
- Answer (B) is **correct**. According to the Glossary appended to the *Standards*, risk is “the possibility of an event occurring that will have an impact on the achievement of objectives. Risk is measured in terms of impact and likelihood.”
- Answer (C) is incorrect. The risk of increasing the organization’s liability could be termed management decision-making risk.
- Answer (D) is incorrect. Risk is not limited to misstated financial statements.

[33] Gleim #: 1.5.33 -- Source: CIA 1195 I-18

Use of external service providers with expertise in health care benefits is appropriate when the internal audit activity is

- A. Evaluating the organization’s estimate of its liability for postretirement benefits, which include health care benefits.
- B. Comparing the cost of the organization’s health care program with other programs offered in the industry.
- C. Training its staff to conduct an audit of health care costs in a major division of the organization.
- D. All of the answers are correct.

- Answer (A) is incorrect. Internal audit services pertaining to health care costs may require the use of consultants.
- Answer (B) is incorrect. Internal audit services pertaining to health care costs may require the use of consultants.
- Answer (C) is incorrect. Internal audit services pertaining to health care costs may require the use of consultants.
- Answer (D) is **correct**. The IAA must collectively possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). In regard to an assurance engagement, the CAE must obtain competent advice and assistance if the internal auditors lack the knowledge, skills, and other competencies needed to perform all or part of the engagement (Standard 1210.A1). In regard to a consulting engagement, the CAE must decline the engagement or obtain competence advice and assistance if the internal auditors lack the knowledge, skills, and other competencies needed to perform all or part of the engagement (Standard 1210.C1). Accordingly, if the internal auditors lack expertise with regard to health care costs, external service providers should be employed who can provide the requisite knowledge, skills, and other competencies. They may be used in connection with, among other things, determining amounts by using specialized methods, such as actuarial calculation of employee benefit obligations (PA 1210.A1-1). Thus, ESPs may provide assistance in (1) estimating the liability for postretirement benefits, (2) developing a comparative analysis of health care costs, and (3) training the staff to audit health care costs.

[34] Gleim #: 1.5.34 -- Source: CIA 1193 II-5

A chief audit executive has reviewed credentials, checked references, and interviewed a candidate for a staff position. The CAE concludes that the candidate has a thorough understanding of internal audit techniques, accounting, and finance. However, the candidate has limited knowledge of economics and information technology. Which action is **most** appropriate?

- A. Reject the candidate because of the lack of knowledge required by the *Standards*.
 - B. Offer the candidate a position despite lack of knowledge in certain essential areas.
 - C. Encourage the candidate to obtain additional training in economics and information technology and then reapply.
 - D. Offer the candidate a position if other staff members possess sufficient knowledge in economics and information technology.
-
- Answer (A) is incorrect. The *Standards* do not require each internal auditor to possess a knowledge of all relevant subjects.
 - Answer (B) is incorrect. The IAA's needs may be for additional expertise in economics or information technology.
 - Answer (C) is incorrect. Encouraging the candidate to obtain additional training does not adequately address the IAA's current needs.
 - Answer (D) is **correct**. The IAA must collectively possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). These attributes include proficiency in applying internal audit standards, procedures, and techniques (PA 1210-1). The IAA may use internal resources or external service providers that are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities. Each member of the IAA, however, need not be qualified in all of these disciplines (PA 1210.A1-1).

[35] Gleim #: 1.5.35 -- Source: CIA 593 I-6

An internal audit activity has scheduled an engagement relating to a construction contract. One portion of this engagement will include comparing materials purchased with those specified in the engineering drawings. The IAA does not have anyone on staff with sufficient expertise to complete this procedure. The chief audit executive should

- A. Delete the engagement from the schedule.
- B. Perform the entire engagement using current staff.
- C. Engage an engineering consultant to perform the comparison.
- D. Accept the contractor's written representations.

- Answer (A) is incorrect. The engagement is within the scope of the IAA.
- Answer (B) is incorrect. Performing the engagement using the current (unqualified) staff is inappropriate.
- Answer (C) is **correct**. The IAA may use internal resources or external service providers that are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities. Each member of the IAA, however, need not be qualified in all of these disciplines (PA 1210.A1-1). Thus, hiring an outside service provider is also necessary as an exercise of due professional care.
- Answer (D) is incorrect. Accepting the contractor's representations without adequate testing is inappropriate.

[36] Gleim #: 1.5.36 -- Source: CIA 594 III-7

If the internal audit activity of a non-public company does not have the skills to perform a particular task, an external service provider could be brought in from

- I. The organization's external audit firm
- II. An external consulting firm
- III. The engagement client
- IV. A college or university

- A. I and II only.
- B. II and IV only.
- C. I, II, and III only.
- D. I, II, and IV only.

- Answer (A) is incorrect. An ESP from a college or university is acceptable.
- Answer (B) is incorrect. An ESP from a nonpublic organization's external audit firm is acceptable.
- Answer (C) is incorrect. An ESP from the engagement client is not independent.
- Answer (D) is **correct**. The IAA may use internal resources or ESPs that are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities. Each member of the IAA, however, need not be qualified in all of these disciplines (PA 1210.A1-1). Qualified ESPs may be recruited from a variety of sources. However, an ESP from the engagement client is unacceptable because the person would not be independent or objective.

[37] Gleim #: 1.5.37 -- Source: CIA 596 I-64

A chief audit executive for a large manufacturer is considering revising the internal audit activity's charter with respect to the minimum educational and experience qualifications required. The CAE wants to require all staff auditors to possess specialized training in accounting and a professional auditing certification such as the Certified Internal Auditor or the Chartered Accountant (CA). One of the disadvantages of imposing this requirement is that the policy

- A. Might negatively affect the internal audit activity's ability to perform quality engagements relating to the organization's financial and accounting systems.
- B. Does not promote the professionalism of the internal audit activity.
- C. Would prevent the internal audit activity from using external service providers when it did not have the knowledge, skills, and other competencies required in certain engagements.
- D. Could limit the range of services that could be performed due to the internal audit activity's narrow expertise and backgrounds.

- Answer (A) is incorrect. The policy might result in better engagements relating to financial and accounting systems.
- Answer (B) is incorrect. Setting minimum professional standards promotes professionalism.
- Answer (C) is incorrect. This requirement does not affect use of ESPs.
- Answer (D) is **correct**. The IAA must collectively possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). The IAA may use internal resources or external service providers that are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities. Each member of the IAA, however, need not be qualified in all of these disciplines (PA 1210.A1-1). Thus, the IAA should have an appropriate balance of experience, training, and skills to permit the performance of a wide range of services. Moreover, internal auditors are encouraged to obtain professional certifications and qualifications (Interpretation of Standard 1210).

[38] Gleim #: 1.5.38 -- Source: CIA 1193 I-5

A professional engineer applied for a position in the internal audit activity of a high technology firm. The engineer became interested in the position after observing several internal auditors while they were performing an engagement in the engineering department. The chief audit executive

- A. Should not hire the engineer because of the lack of knowledge of internal audit standards.
 - B. May hire the engineer despite the lack of knowledge of internal audit standards.
 - C. Should not hire the engineer because of the lack of knowledge of accounting and taxes.
 - D. May hire the engineer because of the knowledge of internal auditing gained in the previous position.
- Answer (A) is incorrect. Each new employee of an IAA is not required to have knowledge of internal audit standards. However, the IAA collectively must have this knowledge.
 - Answer (B) is **correct**. The IAA may use internal resources or external service providers that are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities. Each member of the IAA, however, need not be qualified in all of these disciplines (PA 1210.A1-1).
 - Answer (C) is incorrect. Each individual internal auditor is not required to have knowledge of accounting or taxes.
 - Answer (D) is incorrect. The knowledge acquired by observation is irrelevant to the skills necessary for internal auditing.

[39] Gleim #: 1.5.39 -- Source: CIA 591 II-8

Your organization has selected you to develop an internal audit activity (IAA). Your approach will **most** likely be to hire

- A. Internal auditors each of whom possesses all the skills required to handle all engagements.
 - B. Inexperienced personnel and train them the way the organization wants them trained.
 - C. Degreed accountants because most internal audit work is accounting related.
 - D. Internal auditors who collectively have the knowledge and skills needed to perform the responsibilities of the internal audit activity.
- Answer (A) is incorrect. The scope of internal auditing is so broad that one individual cannot have the requisite expertise in all areas.
 - Answer (B) is incorrect. The IAA should have personnel with various skill levels to permit appropriate matching of internal auditors with varying engagement complexities. Furthermore, experienced internal auditors should be available to train and supervise less experienced staff members.
 - Answer (C) is incorrect. Many skills are needed in internal auditing. For example, computer skills are needed in engagements involving information technology.
 - Answer (D) is **correct**. The IIA must collectively possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). The IAA may use internal resources or external service providers that are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities. Each member of the IAA, however, need not be qualified in all of these disciplines (PA 1210.A1-1).

[40] Gleim #: 1.5.40 -- Source: CIA 591 II-14

Reasonable assurance should be obtained as to each prospective internal auditor's qualifications and proficiency. Which of the following is the **least** useful application of this principle?

- A. Determining that all applicants have an accounting degree.
- B. Obtaining college transcripts.
- C. Checking an applicant's references.
- D. Determining previous job experience.

- Answer (A) is **correct**. Internal auditors must possess the knowledge, skills, and other competencies needed to perform their individual responsibilities. The internal audit activity collectively must possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). Each member of the IAA, however, need not be qualified in all disciplines (PA 1210.A1-1).
- Answer (B) is incorrect. Obtaining college transcripts is an appropriate procedure to determine a prospective auditor's qualifications.
- Answer (C) is incorrect. Checking an applicant's references is an appropriate procedure to determine a prospective auditor's qualifications.
- Answer (D) is incorrect. Determining previous job experience is appropriate during the hiring process.

[41] Gleim #: 1.5.41 -- Source: CIA 1195 I-14

Internal auditing is unique in that its scope often encompasses all areas of an organization. Thus, it is not possible for each internal auditor to possess detailed competence in all areas that might be the subject of engagements. Which of the following competencies must the internal audit activity possess collectively?

- A. Understanding of taxation and law as it applies to operation of the organization.
- B. Proficiency in accounting principles.
- C. Understanding of management principles.
- D. Proficiency in information technology.

- Answer (A) is incorrect. Competencies referred to in Standard 1210 include only an appreciation of taxation and law.
- Answer (B) is incorrect. Only if internal auditors work extensively with financial records and reports must they have proficiency in accounting principles.
- Answer (C) is **correct**. Internal auditors must possess the knowledge, skills, and other competencies needed to perform their individual responsibilities. The internal audit activity collectively must possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). These competencies include an understanding of management principles. An understanding is the ability to apply broad knowledge to situations likely to be encountered, to recognize significant deviations, and to be able to carry out the research necessary to arrive at reasonable solutions (PA 1210-1).
- Answer (D) is incorrect. The competencies referred to in Standard 1210 include knowledge of key IT risks and controls and available technology-based audit techniques (PA 1210). According to Standard 1210.A3, internal auditors must have sufficient knowledge of key IT risks and controls and available technology-based audit techniques to perform their assigned work. However, not all internal auditors are expected to have the expertise of an internal auditor whose primary responsibility is information technology auditing.

[42] Gleim #: 1.5.42 -- Source: CIA 1194 I-46

The internal audit activity collectively must possess or obtain certain competencies, including proficiency in

- A. Internal audit procedures and techniques.
- B. Accounting principles and techniques.
- C. Management principles.
- D. Marketing techniques.

- Answer (A) is **correct**. These competencies include proficiency in applying internal audit standards, procedures, and techniques in performing engagements. Proficiency means the ability to apply knowledge to situations likely to be encountered and to deal with them without extensive recourse to technical research and assistance (PA 1210-1).
- Answer (B) is incorrect. Only if internal auditors work extensively with financial records and reports must they have proficiency in accounting principles and techniques.
- Answer (C) is incorrect. The required competencies include an understanding of, not proficiency in, management principles.
- Answer (D) is incorrect. Internal auditors ordinarily need not be proficient in marketing techniques.

[43] Gleim #: 1.5.43 -- Source: CIA 1194 I-47

The internal audit activity collectively must possess or obtain certain competencies, including an understanding of

- A. Internal audit procedures and techniques.
- B. Accounting principles and techniques.
- C. Management principles.
- D. Marketing techniques.

- Answer (A) is incorrect. The required competencies include proficiency in, not an understanding of, internal audit standards, procedures, and techniques.
- Answer (B) is incorrect. Only if internal auditors work extensively with financial records and reports must they have proficiency in accounting principles and techniques.
- Answer (C) is **correct**. The required competencies include an understanding of management principles to recognize and evaluate the materiality and significance of deviations from good business practice. An understanding is the ability to apply broad knowledge to situations likely to be encountered, to recognize significant deviations, and to be able to carry out the research necessary to arrive at reasonable solutions (PA 1210-1).
- Answer (D) is incorrect. Internal auditors ordinarily need not be proficient in, or have an understanding or appreciation of, marketing techniques.

[44] Gleim #: 1.5.44 -- Source: CIA 1194 I-48

The internal audit activity collectively must possess or obtain certain competencies, including an appreciation of

- A. Internal audit procedures and techniques.
- B. Accounting principles and techniques.
- C. Management principles.
- D. Marketing techniques.

- Answer (A) is incorrect. The required competencies include proficiency in applying internal audit standards, procedures, and techniques.
- Answer (B) is **correct**. The required competencies include an appreciation of the fundamentals of business subjects, such as accounting, economics, commercial law, taxation, finance, quantitative methods, information technology, risk management, and fraud. An appreciation is the ability to recognize the existence of problems or potential problems and to identify the additional research to be undertaken or the assistance to be obtained. Only if internal auditors work extensively with financial records and reports must they have proficiency in accounting principles and techniques (PA 1210-1).
- Answer (C) is incorrect. The required competencies include an understanding, not an appreciation, of management principles.
- Answer (D) is incorrect. Internal auditors ordinarily need not be proficient in, or have an understanding or appreciation of, marketing techniques.

[45] Gleim #: 1.5.45 -- Source: CIA 592 II-5

The internal audit activity collectively must possess or obtain certain competencies, excluding

- A. Proficiency in applying internal audit standards.
 - B. An understanding of management principles.
 - C. The ability to maintain good interpersonal relations.
 - D. The ability to conduct training sessions in quantitative methods.
-
- Answer (A) is incorrect. The required competencies include proficiency in applying internal audit standards, procedures, and techniques.
 - Answer (B) is incorrect. The required competencies include an understanding of management principles sufficient to recognize and evaluate the materiality and significance of deviations from good business practices.
 - Answer (C) is incorrect. The required competencies include skills in dealing with people, understanding human relations, and maintaining satisfactory relationships with engagement clients.
 - Answer (D) is **correct**. The required competencies include an appreciation of the fundamentals of business subjects, such as accounting, economics, commercial law, taxation, finance, quantitative methods, information technology, risk management, and fraud. An appreciation is the ability to recognize the existence of problems or potential problems and to determine the additional research to be undertaken or the assistance to be obtained (PA 1210-1).

[46] Gleim #: 1.5.46 -- Source: CIA 1195 I-49

Communication skills are important to internal auditors. They should be able to convey effectively all of the following to engagement clients **except**

- A. The objectives designed for a specific engagement.
 - B. The engagement evaluations based on a survey.
 - C. The risk assessment used in selecting the area for investigation.
 - D. Recommendations that are generated in relationship to a specific engagement client.
-
- Answer (A) is incorrect. The internal auditors should be able to convey effectively engagement objectives, conclusions, evaluations, and recommendations.
 - Answer (B) is incorrect. The internal auditors should be able to convey effectively engagement objectives, conclusions, evaluations, and recommendations.
 - Answer (C) is **correct**. Internal auditors must be skilled in oral and written communications so that they can clearly and effectively convey such matters as engagement objectives, evaluations, conclusions, and recommendations (PA 1210-1). However, the risk assessment is not necessarily a matter that must be communicated.
 - Answer (D) is incorrect. The internal auditors should be able to convey effectively engagement objectives, conclusions, evaluations, and recommendations.

[47] Gleim #: 1.5.47 -- Source: Publisher, 2009

The CAE determines that the external service provider (ESP) possesses the necessary knowledge, skills, and other competencies to perform the engagement. The most effective procedure is

- A. Considering the current compensation of the potential ESP.
- B. Verifying that no financial, organizational, or personal relationships will prevent the ESP from rendering impartial and unbiased judgments.
- C. Contacting others familiar with the ESP's work.
- D. Determining the financial interest the ESP may have in the organization.

- Answer (A) is incorrect. Considering the current compensation of the potential ESP relates to assessing independence and objectivity.
- Answer (B) is incorrect. Verifying that no financial, organizational, or personal relationships will prevent the ESP from rendering impartial and unbiased judgments relates to assessing independence and objectivity.
- Answer (C) is **correct**. To evaluate the ESP's reputation, the CAE must interview independent sources. Previous customers or clients who are familiar with the ESP's work can provide feedback based on their direct experience. The consensus of these opinions is likely to be reliable.
- Answer (D) is incorrect. Determining the financial interest the ESP may have in the organization relates to assessing independence and objectivity.

[48] Gleim #: 1.5.48 -- Source: CIA 04 Model Exam I-11

The *Standards* require that internal auditors possess which of the following skills?

- I. Internal auditors should understand human relations and be skilled in dealing with people
- II. Internal auditors should be able to recognize and evaluate the materiality and significance of deviations from good business practices
- III. Internal auditors should be experts on subjects such as economics, commercial law, taxation, finance, and information technology
- IV. Internal auditors should be skilled in oral and written communication

- A. II only.
- B. I and III only.
- C. III and IV only.
- D. I, II, and IV only.

- Answer (A) is incorrect. Recognizing and evaluating the materiality and significance of deviations from good business practices are not the only required internal auditor skills.
- Answer (B) is incorrect. Internal auditors are expected to have an appreciation of (not be experts in) the wide variety of fields related to their audit responsibilities.
- Answer (C) is incorrect. Internal auditors must have an appreciation of, not expertise in, the fundamentals of fields related to their audit responsibilities.
- Answer (D) is **correct**. Skills required by the *Standards* for internal auditors include
 - Skills in dealing with people, understanding human relations, and maintaining satisfactory relationships with engagement clients.
 - Skills in oral and written communications to clearly and effectively convey such matters as engagement objectives, evaluations, conclusions, and recommendations.
 - An understanding of management principles to recognize and evaluate the materiality and significance of deviations from good business practices. An understanding means the ability to apply broad knowledge to situations likely to be encountered, to recognize significant deviations, and to be able to carry out the research necessary to arrive at reasonable solutions.
 - An appreciation (not expertise) of the fundamentals of business subjects such as accounting, economics, commercial law, taxation, finance, quantitative methods, information technology, risk management, and fraud. An appreciation means the ability to recognize the existence of problems or potential problems and to identify the additional research to be undertaken or the assistance to be obtained. (PA 1210-1)

[49] Gleim #: 1.5.49 -- Source: CIA 04 Model Exam I-12

A chief audit executive (CAE) has been requested by the audit committee to conduct an engagement at a chemical factory as soon as possible. The engagement will include reviews of health, safety, and environmental (HSE) management and processes. The CAE knows that the internal audit activity does not possess the HSE knowledge necessary to conduct such an engagement. The CAE must:

- A. Begin the engagement and incorporate HSE training into next year's planning to prepare for a follow-up engagement.
- B. Suggest to the audit committee that the factory's own HSE staff conduct the engagement.
- C. Seek permission from the audit committee to obtain appropriate support from an HSE professional.
- D. Defer the engagement and tell the audit committee that it will take several months to train internal audit staff for such an engagement.

- Answer (A) is incorrect. The CAE should not begin the audit without notifying the audit committee of the knowledge issue and attempting to resolve it.
- Answer (B) is incorrect. A review by the factory's HSE staff will not provide the audit committee with an independent review.
- Answer (C) is **correct**. "The internal audit activity collectively must possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities" (Standard 1210). Moreover, "The chief audit executive must obtain competent advice and assistance if the internal auditors lack the knowledge, skills, or other competencies needed to perform all or part of the engagement" (Standard 1210.A1).
- Answer (D) is incorrect. Delaying the engagement may have serious consequences given the nature of the HSE issues involved.

[50] Gleim #: 1.5.50 -- Source: CIA 04 Model Exam I-16

A chief audit executive (CAE) for a very small internal audit department has just received a request from management to perform an audit of an extremely complex area in which the CAE and the department have no expertise. The nature of the audit engagement is within the scope of internal audit activities. Management has expressed a desire to have the engagement conducted in the very near future because of the high level of risk involved. Which of the following responses by the CAE would be in violation of the *Standards*?

- A. Discuss with management the possibility of outsourcing the audit of this complex area.
- B. Add an outside consultant to the audit staff to assist in the performance of the audit engagement.
- C. Accept the audit engagement and begin immediately, since it is a high-risk area.
- D. Discuss the timeline of the audit engagement with management to determine if sufficient time exists in which to develop appropriate expertise.

- Answer (A) is incorrect. Outsourcing (delegating the engagement to an outside service provider) is an appropriate response when auditors do not possess the needed background or skills and cannot develop such skills in a timely fashion.
- Answer (B) is incorrect. Adding a consultant (cosourcing) is an appropriate response when auditors do not possess the needed background or skills and cannot develop such skills in a timely fashion.
- Answer (C) is **correct**. The IAA must collectively possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities (Standard 1210). The auditors in this situation do not have such expertise. Planning and executing the audit engagement without the appropriate background and skills is a violation of Attribute Standard 1210.
- Answer (D) is incorrect. Determining whether time is sufficient to develop necessary expertise is an appropriate response. Internal auditors should be committed to life-long learning. Thus, it is not unreasonable to require them to expand their knowledge, skills, and other competencies.

[51] Gleim #: 1.5.51 -- Source: CIA 591 I-8

When hiring entry-level internal auditing staff, which of the following will **most** likely predict the applicant's success as an internal auditor?

- A. Grade point average on college accounting courses.
- B. Ability to fit well socially into a group.
- C. Ability to organize and express thoughts well.
- D. Level of detailed knowledge of the organization.

- Answer (A) is incorrect. Although accounting educational performance is undoubtedly one criterion that must be examined, performance in one subject area is much too limited a basis for predicting an applicant's success given the broad scope of internal auditing work.
- Answer (B) is incorrect. Social skills are a benefit to any internal auditor but cannot be considered the most important characteristic of a good candidate.
- Answer (C) is **correct**. Internal auditors must have skills in oral and written communications to clearly and effectively convey such matters as engagement objectives, evaluations, conclusions, and recommendations (PA 1210-1).
- Answer (D) is incorrect. Entry-level internal auditors typically have relatively little knowledge of the organization. Applicants should demonstrate a general knowledge of the organization, but this factor is not the most reliable predictor of successful performance as an internal auditor.

[52] Gleim #: 1.5.52 -- Source: CIA 1196 I-48

When the engagement was assigned, management asked the internal auditor to evaluate the appropriateness of using self-insurance to minimize risk to the organization. Given the scope of the engagement requested by management, should the internal auditor engage an actuarial consultant to assist in the engagement if these skills do **not** exist on staff?

- A. No. The internal audit activity is skilled in assessing controls, and the insurance control concepts are not distinctly different from other control concepts.
- B. No. It is a normal internal auditor function to assess risk; this engagement is therefore not unique.
- C. Yes. An actuary is essential to determine whether the health care costs are reasonable.
- D. Yes. The actuary has skills, not usually found among internal auditors, to identify and quantify self-insurance risks.

- Answer (A) is incorrect. Assessing self-insurance risks is outside the normal scope of the IAA. The internal auditor may need to engage an actuary.
- Answer (B) is incorrect. Assessing self-insurance risks is outside the normal scope of the IAA. The internal auditor may need to engage an actuary.
- Answer (C) is incorrect. An internal auditor might be able to determine whether the health care costs are reasonable.
- Answer (D) is **correct**. The CAE must obtain competent advice and assistance if the internal audit staff lacks the knowledge, skills, or other competencies needed to perform all or part of the engagement (Standard 1210.A1). Furthermore, the IAA may use external service providers or internal sources that are qualified in disciplines such as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, and environmental affairs, and other areas as needed to meet the IAA's responsibilities (PA 1210.A1-1). Thus, unless the IAA has an employee with actuarial skills, an actuarial consultant should be hired to assess self-insurance risks.

[53] Gleim #: 1.5.53 -- Source: CIA 1190 II-4

Internal auditors must possess the knowledge, skills, and other competencies essential to the performance of their individual responsibilities. Consequently, all internal auditors should be proficient in applying

- A. Internal auditing standards.
- B. Quantitative methods.
- C. Management principles.
- D. Structured systems analysis.

- Answer (A) is **correct**. All internal auditors should be proficient in applying internal auditing standards, procedures, and techniques required in performing engagements. Proficiency means the ability to apply knowledge to situations likely to be encountered and to deal with them without extensive recourse to technical research and assistance (PA 1210-1).
- Answer (B) is incorrect. Internal auditors must have an appreciation of the fundamentals of business subjects such as accounting, economics, commercial law, taxation, finance, quantitative methods, information technology, risk management, and fraud. An appreciation means the ability to recognize the existence of problems or potential problems and to identify the additional research to be undertaken or the assistance to be obtained.
- Answer (C) is incorrect. Internal auditors must have an understanding of management principles in order to recognize and evaluate the materiality and significance of deviations from good business practices. An understanding means the ability to apply broad knowledge to situations likely to be encountered, to recognize significant deviations, and to be able to carry out the research necessary to arrive at reasonable solutions (PA 1210-1).
- Answer (D) is incorrect. Internal auditors must have an appreciation of the fundamentals of business subjects such as accounting, economics, commercial law, taxation, finance, quantitative methods, information technology, risk management, and fraud. An appreciation means the ability to recognize the existence of problems or potential problems and to identify the additional research to be undertaken or the assistance to be obtained.

[54] Gleim #: 1.5.54 -- Source: CIA 1191 I-6

The internal audit activity is considering hiring a person who has a thorough understanding of internal auditing techniques, accounting, and principles of management but has nonspecialized knowledge of economics and information technology. Hiring the person is **most** appropriate if

- A. A professional development program is agreed to in advance of actual hiring.
 - B. A mentor is assigned to ensure completion of an individually designed professional development program.
 - C. Other internal auditors possess sufficient knowledge of economics and information technology.
 - D. The prospective employee could reasonably be expected to gain sufficient knowledge of these competencies in the long run.
-
- Answer (A) is incorrect. Regardless of their backgrounds, all internal auditors must enhance their knowledge, skills, and other competencies through continuing professional development (Standard 1230).
 - Answer (B) is incorrect. The use of a mentor is encouraged, regardless of the new internal auditor's background.
 - Answer (C) is **correct**. Internal auditors must possess the knowledge, skills, and other competencies needed to perform their individual responsibilities (Standard 1210). The internal audit activity collectively must possess or obtain the knowledge, skills, and other competencies needed to perform its responsibilities. Furthermore, each member of the IAA need not be qualified in all disciplines. The IAA may use external service providers or internal sources who are qualified in such disciplines as accounting, auditing, economics, finance, statistics, information technology, engineering, taxation, law, environmental affairs, and other areas as needed to meet the IAA's responsibilities (PA 1210.A1-1).
 - Answer (D) is incorrect. Unless other internal auditors possess sufficient knowledge of these competencies, hiring this person would accentuate staffing deficiencies.

[55] Gleim #: 1.5.55 -- Source: CIA 594 I-67

An internal auditor must have the knowledge, skills, and other competencies needed to perform their individual responsibilities. Which of the following properly describes the level of knowledge, skill, or other competency required? Internal auditors must have

- A. Proficiency in applying internal auditing standards and procedures without extensive recourse to technical research and assistance.
- B. Proficiency in applying knowledge of accounting and information technology to specific or potential problems.
- C. An understanding of broad techniques used in supporting and developing engagement observations and the ability to research the proper procedures to be used in any engagement situation.
- D. A broad appreciation of accounting principles and techniques during engagements involving the financial records and reports of the organization.

- Answer (A) is **correct**. An internal auditor must be proficient in applying internal auditing standards, procedures, and techniques in performing engagements. Proficiency means the ability to apply knowledge to situations likely to be encountered and to deal with them without extensive recourse to technical research and assistance (PA 1210-1).
- Answer (B) is incorrect. An appreciation of the fundamentals of, not proficiency in, information technology is required. Proficiency in accounting principles and techniques is required only if the internal auditor works extensively with financial records and reports.
- Answer (C) is incorrect. Proficiency in, not an understanding of, internal auditing standards, procedures, and techniques is required.
- Answer (D) is incorrect. Proficiency in, not an appreciation of, accounting principles and techniques is required when the internal auditor works extensively with financial records and reports.

[56] Gleim #: 1.5.56 -- Source: CIA 595 III-2

The consultative approach to internal auditing emphasizes

- A. Imposition of corrective measures.
 - B. Participation with engagement clients to improve methods.
 - C. Fraud investigation.
 - D. Implementation of policies and procedures.
- Answer (A) is incorrect. Imposition of changes implies an adversarial relationship.
 - Answer (B) is **correct**. Internal auditors need “skills in dealing with people, understanding human relations, and maintaining satisfactory relationships with engagement clients” (PA 1210-1). A consultative approach to the engagement reflects the application of such skills. Consultation with the engagement client not only facilitates the planning and performance of the engagement but is a courtesy that enhances the internal auditor-client relationship. Developing a positive relationship produces a more favorable environment for the engagement effort. Moreover, involving the client in the engagement process is likely to increase acceptance of recommended changes.
 - Answer (C) is incorrect. Consultation is less likely when the client is suspected of fraud.
 - Answer (D) is incorrect. Internal auditors are not independent if they implement policies and procedures.

[57] Gleim #: 1.5.57 -- Source: CIA 1195 III-7

As part of the process to improve internal auditor-engagement client relations, it is very important to deal with how the internal audit activity is perceived. Certain types of attitudes in the work performed will help create these perceptions. From a management perspective, which attitude is likely to be the **most** conducive to a positive perception?

- A. Objective.
 - B. Investigative.
 - C. Interrogatory.
 - D. Consultative.
- Answer (A) is incorrect. Objectivity is desirable but, by itself, will not lead to a more positive relationship.
 - Answer (B) is incorrect. An investigative attitude is not likely to enhance the relationship.
 - Answer (C) is incorrect. An interrogatory attitude is not likely to enhance the relationship.
 - Answer (D) is **correct**. Internal auditors need “skills in dealing with people, understanding human relations, and maintaining satisfactory relationships with engagement clients” (PA 1210-1). A consultative approach to the engagement reflects the application of such skills. A consultative attitude leads to two-way communication. Consultation considers the client’s viewpoint, helps to dispel fear and mistrust, and demonstrates the value of internal auditing to the client.

[58] Gleim #: 1.5.58 -- Source: IIA, adapted

An auditor is scheduled to audit payroll controls for an organization that has recently outsourced its information processing to an external service provider (ESP). What action should the auditor take, considering the outsourcing decision?

- A. Review the controls over payroll in both the organization and the ESP.
 - B. Review only the organization's controls over data sent to and received from the ESP.
 - C. Review only the controls over payments to the ESP based on the contract.
 - D. Cancel the engagement, because the processing is being performed outside of the organization.
-
- Answer (A) is **correct**. Engagements involving third parties may be necessary when vital controls affecting transactions exist outside the organization. One example is the outsourcing of the organization's information processing function to an external service provider (ESP). Although the processing is being performed outside the organization, the ESP is an extension of the organization's information systems. As a result, control risk may be higher because an external organization's controls are part of the organization's controls. Also, the recency of the change and the complexity of communicating between the organization and the ESP increase the risk. Accordingly, the auditor must exercise due professional care regarding the extent of work needed to achieve the engagement's objectives (Standard 1220.A1). Moreover, evaluating the adequacy and effectiveness of controls (Standard 2130.A1) will require performing procedures to evaluate controls at the ESP.
 - Answer (B) is incorrect. The internal controls at the ESP and the user organization interact with each other. Both must be reviewed.
 - Answer (C) is incorrect. Reviewing only the controls over payments to the ESP based on the contract narrows the scope of the engagement.
 - Answer (D) is incorrect. Controls must be evaluated regardless of their location.

[59] Gleim #: 1.6.59 -- Source: Publisher

In exercising due professional care, internal auditors must consider which of the following?

- I. The relative complexity, materiality, or significance of matters to which assurance procedures are applied
- II. The extent of assurance procedures necessary to ensure that all significant risks will be identified
- III. The probability of significant errors, irregularities, or noncompliance

- A. I and II only.
- B. II and III only.
- C. I and III only.
- D. I, II, and III.

- Answer (A) is incorrect. (II) the extent of assurance procedures necessary to ensure that all significant risks will be identified, is not something that the internal auditor should consider when exercising due professional care.
- Answer (B) is incorrect. (II) the extent of assurance procedures necessary to ensure that all significant risks will be identified, is not something that the internal auditor should consider when exercising due professional care.
- Answer (C) is **correct**. According to Standard 1220.A1, internal auditors must exercise due professional care by considering the
 - Extent of work needed to achieve the engagement's objectives
 - Relative complexity, materiality, or significance of matters to which assurance procedures are applied
 - Adequacy and effectiveness of governance, risk management, and control processes
 - Probability of significant errors, fraud, or noncompliance
 - Cost of assurance in relation to potential benefits

Assurance procedures alone, even when performed with due professional care, do not guarantee that all significant risks will be identified (Standard 1220.A3).

- Answer (D) is incorrect. (II) the extent of assurance procedures necessary to ensure that all significant risks will be identified, is not something that the internal auditor should consider when exercising due professional care.

[60] Gleim #: 1.6.60 -- Source: Publisher

Internal auditors must exercise due professional care in conducting a consulting engagement by considering

- I. Expectations of clients
- II. Benefits in the form of compensation to be derived from the engagement
- III. Cost of the engagement

- A. I and II only.
- B. II and III only.
- C. I and III only.
- D. I, II, and III.

- Answer (A) is incorrect. The cost of the engagement must be considered.
- Answer (B) is incorrect. The expectations of clients must be considered.
- Answer (C) is **correct**. The internal auditor must exercise due professional care during a consulting engagement by considering the (1) needs and expectations of clients, including the nature, timing, and communication of engagement results; (2) relative complexity and extent of work needed to achieve the engagement's objectives; and (3) cost of the consulting engagement in relation to potential benefits (Standard 1220.C1). Any benefit related to compensation for the engagement is not one of the considerations for an internal auditor who is exercising due professional care.
- Answer (D) is incorrect. The benefits in the form of compensation to be derived from the engagement are not relevant to internal auditors.

[61] Gleim #: 1.6.61 -- Source: CIA 1191 II-48

Which of the following statements is true with respect to due professional care?

- A. An internal auditor should perform detailed tests of all transactions before communicating results.
- B. An item should not be mentioned in an engagement communication unless the internal auditor is absolutely certain of the item.
- C. An engagement communication should never be viewed as providing an infallible truth about a subject.
- D. An internal auditor has no responsibility to recommend improvements.

- Answer (A) is incorrect. An internal auditor must conduct reasonable examinations and verifications, but detailed tests of all transactions are not required.
- Answer (B) is incorrect. Absolute assurance need not, and cannot, be given.
- Answer (C) is **correct**. Due professional care implies reasonable care and competence, not infallibility or extraordinary performance. Thus, it requires the internal auditor to conduct examinations and verifications to a reasonable extent. Accordingly, internal auditors cannot give absolute assurance that noncompliance or irregularities do not exist. Nevertheless, the possibility of material irregularities or noncompliance needs to be considered whenever an internal auditor undertakes an internal audit assignment (PA 1220-1).
- Answer (D) is incorrect. An internal auditor must recommend improvements to promote conformance with acceptable procedures and practices.

[62] Gleim #: 1.6.62 -- Source: CIA 593 I-44

An internal auditor observes that a receivables clerk has physical access to and control of cash receipts. The auditor worked with the clerk several years before and has a high level of trust in the individual. Accordingly, the auditor notes in the engagement working papers that controls over receipts are adequate. Has the auditor exercised due professional care?

- A. Yes, reasonable care has been taken.
- B. No, irregularities were not noted.
- C. No, alertness to conditions most likely indicative of irregularities was not shown.
- D. Yes, the engagement working papers were annotated.

- Answer (A) is incorrect. The auditor's engagement observation is inappropriate given the lack of segregation of functions.
- Answer (B) is incorrect. No indication is given that irregularities have occurred.
- Answer (C) is **correct**. These facts indicate that the internal auditor has failed to exercise due professional care. Internal auditors must be alert to those conditions and activities where irregularities are most likely to occur and must identify inadequate controls (PA 1220-1). Cash has a high degree of inherent risk and should therefore be subject to stringent controls. Access to cash and the record-keeping functions should be separated regardless of the personal qualities of the individuals involved. That the clerk is a friend of the internal auditor is irrelevant. Management still needs to be aware that internal control over receivables is inadequate.
- Answer (D) is incorrect. Following instructions by rote is unacceptable. Professional judgment and alertness are necessary.

[63] Gleim #: 1.6.63 -- Source: CIA 592 I-50

Due professional care implies reasonable care and competence, not infallibility or extraordinary performance. Thus, which of the following is unnecessary?

- A. The conduct of examinations and verifications to a reasonable extent.
 - B. The conduct of extensive examinations.
 - C. The reasonable assurance that compliance does exist.
 - D. The consideration of the possibility of material irregularities.
- Answer (A) is incorrect. Examination and verification need only be undertaken to a reasonable extent.
 - Answer (B) is **correct**. Due professional care implies reasonable care and competence, not infallibility or extraordinary performance. It requires the internal auditor to conduct examinations and verifications to a reasonable extent. Accordingly, internal auditors cannot give absolute assurance that noncompliance or irregularities do not exist. Nevertheless, the possibility of material irregularities or noncompliance needs to be considered whenever an internal auditor undertakes an internal audit assignment (PA 1220-1).
 - Answer (C) is incorrect. An internal auditor cannot give absolute assurance.
 - Answer (D) is incorrect. The possibility of material irregularities must be considered.

[64] Gleim #: 1.6.64 -- Source: CIA 1190 II-3)

An internal auditor judged an item to be immaterial when planning an assurance engagement. However, the assurance engagement may still include the item if it is subsequently determined that

- A. Sufficient staff is available.
 - B. Adverse effects related to the item are likely to occur.
 - C. Related information is reliable.
 - D. Miscellaneous income is affected.
- Answer (A) is incorrect. In the absence of other considerations, devoting additional engagement effort to an immaterial item is inefficient.
 - Answer (B) is **correct**. Internal auditors must exercise due professional care by considering the relative complexity, materiality, or significance of matters to which assurance procedures are applied (Standard 1220.A1). Materiality judgments are made in the light of all the circumstances and involve qualitative as well as quantitative considerations. Moreover, internal auditors also must consider the interplay of risk with materiality. Consequently, engagement effort may be required for a quantitatively immaterial item if adverse effects are likely to occur, for example, a material contingent liability arising from an illegal payment that is otherwise immaterial.
 - Answer (C) is incorrect. Additional engagement procedures might not be needed if related information is reliable.
 - Answer (D) is incorrect. The item is more likely to be included if it affects recurring income items rather than miscellaneous income.

[65] Gleim #: 1.6.65 -- Source: CIA 1186 I-45

The internal audit activity can perform an important role in preventing and detecting significant fraud by being assigned all but which one of the following tasks?

- A. Review large, abnormal, or unexplained expenditures.
 - B. Review sensitive expenses, such as legal fees, consultant fees, and foreign sales commissions.
 - C. Review every control feature pertaining to petty cash receipts.
 - D. Review contributions by the organization that appear to be unusual.
-
- Answer (A) is incorrect. To prevent or detect significant fraud, the internal auditor should review large, abnormal, or unexplained expenditures.
 - Answer (B) is incorrect. To prevent or detect significant fraud, the internal auditor should review sensitive expenses.
 - Answer (C) is **correct**. The internal auditor must exercise due professional care by considering the relative complexity, materiality, or significance of matters to which assurance procedures are applied. The cost of assurance in relation to potential benefits also should be considered (Standard 1220.A1). Hence, an exhaustive review of petty cash is not an efficient and effective use of limited IAA resources because it will not prevent or detect significant fraud. The amount of any theft of petty cash will not be substantial.
 - Answer (D) is incorrect. To prevent or detect significant fraud, the internal auditor should review unusual contributions.

[66] Gleim #: 1.6.66 -- Source: Publisher

Assurance engagements must be performed with proficiency and due professional care. Accordingly, the *Standards* require internal auditors to

- I. Consider the probability of significant noncompliance
 - II. Perform assurance procedures with due professional care so that all significant risks are identified
 - III. Weigh the cost of assurance against the benefits
-
- A. I and II only.
 - B. I and III only.
 - C. II and III only.
 - D. I, II, and III.
-
- Answer (A) is incorrect. Assurance procedures alone, even when performed with due professional care, do not guarantee that all significant risks will be identified.
 - Answer (B) is **correct**. Standard 1220.A1 states that the exercise of due professional care involves considering the (1) extent of work needed to achieve engagement's objectives; (2) relative complexity, materiality, or significance of matters to which assurance procedures are applied; (3) adequacy and effectiveness of governance, risk management, and control processes; (4) probability of significant errors, fraud, or noncompliance; and (5) cost of assurance in relation to the benefits. Moreover, internal auditors must be alert to the significant risks that might affect objectives, operations, or resources (Standard 1220.A3). However, assurance procedures alone, even when performed with due professional care, do not guarantee that all significant risks will be identified.
 - Answer (C) is incorrect. Assurance procedures alone, even when performed with due professional care, do not guarantee that all significant risks will be identified.
 - Answer (D) is incorrect. Assurance procedures alone, even when performed with due professional care, do not guarantee that all significant risks will be identified.

[67] Gleim #: 1.6.67 -- Source: CIA 596 I-23

An organization has two manufacturing facilities. Each facility has two manufacturing processes and a separate packaging process. The processes are similar at both facilities. Raw materials used include aluminum, materials to make plastic, various chemicals, and solvents. Pollution occurs at several operational stages, including raw materials handling and storage, process chemical use, finished goods handling, and disposal. Waste products produced during the manufacturing processes include several that are considered hazardous. The nonhazardous waste is transported to the local landfill. An outside waste vendor is used for the treatment, storage, and disposal of all hazardous waste.

Management is aware of the need for compliance with environmental laws. The organization recently developed an environmental policy including a statement that each employee is responsible for compliance with environmental laws.

If the internal audit activity is assigned the responsibility of conducting an environmental audit, which of the following actions should be performed first?

- A. Conduct risk assessments for each site.
- B. Review organizational policies and procedures and verify compliance.
- C. Provide the assigned staff with technical training.
- D. Review the environmental management system.

- Answer (A) is incorrect. The internal auditors should conduct risk assessments for each site only after qualified people have been assigned to the project.
- Answer (B) is incorrect. Audit procedures to verify compliance with company policies and procedures are performed only after an audit staff with the needed knowledge, skills, and other competencies is assigned to the audit.
- Answer (C) is **correct**. All internal audit engagements must be performed with proficiency and due professional care. The internal audit activity collectively must possess or obtain the necessary knowledge, skills, and other competencies needed to conduct the audit properly. Thus, providing the assigned staff with adequate training or employing qualified external service providers is a first step in an environmental audit.
- Answer (D) is incorrect. Internal auditors should review the environmental management system only after qualified people have been assigned to the project.

[68] Gleim #: 1.6.68 -- Source: CIA 04 Model Exam I-13

To ensure that due professional care has been taken at all times during an engagement, the internal auditor should always:

- A. Ensure that all financial information related to the audit is included in the audit plan and examined for nonconformance or irregularities.
- B. Ensure that all audit tests are fully documented.
- C. Consider the possibility of nonconformance or irregularities at all times during an engagement.
- D. Communicate any noncompliance or irregularity discovered during an engagement promptly to the audit committee.

- Answer (A) is incorrect. The automatic inclusion of relevant financial information in an audit plan does not guarantee that due professional care has been taken for the audit as a whole.
- Answer (B) is incorrect. Keeping detailed working papers does not ensure that due professional care has been taken during the tests.
- Answer (C) is **correct**. Due professional care implies reasonable care and competence, not infallibility or extraordinary performance. Thus, due professional care requires the internal auditor to conduct examinations and verifications to a reasonable extent. Accordingly, internal auditors cannot give absolute assurance that noncompliance or irregularities do not exist. Nevertheless, the possibility of material irregularities or noncompliance needs to be considered whenever the internal auditor undertakes an internal auditing assignment (PA 1220-1). Thus, considering the possibility of nonconformance or material irregularities at all times during an engagement is the only way of demonstrating that due professional care has been taken in an internal audit assignment.
- Answer (D) is incorrect. Due professional care does not require that immaterial instances of noncompliance or irregularity be reported to the audit committee.

[69] Gleim #: 1.6.69 -- Source: CIA 1193 I-46

A staff internal auditor performed a portion of an engagement to review an organization's marketing function. In particular, the internal auditor evaluated the function's effective and efficient use of resources to identify

- I. Underused facilities
- II. Overstaffing or understaffing
- III. Nonproductive work
- IV. Procedures that were not cost justified

To test for underused facilities, the internal auditor performed a complete walk-through of all spaces assigned to the marketing function and evaluated the use of both space and capital equipment. The internal auditor analyzed reports on space usage for the last year and concluded that facilities were neither underused nor used at maximum capacity.

To test for overstaffing or understaffing, the internal auditor compared current staffing levels with a staffing analysis recently completed by an independent contractor. Because the staffing analysis used work standards and service demands to provide factual and reliable information on staffing requirements, the internal auditor was able to conclude that staffing levels were optimal.

To test for nonproductive work, the internal auditor interviewed an employee from each level, and, based upon their responses, concluded that no significant amount of nonproductive work was being performed. Thus, the internal auditor concluded that additional engagement work to search for procedures that were not cost justified would not be necessary.

In reference to requirements I and II, due professional care

- A. Was exercised because the internal auditor applied reasonable care and competence in both areas.
 - B. Was not exercised because the internal auditor failed to apply reasonable care regarding requirement II.
 - C. Was not exercised because the internal auditor failed to apply reasonable care regarding requirements I and II.
 - D. Was not exercised because the internal auditor failed to apply reasonable care regarding requirement I.
-
- Answer (A) is **correct**. Due professional care implies reasonable care and competence, not infallibility or extraordinary performance. Thus, due professional care requires the internal auditor to conduct examinations and verifications to a reasonable extent. Accordingly, internal auditors cannot give absolute assurance that noncompliance or irregularities do not exist. Nevertheless, the possibility of material irregularities or noncompliance needs to be considered whenever the internal auditor undertakes an internal audit assignment (PA 1220-1). Accordingly, the work performed with regard to facilities usage and staffing was adequate and would withstand normal scrutiny.
 - Answer (B) is incorrect. The work performed in both areas was adequate and would withstand normal scrutiny.
 - Answer (C) is incorrect. The work performed in both areas was adequate and would withstand normal scrutiny.
 - Answer (D) is incorrect. The work performed in both areas was adequate and would withstand normal scrutiny.

[70] Gleim #: 1.6.70 -- Source: CIA 1193 I-47

A staff internal auditor performed a portion of an engagement to review an organization's marketing function. In particular, the internal auditor evaluated the function's effective and efficient use of resources to identify

- I. Underused facilities
- II. Overstaffing or understaffing
- III. Nonproductive work
- IV. Procedures that were not cost justified

To test for underused facilities, the internal auditor performed a complete walk-through of all spaces assigned to the marketing function and evaluated the use of both space and capital equipment. The internal auditor analyzed reports on space usage for the last year and concluded that facilities were neither underused nor used at maximum capacity.

To test for overstaffing or understaffing, the internal auditor compared current staffing levels with a staffing analysis recently completed by an independent contractor. Because the staffing analysis used work standards and service demands to provide factual and reliable information on staffing requirements, the internal auditor was able to conclude that staffing levels were optimal.

To test for nonproductive work, the internal auditor interviewed an employee from each level, and, based upon their responses, concluded that no significant amount of nonproductive work was being performed. Thus, the internal auditor concluded that additional engagement work to search for procedures that were not cost justified would not be necessary.

In reference to requirements III and IV, due professional care

- A. Was exercised because the internal auditor applied reasonable care and competence in both areas.
- B. Was not exercised because the internal auditor failed to apply reasonable care and competence regarding requirement III.
- C. Was not exercised because the internal auditor failed to apply reasonable care and competence regarding both requirements III and IV.
- D. Was not exercised because the internal auditor failed to apply reasonable care and competence regarding requirement IV.

- Answer (A) is incorrect. Due professional care was not exercised in regard to requirements III and IV.
- Answer (B) is incorrect. Due professional care was not exercised in regard to requirements III and IV.
- Answer (C) is **correct**. The procedures performed as a basis for concluding that no nonproductive work was accomplished resulted in a failure to identify sufficient, reliable, relevant, and useful information to achieve the engagement's objectives (Standard 2310). The opinions of individuals whose work was in question lacks reliability. Given that the information regarding area IV was based on that for area III, it also is suspect.
- Answer (D) is incorrect. Due professional care was not exercised in regard to requirements III and IV.

[71] Gleim #: 1.6.71 -- Source: CIA 1191 I-49

With regard to the exercise of due professional care, an internal auditor should

- A. Consider the relative materiality or significance of matters to which assurance procedures are applied.
- B. Emphasize the potential benefits of an engagement without regard to the cost.
- C. Consider whether criteria have been established to determine whether goals are achieved, not whether those criteria are adequate.
- D. Select procedures that are likely to provide absolute assurance that irregularities do not exist.

- Answer (A) is **correct**. Exercising due professional care means applying the care and skill expected of a reasonably prudent and competent internal auditor (Standard 1220). According to Standard 1220.A1, the internal auditor must consider the
 - “Extent of work needed to achieve the engagement’s objectives;
 - Relative complexity, materiality, or significance of matters to which assurance procedures are applied;
 - Adequacy and effectiveness of governance, risk management, and control processes;
 - Probability of significant errors, fraud, or noncompliance; and
 - Cost of assurance in relation to potential benefits.”
- Answer (B) is incorrect. The internal auditor should consider the cost in relation to the benefits before beginning an engagement.
- Answer (C) is incorrect. “Adequate criteria are needed to evaluate controls. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished. If adequate, internal auditors must use such criteria in their evaluation. If inadequate, internal auditors must work with management to develop appropriate evaluation criteria” (Standard 2210.A3).
- Answer (D) is incorrect. Internal auditors cannot give absolute assurance that noncompliance or irregularities do not exist (PA 1220-1).

[72] Gleim #: 1.7.72 -- Source: CIA 1195 I-43

Internal auditors are responsible for continuing their education to maintain their proficiency. Which of the following is true regarding the continuing education requirements of the practicing internal auditor?

- A. Internal auditors are required to obtain 40 hours of continuing professional education each year and a minimum of 120 hours over a 3-year period.
 - B. CIAs have formal requirements that must be met in order to continue as CIAs.
 - C. Attendance, as an officer or committee member, at formal Institute of Internal Auditors meetings does not meet the criteria of continuing professional development.
 - D. In-house programs meet continuing professional education requirements only if they have been preapproved by The Institute of Internal Auditors.
- Answer (A) is incorrect. The *Standards* do not state formal hour requirements for internal auditors. The intent of the *Standards* is to provide flexibility in meeting the requirements.
 - Answer (B) is **correct**. Internal auditors must enhance their knowledge, skills, and other competencies through continuing professional development (Standard 1230). To maintain the CIA designation, the CIA must commit to a formal program of continuing professional development and report to the Certification Department of The IIA.
 - Answer (C) is incorrect. Continuing education may be obtained by participation in professional organizations.
 - Answer (D) is incorrect. Prior approval by The IIA is not necessary for CPE courses.

[73] Gleim #: 2.1.1 -- Source: CIA 593 II-5

During an engagement to evaluate the organization’s accounts payable function, an internal auditor plans to confirm balances with suppliers. What is the source of authority for such contacts with units outside the organization?

- A. Internal audit activity policies and procedures.
- B. The *Standards*.
- C. The Code of Ethics.
- D. The internal audit activity’s charter.

- Answer (A) is incorrect. Policies and procedures guide the internal auditors in their consistent compliance with the internal audit activity's standards of performance.
- Answer (B) is incorrect. The IAA's authority is defined in a charter approved by the board.
- Answer (C) is incorrect. The purpose of the Code of Ethics is to promote an ethical culture in the profession of internal auditing.
- Answer (D) is **correct**. The purpose, authority, and responsibility of the internal audit activity must be formally defined in an internal audit charter consistent with the Definition of Internal Auditing, the Code of Ethics, and the *Standards* (Standard 1000). The charter establishes the internal audit activity's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities (Interpretation of Standard 1000). Thus, the charter prescribes the internal audit activity's relationships with other units within the organization and with those outside.

[74] Gleim #: 2.1.2 -- Source: Publisher 2009

Which of the following are good tools for marketing the internal audit activity within the organization?

- A. Leading a program of the organization, such as a charitable activity.
 - B. Distributing bulletins that highlight current findings.
 - C. Including articles in an organizational publication showing the human side of internal auditors.
 - D. All answers are correct.
-
- Answer (A) is incorrect. Distributing bulletins that highlight current findings and including articles in an organizational publication showing the human side of internal auditors also are good marketing tools.
 - Answer (B) is incorrect. Leading a program, such as a charitable activity, and including articles in an organizational publication showing the human side of internal auditors also are good marketing tools.
 - Answer (C) is incorrect. Leading a program, such as a charitable activity, and distributing bulletins that highlight current findings also are good marketing tools.
 - Answer (D) is **correct**. Many managers and workers regard the internal auditor as the resident critic and hence the enemy. To make audits easier, internal auditors should attempt to market themselves to the rest of the organization as a management-oriented resource (Sawyer, 5th Edition). Leading and organization program, distributing bulletins, and including stories in organizational publications are all good tools for marketing the internal audit activity.

[75] Gleim #: 2.1.3 -- Source: CIA 1193 I-3

An element of authority that must be included in the charter of the internal audit activity is

- A. Identification of the organizational units where engagements are to be performed.
 - B. Identification of the types of disclosures that should be made to the board.
 - C. Access to records, personnel, and physical properties relevant to the performance of engagements.
 - D. Access to the external auditor's engagement records.
-
- Answer (A) is incorrect. The charter need not specifically identify the subjects of engagements.
 - Answer (B) is incorrect. Disclosure to the board is an obligation, not an element of authority.
 - Answer (C) is **correct**. The purpose, authority, and responsibility of the internal audit activity must be defined in a charter (Standard 1000). The charter establishes the internal audit activity's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities (Interpretation of Standard 1000).
 - Answer (D) is incorrect. Access to the external auditor's engagement records cannot be guaranteed.

[76] Gleim #: 2.1.4 -- Source: CIA 1192 II-7

The board of an organization has charged the chief audit executive (CAE) with upgrading the internal audit activity. The CAE's first task is to develop a charter. What item should be included in the statement of objectives?

- A. Report all engagement results to the board every quarter.
 - B. Notify governmental regulatory agencies of unethical business practices by organization management.
 - C. Evaluate the adequacy and effectiveness of the organization's controls.
 - D. Submit budget variance reports to management every month.
-
- Answer (A) is incorrect. Only significant engagement results are discussed with the board.
 - Answer (B) is incorrect. Internal auditors ordinarily are not required to report deficiencies in regulatory compliance to the appropriate agencies. However, they must observe the law and make disclosures expected by the law and profession (Rule of Conduct 1.2).
 - Answer (C) is **correct**. The purpose, authority, and responsibility of the internal audit activity must be formally defined in a charter approved by the board (Standard 1000). The charter establishes the internal audit activity's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities (Interpretation of Standard 1000). According to the Definition of Internal Auditing, it brings a systematic, disciplined approach to evaluating and improving risk management, control, and governance processes.
 - Answer (D) is incorrect. Submission of budgetary variance reports is not a primary objective of internal auditing. It is a budgetary control that management may require on a periodic basis.

[77] Gleim #: 2.1.5 -- Source: CIA 589 II-2

The authority of the internal audit activity is limited to that granted by

- A. The board and the controller.
 - B. Senior management and the *Standards*.
 - C. Management and the board.
 - D. The board and the chief financial officer.
-
- Answer (A) is incorrect. The controller is not the only member of management.
 - Answer (B) is incorrect. The *Standards* provide no actual authority to the IAA.
 - Answer (C) is **correct**. The purpose, authority, and responsibility of the internal audit activity must be formally defined in a charter. The CAE must periodically review and present the charter to senior management and the board for approval (Standard 1000).
 - Answer (D) is incorrect. Management and the board, not a particular manager, give the IAA its authority.

[78] Gleim #: 2.1.6 -- Source: CIA 596 III-21

Which of the following abilities is **not** important in marketing internal auditing to management?

- A. Explaining the current use of internal auditing software to executive management.
- B. Preparing engagement communications competently and professionally.
- C. Knowing what executive management wants the internal auditors to do.
- D. Knowing whom the internal auditors serve as customers.

- Answer (A) is **correct**. Selling internal auditing entails understanding who the customers are and what products they want. One aspect of the product desired by management and delivered by the internal auditors is competence and professionalism in the rendition of services. A second aspect of that product is a managerial as well as a financial emphasis. Thus, engagement communications should be helpful in evaluating operations. A third aspect of the internal auditors' product is the ability to extend management's ability to control daily operations. However, knowing about current internal auditing software is irrelevant to executive management.
- Answer (B) is incorrect. The ability of the internal auditors to perform competently and professionally is an important marketing tool.
- Answer (C) is incorrect. The ability of the internal auditors to know what their customers want is an important marketing tool.
- Answer (D) is incorrect. The ability of the internal auditors to identify their customers is an important marketing tool.

[79] Gleim #: 2.1.7 -- Source: CIA 595 I-60

A charter is one of the more important factors positively affecting the internal audit activity's independence. Which of the following is **least** likely to be part of the charter?

- A. Access to records within the organization.
- B. The scope of internal audit activities.
- C. The length of tenure of the chief audit executive.
- D. Access to personnel within the organization.

- Answer (A) is incorrect. The charter establishes the IAA's position within the organization and authorizes access to records.
- Answer (B) is incorrect. The charter establishes the IAA's position within the organization and defines the scope of internal audit activities.
- Answer (C) is **correct**. The independence of the IAA is facilitated when the CAE reports functionally to the board. Functional reporting includes approving all decisions about the evaluation, appointment, or removal of the CAE (PA 1110-1). However, the length of the CAE's employment is less significant than defining the purpose, authority, and responsibility of the IAA (Standard 1000). The charter establishes the IAA's position within the organization; authorizes access to records, personnel, and physical properties; and defines the scope of internal audit activities (PA 1000-1).
- Answer (D) is incorrect. The charter establishes the IAA's position within the organization and authorizes access to personnel.

[80] Gleim #: 2.1.8 -- Source: CIA 1195 I-40

Internal auditing has planned an engagement to evaluate the effectiveness of the quality assurance function as it affects the receipt of goods, the transfer of the goods into production, and the scrap costs related to defective items. The engagement client argues that such an engagement is not within the scope of the internal audit activity and should come under the purview of the quality assurance department only. What is the **most** appropriate response?

- A. Refer to the internal audit activity's charter and the approved engagement plan that includes the area designated for evaluation in the current time period.
- B. Because quality assurance is a new function, seek the approval of management as a mediator to set the scope of the engagement.
- C. Indicate that the engagement will evaluate the function only in accordance with the standards set by, and approved by, the quality assurance function before beginning the engagement.
- D. Terminate the engagement because it will not be productive without the client's cooperation.

- Answer (A) is **correct**. The charter must define the purpose, authority, and responsibility of the IAA (Standard 1000). Among other matters, it defines the scope of internal audit activities. Furthermore, the CAE submits annually to senior management and the board for review and approval a summary of the internal audit plan, work schedule, staffing plan, and financial budget (PA 2020-1).
- Answer (B) is incorrect. The engagement client does not determine the scope of this type of assurance engagement. A scope limitation imposed by the client might prevent the IAA from achieving its objectives.
- Answer (C) is incorrect. Other objectives may be established by management and the internal auditors. The engagement is not limited to the specific standards set by the quality assurance department. It considers such standards in the development of the engagement program.
- Answer (D) is incorrect. The internal auditors must conduct the engagement and communicate any scope limitations to management and the board.

[81] Gleim #: 2.1.9 -- Source: CIA 1190 I-2

A charter is being drafted for a newly formed internal audit activity. Which of the following **best** describes an appropriate organizational position to be incorporated into the charter?

- A. The chief audit executive reports to the chief executive officer but has access to the board.
 - B. The chief audit executive is a member of the board.
 - C. The chief audit executive is a staff officer reporting to the chief financial officer.
 - D. The chief audit executive reports to an administrative vice president.
- Answer (A) is **correct**. The CAE needs to report to an individual in the organization with sufficient authority to promote independence and to ensure broad audit coverage, adequate consideration of engagement communications, and appropriate action on engagement recommendations. Reporting functionally to the board and administratively to the CEO facilitates the organizational independence of the IAA (PA 1110-1).
 - Answer (B) is incorrect. Placing the CAE in a position of operational control would impair his/her objectivity.
 - Answer (C) is incorrect. This choice limits the influence and independence of the IAA.
 - Answer (D) is incorrect. This choice limits the influence and independence of the IAA.

[82] Gleim #: 2.1.10 -- Source: CIA 589 II-4

The chief audit executive has assigned an internal auditor to perform a year-end engagement to evaluate payroll records. The internal auditor has contacted the director of compensation and has been refused access to necessary documents. To avoid this problem,

- A. Access to records relevant to performance of engagements should be specified in the internal audit activity's charter.
 - B. Internal auditing should be required to report to the CEO of the organization.
 - C. By following the long-range planning process, access to all relevant records should be guaranteed.
 - D. Board approval should be required for all scope limitations.
- Answer (A) is **correct**. The support of senior management and the board assists the IAA in gaining cooperation from engagement clients (PA 1110-1). Specific guidelines are written in its charter authorizing access to records, personnel, and physical properties relevant to the performance of engagements (Interpretation of Standard 1000). Such provisions reduce the likelihood of scope limitations.
 - Answer (B) is incorrect. The IAA need not report to a specific individual in the organization, although reporting administratively to the CEO is desirable.
 - Answer (C) is incorrect. Following the long-range planning process provides no guarantee of access.
 - Answer (D) is incorrect. The IAA informs the board of any scope limitations, but its approval is not required.

[83] Gleim #: 2.1.11 -- Source: CIA 593 I-5

The organizational position of the internal audit activity should be free from the effects of irresponsible policy changes by management. The **most** effective way to ensure that freedom is to

- A. Have the internal audit charter approved by the board.
 - B. Adopt policies for the functioning of the internal audit activity.
 - C. Establish an audit committee within the board.
 - D. Develop written policies and procedures to serve as standards of performance for the internal audit activity.
-
- Answer (A) is **correct**. The purpose, authority, and responsibility of the internal audit activity must be formally defined in a charter approved by the board (Standard 1000). The charter establishes the IAA's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities (Interpretation of Standard 1000). If questions arise, the charter provides a formal, written agreement with management about the organization's IAA (PA 1000-1).
 - Answer (B) is incorrect. Adoption of policies for the functioning of the IAA does not protect its organizational position.
 - Answer (C) is incorrect. The establishment of an audit committee does not ensure the status of the IAA without its involvement in matters such as approval of the charter.
 - Answer (D) is incorrect. Written policies and procedures serve to guide the internal auditor but have little effect on management.

[84] Gleim #: 2.1.12 -- Source: CIA 1196 III-34

In some organizations, internal audit functions are outsourced. Management in a large organization should recognize that the external auditor may have an advantage, compared with the internal auditor, because of the external auditor's

- A. Familiarity with the organization. Its annual audits provide an in-depth knowledge of the organization.
 - B. Size. It can hire experienced, knowledgeable, and certified staff.
 - C. Size. It is able to offer continuous availability of staff unaffected by other priorities.
 - D. Structure. It may more easily accommodate engagement requirements in distant locations.
-
- Answer (A) is incorrect. The internal auditors are likely to be more familiar with the organization than the external auditors, given the continuous nature of their responsibilities.
 - Answer (B) is incorrect. The internal auditor also can hire experienced, knowledgeable, and certified staff.
 - Answer (C) is incorrect. The internal auditor is more likely to be continuously available. The external auditor has responsibilities to many other clients.
 - Answer (D) is **correct**. Large organizations that are geographically dispersed may find outsourcing internal audit functions to external auditors to be effective. A major public accounting firm ordinarily has operations that are national or worldwide in scope.

[85] Gleim #: 2.1.13 -- Source: CIA 04 Model Exam I-1

Which of the following is **not** true with regard to the internal audit charter?

- A. It defines the authorities and responsibilities for the internal audit activity.
- B. It specifies the minimum resources needed for the internal audit activity.
- C. It provides a basis for evaluating the internal audit activity.
- D. It should be approved by senior management and the board.

- Answer (A) is incorrect. The internal audit charter defines the necessary authorities and responsibilities (PA 1000-1).
- Answer (B) is **correct**. The charter formally defines the purpose, authority, and responsibilities of the internal audit activity. However, resource requirements are based on risk-based plans that are consistent with organizational objectives. Moreover, the chief audit executive should ensure that resources are appropriate, sufficient, and effectively deployed. Thus, the internal audit manual and annual audit plan help in determining the resource requirements for the internal audit activity.
- Answer (C) is incorrect. The internal audit charter defines the role and responsibility of the internal audit activity and acts as a benchmark for evaluating the audit function (PA 1000-1).
- Answer (D) is incorrect. The internal audit charter should be approved by senior management and by the board (PA 1000-1).

[86] Gleim #: 2.1.14 -- Source: Publisher

After the chief audit executive receives approval from the board to offer consulting services, what should be done?

- A. The CAE should begin performing consulting services.
 - B. The CAE should get approval from the internal auditors.
 - C. The internal audit charter should be amended.
 - D. The board should develop appropriate policies and procedures for conducting such engagements.
- Answer (A) is incorrect. After the CAE receives board approval, the internal audit charter must be amended and the CAE must establish policies and procedures.
 - Answer (B) is incorrect. The CAE does not need to get additional approval from the internal auditors. Only board approval is required.
 - Answer (C) is **correct**. The purpose, authority, and responsibility of the IAA must be formally defined in an internal audit charter (Standard 1000). "The nature of consulting services must be defined in the internal audit charter" (Standard 1000.C1).
 - Answer (D) is incorrect. The CAE must establish policies and procedures to guide the IAA (Standard 2040).

[87] Gleim #: 2.1.15 -- Source: Publisher

An approach in which the internal audit activity obtains external aid in performing certain activities is

- A. Cosourcing.
 - B. Outsourcing.
 - C. Joint venture.
 - D. Informal consulting.
- Answer (A) is **correct**. Cosourcing is an approach in which the internal audit activity obtains external aid in performing certain activities. It allows an organization to obtain the benefits of both an internal audit activity and outsourcing.
 - Answer (B) is incorrect. Outsourcing is an alternative to staffing an internal audit activity.
 - Answer (C) is incorrect. A joint venture is a partnership or conglomerate, usually between organizations.
 - Answer (D) is incorrect. Informal consulting is a form of engagement that includes routine activities, such as participation on standing committees; limited-life projects; ad-hoc meetings; and routine information exchange.

[88] Gleim #: 2.2.16 -- Source: CIA 1195 I-45

The charter of the internal audit activity (IAA) of a large public entity has not yet been approved by the board. However, the board is chaired by the chief executive officer (CEO) and includes the controller and one outside board member. The chief audit executive (CAE) reports directly to the controller who approves the IAA's work schedule. The previous CAE was recently dismissed following a dispute between the CAE and a major engagement client. Within the first month, the new CAE encountered substantial resistance from an engagement client regarding the nature of the work and the IAA's access to records. Moreover, the CEO accused the CAE of not operating "in the best interests of the organization." From the perspective of the internal audit activity, which of the following facts, by themselves, could contribute to a lack of independence?

- I. The CEO accused the new auditor of not operating "in the best interests of the organization."
- II. The majority of audit committee members come from within the organization.
- III. The IAA's charter has not been approved by the board.

- A. I only.
- B. II only.
- C. II and III only.
- D. I, II, and III.

- Answer (A) is incorrect. Lack of a charter and lack of outside directors weaken the IAA's position.
- Answer (B) is incorrect. Lack of support by the CEO and lack of a charter weaken the IAA's position.
- Answer (C) is incorrect. Lack of support by the CEO weakens the IAA's position.
- Answer (D) is **correct**. The CEO's statement suggests that the IAA lacks the support of senior management and the board. Furthermore, the lack of outside audit committee members may contribute to a loss of independence. The failure to approve the charter may have the same effect. The charter enhances the independence of the IAA because, by specifying the purpose, authority, and responsibility of the IAA, it establishes the position of the IAA in the organization (Interpretation of Standard 1000). To achieve the degree of independence necessary to effectively carry out the responsibilities of the internal audit activity, the chief audit executive has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship (Interpretation of Standard 1100).

[89] Gleim #: 2.2.17 -- Source: CIA 592 II-2

To avoid being the apparent cause of conflict between an organization's senior management and the board, the chief audit executive should

- A. Communicate all engagement results to both senior management and the board.
- B. Strengthen the independence of the internal audit activity through organizational position.
- C. Discuss all reports to senior management with the board first.
- D. Request board approval of policies that include IAA relationships with the board.

- Answer (A) is incorrect. Receipt of all engagement results by senior management and the board is unnecessary and inefficient.
- Answer (B) is incorrect. Organizational position helps the IAA to achieve independence but is not, by itself, enough to avoid conflict.
- Answer (C) is incorrect. The board essentially has an oversight rather than an operational role.
- Answer (D) is **correct**. The purpose, authority, and responsibility of the internal audit activity should be formally defined in a charter approved by the board (Standard 1000). The charter establishes the internal audit activity's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities (Interpretation of Standard 1000). Establishing the IAA's position within the organization is important because, among other things, it helps the IAA to achieve independence. Support from senior management and the board assists the IAA in gaining cooperation from clients and working free from interference (PA 1110-1). To achieve the degree of independence necessary to effectively carry out the responsibilities of the internal audit activity, the chief audit executive has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship (Interpretation of Standard 1100).

[90] Gleim #: 2.2.18 -- Source: CIA 596 I-65

An organization is in the process of establishing its new internal audit activity. The controller has no previous experience with internal auditors. Due to this lack of experience, the controller advised the applicants that the CAE will be reporting to the external auditors. However, the new chief audit executive will have free access to the controller to report anything important. The controller will then convey the CAE's concerns to the board of directors. The IAA will

- A. Be independent because the CAE has direct access to the board.
 - B. Not be independent because the CAE reports to the external auditors.
 - C. Not be independent because the controller has no experience with internal auditors.
 - D. Not be independent because the organization did not specify that the applicants must be certified internal auditors.
-
- Answer (A) is incorrect. The IAA will not have direct access to the board. The access is indirect via the controller.
 - Answer (B) is **correct**. Independence is the freedom from conditions that threaten the ability of the IAA or the CAE to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the IAA, the CAE has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship (Interpretation of Standard 1100). External auditors are not members of management or the board.
 - Answer (C) is incorrect. Whether the controller has experience with internal auditors does not affect the IAA's independence.
 - Answer (D) is incorrect. Although desirable, the CIA designation is not mandatory for a person to become an internal auditor. A CIA should insist on IAA independence.

[91] Gleim #: 2.2.19 -- Source: CIA 1194 I-56

A medium-sized publicly owned organization operating in Country X has grown to a size that the governing authority believes warrants the establishment of an internal audit activity. Country X has legislated internal audit requirements for government-owned organizations. The organization changed the bylaws to reflect the establishment of the internal audit activity. The governing authority decided that the chief audit executive (CAE) must be a certified internal auditor and will report directly to the newly established audit committee. Which of the items discussed above will contribute the **most** to the new CAE's independence?

- A. The establishment of the internal audit activity is documented in the bylaws.
 - B. Country X has legislated internal auditing requirements.
 - C. The CAE will report to the audit committee.
 - D. The CAE is to be a certified internal auditor.
-
- Answer (A) is incorrect. Documentation in the by-laws does little to promote independence.
 - Answer (B) is incorrect. Legislated internal audit requirements in Country X do not promote independence.
 - Answer (C) is **correct**. The chief audit executive must confirm to the board, at least annually, the organizational independence of the internal audit activity (Standard 1110). The board (and by extension, the audit committee) is the highest authority in the organization. Moreover, the CAE must communicate and interact directly with the board (Standard 1111).
 - Answer (D) is incorrect. Independence requires support from senior management and the board.

[92] Gleim #: 2.2.20 -- Source: Publisher

The reporting relationship within the organization's management structure that facilitates the day-to-day operations of the IAA is

- A. Administrative reporting.
- B. Financial reporting.
- C. Management reporting.
- D. Functional reporting.

- Answer (A) is **correct**. Administrative reporting is the reporting relationship within the organization's management structure that facilitates the day-to-day operations of the IAA (PA 1110-1). Administrative reporting typically includes (1) budgeting and management accounting; (2) human resource administration, including personnel evaluations and compensation; (3) internal communications and information flows; and (4) administration of the organization's internal policies and procedures.
- Answer (B) is incorrect. Financial reporting focuses primarily on reporting information about performance provided by measures of earnings and its components.
- Answer (C) is incorrect. A form of management reporting is the financial statements, which report on the organization's performance to external parties.
- Answer (D) is incorrect. Functional reporting involves reporting to the board to facilitate the IAA's independence.

[93] Gleim #: 2.2.21 -- Source: CIA 1191 I-3

An external quality assessment team was evaluating the independence of an internal audit activity. The internal audit activity performs engagements concerning all of the elements included in its scope. Which of the following reporting responsibilities is **most** likely to threaten the internal audit activity's independence? Reporting to the

- A. President.
- B. Treasurer.
- C. Executive vice president.
- D. Audit committee.

- Answer (A) is incorrect. Being responsible to the president helps preserve the IAA's independence by enhancing its position in the organization.
- Answer (B) is **correct**. At a minimum, the CAE needs to report to an individual in the organization with sufficient authority to promote independence and to ensure (1) broad engagement coverage, (2) adequate consideration of engagement communications, and (3) appropriate action on engagement recommendations (PA 1110-1). The higher the level to which the IAA reports, the more likely that independence will be assured. The highest level to which it might report is the audit committee, which includes outside members of the board of directors. The next highest is the chief executive officer. Reporting to the treasurer limits the influence and independence of the IAA.
- Answer (C) is incorrect. The executive vice president is higher ranking than the treasurer.
- Answer (D) is incorrect. The audit committee is higher ranking than the treasurer.

[94] Gleim #: 2.2.22 -- Source: Publisher

The CAE should report functionally to the board. The board is responsible for which of the following activities?

- I. Internal communication and information flows
 - II. Approval of the internal audit risk assessment and related audit plan
 - III. Approval of annual compensation and salary adjustment for the CAE
- A. I and II.
 - B. II and III.
 - C. I and III.
 - D. I, II, and III.

- Answer (A) is incorrect. Internal communication and information flows are administrative reporting items.
- Answer (B) is **correct**. When the CAE reports functionally to the board and administratively to the CEO, the IAA's independence is facilitated. Reporting functionally means that the board
 - Approves the IAA's overall charter.
 - Approves the internal audit risk assessment and related audit plan.
 - Receives communications from the CAE on the results of internal audit activities or other matters that the CAE determines are necessary, including private meetings with the CAE without management present.
 - Approves all decisions regarding the evaluation, appointment, or removal of the CAE.
 - Approves the annual compensation and salary adjustment of the CAE.
 - Makes appropriate inquiries of management and the CAE to determine whether there are scope or budgetary limitations that impede the ability of the IAA to execute its responsibilities (PA 1110-1).
- Answer (C) is incorrect. Internal communication and information flows are administrative reporting items.
- Answer (D) is incorrect. Internal communication and information flows are administrative reporting items.

[95] Gleim #: 2.2.23 -- Source: Publisher

During the performance of an engagement to evaluate a division's controls over purchasing, the chief purchasing agent asked why the internal auditor had requested documents pertaining to transactions with a particular supplier. The internal auditor's proper response is to

- A. Treat the inquiry as a scope limitation.
 - B. Explain the reasons for the information request to promote cooperation with the engagement client.
 - C. Refuse to explain the information request to preserve the integrity of the engagement process.
 - D. Consider the specific circumstances before deciding whether to disclose the reasons for the information request.
- Answer (A) is incorrect. A scope limitation is a restriction placed upon the IAA that precludes it from accomplishing its objectives and plans (PA 1130-1).
 - Answer (B) is incorrect. The CAE should consider the specific circumstances before deciding whether to disclose the reasons for the information request.
 - Answer (C) is incorrect. It is not always necessary or desirable to refuse to explain an information request.
 - Answer (D) is **correct**. At times, an internal auditor may be asked by the engagement client or other parties to explain why a document that has been requested is relevant to an engagement. Disclosure or nondisclosure during the engagement of the reasons documents are needed should be determined based on the circumstances. Significant irregularities may dictate a less open environment than would normally contribute to a cooperative engagement. However, that is a judgment that should be made by the chief audit executive in light of the specific circumstances. Moreover, the internal audit activity must be free from interference in determining the scope of internal auditing, performing work, and communicating results (Standard 1110.A1).

[96] Gleim #: 2.2.24 -- Source: CIA 592 I-2

Independence permits internal auditors to render impartial and unbiased judgments. The **best** way to achieve independence is through

- A. Individual knowledge and skills.
- B. A dual-reporting relationship.
- C. Supervision within the organization.
- D. Organizational knowledge and skills.

- Answer (A) is incorrect. Individual knowledge and skills allow individual auditors to achieve professional proficiency.
- Answer (B) is **correct**. The IAA must be independent (Standard 1100). Independence is the freedom from conditions that threaten the ability of the IAA or the CAE to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the IAA, the CAE has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship (Interpretation of Standard 1100).
- Answer (C) is incorrect. Supervision ensures that engagement objectives are achieved, quality is assured, and staff is developed (Standard 2340).
- Answer (D) is incorrect. Organizational knowledge and skills allow the IAA collectively to achieve professional proficiency.

[97] Gleim #: 2.2.25 -- Source: CIA 594 I-37

When evaluating the independence of an internal audit activity, a quality assurance review team performing an external assessment considers several factors. Which of the following factors has the **least** amount of influence when judging an internal audit activity's independence?

- A. Criteria used in making internal auditors' assignments.
- B. The extent of internal auditor training in communications skills.
- C. Relationship between engagement records and engagement communications.
- D. Impartial and unbiased judgments.

- Answer (A) is incorrect. How individual internal auditors are assigned relates to independence. The auditor's personal relationships with operating personnel, work experience with the engagement client, etc., affect independence.
- Answer (B) is **correct**. The IAA must be independent (Standard 1100). Independence is the freedom from conditions that threaten the ability of the IAA or the CAE to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the IAA, the CAE has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship (Interpretation of Standard 1100). However, training in communication relates to the knowledge skills, and other competencies needed to perform engagements, not to independence.
- Answer (C) is incorrect. If significant engagement observations found in the engagement records are omitted from the engagement communications, independence becomes an issue.
- Answer (D) is incorrect. Unbiased judgment is an aspect of independence.

[98] Gleim #: 2.2.26 -- Source: Publisher

The optimal administrative reporting line of the CAE is to

- A. The audit committee.
- B. Line management.
- C. Board of directors.
- D. CEO or equivalent.

- Answer (A) is incorrect. Functional reporting is to the audit committee.
- Answer (B) is incorrect. Administrative reporting preferably is to the CEO.
- Answer (C) is incorrect. The CAE must communicate and interact directly with the board (Standard 1111). Functional reporting needs to be to the board.
- Answer (D) is **correct**. Administrative reporting is the reporting relationship within the organization's management structure that facilitates the day-to-day operations of the IAA (PA 1110-1). Administrative reporting typically includes (1) budgeting and management accounting; (2) human resource administration, including personnel evaluations and compensation; (3) internal communications and information flows; and (4) administration of the organization's internal policies and procedures. Reporting functionally to the board and administratively to the CEO facilitates organizational independence (PA 1110-1).

[99] Gleim #: 2.2.27 -- Source: Publisher

Regardless of which reporting relationship the organization chooses, several key actions can help ensure that the reporting lines support and enable the effectiveness and independence of the internal auditing activity. Which key action will **not** achieve its functional reporting purpose?

- A. The functional reporting line should go directly to the Audit Committee or its equivalent to ensure the appropriate level of independence and communication.
- B. The CAE should meet with the audit committee or its equivalent, with management present, to reinforce the independence and nature of this reporting relationship.
- C. The audit committee should have the final authority to review and approve the annual audit plan and all major changes to the plan.
- D. At all times, the CAE should have open and direct access to the chair of the audit committee and its members; or the chair of the board or full board if appropriate.

- Answer (A) is incorrect. This would help assure that the reporting lines support and enable the effectiveness and independence of the internal auditing activity.
- Answer (B) is **correct**. The key actions for functional reporting are:
 - The functional reporting line should go directly to the Audit Committee or its equivalent to ensure the appropriate level of independence and communication.
 - The CAE should meet privately with the audit committee or its equivalent, without management present, to reinforce the independence and nature of this reporting relationship.
 - The audit committee should have the final authority to review and approve the annual audit plan and all major changes to the plan.
 - At all times, the CAE should have open and direct access to the chair of the audit committee and its members; or the chair of the board or full board if appropriate.
 - At least once a year, the audit committee should review the performance of the CAE and approve the annual compensation and salary adjustment.
 - The charter for the internal audit function should clearly articulate both the functional and administrative reporting lines for the function as well as the principle activities directed up each line (PA 1110-2).

The purpose of helping to ensure that the reporting lines are effective and independent will not be achieved if management is present during all the CAE's meetings with the audit committee or its equivalent.

- Answer (C) is incorrect. This would help assure that the reporting lines support and enable the effectiveness and independence of the internal auditing activity.
- Answer (D) is incorrect. This would help assure that the reporting lines support and enable the effectiveness and independence of the internal auditing activity.

[100] Gleim #: 2.2.28 -- Source: CIA 594 I-70

A formal document (charter) approved by the board that defines the internal audit activity's purpose, authority, and responsibility enhances its

- A. Exercise of due professional care.
- B. Proficiency.
- C. Relationship with management.
- D. Independence.

- Answer (A) is incorrect. Due professional care is an attribute of work performed.
- Answer (B) is incorrect. Proficiency results from the knowledge, skills, and other competencies required for internal auditors to perform their individual responsibilities.
- Answer (C) is incorrect. The IAA's relationship with management is a function of professionalism. The charter establishes independence, not a working relationship.
- Answer (D) is **correct**. The purpose, authority, and responsibility of the internal audit activity must be defined in a charter (Standard 1000). The charter establishes the internal audit activity's position within the organization; authorizes access to records, personnel, and physical properties relevant to the performance of engagements; and defines the scope of internal audit activities (Interpretation of Standard 1000). By formally stating these matters in a document approved by the board, the charter promotes independence.

[101] Gleim #: 2.2.29 -- Source: CIA 1192 I-7

Independence is freedom from conditions that threaten objectivity or the appearance of objectivity. Which policy **best** promotes independence?

- A. Requiring internal auditors to report to the chief audit executive any conflicts of interest or bias.
 - B. Preventing the internal audit activity from recommending standards of control for systems that it evaluates.
 - C. Allowing engagements concerning sensitive operations to be outsourced.
 - D. Preventing personnel transfers from operating activities to the internal audit activity.
-
- Answer (A) is **correct**. Internal auditors are to report to the chief audit executive (CAE) any situations in which an actual or potential impairment to independence or objectivity may reasonably be inferred or if they have questions about whether a situation constitutes an impairment to objectivity or independence. If the CAE determines that impairment exists or may be inferred, (s)he needs to reassign the auditor(s) (PA 1130-1).
 - Answer (B) is incorrect. Internal auditing may recommend standards of control for systems that it evaluates.
 - Answer (C) is incorrect. Outsourcing certain engagements does not promote the independence of the IAA.
 - Answer (D) is incorrect. Transfers from operating activities to the IAA usually are permitted. However, transferees should not be assigned to engagements concerning activities they previously performed until at least 1 year has elapsed.

[102] Gleim #: 2.2.30 -- Source: CIA 1192 I-2

The reporting structure that is **most** likely to allow the internal audit activity to accomplish its responsibilities is to report administratively to the

- A. Board and functionally to the chief executive officer.
 - B. Controller and functionally to the chief financial officer.
 - C. Chief executive officer and functionally to the board of directors.
 - D. Chief executive officer and functionally to the external auditor.
-
- Answer (A) is incorrect. The reverse arrangement is appropriate. The board is not involved in the routine management of the firm.
 - Answer (B) is incorrect. Such a reporting responsibility would result in insufficient organizational status for internal auditing.
 - Answer (C) is **correct**. The CAE, reporting functionally to the board and administratively to the organization's CEO, facilitates organizational independence. At a minimum, the CAE needs to report to an individual in the organization with sufficient authority to promote independence and to ensure broad engagement coverage, adequate consideration of engagement communications, and appropriate action on engagement recommendations (PA 1110-1). Being responsible to the chief executive officer while maintaining a functional relationship with the board satisfies the need for an organizational status sufficient for accomplishment of the internal audit activity's responsibilities.
 - Answer (D) is incorrect. The external auditor is not part of the organizational hierarchy.

[103] Gleim #: 2.2.31 -- Source: CIA 593 II-3

The organizational status of the internal audit activity

- A. Must be sufficient to permit the accomplishment of the activity's responsibilities.
- B. Is best when the reporting relationship is direct to the board of directors.
- C. Requires only the board's annual approval of the engagement work schedule, staffing plan, and financial budget.
- D. Is guaranteed when the charter specifically defines the activity's independence.

- Answer (A) is **correct**. The IAA must be independent (Standard 1100). Independence is the freedom from conditions that threaten the ability of the internal audit activity or the CAE to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the IAA, the CAE has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship. Threats to independence must be managed at the individual auditor, engagement, functional, and organizational levels. Thus, the chief audit executive must report to a level within the organization that allows the IAA to fulfill its responsibilities (Standard 1110). Support from senior management and the board assists the internal audit activity in gaining the cooperation of engagement clients and performing their work free from interference (PA 1110-1).
- Answer (B) is incorrect. The IAA requires day-to-day support that cannot be provided by the board. It should still report to management. Ideally, the IAA should report administratively to the CEO of the organization.
- Answer (C) is incorrect. The CAE will submit annually to senior management and the board for review and approval, a summary of the IAA's audit plan work schedule, staffing plan, and financial budget (PA 2020-1).
- Answer (D) is incorrect. A statement in the charter does not guarantee independence.

[104] Gleim #: 2.2.32 -- Source: CIA 593 II-4

Audit committees are **most** likely to participate in approving

- A. Staff promotions and salary increases.
- B. Engagement communication observations, conclusions, and recommendations.
- C. Engagement work programs.
- D. Appointment of the chief audit executive.

- Answer (A) is incorrect. The organization's CAE is responsible for staff promotions.
- Answer (B) is incorrect. The organization's CAE is responsible for approving engagement communication observations, conclusions, and recommendations.
- Answer (C) is incorrect. The CAE or designee provides appropriate engagement supervision, which includes providing appropriate instructions during the planning of the engagement and approving the engagement program.
- Answer (D) is **correct**. The IAA should be independent (Standard 1100). Independence is the freedom from conditions that threaten the ability of the internal audit activity or the CAE to carry out internal audit responsibilities in an unbiased manner. To achieve the degree of independence necessary to effectively carry out the responsibilities of the IAA, the CAE has direct and unrestricted access to senior management and the board. This can be achieved through a dual-reporting relationship. Threats to independence must be managed at the individual auditor, engagement, functional, and organizational levels. Thus, the chief audit executive must report to a level within the organization that allows the IAA to accomplish its responsibilities (Standard 1110). Independence is enhanced when the board concurs in the appointment or removal of the CAE (PA 1110-1). The audit committee is a subcommittee of outside directors who are independent of management. The term "board" includes the audit committee.

[105] Gleim #: 2.2.33 -- Source: Publisher

The IIA has indicated that to achieve necessary independence, the CAE should report functionally to whom?

- A. Senior management.
- B. Shareholders.
- C. Chief Executive Officer.
- D. Audit committee.

- Answer (A) is incorrect. Reporting to senior management would not achieve the necessary independence; this would be a conflict of interest.
- Answer (B) is incorrect. This is not the group that The IIA believes the CAE should report to. The CAE should report to the audit committee (the board), who then decide what to do.
- Answer (C) is incorrect. In most cases, the CEO is who the CAE should report to for administrative purposes, not for functional reporting.
- Answer (D) is **correct**. The *Standards* require that the CAE report to a level within the organization that allows the internal audit activity to fulfill its responsibilities. The Institute believes that to achieve necessary independence, the CAE should report functionally to the board, of which the audit committee is a part.

[106] Gleim #: 2.2.34 -- Source: CIA 595 III-16

In some cultures and organizations, managers insist that an internal audit activity is not needed to provide a critical assessment of the organization's operations. This kind of management attitude will **most** probably have an adverse effect on the internal audit activity's

- A. Operating budget variance.
- B. Effectiveness.
- C. Performance appraisals.
- D. Policies and procedures.

- Answer (A) is incorrect. An operating budget variance report is a control device used to monitor actual performance. Lack of management cooperation could cause unfavorable variances, but favorable variances could also occur if many engagements were cut short because of scope impairments.
- Answer (B) is **correct**. In this situation, management is highly averse to analysis or possible criticism of its actions. Consequently, the IAA will not have an organizational status sufficient to achieve its objectives. Engagement communications are unlikely to receive adequate consideration, and appropriate action is unlikely to be taken on engagement recommendations.
- Answer (C) is incorrect. Evaluation of the internal auditing staff should not be affected by lack of cooperation on the part of noninternal auditing management.
- Answer (D) is incorrect. Policies and procedures of the IAA are developed by the IAA. They should not be affected by noninternal auditing management.

[107] Gleim #: 2.2.35 -- Source: CIA 1195 III-4

A service organization is currently experiencing a significant downsizing and process reengineering. Its board of directors has redefined the business goals and established initiatives using in-house developed technology to meet these goals. As a result, a more decentralized approach has been adopted to run the business functions by empowering the business branch managers to make decisions and perform functions traditionally done at a higher level. The internal auditing staff is made up of the chief audit executive, two managers, and five staff auditors, all with financial background. In the past, the primary focus of successful internal audit activities has been the service branches and the six regional division headquarters which support the branches. These division headquarters are the primary targets for possible elimination. The support functions such as human resources, accounting, and purchasing will be brought into the national headquarters, and technology will be enhanced to enable and augment these operations. Up to this point, the internal audit activity has reported to the chief operating officer. Due to the significant changes, there has been some discussion as to changing this reporting relationship. What would be the **best** reporting relationship?

- A. Administratively and functionally to the president.
- B. Administratively to the president, functionally to the board.
- C. Administratively to the chief financial officer and functionally to the president.
- D. Administratively and functionally to the chief operating officer.

- Answer (A) is incorrect. The IAA should have direct communication with the board.
- Answer (B) is **correct**. "The chief audit executive must report to a level within the organization that allows the internal audit activity to fulfill its responsibilities. The chief audit executive must confirm to the board, at least annually, the organizational independence of the internal audit activity" (Standard 1110). "The chief audit executive (CAE), reporting functionally to the board and administratively to the organization's chief executive officer, facilitates organizational independence. At a minimum the CAE needs to report to an individual in the organization with sufficient authority to promote independence and to ensure broad audit coverage, adequate consideration of engagement communications, and appropriate action on engagement recommendations" (PA 1110-1).
- Answer (C) is incorrect. Independence may be impaired in financial engagements as well as engagements related to line functions.
- Answer (D) is incorrect. Independence may be impaired for all engagements concerning operational areas.

[108] Gleim #: 2.3.36 -- Source: Publisher

An internal auditor has recently received an offer from the manager of the marketing department of a weekend's free use of his beachfront condominium. No engagement is currently being conducted in the marketing department, and none is scheduled. The internal auditor

- A. Should reject the offer and report it to the appropriate supervisor.
 - B. May accept the offer because its value is immaterial.
 - C. May accept the offer because no engagement is being conducted or planned.
 - D. May accept the offer if approved by the appropriate supervisor.
-
- Answer (A) is **correct**. An internal auditor is not to accept fees, gifts, or entertainment from an employee, client, customer, supplier, or business associate. Accepting a fee or gift may imply that the auditor's objectivity has been impaired. Even though an engagement is not being conducted in the applicable area at that time, a future engagement may result in the appearance of impairment of objectivity. Thus, no consideration should be given to the engagement status as justification for receiving fees or gifts. The receipt of promotional items (such as pens, calendars, or samples) that are available to the general public and have minimal value do not hinder internal auditors' professional judgments (PA 1130-1). Impairment of independence or objectivity, in fact or appearance, must be disclosed to appropriate parties (Standard 1130).
 - Answer (B) is incorrect. The value of a weekend vacation is not immaterial.
 - Answer (C) is incorrect. The status of engagements is not a justification for receiving fees or gifts.
 - Answer (D) is incorrect. A supervisor may not approve unethical behavior.

[109] Gleim #: 2.3.37 -- Source: CIA 1194 I-49

Internal auditors must be objective in performing their work. Assume that the chief audit executive received an annual bonus as part of that individual's compensation package. The bonus may impair the CAE's objectivity if

- A. The bonus is administered by the board of directors or its salary administration committee.
 - B. The bonus is based on monetary amounts recovered or recommended future savings as a result of engagements.
 - C. The scope of internal auditing is evaluating control rather than account balances.
 - D. All of the answers are correct.
-
- Answer (A) is incorrect. The board of directors needs to determine the CAE's compensation.
 - Answer (B) is **correct**. Objectivity is an unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they believe in their work product and that no quality compromises are made. Objectivity requires that internal auditors do not subordinate their judgment on audit matters to others. Threats to objectivity must be managed at the individual auditor, engagement, functional, and organizational levels (Interpretation of Standard 1100). Thus, objectivity may be impaired if the bonus is based on monetary amounts recovered or recommended future savings as a result of engagements. A bonus based on either of these criteria could unduly influence the type of engagements performed or the recommendations made.
 - Answer (C) is incorrect. The IAA's scope of work includes evaluating and contributing to the improvement of risk management, control, and governance processes.
 - Answer (D) is incorrect. Objectivity is not impaired if the board determines the director's compensation or if the scope of work is evaluating control rather than account balances.

[110] Gleim #: 2.3.38 -- Source: CIA 597 I-52

Objectivity is **most** likely impaired by an internal auditor's

- A. Continuation on an engagement at a division for which (s)he will soon be responsible as the result of a promotion.
- B. Reduction of the scope of an engagement due to budget restrictions.
- C. Participation on a task force that recommends standards for control of a new distribution system.
- D. Review of a purchasing agent's contract drafts prior to their execution.

- Answer (A) is **correct**. Objectivity is an unbiased mental attitude that allows internal auditors to perform engagements in such a manner that they believe in their work product and that no quality compromises are made. Objectivity requires that internal auditors do not subordinate their judgment on audit matters to others. Threats to objectivity must be managed at the individual auditor, engagement, functional, and organizational levels (Interpretation of Standard 1100). Thus, the internal auditor's promotion may create a bias.
- Answer (B) is incorrect. Budget restrictions do not constitute an impairment of independence.
- Answer (C) is incorrect. An internal auditor may recommend standards of control. However, designing, installing, drafting procedures for, or operating systems might impair objectivity (PA 1120-1).
- Answer (D) is incorrect. An internal auditor may review contracts prior to their execution.

[111] Gleim #: 2.3.39 -- Source: CIA 04 Model Exam I-7

As part of a company-sponsored award program, an internal auditor was offered an award of significant monetary value by a division in recognition of the cost savings that resulted from the auditor's recommendations. According to the International Professional Practices Framework, what is the **most** appropriate action for the auditor to take?

- A. Accept the gift since the engagement is already concluded and the report issued.
 - B. Accept the award under the condition that any proceeds go to charity.
 - C. Inform audit management and ask for direction on whether to accept the gift.
 - D. Decline the gift and advise the division manager's superior.
-
- Answer (A) is incorrect. The auditor should not accept the gift, despite the previous completion of the engagement and issuance of the report.
 - Answer (B) is incorrect. The auditor should not accept the award without first informing and consulting audit management.
 - Answer (C) is **correct**. The auditor should consult audit management for guidance. Internal auditors are not to accept fees, gifts, or entertainment from an employee, client, customer, supplier, or business associate that may create the appearance that the auditor's objectivity has been impaired. The appearance that objectivity has been impaired may apply to current and future engagements conducted by the auditor. The status of engagements is not to be considered as justification for receiving fees, gifts, or entertainment. The receipt of promotional items (such as pens, calendars, or samples) that are available to employees and the general public and have minimal value do not hinder an internal auditor's professional judgments. Internal auditors are to report immediately the offer of all material fees or gifts to their supervisors. (PA 1130-1).
 - Answer (D) is incorrect. Declining the gift and advising the division manager's superior could erode the audit function's relationship with the division in question. The auditor should inform and consult audit management for guidance.

[112] Gleim #: 2.3.40 -- Source: CIA 1194 I-51

An internal audit activity is currently undergoing its first external quality assurance review since its formation three years ago. From interviews, the review team is informed of certain internal auditor activities over the past year. Which of the following activities could affect the quality assurance review team's evaluation of the objectivity of the internal auditors?

- A. One internal auditor told the review team that, during an engagement to review the payroll function, the payroll manager approached the auditor. The manager indicated the need for an accountant to prepare financial statements for the manager's part-time business. The internal auditor agreed to perform this work for a reduced fee during non-work hours.
- B. During an engagement to review the construction of a building addition to the organization's headquarters, the vice president of facilities management gave the internal auditor a commemorative mug with the organization's logo. These mugs were distributed to all employees present at the ground-breaking ceremony.
- C. After reviewing the installation of a data processing system, the internal auditor made recommendations on standards of control. Three months after completion of the engagement, the engagement client requested the internal auditor's review of certain procedures for adequacy. The internal auditor agreed and performed this review.
- D. An internal auditor's participation was requested on a task force to reduce the organization's inventory losses from theft and shrinkage. This is the first consulting assignment undertaken by the internal audit activity. The internal auditor's role is to advise the task force on appropriate control techniques.

- Answer (A) is **correct**. An internal auditor is not to accept a fee, gift, or entertainment from an employee, client, customer, supplier, or business associate that may create the appearance that the auditor's objectivity has been impaired (PA 1130-1).
- Answer (B) is incorrect. The receipt of promotional items with minimal value does not impair objectivity.
- Answer (C) is incorrect. Recommending standards of control or reviewing procedures before implementation does not impair the internal auditor's objectivity as long as (s)he does not assume operating responsibilities (PA 1120-1).
- Answer (D) is incorrect. Recommending standards of control or reviewing procedures before implementation does not impair the internal auditor's objectivity as long as (s)he does not assume operating responsibilities (PA 1120-1).

[113] Gleim #: 2.3.41 -- Source: Publisher 2009

In which of the following scenarios does the auditor most likely have organizational independence but lack objectivity?

- A. Reports to the audit client, but does not report fully about the reason for the corrective action taken.
 - B. Reports to the board and reports fully about the corrective action taken.
 - C. Reports to the audit client and reports fully about the corrective action taken.
 - D. Reports to the board, but does not report fully about the reason for the corrective action taken.
- Answer (A) is incorrect. Reporting to the audit client does not allow the internal audit activity to fulfill its responsibilities.
 - Answer (B) is incorrect. When the auditor reports to the board and reports fully about the corrective action taken, no apparent independence or objectivity issue arises.
 - Answer (C) is incorrect. Reporting to the client indicates a lack of independence.
 - Answer (D) is **correct**. The CAE must report to a level within the organization that allows the internal audit activity to fulfill its responsibilities. Reporting to the board fulfills this requirement. Internal auditors must have an impartial, unbiased attitude and avoid conflicts of interest. Failing to report fully about the reason for corrective action may imply a loss of objectivity with regard to the audit client.

[114] Gleim #: 2.3.42 -- Source: CIA 1190 I-38

An appropriate internal auditing role in a feasibility study is to

- A. Serve on the task force for the preliminary survey.
 - B. Ascertain if the feasibility study addresses cost-benefit relationships.
 - C. Determine the requirements for preparing a manual of specifications.
 - D. Participate in the drafting of recommendations for the computer acquisition and implementation.
- Answer (A) is incorrect. Serving on the task force for the preliminary survey is appropriate for users and functional management.
 - Answer (B) is **correct**. A feasibility study should consider the costs and benefits of conversion to a new computer system. The feasibility study is a preliminary step prior to plans for implementation. Internal auditors may recommend standards of control and review procedures before implementation, but their objectivity is considered to be impaired if they design, install, draft procedures for, or operate such systems (PA 1120-1).
 - Answer (C) is incorrect. Determining the requirements for preparing a manual of specifications is appropriate for users and functional management.
 - Answer (D) is incorrect. Computer experts should perform this task.

[115] Gleim #: 2.3.43 -- Source: CIA, adapted

A consulting activity appropriately performed by the internal audit function is

- A. Designing systems of control.
- B. Drafting procedures for systems of control.
- C. Reviewing systems of control before implementation.
- D. Installing systems of control.

- Answer (A) is incorrect. Designing systems is presumed to impair audit objectivity.
- Answer (B) is incorrect. Drafting procedures for systems is presumed to impair independence.
- Answer (C) is **correct**. According to PA 1120-1, reviewing systems, even before implementation, is an activity appropriately performed by the internal audit activity and does not impair objectivity.
- Answer (D) is incorrect. Installing systems of controls is presumed to impair independence.

[116] Gleim #: 2.3.44 -- Source: CIA 1184 I-31

An internal auditor **most** likely will have a conflict of interest by providing an assurance service with regard to a

- A. Financial activity in which the internal auditor had been a key employee 5 years previously.
- B. Purchasing activity if a major supplier is owned by the internal auditor's sister-in-law.
- C. Data processing center for which the internal auditor had performed the service three times previously.
- D. Computer system for which the internal auditor had been the internal audit activity's representative on the design team.

- Answer (A) is incorrect. Objectivity is presumed to be impaired if an internal auditor provides assurance services for an activity for which the internal auditor had responsibility within the previous year (PA 1130.A1). Thus, 5 years is a reasonable lapse of time to safeguard the employee from a charge of conflict of interest.
- Answer (B) is **correct**. According to the Code of Ethics, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization" (Rule of Conduct 2.1). Moreover, internal auditors periodically report to the chief audit executive any information about potential conflicts of interest or bias. The CAE makes staff assignments so that potential and actual conflicts of interest and bias are avoided (PA 1120-1). A close relative's involvement with a supplier of an engagement client is an apparent conflict of interest.
- Answer (C) is incorrect. Although rotation of assignments is preferable, no conflict of interest is involved in performing an assurance service for the same activity repeatedly.
- Answer (D) is incorrect. Objectivity is not impaired if the internal auditor's responsibility was limited to recommending standards of control for systems or reviewing procedures before implementation.

[117] Gleim #: 2.4.45 -- Source: Publisher

George is the new internal auditor for XYZ Corporation. George was in charge of payroll for XYZ just 10 months ago. Performing what services in regard to payroll is considered an impairment of independence or objectivity if performed by George?

- A. Consulting services.
- B. Assurance services.
- C. Assurance or consulting services.
- D. Neither assurance nor consulting services.

- Answer (A) is incorrect. Providing consulting services regarding payroll will not impair the independence or objectivity of George (Standard 1130.C1).
- Answer (B) is **correct**. Internal auditors must refrain from assessing specific operations for which they were previously responsible. Objectivity is presumed to be impaired if an internal auditor provides assurance services for an activity for which the internal auditor had responsibility within the previous year (Standard 1130.A1). Thus, if George provides assurance services for payroll, his objectivity is presumed to be impaired. Internal auditors may provide consulting services relating to operations for which they had previous responsibilities (Standard 1130.C1).
- Answer (C) is incorrect. Providing consulting services regarding payroll will not impair the independence or objectivity of George.
- Answer (D) is incorrect. Providing assurance services regarding payroll will impair the objectivity of George (Standard 1130.A1).

[118] Gleim #: 2.4.46 -- Source: CIA 1195 I-47

Management has requested the internal audit activity to perform an engagement to recommend procedures and policies for improving management control over the telephone marketing operations of a major division. The chief audit executive should

- A. Not accept the engagement because recommending controls would impair future objectivity regarding this operation.
 - B. Not accept the engagement because internal audit activities are presumed to have expertise regarding accounting controls, not marketing controls in responding to risks within.
 - C. Accept the engagement, but indicate to management that, because recommending controls impairs independence, future engagements in the area will be impaired.
 - D. Accept the engagement because objectivity will not be impaired.
-
- Answer (A) is incorrect. The CAE should accept the engagement. Recommending controls is not considered to impair independence or objectivity.
 - Answer (B) is incorrect. The engagement should be accepted. The IAA must evaluate the adequacy and effectiveness of controls in responding to risks within the organization's governance, operations, and information systems (Standard 2130.A1).
 - Answer (C) is incorrect. Independence is not impaired by making control recommendations.
 - Answer (D) is **correct**. The CAE should accept the engagement. Recommending standards of control for systems or reviewing procedures prior to implementation does not impair objectivity (PA 1120-1). Moreover, if this engagement is deemed to involve consulting services, objectivity is not required provided that any impairment is disclosed to the client prior to acceptance of the engagement (Standard 1130.C2).

[119] Gleim #: 2.4.47 -- Source: CIA 592 I-3

When faced with an imposed scope limitation, the chief audit executive needs to

- A. Refuse to perform the engagement until the scope limitation is removed.
 - B. Communicate the potential effects of the scope limitation to the board.
 - C. Increase the frequency of engagements concerning the activity in question.
 - D. Assign more experienced personnel to the engagement.
-
- Answer (A) is incorrect. The engagement may be conducted under a scope limitation.
 - Answer (B) is **correct**. A scope limitation is a restriction placed upon the IAA that precludes the accomplishment of its objectives and plans. Among other things, a scope limitation may restrict (1) the scope defined in the charter; (2) the IAA's access to records, personnel, and physical properties relevant to the performance of engagements; (3) the approved engagement work schedule; (4) necessary engagement procedures; and (5) the approved staffing plan and financial budget. A scope limitation, along with its potential effect, needs to be communicated, preferably in writing, to the board (PA 1130-1).
 - Answer (C) is incorrect. A scope limitation does not necessarily require more frequent engagements.
 - Answer (D) is incorrect. A scope limitation does not necessarily require more experienced personnel.

[120] Gleim #: 2.4.48 -- Source: CIA 597 I-45

In which of the following situations does an internal auditor potentially lack objectivity?

- A. An internal auditor reviews the procedures for a new electronic data interchange (EDI) connection to a major customer before it is implemented.
- B. A former purchasing assistant performs a review of internal controls over purchasing 4 months after being transferred to the internal auditing department.
- C. An internal auditor recommends standards of control and performance measures for a contract with a service organization for the processing of payroll and employee benefits.
- D. A payroll accounting employee assists an internal auditor in verifying the physical inventory of small motors.

- Answer (A) is incorrect. Objectivity is not adversely affected when the internal auditor recommends standards of control for systems or reviews procedures before they are implemented.
- Answer (B) is **correct**. Persons transferred to or temporarily engaged by the internal audit activity should not be assigned to engagements involving those activities they previously performed until a reasonable period of time (at least one year) has elapsed. Such assignments are presumed to impair objectivity. Additional consideration is required when such persons are supervising the engagement work and communicating engagement results (PA 1130.A1-1). However, internal auditors may provide consulting services relating to operations for which they had previous responsibilities (Standard 1130.C1), provided that prior disclosure is made to the client of any potential impairments of independence or objectivity (Standard 1130.C2).
- Answer (C) is incorrect. Objectivity is not adversely affected when the internal auditor recommends standards of control for systems or reviews procedures before they are implemented.
- Answer (D) is incorrect. Use of staff from other areas to assist the internal auditor does not impair objectivity, especially when the staff is from outside of the area where the engagement is being performed.

[121] Gleim #: 2.4.49 -- Source: CIA 595 I-56

The internal auditors must be able to distinguish carefully between a scope limitation and other limitations. Which of the following is **not** considered a scope limitation?

- A. The divisional management of an engagement client has indicated that the division is in the process of converting a major computer system and has indicated that the information systems portion of the planned engagement will have to be postponed until next year.
 - B. The board reviews the engagement work schedule for the year and deletes an engagement that the chief audit executive thought was important to conduct.
 - C. The engagement client has indicated that certain customers cannot be contacted because the organization is in the process of negotiating a long-term contract with the customers and they do not want to upset the customers.
 - D. None of the answers are correct.
-
- Answer (A) is incorrect. Postponing the portion of an engagement concerning a major computer system is a scope limitation. This delay restricts the performance of the engagement. Scope limitations need to be reported to the board.
 - Answer (B) is **correct**. The board's decision to delete an engagement from the annual engagement work schedule is not a scope limitation. Its responsibility is to review and approve the IAA's plans and resource requirements (Standard 2020).
 - Answer (C) is incorrect. Prohibiting contact with certain customers is a scope limitation. This prohibition restricts the performance of specific procedures.
 - Answer (D) is incorrect. Other answer choices state scope limitations.

[122] Gleim #: 2.4.50 -- Source: CIA 1195 I-44

Which of the following combinations **best** illustrates a scope limitation and the appropriate response by the CAE?

	<u>Nature of Limitation</u>	<u>Internal Audit Action</u>
A.	Engagement client limits scope based upon proprietary information	Report only to the controller
B.	Engagement client will not provide access to records needed for approved work schedule	Report to the board
C.	Engagement client requests that the engagement be delayed for 2 weeks to allow it to close its books	Report directly to the CEO and controller
D.	Engagement client will not allow internal auditor to contact major customers as part of an engagement to evaluate the efficiency of operations	No reporting needed because the operational engagement concerns operational efficiency

- Answer (A) is incorrect. A scope limitation needs to be reported to the board.
- Answer (B) is **correct**. A scope limitation is a restriction placed on the IAA that precludes it from accomplishing its objectives and plans. Among other things, a scope limitation may restrict the IAA's access to records, personnel, and physical properties relevant to the performance of engagements. A scope limitation and its potential effect need to be communicated, preferably in writing, to the board (PA 1130-1).
- Answer (C) is incorrect. Merely delaying the engagement to permit closing the books is not usually considered a scope limitation.
- Answer (D) is incorrect. Reporting is necessary.

[123] Gleim #: 2.4.51 -- Source: CIA 1195 I-55

During the course of an engagement, an internal auditor makes a preliminary determination that a major division has been inappropriately capitalizing research and development expense. The engagement is not yet completed, and the internal auditor has not documented the problem or determined that it really is a problem. However, the internal auditor is informed that the chief audit executive has received the following communication from the president of the organization:

"The controller of Division B informs me that you have discovered a questionable account classification dealing with research and development expense. We are aware of the issue. You are directed to discontinue any further investigation of this matter until informed by me to proceed. Under the confidentiality standard of your profession, I also direct you not to communicate with the outside auditors regarding this issue."

Which of the following is an appropriate action for the CAE to take regarding the questionable item?

- A. Immediately report the communication to The Institute of Internal Auditors and ask for an ethical interpretation and guidance.
- B. Inform the president that this scope limitation will need to be reported to the board.
- C. Continue to investigate the area until all the facts are determined and document all the relevant facts in the engagement records.
- D. Immediately notify the external auditors of the problem to avoid aiding and abetting a potential crime by the organization.

- Answer (A) is incorrect. The IIA has no authority in this matter.
- Answer (B) is **correct**. If independence or objectivity is impaired in fact or appearance, the details of the impairment should be disclosed to appropriate parties. The nature of the disclosure will depend upon the impairment (Standard 1130). Impairment may include a scope limitation (Interpretation of Standard 1130). A scope limitation along with its potential effect need to be communicated, preferably in writing, to the board (PA 1130-1).
- Answer (C) is incorrect. The CAE needs to first consult the board. The CAE adds value by serving the organization, and the board may, in fact, be fully aware of the problem and may not want to incur additional costs.
- Answer (D) is incorrect. The engagement work is preliminary, and the internal auditor has not yet formed a basis for an opinion. Thus, contacting the external auditors is premature. However, if an inquiry is made by the external auditors, the internal auditors should share the work done to date.

[124] Gleim #: 2.4.52 -- Source: CIA 1196 I-4

Which of the following statements is an appropriate reason for the internal audit activity **not** to participate in the systems development process?

- A. Recommendations prior to implementation will affect independence, and the internal auditors will not be able to perform an objective evaluation after the system is implemented.
- B. Participation will delay implementation of the project.
- C. Participation will cause the internal auditors to be labeled as partial owners of the application, and they will then have to share the blame for any problems that remain in the system.
- D. None of the answers are correct.

- Answer (A) is incorrect. IAA independence is not affected by recommending control standards or reviewing procedures before implementation.
- Answer (B) is incorrect. IAA participation will not delay the project unless needed controls were absent.
- Answer (C) is incorrect. The internal auditors may participate in systems development but must not draft procedures or design, install, or operate the system.
- Answer (D) is **correct**. Objectivity is not adversely affected when the internal auditors recommend standards of control for systems or review procedures before they are implemented. Designing, installing, drafting procedures for, or operating systems is presumed to impair objectivity (PA 1130.A1-1). Moreover, if this engagement is deemed to involve consulting services, objectivity is not required provided that any impairment is disclosed to the client prior to acceptance of the engagement (Standard 1130.C2).

[125] Gleim #: 2.4.53 -- Source: CIA 597 I-62

Which of the following activities is **not** presumed to impair the objectivity of an internal auditor?

- I. Recommending standards of control for a new information system application
- II. Drafting procedures for running a new computer application to ensure that proper controls are installed
- III. Performing reviews of procedures for a new computer application before it is installed

- A. I only.
- B. II only.
- C. III only.
- D. I and III.

- Answer (A) is incorrect. Because recommending standards of control and performing reviews of procedures are presumed not to impair objectivity.
- Answer (B) is incorrect. Drafting procedures is presumed to impair objectivity.
- Answer (C) is incorrect. Because recommending standards of control and performing reviews of procedures are presumed not to impair objectivity.
- Answer (D) is **correct**. The internal auditor's objectivity is not adversely affected when (s)he recommends standards of control for systems or reviews procedures before they are implemented. Designing, installing, or drafting procedures for operating systems is presumed to impair objectivity (PA 1120-1).

[126] Gleim #: 2.4.54 -- Source: CIA 589 I-3

An internal auditor who had been supervisor of the accounts payable section should **not** perform an assurance review of that section

- A. Because there is no way to measure a reasonable period of time in which to establish independence.
 - B. Until at least 1 year has elapsed.
 - C. Until after the next annual review by the external auditors.
 - D. Until it is clear that the new supervisor has assumed the responsibilities.
-
- Answer (A) is incorrect. The issues are whether (1) objectivity (not independence) has been restored and (2) at least 1 year has elapsed.
 - Answer (B) is **correct**. Persons transferred to, or temporarily engaged by, the internal audit activity should not be assigned to engagements involving assurance reviews of activities they previously performed until at least 1 year has elapsed. Such assignments are presumed to impair objectivity (PA 1130.A1-1).
 - Answer (C) is incorrect. The external review does not bear any relation to restoring the internal auditor's objectivity.
 - Answer (D) is incorrect. The new supervisor presumably would have assumed his/her responsibilities immediately. Hence, a year could not have elapsed.

[127] Gleim #: 2.4.55 -- Source: CIA 593 I-43

Assuming that the internal auditing staff possesses the necessary experience and training, which of the following services is **most** appropriate for a staff internal auditor to undertake?

- A. Substitute for the accounts payable supervisor while (s)he is on sick leave.
 - B. Determine the profitability of alternative investment acquisitions and select the best alternative.
 - C. As part of an evaluation team, review vendor accounting software internal controls and rank according to exposures.
 - D. Participate in an internal audit of the accounting department shortly after transferring from the accounting department.
-
- Answer (A) is incorrect. An internal auditor's objectivity is presumed to be impaired for at least 1 year with respect to activities (s)he previously performed.
 - Answer (B) is incorrect. Investment decisions are management's responsibility.
 - Answer (C) is **correct**. An internal auditor's objectivity is not impaired when (s)he recommends standards of control for systems or reviews procedures before they are implemented (PA 1130.A1-1). Moreover, if this engagement is deemed to involve consulting services, objectivity is not required provided that any impairment thereof is disclosed to the client prior to acceptance of the engagement (Standard 1130.C2).
 - Answer (D) is incorrect. An internal auditor should not be assigned to engagements concerning activities (s)he previously performed until at least 1 year has elapsed.

[128] Gleim #: 2.4.56 -- Source: Publisher 2009

When an internal auditor has a potential impairment of independence or objectivity relating to a proposed consulting engagement, what action must be taken?

- A. The internal auditor must immediately refuse the consulting engagement.
- B. The internal auditor must disclose the potential impairment to the chief audit executive.
- C. The internal auditor need not disclose the potential impairment and may accept the engagement.
- D. The internal auditor must disclose the potential impairment to the engagement client prior to accepting the engagement.

- Answer (A) is incorrect. The internal auditor does not need to refuse the engagement but must properly disclose the potential impairment to the client.
- Answer (B) is incorrect. The internal auditor must disclose the potential impairment to the engagement client.
- Answer (C) is incorrect. The internal auditor must properly disclose the potential impairment to the engagement client before accepting the engagement.
- Answer (D) is **correct**. Standard 1130.C2 states that if independence or objectivity is potentially impaired in relation to a proposed consulting service, disclosure must be made to the engagement client prior to accepting the engagement.

[129] Gleim #: 2.4.57 -- Source: CIA 597 III-32

Reengineering is the thorough analysis, fundamental rethinking, and complete redesign of essential business processes. The intended result is a dramatic improvement in service, quality, speed, and cost. An internal auditor's involvement in reengineering should include all of the following **except**

- A. Determining whether the process has senior management's support.
 - B. Recommending areas for consideration.
 - C. Developing audit plans for the new system.
 - D. Directing the implementation of the redesigned process.
- Answer (A) is incorrect. Internal auditors may perform the function of determining whether the process has senior management's support.
 - Answer (B) is incorrect. Internal auditors may perform the function of recommending areas for consideration.
 - Answer (C) is incorrect. Internal auditors may perform the function of developing audit plans for the new system.
 - Answer (D) is **correct**. Internal auditors should not become directly involved in the implementation of the redesign process. This involvement would impair their independence and objectivity. Staff assignments of internal auditors should be rotated periodically whenever it is practicable to do so.

[130] Gleim #: 2.4.58 -- Source: CIA 591 II-4

A treasury department employee transferred to the internal audit activity of the same organization last month. The chief financial officer of the organization has suggested that, because of the employee's significant knowledge in this area, it would be a good idea for the employee to immediately begin an engagement to evaluate the treasury department. In this circumstance, the employee should

- A. Accept the engagement and begin work immediately.
 - B. Discuss the need for such an engagement with the employee's former superior, the treasurer.
 - C. Suggest that the engagement be performed by another member of the internal audit staff.
 - D. Offer to prepare an engagement work program but suggest that interviews with the employee's former co-workers be conducted by other members of the internal audit staff.
- Answer (A) is incorrect. The proposed engagement is presumed to impair objectivity.
 - Answer (B) is incorrect. Internal auditors are not to subordinate their judgment on engagement matters to that of others.
 - Answer (C) is **correct**. Another internal auditor should be assigned. Persons transferred to or temporarily engaged by the internal audit activity should not be assigned to audit those activities they previously performed until at least 1 year has elapsed. Such assignments are presumed to impair objectivity, and additional consideration should be exercised when supervising the engagement work and communicating engagement results (PA 1130.A1-1).
 - Answer (D) is incorrect. The preparation of the engagement work program offers significant opportunities for bias.

[131] Gleim #: 2.4.59 -- Source: CIA 592 I-1

An activity appropriately performed by the internal audit activity is

- A. Designing systems of control.
- B. Drafting procedures for systems of control.
- C. Reviewing systems of control before implementation.
- D. Installing systems of control.

- Answer (A) is incorrect. Designing systems is presumed to impair objectivity.
- Answer (B) is incorrect. Drafting procedures for systems is presumed to impair objectivity.
- Answer (C) is **correct**. The internal auditor's objectivity is not adversely affected when (s)he recommends standards of control for systems or reviews procedures before they are implemented. However, an internal auditor's objectivity is considered to be impaired if the auditor designs, installs, drafts procedures for, or operates such systems (PA 1120-1).
- Answer (D) is incorrect. Installing systems of control is presumed to impair objectivity.

[132] Gleim #: 2.4.60 -- Source: CIA 593 I-3

Which of the following **most** seriously compromises confidence in the internal audit activity?

- A. Internal auditors frequently draft revised procedures for departments whose procedures have been criticized in an engagement communication.
- B. The chief audit executive has dual reporting responsibility to the organization's chief executive officer and the board of directors.
- C. The internal audit activity and the organization's external auditors engage in joint planning of total engagement coverage to avoid duplicating each other's work.
- D. The internal audit activity is included in the review cycle of the organization's contracts with other organizations before the contracts are executed.

- Answer (A) is **correct**. The IAA must be independent, and internal auditors must be objective (Standard 1100). Thus, independence is an attribute of the IAA, and objectivity is an attribute of individual internal auditors. Because designing, installing, drafting procedures for, or operating systems impairs the objectivity of internal auditors (PA 1120-1), such services may have a conflict of interest. This may create an appearance of impropriety that undermines confidence in the IAA (Interpretation of Standard 1120).
- Answer (B) is incorrect. Dual reporting to the CEO and the board of directors is ideal. It enhances the IAA's independence and thus confidence in the IAA (Interpretation of Standard 1100).
- Answer (C) is incorrect. Joint planning with the external auditors need not affect independence and confidence in the IAA. Indeed, the CAE should share information and coordinate activities with other internal and external providers of relevant assurance and consulting services to ensure proper coverage and minimize duplication of efforts (Standard 2050).
- Answer (D) is incorrect. Including the IAA in the review cycle of the organization's contracts is a good example of a preemptive engagement. It affords an opportunity to evaluate the adequacy of control over the proposed contracts. The objectivity of internal auditors, the independence of the IAA, and thus confidence in the IAA are not adversely affected when they recommend standards of control for systems or review procedures before implementation.

[133] Gleim #: 2.4.61 -- Source: CIA 1194 I-50

An organization is planning to develop and implement a new computerized purchase order system in one of its manufacturing subsidiaries. The vice president of manufacturing has requested that internal auditors participate on a team consisting of representatives from finance, manufacturing, purchasing, and marketing. This team will be responsible for the implementation effort. Eager to take on this high profile project, the chief audit executive assigns a senior internal auditor to the project to assist "as needed." Assuming the senior internal auditor performed all of the following activities, which one will impair objectivity if the internal auditor is asked to review the purchase order system on a post-engagement basis?

- A. Helping to identify and define control objectives.
 - B. Testing for compliance with system development standards.
 - C. Evaluate risk exposures of systems and programming standards.
 - D. Drafting operating procedures for the new system.
-
- Answer (A) is incorrect. Helping to identify and define control objectives is necessary in many engagements and would not impair objectivity. However, management, not the internal auditor, is responsible for establishing and achieving the objectives.
 - Answer (B) is incorrect. Internal auditors should evaluate risk exposures and the controls relating to compliance with laws, regulations, and contracts.
 - Answer (C) is incorrect. Internal auditors evaluate risk exposures of systems (Standard 2120.A1). They may also recommend standards of control or review procedures before implementation without adversely affecting their objectivity (PA 1120-1).
 - Answer (D) is **correct**. The internal auditor's objectivity is not adversely affected when (s)he recommends standards of control for systems or reviews procedures before they are implemented. Designing, installing, drafting procedures for, or operating systems are presumed to impair the internal auditor's objectivity (PA 1120-1).

[134] Gleim #: 2.4.62 -- Source: CIA 595 I-54

The internal audit activity encounters a scope limitation from senior management that will affect the activity's ability to meet its goals and objectives for a potential engagement client. The nature of the scope limitation needs to be

- A. Noted in the engagement working papers, but the engagement should be carried out as scheduled and the scope limitation worked around, if possible.
 - B. Communicated to the external auditors so they can investigate the area in more detail.
 - C. Communicated, preferably in writing, to the board.
 - D. Communicated to management stating that the limitation will not be accepted because it would impair the internal audit activity's independence.
-
- Answer (A) is incorrect. The limitation needs to be communicated first to the board.
 - Answer (B) is incorrect. There is no requirement or need to communicate the limitation to the external auditor.
 - Answer (C) is **correct**. The internal audit plan, work schedules, staffing plans, and financial budgets inform senior management and the board of the scope of internal audit work and of any limitations placed on that scope (PA 2020-1). Furthermore, a scope limitation, along with its potential effect, needs to be communicated, preferably in writing, to the board (PA 1130-1).
 - Answer (D) is incorrect. The IAA exists to help the organization achieve its objectives. Thus, the internal auditors must communicate with the board about conflicts with management.

[135] Gleim #: 2.4.63 -- Source: CIA 1191 I-27

The major reason for the internal auditor's involvement in information systems development is for the internal auditor to

- A. Gain familiarity with systems for use in subsequent reviews.
- B. Help assure that systems have adequate control procedures.
- C. Help minimize the cost and development time for new systems.
- D. Propose enhancements for subsequent development and implementation.

- Answer (A) is incorrect. Gaining familiarity with systems for use in subsequent reviews is not the major reason for the internal auditor's involvement in information systems development.
- Answer (B) is **correct**. The internal audit activity evaluates and improves risk management, control, and governance processes. The internal auditor's objectivity is not adversely affected when the auditor recommends standards of control for systems or reviews procedures before they are implemented. The auditor's objectivity is considered to be impaired if the auditor designs, installs, drafts procedures for, or operates such systems (PA 1120-1).
- Answer (C) is incorrect. Minimizing the cost and development time for new systems is not the major reason for the internal auditor's involvement in information systems development.
- Answer (D) is incorrect. Proposing enhancements for subsequent development and implementation is a managerial, not an internal auditing, function.

[136] Gleim #: 2.4.64 -- Source: CIA 596 I-51

A multinational organization has an agreement with a value-added network (VAN) that provides the encoding and communications transfer for the organization's electronic data interchange (EDI) and electronic funds transfer (EFT) transactions. Before transfer of data to the VAN, the organization performs online preprocessing of the transactions. The internal auditor is responsible for assessing preprocessing controls. In addition, the agreement between the organization and the VAN states that the internal auditor is allowed to examine and report on the controls in place at the VAN on an annual basis. The contract specifies that access to the VAN can occur on a surprise basis during the second or third quarter of the fiscal year. This period was chosen so it would not interfere with processing during the VAN's peak transaction periods. This provision was not reviewed with internal auditing. The annual engagement work schedule approved by the board of directors specifies that a full review would be done during the current year. When the internal auditor called to arrange the annual control review during the third quarter, the VAN stated that it could not accommodate the internal auditor because the peak processing period started earlier than normal this year and all VAN personnel were occupied. This scope limitation, along with its potential effect, must be communicated to which one of the following?

- A. The organization's board of directors.
 - B. The board of directors of the VAN.
 - C. The board of directors of both the organization and the VAN.
 - D. The limitation does not need to be communicated at the board of directors level.
-
- Answer (A) is **correct**. A scope limitation is a restriction that precludes the internal audit activity from accomplishing its objectives and plans. The scope limitation and its potential effect should be communicated, preferably in writing, to the board, audit committee, or other appropriate governing authority. However, the chief audit executive needs to consider whether it is appropriate to inform the board regarding scope limitations that were previously communicated to and accepted by the board (PA 1130-1).
 - Answer (B) is incorrect. The internal auditor should not communicate directly with the board of the VAN.
 - Answer (C) is incorrect. The internal auditor should not communicate directly with the board of the VAN.
 - Answer (D) is incorrect. A scope limitation must be communicated at the governing authority level.

[137] Gleim #: 2.4.65 -- Source: Publisher

If impairments to independence or objectivity exist prior to commencement of the consulting engagement or develop during the engagement, what action should be taken?

- A. Disclosure should be made immediately to engagement client.
- B. Disclosure should be made immediately to the board.
- C. Disclosure should be made immediately to the external auditors.
- D. The internal auditor should withdraw from the engagement.

- Answer (A) is **correct**. If internal auditors have potential impairments to independence or objectivity relating to proposed consulting services, disclosure must be made to the engagement client prior to accepting the engagement (PA 1130.C2)
- Answer (B) is incorrect. Disclosure should be made to the engagement client because it is the party benefiting from the consulting services.
- Answer (C) is incorrect. Disclosure should be made to the engagement client because it is the party benefiting from the consulting services.
- Answer (D) is incorrect. Disclosure should be made to the engagement client because it is the party benefiting from the consulting services.

[138] Gleim #: 2.4.66 -- Source: CIA 04 Model Exam I-41

Which of the following activities undertaken by the internal auditor might be in conflict with the standard of independence?

- A. Risk management consultant.
- B. Product development team leader.
- C. Ethics advocate.
- D. External audit liaison.

- Answer (A) is incorrect. An internal auditor's acting as a risk management consultant does not impair the independence of the internal audit activity.
- Answer (B) is **correct**. When the IAA, CAE, or an individual internal auditor is responsible for, or management is considering assigning, an operational responsibility that the IAA might audit, the internal auditor's independence and objectivity may be impaired (PA 1130.A2-1). The role of team leader or member of a product development team may conflict with the independence attribute of the internal audit activity. The auditor may participate as a consultant to the team but should not participate as a team leader.
- Answer (C) is incorrect. Internal auditors and the internal audit activity should take an active role in support of an organization's ethical culture. Assuming the role of ethics advocate does not impair the internal auditor's independence.
- Answer (D) is incorrect. The internal and external audit functions share information and work collaboratively outside of the influence of management. This role does not conflict with the independence standard.

[139] Gleim #: 2.4.67 -- Source: CIA 04 Model Exam I-10

An internal auditor assigned to audit a vendor's compliance with product quality standards is the brother of the vendor's controller. The auditor should:

- A. Accept the assignment, but avoid contact with the controller during fieldwork.
- B. Accept the assignment, but disclose the relationship in the engagement final communication.
- C. Notify the vendor of the potential conflict of interest.
- D. Notify the chief audit executive of the potential conflict of interest.

- Answer (A) is incorrect. Given a family connection with the auditee, even if the auditor avoids contact with the controller, the appearance of a conflict of interest exists.
- Answer (B) is incorrect. Situations of potential conflict of interest or bias should be avoided, not merely disclosed.
- Answer (C) is incorrect. Conflicts of interest are to be reported to the chief audit executive, not the vendor or engagement client.
- Answer (D) is **correct**. If independence or objectivity is impaired in fact or appearance, the details of the impairment should be disclosed to the appropriate parties. PA 1130-1 states that internal auditors are to report to the chief audit executive (CAE) any situations in which an actual or potential impairment to independence or objectivity may reasonably be inferred, or if they have questions about whether a situation constitutes an impairment to objectivity or independence.

[140] Gleim #: 2.4.68 -- Source: CIA 594 I-16

An internal auditor's objectivity could be compromised in all of the following situations **except**

- A. A conflict of interest.
 - B. An engagement client's familiarity with the internal auditor due to lack of rotation in assignments.
 - C. The internal auditor's assumption of operational duties on a temporary basis.
 - D. Reliance on an outside service provider when appropriate.
-
- Answer (A) is incorrect. Internal auditors are to report to the chief audit executive (CAE) any situations in which an actual or potential impairment to independence or objectivity may reasonably be inferred, or if they have questions about whether a situation constitutes an impairment to objectivity or independence. If the CAE determines that impairment exists or may be inferred, he or she needs to reassign the auditor(s) (PA 1130-1).
 - Answer (B) is incorrect. Staff assignments should be rotated periodically.
 - Answer (C) is incorrect. Persons transferred to, or temporarily engaged by, the IAA should not be assigned to audit those activities they previously performed until at least one year has elapsed (PA 1130.A1-1).
 - Answer (D) is **correct**. The CAE is responsible for all significant professional judgments made throughout the engagement (PA 2340-1). Thus, the CAE should obtain competent advice and assistance if the internal auditors lack the knowledge, skills, or other competencies needed to perform all or part of the engagement (Standard 1210.A1). Consulting an outside service provider is therefore appropriate in these circumstances.

[141] Gleim #: 2.4.69 -- Source: Publisher

The internal audit activity should be free to audit and report on any activity that also reports to its administrative head if it considers such coverage to be appropriate for its audit plan. Any limitation in scope or reporting of results of these activities needs to be brought to the attention of the

- A. Chief executive officer.
 - B. Chief financial officer.
 - C. External auditor.
 - D. Board.
-
- Answer (A) is incorrect. The CEO is not independent of the organization.
 - Answer (B) is incorrect. The CFO is also responsible for the organization's accounting functions. Thus, when a scope or reporting limitation exists, the CFO may be responsible for it.
 - Answer (C) is incorrect. The external auditor should not be notified unless the board believes it is necessary.
 - Answer (D) is **correct**. A scope limitation is a restriction placed upon the IAA that precludes the activity from accomplishing its objectives and plans. Among other things, a scope limitation may restrict (1) the scope defined in the charter; (2) the IAA's access to records, personnel, and physical properties relevant to the performance of engagements; (3) the approved engagement work schedule; (4) performance of necessary engagement procedures; and (5) approved staffing plan and financial budget. A scope limitation, along with its potential effect needs to be communicated, preferably in writing, to the board (PA 1130-1).

[142] Gleim #: 2.4.70 -- Source: Publisher 2009

Management for a snowboard manufacturer is considering outsourcing the design functions of the company. Complying with the *Standards*, the internal audit activity may contribute by

- A. Assessing the effectiveness of outsourcing instead of using employees in meeting management's quality objectives.
- B. Creating a checklist to use in selecting an external service provider.
- C. Setting pay rates for multiple design projects, based on research of industry best practices in outsourcing.
- D. Writing the contract for outsourcing.

- Answer (A) is **correct**. The IAA helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluating and improving the effectiveness of risk management, control, and governance processes. When the IAA performs operational and other nonaudit activities, its objectivity and independence may be impaired.
- Answer (B) is incorrect. Creating a checklist prevents the IAA from being objective and independent in performing evaluations.
- Answer (C) is incorrect. Setting the pay rates prevents the IAA from being objective and independent in performing evaluations.
- Answer (D) is incorrect. Writing the contract prevents the IAA from being objective and independent in performing evaluations.

[143] Gleim #: 3.1.1 -- Source: Publisher

Internal auditing work encompasses all of the following processes **except**

- A. Risk management.
- B. Control.
- C. Financial statements.
- D. Governance.

- Answer (A) is incorrect. The evaluation and improvement of the adequacy and effectiveness of this factor is part of the scope of internal auditing.
- Answer (B) is incorrect. The evaluation and improvement of the adequacy and effectiveness of this factor is part of the scope of internal auditing.
- Answer (C) is **correct**. Financial statements are the responsibility of management, and evaluating the adequacy of the statements is a role of the external auditor. The internal auditor evaluates and contributes to the improvement of governance, risk management, and control processes using a systematic and disciplined approach (Standard 2100).
- Answer (D) is incorrect. The evaluation and improvement of the adequacy and effectiveness of this factor is part of the scope of internal auditing.

[144] Gleim #: 3.1.2 -- Source: Publisher

Which of the following statements is **not** true regarding the efficient and economical achievement of the organization's objectives and goals?

- A. Economical performance accomplishes objectives and goals with minimal use of resources with no regard to risk exposure.
- B. Efficient performance accomplishes objectives and goals in a timely manner.
- C. Economical performance accomplishes objectives and goals with minimal use of resources commensurate with the risk exposure.
- D. Efficient performance accomplishes objectives and goals in an accurate and economical manner.

- Answer (A) is **correct**. Efficient performance accomplishes objectives and goals in an accurate, timely, and economical fashion. Economical performance accomplishes objectives and goals with minimal use of resources (i.e., cost) commensurate with risk exposure. Thus, to achieve economical performance when accomplishing objectives and goals, the minimal cost should correspond to the degree of risk.
- Answer (B) is incorrect. This is a true statement regarding the efficient and economic achievement of the organization's objectives and goals.
- Answer (C) is incorrect. This is a true statement regarding the efficient and economic achievement of the organization's objectives and goals.
- Answer (D) is incorrect. This is a true statement regarding the efficient and economic achievement of the organization's objectives and goals.

[145] Gleim #: 3.1.3 -- Source: Publisher

All of the following are primary objectives of the overall management process **except**

- A. Improving the effectiveness of governance, risk management, and control processes.
 - B. Compliance with laws, regulations, ethical and business norms, and contracts.
 - C. Identification of risk exposures and use of effective strategies to control them.
 - D. Safeguarding of the organization's assets.
-
- Answer (A) is **correct**. Improving the effectiveness of risk management, control, and governance processes is the scope of internal auditing work. Broadly, management is responsible for the sustainability of the whole organization and accountability for the organization's actions, conduct, and performance to the owners, other stakeholders, regulators, and general public. Specifically, the primary objectives of the overall management process are to achieve
 - Relevant, reliable, and credible financial and operating information.
 - Effective and efficient use of the organization's resources.
 - Safeguarding of the organization's assets.
 - Compliance with laws, regulations, ethical and business norms, and contracts.
 - Identification of risk exposures and use of effective strategies to control them.
 - Established objectives and goals for operations or programs.
 - Answer (B) is incorrect. This is a true statement regarding the primary objectives of the overall management process.
 - Answer (C) is incorrect. This is a true statement regarding the primary objectives of the overall management process.
 - Answer (D) is incorrect. This is a true statement regarding the primary objectives of the overall management process.

[146] Gleim #: 3.1.4 -- Source: Publisher

Which of the following potentially are subject to the internal auditors' evaluations?

- I. The human resources function.
 - II. The purchasing process.
 - III. The manufacturing and production database system.
-
- A. I only.
 - B. II only.
 - C. I, II, and III.
 - D. None of the answers are correct.
-
- Answer (A) is incorrect. This item is subject to internal auditor evaluation.
 - Answer (B) is incorrect. This item is subject to internal auditor evaluation.
 - Answer (C) is **correct**. Internal auditing evaluations, in the aggregate, provide information to appraise the overall management process. Thus, all business systems, processes, operations, functions, and activities within the organization are potentially subject to the internal auditors' evaluations.
 - Answer (D) is incorrect. All of the listed items are subject to internal auditor evaluation.

[147] Gleim #: 3.1.5 -- Source: Publisher

Which of the following is **not** a type of control?

- A. Preventive.
- B. Reactive.
- C. Detective.
- D. Directive.

- Answer (A) is incorrect. This is a valid type of control.
- Answer (B) is **correct**. Control is any action taken by management to enhance the likelihood that established objectives and goals will be achieved. Controls may be preventive (to deter undesirable events from occurring), detective (to detect and correct undesirable events which have occurred), or directive (to cause or encourage a desirable event to occur). "Reactive" is not a specified type of control. However, controls may be reactive in the sense that they detect an undesirable event and react to it or correct it.
- Answer (C) is incorrect. This is a valid type of control.
- Answer (D) is incorrect. This is a valid type of control.

[148] Gleim #: 3.1.6 -- Source: CIA 1193 II-8

Directors, management, external auditors, and internal auditors all play important roles in creating proper control processes. Senior management is primarily responsible for

- A. Establishing and maintaining an organizational culture.
 - B. Reviewing the reliability and integrity of financial and operational information.
 - C. Ensuring that external and internal auditors oversee the administration of the system of risk management and control processes.
 - D. Implementing and monitoring controls designed by the board of directors.
- Answer (A) is **correct**. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that goals and objectives will be achieved. Management periodically reviews its objectives and goals and modifies its processes to accommodate changes in internal and external conditions. Management also establishes and maintains an organizational culture, including an ethical climate that fosters control.
 - Answer (B) is incorrect. Internal auditors are responsible for evaluating the adequacy and effectiveness of controls, including those relating to the reliability and integrity of financial and operational information (Standard 2130.A1).
 - Answer (C) is incorrect. Senior management's role is to oversee the establishment, administration, and assessment of the system of risk management and control processes (PA 2130-1).
 - Answer (D) is incorrect. The board has oversight responsibilities but ordinarily does not become involved in the details of operations.

[149] Gleim #: 3.1.7 -- Source: CIA 587 I-26

Which of the following possible engagement objectives would lead to a test of the efficiency of an organization's use of labor resources?

- A. To determine that all employees are paid in accordance with union wages.
 - B. To determine that employees are assigned to work situations equivalent to their training and skill level.
 - C. To determine that the quality of performance by labor meets organizational standards.
 - D. To determine that only authorized employees are paid.
- Answer (A) is incorrect. Determining that all employees are paid in accordance with union wages is an objective of a compliance engagement, not a test of efficiency.
 - Answer (B) is **correct**. Internal auditors should appraise the economy and efficiency with which resources are employed. Assignment of employees to tasks not commensurate with their skills may result in excess labor costs (when more skilled and more highly paid workers perform jobs for which they are overqualified) or in poor performance (when underqualified labor is used).
 - Answer (C) is incorrect. Quality concerns effectiveness, not efficiency.
 - Answer (D) is incorrect. Whether only authorized employees are paid is irrelevant to efficiency.

[150] Gleim #: 3.1.8 -- Source: CIA 592 II-4

Which of the following **best** describes the internal audit activity's purpose in evaluating the adequacy of risk management, control, and governance processes?

- A. To help determine the nature, timing, and extent of tests necessary to achieve engagement objectives.
- B. To ensure that material weaknesses in internal control are corrected.
- C. To determine whether the risk management, control, and governance processes provide reasonable assurance that the organization's objectives and goals are achieved efficiently and economically.
- D. To determine whether the risk management, control, and governance processes ensure that the accounting records are correct and that financial statements are fairly stated.

- Answer (A) is incorrect. The nature, timing, and extent of certain tests must be determined before the adequacy of control processes can be evaluated.
- Answer (B) is incorrect. Internal auditors have no authority to ensure correction of material weaknesses.
- Answer (C) is **correct**. Adequacy of risk management, control, and governance processes is present if management has planned and designed them in a manner that provides reasonable assurance that the organization's objectives and goals will be achieved efficiently and economically. Efficient performance accomplishes objectives and goals in an accurate, timely, and economical fashion. Economical performance accomplishes objectives and goals with minimal use of resources (i.e., cost) commensurate with the risk exposure. Reasonable assurance is provided if the most cost-effective measures are taken in the design and implementation stages to reduce risks and restrict expected deviations to a tolerable level. Thus, the design process begins with the establishment of objectives and goals. This is followed by connecting or interrelating concepts, parts, activities, and people in such a manner as to operate together to achieve the established objectives and goals.
- Answer (D) is incorrect. The scope of internal auditing is much broader than concern for the fairness of financial statements.

[151] Gleim #: 3.1.9 -- Source: CIA 590 I-5

The purpose of the internal audit activity's evaluation of the effectiveness of existing risk management processes is to determine that

- A. Management has planned and designed so as to provide reasonable assurance of achieving objectives and goals.
- B. Management directs processes so as to provide reasonable assurance of achieving objectives and goals.
- C. The organization's objectives and goals will be achieved efficiently and economically.
- D. The organization's objectives and goals will be achieved in an accurate and timely manner and with minimal use of resources.

- Answer (A) is incorrect. The adequacy of risk management processes concerns planning and design by management that provides reasonable assurance that objectives and goals will be achieved efficiently and economically.
- Answer (B) is **correct**. "Effectiveness of risk management, control, and governance processes is present if management directs processes in such a manner as to provide reasonable assurance that the organization's objectives and goals will be achieved. In addition to accomplishing the objectives and planned activities, management directs by authorizing activities and transactions, monitoring resulting performance, and verifying that the organization's processes are operating as designed."
- Answer (C) is incorrect. The adequacy of risk management processes concerns planning and design by management that provides reasonable assurance that objectives and goals will be achieved efficiently and economically.
- Answer (D) is incorrect. The adequacy of risk management processes concerns planning and design by management that provides reasonable assurance that objectives and goals will be achieved efficiently and economically.

[152] Gleim #: 3.1.10 -- Source: CIA 592 I-9

After using the same public accounting firm for several years, the board of directors retained another public accounting firm to perform the annual financial audit in order to reduce the annual audit fee. The new firm has now proposed a one-time engagement relating to the cost-effectiveness of the various operations of the business. The chief audit executive has been asked to advise management in making a decision on the proposal. An argument can be made that the internal audit activity is better able to perform such an engagement because

- A. External auditors may not possess the same depth of understanding of the organization as the internal auditors.
- B. Internal auditors are required to be objective in performing engagements.
- C. Engagement procedures used by internal auditors are different from those used by external auditors.
- D. Internal auditors will not be vitally concerned with fraud and waste.

- Answer (A) is **correct**. Internal auditors are more familiar than external auditors with the organization, including systems, people, and objectives. Their internal auditing evaluations, in the aggregate, provide information to appraise the overall management process. All business systems, processes, operations, functions, and activities within the organization are subject to the internal auditors' evaluations. The comprehensive scope of work of internal auditing should provide reasonable assurance that management's (1) risk management system is effective; (2) system of internal control is effective and efficient; and (3) governance process is effective by establishing and preserving values, setting goals, monitoring activities and performance, and defining the measures of accountability.
- Answer (B) is incorrect. Both internal and external auditors are required to be objective.
- Answer (C) is incorrect. Internal and external auditors use the same techniques.
- Answer (D) is incorrect. Internal auditors are vitally concerned with fraud and waste.

[153] Gleim #: 3.1.11 -- Source: CIA 1196 I-56

A manufacturer has been expanding rapidly and is considering adding a new production line. Employees are currently working double shifts and receiving large amounts of overtime pay. Demand for all of the organization's products is currently high, but management worries about demand fluctuations with changes in the economy and technological developments by competitors. Management is concerned with such issues as whether it is efficiently using its resources, whether it is expanding too rapidly or not rapidly enough, whether employee morale is decreasing, and whether future expansion should be financed internally or through debt. Of the following management requests, which is within the normal scope of work of the internal audit activity as stated in the *Standards*?

- A. Perform an independent evaluation of management's planning process as a basis for making recommendations.
- B. Talk with banks to identify financing alternatives and negotiate contract alternatives that will be presented to management for evaluation.
- C. Analyze financing alternatives and present the alternatives to the audit committee.
- D. Undertake a make-or-buy decision analysis to determine whether the organization should subcontract for part of its manufacturing versus adding capacity. Report the recommendation to management for approval.

- Answer (A) is **correct**. Internal auditors evaluate the whole management process of planning, organizing, and directing to determine whether reasonable assurance exists that objectives and goals will be achieved. Such evaluations, in the aggregate, provide information to appraise the overall management process. All business systems, processes, operations, functions, and activities within the organization are subject to the internal auditors' evaluations. The comprehensive scope of work of the internal audit activity should provide reasonable assurance that management's risk management system is effective; that its system of internal control is effective and efficient; and that its governance process is effective by establishing and preserving value, setting goals, monitoring activities and performance, and defining the measures of accountability.
- Answer (B) is incorrect. Discussing financing alternatives with banks is a responsibility of management. Such an activity also has the potential to impair the independence of the IAA.
- Answer (C) is incorrect. Analyzing financing options is within the purview of the finance function. Moreover, information about the analysis should be directed to management or a finance committee of the board. The audit committee is concerned with oversight of internal and external auditing functions.
- Answer (D) is incorrect. Make-or-buy decisions are a responsibility of management.

[154] Gleim #: 3.1.12 -- Source: CIA 586 I-9

An adequate and effective system of internal control provides reasonable assurance that objectives and goals will be achieved. Controls may be preventive, detective, or directive. Which of the following is a detective control for the procurement function?

- A. Goods received are counted and compared with quantities on purchase order and receiving reports.
 - B. The procurement function is organizationally separate from receiving, disbursing, and accounting.
 - C. Review and approval of each procurement action is required prior to the final issuance of a purchase order.
 - D. Prenumbered standard purchase order forms include all relevant terms required to be used in all applicable instances.
-
- Answer (A) is **correct**. Accounting for all goods received and comparing quantities on purchase orders and receiving reports is a detective control. Detective controls are designed to detect and correct undesirable events that have occurred. They are necessary to measure the effectiveness of preventive controls.
 - Answer (B) is incorrect. Segregation of duties is a preventive control. Preventive controls deter undesirable events from occurring.
 - Answer (C) is incorrect. Review and approval of each procurement action is a preventive control.
 - Answer (D) is incorrect. Using prenumbered standard purchase order forms is a preventive control.

[155] Gleim #: 3.1.13 -- Source: Publisher

The following are primary objectives of the overall management process:

- I. Compliance with business norms
 - II. Identification of risk exposures
 - III. Reliable operating information
 - IV. Providing earnings estimates to securities analysts
-
- A. I and II only.
 - B. I, II, and III.
 - C. II and III only.
 - D. I, II, and IV only.
-
- Answer (A) is incorrect. Management also must create and provide reliable operating information.
 - Answer (B) is **correct**. Management's primary objectives include compliance with laws, regulations, contracts, and ethical and business norms; identification of risk exposures and use of strategies to control them; and providing reliable operating information. Although estimating earnings can create an important goal for management, releasing those estimates to outside analysts is not a primary objective. Indeed, selective disclosure may create legal problems.
 - Answer (C) is incorrect. Management also has a primary objective of complying with business norms.
 - Answer (D) is incorrect. Management is responsible for creating reliable operating information but does not have a primary objective of reporting estimated earnings to securities analysts.

[156] Gleim #: 3.1.14 -- Source: CIA 1188 II-15

Control by management is the result of

- A. Planning, organizing, and directing of organizational activities.
- B. Ascertaining needs, identifying alternative courses of action, setting standards for measuring performance, and comparing outcomes with predetermined standards.
- C. Authorizing and monitoring performance, and comparing actual performance with planned performance.
- D. Determining efficiency and economy of operations, including whether objectives and goals have been met.

- Answer (A) is **correct**. A control is any action taken by management, the board, or other parties to enhance risk management and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved. Thus, control by management is the result of proper planning, organizing, and directing.
- Answer (B) is incorrect. Ascertaining needs, identifying alternative courses of action, setting standards for measuring performance, and comparing outcomes with predetermined standards is a basic management function.
- Answer (C) is incorrect. Authorizing and monitoring performance, and comparing actual performance with planned performance is a basic management function.
- Answer (D) is incorrect. Determining efficiency and economy of operations, including whether objectives and goals have been met is a basic management function.

[157] Gleim #: 3.1.15 -- Source: CIA 592 II-16

Controls should be designed to provide reasonable assurance that

- A. Organizational objectives and goals will be achieved economically and efficiently.
 - B. Management's plans have not been circumvented by worker collusion.
 - C. The internal audit activity's guidance and oversight of management's performance is accomplished economically and efficiently.
 - D. Management's planning, organizing, and directing processes are properly evaluated.
-
- Answer (A) is **correct**. Risk management, control, and governance processes are adequate if management has planned and designed them in a manner providing reasonable assurance that the organization's objectives and goals will be achieved economically and efficiently. Reasonable assurance is provided when the most cost-effective actions are taken in the design and implementation stages to reduce risks and restrict deviations to a tolerable level.
 - Answer (B) is incorrect. Collusion is an inherent limitation of internal control.
 - Answer (C) is incorrect. Representatives of the organization's stakeholders (e.g., the board) provide oversight of risk and control processes administered by management.
 - Answer (D) is incorrect. Internal auditors evaluate management processes to determine whether reasonable assurance exists that objectives and goals will be achieved.

[158] Gleim #: 3.2.16 -- Source: Publisher

The governance process is also referred to as the way in which an organization chooses to conduct its affairs to meet four key responsibilities. Which of the following is a part of those responsibilities?

- I. Complying with society's legal and regulatory rules.
 - II. Satisfying the generally accepted business norms of society.
 - III. Providing overall benefit to society and enhancing the interests of the specific stakeholders.
 - IV. Reporting fully and truthfully to its owners, regulators, other stakeholders, and the general public.
-
- A. I and II only.
 - B. II and IV only.
 - C. I, III, and IV only.
 - D. I, II, III, and IV.

- Answer (A) is incorrect. Items I and II are not the only items that are part of the responsibilities of an organization's governance process.
- Answer (B) is incorrect. Items II and IV are not the only items stated that are part of the four key organizational responsibilities.
- Answer (C) is incorrect. Items I, III, and IV are not the only items included in the organization's responsibilities.
- Answer (D) is **correct**. An organization uses various legal forms, structures, strategies, and procedures to ensure that it
 - Complies with society's legal and regulatory rules.
 - Satisfies the generally accepted business norms, ethical precepts, and social expectations of society.
 - Provides overall benefit to society and enhances the interests of the specific stakeholders in both the long- and short-term.
 - Reports fully and truthfully to its stakeholders and the public to ensure accountability for its decisions, actions, conduct, and performance.

The way in which an organization chooses to conduct its affairs to meet those four responsibilities is commonly referred to as its governance process.

[159] Gleim #: 3.2.17 -- Source: CIA

Follow-up activity may be required to ensure that corrective action has taken place for certain observations made in an assurance engagement. The internal audit activity's responsibility to perform follow-up activities as required should be defined in the

- A. Internal audit activity's charter.
 - B. Mission statement of the audit committee.
 - C. Engagement memo issued prior to each engagement.
 - D. Purpose statement within applicable engagement communications.
- Answer (A) is **correct**. Follow-up is a process by which internal auditors determine the adequacy, effectiveness, and timeliness of actions taken by management on reported engagement observations and recommendations, including those made by external auditors and others. Responsibility for follow-up in an assurance engagement should be defined in the IAA's charter (PA 2500.A1-1). In a consulting engagement, the extent of monitoring of the disposition of results depends upon the agreement with the client.
 - Answer (B) is incorrect. Follow-up is not specified in the content of the audit committee's mission statement.
 - Answer (C) is incorrect. The engagement memo may contain a statement about responsibility for follow-up, but it should be based on the wording and authority of the IAA's charter.
 - Answer (D) is incorrect. Follow-up authority and responsibility may be cited in applicable engagement communications, but the definition should be stated first in the IAA's charter.

[160] Gleim #: 3.2.18 -- Source: CIA

Internal auditors realize that, at times, corrective action is not taken even when agreed to by the appropriate parties. Thus, in an assurance engagement, internal auditors should

- A. Decide the extent of necessary follow-up work.
- B. Allow management to decide when to follow up because it is management's ultimate responsibility.
- C. Decide to conduct follow-up work only if management requests the internal auditor's assistance.
- D. Write a follow-up engagement communication with all observations and recommendations and their significance to the operations.

- Answer (A) is **correct**. The CAE schedules follow-up as part of developing work schedules. Scheduling depends on the risk and exposure involved, the degree of difficulty, and the significance of timing in implementing corrective action. (PA 2500.A1-1).
- Answer (B) is incorrect. Determining the timing of follow-up is not management's responsibility. It is the responsibility of the CAE.
- Answer (C) is incorrect. Scheduling follow-up is the CAE's responsibility. Management's responsibility is to decide the appropriate action to be taken in response to reported engagement observations and recommendations.
- Answer (D) is incorrect. The internal auditors must decide the extent of follow-up before submitting a follow-up engagement communication.

[161] Gleim #: 3.2.19 -- Source: CIA 1191 I-44

Why should organizations require assurance engagement clients to reply promptly and outline the corrective action that has been implemented on reported observations?

- A. To remove items from the pending list as soon as possible.
 - B. To effect savings or to institute compliance as early as possible.
 - C. To indicate concurrence with the engagement observations.
 - D. To ensure that the engagement work schedule is kept up to date.
-
- Answer (A) is incorrect. Removing items from the pending list concerns a mechanical and immaterial aspect of the communication process.
 - Answer (B) is **correct**. The internal auditors determine whether (1) management has taken action or implemented the recommendation, and (2) the desired results (such as cost savings or compliance) were achieved or senior management or the board has assumed the risk of not taking action (PA 2500.A1-1). Consequently, it follows that the objectives of engagements and the timely reporting of observations and recommendations would be defeated if engagement clients do not promptly implement and report on corrective action.
 - Answer (C) is incorrect. The client may not concur with the observations and recommendations. This dispute may or may not be considered in closing the engagement.
 - Answer (D) is incorrect. Ensuring that the engagement work schedule is kept up to date is an administrative function of the IAA.

[162] Gleim #: 3.2.20 -- Source: CIA

Assume that the internal auditors' observations are so serious that, in their view, they require immediate action by management. Which of the following statements regarding the internal auditors' responsibility with respect to communicating results and follow-up are true?

- I. The actions taken are monitored by the internal auditors.
 - II. Assumption of risk is communicated to senior management and the board, even if the engagement is not complete.
 - III. The internal auditors test the actions implemented by management to determine whether they remedy the problem.
-
- A. I only.
 - B. II only.
 - C. II and III only.
 - D. I, II, and III.

- Answer (A) is incorrect. The internal auditors should communicate the observations and recommendations to the audit committee and management even if the engagement is not complete. The conditions should be monitored by the internal auditors, and any corrective action implemented by management should also be tested by the internal auditors to determine whether the action remedies the problem.
- Answer (B) is incorrect. The internal auditors should communicate the observations and recommendations to the audit committee and management even if the engagement is not complete. The conditions should be monitored by the internal auditors, and any corrective action implemented by management should also be tested by the internal auditors to determine whether the action remedies the problem.
- Answer (C) is incorrect. The internal auditors should communicate the observations and recommendations to the audit committee and management even if the engagement is not complete. The conditions should be monitored by the internal auditors, and any corrective action implemented by management should also be tested by the internal auditors to determine whether the action remedies the problem.
- Answer (D) is **correct**. Certain reported observations and recommendations may be so significant as to require immediate action by management. Thus, the IAA monitors actions taken until the observation is corrected or the recommendation is implemented. The CAE should establish procedures to determine a time frame within which management's response is required, to evaluate the response, to verify the response, to conduct a follow-up engagement, and to transmit unsatisfactory responses or actions (including assumption of risk) to senior management or the board (PA 2500-1).

[163] Gleim #: 3.2.21 -- Source: CIA 1193 II-42

Upon reviewing the final communication of engagement results, senior management decided to assume the risk of not implementing corrective action on certain engagement observations. Evaluate the following and select the **best** alternative for the chief audit executive:

- A. Notify regulatory authorities of management's decision.
 - B. Perform additional engagement procedures to further identify the policy violations.
 - C. Conduct a follow-up engagement to determine whether corrective action was taken.
 - D. Discuss the matter with senior management and possibly the board if the residual risk accepted is excessive.
-
- Answer (A) is incorrect. Regulatory authorities do not need to be notified. Management has decided to assume responsibility, and no regulatory violations were mentioned.
 - Answer (B) is incorrect. Additional procedures are not required unless the CAE believes that the residual risk assumed is too great.
 - Answer (C) is incorrect. A follow-up engagement is not required unless the CAE believes that the residual risk assumed is too great.
 - Answer (D) is **correct**. According to Standard 2600, "When the chief audit executive believes that senior management has accepted a level of residual risk that may be unacceptable to the organization, the chief audit executive must discuss the matter with senior management. If the decision regarding residual risk is not resolved, the chief audit executive must report the matter to the board for resolution."

[164] Gleim #: 3.2.22 -- Source: CIA 1191 I-45

The survey discloses that corrective action was never taken on a prior reported assurance engagement observation. Subsequent field work confirms that the condition still exists. Which of the following actions should the internal auditors pursue?

- A. Take no action. To do otherwise would be an exercise of operational control.
- B. Discuss the issue with the chief audit executive. The problem requires an ad hoc solution.
- C. Discuss the issue with the person(s) responsible for the problem. (S)he or they should know how to solve the problem.
- D. Order the person(s) responsible to correct the problem. (S)he or they have had long enough to do so.

- Answer (A) is incorrect. The condition observed may place the organization at risk until the situation changes or the condition is corrected.
- Answer (B) is incorrect. Conditions that have not been corrected are not unique and do not require ad hoc (improvised) solutions.
- Answer (C) is **correct**. Internal auditors must follow up to determine whether management has taken action on reported observations or implemented reported recommendations. Internal auditors determine whether desired results were achieved or senior management or the board has assumed the risk of not taking action or implementing the recommendation (PA 2500.A1-1). Also, discussion of conclusions and recommendations occurs at appropriate levels of management before the CAE issues final engagement communications (PA 2440-1). Client management is at “an appropriate” level. Obtaining client cooperation (or at least understanding) is a vital part of the solution of any problem.
- Answer (D) is incorrect. The internal auditors have no line authority over the client. To exercise such authority impairs objectivity.

[165] Gleim #: 3.2.23 -- Source: CIA 595 I-40

An organization's internal auditors have conducted a series of assurance engagements. The resulting recommendations have been readily accepted by engagement clients because of the potential cost savings. Given the acceptance of the cost savings engagements and the scarcity of internal audit resources, the manager in charge of these engagements also decided that follow-up action was not needed. The manager reasoned that cost savings should be sufficient to motivate the client to implement the engagement recommendations. Thus, follow-up was not scheduled as a regular part of the engagement plan. Was the manager's decision appropriate?

- A. Yes. Follow-up is not customary.
 - B. No. The internal auditors should determine whether the client has appropriately implemented all of the engagement recommendations.
 - C. No. Scarcity of resources is not a sufficient reason to omit follow-up.
 - D. Yes. Given sufficient evidence of motivation by the client, follow-up is not needed.
-
- Answer (A) is incorrect. Follow-up is required.
 - Answer (B) is incorrect. Follow-up determines what management actions have been taken, not merely whether the engagement recommendations have been implemented.
 - Answer (C) is **correct**. The CAE must establish and maintain a system to monitor the disposition of results communicated to management (Standard 2500). Accordingly, follow-up is required. Cost (lack of resources) is a factor in determining the nature, timing, and extent of follow-up, not in determining whether to follow up. For example, in some instances, the CAE may judge that management's oral or written response indicates that action taken is sufficient when weighed against the relative importance of the observation or recommendation. On such occasions, follow-up may be part of the next engagement (PA 2500.A1-1). In these circumstances, follow-up is delayed, not omitted.
 - Answer (D) is incorrect. Follow-up is required.

[166] Gleim #: 3.2.24 -- Source: Publisher

What action must the chief audit executive take when (s)he believes that senior management has accepted a level of residual risk that is unacceptable to the organization?

- A. Report the matter to the board for resolution.
 - B. Report the matter to an external authority.
 - C. Discuss the matter with external auditors.
 - D. Discuss the matter with senior management.
-
- Answer (A) is incorrect. The CAE must report the matter to the board for resolution when a decision is not resolved after a discussion with senior management.
 - Answer (B) is incorrect. The matter must be discussed with senior management.
 - Answer (C) is incorrect. The CAE must discuss the matter with senior management.
 - Answer (D) is **correct**. When the CAE believes that senior management has accepted a level of residual risk that is unacceptable to the organization, (s)he must discuss the matter with senior management. If the decision regarding residual risk is not resolved, the CAE must report the matter to the board for resolution (Standard 2600).

[167] Gleim #: 3.2.25 -- Source: CIA 595 I-55

Management has requested the audit department to conduct an audit of the implementation of its recently developed company code of conduct. In preparing for the audit, the auditor reviews the newly developed code and compares it with several others for comparable companies and concludes that the newly developed code has severe deficiencies. Based on this conclusion, the auditor should

- A. Plan an audit for the implementation of management's code of conduct and also for compliance with the "best practices" from the other codes since this represents the best available criteria.
 - B. Report the nature of the deficiencies in a formal report to management.
 - C. Inform management of the problems with the existing code and report that it would be inappropriate to conduct an audit until the code is revised to incorporate the "best practices" from industry.
 - D. Conduct the audit as requested by management, reporting only noncompliance with the code.
- Answer (A) is incorrect. The auditors should not conduct an audit of compliance with criteria that have never been communicated to the auditees.
 - Answer (B) is **correct**. Management is responsible for establishing criteria to determine whether objectives and goals have been accomplished. If the internal auditors believe that the established criteria are inadequate, they should report such conditions to the appropriate levels of management and may recommend appropriate courses of action.
 - Answer (C) is incorrect. Conducting the audit is appropriate if management wants feedback about the implementation of its code.
 - Answer (D) is incorrect. The auditor must communicate the deficiencies to management.

[168] Gleim #: 3.2.26 -- Source: Publisher

The role of the internal audit activity in the ethical culture of an organization is to

- A. Avoid active support of the ethical culture because of possible loss of independence.
 - B. Evaluate the effectiveness of the organization's formal code of conduct.
 - C. Assume accountability for the effectiveness of the governance process.
 - D. Become the chief ethics officer.
- Answer (A) is incorrect. Internal auditors must be active ethics advocates. However, assuming the role of, for example, chief ethics officer may, in some circumstances, impair individual objectivity and the IAA's independence.
 - Answer (B) is **correct**. According to Standard 2110.A1, "The internal audit activity must evaluate the design, implementation, and effectiveness of the organization's ethics-related objectives, programs, and activities." As part of this assessment, internal auditors evaluate the effectiveness of the organization's formal code of conduct.
 - Answer (C) is incorrect. The organization's board and its senior management are responsible for the effectiveness of the governance process.
 - Answer (D) is incorrect. The internal auditor's basic role is to be the assessor of the ethical culture. However, an internal auditor may become chief ethics officer or a member of an ethics council, although the first role may, in some circumstances, impair individual objectivity and the IAA's independence.

[169] Gleim #: 3.2.27 -- Source: CIA 04 Model Exam I-42

The internal audit activity should contribute to the organization's governance process by evaluating the processes through which:

- I. Ethics and values are promoted.
- II. Effective organizational performance management and accountability are ensured.
- III. Risk and control information is communicated.
- IV. Activities of the external and internal auditors and management are coordinated.

- A. I only.
- B. IV only.
- C. II and III only.
- D. I, II, III, and IV.

- Answer (A) is incorrect. Processes through which ethics and values are promoted is not the only process the IAA should evaluate.
- Answer (B) is incorrect. The IAA should evaluate additional processes along with the coordination of activities of the external and internal auditors and management.
- Answer (C) is incorrect. The IAA should also evaluate additional processes.
- Answer (D) is **correct**. According to Standard 2110, "The internal audit activity must assess and make appropriate recommendations for improving the governance process in its accomplishment of the following objectives:
 - Promoting appropriate ethics and values within the organization.
 - Ensuring effective organizational performance management and accountability.
 - Communicating risk and control information to appropriate areas of the organization.
 - Coordinating the activities of and communicating information among the board, external and internal auditors, and management."

[170] Gleim #: 3.2.28 -- Source: CIA 04 Model Exam I-52

Management and the board of directors are responsible for following up on observations and recommendations made by the external auditors. What role, if any, should the internal audit activity have in this process?

- A. The internal audit activity should have no role in this process in order to ensure independence.
- B. The internal audit activity should only become involved if the chief audit executive has sufficient evidence that the follow-up is not occurring.
- C. The internal audit activity should establish a monitoring process to review the adequacy and effectiveness of management's follow-up actions.
- D. The internal audit activity should become involved only if specifically requested by management or the board of directors.

- Answer (A) is incorrect. Internal audit activity independence is not impaired by participating in the follow-up process.
- Answer (B) is incorrect. The internal audit activity should be involved throughout the follow-up process.
- Answer (C) is **correct**. The chief audit executive must establish a follow-up process to monitor and ensure that management actions have been effectively implemented or that senior management has accepted the risk of not taking action (Standard 2500.A1). Internal auditors follow up by determining whether (1) adequate, effective, and timely corrective action has been taken or (2) senior management or the board has assumed the risk of not taking action (PA 2500.A1-1).
- Answer (D) is incorrect. The internal audit activity should be involved throughout the follow-up process.

[171] Gleim #: 3.2.29 -- Source: CIA 04 Model Exam I-57

Which of the following statements regarding corporate governance is **not** correct?

- A. Corporate control mechanisms include internal and external mechanisms.
 - B. The compensation scheme for management is part of the corporate control mechanisms.
 - C. The dilution of shareholders' wealth resulting from employee stock options or employee stock bonuses is an accounting issue rather than a corporate governance issue.
 - D. The internal auditor of a company has more responsibility than the board for the company's corporate governance.
-
- Answer (A) is incorrect. Corporate control mechanisms include both internal (e.g., internal auditing) and external (e.g., external auditing) mechanisms.
 - Answer (B) is incorrect. Management's compensation scheme is part of the control environment, specifically, the human resource element.
 - Answer (C) is incorrect. The dilution of shareholder's wealth resulting from employee stock options or employee stock bonuses is an accounting issue. Governance is "the combination of processes and structures implemented by the board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives" (Glossary).
 - Answer (D) is **correct**. The internal audit activity must assess and make appropriate recommendations for improving the governance process. The organization's board and its senior management, not the internal auditor, are accountable for the effectiveness of the governance process.

[172] Gleim #: 3.2.30 -- Source: CIA 589 I-42

Management is beginning to take corrective action on personnel department deficiencies reported during the last engagement performed by the internal audit activity. The internal auditor should

- A. Oversee the corrective action.
 - B. Postpone the next engagement of the personnel department until the corrective action is completed.
 - C. Refrain from judging whether the corrective action will remedy the deficiencies.
 - D. Follow up to see that the corrective action satisfies the engagement recommendations.
-
- Answer (A) is incorrect. Internal auditors should not perform operating functions.
 - Answer (B) is incorrect. A follow-up engagement should be considered if engagement observations were especially significant. Moreover, no reason is given for postponing the next regular engagement.
 - Answer (C) is incorrect. Internal auditors must determine that management actions have been effectively implemented or that senior management has accepted the risk of not taking action.
 - Answer (D) is **correct**. The CAE must establish a follow-up process to monitor and ensure that management actions have been effectively implemented or that senior management has accepted the risk of not taking action (Standard 2500.A1).

[173] Gleim #: 3.2.31 -- Source: CIA, adapted

A follow-up review found that a significant internal control weakness had not been corrected. The chief audit executive (CAE) discussed this matter with senior management and was informed of management's willingness to accept the risk. The CAE must

- A. Do nothing further because management is responsible for deciding the appropriate action to be taken in response to reported engagement observations and recommendations.
- B. Initiate a fraud investigation to determine if employees had taken advantage of the internal control weakness.
- C. Inform senior management that the weakness must be corrected and schedule another follow-up review.
- D. Assess the reasons that senior management decided to accept the risk and inform the board of senior management's decision.

- Answer (A) is incorrect. The CAE and senior management should report the matter to the board if the CAE believes that the residual risk may be unacceptable.
- Answer (B) is incorrect. The facts do not indicate that employee fraud is an issue.
- Answer (C) is incorrect. The CAE has no authority to require corrective action.
- Answer (D) is **correct**. According to Standard 2600, "When the chief audit executive believes that senior management has accepted a level of residual risk that may be unacceptable to the organization, the chief audit executive must discuss the matter with senior management. If the decision regarding residual risk is not resolved, the chief audit executive and senior management must report the matter to the board for resolution."

[174] Gleim #: 3.2.32 -- Source: CIA 594 I-9

A chief audit executive initiated a review of the organization's code of ethics and the environment for ethical decision making. Which of the following would **most** likely be considered inappropriate regarding the scope or recommendations of the engagement?

- A. A review of the code of ethics and a comparison with other such codes.
 - B. A survey of employees, asking general questions regarding the ethical quality of the organization's decision making.
 - C. Administration of an anonymous "ethics test" to determine if employees know of unethical behavior or have acted unethically themselves.
 - D. A survey of the board of directors to determine their level of support for the organization's code of ethics.
- Answer (A) is incorrect. A review of the code of ethics and a comparison with other such codes is included within the normal scope of this type of engagement.
 - Answer (B) is incorrect. Testing employees is not prohibited by the *Standards*.
 - Answer (C) is incorrect. Testing employees is not prohibited by the *Standards*.
 - Answer (D) is **correct**. The internal audit activity is ultimately responsible to the board of directors, a body that approves the definition of the purpose, authority, and responsibility of the internal audit activity. Thus, surveying the board is inappropriate.

[175] Gleim #: 3.2.33 -- Source: Publisher 2009

A basic principle of governance is

- A. Assessment of the governance process by an independent internal audit activity.
 - B. Holding the board, senior management, and the internal audit activity accountable for its effectiveness.
 - C. Exclusive use of external auditors to provide assurance about the governance process.
 - D. Separation of the governance process from promoting an ethical culture in the organization.
- Answer (A) is **correct**. Governance includes effective use of internal auditors, ensuring (1) their independence, (2) the adequacy of their resources and scope of activities, and (3) the effectiveness of operations.
 - Answer (B) is incorrect. The IAA is an assessor of the governance process. It is not accountable for that process.
 - Answer (C) is incorrect. External parties and internal auditors may provide assurance about the governance process.
 - Answer (D) is incorrect. The IAA must assess and make recommendations for improving the governance process in its promotion of appropriate ethics and values within the organization (Standard 2110).

[176] Gleim #: 3.2.34 -- Source: Publisher 2009

Which of the following is **most** likely an internal audit role in a less structured governance process?

- A. Designing specific governance processes.
- B. Playing a consulting role in optimizing governance practices and structure.
- C. Providing advice about basic risks to the organization.
- D. Evaluating the effectiveness of specific governance processes.

- Answer (A) is incorrect. Internal auditors impair their objectivity by designing processes. However, auditing the design and effectiveness of specific processes is typical of designing specific governance processes.
- Answer (B) is incorrect. Playing a consulting role in optimizing governance practices and structure is typical of a more structured internal auditing governance maturity model. The emphasis shifts to considering best practices and adapting them to the specific organization.
- Answer (C) is **correct**. A less mature governance system will emphasize the requirements for compliance with policies, procedures, plans, laws, regulations, and contracts. It will also address the basic risks to the organization. Thus, the IAA will provide advice about such matters. As the governance process becomes more structured, the IAA's emphasis will shift to optimizing the governance structure and practices.
- Answer (D) is incorrect. Evaluating the effectiveness of specific governance processes is typical of a more structured internal auditing governance maturity model.

[177] Gleim #: 3.2.35 -- Source: Publisher 2009

Ensuring effective organizational performance management and accountability is **most** directly the proper function of

- A. Control.
- B. Governance.
- C. Risk management.
- D. A quality assurance program.

- Answer (A) is incorrect. Governance (not control) is directly responsible for ensuring effective organizational performance management and accountability.
- Answer (B) is **correct**. The internal audit activity must assess and make appropriate recommendations for improving the governance process in its accomplishment of the following objectives:
 - Promoting appropriate ethics and values within the organization.
 - Ensuring effective organizational performance management and accountability.
 - Communicating risk and control information to appropriate areas of the organization.
 - Coordinating the activities of and communicating information among the board, external and internal auditors and management. (Standard 2110)
- Answer (C) is incorrect. Governance (not risk management) is directly responsible for ensuring effective organizational performance management and accountability.
- Answer (D) is incorrect. A quality assurance program normally is implemented for an organizational unit, e.g., the IAA.

[178] Gleim #: 3.2.36 -- Source: CIA 1196 I-27

Which of the following statements **best** describes an internal auditor's responsibility for follow-up activities related to a previous engagement?

- A. The internal auditor must determine that corrective action has been taken and is achieving the desired results or that management or the board has assumed the risk of not taking corrective action.
- B. The internal auditor must determine that management has initiated corrective action, but the internal auditor has no responsibility to determine if the action is achieving the desired results. That determination is solely management's responsibility.
- C. The chief audit executive is responsible for scheduling follow-up activities only if directed to do so by senior management or the audit committee. Otherwise, follow-up is entirely discretionary.
- D. None of the answers are correct.

- Answer (A) is **correct**. The CAE must establish a follow-up process to monitor and ensure that management actions have been effectively implemented or that senior management has accepted the risk of not taking action (Standard 2500.A1). Internal auditors determine whether management has taken action or implemented the recommendation. The internal auditor determines whether (a) the desired results were achieved or (b) senior management or the board has assumed the risk of not taking action or implementing the recommendation.
- Answer (B) is incorrect. The internal auditor is responsible for determining that the action taken by senior management is achieving the desired results.
- Answer (C) is incorrect. The CAE is responsible for performing follow-up activities.
- Answer (D) is incorrect. Internal auditors determine whether management has taken action or implemented the recommendation. The internal auditor determines whether (a) the desired results were achieved or (b) senior management or the board has assumed the risk of not taking action or implementing the recommendation.

[179] Gleim #: 3.2.37 -- Source: Publisher 2009

The board is responsible for implementing

- I. Risk management
- II. Governance
- III. Control

- A. I only.
- B. II only.
- C. III only.
- D. II and III only.

- Answer (A) is incorrect. Implementation of risk management is a key responsibility of management at all levels.
- Answer (B) is **correct**. Governance is the combination of processes and structures implemented by the board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives. (Glossary). Risk management is a key responsibility of senior management and the board. But the board's role is to provide oversight (PA 2120-1). Senior management's role is to overall the establishment, administration, and assessment of the system of risk management and control processes (PA 2130-1).
- Answer (C) is incorrect. Senior management's role is to overall the establishment, administration, and assessment of the system of risk management and control processes (PA 2130-1).
- Answer (D) is incorrect. Implementation of risk management and control processes are key responsibilities of management at all levels.

[180] Gleim #: 3.3.38 -- Source: Publisher

The internal audit activity evaluates controls in response to risks in governance systems regarding

- A. Compliance with contracts.
- B. Strategic planning.
- C. Formation of a governance committee of the board.
- D. Formation of an audit committee of the board.

- Answer (A) is **correct**. The IAA must evaluate the adequacy and effectiveness of controls in responding to the risks within the organization's governance, operations, and information systems regarding the (1) reliability and integrity of financial and operational information; (2) effectiveness and efficiency of operations; (3) safeguarding of assets; and (4) compliance with laws, regulations, and contracts (Standard 2130.A1).
- Answer (B) is incorrect. Strategic planning is part of the governance function of strategic direction. The assurance provided by the IAA is part of the governance function of oversight.
- Answer (C) is incorrect. The IAA addresses the (1) reliability and integrity of financial and operational information; (2) effectiveness and efficiency of operations; (3) safeguarding of assets; and (4) compliance with laws, regulations, and contracts, not the formation of board committees.
- Answer (D) is incorrect. As part of its assurance function, the IAA does not address formation of board committees.

[181] Gleim #: 3.3.39 -- Source: Publisher

Compliance programs assist organizations by doing which of the following?

- I. Evaluating business continuity.
- II. Determining director and officer liability.
- III. Evaluating disaster recovery plans.

- A. I only.
- B. II only.
- C. I and II only.
- D. I, II, and III.

- Answer (A) is incorrect. Evaluating the business continuity is a way in which e-commerce activities assist an organization, not compliance programs.
- Answer (B) is **correct**. Compliance programs assist organizations in preventing inadvertent employee violations, detecting illegal activities, and discouraging intentional employee violations. They can also help (1) prove insurance claims, (2) determine director and officer liability, (3) create or enhance corporate identity, and (4) decide the appropriateness of punitive damages. Evaluating the business continuity and disaster recovery plans are major components of auditing e-commerce activities.
- Answer (C) is incorrect. Evaluating the business continuity is a way in which e-commerce activities assist an organization, not compliance programs.
- Answer (D) is incorrect. Evaluating the business continuity and disaster recovery plans are both major components of auditing e-commerce activities.

[182] Gleim #: 3.3.40 -- Source: Publisher

An organization should establish compliance standards and procedures and should develop a written business code of conduct to be followed by its employees. Which of the following is true concerning business codes of conduct and the compliance standards?

- A. Compliance standards should be straightforward and reasonably capable of reducing the prospect of criminal conduct.
- B. The compliance standards should be codified in the charters of the audit committee.
- C. International organizations should create various compliance programs, based on selective geographic locations, that reflect appropriate local regulations.
- D. To prevent future legal liability, the code should consist of legal terms and definitions.

- Answer (A) is **correct**. The code of conduct should clearly identify prohibited activities, making compliance standards reasonably capable of reducing the prospect of criminal conduct (i.e., discouraging intentional employee violations). In addition, codes that are straightforward and fair tend to decrease the risk that employees will engage in unethical or illegal behavior.
- Answer (B) is incorrect. The compliance standards need only be codified in the code of conduct.
- Answer (C) is incorrect. International organizations should create compliance programs on a global basis, not just for selective geographic locations. Such programs should reflect appropriate local conditions, laws, and regulations.
- Answer (D) is incorrect. The code should be written in a language that all employees can understand, avoiding legalese.

[183] Gleim #: 3.3.41 -- Source: Publisher

Which organization is **least** likely to have a good compliance environment?

- A. An international organization that creates a global compliance program that reflects local conditions, laws, and regulations.
- B. An organization that creates an organizational chart, identifying personnel who are responsible for implementing compliance programs.
- C. An organization whose code of conduct provides guidance to employees on relevant issues.
- D. An organization that rewards employees for charging travel hours to take advantage of the tax benefits.

- Answer (A) is incorrect. This represents an environment that exemplifies good compliance.
- Answer (B) is incorrect. This represents an environment that exemplifies good compliance.
- Answer (C) is incorrect. This represents an environment that exemplifies good compliance.
- Answer (D) is **correct**. An organization using reward systems that attach financial incentives to apparently unethical or illegal behavior can expect a poor compliance environment. For instance, an organization rewarding employees for charging travel hours makes itself vulnerable to fraud. Employees may charge false travel hours to receive additional rewards. Thus, the tax benefit of such an incentive may be negated by fraudulent employee practices. A good compliance environment is created when an organization
 - Develops a written, straightforward business code of conduct that clearly identifies prohibited activities, provides guidance to employees on relevant issues, and decreases the risk that employees will engage in unethical or illegal behavior.
 - Creates an organizational chart identifying board members, senior officers, a senior compliance officer, and department personnel who are responsible for implementing compliance programs.
 - Creates a compliance program on a global basis, not just for selective geographic locations, to reflect appropriate local conditions, laws, and regulations.

[184] Gleim #: 3.3.42 -- Source: Publisher

Environmental compliance information and training is **most** applicable, and should be provided, to which of the following departments?

- A. Sales.
- B. Human resources.
- C. Manufacturing.
- D. Information technology.

- Answer (A) is incorrect. Environmental compliance is not vital to the job requirements of the departments' employees. In addition, they have a low likelihood of violating or detecting violations of such laws and regulations. Furthermore, providing such information and training to a department with no such responsibilities could be detrimental, inspiring employee apathy or a belief that the program was not well constructed (PA 2100-5).
- Answer (B) is incorrect. Environmental compliance is not vital to the job requirements of the departments' employees. In addition, they have a low likelihood of violating or detecting violations of such laws and regulations. Furthermore, providing such information and training to a department with no such responsibilities could be detrimental, inspiring employee apathy or a belief that the program was not well constructed (PA 2100-5).
- Answer (C) is **correct**. When presenting compliance information and training, different sets of employees should be targeted based on areas important to each functional group, and the information should be tailored to that group's job requirements. Environmental compliance, in this case, is not in reference to the market or information technology environment, but the physical environment. Thus, information regarding environmental compliance is most applicable to the manufacturing department. It has an increased likelihood of violating or detecting violations of such laws and regulations.
- Answer (D) is incorrect. Environmental compliance is not vital to the job requirements of the departments' employees. In addition, they have a low likelihood of violating or detecting violations of such laws and regulations. Furthermore, providing such information and training to a department with no such responsibilities could be detrimental, inspiring employee apathy or a belief that the program was not well constructed (PA 2100-5).

[185] Gleim #: 3.3.43 -- Source: Publisher

The chief compliance officer of an organization should report to the

- A. Chief executive officer.
- B. Chief general counsel.
- C. Chief operating officer.
- D. Chief audit executive.

- Answer (A) is **correct**. It is not enough for an organization to create the position of chief compliance officer and to select the rest of the compliance unit. The organization should also ensure that these personnel are appropriately empowered and supplied with the resources necessary for carrying out their mission. Furthermore, compliance personnel should have adequate access to senior management. A reporting structure in which the chief compliance officer reports directly to the chief executive officer (CEO) is optimal.
- Answer (B) is incorrect. The chief general counsel in many organizations is assigned chief compliance responsibilities. In many organizations, however, this structure may convince employees that management is not committed to the program and that the program is important only to the legal department. Anyone assigned chief compliance responsibilities should report to the CEO.
- Answer (C) is incorrect. The chief compliance officer should report to the CEO, not the COO.
- Answer (D) is incorrect. The chief compliance officer should report to the CEO, not the CAE.

[186] Gleim #: 3.3.44 -- Source: Publisher

An organization should use due care not to delegate substantial discretionary authority to individuals the organization knows have a propensity to engage in illegal activities. Which of the following are steps an organization can take to ensure that such individuals are detected?

- I. Screening of applicants for employment at all levels for evidence of past wrongdoing, especially past criminal convictions within the industry.
 - II. Asking professionals about any history of discipline by licensing boards.
 - III. Performing nonconsensual background checks on employees' or applicants' credit reports to ensure that they are financially sound and are unlikely to commit theft or fraud.
- A. I only.
 - B. III only.
 - C. I and II only.
 - D. I, II, and III.
- Answer (A) is incorrect. It is not the only step - out of those given - that a company can take to protect itself against individuals that have a propensity to engage in illegal activities.
 - Answer (B) is incorrect. Performing checks on an employee's or applicant's credit report, no matter how noble the reason, infringes upon their privacy rights, under applicable laws. Thus, such an act is considered illegal and the organization can be held liable.
 - Answer (C) is **correct**. As part of the exercise of due diligence, an organization can take steps to protect itself against individuals who have a propensity to engage in illegal activities. For instance, an organization can screen applicants for employment at all levels for evidence of past wrongdoing, especially that within the organization's industry. Furthermore, it may inquire as to past criminal convictions, and professionals may be asked about any history of discipline by licensing boards. Care should be taken, however, to ensure that the organization does not infringe upon employees' and applicants' privacy rights under applicable laws. Many jurisdictions have laws limiting the amount of information an organization may obtain in performing background checks on employees.
 - Answer (D) is incorrect. Performing checks on an employee's or applicant's credit report, no matter how noble the reason, infringes upon their privacy rights, under applicable laws. Thus, such an act is considered illegal and the organization can be held liable.

[187] Gleim #: 3.3.45 -- Source: Publisher

An ombudsperson is **most** effective when (s)he

- I. Is located on-site.
- II. Reports to the chief compliance officer or the board.
- III. Is located off-site.
- IV. Reports to no one, thus protecting a whistle-blower's identity.

- A. II only.
- B. I and II only.
- C. I and IV only.
- D. III and IV only.

- Answer (A) is incorrect. Being located on-site also promotes an ombudsperson's effectiveness.
- Answer (B) is **correct**. Use of an ombudsperson is more effective if (s)he is on-site, reports directly to the chief compliance officer or the board, keeps the names of whistleblowers secret, provides guidance to whistleblowers, and undertakes follow-up review to ensure that retaliation has not occurred. An ombudsperson must report to someone at a high level in the organization who is empowered to initiate a change in organizational policies based on the ombudsperson's findings. Thus, reporting to no one is not an option. In addition, an ombudsperson's presence on-site promotes employee confidence.
- Answer (C) is incorrect. An ombudsperson must report to someone at a high level in the organization that can initiate a change in organization policies, based on the ombudspersons' findings.
- Answer (D) is incorrect. An ombudsperson should report to someone high-up in the organization that can initiate change based on the ombudsperson's findings, and the ombudsperson should be located on-site to promote employee confidence.

[188] Gleim #: 3.3.46 -- Source: Publisher

Employees have the **most** confidence in a hotline monitored by which of the following?

- A. An expert from the legal department, backed by a nonretaliation policy.
- B. An in-house representative, backed by a retaliation policy.
- C. An in-house representative, backed by a nonretaliation policy.
- D. An off-site attorney who can better protect attorney-client privilege.

- Answer (A) is incorrect. Employees have little confidence in hotlines answered by the legal department.
- Answer (B) is incorrect. A retaliation policy would dissuade whistleblowers from coming forth due to concern of possible backlash.
- Answer (C) is **correct**. Although an attorney monitoring the hotline is better able to protect attorney-client and work-product privileges, one study observed that employees have little confidence in hotlines answered by the legal department or by an outside service. The same study showed that employees have even less confidence in write-in reports or an off-site ombudsperson, but have the most confidence in hotlines answered by an in-house representative (or an on-site ombudsperson) and backed by a nonretaliation policy.
- Answer (D) is incorrect. Employees have little confidence in hotlines monitored by the legal department or by an outside service. Thus, they would have even less confidence in an outside attorney.

[189] Gleim #: 3.3.47 -- Source: Publisher

An internal audit plan should include a review of the organization's compliance program and its procedures, including reviews to determine all but which of the following?

- A. The effectiveness of written materials.
- B. The receipt of communications by employees.
- C. The appropriate handling of detected violations.
- D. The performance of full background checks on employees and new hires.

- Answer (A) is incorrect. This is a review that is included in an internal audit plan, with regard to the organization's compliance program and procedures.
- Answer (B) is incorrect. This is a review that is included in an internal audit plan, with regard to the organization's compliance program and procedures.
- Answer (C) is incorrect. This is a review that is included in an internal audit plan, with regard to the organization's compliance program and procedures.
- Answer (D) is **correct**. The audit plan should include a review of the compliance program and its procedures. The review should determine whether (1) written materials are effective, (2) communications have been received by employees, (3) detected violations have been appropriately handled, (4) discipline has been even-handed, (5) whistleblowers have been protected, and (6) the compliance unit has fulfilled its responsibilities. The auditors should review the compliance program to determine whether it can be improved and should solicit employee input. Moreover, organizations should screen applicants for employment at all levels and inquire as to past criminal convictions, taking care not to infringe upon employees' and applicants' privacy rights. However, a review of the performance of full background checks is not included in an audit plan as part of the review of an organization's compliance program.

[190] Gleim #: 3.3.48 -- Source: Publisher

Which of the following is an effective tool for uncovering unethical or illegal activity in an organization?

- A. The screening of applicants.
- B. The ethics interview.
- C. The background check.
- D. The ethics questionnaire.

- Answer (A) is incorrect. Screening applicants for employment is a way to detect past criminal activity and wrongdoing. Thus, it is of no use in uncovering unethical or currently ongoing illegal activity.
- Answer (B) is incorrect. An ethics interview may cause discomfort to an employee, and an employee may not believe that the interview is protected by privilege or as confidential as an ethics questionnaire.
- Answer (C) is incorrect. The background check is a way to detect past wrongdoing, not ongoing unethical or illegal activities.
- Answer (D) is **correct**. An effective tool for uncovering unethical or illegal activity is the ethics questionnaire. Each employee of the organization should receive a questionnaire that asks whether the employee is aware of kickbacks, bribes, or other wrong-doing.

[191] Gleim #: 3.3.49 -- Source: Publisher

Which of the following are forms of punishment for those who violate an organization's code of conduct?

- I. A warning
 - II. Loss of pay
 - III. Suspension
 - IV. Termination
- A. I and II only.
 - B. I, III, and IV only.
 - C. I, II, and III only.
 - D. I, II, III, and IV.

- Answer (A) is incorrect. All of the choices are ways in which an organization can punish a code of conduct violator.
- Answer (B) is incorrect. All of the choices are ways in which an organization can punish a code of conduct violator.
- Answer (C) is incorrect. All of the choices are ways in which an organization can punish a code of conduct violator.
- Answer (D) is **correct**. Those who violate the code of conduct should receive punishment appropriate to the offense, such as warning, loss of pay, suspension, transfer, or termination. Thus, if an employee is found to have committed some illegal act, the organization might have to terminate that employee. This action is consistent with the organization's obligation to use due care not to delegate substantial discretionary authority to individuals whom the organization knew, or should have known through the exercise of due diligence, had a tendency to commit crimes.

[192] Gleim #: 3.3.50 -- Source: Publisher

Termination or other discipline of employees may be limited by all of the following **except**

- A. Whistleblower laws.
 - B. Employer responsibilities with regard to employer good faith doctrines.
 - C. Union contracts.
 - D. Exceptions to the employee-at-will doctrine.
-
- Answer (A) is incorrect. This is a way in which the termination or other discipline of employees may be limited.
 - Answer (B) is **correct**. Termination or other discipline of employees may be limited by (1) whistleblower laws, (2) exceptions to the employee-at-will doctrine, (3) employee or union contracts, and (4) employer responsibilities with regard to discrimination, wrongful discharge, and employer good faith doctrines. The employee-at-will doctrine allows an employer to terminate employment for any reason and without justification. Exceptions may arise from, for example, union contracts. Under some laws, however, employers must act in good faith.
 - Answer (C) is incorrect. This is a way in which the termination or other discipline of employees may be limited.
 - Answer (D) is incorrect. This is a way in which the termination or other discipline of employees may be limited.

[193] Gleim #: 3.3.51 -- Source: Publisher

An organization with an effective regulatory compliance program displays which of the following characteristics?

- A. It punishes unethical or illegal activity based on seniority.
 - B. It disciplines those who knew of the misconduct and did not report it, but not those who should have known but did not know.
 - C. After an offense is detected, the organization takes the necessary steps, short of modifying its program, to prevent further similar offenses.
 - D. It thoroughly documents employee discipline.
-
- Answer (A) is incorrect. Discipline under the program must be fair. The program has slight chance of succeeding if unethical or illegal activity goes unpunished, especially if tied to the activities of senior management or big producers. Ignored wrongdoing by such persons will encourage wrongful behavior in the rest of the workforce.
 - Answer (B) is incorrect. The program should provide for the discipline of managers and other responsible persons who knew or should have known of misconduct and did not report it.
 - Answer (C) is incorrect. After an offense has been detected, the organization should take all reasonable steps to respond appropriately and prevent further similar offenses. Any necessary modifications to its program to prevent and detect violations of law should be made.
 - Answer (D) is **correct**. Organizations should be thorough in documenting employee discipline. The organization should be able to prove that it made its best efforts to collect information with regard to any incident and took appropriate action based upon the information available.

[194] Gleim #: 3.3.52 -- Source: Publisher

Which of the following is true regarding appropriate responses to an offense detected by an organization's compliance program?

- I. Disciplinary action taken against those engaged in misconduct is an appropriate response.
 - II. Self-reporting the violation to the government is an appropriate response.
 - III. Acceptance of responsibility for the violation is an appropriate response.
 - IV. An appropriate response can lower the amount of an organization's court fines.
-
- A. I and II only.
 - B. I and III only.
 - C. I, II, and III only.
 - D. I, II, III, and IV.

- Answer (A) is incorrect. They are all true statements regarding appropriate responses to an offense detected by an organization's compliance program.
- Answer (B) is incorrect. They are all true statements regarding appropriate responses to an offense detected by an organization's compliance program.
- Answer (C) is incorrect. They are all true statements regarding appropriate responses to an offense detected by an organization's compliance program.
- Answer (D) is **correct**. An organization should respond appropriately to each offense detected by the compliance program. Appropriate responses include disciplinary action taken with regard to those who engaged in misconduct. In some circumstances, an appropriate response could require self-reporting the violation to the government, cooperation with governmental investigations, and the acceptance of responsibility for the violation. Making these responses could result in a court's reduction of the amount of the organization's fine. A similar result may follow when the compliance program is effective.

[195] Gleim #: 3.3.53 -- Source: Publisher, 2009

What is the role of a chief audit executive (CAE) with regard to an inspection by a regulator?

- A. Meet with the regulator before and after the inspection to provide relevant information or receive advice on necessary compliance.
 - B. Meet with the regulator after the inspection to dispute any negative findings about compliance.
 - C. Tour the facility with the regulator to ensure that no problems are uncovered.
 - D. Meet with specific managers to protect proprietary information.
- Answer (A) is **correct**. The IAA must evaluate, among other things, operational risk exposures and related controls regarding compliance with laws and regulations (Standards 2120.A1 and 2130.A1). Thus, the CAE has an interest in gathering information for compliance audits and in determining whether the organizational response has been appropriate. Moreover, cooperation is part of an appropriate response. The CAE should not attempt to mislead or influence the regulator in any way. To make the process easier for all parties involved, however, the CAE may provide any relevant information before the inspection. Afterwards, the CAE may confer with the regulator to discuss compliance issues.
 - Answer (B) is incorrect. The CAE is not qualified to dispute regulatory findings.
 - Answer (C) is incorrect. The CAE should not be present during the process.
 - Answer (D) is incorrect. Meeting with managers or other organization personnel to mislead the regulator is most likely illegal.

[196] Gleim #: 3.3.54 -- Source: CIA 04 Model Exam I-33

Using the internal audit department to coordinate regulatory examiners' efforts is beneficial to the organization because internal auditors can:

- A. Influence the regulatory examiners' interpretation of law to match corporate practice.
 - B. Recommend changes in scope to limit bias by the regulatory examiners.
 - C. Perform fieldwork for the regulatory examiners and thus reduce the amount of time regulatory examiners are on-site.
 - D. Supply evidence of adequate compliance testing through internal audit workpapers and reports.
- Answer (A) is incorrect. Internal auditors should not attempt to influence regulators' interpretations of law.
 - Answer (B) is incorrect. Internal auditors should not attempt to influence the scope of work of the regulatory examiners. This action is a violation of The IIA Code of Ethics.
 - Answer (C) is incorrect. The regulatory examiners should perform their own work. Performing work for the regulatory examiners to reduce the amount of time they are on-site could be construed as suspicious behavior on the part of the internal audit department.
 - Answer (D) is **correct**. Internal auditors assess compliance in specific areas as part of their role in organizational governance. They also conduct follow-up and report on management's response to regulatory body reviews. Because of these duties, internal auditors have immediate access to working papers and reports, which can supply evidence of compliance testing to external parties.

[197] Gleim #: 3.3.55 -- Source: CIA 04 Model Exam I-39

If the annual audit plan does not allow for adequate review of compliance with all material regulations affecting the company, the internal audit activity should:

- A. Ensure that the board of directors and senior management are aware of the limitation.
- B. Include a memo with the audit planning file listing the reasons for the lack of coverage.
- C. Document that regulations not included will be reviewed in the subsequent year.
- D. Decrease the scope of operational and financial audits to make additional audit time available.

- Answer (A) is **correct**. The internal audit activity evaluates and contributes to the improvement of risk management, control, and governance processes by using a systematic and defined approach (Standard 2100). Thus, they should assess compliance in specific areas as part of their role in organizational governance. If the annual audit plan does not allow for adequate review of compliance, senior management and the board of directors should be informed of the implications of gaps in audit coverage, including the review of compliance with applicable laws and regulations.
- Answer (B) is incorrect. The knowledge of incomplete audit coverage should not be limited to the internal audit activity.
- Answer (C) is incorrect. Compliance with material regulations may need to be reviewed at least on an annual basis.
- Answer (D) is incorrect. Audit coverage in other areas should not be automatically reduced. The internal audit activity may require additional resources to provide adequate coverage of risks.

[198] Gleim #: 3.3.56 -- Source: Publisher

Which of the following is **most** likely to be an element of an effective regulatory compliance program?

- A. The internal audit activity should be assigned overall responsibility for overseeing the program.
- B. The program is communicated to employees in a video format on a one-time basis.
- C. The organization should use monitoring and auditing systems reasonably designed to detect criminal conduct.
- D. The organization should obtain as much information as possible when performing background checks on employees.

- Answer (A) is incorrect. Specific individual(s) within high-level personnel of the organization should be assigned overall responsibility to oversee regulatory compliance with standards and procedures. High-level personnel of the organization means individuals who have substantial control of the organization or who have a substantial role in the making of policy within the organization.
- Answer (B) is incorrect. The effectiveness of a compliance program will depend upon the ways in which it is communicated to employees. Generally, an interactive format works better than a lecture. Programs communicated in person tend to work better than programs communicated entirely through video or game formats. Programs that are periodically repeated work better than one-time presentations.
- Answer (C) is **correct**. Monitoring and auditing systems for detecting illegal or unethical behavior and employee hotline reporting systems should be used. The best prevention is to coordinate multiple monitoring and auditing systems as opposed to relying on one system or on an independently functioning system(s).
- Answer (D) is incorrect. The organization should use due care not to delegate substantial discretionary authority to individuals the organization knows, or should know through the exercise of due diligence, have a propensity to engage in illegal activities. However, care should be taken to ensure that the organization does not infringe upon employees' and applicants' privacy rights under applicable laws.

[199] Gleim #: 4.1.1 -- Source: Publisher

In the risk management process, management's view of the internal audit activity's role is likely to be determined by all of the following factors **except**

- A. Organizational culture.
- B. Preferences of the independent auditor.
- C. Ability of the internal audit staff.
- D. Local conditions and customs of the country.

- Answer (A) is incorrect. Organizational culture is a factor that influences management's view of the role of internal auditing.
- Answer (B) is **correct**. It is the role of senior management and the board to determine the role of internal auditing in the risk management process. Management's view of that role is likely to be determined by factors such as the culture of the organization, ability of the internal audit staff, and local conditions and customs (PA 2120-1).
- Answer (C) is incorrect. The ability of the internal audit staff is a factor that influences management's view of the role of internal auditing.
- Answer (D) is incorrect. Local conditions and customs of the country influence management's view of the role of internal auditing.

[200] Gleim #: 4.1.2 -- Source: Publisher

Which of the following threatens the independence of an internal auditor who had participated in the initial establishment of a risk management process?

- A. Developing assessments and reports on the risk management process.
 - B. Managing the identified risks.
 - C. Evaluating the adequacy and effectiveness of management's risk processes.
 - D. Recommending controls to address the risks identified.
-
- Answer (A) is incorrect. Developing assessments and reports on the organization's risk management processes is not only an internal audit role but normally also a high audit priority.
 - Answer (B) is **correct**. Ultimately, it is the role of senior management and the board to determine the role of internal auditing in the risk management process. Their view on internal auditing's role is likely to be determined by factors such as the culture of the organization, ability of the internal audit staff, and local conditions and customs of the country. However, taking on management's responsibility regarding the risk management process and the potential threat to the internal audit activity's independence requires a full discussion and board approval (PA 2120-1).
 - Answer (C) is incorrect. Internal auditors assist both management and the board by examining, evaluating, reporting, and recommending improvements on the adequacy and effectiveness of risk management processes.
 - Answer (D) is incorrect. Internal auditors may recommend controls.

[201] Gleim #: 4.1.3 -- Source: Publisher

Which of the following may be assessed by the internal auditor to determine the effectiveness of the risk management process?

- I. Significant risks
 - II. Ongoing monitoring activities
 - III. Previous risk evaluation reports by management, internal auditors, external auditors, and any other sources
-
- A. I and II only.
 - B. I and III only.
 - C. II and III only.
 - D. I, II, and III.

- Answer (A) is **correct**. Determining whether risk management processes are effective is a judgment resulting from the internal auditor's assessment that (1) organizational objectives support and align with the organization's mission; (2) significant risks are identified and assessed; (3) appropriate risk responses are selected that align risks with the organization's risk appetite; and (4) relevant risk information is captured and communicated in a timely manner across the organization, enabling staff, management, and the board to carry out their responsibilities. Risk management processes are monitored through ongoing management activities, separate evaluations, or both (Interpretation of Standard 2120).
- Answer (B) is incorrect. Review of previous risk evaluation reports by management, internal auditors, external auditors, and any other sources is an audit procedure, a means of obtaining evidence for an assessment. Moreover, internal auditors assess ongoing monitoring activities.
- Answer (C) is incorrect. Review of previous risk evaluation reports by management, internal auditors, external auditors, and any other sources is an audit procedure, and internal auditors assess significant risks.
- Answer (D) is incorrect. Review of previous risk evaluation reports by management, internal auditors, external auditors, and any other sources is an audit procedure.

[202] Gleim #: 4.1.4 -- Source: Publisher

Business continuity management provides for all but which of the following?

- A. Segregation of duties.
- B. Alternative work spaces.
- C. Business impact analysis.
- D. Alternative sourcing.

- Answer (A) is **correct**. As part of an entity's business recovery and continuity strategy, it plans for alternative staffing, sourcing, and work spaces as well as for the return to normal operations. Segregation of duties, however, is a category of controls.
- Answer (B) is incorrect. BCM provides for alternative work spaces.
- Answer (C) is incorrect. BCM provides for business impact analysis.
- Answer (D) is incorrect. BCM provides for alternative sourcing.

[203] Gleim #: 4.1.5 -- Source: Publisher

Which component of an emergency management program of a business normally has the longest time frame?

- A. Emergency response.
- B. Crisis management.
- C. Continuity management.
- D. Communications management.

- Answer (A) is incorrect. The time frame of emergency response is measured in hours if not minutes.
- Answer (B) is incorrect. The time frame of crisis management is typically measured in hours or days.
- Answer (C) is **correct**. The objective of BCM is to restore critical processes and to minimize the financial effects of a disaster or business disruption. Its time frame is measured in hours and days if not weeks.
- Answer (D) is incorrect. Communicating with stakeholders (including the public) about a crisis and the steps for restoring business processes is the focus of crisis management.

[204] Gleim #: 4.1.6 -- Source: Publisher

The board's expectations of the internal audit activity regarding the risk management process is

- A. Noted in the work programs for formal consulting engagements.
- B. Included in the business continuity plan.
- C. Codified in the charters of the internal audit activity and the board.
- D. Reviewed by the internal auditors immediately following a disaster.

- Answer (A) is incorrect. A work program is a listing of specific procedures.
- Answer (B) is incorrect. Business continuity planning is just one element of risk management.
- Answer (C) is **correct**. The chief audit executive (CAE) obtains an understanding of management's and the board's expectations of the internal audit activity in the organization's risk management process. This understanding is codified in the charters of the internal audit activity and the board (PA 2120-1).
- Answer (D) is incorrect. The IAA's role needs to be understood before a crisis.

[205] Gleim #: 4.1.7 -- Source: Publisher

Risk management processes most likely are **not**

- A. Quantitative or subjective.
- B. Embedded in business units or centralized.
- C. Formalized even in small organizations.
- D. Formal or informal.

- Answer (A) is incorrect. Risk management processes may be quantitative or subjective, embedded in business units or centralized, or formal or informal.
- Answer (B) is incorrect. Risk management processes may be quantitative or subjective, embedded in business units or centralized, or formal or informal.
- Answer (C) is **correct**. Risk management processes are designed based on the organization's culture, management style, and business objectives. Depending on the size and complexity of the organization's business activities, risk management processes may be formal or informal, quantitative or subjective, or embedded in the business units or centralized at a corporate level. For example, smaller, less complex organizations may use an informal risk committee (PA 2120-1).
- Answer (D) is incorrect. Risk management processes may be quantitative or subjective, embedded in business units or centralized, or formal or informal.

[206] Gleim #: 4.1.8 -- Source: Publisher

In forming an opinion on the adequacy of risk management processes, an internal auditor might consider

- I. Interviewing line and senior management.
- II. Reviewing previous risk evaluation reports.
- III. Reviewing corporate policies.
- IV. Assessing the appropriateness of reporting lines for risk monitoring activities.

- A. I and III only.
- B. II and IV only.
- C. III only.
- D. I, II, III, and IV.

- Answer (A) is incorrect. II and IV also are true.
- Answer (B) is incorrect. I and III also are true.
- Answer (C) is incorrect. I, II, and IV also are true.
- Answer (D) is **correct**. Internal auditors need to obtain sufficient, appropriate evidence to determine that the key objectives of the risk management processes are being met. One engagement procedure is interviewing line and senior management to determine business unit objectives, related risks, and management's risk mitigation and control monitoring activities. Another procedure is reviewing previous risk evaluation reports by management, internal auditors, external auditors, and any other sources. A third procedure is reviewing corporate policies and minutes of board meetings. This procedure helps to determine the organization's business strategies, risk management philosophy and methodology, appetite for risk, and acceptance of risks. A fourth procedure is assessing the appropriateness of reporting lines for risk monitoring activities (PA 2120-1).

[207] Gleim #: 4.1.9 -- Source: Publisher

Which element of business continuity management requires definition of the recovery point objective (RPO)?

- A. Risk assessment and mitigation.
- B. Business recovery and continuity strategy.
- C. Management support.
- D. Business impact analysis.

- Answer (A) is incorrect. During the risk assessment and mitigation process, the entity (1) defines disruptive (credible) events, (2) assesses their effects, and (3) develops mitigation strategies.
- Answer (B) is incorrect. As part of its business recovery and continuity strategy, the entity plans for (1) alternative staffing, sourcing, and work spaces and (2) the return to normal operations.
- Answer (C) is incorrect. Management support is support for properly preparing, maintaining, and practicing a business continuity plan by assigning adequate resources, people, and funds.
- Answer (D) is **correct**. BIA identifies processes integral to functioning in a disaster and determines how soon they should be recovered. Thus, the entity (1) identifies critical processes, (2) defines the recovery time objective (RTO) and the RPO for processes and resources, and (3) identifies the other parties and physical resources needed for recovery. The RTO is the duration of time and service level within which a process must be restored. The RPO is the amount of data the entity can afford to lose.

[208] Gleim #: 4.1.10 -- Source: Publisher

In enterprise-wide risk management (ERM), the internal audit activity's core assurance roles include

- A. Coordinating ERM.
- B. Evaluating the reporting of key risks.
- C. Championing establishment of ERM.
- D. Implementing risk responses.

- Answer (A) is incorrect. Coordinating ERM is a legitimate consulting role.
- Answer (B) is **correct**. Core assurance roles include (1) giving assurance on risk management processes, (2) giving assurance that risks are correctly evaluated, (3) evaluating risk management processes, (4) evaluating the reporting of key risks, and (5) reviewing the management of key risks.
- Answer (C) is incorrect. Championing establishment of ERM is a legitimate consulting role.
- Answer (D) is incorrect. Implementing risk responses is a role the IAA should not undertake. It is a management function.

[209] Gleim #: 4.1.11 -- Source: Publisher

In enterprise-wide risk management (ERM), the role the internal audit activity is **least** likely to undertake is

- A. Reviewing the management of key risks.
- B. Facilitating the identification of risks.
- C. Serving as chief risk officer.
- D. Developing the risk management strategy.

- Answer (A) is incorrect. Reviewing the management of key risks is a core assurance role of the IAA in ERM.
- Answer (B) is incorrect. Facilitating the identification of risks is a legitimate consulting role of the IAA in ERM.
- Answer (C) is **correct**. Roles the IAA should not undertake include (1) setting the risk appetite, (2) imposing risk management processes, (3) managing assurance on risks, (4) making decisions on risk responses, (5) implementing risk responses on management's behalf, and (6) serving as the CRO or otherwise being accountable for risk management.
- Answer (D) is incorrect. Developing the risk management strategy for board approval is a legitimate consulting role of the IAA in ERM.

[210] Gleim #: 4.1.12 -- Source: Publisher

The role of internal auditing in enterprise-wide risk management (ERM) **most** likely includes

- A. Providing consulting services when the organization's risk maturity is low.
- B. Determining the risk appetite.
- C. Operating the risk management framework.
- D. Making decisions on risk responses.

- Answer (A) is **correct**. The IAA may provide consulting services, depending on the availability of other resources and the organization's risk maturity (the extent to which a robust risk management approach has been applied). As risk maturity increases, or if the organization has a risk management function or specialist, the IAA's consulting role tends to diminish.
- Answer (B) is incorrect. Determining the risk appetite is a management and board function.
- Answer (C) is incorrect. Operating the risk management framework is in practice a management function.
- Answer (D) is incorrect. Making decisions on risk responses is a management function.

[211] Gleim #: 4.1.13 -- Source: Publisher

When internal auditors perform a consulting engagement, what is the **best** statement of their responsibility regarding risk?

- A. Be alert to the existence of significant risks.
- B. Consider only the risk consistent with engagement objectives.
- C. Address risk consistent with engagement objectives and be alert to certain other risks.
- D. None of the answers are correct.

- Answer (A) is incorrect. Internal auditors also must address risk consistent with engagement objectives.
- Answer (B) is incorrect. Internal auditors also must be alert to the existence of other significant risks.
- Answer (C) is **correct**. During consulting engagements, internal auditors must address risk consistent with the engagement's objectives and be alert to the existence of other significant risks (PA 2120.C1). Moreover, internal auditors must incorporate knowledge of risks gained from consulting engagements into their evaluation of the organization's risk management processes (PA 2120.C2).
- Answer (D) is incorrect. During consulting engagements, internal auditors must address risk consistent with the engagement's objectives and should be alert to the existence of other significant risks. (PA 2120.C1)

[212] Gleim #: 4.1.14 -- Source: CIA 04 Model Exam I-28

When assessing the risk associated with an activity, an internal auditor should

- A. Determine how the risk should best be managed.
- B. Provide assurance on the management of the risk.
- C. Update the risk management process based on risk exposures.
- D. Design controls to mitigate the identified risks.

- Answer (A) is incorrect. Risk management is a key responsibility of senior management and the board (PA 2120-1), not the internal auditor.
- Answer (B) is **correct**. The internal audit activity must evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach (Standard 2100). Assurance services involve the internal auditor's objective assessment of management's risk management activities and the degree to which they are effective.
- Answer (C) is incorrect. Designing and updating the risk management process is a role of management.
- Answer (D) is incorrect. Designing controls impairs the objectivity of an internal auditor (PA 1120-1).

[213] Gleim #: 4.1.15 -- Source: Publisher

Risk management is

- A. A fundamental element of the definition of internal auditing.
- B. An element of the control environment.
- C. Unrelated to internal control.
- D. Synonymous with governance.

- Answer (A) is **correct**. Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes (Definition of Internal Auditing).
- Answer (B) is incorrect. The control environment includes the following elements:
 - Integrity and ethical values
 - Management's philosophy and operating style
 - Organizational structure
 - Assignment of authority and responsibility
 - Human resource policies and practices
 - Competence of personnel
- Answer (C) is incorrect. Control is "any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved" (Glossary).
- Answer (D) is incorrect. Governance is the "combination of processes and structures implemented by the board in order to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives" (Glossary).

[214] Gleim #: 4.1.16 -- Source: Publisher

Which of the following is the **most** accurate term for a process to identify, assess, manage, and control potential events or situations to provide reasonable assurance regarding the achievement of the organization's objectives?

- A. The internal audit activity.
- B. Control process.
- C. Risk management.
- D. Consulting service.

- Answer (A) is incorrect. The internal audit activity is "a department, division, team of consultants, or other practitioner(s) that provides independent, objective assurance and consulting services designed to add value and improve an organization's operations. The internal audit activity helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of governance, risk management, and control processes" (Glossary).
- Answer (B) is incorrect. Control processes are "the policies, procedures, and activities that are part of a control framework designed to ensure that risks are contained within the risk tolerances established by the risk management process" (Glossary).
- Answer (C) is **correct**. Risk management is "a process to identify, assess, manage, and control potential events or situations to provide reasonable assurance regarding the achievement of the organization's objectives" (Glossary). Accordingly, the internal audit activity evaluates and contributes to the improvement of risk management, control, and governance processes using a systematic and disciplined approach.
- Answer (D) is incorrect. Consulting services are "advisory and related client service activities, the nature and scope of which are agreed with the client, and are intended to add value and improve an organization's governance, risk management, and control processes without the internal auditor assuming of management responsibility" (Glossary).

[215] Gleim #: 4.1.17 -- Source: Publisher

With respect to business interruptions, what is the **most** crucial element of business recovery?

- A. Information systems backup.
- B. Alternative communication systems and site facilities.
- C. Business impact assessments and resumption plans.
- D. Disaster recovery plan.

- Answer (A) is incorrect. Information systems backup should be included in the disaster recovery plan, which is the most crucial element of business recovery.
- Answer (B) is incorrect. Alternative communication systems and site facilities should be included in the disaster recovery plan, which is the most crucial element of business recovery.
- Answer (C) is incorrect. Business impact assessments and resumption plans should be included in the disaster recovery plan, which is the most crucial element of business recovery.
- Answer (D) is **correct**. A crucial element of business recovery is the existence of a comprehensive and current disaster recovery plan. A comprehensive plan would provide for emergency response procedures, alternative communication systems and site facilities, information systems backup, disaster recovery, business impact assessments and resumption plans, procedures for restoring utility services, and maintenance procedures for ensuring the readiness of the organization in the event of an emergency or disaster.

[216] Gleim #: 4.1.18 -- Source: Publisher

The audit objective when auditing an organization's business continuity and disaster recovery plan is to

- I. Verify that the plan is adequate to ensure the timely resumption of operations and processes after adverse circumstances.
- II. Verify it is structured to incorporate important changes that could take place over time.
- III. Verify that it reflects the current business operating environment.

- A. I and II.
- B. I and III.
- C. II and III.
- D. I, II, and III.

- Answer (A) is incorrect. The audit objective when auditing an organization's disaster recovery and business continuity plan includes verifying that the plan is adequate to ensure the timely resumption of operations and processes after adverse circumstances.
- Answer (B) is incorrect. The audit objective when auditing an organization's disaster recovery and business continuity plan includes verifying that it is structured to incorporate important changes that could take place over time.
- Answer (C) is incorrect. The audit objective when auditing an organization's disaster recovery and business continuity plan includes verifying that the plan is adequate to ensure the timely resumption of operations and processes after adverse circumstances.
- Answer (D) is **correct**. Internal auditors should periodically audit the organization's business continuity and disaster recovery plan. The audit objective is to verify that the plan is adequate to ensure the timely resumption of operations and processes after adverse circumstances, and that it reflects the current business operating environment. Furthermore, the internal audit activity should examine the recovery plan to determine whether (1) it is structured to incorporate important changes that could take place over time, and (2) the revised plan will be communicated to the appropriate people inside and outside the organization.

[217] Gleim #: 4.1.19 -- Source: CIA 04 Model Exam I-45

Which of the following represents the **best** statement of responsibilities for risk management?

<u>Operating Management</u>	<u>Internal Auditing</u>	<u>Senior Management</u>
A. Responsibility for risk	Oversight role	Advisory role
B. Oversight role	Responsibility for risk	Advisory role
C. Responsibility for risk	Advisory role	Oversight role
D. Oversight role	Advisory role	Responsibility for risk

- Answer (A) is incorrect. Internal auditors are generally involved in the assurance and advisory role.
- Answer (B) is incorrect. Operating management performs the implementation role in risk management, and senior management and the board have an oversight role.
- Answer (C) is **correct**. Risk management is a key responsibility of management. To achieve its business objectives, management should ensure that sound risk management processes are in place and functioning. Boards have an oversight role to determine that appropriate risk management processes are in place and that these processes are adequate and effective. Internal auditors should assist both management and the audit committee by examining, evaluating, reporting, and recommending improvements on the adequacy and effectiveness of management's risk processes. Management and the board are responsible for their organization's risk management and control processes. However, internal auditors acting in a consulting role can assist the organization in identifying, evaluating, and implementing risk management methodologies and controls to address those risks (PA 2120-1).
- Answer (D) is incorrect. Operating management is responsible for risk management, not oversight.

[218] Gleim #: 4.1.20 -- Source: CIA 04 Model Exam I-48

Which of the following is **not** a role of the internal audit activity in best practice governance activities?

- A. Support the board in enterprise-wide risk assessment.
- B. Ensure the timely implementation of audit recommendations.
- C. Monitor compliance with the corporate code of conduct.
- D. Discuss areas of significant risks.

- Answer (A) is incorrect. One internal audit activity role is to support the board in enterprise-wide risk assessment. The board and management are responsible for the identification of an appropriate risk model and methodology.
- Answer (B) is **correct**. Management has the responsibility of ensuring the timely implementation of the audit recommendations. The internal audit activity is responsible for the development of a timely procedure to monitor the disposition of the audit recommendations. The internal audit activity works with senior management and the board to ensure that audit recommendations receive appropriate attention.
- Answer (C) is incorrect. The internal audit activity should monitor compliance with the corporate code of conduct set by the board and management.
- Answer (D) is incorrect. The internal audit activity is responsible for discussing significant financial, technical, and operational risks and exposures as well as the plans to minimize such risks.

[219] Gleim #: 4.1.21 -- Source: CIA 04 Model Exam I-53

The primary reason that a bank would maintain a separate compliance function is to:

- A. Better manage perceived high risks.
- B. Strengthen controls over the bank's investments.
- C. Ensure the independence of line and senior management.
- D. Better respond to shareholder expectations.

- Answer (A) is **correct**. The risk management process identifies, assesses, manages, and controls potential risk exposures. Organizations such as brokers, banks, and insurance companies may view risks as sufficiently critical to warrant continuous oversight and monitoring.
- Answer (B) is incorrect. A separate compliance function may help strengthen controls, but this is not its primary purpose.
- Answer (C) is incorrect. Risk management is the direct responsibility of management.
- Answer (D) is incorrect. A separate compliance function will help respond to shareholder needs, but this is not its primary purpose.

[220] Gleim #: 4.1.22 -- Source: CIA 04 Model Exam I-64

Many organizations use electronic funds transfer to pay their suppliers instead of issuing checks. Regarding the risks associated with issuing checks, which of the following risk management techniques does this represent?

- A. Controlling.
- B. Accepting.
- C. Transferring.
- D. Avoiding.

- Answer (A) is incorrect. Eliminating checks does not represent an ongoing control.
- Answer (B) is incorrect. Eliminating checks avoids instead of accepts the associated risk.
- Answer (C) is incorrect. Risk is not transferred to anyone else. It is eliminated.
- Answer (D) is **correct**. Risk responses may include avoidance, acceptance, sharing, and reduction. By eliminating checks, the organization avoids all risk associated with them.

[221] Gleim #: 4.1.23 -- Source: CIA 04 Model Exam I-65

Which of the following goals sets risk management strategies at the optimum level?

- A. Minimize costs.
- B. Maximize market share.
- C. Minimize losses.
- D. Maximize shareholder value.

- Answer (A) is incorrect. Minimizing costs is not a comprehensive approach.
- Answer (B) is incorrect. Maximizing market share is not a comprehensive approach.
- Answer (C) is incorrect. Minimizing losses is not a comprehensive approach.
- Answer (D) is **correct**. The risk management processes chosen depend on the organization's culture, management style, and business objectives. These choices should optimize stakeholder (for example, shareholder) value by coping effectively with uncertainty, risks, and opportunities. Thus, maximizing shareholder value is a comprehensive approach that relates to risk management strategies across the enterprise.

[222] Gleim #: 4.1.24 -- Source: CIA 04 Model Exam I-84

An internal auditor plans to conduct an audit of the adequacy of controls over investments in new financial instruments. Which of the following would **not** be required as part of such an engagement?

- A. Determine if policies exist which describe the risks the treasurer may take and the types of instruments in which the treasurer may make investments.
- B. Determine the extent of management oversight over investments in sophisticated instruments.
- C. Determine whether the treasurer is getting higher or lower rates of return on investments than are treasurers in comparable organizations.
- D. Determine the nature of controls established by the treasurer to monitor the risks in the investments.

- Answer (A) is incorrect. The first step of such an engagement should be to determine the nature of policies established to manage the risks associated with the investments. New financial instruments are very risky.
- Answer (B) is incorrect. Oversight by a management committee is an important control. Thus, the auditor should determine the nature of the risk management process established to monitor and authorize such investments. The specific process used by an organization must fit that organization's culture, management style, and business objectives. For example, the organization's use of derivatives or other sophisticated products available in capital markets requires the use of quantitative risk management tools (PA 2120-1).
- Answer (C) is **correct**. For this particular engagement, the auditor does not need to develop a comparison of investment returns with those of other organizations. In fact, some financial investment scandals show that such comparisons can be highly misleading because high returns were due to taking on a high level of risk. Also, this determination does not test the adequacy of the controls.
- Answer (D) is incorrect. A fundamental control concept over cash-like assets is the treasurer's establishment of a mechanism to monitor the risks.

[223] Gleim #: 4.1.25 -- Source: CIA 596 III-22

When the executive management of an organization decided to form a team to investigate the adoption of an activity-based costing (ABC) system, an internal auditor was assigned to the team. The **best** reason for including an internal auditor is the internal auditor's knowledge of

- A. Activities and cost drivers.
- B. Information processing procedures.
- C. Current product cost structures.
- D. Risk management processes.

- Answer (A) is incorrect. An engineer has more knowledge about activities and cost drivers.
- Answer (B) is incorrect. An information systems expert has more knowledge about information needs and information processing procedures.
- Answer (C) is incorrect. A management accountant has more knowledge about a company's current product cost.
- Answer (D) is **correct**. The IAA's scope of work extends to evaluating the organization's risk management processes. The IAA should assist the organization by identifying and evaluating significant exposures to risk and contributing to the improvement of risk management and control systems.

[224] Gleim #: 4.1.26 -- Source: Publisher

Risk management is the responsibility of management. The role of the internal audit activity in the risk management process may include which of the following?

- I. Monitoring activities.
 - II. Evaluating the risk management process as part of the engagement plan.
 - III. Participation on oversight committees, monitoring of activities, and status reporting.
 - IV. Managing and coordinating the process.
- A. I only.
 - B. II only.
 - C. I, II, and III only.
 - D. I, II, III, and IV.

- Answer (A) is incorrect. The IAA's role in the risk management process may extend on a continuum from no role to managing and coordinating the process.
- Answer (B) is incorrect. The IAA's role in the risk management process may extend on a continuum from no role to managing and coordinating the process.
- Answer (C) is incorrect. The IAA's role in the risk management process may extend on a continuum from no role to managing and coordinating the process.
- Answer (D) is **correct**. The IAA must evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach (Standard 2100). The specific role of the IAA in the risk management process depends on management's and the board's expectations of the IAA. The IAA's understanding of these expectations should be codified in the charters of the IAA and the audit committee. Accordingly, this role may evolve over time and may include responsibilities along a continuum that extends from no role to evaluating the risk management process as part of the engagement plan; to active, continuous support and involvement in the risk management process through participation on oversight committees, monitoring activities, status reporting, etc.; to managing and coordinating the process.

[225] Gleim #: 4.1.27 -- Source: Publisher

If management has not established a risk management process for the organization, the internal auditors should suggest establishment of such a process. The function that the internal auditors preferably should perform in the initial establishment of a risk management process is

- A. A proactive role that supplements traditional assurance activities.
 - B. Assumption of ownership of risks.
 - C. Responsibility for the management of the risks identified.
 - D. An oversight role to determine that adequate and effective processes are in place.
- Answer (A) is **correct**. If requested, internal auditors can play a proactive role in assisting with the initial establishment of a risk management process for the organization. A more proactive role supplements traditional assurance activities with a consultative approach to improving fundamental processes. If such assistance exceeds normal assurance and consulting activities conducted by internal auditors, independence could be impaired. In these situations, internal auditors should comply with the disclosure requirements of the *Standards*.
 - Answer (B) is incorrect. A proactive role in developing and managing a risk management process is not the same as an "ownership of risks" role.
 - Answer (C) is incorrect. Internal auditors can facilitate or enable risk management processes, but they should not "own" or be responsible for the management of the risks identified.
 - Answer (D) is incorrect. Boards and audit committees have an oversight role to determine that adequate and effective processes are in place.

[226] Gleim #: 4.1.28 -- Source: Publisher

The internal audit activity must evaluate the effectiveness and contribute to the improvement of risk management processes (Standard 2120). With respect to assessing the adequacy of risk management processes, internal auditors most likely should

- A. Recognize that organizations should use similar techniques for managing risk.
- B. Become satisfied that the key objectives of risk management processes are being met.
- C. Determine the level of risks acceptable to the organization.
- D. Treat the evaluation of risk management processes in the same manner as the risk analysis used to plan engagements.

- Answer (A) is incorrect. Risk management processes vary with the size and complexity of an organization's business activities.
- Answer (B) is **correct**. The internal auditors may be charged with the responsibility for providing assurance to management and the board about the adequacy of the organization's risk management processes. This responsibility requires them to formulate an opinion on whether those processes are sufficient to protect the organization's assets, reputation, and ongoing operations. For this purpose, the internal auditors must obtain sufficient information to satisfy themselves that five key objectives of risk management are being met: (1) Risks are identified and prioritized; (2) management and the board have determined the level of acceptable risks; (3) risk mitigation activities are designed and implemented to reduce, or manage, risks at acceptable levels; (4) ongoing monitoring is conducted to reassess risk and the effectiveness of risk management controls periodically; and (5) the board and management receive periodic reports concerning the results of risk management processes, and the governance process periodically communicates with stakeholders about risks, risk strategies, and controls.
- Answer (C) is incorrect. Management and the board determine the level of acceptable organizational risks.
- Answer (D) is incorrect. Evaluating management's risk processes differs from the internal auditors' risk assessment used to plan an engagement, but information from a comprehensive risk management process is useful in such planning.

[227] Gleim #: 4.1.29 -- Source: CIA 1192 II-5

Internal auditors should review the means of physically safeguarding assets from losses arising from

- A. Misapplication of accounting principles.
- B. Procedures that are not cost justified.
- C. Exposure to the elements.
- D. Underusage of physical facilities.

- Answer (A) is incorrect. Misapplication of accounting principles relates to the reliability of information and not physical safeguards.
- Answer (B) is incorrect. Procedures that are not cost justified relate to efficiency, not effectiveness, of operations.
- Answer (C) is **correct**. Internal auditors should evaluate risk exposures relating to governance, operations, and information systems regarding the safeguarding of assets. For example, internal auditors evaluate risk exposure arising from theft, fire, improper or illegal activities, and exposure to the elements.
- Answer (D) is incorrect. Underusage of facilities relates to efficiency of operation.

[228] Gleim #: 4.1.30 -- Source: Publisher

If an organization has no established risk management process, internal auditors should

- A. Establish a risk management process based on industry norms.
- B. Formulate hypothetical results of possible consequences resulting from risks not being managed.
- C. Inform regulators that the organization is guilty of an infraction.
- D. Inform management and suggest corrective actions.

- Answer (A) is incorrect. Internal auditors have no authority to establish a risk management process. They must seek direction from management and the board as to their role in the process.
- Answer (B) is incorrect. Internal auditors must inform management about the lack of a risk management process and provide suggestions for establishing such a process. They are not required to perform a risk analysis of the possible consequences of not establishing a risk management process. However, such a request might be made by management.
- Answer (C) is incorrect. The internal auditor is responsible for informing management and allowing, or even assisting, them to create a process. In the absence of a specific legal requirement, internal auditors are not required to report to outside parties.
- Answer (D) is **correct**. One of the internal auditor's roles in the risk management process is to verify its existence. If no process is in place, the internal auditor should submit suggestions for establishing the process.

[229] Gleim #: 4.1.31 -- Source: CIA 591 II-2

Which of the following activities is outside the scope of internal auditing?

- A. Assessing an operating department's effectiveness in achieving stated organizational goals.
- B. Safeguarding of assets.
- C. Evaluating controls over compliance with laws and regulations.
- D. Ascertaining the extent to which objectives and goals have been established.

- Answer (A) is incorrect. Internal auditors should ascertain the extent to which results are consistent with established goals and objectives (Standard 2130.A3).
- Answer (B) is **correct**. Safeguarding assets is an operational activity and is therefore beyond the scope of the IAA, which evaluates and contributes to the improvement of risk management, control, and governance processes. However, internal auditors should evaluate risk exposures relating to governance, operations, and information systems regarding the safeguarding of assets. Based on the risk assessment, they should evaluate the adequacy and effectiveness of controls encompassing governance, operations, and information systems. This evaluation extends to safeguarding of assets.
- Answer (C) is incorrect. Evaluating controls over compliance with laws, regulations, and contracts is within the scope of internal auditing (Standard 2120.A1).
- Answer (D) is incorrect. Ascertaining the extent to which operating and program objectives and goals have been established is within the scope of internal auditing (Standard 2130.A3).

[230] Gleim #: 4.1.32 -- Source: Publisher 2009

The internal auditing's role in the risk management process of an organization can change over time and may be found at some point along a continuum. Appropriate roles include

- I. Implementing risk responses
- II. Providing assurance on the risk management process
- III. Coaching management in responding to risks
- IV. Setting the risk appetite

- A. I only.
- B. II only.
- C. II and III only.
- D. I, II, III, IV only.

- Answer (A) is incorrect. Implementing risk responses is a prohibited role.
- Answer (B) is incorrect. Coaching management in responding to risks also is a permitted role.
- Answer (C) is **correct**. According to The IIA Position Paper: *The Role of Internal Auditing in Enterprise-Wide Risk Management*, the auditor can assume a range of roles. Its core role is to provide objective assurance about the effectiveness of risk management. Internal auditing also may provide consulting services, such as providing assurance on the risk management process that improve an organization's governance, risk management, and control processes. However, independence and objectivity must be maintained at all times. The key factor in deciding whether consulting services are compatible with the assurance role is to determine whether the internal auditor is assuming any management responsibility. In the case of ERM, internal auditing can provide consulting services as long as it has no role in actually managing risks - that is management's responsibility - and as long as senior management actively endorses and supports ERM.
- Answer (D) is incorrect. Implementing risk response and setting the risk appetite are prohibited roles.

[231] Gleim #: 4.1.33 -- Source: Publisher 2009

When assessing risk management processes, internal auditors consider researching and reviewing current developments, trends, and other appropriate sources of information to determine

- I. Risks that may affect the organization
- II. Exposures that may affect the organization
- III. Related control procedures to use

- A. I and II only.
- B. II and III only.
- C. III only.
- D. I, II, and III.

- Answer (A) is incorrect. The information also is used to determine the related control procedures to use.
- Answer (B) is incorrect. The information also is used to determine risks that may affect the organization.
- Answer (C) is incorrect. The information also is used to determine the risks and exposures that may affect the organization.
- Answer (D) is **correct**. PA 2120-1 states, "Internal auditors need to obtain sufficient and appropriate evidence to determine that the key objectives of the risk management processes are being met to form an opinion on the adequacy of risk management processes. In gathering such evidence, the internal auditor might consider the following audit procedures: Research and review current developments, trends, industry information related to the business conducted by the organization, and other appropriate sources of information to determine risks and exposures that may affect the organization and related control procedures used to address, monitor, and reassess those risks."

[232] Gleim #: 4.1.34 -- Source: Publisher 2009

Which of the following are features of risk/control assessment?

- I. Identify business objectives
- II. Review the likelihood and significance
- III. Identify control(s)
- IV. Test effectiveness

- A. I and II only.
- B. II and III only.
- C. III only.
- D. I, II, III, and IV.

- Answer (A) is incorrect. Identifying controls and testing their effectiveness also are features of risk/control assessment.
- Answer (B) is incorrect. Identifying business objectives and testing the effectiveness of controls also are features of risk control assessment.
- Answer (C) is incorrect. Identifying business objectives, reviewing the likelihood and significance of risks, and testing the effectiveness of controls also are features of risk control assessment.
- Answer (D) is **correct**. Risk/control assessment has seven features/steps:
 - 1. Identify business objectives
 - 2. Identify risks to business objectives
 - 3. Rate each risk in terms of likelihood and significance
 - 4. Identify the controls
 - 5. Evaluate the adequacy of controls
 - 6. Test the effectiveness of controls
 - 7. Arrive at the final opinion on adequacy and effectiveness of controls

[233] Gleim #: 4.1.35 -- Source: Publisher 2009

Which element of business continuity management (BCM) involves identification of threats and the determination of their impact?

- A. Business impact analysis (BIA).
- B. Risk assessment and mitigation.
- C. Business recovery and continuity strategy.
- D. Awareness and training.

- Answer (A) is incorrect. BIA (1) identifies the processes that are essential to business continuity during a disaster and (2) determines (a) a recovery time objective for a business process (length of time and service level for restoration) and (b) a recovery point objective for IT (data that can be lost in a disaster without unacceptable consequences).
- Answer (B) is **correct**. Risk assessment and mitigation identifies risks from such threats (disruptive events) as (1) natural disasters, (2) IT events (e.g., cyberterrorism, viruses, and denial-of-service attack), (3) supplier failures, (4) industrial events (e.g., fires and toxic waste spills), (5) labor disruptions, and (6) human failures (e.g., fraud, other criminal acts, and errors). BCM then assesses their probability and impact and develops mitigation strategies.
- Answer (C) is incorrect. The business recovery and continuity strategy states in detail the procedures and resources needed for recovery.
- Answer (D) is incorrect. Awareness and training element addresses the preparation of the staff so that they will know their duties in the business continuity plan.

[234] Gleim #: 4.1.36 -- Source: Publisher 2009

Quantitative risk management (RM) methods are most appropriate for

- A. Assessing personnel risks.
- B. Developing a risk matrix.
- C. The use of derivatives by the organization.
- D. Identifying risks from the COSO's enterprise risk management framework.

- Answer (A) is incorrect. Matters addressed in the control environment, e.g., integrity and ethical values, human resources, and organizational structure are subject to soft controls and soft RM approaches.
- Answer (B) is incorrect. A risk matrix links identified risks to, for example, controls or business processes.
- Answer (C) is **correct**. An organization designs RM processes based on its culture, management style, and business objectives. For example, the use of derivatives or other sophisticated capital market products may require the use of quantitative RM tools. But the internal auditor determines that the methods chosen are appropriate for the nature of the organization (PA 2120-1).
- Answer (D) is incorrect. An ERM framework contains broad statements of classes of risks. They are not stated in the detail (quantitative or not) required by a specific organization.

[235] Gleim #: 4.2.37 -- Source: Publisher

The reliability and integrity of all critical information of an organization, regardless of the media in which the information is stored, is the responsibility of

- A. Shareholders.
- B. IT department.
- C. Management.
- D. All employees.

- Answer (A) is incorrect. Management has the ultimate responsibility for the reliability and integrity of all critical information.
- Answer (B) is incorrect. Management has the ultimate responsibility for the reliability and integrity of all critical information.
- Answer (C) is **correct**. Internal auditors determine that senior management and the board have a clear understanding that information reliability and integrity is a management responsibility (PA 2130.A1-1). Information reliability and integrity includes accuracy, completeness, and security.
- Answer (D) is incorrect. Management has the ultimate responsibility for the reliability and integrity of all critical information.

[236] Gleim #: 4.2.38 -- Source: Publisher

Who determines whether the internal audit activity has access to resources sufficient to evaluate the reliability and integrity of information?

- A. The chief executive officer.
- B. The chief audit executive.
- C. The external auditor.
- D. The chief operating officer.

- Answer (A) is incorrect. The CAE must make a determination of whether the IAA has the resources to meet its obligations.
- Answer (B) is **correct**. The chief audit executive determines whether the IAA possesses, or has access to, competent audit resources to evaluate information reliability and integrity and associated risk exposures. These risk exposures may be internal or external, including those relating to the organization's relationships with outside entities (PA 2130.A1-1).
- Answer (C) is incorrect. The CAE must make a determination of whether the IAA has the resources to meet its obligations.
- Answer (D) is incorrect. The CAE must make a determination of whether the IAA has the resources to meet its obligations.

[237] Gleim #: 4.2.39 -- Source: Publisher

Which of the following is part of the board's role in protecting against privacy threats?

- A. Establishing a privacy framework.
- B. Identifying the information gathered by the organization that is deemed personal or private.
- C. Identifying the methods used to collect information.
- D. Determining whether the use of the information collected is in accordance with its intended use and the laws.

- Answer (A) is **correct**. The board is ultimately accountable for ensuring that the principal risks of the organization have been identified, and the appropriate control processes have been implemented to mitigate those risks. This includes establishing the necessary privacy framework for the organization and monitoring its implementation (PA 2130.A1-2).
- Answer (B) is incorrect. Identification of the information gathered by the organization that is deemed personal or private is a duty of the internal auditors.
- Answer (C) is incorrect. Identification of the collection methods used is a duty of the internal auditors.
- Answer (D) is incorrect. Determining whether the use of the information collected is in accordance with its intended use and the laws is a duty of the internal auditors.

[238] Gleim #: 4.2.40 -- Source: Publisher

Freedom from monitoring **best** defines

- A. Personal privacy.
- B. Privacy of space.
- C. Privacy of communication.
- D. Privacy of information.

- Answer (A) is incorrect. Personal privacy is physical and psychological.
- Answer (B) is incorrect. Privacy of space is freedom from surveillance.
- Answer (C) is **correct**. Privacy may encompass (1) personal privacy (physical and psychological), (2) privacy of space (freedom from surveillance), (3) privacy of communication (freedom from monitoring), and (4) privacy of information (collection, use, and disclosure of personal information by others) (PA 2130.A1-2).
- Answer (D) is incorrect. Privacy of information is freedom from collection, use, and disclosure of personal information by others.

[239] Gleim #: 4.2.41 -- Source: Publisher

When evaluating management of the organization's privacy framework, the internal auditor considers

- A. The applicable laws relating to privacy.
- B. Conferring with in-house legal counsel.
- C. Conferring with information technology specialists.
- D. All of the answers are correct.

- Answer (A) is incorrect. The internal auditor also considers conferring with in-house counsel and information technology specialists.
- Answer (B) is incorrect. The internal auditor also considers the applicable laws, regulations, and policies relating to privacy and conferring with information technology specialists.
- Answer (C) is incorrect. The internal auditor also considers the applicable laws, regulations, and policies relating to privacy and conferring with in-house legal counsel.
- Answer (D) is **correct**. In an evaluation of the privacy framework, the internal auditor considers the following:
 - The various laws, regulations, and policies relating to privacy in the jurisdictions where the organization operates.
 - Conferring with in-house legal counsel to determine the exact nature of laws, regulations, and other standards and practices applicable to the organization and the countries where it operates.
 - Conferring with information technology specialists to determine that information security and data protection controls are in place and regularly reviewed and assessed for appropriateness.
 - The level or maturity of privacy practices (PA 2130.A1-2).

[240] Gleim #: 4.2.42 -- Source: Publisher

Personal information may include

- I. Medical status
 - II. Social status
 - III. Credit records
 - IV. Disciplinary actions
- A. I, II, and IV only.
 - B. I only.
 - C. I and II only.
 - D. I, II, III, and IV.

- Answer (A) is incorrect. Credit records are considered personal information.
- Answer (B) is incorrect. Social status, credit records, and disciplinary actions are considered personal information.
- Answer (C) is incorrect. Credit records and disciplinary actions are considered personal information.
- Answer (D) is **correct**. PA 2130.A1-2 gives the following examples of information that may be personal: (1) medical status, (2) social status, (3) family relationships, (4) disciplinary actions, (5) name, (6) address, (7) identification numbers, (8) income, (9) financial status, (10) comments, (11) employee files, (12) evaluations, and (13) credit records.

[241] Gleim #: 4.2.43 -- Source: Publisher

Which of the following statements is false with respect to information security?

- A. Internal auditors should determine that management and the board, audit committee, or other governing body have a clear understanding that information security is the responsibility of the internal audit activity.
 - B. The chief audit executive should determine that the internal audit activity possesses, or has access to, competent auditing resources to evaluate information security and associated risk exposures.
 - C. Internal auditors should periodically assess the organization's information reliability and integrity practices and recommend, as appropriate, enhancements to, or implementation of, new controls and safeguards.
 - D. Internal auditors should assess the effectiveness of preventive, detective, and mitigative measures against past attacks, as deemed appropriate, and future attempts or incidents deemed likely to occur.
- Answer (A) is **correct**. According to PA 2130.A1-1, internal auditors determine whether management and the board have a clear understanding that information reliability and integrity is a management responsibility. This responsibility includes all critical information of the organization, regardless of media in which the information is stored.
 - Answer (B) is incorrect. This is a correct statement about information security according to PA 2130.A1-1.
 - Answer (C) is incorrect. This is a correct statement about information security according to PA 2130.A1-1.
 - Answer (D) is incorrect. This is a correct statement about information security according to PA 2130.A1-1.

[242] Gleim #: 4.2.44 -- Source: Publisher

The internal auditors' ultimate responsibility for information security includes

- A. Identifying technical aspects, risks, processes, and transactions to be examined.
 - B. Determining the scope and degree of testing to achieve engagement objectives.
 - C. Periodically assessing information security practices.
 - D. Documenting engagement procedures.
- Answer (A) is incorrect. An engagement work program is part of the planning process. It includes identifying technical aspects, risks, processes, and transactions to be examined.
 - Answer (B) is incorrect. An engagement work program is part of the planning process. It includes determining the scope and degree of testing to achieve engagement objectives.
 - Answer (C) is **correct**. "Internal auditors periodically assess the organization's information reliability and integrity practices and recommend, as appropriate, enhancements to, or implementation of, new controls and safeguards. Such assessments can either be conducted as separate stand-alone engagements or integrated into other audits or engagements conducted as part of the internal audit plan" (PA 2130.A1-1).
 - Answer (D) is incorrect. An engagement work program is part of the planning process. It includes documenting engagement procedures.

[243] Gleim #: 5.1.1 -- Source: Publisher

Which of the following is a feedback control?

- A. Preventive maintenance.
- B. Inspection of completed goods.
- C. Close supervision of production-line workers.
- D. Measuring performance against a standard.

- Answer (A) is incorrect. Preventive maintenance is a feedforward control. It attempts to anticipate and prevent problems.
- Answer (B) is **correct**. Feedback controls obtain information about completed activities. They permit improvement in future performance by learning from past mistakes. Thus, corrective action occurs after the fact. Inspection of completed goods is an example of a feedback control.
- Answer (C) is incorrect. The close supervision of production-line workers is a concurrent control. It adjusts an ongoing process.
- Answer (D) is incorrect. Measuring performance against a standard is a general aspect of control.

[244] Gleim #: 5.1.2 -- Source: CIA 1195 III-17

An organization's policies and procedures are part of its overall system of internal controls. The control function performed by policies and procedures is

- A. Feedforward control.
- B. Implementation control.
- C. Feedback control.
- D. Application control.

- Answer (A) is **correct**. Feedforward control anticipates and prevents problems. Policies and procedures serve as feedforward controls because they provide guidance on how an activity should be performed to best ensure that an objective is achieved.
- Answer (B) is incorrect. Implementation controls are controls applied during systems development.
- Answer (C) is incorrect. Policies and procedures provide primary guidance before and during the performance of some task rather than give feedback on its accomplishment.
- Answer (D) is incorrect. Application controls apply to specific applications, e.g., payroll or accounts payable.

[245] Gleim #: 5.1.3 -- Source: CIA 1193 I-8

Specific airline ticket information, including fare, class, purchase date, and lowest available fare options, as prescribed in the organization's travel policy, is obtained and reported to department management when employees purchase airline tickets from the organization's authorized travel agency. Such a report provides information for

- A. Quality of performance in relation to the organization's travel policy.
- B. Identifying costs necessary to process employee business expense report data.
- C. Departmental budget-to-actual comparisons.
- D. Supporting employer's business expense deductions.

- Answer (A) is **correct**. Feedback is a part of the internal control cycle. It provides a basis for comparing actual performance (purchases of tickets given the available options) with standards (organizational policy).
- Answer (B) is incorrect. This ticket information is preliminary; employees may change tickets and routings prior to their trip.
- Answer (C) is incorrect. Departmental budget-to-actual comparisons do not necessarily reflect the actual costs ultimately incurred.
- Answer (D) is incorrect. Supporting expense deductions may not necessarily reflect actual costs.

[246] Gleim #: 5.1.4 -- Source: Publisher

Control devices may be

	<u>Quantitative</u>	<u>Qualitative</u>
A.	Yes	Yes
B.	Yes	No
C.	No	Yes
D.	No	No

- Answer (A) is **correct**. Control devices may be either qualitative or quantitative. Budgets, schedules, quotas, and charts are examples of quantitative control devices. Job instructions, quality-control standards, and employment criteria are qualitative control devices.
- Answer (B) is incorrect. Control devices may be qualitative.
- Answer (C) is incorrect. Control devices may be quantitative.
- Answer (D) is incorrect. Control devices may be qualitative.

[247] Gleim #: 5.1.5 -- Source: Publisher

The steps in a typical control process include

1. Selecting strategic control points at which to gather information about activities being performed
2. Accumulating, classifying, and recording data samples
3. Observing the work or collecting samples of data
4. Determining whether performance is satisfactory
5. Reviewing and revising standards
6. Reporting significant deviations to managers concerned

What is the proper order of these steps?

- A. 1, 3, 2, 4, 6, 5
- B. 1, 2, 3, 4, 5, 6
- C. 1, 3, 4, 2, 6, 5
- D. 1, 3, 4, 2, 5, 6

- Answer (A) is **correct**. The proper sequence of steps in a typical control process is as follows:
 1. Selecting strategic control points at which to gather information about activities being performed
 2. Observing the work or collecting samples of data
 3. Accumulating, classifying, and recording data samples
 4. Comparing samples with predetermined quality, schedule, and cost standards
 5. Determining whether performance is satisfactory
 6. Reporting significant deviations to managers concerned
 7. Determining, by repeating the above steps, whether action taken is effective in correcting reported deviations (follow-up)
 8. Reviewing and revising standards
- Answer (B) is incorrect. Observation must occur before classifying and recording data samples.
- Answer (C) is incorrect. Data must be recorded before comparisons can occur.
- Answer (D) is incorrect. Data must be recorded before comparisons can occur.

[248] Gleim #: 5.1.6 -- Source: Publisher

Which of the following statements regarding effective control systems is false?

- A. Excessive controls are costly in time and money.
- B. Outdated information is inappropriate.
- C. Controls should measure the performance of all areas.
- D. Controls should be simple.

- Answer (A) is incorrect. Effective controls should be economical because excessive controls are costly in time and money.
- Answer (B) is incorrect. Effective controls need to be timely because outdated information may be unreliable.
- Answer (C) is **correct**. An effective control system should be meaningful. Thus, controls should be in place to measure performance only in important areas. Excessive controls in minor areas are not economical because the added benefits do not outweigh the loss of time and money.
- Answer (D) is incorrect. Effective controls need to be simple enough so that people using the control can understand it.

[249] Gleim #: 5.1.7 -- Source: Publisher

Standards must

- A. Fail to assist in implementing plans.
 - B. Not be applied at those points that significantly influence subsequent progress.
 - C. Be accepted by those who carry them out if they are to have maximum effectiveness.
 - D. Not be reviewed periodically for adjustment or elimination because of changed circumstances.
-
- Answer (A) is incorrect. Standards should assist in implementing plans.
 - Answer (B) is incorrect. Standards should be applied at those points that significantly influence subsequent progress.
 - Answer (C) is **correct**. Standards must be accepted by those who will carry them out if they are to have maximum effectiveness. Subordinates should believe that standards are both fair and achievable. Participation in the standard-setting process will encourage acceptance of standards.
 - Answer (D) is incorrect. Standards should be reviewed periodically for adjustment or elimination because of changed circumstances.

[250] Gleim #: 5.1.8 -- Source: CIA 04 Model Exam I-61

The marketing department for a major retailer assigns separate product managers for each product line. Product managers are responsible for ordering products and determining retail pricing. Each product manager's purchasing budget is set by the marketing manager. Products are delivered to a central distribution center where goods are segregated for distribution to the company's 52 department stores. Because receipts are recorded at the distribution center, the company does not maintain a receiving function at each store. Product managers are evaluated on a combination of sales and gross profit generated from their product lines. Many products are seasonal and individual store managers can require that seasonal products be removed to make space for the next season's products. Which of the following is a control deficiency in this situation?

- A. The store manager can require items to be removed, thus affecting the potential performance evaluation of individual product managers.
 - B. The product manager negotiates the purchase price and sets the selling price.
 - C. Evaluating product managers by total gross profit generated by product line will lead to dysfunctional behavior.
 - D. There is no receiving function located at individual stores.
-
- Answer (A) is incorrect. Goods are seasonal and store space is limited. This is a constraint that is consistent with maximizing revenue and profitability for the organization.
 - Answer (B) is incorrect. The product manager is evaluated based on sales and gross profit; thus, performing both of these duties is not a conflict.
 - Answer (C) is incorrect. Evaluating the product managers on gross profit and budgeted sales holds them accountable for profitability. This approach is consistent with their authority over ordering and pricing.
 - Answer (D) is **correct**. With no receiving function at the individual stores, the possibility exists that goods could be diverted from the distribution center and not delivered to the appropriate retail stores.

[251] Gleim #: 5.1.9 -- Source: CIA 04 Model Exam I-62

The marketing department for a major retailer assigns separate product managers for each product line. Product managers are responsible for ordering products and determining retail pricing. Each product manager's purchasing budget is set by the marketing manager. Products are delivered to a central distribution center where goods are segregated for distribution to the company's 52 department stores. Because receipts are recorded at the distribution center, the company does not maintain a receiving function at each store. Product managers are evaluated on a combination of sales and gross profit generated from their product lines. Many products are seasonal and individual store managers can require that seasonal products be removed to make space for the next season's products. Requests for purchases beyond those initially budgeted must be approved by the marketing manager. This procedure

- I. Should provide for the most efficient allocation of scarce organizational resources.
- II. Is a detective control procedure.
- III. Is unnecessary because each product manager is evaluated on profit generated.

- A. I only.
- B. III only.
- C. II and III only.
- D. I, II, and III.

- Answer (A) is **correct**. The organization has two scarce resources to allocate: (1) its purchasing budget (constrained by financing ability) and (2) space available in retail stores. Thus, there is a need for a mechanism to allocate these two scarce resources to maximize the overall return to the organization. This is the proper mechanism.
- Answer (B) is incorrect. The gross profit evaluation is effective in evaluating product managers, but it does not necessarily restrain excess spending.
- Answer (C) is incorrect. Approval by the marketing manager is a preventive control, which deters undesirable events from occurring. A detective control detects and corrects undesirable events that have occurred. Also, the gross profit evaluation is effective only in evaluating the manager.
- Answer (D) is incorrect. Approval by the marketing manager is a preventive control, which deters undesirable events from occurring. A detective control detects and corrects undesirable events that have occurred. Also, the gross profit evaluation is effective only in evaluating the manager.

[252] Gleim #: 5.1.10 -- Source: CIA 04 Model Exam I-75

Which of the following would minimize defects in finished goods caused by poor quality raw materials?

- A. Documented procedures for the proper handling of work-in-process inventory.
- B. Required material specifications for all purchases.
- C. Timely follow-up on all unfavorable usage variances.
- D. Determination of the amount of spoilage at the end of the manufacturing process.

- Answer (A) is incorrect. Documented procedures for handling work-in-process inventory do not ensure that materials are of sufficient quality.
- Answer (B) is **correct**. Specifications for raw materials purchased are control criteria that provide an objective means of determining that the materials are of the minimum quality required. The control sequence includes comparison of actual performance (e.g., actual purchases) with predetermined quality, scheduling, and cost standards.
- Answer (C) is incorrect. Follow-up on unfavorable usage variances may lead to detection and correction of use of substandard materials but does not prevent or minimize defects in products already processed.
- Answer (D) is incorrect. Determination of spoilage after raw materials have been used in production is not a preventive control.

[253] Gleim #: 5.1.11 -- Source: CIA 04 Model Exam I-76

The requirement that purchases be made from suppliers on an approved vendor list is an example of a

- A. Preventive control.
- B. Detective control.
- C. Corrective control.
- D. Monitoring control.

- Answer (A) is **correct**. Preventive controls are actions taken prior to the occurrence of transactions with the intent of stopping errors from occurring. Use of an approved vendor list is a control to prevent the use of unacceptable suppliers.
- Answer (B) is incorrect. A detective control identifies errors after they have occurred.
- Answer (C) is incorrect. Corrective controls correct the problems identified by detective controls.
- Answer (D) is incorrect. Monitoring controls are designed to ensure the quality of the control system's performance over time.

[254] Gleim #: 5.1.12 -- Source: Publisher, 2009

When a copy of the sale invoice is not received by an organization's shipping department, an employee requests the document from the proper authority. This process is a(n)

- A. Directive, detective control.
- B. Passive, mitigating control.
- C. Active, detective control.
- D. Detective, preventive control.

- Answer (A) is incorrect. The control is detective, but it is not directive. A directive control causes or encourages a desirable event to occur.
- Answer (B) is incorrect. The control is neither passive nor mitigating. It is detected by the clerk in a conscious effort to maintain proper documentation. Moreover, a mitigating (compensating) control is used when other controls are not feasible, for example, supervisory review when segregation of duties is absent.
- Answer (C) is **correct**. When shipping documents are not received in the shipping department (such as copies of the sales invoice, customer order form, and bill of lading), the clerk should attempt to obtain the proper documentation from the originating organization. This type of control is detective because it detects and attempts to correct an undesirable event that has occurred. It is also active because it takes a conscious intervention by the clerk to ensure the documentation is received.
- Answer (D) is incorrect. The control is not preventive. It does not deter an undesirable event.

[255] Gleim #: 5.1.13 -- Source: CIA 1187 II-14

Which of the following is an operating control relating to management's directing function?

- A. Informing purchasing personnel of the future need for long-lead-time products in ample time.
- B. Supplying buyers with timely, accurate, and useful reports on products received, accepted, or rejected.
- C. Prescribing formal procedures for selecting potential suppliers.
- D. Establishing measurable goals for the department.

- Answer (A) is **correct**. Directing is the function of motivating people in an organization to contribute effectively and efficiently to the achievement of enterprise objectives and goals. Providing adequate notice to employees of changes in their duties is a facet of proper management.
- Answer (B) is incorrect. Providing timely feedback is a control function.
- Answer (C) is incorrect. Prescribing formal procedures for selecting potential suppliers is a function of the planning process.
- Answer (D) is incorrect. Establishing measurable goals for the department is a function of the planning process.

[256] Gleim #: 5.1.14 -- Source: CIA 1195 I-68

Internal auditors are operating in organizations in which management is in the process of "reengineering" operations with strong emphasis on total quality management techniques. In management's quest to gain efficiency in processing, many of the traditional control procedures are being deleted from the organization's control system. As part of this change, management is

- A. Placing more emphasis on monitoring control activities.
- B. Making different assumptions about human performance and the nature of human motivation than was done under traditional control techniques.
- C. Placing more emphasis on self-correcting control activities and process automation.
- D. All of the answers are correct.

- Answer (A) is incorrect. Reengineering emphasizes monitoring.
- Answer (B) is incorrect. Reengineering emphasizes changed views of motivation.
- Answer (C) is incorrect. Reengineering emphasizes automation.
- Answer (D) is **correct**. Reengineering entails process innovation and core process redesign. Instead of improving existing procedures, it finds new ways of doing things. Accordingly, reengineering techniques eliminate many traditional controls. They exploit modern technology to improve productivity and decrease the number of clerical workers. Thus, the emphasis is on developing controls that are automated and self-correcting and require minimal human intervention. The emphasis therefore shifts to monitoring the control system so that management can determine when an operation may be out of control and corrective action is needed. Most reengineering techniques also assume that humans will be motivated to work actively in improving operations when they are full participants in the process.

[257] Gleim #: 5.1.15 -- Source: CIA 591 III-16

Managerial control can be divided into feedforward, concurrent, and feedback controls. Which of the following is an example of a feedback control?

- A. Quality control training.
- B. Budgeting.
- C. Forecasting inventory needs.
- D. Variance analysis.

- Answer (A) is incorrect. Quality control training is a feedforward or future-directed control.
- Answer (B) is incorrect. Budgeting is a feedforward or future-directed control.
- Answer (C) is incorrect. Forecasting inventory needs is a feedforward or future-directed control.
- Answer (D) is **correct**. A feedback control measures actual performance, something that has already occurred, to ensure that a desired future state is attained. It is used to evaluate past activity to improve future performance. A variance is a deviation from a standard. Hence, variance analysis is a feedback control.

[258] Gleim #: 5.1.16 -- Source: CIA 1191 III-11

The operations manager of a company notified the treasurer of that organization 60 days in advance that a new, expensive piece of machinery was going to be purchased. This notification allowed the treasurer to make an orderly liquidation of some of the company's investment portfolio on favorable terms. What type of control was involved?

- A. Feedback.
- B. Strategic.
- C. Concurrent.
- D. Feedforward.

- Answer (A) is incorrect. Feedback controls apply to decision making based on evaluations of past performance.
- Answer (B) is incorrect. Strategic controls are broad-based and affect an organization over a long period. They apply to such long-term variables as quality and R&D.
- Answer (C) is incorrect. Concurrent controls adjust ongoing processes.
- Answer (D) is **correct**. Feedforward control provides for the active anticipation of problems so that they can be avoided or resolved in a timely manner. Another example is the quality control inspection of raw materials and work-in-process to avoid defective finished goods.

[259] Gleim #: 5.1.17 -- Source: CIA 592 III-17

As part of a total quality control program, a firm not only inspects finished goods but also monitors product returns and customer complaints. Which type of control **best** describes these efforts?

- A. Feedback control.
- B. Feedforward control.
- C. Production control.
- D. Inventory control.

- Answer (A) is **correct**. A feedback control measures actual performance, something that has already occurred, to ensure that a desired future state is attained. It is used to evaluate the past to improve future performance. Inspecting finished goods, monitoring product returns, and evaluating complaints are post-action controls intended to eliminate deviations in future cycles of the process under control.
- Answer (B) is incorrect. Feedforward controls anticipate problems before they occur.
- Answer (C) is incorrect. Customer complaints are not part of production control.
- Answer (D) is incorrect. The three types of control are feedforward, concurrent, and feedback.

[260] Gleim #: 5.1.18 -- Source: CIA 585 III-28

Which of the following is **not** implied by the definition of control?

- A. Measurement of progress toward goals.
- B. Uncovering of deviations from plans.
- C. Assignment of responsibility for deviations.
- D. Indication of the need for corrective action.

- Answer (A) is incorrect. Measurement of progress toward goals is implied by the definition of control.
- Answer (B) is incorrect. Uncovering of deviations from plans is implied by the definition of control.
- Answer (C) is **correct**. The basic process of control for managers consists of establishing standards, measuring performance against standards, and correcting for deviations to ensure accomplishment of enterprise goals. Thus, assigning responsibility for deviations found is not a part of the controlling function.
- Answer (D) is incorrect. Indication of the need for corrective action.

[261] Gleim #: 5.1.19 -- Source: CIA 1185 III-10

The use of financial statement analysis, quality control procedures, and employee performance evaluations are all examples of

- A. Preliminary controls.
- B. Concurrent controls.
- C. Feedback controls.
- D. Feedforward controls.

- Answer (A) is incorrect. Feedforward (preliminary) controls anticipate and avoid future performance problems, e.g., budgeting.
- Answer (B) is incorrect. Concurrent controls are applied midstream, e.g., inspection on an assembly line.
- Answer (C) is **correct**. A feedback control operates to provide information about processes that have already occurred.
- Answer (D) is incorrect. Feedforward (preliminary) controls anticipate and avoid future performance problems, e.g., budgeting.

[262] Gleim #: 5.1.20 -- Source: CIA 1186 III-13

Of the following, the controls that are often difficult for internal auditors to evaluate because of the lack of criteria or standards are

- A. Preventive controls.
- B. Financial controls.
- C. Corrective controls.
- D. Operating controls.

- Answer (A) is incorrect. Preventive controls keep loss exposures from occurring. They include not only operating controls but also those for which quantifiable standards are readily determined.
- Answer (B) is incorrect. Financial controls, e.g., a budget, are subject to quantifiable standards that are relatively easy to measure.
- Answer (C) is incorrect. Corrective controls are post-detection or remedial controls. They may include controls for which standards are easily defined, such as financial controls.
- Answer (D) is **correct**. Operating controls are those used in the management processes of directing and controlling and are based on comparison of results with standards. As an activity becomes less mechanical, however, standards become more difficult to determine. Control standards for security, for example, are less easily developed than for the output per hour of a machine because the degree of security achieved is not readily measurable.

[263] Gleim #: 5.1.21 -- Source: CIA 595 III-15

The internal audit activity of an organization is an integral part of the organization's risk management, control, and governance processes because it evaluates and contributes to the improvement of those processes. Select the type of control provided when the IAA conducts a systems development analysis.

- A. Feedback control.
- B. Strategic plans.
- C. Policies and procedures.
- D. Feedforward control.

- Answer (A) is incorrect. A feedback control provides information on the results of a completed activity.
- Answer (B) is incorrect. Strategic plans are developed by senior management to provide long-range guidance for the organization.
- Answer (C) is incorrect. Policies and procedures are developed by management. They are the most basic control subsystem of an organization.
- Answer (D) is **correct**. A feedforward control provides information on potential problems so that corrective action can be taken in anticipation, rather than as a result, of a problem.

[264] Gleim #: 5.1.22 -- Source: CIA 1189 II-11

An internal auditor is examining inventory control in a merchandising division with annual sales of US \$3,000,000 and a 40% gross profit rate. Tests show that 2% of the monetary amount of purchases do not reach inventory because of breakage and employee theft. Adding certain controls costing US \$35,000 annually could reduce these losses to .5% of purchases. Should the controls be recommended?

- A. Yes, because the projected saving exceeds the cost of the added controls.
 - B. No, because the cost of the added controls exceeds the projected savings.
 - C. Yes, because the ideal system of internal control is the most extensive one.
 - D. Yes, regardless of cost-benefit considerations, because the situation involves employee theft.
-
- Answer (A) is incorrect. Cost exceeds the benefit.
 - Answer (B) is **correct**. Controls must be subject to the cost-benefit criterion. The annual cost of these inventory controls is US \$35,000, but the cost savings is only US \$27,000 $\{(2\% - .5\%) \times [\$3,000,000 \text{ sales} \times (1.0 - 0.4\% \text{ gross profit rate})]\}$. Hence, the cost exceeds the benefit, and the controls should not be recommended.
 - Answer (C) is incorrect. The ideal system is subject to the cost-benefit criterion. The most extensive system of internal controls may not be cost effective.
 - Answer (D) is incorrect. Cost-benefit considerations apply even to employee theft.

[265] Gleim #: 5.1.23 -- Source: CIA 587 II-25

Which of the following is an operating control for a research and development department?

- A. Research and development personnel are hired by the payroll department.
 - B. Research and development expenditures are reviewed by an independent person.
 - C. All research and development costs are charged to expense in accordance with the applicable accounting principles.
 - D. The research and development budget is properly allocated between new products, product maintenance, and cost reduction programs.
-
- Answer (A) is incorrect. The personnel department should be solely responsible for hiring. A department responsible for record keeping (payroll) should not authorize transactions.
 - Answer (B) is incorrect. Such a review is a financial control.
 - Answer (C) is incorrect. Expensing R&D costs is an accounting treatment rather than a control.
 - Answer (D) is **correct**. Operating controls are nonfinancial controls. One dimension of operating control is the budgeting (allocation) of resources. A budget functions within the control loop as a standard against which to measure performance.

[266] Gleim #: 5.1.24 -- Source: CIA 1193 II-7

An internal auditor notes year-to-year increases for small tool expense at a manufacturing facility that has produced the same amount of identical product for the last 3 years. Production inventory is kept in a controlled staging area adjacent to the receiving dock, but the supply of small tools is kept in an unsupervised area near the exit to the plant employees' parking lot. After determining that all of the following alternatives are equal in cost and are also feasible for local management, the internal auditor would **best** address the security issue by recommending that plant management

- A. Move the small tools inventory to the custody of the production inventory staging superintendent and implement the use of a special requisition to issue small tools.
- B. Initiate a full physical inventory of small tools on a monthly basis.
- C. Place supply of small tools in a secured area, install a key-access card system for all employees, and record each key-access transaction on a report for the production superintendent.
- D. Close the exit to the employee parking lot and require all plant employees to use a doorway by the receiving dock that also provides access to the plant employees' parking area.

- Answer (A) is **correct**. Physical control of assets is a preventive control that reduces the likelihood of theft or other loss. Giving responsibility for custody of small tools to one individual establishes accountability. Requiring that requisitions be submitted ensures that their use is properly authorized.
- Answer (B) is incorrect. This periodic, detective control would only be effective in determining the amount of losses.
- Answer (C) is incorrect. This preventive and detective control does not record the amount of tools removed from the inventory.
- Answer (D) is incorrect. This preventive control does not limit access to the small tools inventory.

[267] Gleim #: 5.1.25 -- Source: CIA 587 I-24

Which of the following control procedures does an internal auditor expect to find during an engagement to evaluate risk management and insurance?

- A. Periodic internal review of the "in force" list to evaluate the adequacy of insurance coverage.
 - B. Required approval of all new insurance policies by the organization's CEO.
 - C. Policy of repetitive "standard journal entries" to record insurance expense.
 - D. Cutoff procedures with regard to insurance expense reporting.
- Answer (A) is **correct**. An insurance register is a schedule of insurance policies maintained by the engagement client. It provides a convenient means of determining the extent of insurance coverage "in force" at a given time. An internal auditor should compare the register with the policies on hand and with the schedule from the preceding engagement.
 - Answer (B) is incorrect. Such an approval is an operational detail that would be delegated to a lower level manager.
 - Answer (C) is incorrect. A policy of repetitive "standard journal entries" to record insurance expense concerns controls over accounting for insurance expense, not risk management.
 - Answer (D) is incorrect. Cutoff procedures with regard to insurance expense reporting concerns controls over accounting for insurance expense, not risk management.

[268] Gleim #: 5.1.26 -- Source: CIA 1188 II-16

Controls provide assurance to management that desired actions will be accomplished when objectives are established in writing and

- A. Standards are adopted, results are compared with the standards, and corrective actions are undertaken.
 - B. Are communicated to employees in writing and are updated by operating personnel as conditions change.
 - C. Policies and procedures for activities are set out in manuals for use by properly trained personnel.
 - D. Internal reviews as to the propriety and effectiveness of the objectives are undertaken on a periodic basis by the internal audit activity.
- Answer (A) is **correct**. The elements of control include (1) establishing standards for the operation to be controlled, (2) measuring performance against the standards, (3) examining and analyzing deviations, (4) taking corrective action, and (5) reappraising the standards based on experience. These elements of control provide reasonable assurance to management that established objectives and goals will be achieved.
 - Answer (B) is incorrect. The only element of control stated is the establishment and communication of objectives.
 - Answer (C) is incorrect. The essential elements of adoption of standards, comparison, and corrective action are omitted.
 - Answer (D) is incorrect. The essential elements of adoption of standards, comparison, and corrective action are omitted.

[269] Gleim #: 5.1.27 -- Source: CIA 1191 III-10

To be successful, large companies must develop means to keep the organization focused in the proper direction. Organizational control systems help keep companies focused. These control systems consist of which three basic components?

- A. Budgeting, financial ratio analysis, and cash management.
- B. Objectives, standards, and an evaluation-reward system.
- C. Role analysis, team building, and survey feedback.
- D. Setting goals, empowering employees, and job enrichment.

- Answer (A) is incorrect. Budgeting, financial ratio analysis, and cash management are means of financial control.
- Answer (B) is **correct**. An organizational control system must be based on a statement of what is to be achieved and when (objectives). The accomplishment of objectives depends on the establishment of standards that serve as feedforward controls. Adherence to performance standards signifies that an organization is on course to attain its objectives. A well-developed evaluation-reward system that is clearly communicated to employees should motivate them to improved performance.
- Answer (C) is incorrect. Role analysis, team building, and survey feedback are used in developmental efforts to correct organizational deficiencies.
- Answer (D) is incorrect. Goal setting, empowerment, and job enrichment are all motivational strategies.

[270] Gleim #: 5.1.28 -- Source: CIA 1184 III-11

Which of the following statements **best** describes the relationship between planning and controlling?

- A. Planning looks to the future; controlling is concerned with the past.
- B. Planning and controlling are completely independent of each other.
- C. Planning prevent problems; controlling is initiated by problems which have occurred.
- D. Controlling cannot operate effectively without the tools provided by planning.

- Answer (A) is incorrect. A control system looks to the future when it provides for corrective action and review and revision of standards.
- Answer (B) is incorrect. Planning and controlling overlap.
- Answer (C) is incorrect. Comprehensive planning includes creation of controls.
- Answer (D) is **correct**. Control is the process of making certain that plans are achieving the desired objectives. A control system operates through establishing standards of performance, measuring actual performance, analysis and comparison of performance with standards, taking corrective action, and reviewing and revising standards. Planning provides needed tools for the control process by establishing standards, e.g., budgets.

[271] Gleim #: 5.1.29 -- Source: Publisher

After reviewing the prior year's internal audit recommendations, senior management has decided to adopt a control self-assessment (CSA) program using a survey approach. The survey consists of descriptions of, and questions about, key controls. What is the effect on the next audit of adopting this CSA program?

- A. Audit tests will be substantially eliminated.
- B. The CSA survey must be controlled by the internal audit activity.
- C. The internal auditors need to verify that the controls are in place and working as intended.
- D. The internal audit activity will receive the results directly.

- Answer (A) is incorrect. Some testing may be eliminated.
- Answer (B) is incorrect. CSA is performed by management and work teams without supervision by the IAA.
- Answer (C) is **correct**. Internal auditors must identify sufficient, reliable, relevant, and useful information to achieve engagement objectives (Standard 2310). Reliability is greater when evidence is obtained from sources independent of the client, corroborated by other information, and the result of direct observation. Thus, the creation of a CSA survey does not satisfy the requirement for the internal auditors to perform procedures to evaluate the effectiveness and efficiency of controls. However, this evaluation is based on an aggregation of assessments. These result from (1) the work of the internal auditors, (2) reviews of the client's self-assessments, and (3) the work of other assurance providers (PA 2130-1). Accordingly, a CSA program may reduce the effort spent in gathering information about controls and eliminate some testing.
- Answer (D) is incorrect. Survey results are for the immediate benefit of people in the business units assessed.

[272] Gleim #: 5.2.30 -- Source: Publisher

Which of the following are elements included in the control environment?

- A. Organizational structure, management philosophy, and planning.
 - B. Integrity and ethical values, assignment of authority, and human resource policies.
 - C. Competence of personnel, backup facilities, laws, and regulations.
 - D. Risk assessment, assignment of responsibility, and human resource practices.
-
- Answer (A) is incorrect. Planning is not an element of the control environment.
 - Answer (B) is **correct**. According to the Glossary appended to the *Standards*, the control environment includes the attitude and actions of the board and management regarding the significance of control within the organization. The control environment provides the discipline and structure for the achievement of the primary objectives of the system of internal control. The control environment includes the following elements:
 - Integrity and ethical values
 - Management's philosophy and operating style
 - Organizational structure
 - Assignment of authority and responsibility
 - Human resource policies and practices
 - Competence of personnel
 - Answer (C) is incorrect. Backup facilities, laws, and regulations are not elements of the control environment.
 - Answer (D) is incorrect. Risk assessment is part of planning the internal audit activity and specific engagements.

[273] Gleim #: 5.2.31 -- Source: Publisher

Internal control can provide only reasonable assurance that the organization's objectives and goals will be met efficiently and effectively. One factor limiting the likelihood of achieving those objectives is that

- A. The internal auditor's primary responsibility is the detection of fraud.
 - B. The audit committee is active and independent.
 - C. The cost of internal control should not exceed its benefits.
 - D. Management monitors performance.
-
- Answer (A) is incorrect. The internal auditor's responsibility regarding internal control is to examine and evaluate the adequacy and effectiveness of the system of internal control.
 - Answer (B) is incorrect. An active audit committee strengthens the control environment.
 - Answer (C) is **correct**. A limiting factor is that the cost of internal control should not exceed the benefits that are expected to be derived. Thus, the potential loss associated with any exposure or risk is weighed against the cost to control it. Although the cost-benefit relationship is a primary criterion that should be considered in designing and implementing internal control, the precise measurement of costs and benefits usually is not possible.
 - Answer (D) is incorrect. Management's directing function includes authorizing activities and transactions, monitoring resulting performance, and verifying that processes are operating as designed (PA 2100-1).

[274] Gleim #: 5.2.32 -- Source: CIA, adapted

An adequate system of internal controls is **most** likely to detect a fraud perpetrated by a

- A. Group of employees in collusion.
- B. Single employee.
- C. Group of managers in collusion.
- D. Single manager.

- Answer (A) is incorrect. A group has a better chance of successfully perpetrating a fraud than does an individual employee.
- Answer (B) is **correct**. Segregation of duties and other control processes serve to prevent or detect a fraud committed by an employee acting alone. One employee may not have the ability to engage in wrongdoing or may be subject to detection by other employees in the course of performing their assigned duties. However, collusion may circumvent controls. For example, comparison of recorded accountability for assets with the assets known to be held may fail to detect fraud if persons having custody of assets collude with record keepers.
- Answer (C) is incorrect. Management can override controls.
- Answer (D) is incorrect. Even a single manager may be able to override controls.

[275] Gleim #: 5.2.33 -- Source: CIA 1196 I-15

Two organizations have recently merged. The audit committee has asked the internal auditors from both organizations to assess risks that should be addressed after the merger. One manager has suggested that the engagement teams jointly examine the organizational culture and the “tone at the top” to identify control risks associated with the proposed merger. Which of the following statements is true?

- A. The organizational culture is not a part of the control environment and therefore should not be considered for a proposed engagement.
- B. Although the organizational culture could be considered part of the control environment, the assessment of such an environment would be highly subjective and therefore not useful.
- C. Differences in the organizational culture should be systematically identified because the differences may present major risks to the success of the merger. However, identifying differences is not an appropriate activity because it is political and subjective.
- D. None of the answers are correct.

- Answer (A) is incorrect. The organizational culture is an integral part of the control environment.
- Answer (B) is incorrect. Subjectivity is a significant factor in engagements.
- Answer (C) is incorrect. Identifying differences in organizational cultures is an appropriate activity. The differences may affect internal control.
- Answer (D) is **correct**. The control environment includes the attitude and actions of the board and management regarding the significance of control within the organization. The control environment provides the discipline and structure for the achievement of the primary objectives of the system of internal control. The control environment includes the following elements:
 - Integrity and ethical values
 - Management’s philosophy and operating style
 - Organizational structure
 - Assignment of authority and responsibility
 - Human resource policies and practices
 - Competence of personnel

[276] Gleim #: 5.2.34 -- Source: Publisher

COSO treats internal control as a process designed to provide reasonable assurance regarding the achievement of objectives related to

- A. Reliability of financial reporting.
- B. Effectiveness and efficiency of operations.
- C. Compliance with applicable laws and regulations.
- D. All of the answers are correct.

- Answer (A) is incorrect. The effectiveness and efficiency of operations and compliance with applicable laws and regulations are also correct.
- Answer (B) is incorrect. The reliability of financial reporting and compliance with applicable laws and regulations are also correct.
- Answer (C) is incorrect. Reliability of financial reporting and effectiveness and efficiency of operations area also correct.
- Answer (D) is **correct**. The COSO treats internal control as a process designed to provide a reasonable assurance regarding the achievement of objectives related to reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations. The reliability of financial reporting concerns published financial information. The effectiveness and efficiency of operations relates to achievement of performance and profit goals and the safeguarding of resources. A final related objective is the compliance with applicable laws and regulations.

[277] Gleim #: 5.2.35 -- Source: Publisher

Which of the following are elements of the control environment?

- A. Integrity and ethical value.
- B. Organizational structure.
- C. Assignment of authority and responsibility.
- D. All of the answers are correct.

- Answer (A) is incorrect. Organizational structure and assignment of authority and responsibility are also part of the control environment.
- Answer (B) is incorrect. Integrity and ethical value and assignment of authority and responsibility are also part of the control environment.
- Answer (C) is incorrect. Integrity and ethical value and organizational structure are also part of the control environment.
- Answer (D) is **correct**. The elements of the control environment include integrity and ethical value, commitment to competence, board of directors or audit committee participation, philosophy and operating style of management, organizational structure, assignment of authority and responsibility, and human resource policies and practices.

[278] Gleim #: 5.2.36 -- Source: CIA 592 II-22

Management has a role in the maintenance of control. In fact, management sometimes is a control. Which of the following involves managerial functions as a control?

- A. Monitoring performance.
- B. Use of an organizational policies manual.
- C. Maintenance of a quality assurance program.
- D. Establishment of an internal audit activity.

- Answer (A) is **correct**. Monitoring is a component of the control environment. It is a process that assesses the quality of the system's performance over time. It consists of ongoing activities built into normal operations to ensure that they continue to be performed effectively. Supervision and other ordinary management functions, consideration of communications with external parties, and the actions of internal and external auditors are examples.
- Answer (B) is incorrect. The manual advises but does not control.
- Answer (C) is incorrect. A quality assurance program is a form of internal assessment. The manager of the program should be independent of the operations assessed.
- Answer (D) is incorrect. An internal audit activity should be independent of the operations reviewed and is not a managerial function.

[279] Gleim #: 5.2.37 -- Source: Publisher

Which of the following is a factor affecting risk?

- A. New personnel.
- B. New or revamped information systems.
- C. Rapid growth.
- D. All of the answers are correct.

- Answer (A) is incorrect. New or revamped information systems and rapid growth are also factors affecting risk.
- Answer (B) is incorrect. New personnel and rapid growth are also factors affecting risk.
- Answer (C) is incorrect. New personnel and new or revamped information systems are also factors affecting risk.
- Answer (D) is **correct**. New personnel, new or revamped information systems, and rapid growth are all factors that affect risk.

[280] Gleim #: 5.2.38 -- Source: Publisher

The policies and procedures helping to ensure that management directives are executed and actions are taken to address risks to achievement of objectives describes

- A. Risk assessments.
- B. Control environments.
- C. Control activities.
- D. Monitoring.

- Answer (A) is incorrect. Risk assessment identifies and analyzes external or internal risks to achievement of the objectives at the activity level as well as the entity level.
- Answer (B) is incorrect. Control environments reflect the attitude and actions of the board and management regarding the significance of control within the organization.
- Answer (C) is **correct**. Control activities are the policies and procedures helping to ensure that management directives are executed and actions are taken to address risks to achievement of objectives.
- Answer (D) is incorrect. Monitoring is a process that assesses the quality of the system's performance over time.

[281] Gleim #: 5.2.39 -- Source: Publisher

Which of the following is **not** a component of the CoCo model?

- A. Commitment.
- B. Capability.
- C. Control environment.
- D. Monitoring and learning.

- Answer (A) is incorrect. Commitment is a component of the CoCo model.
- Answer (B) is incorrect. Capability is a component of the CoCo model.
- Answer (C) is **correct**. Control environment is not one of the four components of the CoCo model. The four components are commitment, capability, monitoring and learning, and purpose.
- Answer (D) is incorrect. Monitoring and learning is a component of the CoCo model.

[282] Gleim #: 5.2.40 -- Source: Publisher

In regard to The IIA's Systems Auditability and Control study, what elements are encompassed by the control framework?

- A. Segregation of incompatible duties.
- B. Appropriate levels of authority and responsibility.
- C. Supervision of staff and review of work.
- D. All of the answers are correct.

- Answer (A) is incorrect. Appropriate levels of authority and responsibility and supervision of staff and review of work are activities within the control framework.
- Answer (B) is incorrect. The segregation of incompatible duties and supervision of staff and review of work are also activities within the control framework.
- Answer (C) is incorrect. Segregation of incompatible duties and appropriate levels of authority and responsibility are also within the control framework.
- Answer (D) is **correct**. The activities under the control framework include (1) segregation of incompatible duties; (2) appropriate levels of authority and responsibility; (3) supervision of staff and review of work; (4) tracing transactions or events to responsible persons; (5) adequate resources, time, and knowledgeable personnel; and (6) competence and integrity of people.

[283] Gleim #: 5.2.41 -- Source: Publisher

Enterprise risk management (ERM) helps management achieve all of the following **except**

- A. Reaching objectives.
- B. Reporting on a timely basis.
- C. Preventing loss of reputation and resources.
- D. Complying with laws and regulations.

- Answer (A) is incorrect. ERM helps management reach objectives.
- Answer (B) is **correct**. Enterprise risk management (ERM) helps management
 1. Reach objectives
 2. Prevent loss of reputation and resources
 3. Report effectively
 4. Comply with laws and regulationsERM allows management to report effectively, not necessarily on a timely basis.
- Answer (C) is incorrect. ERM helps management prevent loss of reputation and resources.
- Answer (D) is incorrect. ERM helps management comply with laws and regulations.

[284] Gleim #: 5.2.42 -- Source: Publisher

Management considers risk appetite for all of the following reasons **except**

- A. Evaluating strategic options.
- B. Setting objectives.
- C. Developing risk management techniques.
- D. Increasing the net present value of investments.

- Answer (A) is incorrect. Management considers risk appetite when evaluating strategic options.
- Answer (B) is incorrect. Management considers risk appetite when setting objectives.
- Answer (C) is incorrect. Management considers risk appetite when developing risk management techniques.
- Answer (D) is **correct**. Risk appetite should be considered in
 1. Evaluating strategic options
 2. Setting related objectives
 3. Developing risk management techniques

Increasing the net present value of investments is an operational objective. It would be determined after consideration of the entity's risk appetite and other strategic factors.

[285] Gleim #: 5.2.43 -- Source: Publisher

ERM allows management greater capabilities. Which of the following is **not** a capability of ERM?

- A. Reduced operational surprises and losses.
- B. Better deployment of capital.
- C. Increased productivity.
- D. Improved risk response decisions.

- Answer (A) is incorrect. Reduction of operational surprises and losses is a capability of ERM.
- Answer (B) is incorrect. Better deployment of capital is a capability of ERM.
- Answer (C) is **correct**. The following are the categories of the capabilities of ERM:
 1. Risk appetite and strategy
 2. Risk response decisions
 3. Operational surprises and losses
 4. Multiple and cross-enterprise risks
 5. Opportunities
 6. Deployment of capital

While increased productivity may result from ERM, it is not directly a capability provided by ERM.

- Answer (D) is incorrect. Improvement of risk response decisions is a capability of ERM.

[286] Gleim #: 5.2.44 -- Source: Publisher

Which of the following is a category of objectives of ERM?

- A. Compliance.
- B. Control expenses.
- C. Planning.
- D. Information and communication.

- Answer (A) is **correct**. ERM has four categories of objectives:
 1. Strategic objectives align with and support the entity's mission.
 2. Operations objectives address effectiveness and efficiency.
 3. Reporting objectives concern reliability.
 4. Compliance objectives relate to adherence to laws and regulations.
- Answer (B) is incorrect. Control of expenses is an operations objective of ERM.
- Answer (C) is incorrect. Planning is not a category of objectives for ERM. It is a means of achieving objectives.
- Answer (D) is incorrect. Information and communication is a component of ERM.

[287] Gleim #: 5.2.45 -- Source: Publisher

ERM is **not** expected to provide reasonable assurance of achieving which objectives?

- A. Strategic and reporting.
- B. Operations and reporting.
- C. Strategic and operations.
- D. Compliance.

- Answer (A) is incorrect. Reporting objectives are within the organization's control. Thus, ERM should provide reasonable assurance of achieving them.
- Answer (B) is incorrect. Reporting objectives are within the organization's control. Thus, ERM should provide reasonable assurance of achieving them.
- Answer (C) is **correct**. Strategic and operational matters are affected by external events that the organization may not control. Hence, ERM is expected to provide reasonable assurance only that management and the board receive timely information about whether those objectives are being achieved. It does not provide reasonable assurance the objectives are being achieved.
- Answer (D) is incorrect. Compliance objectives are within the organization's control. Thus, ERM should provide reasonable assurance of achieving them.

[288] Gleim #: 5.2.46 -- Source: Publisher

Components of ERM are integrated with the management process. Which of the following correctly states four components of ERM?

- A. Event identification, risk assessment, control activities, and objective setting.
- B. Internal environment, objective setting, monitoring, and risk minimization.
- C. External environment, risk assessment, monitoring, and event identification.
- D. Objective setting, external environment, risk assessment, and control activities.

- Answer (A) is **correct**. Event identification, risk assessment, control activities, and objective setting are components of ERM. Event identification relates to internal and external events affecting the organization. It differentiates between opportunities and risks. Opportunities are referred to the strategy or objective-setting processes. Risk assessment considers likelihood and impact (see the definitions of risk in the Glossary) as a basis for risk management. The assessment considers the inherent risk and the residual risk. Control activities are policies and procedures to ensure the effectiveness of risk responses. Objective setting precedes event identification. ERM ensures that (a) a process is established and (b) objectives align with the mission and the risk appetite.
- Answer (B) is incorrect. Risk assessment, not minimization, is a component of ERM.
- Answer (C) is incorrect. The internal, not external, environment is a component of ERM.
- Answer (D) is incorrect. The internal, not external, environment is a component of ERM.

[289] Gleim #: 5.2.47 -- Source: Publisher

Which of the following control models is fully incorporated into the broader integrated framework of ERM?

- A. CoCo.
- B. COSO.
- C. Systems Assurance and Control.
- D. COBIT.

- Answer (A) is incorrect. ERM extends the COSO model.
- Answer (B) is **correct**. The Committee of Sponsoring Organizations published *Enterprise Risk Management – Integrated Framework*. It describes a model that incorporates the earlier COSO control framework while extending it to the broader area of enterprise risk management.
- Answer (C) is incorrect. ERM extends the COSO model.
- Answer (D) is incorrect. ERM extends the COSO model.

[290] Gleim #: 5.2.48 -- Source: Publisher

The components of ERM should be present and functioning effectively. What does “present and functioning effectively” mean?

- I. No material weaknesses exist.
- II. Risk is within the risk appetite.

- A. I only.
- B. II only.
- C. Both I and II.
- D. Neither I nor II.

- Answer (A) is incorrect. “Present and functioning effectively” also means that risk is within the risk appetite.
- Answer (B) is incorrect. “Present and functioning effectively” also means that no material weaknesses exist.
- Answer (C) is **correct**. “Present and functioning effectively” means that (1) no material weaknesses exist and (2) risk is within the risk appetite.
- Answer (D) is incorrect. “Present and functioning effectively” means that (1) no material weaknesses exist and (2) risk is within the risk appetite.

[291] Gleim #: 5.2.49 -- Source: Publisher

Limitations of ERM may arise from

- A. Faulty human judgment.
- B. Cost-benefit considerations.
- C. Collusion.
- D. All of the answers are correct.

- Answer (A) is incorrect. Limitations of ERM can also arise from cost-benefit considerations and collusion.
- Answer (B) is incorrect. Limitations of ERM can also arise from faulty human judgment and collusion.
- Answer (C) is incorrect. Limitations of ERM can also arise from faulty human judgment and cost-benefit considerations.
- Answer (D) is **correct**. Limitations of ERM arise from the possibility of (1) faulty human judgment, (2) cost-benefit considerations, (3) simple errors or mistakes, (4) collusion, and (5) management override of ERM decisions.

[292] Gleim #: 5.2.50 -- Source: CIA 04 Model Exam I-54

The function of the chief risk officer (CRO) is **most** effective when the CRO

- A. Manages risk as a member of senior management.
- B. Shares the management of risk with line management.
- C. Shares the management of risk with the chief audit executive.
- D. Monitors risk as part of the enterprise risk management team.

- Answer (A) is incorrect. Senior management has an oversight role in risk management.
- Answer (B) is incorrect. The risk knowledge at the line level is specific only to that area of the organization.
- Answer (C) is incorrect. The CAE should not be accountable for a management function.
- Answer (D) is **correct**. A CRO is a member of management assigned primary responsibility for enterprise risk management processes. The CRO is most effective when supported by a specific team with the necessary expertise and experience related to organization-wide risk.

[293] Gleim #: 5.2.51 -- Source: CIA 04 Model Exam I-56

Which of the following statements is correct regarding corporate compensation systems and related bonuses?

- I. A bonus system should be considered part of the control environment of an organization and should be considered in formulating a report on internal control.
- II. Compensation systems are not part of an organization's control system and should not be reported as such.
- III. An audit of an organization's compensation system should be performed independently of an audit of the control system over other functions that impact corporate bonuses.

- A. I only.
- B. II only.
- C. III only.
- D. II and III only.

- Answer (A) is **correct**. The control environment reflects the attitude and actions of the board and management regarding the significance of control within the organization. It sets the organization's tone and influences the control consciousness of its personnel. Moreover, the control environment provides discipline and structure for the achievement of the primary objectives of internal control. The control environment includes, among other things, the element of human resource policies and practices. Thus, hiring, orientation, training, evaluation, counseling, promotion, compensation, and remedial actions must be considered by management.
- Answer (B) is incorrect. Compensation systems are part of the organization's control systems.
- Answer (C) is incorrect. Audits of the compensation systems can be combined with an audit over other functions that impact corporate bonuses.
- Answer (D) is incorrect. Compensation systems are part of the organization's control systems, and they may be audited in combination with other functions that affect corporate bonuses.

[294] Gleim #: 5.2.52 -- Source: Publisher, 2009

Inherent risk is

- A. A potential event that will adversely affect the organization.
- B. Risk response risk.
- C. The risk after management takes action to reduce the impact or likelihood of an adverse event.
- D. The risk when management has not taken action to reduce the impact or likelihood of an adverse event.

- Answer (A) is incorrect. A risk event is a potential event that will affect the entity adversely.
- Answer (B) is incorrect. A risk response is an action taken to reduce the impact or likelihood of an adverse event, including a control activity. Risk response risk is a nonsense term.
- Answer (C) is incorrect. The risk after management takes action to reduce the impact or likelihood of an adverse event, including control activities, in responding to a risk is residual risk.
- Answer (D) is **correct**. Inherent risk is the risk when management has not taken action to reduce the impact or likelihood of an adverse event. Thus, it is risk in the absence of a risk response.

[295] Gleim #: 5.2.53 -- Source: Publisher, 2009

The internal auditors are assessing the risk of fraud involving senior management. An impact factor is

- A. Nonretention of customers.
- B. Inadequacy of internal controls.
- C. Unusual transactions.
- D. Potential override of internal controls.

- Answer (A) is **correct**. An impact factor is a potential result of an event. These events are usually identified through the risk assessment process. For example, the consequences of fraud may include direct financial loss and harm to its reputation, which in turn may lead to inability to attract skilled employees or customers.
- Answer (B) is incorrect. Inadequacy of internal controls is a risk that normally is identified during risk assessment.
- Answer (C) is incorrect. The existence of complex or unusual transactions is a risk that normally is identified during risk assessment.
- Answer (D) is incorrect. Potential override of internal controls is a risk that normally is identified during risk assessment.

[296] Gleim #: 5.2.54 -- Source: Publisher, 2009

Which risk response reflects a change from acceptance to sharing?

- A. An insurance policy on a manufacturing plant was not renewed.
 - B. Management purchased insurance on previously uninsured property.
 - C. Management sold a manufacturing plant.
 - D. After employees stole numerous inventory items, management implemented mandatory background checks on all employees.
- Answer (A) is incorrect. Not renewing insurance represents a change from risk sharing to risk acceptance.
 - Answer (B) is **correct**. The categories of risk responses under the COSO ERM model are avoidance, acceptance, reduction, and sharing. If management does not insure a building, the response is acceptance. Ordinarily, acceptance is based on a judgment that the cost of another response is excessive. However, once management purchases insurance, the risk is shared with an outside party.
 - Answer (C) is incorrect. Selling property avoids all the risks of ownership.
 - Answer (D) is incorrect. Management originally accepted the risk of employee theft by not implementing pre-hire investigation. Conducting background checks on all employees reduces the risk of theft.

[297] Gleim #: 5.2.55 -- Source: CIA 1190 I-7

An organization's directors, management, external auditors, and internal auditors all play important roles in creating a proper control environment. Senior management is primarily responsible for

- A. Establishing a proper organizational culture and specifying a system of internal control.
 - B. Designing and operating a control system that provides reasonable assurance that established objectives and goals will be achieved.
 - C. Ensuring that external and internal auditors adequately monitor the control environment.
 - D. Implementing and monitoring controls designed by the board of directors.
- Answer (A) is **correct**. Control is "any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved" (Glossary appended to the *Standards*). Management also establishes and maintains an organizational culture, including an ethical climate that fosters control.
 - Answer (B) is incorrect. Senior management is not likely to be involved in the detailed design and day-to-day operation of a control system.
 - Answer (C) is incorrect. Management administers risk and control processes. It cannot delegate this responsibility to the external auditors or to the IAA.
 - Answer (D) is incorrect. The board has oversight governance responsibilities but ordinarily does not become involved in the details of operations.

[298] Gleim #: 5.2.56 -- Source: CIA 04 Model Exam I-59

Enterprise risk management

- A. Guarantees achievement of organizational objectives.
 - B. Requires establishment of risk and control activities by internal auditors.
 - C. Involves the identification of events with negative impacts on organizational objectives.
 - D. Includes selection of the best risk response for the organization.
-
- Answer (A) is incorrect. Risk management processes cannot guarantee achievement of objectives.
 - Answer (B) is incorrect. Involvement of internal auditors in establishing control activities impairs their independence and objectivity.
 - Answer (C) is **correct**. Enterprise risk management (ERM) is a process, effected by an entity's board of directors, management, and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risk to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives (*Enterprise Risk Management-Integrated Framework*). The emphasis is on (1) the objectives of a specific entity and (2) establishing a means for evaluating the effectiveness of ERM.
 - Answer (D) is incorrect. Enterprise risk management is concerned with selecting not the best risk response but the risk response that falls within the enterprise's risk tolerances and appetite.

[299] Gleim #: 5.2.57 -- Source: Publisher

Which term **best** reflects the attitude and actions of the board and management regarding the significance of control within the organization?

- A. Risk assessment.
 - B. Control activities.
 - C. Control environment.
 - D. Monitoring.
-
- Answer (A) is incorrect. Risk assessment identifies and analyzes external or internal risks to achievement of the objectives at the activity level as well as the entity level.
 - Answer (B) is incorrect. Control activities are the policies and procedures helping to ensure that management directives are executed and actions are taken to address risks achievement of objectives.
 - Answer (C) is **correct**. A control environment reflects the attitude and actions of the board and management regarding the significance of control within the organization.
 - Answer (D) is incorrect. Monitoring is a process that assesses the quality of the system's performance over time.

[300] Gleim #: 5.2.58 -- Source: Publisher

Which of the following statements is **not** accurate with regard to soft controls?

- A. The COSO and CoCo models emphasize soft controls.
 - B. The communication of ethical values and the fostering of mutual trust are soft controls in the CoCo model.
 - C. Soft controls have become more necessary as technology advances have empowered employees.
 - D. Control self-assessment is not an approach to audit soft controls.
-
- Answer (A) is incorrect. The COSO and CoCo models emphasize soft controls.
 - Answer (B) is incorrect. The communication of ethical values and the fostering of mutual trust are soft controls in the CoCo model.
 - Answer (C) is incorrect. Soft controls have become more necessary as technology advances have empowered employees.
 - Answer (D) is **correct**. One approach to auditing soft controls is control self-assessment, which is the involvement of management and staff in the assessment of internal controls within their work group.

[301] Gleim #: 5.2.59 -- Source: Publisher

Key concepts in The IIA's Systems Auditability and Control study include all of the following **except**

- A. Reasonable assurance.
- B. Objectives as desired accomplishments of the organization.
- C. Goals as specific targets.
- D. Segregation of duties.

- Answer (A) is incorrect. It is a key concept of The IIA's Systems Auditability and Control study.
- Answer (B) is incorrect. It is a key concept of The IIA's Systems Auditability and Control study.
- Answer (C) is incorrect. It is a key concept of The IIA's Systems Auditability and Control study.
- Answer (D) is **correct**. Segregation of duties is a component of The IIA's Systems Auditability and Control study, but not a key concept.

[302] Gleim #: 5.2.60 -- Source: CIA 1186 I-7

An internal auditor noted that the accounts receivable department is separate from other accounting activities. Credit is approved by a separate credit department. Control accounts and subsidiary ledgers are balanced monthly. Similarly, accounts are aged monthly. The accounts receivable manager writes off delinquent accounts after 1 year, or sooner if a bankruptcy or other unusual circumstances are involved. Credit memoranda are prenumbered and must correlate with receiving reports. Which of the following areas could be viewed as an internal control weakness of the above organization?

- A. Write-offs of delinquent accounts.
- B. Credit approvals.
- C. Monthly aging of receivables.
- D. Handling of credit memos.

- Answer (A) is **correct**. The accounts receivable manager has the ability to perpetrate irregularities because (s)he performs incompatible functions. Authorization and recording of transactions should be separate. Thus, someone outside the accounts receivable department should authorize write-offs.
- Answer (B) is incorrect. Credit approval is an authorization function that is properly segregated from the record keeping function.
- Answer (C) is incorrect. Monthly aging is appropriate.
- Answer (D) is incorrect. The procedures regarding credit memoranda are standard controls.

[303] Gleim #: 5.2.61 -- Source: CIA 587 I-21

Checks from customers are received in the organization's mail room each day. What controls should be in place to safeguard them?

- A. Establishing a separate post office box for customer payments.
- B. Forwarding all checks to the cashier upon receipt.
- C. Requiring a specific mail clerk to list and restrictively endorse each check.
- D. Providing bonding protection for mail clerks.

- Answer (A) is incorrect. Requiring a specific mail clerk to list and restrictively endorse each check provides more protection than establishing a separate post office box for customer payments.
- Answer (B) is incorrect. The same person should not both receive and deposit checks.
- Answer (C) is **correct**. An employee who does not have access to other records should open the mail and prepare a list of checks received. The check listing will later be reconciled with the daily bank deposit and entries to accounts receivable. A restrictive endorsement ("for deposit only") will put transferees on notice to act accordingly (that is, deposit the check in the organization's account).
- Answer (D) is incorrect. Bonding insures against but does not directly prevent losses.

[304] Gleim #: 5.2.62 -- Source: CIA 587 II-24

One control objective of the financing/treasury cycle is the proper authorization of transactions involving debt and equity instruments. Which of the following controls would **best** meet this objective?

- A. Separation of responsibility for custody of funds from recording of the transaction.
 - B. Written policies requiring review of major funding/repayment proposals by the board.
 - C. Use of an underwriter in all cases of new issue of debt or equity instruments.
 - D. Requiring two signatures on all checks of a material amount.
-
- Answer (A) is incorrect. Separation of responsibility for custody of funds from recording of the transaction concerns the objective of safeguarding of assets, not authorization.
 - Answer (B) is **correct**. The control objective of authorization concerns the proper execution of transactions in accordance with management's wishes. One means of achieving this control objective is the establishment of policies as guides to action. When a decision affects the capitalization of the entity, a policy should be in force requiring review at the highest level.
 - Answer (C) is incorrect. Use of an underwriter in all cases of new issue of debt or equity instruments does not state a control but rather a specific means of issuing securities.
 - Answer (D) is incorrect. Requiring two signatures on all checks of a material amount concerns the objective of safeguarding of assets, not authorization.

[305] Gleim #: 5.2.63 -- Source: CIA 1188 I-20

Which of the following activities performed by a payroll clerk is a control weakness rather than a control strength?

- A. Has custody of the check signature stamp machine.
 - B. Prepares the payroll register.
 - C. Forwards the payroll register to the chief accountant for approval.
 - D. Draws the paychecks on a separate payroll checking account.
-
- Answer (A) is **correct**. Payroll checks should be signed by the treasurer, i.e., by someone who is not involved in timekeeping, record keeping, or payroll preparation. The payroll clerk performs a record-keeping function.
 - Answer (B) is incorrect. Preparing the payroll register is one of the record-keeping tasks of the payroll clerk.
 - Answer (C) is incorrect. The payroll register should be approved by an officer of the organization. This control is a strength.
 - Answer (D) is incorrect. Paychecks should be drawn on a separate payroll checking account. This control is a strength.

[306] Gleim #: 5.2.64 -- Source: CIA 1187 I-10

The internal auditor recognizes that certain limitations are inherent in any system of internal controls. Which one of the following scenarios is the result of an inherent limitation of internal control?

- A. The comptroller both makes and records cash deposits.
 - B. A security guard allows one of the warehouse employees to remove assets from the premises without authorization.
 - C. The organization sells to customers on account, without credit approval.
 - D. An employee, who is unable to read, is assigned custody of the organization's computer tape library and run manuals that are used during the third shift.
-
- Answer (A) is incorrect. Segregating the functions of recording and asset custody is customary. That the comptroller both makes and records cash deposits is an avoidable control weakness.
 - Answer (B) is **correct**. Inherent limitations in internal control arise from mistakes in judgment, misunderstandings of instructions, personnel carelessness, distraction, fatigue, collusion, perpetrations by management, changing conditions, and deterioration of degrees of compliance. Thus, a control (use of security guards) based on segregation of functions may be overcome by collusion among two or more employees.
 - Answer (C) is incorrect. Transactions can and should be authorized before execution. The security guard's failure to obtain authorization for removal of assets is an avoidable control weakness.
 - Answer (D) is incorrect. Assignment of an unqualified employee is an avoidable control weakness.

[307] Gleim #: 5.2.65 -- Source: CIA 1188 II-24

One payroll engagement objective is to determine whether segregation of duties is proper. Which of the following activities is incompatible?

- A. Hiring employees and authorizing changes in pay rates.
- B. Preparing the payroll and filing payroll tax forms.
- C. Signing and distributing payroll checks.
- D. Preparing attendance data and preparing the payroll.

- Answer (A) is incorrect. Hiring employees and authorizing changes in pay rates are both personnel functions.
- Answer (B) is incorrect. Preparing the payroll and filing payroll tax forms are both functions of the payroll department.
- Answer (C) is incorrect. Proper treasury functions include signing and distributing payroll checks.
- Answer (D) is **correct**. Attendance data are accumulated by the timekeeping function. Preparing the payroll is a payroll department function. For control purposes, these two functions should be separated to avoid the perpetration and concealment of irregularities.

[308] Gleim #: 5.2.66 -- Source: CIA 589 II-10

Which of the following observations, made during the preliminary survey of a local department store's disbursement cycle, reflects a control strength?

- A. Individual department managers use prenumbered forms to order merchandise from vendors.
- B. The receiving department is given a copy of the purchase order complete with a description of goods, quantity ordered, and extended price for all merchandise ordered.
- C. The treasurer's office prepares checks for suppliers based on vouchers prepared by the accounts payable department.
- D. Individual department managers are responsible for the movement of merchandise from the receiving dock to storage or sales areas as appropriate.

- Answer (A) is incorrect. The managers should submit purchase requisitions to the purchasing department. The purchasing function should be separate from operations.
- Answer (B) is incorrect. To encourage a fair count, the receiving department should receive a copy of the purchase order from which the quantity has been omitted.
- Answer (C) is **correct**. Accounting for payables is a recording function. The matching of the supplier's invoice, the purchase order, and the receiving report (and usually the purchase requisition) should be the responsibility of the accounting department. These are the primary supporting documents for the payment voucher prepared by the accounts payable section that will be relied upon by the treasurer in making payment.
- Answer (D) is incorrect. The receiving department should transfer goods directly to the storeroom to maintain security. A copy of the receiving report should be sent to the storeroom so that the amount stored can be compared with the amount in the report.

[309] Gleim #: 5.2.67 -- Source: CIA 1192 II-18

Which of the following controls would help prevent overpaying a vendor?

- A. Reviewing and canceling supporting documents when a check is issued.
- B. Requiring the check signer to mail the check directly to the vendor.
- C. Reviewing the accounting distribution for the expenditure.
- D. Approving the purchase before ordering from the vendor.

- Answer (A) is **correct**. Reviewing and canceling the supporting documents prevents paying a vendor twice for the same purchase. If the person who signs the check cancels the required documents, they cannot be recycled in support of a duplicate payment voucher. Securing the paid voucher file from access by the accounts payable clerk is another effective control.
- Answer (B) is incorrect. Requiring the check signer to mail the check directly to the vendor would prevent the check from being misappropriated.
- Answer (C) is incorrect. Reviewing the accounting distribution for the expenditure would ensure that the expenditure is debited to the proper account(s).
- Answer (D) is incorrect. Approving the purchase before ordering from the vendor would ensure that only authorized purchases are made.

[310] Gleim #: 5.2.68 -- Source: CIA 592 I-19

Which of the following situations will cause an internal auditor to question the adequacy of controls over a purchasing function?

- A. The original and one copy of the purchase order are mailed to the vendor. The copy, on which the vendor acknowledges acceptance, is returned to the purchasing department.
 - B. Receiving reports are forwarded to purchasing where they are matched with purchase orders and sent to accounts payable.
 - C. The accounts payable section prepares documentation for payments.
 - D. Unpaid voucher files and perpetual inventory records are independently maintained.
- Answer (A) is incorrect. This practice assures accurate communication.
 - Answer (B) is **correct**. Purchasing and receiving should be organizationally independent. Moreover, comparing the purchase order and the receiving report should be the responsibility of a third person. Fraud perpetrated by a purchasing department employee could be concealed if (s)he is the first to obtain the receiving report.
 - Answer (C) is incorrect. Accounts payable may prepare documentation but should not sign checks.
 - Answer (D) is incorrect. Separately maintaining unpaid vouchers and perpetual inventory records is acceptable.

[311] Gleim #: 5.2.69 -- Source: CIA 1194 I-29

A receiving department receives copies of purchase orders for use in identifying and recording inventory receipts. The purchase orders list the name of the vendor and the quantities of the materials ordered. A possible error that this system could allow is

- A. Payment to unauthorized vendors.
 - B. Payment for unauthorized purchases.
 - C. Overpayment for partial deliveries.
 - D. Delay in recording purchases.
- Answer (A) is incorrect. Comparing receipts with purchase orders will help detect unauthorized vendors.
 - Answer (B) is incorrect. Comparing receipts with purchase orders will help detect unauthorized purchases.
 - Answer (C) is **correct**. To ensure a fair count, the copy of the purchase order sent to the receiving clerk should not include quantities. The receiving clerk should count the items in the shipment and prepare a receiving report. Copies are sent to inventory control and accounts payable.
 - Answer (D) is incorrect. Using purchase orders to identify receipts will not cause a delay in recording purchases.

[312] Gleim #: 5.2.70 -- Source: CIA 1194 I-31

Which of the following assures that all inventory shipments are billed to customers?

- A. Shipping documents are prenumbered and are independently accounted for and matched with sales invoices.
- B. Sales invoices are prenumbered and are independently accounted for and traced to the sales journal.
- C. Duties for recording sales transactions and maintaining customer account balances are separated.
- D. Customer billing complaints are investigated by the controller's office.

- Answer (A) is **correct**. Shipping documents are prepared at the time of shipment. They are prenumbered to facilitate detection of unrecorded shipments. A gap in the sequence of documents may indicate an irregularity. An employee outside the shipping department should account for these documents. Sales invoices are generated by the organization's computer system at the same time as the shipping documents and should have the same numbers. Thus, every shipping document should be matched with a sales invoice to ensure proper billing.
- Answer (B) is incorrect. Accounting for sales invoices alone does not prevent or detect unbilled shipments.
- Answer (C) is incorrect. Separating the duties for recording sales transactions and maintaining customer accounts does not assure that all shipments are invoiced.
- Answer (D) is incorrect. Customers who are not billed may not notify the organization.

[313] Gleim #: 5.2.71 -- Source: CIA 596 I-13

Obsolete or scrap materials are charged to a predefined project number. The materials are segregated into specified bin locations and eventually transported to a public auction for sale. To reduce the risks associated with this process, an organization should employ which of the following procedures?

- I. Require managerial approval for materials to be declared scrap or obsolete.
- II. Permit employees to purchase obsolete or scrap materials prior to auction.
- III. Limit obsolete or scrap materials sales to a pre-approved buyer.
- IV. Specify that a fixed fee, rather than a commission, be paid to the auction firm.

- A. II and III.
- B. I only.
- C. II and IV.
- D. I, III, and IV.

- Answer (A) is incorrect. Competitive bids should be solicited, and employees should not be allowed to purchase scrap and obsolete materials prior to auction. Moreover, commissions increase the incentive for an auction firm to maximize the organization's return.
- Answer (B) is **correct**. Scrap materials should be separated to avoid contamination that might reduce prices received for their sale. Moreover, controls should exist to ensure that only authorized persons have the authority to designate materials as scrap or obsolete. Controls should also exist over the transfer, storage, and disposal of such materials.
- Answer (C) is incorrect. Competitive bids should be solicited, and employees should not be allowed to purchase scrap and obsolete materials prior to auction. Moreover, commissions increase the incentive for an auction firm to maximize the organization's return.
- Answer (D) is incorrect. Competitive bids should be solicited, and employees should not be allowed to purchase scrap and obsolete materials prior to auction. Moreover, commissions increase the incentive for an auction firm to maximize the organization's return.

[314] Gleim #: 5.2.72 -- Source: CIA 595 I-66

While performing analytical procedures related to an engagement involving a social services agency of a government entity, the internal auditor noted an unusually large increase in payments to individual recipients who are under the direction of a particular social worker in the agency. The internal auditor is considering making a recommendation about appropriate controls to address a potential problem of fictitious recipients. The internal auditor has identified the following control procedures as potential items to include in the recommendation.

- I. Require that all additions to the recipient file be independently investigated and approved by a supervisor of the social workers.
- II. Require the use of self-checking digits on the account numbers of all recipients so that any duplicates will be immediately noted by the system.
- III. Incorporate a code into the computer program to search for duplicate names and addresses. Develop an exception report that will go to the section supervisor whenever duplicates are noted.
- IV. Require that social workers be rotated among recipients.

Which of the following control combinations would effectively address the internal auditor's concerns and improve control over valid recipients?

- A. I, II, III, and IV.
- B. I, II, and III.
- C. I and IV.
- D. I, III, and IV.

- Answer (A) is incorrect. The self-checking digit does not improve control over payments to fictitious customers. Each recipient entered into the system will have a unique self-checking digit, but the concern is about the process of authorizing recipients.
- Answer (B) is incorrect. The self-checking digit does not improve control over payments to fictitious customers. Each recipient entered into the system will have a unique self-checking digit, but the concern is about the process of authorizing recipients.
- Answer (C) is incorrect. Item III is also helpful.
- Answer (D) is **correct**. Social workers should not perform incompatible functions. Supervisory authorization of new recipients segregates duties appropriately. The computer check will detect a suspicious pattern of duplicate names and addresses. Rotating duties prevents a social worker from controlling information about fraudulent activity indefinitely. A new social worker may discover fictitious recipients created by the predecessor.

[315] Gleim #: 5.2.73 -- Source: CIA 1196 I-36

An organization has grown rapidly and has just automated its human resource system. The organization has developed a large database that tracks employees, employee benefits, payroll deductions, job classifications, ethnic code, age, insurance, medical protection, and other similar information. Management has asked the internal audit activity to review the new system. The automated system contains a table of pay rates matched with the employee job classifications. The **best** control to ensure that the table is updated correctly for only valid pay changes is to

- A. Limit access to the data table to management and line supervisors who have the authority to determine pay rates.
 - B. Require a supervisor in the department, who does not have the ability to change the table of pay rates, to compare the changes with a signed management authorization.
 - C. Ensure that adequate edit and reasonableness checks are built into the automated system.
 - D. Require that all pay changes be signed by the employee to verify that the change goes to a bona fide employee.
- Answer (A) is incorrect. Access to the database should be severely restricted to personnel within the human resources or payroll departments.
 - Answer (B) is **correct**. To maintain a proper segregation of duties, changes in pay rates should be authorized by someone outside the human resources department. Furthermore, authorization should be independently verified by an individual who does not have a recording function.
 - Answer (C) is incorrect. Edit checks will not detect unauthorized changes.
 - Answer (D) is incorrect. The control must ensure that changes in the table of pay rates are properly authorized and entered into the system.

[316] Gleim #: 5.2.74 -- Source: CIA 1196 I-38

An organization has grown rapidly and has just automated its human resource system. The organization has developed a large database that tracks employees, employee benefits, payroll deductions, job classifications, ethnic code, age, insurance, medical protection, and other similar information. Management has asked the internal audit activity to review the new system. Human resources and payroll are separate departments. Which of the following combinations provides the **best** segregation of duties?

- A. Human resources adds employees, payroll processes hours, and human resources delivers the paychecks to employees.
 - B. Human resources adds employees, reviews and submits payroll hours to payroll for processing, and delivers paychecks to employees.
 - C. Human resources adds employees, and payroll processes hours and enters employee bank account numbers. Paychecks are automatically deposited in the employee's bank account.
 - D. Payroll adds employees and enters employees' bank account numbers but processes hours only as approved by human resources. Paychecks are automatically deposited in the employee's bank account.
- Answer (A) is incorrect. The human resources department should not add employees and deliver paychecks. These two duties should be segregated.
 - Answer (B) is incorrect. The functions are all performed by human resources. There is no segregation of duties.
 - Answer (C) is **correct**. The functions of transaction authorization and recording should be segregated to minimize opportunities for fraud. Furthermore, automatic check deposit reduces asset custody risk.
 - Answer (D) is incorrect. Payroll is adding employees and processing hours. These two duties should be performed by different departments.

[317] Gleim #: 5.2.75 -- Source: Publisher 2009

Under the COSO's ERM framework, which of the following **most** accurately describes risk management responsibilities?

- A. In practice, management has primary responsibility.
 - B. The internal audit activity has an oversight role.
 - C. The board provides assurance about the effectiveness of ERM.
 - D. The chief audit executive should serve as chief risk officer.
- Answer (A) is **correct**. The board has overall responsibility. However, in practice, the board delegates responsibility for ERM to senior management, which ensures that sound processes are in place and functioning.
 - Answer (B) is incorrect. The IAA provides objective assurance that (1) ERM processes are effective and (2) key risks are managed at an acceptable level.
 - Answer (C) is incorrect. The board has overall responsibility.
 - Answer (D) is incorrect. The CAE must not be the CRO because of the impairment of independence and objectivity.

[318] Gleim #: 5.2.76 -- Source: Publisher 2009

A recent inventory shortage at XYZ Corp., an unaffiliated supplier, contributed to production failures at OPS Corp. in the current period. To avoid future production failures because of supplier inventory shortages, the **most** appropriate method is for OPS to

- A. Establish an inventory control framework at XYZ.
- B. Increase the size of orders.
- C. Produce the inventory items instead of purchasing from suppliers.
- D. Inform XYZ about its risk appetite regarding supply failures.

- Answer (A) is incorrect. OPS has no authority to establish an inventory control framework at XYZ.
- Answer (B) is incorrect. Increasing order size does not address the cause of supplier failures.
- Answer (C) is incorrect. Although in-house production will eliminate the external parties, it may not be the most cost effective method. The external party may have cost advantages the organization does not.
- Answer (D) is **correct**. The risk appetite is the level of risk that an organization is willing to accept (Glossary). In an enterprise risk management (ERM) system, the risk appetite is considered in (1) evaluating strategic options, (2) setting objectives, and (3) developing risk management techniques. Thus, communicating about the risk appetite with external parties is an important aspect of risk management. It allows the organization to develop strategies to work with suppliers who may have different objectives.

[319] Gleim #: 5.2.77 -- Source: Publisher 2009

Which of the following is closely related to traditional risk management instead of enterprise risk management (ERM)?

- A. Rapid response to opportunities.
- B. Organization-level view of risk.
- C. Emphasis on specific functions.
- D. Achieving financial goals.

- Answer (A) is incorrect. This is a characteristic of the ERM, which tries to offset potential risks with opportunities.
- Answer (B) is incorrect. The ERM tries to view risk as it affects every level of an organization.
- Answer (C) is **correct**. The enterprise risk management approach set forth by the committee of Sponsoring Organizations of the Treadway Commission (COSO) attempts to approach an organization as a whole instead of focusing on any specific area or risk.
- Answer (D) is incorrect. Financial goals are an example of the methods an ERM will use to achieve objectives in one or more separate but overlapping categories.

[320] Gleim #: 5.2.78 -- Source: Publisher 2009

Which of the following members of an organization has ultimate ownership responsibility of the enterprise risk management, provides leadership and direction to senior managers, and monitors the entity's overall risk activities in relation to its risk appetite?

- A. Chief risk officer.
- B. Chief executive officer.
- C. Internal auditors.
- D. Chief financial officer.

- Answer (A) is incorrect. The risk officer works in assigned areas of responsibility in a staff function. The work of a risk officer often extends beyond one specific area because the officer will have the necessary resources to work across many segments or divisions.
- Answer (B) is **correct**. The chief executive officer (CEO) sets the tone at the top of the organization and has ultimate responsibility for ownership of the ERM. The CEO will influence the composition and conduct of the board, provide leadership and direction to senior managers, and monitor the entity's overall risk activities in relation to its risk appetite. If any problems arise with the organization's risk appetite, the CEO will also take any measures to adjust the alignment to better suit the organization.
- Answer (C) is incorrect. The internal auditors evaluate the ERM and may provide recommendations.
- Answer (D) is incorrect. The CFO is subordinate to the CEO.

[321] Gleim #: 5.2.79 -- Source: Publisher 2009

Which of the following is the Internal Control Guidance for Directors on the Combined Code referred to as?

- A. COSO.
- B. COBIT.
- C. The Turnbull Report.
- D. CoCo.

- Answer (A) is incorrect. COSO stands for the Committee of Sponsoring Organizations of the Treadway Commission and refers to the Internal Control-Integrated Framework.
- Answer (B) is incorrect. COBIT is the information technology control-integrated framework by the IT Governance Institute.
- Answer (C) is **correct**. There are only three globally recognized internal control frameworks. One of the three is the Internal Control Guidance for Directors on the Combined Code, which is referred to as the Turnbull Report and published by the Institute of Chartered Accountants in England and Wales.
- Answer (D) is incorrect. CoCo refers to Guidance on Control and is issued by the Canadian Institute of Chartered Accountants.

[322] Gleim #: 5.3.80 -- Source: CIA 1188 IV-51

Budgets are a necessary component of financial decision making because they help provide a(n)

- A. Efficient allocation of resources.
- B. Means to use all the firm's resources.
- C. Automatic corrective mechanism for errors.
- D. Means to check managerial discretion.

- Answer (A) is **correct**. A budget is a quantitative model of a plan of action developed by management. A budget functions as an aid to planning, coordination, and control. Thus, a budget helps management to allocate resources efficiently.
- Answer (B) is incorrect. Budgets are designed to use resources efficiently, not just use them.
- Answer (C) is incorrect. Budgets per se provide for no automatic corrections.
- Answer (D) is incorrect. Budgets are a management tool and are not designed to thwart managerial discretion.

[323] Gleim #: 5.3.81 -- Source: CIA 589 IV-13

Which of the following is the principal advantage of budgeting?

- A. Employee motivation.
- B. Performance evaluation.
- C. Forced planning.
- D. Communication.

- Answer (A) is incorrect. Employee motivation is a significant but secondary purpose of budgets.
- Answer (B) is incorrect. Performance evaluation is a significant but secondary purpose of budgets.
- Answer (C) is **correct**. Managers in a formal budget setting are compelled to examine the future and be prepared to respond to future conditions. Without budgets, many operations would fail because of inadequate planning. Budgeting is therefore a form of discipline and coordination.
- Answer (D) is incorrect. Communication is a significant but secondary purpose of budgets. Planning is the foundation of other managerial functions, such as communication.

[324] Gleim #: 5.3.82 -- Source: CMA 1288 3-22

Internal control should follow certain basic principles to achieve its objectives. One of these principles is the segregation of functions. Which one of the following examples does **not** violate the principle of segregation of functions?

- A. The treasurer has the authority to sign checks but gives the signature block to the assistant treasurer to run the check-signing machine.
 - B. The warehouse clerk, who has the custodial responsibility over inventory in the warehouse, may authorize disposal of damaged goods.
 - C. The sales manager has the responsibility to approve credit and the authority to write off accounts.
 - D. The department time clerk is given the undistributed payroll checks to mail to absent employees.
-
- Answer (A) is **correct**. Controls include segregation of duties to reduce the risk that any person may be able to perpetrate and conceal errors or fraud in the normal course of his/her duties. Different persons should authorize transactions, record transactions, and maintain custody of assets. The treasurer's department should have custody of assets but should not authorize or record transactions. Because the assistant treasurer reports to the treasurer, the treasurer is merely delegating an assigned duty related to asset custody. The use of the check-signing machine does not conflict with any other duty of the assistant treasurer and does not involve authorization or recording of transactions.
 - Answer (B) is incorrect. Authorization to dispose of damaged goods could be used to cover thefts of inventory for which the warehouse clerk has custodial responsibility. Transaction authorization is inconsistent with asset custody.
 - Answer (C) is incorrect. The sales manager could approve credit to a controlled entity and then write off the account as a bad debt. The sales manager's authorization of credit is inconsistent with his/her indirect access to assets.
 - Answer (D) is incorrect. The time clerk could conceal the termination of an employee and retain that employee's paycheck. Record keeping is inconsistent with asset custody.

[325] Gleim #: 5.3.83 -- Source: CMA 1288 3-23

If internal control is well designed, two tasks that should be performed by different persons are

- A. Approval of bad debt write-offs, and reconciliation of the accounts payable subsidiary ledger and controlling account.
 - B. Distribution of payroll checks and approval of sales returns for credit.
 - C. Posting of amounts from both the cash receipts journal and cash payments journal to the general ledger.
 - D. Recording of cash receipts and preparation of bank reconciliations.
-
- Answer (A) is incorrect. There is no conflict between writing off bad debts (accounts receivable) and reconciling accounts payable, which are liabilities.
 - Answer (B) is incorrect. Distribution of payroll checks and approval of sales returns are independent functions. People who perform such disparate tasks are unlikely to be able to perpetrate and conceal a fraud. In fact, some organizations use personnel from an independent function to distribute payroll checks.
 - Answer (C) is incorrect. Posting both ledgers would cause no conflict as long as the individual involved did not have access to the actual cash. If a person has access to records but not the assets, no danger exists of embezzlement without collusion.
 - Answer (D) is **correct**. Recording of cash establishes accountability for assets. The bank reconciliation compares that recorded accountability with actual assets. The recording of cash receipts and preparation of bank reconciliations should therefore be performed by different individuals because the preparer of a reconciliation could conceal a cash shortage. For example, if a cashier both prepares the bank deposit and performs the reconciliation, (s)he could embezzle cash and conceal the theft by falsifying the reconciliation.

[326] Gleim #: 5.3.84 -- Source: CMA 689 3-16

Which one of the following situations represents an internal control weakness in the payroll department?

- A. Payroll department personnel are rotated in their duties.
- B. Paychecks are distributed by the employees' immediate supervisor.
- C. Payroll records are reconciled with quarterly tax reports.
- D. The timekeeping function is independent of the payroll department.

- Answer (A) is incorrect. Periodic rotation of payroll personnel inhibits the perpetration and concealment of fraud.
- Answer (B) is **correct**. Paychecks should not be distributed by supervisors because an unscrupulous person could terminate an employee and fail to report the termination. The supervisor could then clock in and out for the employee and keep the paycheck. A person unrelated to either payroll record keeping or the operating department should distribute checks.
- Answer (C) is incorrect. This analytical procedure may detect a discrepancy.
- Answer (D) is incorrect. Timekeeping should be independent of asset custody and employee records.

[327] Gleim #: 5.3.85 -- Source: CIA 590 I-9

Which of the following activities represents both an appropriate personnel department function and a deterrent to payroll fraud?

- A. Distribution of paychecks.
- B. Authorization of overtime.
- C. Authorization of additions and deletions from the payroll.
- D. Collection and retention of unclaimed paychecks.

- Answer (A) is incorrect. The treasurer should perform the asset custody function regarding payroll.
- Answer (B) is incorrect. Authorizing overtime is a responsibility of operating management.
- Answer (C) is **correct**. The payroll department is responsible for assembling payroll information (record keeping). The personnel department is responsible for authorizing employee transactions such as hiring, firing, and changes in pay rates and deductions. Segregating the recording and authorization functions helps prevent fraud.
- Answer (D) is incorrect. Unclaimed checks should be in the custody of the treasurer until they can be deposited in a special bank account.

[328] Gleim #: 5.3.86 -- Source: CIA 1196 I-34

Which of the following describes a control weakness?

- A. Purchasing procedures are well designed and are followed unless otherwise directed by the purchasing supervisor.
- B. Prenumbered blank purchase orders are secured within the purchasing department.
- C. Normal operational purchases fall in the range from \$500 to \$1,000 with two signatures required for purchases over \$1,000.
- D. The purchasing agent invests in a publicly traded mutual fund that lists the stock of one of the organization's suppliers in its portfolio.

- Answer (A) is **correct**. Well-designed procedures that are set aside at management's discretion are not adequate controls. Control procedures must be followed consistently to be effective. However, the possibility of management override is an inherent limitation of internal control.
- Answer (B) is incorrect. Use of prenumbered blank purchase orders secured within the purchasing department is a common control.
- Answer (C) is incorrect. Requiring a more stringent authorization procedure for larger purchases is an appropriate control as long as documentation supports the purchases.
- Answer (D) is incorrect. The purchasing agent's mutual fund investment should not be a conflict of interest. The relationship between the return on the investment and any possible action by the agent to favor the supplier is very weak.

[329] Gleim #: 5.3.87 -- Source: CIA 591 I-25

The **most** appropriate method to prevent fraud or theft during the frequent movement of trailers loaded with valuable metal scrap from the manufacturing plant to the organization's scrap yard about 10 miles away would be to

- A. Perform complete physical inventory of the scrap trailers before leaving the plant and upon arrival at the scrap yard.
- B. Require existing security guards to log the time of plant departure and scrap yard arrival. The elapsed time should be reviewed by a supervisor for fraud.
- C. Use armed guards to escort the movement of the trailers from the plant to the scrap yard.
- D. Contract with an independent hauler for the removal of scrap.

- Answer (A) is incorrect. Performing a complete physical inventory of the scrap at both locations would not be economically feasible.
- Answer (B) is **correct**. Having the security guards record the times of departure and arrival is a cost-effective control because it entails no additional expenditures. Comparing the time elapsed with the standard time allowed and investigating material variances may detect a diversion of part of the scrap.
- Answer (C) is incorrect. Hiring armed guards to escort the scrap trailers is unlikely to be necessary unless the scrap is extremely valuable. Logging departures and arrivals will be sufficient in most cases.
- Answer (D) is incorrect. Using an independent hauler would provide no additional assurance of prevention or detection of wrongdoing.

[330] Gleim #: 5.3.88 -- Source: CIA 592 II-15

A utility with a large investment in repair vehicles would **most** likely implement which internal control to reduce the risk of vehicle theft or loss?

- A. Review insurance coverage for adequacy.
- B. Systematically account for all repair work orders.
- C. Physically inventory vehicles and reconcile the results with the accounting records.
- D. Maintain vehicles in a secured location with release and return subject to approval by a custodian.

- Answer (A) is incorrect. Insurance provides for indemnification if loss or theft occurs. It reduces financial exposure but does not prevent the actual loss or theft.
- Answer (B) is incorrect. An internal control designed to ensure control over repair work performed has no bearing on the risk of loss.
- Answer (C) is incorrect. Taking an inventory is a detective, not a preventive, control.
- Answer (D) is **correct**. Physical control of assets is a preventive control that reduces the likelihood of theft or other loss. Keeping the vehicles at a secure location and restricting access establishes accountability by the custodian and allows for proper authorization of their use.

[331] Gleim #: 5.3.89 -- Source: CIA 1192 II-16

To minimize the risk that agents in the purchasing department will use their positions for personal gain, the organization should

- A. Rotate purchasing agent assignments periodically.
- B. Request internal auditors to confirm selected purchases and accounts payable.
- C. Specify that all items purchased must pass value-per-unit-of-cost reviews.
- D. Direct the purchasing department to maintain records on purchase prices paid, with review of such being required each 6 months.

- Answer (A) is **correct**. The risk of favoritism is increased when buyers have long-term relationships with specific vendors. Periodic rotation of buyer assignments will limit the opportunity to show favoritism. This risk is also reduced if buyers are required to take vacations.
- Answer (B) is incorrect. Confirmation does not enable internal auditors to detect inappropriate benefits received by purchasing agents or deter long-term relationships.
- Answer (C) is incorrect. Value-per-unit-of-cost reviews could be helpful in assuring value received for price paid but do not directly focus on receipt of inappropriate benefits by purchasing agents.
- Answer (D) is incorrect. Review of records every 6 months does not enable the organization to detect receipt of inappropriate benefits by an agent or deter relationships that could lead to such activity.

[332] Gleim #: 5.3.90 -- Source: Publisher

A system of internal control includes physical controls over access to and use of assets and records. A departure from the purpose of such procedures is that

- A. Access to the safe-deposit box requires two officers.
 - B. Only storeroom personnel and line supervisors have access to the raw materials storeroom.
 - C. The mailroom compiles a list of the checks received in the incoming mail.
 - D. Only salespersons and sales supervisors use sales department vehicles.
- Answer (A) is incorrect. It is appropriate for two officers to be required to open the safe-deposit box. One supervises the other.
 - Answer (B) is **correct**. Storeroom personnel have custody of assets, and supervisors are in charge of execution functions. To give supervisors access to the raw materials storeroom is a violation of the essential internal control principle of segregation of functions.
 - Answer (C) is incorrect. The mailroom typically compiles a prelisting of cash. The list is sent to the accountant as a control for actual cash sent to the cashier.
 - Answer (D) is incorrect. Use of sales department vehicles should be limited to sales personnel unless proper authorization is obtained.

[333] Gleim #: 5.3.91 -- Source: CIA 589 II-7

Which of the following controls could be used to detect bank deposits that are recorded but never made?

- A. Establishing accountability for receipts at the earliest possible time.
 - B. Linking receipts to other internal accountabilities, for example, collections to either accounts receivable or sales.
 - C. Consolidating cash receiving points.
 - D. Having bank reconciliations performed by a third party.
- Answer (A) is incorrect. The issue is not accountability for receipts but detection of failure to record deposits.
 - Answer (B) is incorrect. The issue is not accountability for receipts but detection of failure to record deposits.
 - Answer (C) is incorrect. The issue is not accountability for receipts but detection of failure to record deposits.
 - Answer (D) is **correct**. Having an independent third party prepare the bank reconciliations would reveal any discrepancies between recorded deposits and the bank statements. A bank reconciliation compares the bank statement with company records and resolves differences caused by deposits in transit, outstanding checks, NSF checks, bank charges, errors, etc.

[334] Gleim #: 5.3.92 -- Source: CIA 1194 I-26

Management can **best** strengthen internal control over the custody of inventory stored in an off-site warehouse by implementing

- A. Reconciliations of transfer slips to/from the warehouse with inventory records.
- B. Increases in insurance coverage.
- C. Regular reconciliation of physical inventories to accounting records.
- D. Regular confirmation of the amount on hand with the custodian of the warehouse.

- Answer (A) is incorrect. Examination of documents is a less effective procedure than actual observation of the inventory.
- Answer (B) is incorrect. Increasing insurance coverage helps protect the business against losses but does not strengthen internal control over the custody of inventory.
- Answer (C) is **correct**. The most effective control over off-site inventory is the periodic comparison of the recorded accountability for inventory with the actual physical inventory.
- Answer (D) is incorrect. Confirming with the custodian the amount of inventory on hand does not verify that the inventory is actually at the warehouse.

[335] Gleim #: 5.3.93 -- Source: CIA 593 II-11

Upon receipt of purchased goods, receiving department personnel match the quantity received with the packing slip quantity and mark the retail price on the goods based on a master price list. The annotated packing slip is then forwarded to inventory control and goods are automatically moved to the retail sales area. The **most** significant control strength of this activity is

- A. Immediately pricing goods for retail sale.
- B. Matching quantity received with the packing slip.
- C. Using a master price list for marking the sale price.
- D. Automatically moving goods to the retail sales area.

- Answer (A) is incorrect. Timing is not as important as the accuracy of prices.
- Answer (B) is incorrect. Matching quantity received with the packing slip does not ensure receipt of the quantity ordered.
- Answer (C) is **correct**. Use of the master price list ensures that the correct retail price is marked.
- Answer (D) is incorrect. Goods may or may not be needed in retail sales.

[336] Gleim #: 5.3.94 -- Source: CIA 597 1-13

A manufacturer uses large quantities of small, inexpensive items, such as nuts, bolts, washers, and gloves, in the production process. As these goods are purchased, they are recorded in inventory in bulk amounts. Bins are located on the shop floor to provide timely access to these items. When necessary, the bins are refilled from inventory, and the cost of the items is charged to a consumable supplies account, which is part of shop overhead. Which of the following would be an appropriate improvement of controls in this environment?

- A. Relocate bins to the inventory warehouse.
- B. Require management review of reports on the cost of consumable items used in relation to budget.
- C. Lock the bins during normal working hours.
- D. None of the above controls are needed for items of minor cost and size.

- Answer (A) is incorrect. The bins should be on the shop floor where the nuts, bolts, etc., are needed.
- Answer (B) is **correct**. In accordance with the cost-benefit criterion, control expenditures for manufacturing supplies (nuts, bolts, etc.) should be minimal. Nevertheless, some controls should be implemented. For example, usage should be estimated and compared with stock balances and also with the number of using personnel. Moreover, variances should be calculated for the difference between costs incurred and budgeted amounts.
- Answer (C) is incorrect. Locking the bins would limit the efficiency and effectiveness of shop personnel.
- Answer (D) is incorrect. Controls are needed even for items of minor cost and size.

[337] Gleim #: 5.3.95 -- Source: CIA 597 1-54

When a supplier of office products is unable to fill an order completely, it marks the out-of-stock items as back ordered on the customer's order and enters these items in a back order file that management can view or print. Customers are becoming disgruntled with the supplier because it seems unable to keep track of and ship out-of-stock items as soon as they are available. The **best** approach for ensuring prompt delivery of out-of-stock items is to

- A. Match the back order file to goods received daily.
 - B. Increase inventory levels to minimize the number of times that out-of-stock conditions occur.
 - C. Implement electronic data interchange with supply vendors to decrease the time to replenish inventory.
 - D. Reconcile the sum of filled and back orders with the total of all orders placed daily.
-
- Answer (A) is **correct**. The system should be designed automatically to reconcile the back-order file with shipments on a daily basis. The system could therefore identify unfilled orders for appropriate and prompt action.
 - Answer (B) is incorrect. An increase in inventory minimizes out-of-stock conditions but has no effect on tracking and shipping goods as soon as they are available.
 - Answer (C) is incorrect. The use of EDI has no effect on tracking and shipping goods as soon as they are available.
 - Answer (D) is incorrect. Reconciling the sum of filled and back orders with the total of all orders placed daily ensures that orders were either filled or back ordered but will not affect delivery of the items that are out of stock.

[338] Gleim #: 5.3.96 -- Source: CIA 1195 I-16

A restaurant chain has over 680 restaurants. All food orders for each restaurant are required to be entered into an electronic device that records all food orders by food servers and transmits the order to the kitchen for preparation. All food servers are responsible for collecting cash for all their orders and must turn in cash at the end of their shift equal to the sales value of food ordered for their I.D. number. The manager then reconciles the cash received for the day with the computerized record of food orders generated. All differences are investigated immediately by the restaurant. Organizational headquarters has established monitoring controls to determine when an individual restaurant might not be recording all its revenue and transmitting the applicable cash to the corporate headquarters. Which one of the following is the **best** example of a monitoring control?

- A. The restaurant manager reconciles the cash received with the food orders recorded on the computer.
 - B. All food orders must be entered on the computer, and segregation of duties is maintained between the food servers and the cooks.
 - C. Management prepares a detailed analysis of gross margin per store and investigates any store that shows a significantly lower gross margin.
 - D. Cash is transmitted to corporate headquarters on a daily basis.
-
- Answer (A) is incorrect. The manager's activity is an example of a reconciliation control applied at the store level. Monitoring is an overall control that determines whether other controls are operating effectively.
 - Answer (B) is incorrect. The division of duties is an operational control.
 - Answer (C) is **correct**. Monitoring is a process that assesses the quality of internal control over time. It involves assessment by appropriate personnel of the design and operation of controls and the taking of corrective action. Monitoring can be done through ongoing activities or separate evaluations. Ongoing monitoring procedures are built into the normal recurring activities of an entity and include regular management and supervisory activities. Thus, analysis of gross margin data and investigation of significant deviations is a monitoring process.
 - Answer (D) is incorrect. Daily transmission of cash is an operational control.

[339] Gleim #: 5.3.97 -- Source: CIA 1195 I-64

Insurers may receive hospitalization claims directly from hospitals by computer media; no paper is transmitted from the hospital to the insurer. Which of the following controls is **most** effective in detecting fraud in such an environment?

- A. Use integrated test facilities to test the correctness of processing in a manner that is transparent to data processing.
- B. Develop monitoring programs to identify unusual types of claims or an unusual number of claims by demographic classes for investigation by the claims department.
- C. Use generalized audit software to match the claimant identification number with a master list of valid policyholders.
- D. Develop batch controls over all items received from a particular hospital and process those claims in batches.

- Answer (A) is incorrect. An ITF is useful in determining the correctness of processing of validly entered transactions. The issue in this case is the validity of the entered transactions.
- Answer (B) is **correct**. Monitoring assesses the quality of internal control over time. Management considers whether internal control is properly designed and operating as intended and modifies it to reflect changing conditions. Monitoring may be in the form of separate periodic evaluations or of ongoing monitoring. Ongoing monitoring occurs as part of routine operations. It includes management and supervisory review, comparisons, reconciliations, and other actions by personnel as part of their regular activities. Thus, monitoring of the number and nature of claims may serve to detect failures of internal control.
- Answer (C) is incorrect. An edit control should be built into the application to test for valid policy numbers.
- Answer (D) is incorrect. Batch controls are designed to ensure that all items submitted are processed, i.e., that they are not lost or added to. Batch controls serve a control purpose, but the major concern in this situation is the validity of the input.

[340] Gleim #: 5.3.98 -- Source: CIA 04 Model Exam I-72

Which of the following controls would prevent the ordering of quantities in excess of an organization's needs?

- A. Review of all purchase requisitions by a supervisor in the user department prior to submitting them to the purchasing department.
- B. Automatic reorder by the purchasing department when low inventory level is indicated by the system.
- C. A policy requiring review of the purchase order before receiving a new shipment.
- D. A policy requiring agreement of the receiving report and packing slip before storage of new receipts.

- Answer (A) is **correct**. Supervisory review at the originating department level is one means of control over the number of items ordered. This control is an example of the segregation of duties. Authorization should be separate from record keeping and asset custody.
- Answer (B) is incorrect. Automatic reordering does not consider future plans, which could lead to purchases of excess material.
- Answer (C) is incorrect. Review of the purchase order before receiving a new shipment is a control for the risk of accepting unordered goods.
- Answer (D) is incorrect. A policy requiring agreement of the receiving report and packing slip before storage of new receipts is a control over the risk of receiving an amount other than that ordered.

[341] Gleim #: 5.3.99 -- Source: CIA 04 Model Exam I-73

Which of the following observations by an auditor is **most** likely to indicate the existence of control weaknesses over safeguarding of assets?

- I. A service department's location is not well suited to allow adequate service to other units.
 - II. Employees hired for sensitive positions are not subjected to background checks.
 - III. Managers do not have access to reports that profile overall performance in relation to other benchmarked organizations.
 - IV. Management has not taken corrective action to resolve past engagement observations related to inventory controls.
- A. I and II only.
 - B. I and IV only.
 - C. II and III only.
 - D. II and IV only.

- Answer (A) is incorrect. A service department's location concerns achieving organizational objectives, not safeguarding of assets.
- Answer (B) is incorrect. A service department's location concerns achieving organizational objectives, not safeguarding of assets. But failure to do background checks is a control weakness related to asset security.
- Answer (C) is incorrect. Managers not having access to reports profiling overall performance concerns achieving organizational objectives.
- Answer (D) is **correct**. Internal auditors evaluate risk exposures and the adequacy and effectiveness of controls relating to, among other things, safeguarding of assets (Standard 2130.A1). Lack of background checks for employees hired for sensitive positions and failure to take corrective action on past engagement observations relating to safeguarding of assets are red flags signifying control weaknesses. Regular reference and background checks, integrity tests, and drug screening are hiring procedures that may be part of an effective ethical culture. Furthermore, internal auditors follow up on engagement results to determine what corrective actions have been taken or whether management or the board has assumed the risk of not taking action. If the CAE believes the risk assumed may be unacceptable to the organization, (s)he must discuss the matter with senior management and the board (Standards 2500.A1 and 2600).

[342] Gleim #: 5.3.100 -- Source: CIA 04 Model Exam I-74

A control likely to prevent purchasing agents from favoring specific suppliers is

- A. Requiring management's review of a monthly report of the totals spent by each buyer.
- B. Requiring buyers to adhere to detailed material specifications.
- C. Rotating buyer assignments periodically.
- D. Monitoring the number of orders placed by each buyer.

- Answer (A) is incorrect. Requiring review of a monthly report of the totals spent by each buyer does not enable the organization to detect receipt of inappropriate benefits by an agent or deter relationships that could lead to such activity.
- Answer (B) is incorrect. Detailed material specifications will not prevent buyer favoritism in placing orders.
- Answer (C) is **correct**. The risk of favoritism is increased when buyers have long-term relationships with specific vendors. Periodic rotation of buyer assignments will limit the opportunity for any buyer to show favoritism to a particular supplier.
- Answer (D) is incorrect. The number of orders placed is not relevant to preventing favoritism.

[343] Gleim #: 5.3.101 -- Source: CIA 04 Model Exam I-77

Appropriate internal control for a multinational corporation's branch office that has a monetary transfer unit requires that

- A. The individual who initiates wire transfers not reconcile the bank statement.
- B. The branch manager receive all wire transfers.
- C. Foreign currency rates be computed separately by two different employees.
- D. Corporate management approve the hiring of monetary transfer unit employees.

- Answer (A) is **correct**. A control is any action taken by management to enhance the likelihood that established goals and objectives will be achieved. Controls include segregation of duties to reduce the risk that any person may be able to perpetrate and conceal errors or fraud in the normal course of his/her duties. Different persons should authorize transactions, record transactions, and maintain custody of assets. Independent reconciliation of bank accounts is necessary for good internal control.
- Answer (B) is incorrect. Having the branch manager receive all wire transfers is not an important internal control consideration.
- Answer (C) is incorrect. Foreign currency translation rates are verified, not computed. Having two employees in the same department perform the same task will not significantly enhance internal control.
- Answer (D) is incorrect. Corporate management approval of hiring monetary transfer unit employees is not an important internal control consideration.

[344] Gleim #: 5.3.102 -- Source: CIA 1196 I-22

An internal auditor is reviewing the organization's policy regarding investing in financial derivatives. The internal auditor normally expects to find all of the following in the policy **except**

- A. A statement indicating whether derivatives are to be used for hedging or speculative purposes.
 - B. A specific authorization limit for the amount and types of derivatives that can be used by the organization.
 - C. A specific limit on the amount authorized for any single trader.
 - D. A statement requiring board review of each transaction because of the risk involved in such transactions.
- Answer (A) is incorrect. Whether the derivatives are to be used for hedging or speculating and various authorization limits are appropriate guidelines to be included in the policy.
 - Answer (B) is incorrect. Whether the derivatives are to be used for hedging or speculating and various authorization limits are appropriate guidelines to be included in the policy.
 - Answer (C) is incorrect. Whether the derivatives are to be used for hedging or speculating and various authorization limits are appropriate guidelines to be included in the policy.
 - Answer (D) is **correct**. Policies are general statements that guide managers' decision making. They are developed by the board of directors to provide guidelines for achieving objectives. Management is responsible for daily operations and should abide by the policies. Consequently, the board would not review each transaction.

[345] Gleim #: 5.3.103 -- Source: CIA 597 1-26

Which of the following control procedures provides the greatest assurance that all donations to a not-for-profit organization are immediately deposited to the organization's account?

- A. Use a lockbox to receive all donations.
 - B. Perform periodic reviews of the organization's cash receipts by tracing deposits to the original posting in the cash receipts records.
 - C. Require that all donations be made by check.
 - D. Require issuance of a confirmation receipt to all donors, with the receipt issued by the person who opens and deposits the cash receipts.
- Answer (A) is **correct**. A lockbox system expedites receipt of funds and provides effective control over cash receipts. Donors send their payments to mailboxes, often in numerous locations, that are checked by a bank several times a day. Hence, payments are deposited before being processed by the organization's accounting system.
 - Answer (B) is incorrect. The flaw in this procedure is that it focuses only on deposits that were made. The concern is with cash receipts that were not deposited.
 - Answer (C) is incorrect. An individual may deposit a check to a similarly named organization.
 - Answer (D) is incorrect. The same person should not be responsible for the cash receipts and the confirmations. The person could confirm receipts even if they were diverted.

[346] Gleim #: 5.3.104 -- Source: CIA 1196 I-51

An internal auditor is assigned to perform an engagement to evaluate the organization's insurance program, including the appropriateness of the approach to minimizing risks. The organization self-insures against large casualty losses and health benefits provided for all its employees. The organization is a large national firm with over 15,000 employees located in various parts of the country. It uses an outside claims processor to administer its health care program. The organization's medical costs have been rising by approximately 8% per year for the past five years, and management is concerned with controlling these costs. The health care processor wishes to implement controls that would help prevent fraud by dentists who are submitting billings for services not provided. Assume further that all the claims are submitted electronically to the health care processor. Which of the following control procedures would be the **most** effective?

- A. Develop a program that identifies procedures performed on an individual in excess of expectations based on: the age of the employee, whether a similar procedure was performed recently, or the average cost per claim.
 - B. Require all submitted claims to be accompanied by a signed statement by the dentist testifying that the claimed procedures were performed.
 - C. Send confirmations to the dentists requesting them to confirm the exact nature of the claims submitted to the health care processor.
 - D. Develop an integrated test facility and submit false claims to verify that the system is detecting such claims on a consistent basis.
- Answer (A) is **correct**. The health care processor should implement an application control over input known as a reasonableness test. Under this method, unusual claims could be identified and followed up to determine if they are legitimate.
 - Answer (B) is incorrect. Requiring a signed statement does not prevent the dentist from filing a false claim.
 - Answer (C) is incorrect. Sending confirmations to the dentists does not prevent the filing of false claims or a false response to the confirmation.
 - Answer (D) is incorrect. An integrated test facility would only provide information about the correctness of the processing of the claim or a false response to the confirmation, not on the propriety of the claim.

[347] Gleim #: 5.3.105 -- Source: CIA 596 I-18

A rental car agency's fleet maintenance division uses a different code for each type of inventory transaction. A daily summary report lists activity by part number and transaction code. The report is reconciled by the parts room supervisor to the day's material request forms and is then forwarded to the fleet manager for approval. The reconciliation of the summary report to the day's material request forms by the parts room supervisor

- A. Verifies that all material request forms were approved.
 - B. Provides documentation as to what material was available for a specific transaction.
 - C. Confirms that all material request forms are entered for all parts issued.
 - D. Ensures the accuracy and completeness of data input.
- Answer (A) is incorrect. This reconciliation would not necessarily include a review of authorizations.
 - Answer (B) is incorrect. The material available for a specific transaction is not part of the reconciliation.
 - Answer (C) is incorrect. Not all request forms may have been submitted.
 - Answer (D) is **correct**. This reconciliation is an input control to verify that data entry is accurate and complete. The parts requested should be consistent with the parts used in the maintenance activities. Unexplained variances should be investigated.

[348] Gleim #: 5.3.106 -- Source: CIA 1186 I-6

An organization has computerized sales and cash receipts journals. The computer programs for these journals have been properly debugged. The internal auditor discovered that the total of the accounts receivable subsidiary accounts differs materially from the accounts receivable control account. This discrepancy could indicate

- A. Credit memoranda being improperly recorded.
- B. Receivables being lapped.
- C. Receivables not being properly aged.
- D. Statements being intercepted prior to mailing.

- Answer (A) is **correct**. Sales returns and allowances require the crediting of accounts receivable. Thus, the recording of unauthorized credit memoranda is one explanation for the discrepancy if sales and cash receipts are properly recorded.
- Answer (B) is incorrect. Lapping entails the theft of cash receipts and the use of subsequent receipts to conceal the theft. The effect is to overstate receivables, but no difference between the control total and the total of subsidiary amounts would arise.
- Answer (C) is incorrect. Aging does not involve accounting entries.
- Answer (D) is incorrect. Interception of customer statements might indicate fraudulent receivables but would not cause the subsidiary ledger discrepancy.

[349] Gleim #: 5.3.107 -- Source: CIA 1187 II-13

Which of the following operating controls relate to the organizing function?

- A. Formal procedures for selecting potential suppliers.
- B. Procedures providing for clear levels of purchase order approvals based on the value of the requisition.
- C. Written objectives and goals for the department.
- D. Timely materials reporting to buyers.

- Answer (A) is incorrect. Establishing procedures is a function of planning, which is the determination of how an individual activity is to be done.
- Answer (B) is **correct**. Organizing is the intentional design and structuring of tasks and roles to accomplish organizational goals. An organizational arrangement whereby purchases of greater value require authorization at higher management levels is an example of an organizational control.
- Answer (C) is incorrect. Establishing objectives and goals is also a planning function.
- Answer (D) is incorrect. Provision of timely information is a control function.

[350] Gleim #: 5.3.108 -- Source: CIA 1187 II-12

During an engagement involving a construction contract, the internal auditor discovered that the contractor was being paid for each ton of dirt removed. The contract called for payment based on cubic yards removed. Which internal control might have prevented this error?

- A. Comparison of invoices with purchase orders or contracts.
- B. Comparison of invoices with receiving reports.
- C. Comparison of actual costs with budgeted costs.
- D. Extension checks of invoice amounts.

- Answer (A) is **correct**. The contractor's invoice would have stated a unit of measure different from that in the contract. Thus, the basis of payment was not what was called for in this unit-price contract.
- Answer (B) is incorrect. The dirt removed would not have been received by the organization. Hence, no receiving reports would have existed.
- Answer (C) is incorrect. This comparison would not have detected the specific reason for a variance.
- Answer (D) is incorrect. The problem was not a mathematical error but an erroneous basis for payment.

[351] Gleim #: 5.3.109 -- Source: CIA 1189 I-9

An internal auditor noted that several shipments were not billed. To prevent recurrence of such nonbilling, the organization should

- A. Numerically sequence and independently account for all controlling documents (such as packing slips and shipping orders) when sales journal entries are recorded.
- B. Undertake a validity check with customers as to orders placed.
- C. Release product for shipment only on the basis of credit approval by the credit manager or other authorized person.
- D. Undertake periodic tests of gross margin rates by product line and obtain explanations of significant departures from planned rates.

- Answer (A) is **correct**. The sequential numbering of documents provides a standard control over transactions. The numerical sequence should be accounted for by an independent party. A major objective is to detect unrecorded and unauthorized transactions.
- Answer (B) is incorrect. This check would not prevent or detect unrecorded and unauthorized transactions.
- Answer (C) is incorrect. Credit approval does not assure billing.
- Answer (D) is incorrect. Testing gross margin rates is an analytical procedure, not a preventive control.

[352] Gleim #: 5.3.110 -- Source: CIA 1189 I-10

Which of the following describes the **most** effective preventive control to ensure proper handling of cash receipt transactions?

- A. Have bank reconciliations prepared by an employee not involved with cash collections and then have them reviewed by a supervisor.
- B. One employee issues a prenumbered receipt for all cash collections; another employee reconciles the daily total of prenumbered receipts to the bank deposits.
- C. Use predetermined totals (hash totals) of cash receipts to control posting routines.
- D. The employee who receives customer mail receipts prepares the daily bank deposit, which is then deposited by another employee.

- Answer (A) is incorrect. The bank reconciliation is a detective, not a preventive, control.
- Answer (B) is **correct**. Sequentially numbered receipts should be issued to determine accountability for cash collected. Such accountability should be established as soon as possible because cash has a high inherent risk. Daily cash receipts should be deposited intact so that receipts and bank deposits can be reconciled. The reconciliation should be performed by someone independent of the cash custody function.
- Answer (C) is incorrect. Use of hash totals is a control over the completeness of posting routines, not cash receipts.
- Answer (D) is incorrect. A cash remittance list should be prepared before a separate employee prepares the bank deposit. The list and deposit represent separate records based on independent counts made by different employees.

[353] Gleim #: 5.3.111 -- Source: CIA 591 II-20

During an engagement involving a purchasing department, an internal auditor discovered that many purchases were made (at normal prices) from an office supplier whose owner was the brother of the director of purchasing. Controls were in place to restrict such purchases and no fraud appears to have been committed. In this case, the internal auditor should recommend

- A. The development of an approved-vendor file initiated by the buyer and approved by the director of purchasing.
- B. Establishment of a price policy (range) for all goods.
- C. The initiation of a conflict-of-interest policy.
- D. The inspection of all receipts by receiving inspectors.

- Answer (A) is incorrect. An approved-vendor file initiated by the buyer would not prevent a conflict of interest.
- Answer (B) is incorrect. Price is not a factor when dealing with conflicts of interest.
- Answer (C) is **correct**. A policy is one means of achieving control. It is a general guide to and limit on action that should be clearly stated in writing and systematically communicated to appropriate parties. A conflict-of-interest policy should contain directives that restrict business dealings with relatives unless otherwise disclosed to and approved by senior management.
- Answer (D) is incorrect. The inspection of all receipts by receiving inspectors is an appropriate receiving control that does not pertain to this situation.

[354] Gleim #: 5.3.112 -- Source: CIA 591 II-24

Which of the following policies and procedures is consistent with effective administration of the insurance function?

- A. Billings for insurance coverage are received and payments disbursed by the insurance manager.
 - B. Policy coverages are adjusted each year by applying a price index to previous year coverages.
 - C. Final settlements are negotiated after claims are developed and submitted.
 - D. Policies are always placed with the carrier that offers the lowest rate for a specified level of coverage.
-
- Answer (A) is incorrect. The manager has too many responsibilities; there is no separation of duties. The receipt of billings and the disbursement of payments should be done by different people.
 - Answer (B) is incorrect. Policy coverages should be systematically evaluated each year to assure appropriate coverage. Mere adjustment for inflation is not adequate to determine the degree of risk that should be insured.
 - Answer (C) is **correct**. The claims handling process begins with prompt reporting by the affected operational unit of the organization of any basis for a claim. Prompt reporting is required to permit the insurer to take whatever steps it may deem necessary to reduce the ultimate compensable loss. The insurance function then cooperates with the operational unit to document and formally submit the claim to the carrier. Subsequently, the insurance function will be involved in any required review of the claim and negotiation of a settlement.
 - Answer (D) is incorrect. Prudence dictates that other factors, e.g., the financial resources of the carrier and the fairness and efficiency of claims handling, be considered in addition to rates.

[355] Gleim #: 5.3.113 -- Source: CIA 1187 I-12

An employee should not be able to visit the organization's safety deposit box containing investment securities without being accompanied by another employee. What would be a possible consequence of an employee's being able to visit the safety deposit box unaccompanied?

- A. The employee could pledge organizational investments as security for a short-term personal bank loan.
 - B. The employee could steal securities and the theft would never be discovered.
 - C. It would be impossible to obtain a fidelity bond on the employee.
 - D. There would be no record of when organizational personnel visited the safety deposit box.
-
- Answer (A) is **correct**. The bank should maintain a record, which can be inspected by organizational personnel, of all safety deposit box visits. Access should be limited to authorized officers. Organizations typically require the presence of two authorized persons for access to the box. This precaution provides supervisory control over, for example, the temporary removal of the securities to serve as a pledge for a loan (hypothecation of securities).
 - Answer (B) is incorrect. An engagement involving investment securities would eventually uncover an outright theft assuming no alteration of the asset records.
 - Answer (C) is incorrect. Obtaining a fidelity bond is contingent upon the character of the employee, not the presence of a specific control.
 - Answer (D) is incorrect. The bank maintains a record of visits.

[356] Gleim #: 5.3.114 -- Source: CIA 589 I-12

A preliminary survey of the purchasing function indicates that

- Department managers initiate purchase requests that must be approved by the plant superintendent,
- Purchase orders are typed by the purchasing department using prenumbered and controlled forms,
- Buyers regularly update the official vendor listing as new sources of supply become known,
- Rush orders can be placed with a vendor by telephone but must be followed by a written purchase order before delivery can be accepted, and
- Vendor invoice payment requests must be accompanied by a purchase order and receiving report.

One possible fault of this system is that

- A. Purchases could be made from a vendor controlled by a buyer at prices higher than normal.
 - B. Unnecessary supplies can be purchased by department managers.
 - C. Payment can be made for supplies not received.
 - D. Payment can be made for supplies received but not ordered by the purchasing department.
-
- Answer (A) is **correct**. A risk exposure typical of the purchasing function is that purchases may be made from vendors with respect to whom buyers or other employees have a conflict of interest. The result may be excessive prices or amounts, or poor quality of goods and services acquired. Accordingly, additions to the vendor file should be authorized at an appropriate level and not by the buyers. Similarly, bidders' lists should be approved by supervisory personnel.
 - Answer (B) is incorrect. The requirement of a written purchase order approved by the plant superintendent is a satisfactory control to prevent unnecessary purchases.
 - Answer (C) is incorrect. Payment is not made without a receiving report.
 - Answer (D) is incorrect. Payment requests must be supported by an approved purchase order.

[357] Gleim #: 5.3.115 -- Source: CIA 590 I-12

One of two office clerks in a small organization prepares a sales invoice; however, the invoice is incorrectly entered by the bookkeeper in the general ledger and the accounts receivable subsidiary ledger for a smaller amount resulting from a transposition of digits. The customer subsequently remits the amount on the monthly statement. Assuming only three employees are in the department, the **most** effective control to prevent this type of error is

- A. Assigning the second office clerk to make an independent check of prices, discounts, extensions, footings, and invoice serial numbers.
 - B. Requiring that monthly statements be prepared by the bookkeeper and verified by one of the other office clerks prior to mailing.
 - C. Using predetermined totals to control posting routines.
 - D. Requiring the bookkeeper to perform periodic reconciliations of the accounts receivable subsidiary ledger and the general ledger.
-
- Answer (A) is incorrect. The misposting was an error that occurred subsequent to this step.
 - Answer (B) is incorrect. These controls will not detect an initial misposting. The statements and the reconciliation are based on the misposted records.
 - Answer (C) is **correct**. A control total should be generated for the transactions to be posted. It should then be compared with the total of items posted to the individual accounts.
 - Answer (D) is incorrect. These controls will not detect an initial misposting. The statements and the reconciliation are based on the misposted records.

[358] Gleim #: 5.3.116 -- Source: CIA 1192 I-11

Which of the following aspects of the administration of a compensation program is the **most** important control in the long run?

- A. An informal wage and salary policy to be competitive with the industry average.
 - B. A plan of job classifications based on predefined evaluation criteria.
 - C. A wage and salary review plan for individual employee compensation.
 - D. A level of general compensation that is reasonably competitive.
-
- Answer (A) is incorrect. A vague policy would contribute little if anything to the fair administration of compensation programs.
 - Answer (B) is **correct**. Job classifications and grades are established during the job analysis phase and the general level of compensation in the community and in the industry must be determined. Compensation is then fixed based on the plan of job classifications, usually within a range for each grade. A range is necessary to allow for flexibility. Compensation should be low enough to avoid excess cost and to permit competitive pricing but high enough to attract needed personnel.
 - Answer (C) is incorrect. A plan for reviewing individual compensation presupposes a classification plan.
 - Answer (D) is incorrect. Reasonably competitive compensation is predicated on a classification plan.

[359] Gleim #: 5.3.117 -- Source: CIA 1196 III-32

Internal auditors can be considered leading agents for change within an organization. Which of the following is **not** a good way to promote this concept?

- A. A directive from top management, stating that internal auditors will be used for all process-improvement projects.
 - B. A brochure describing what internal auditing can do and the qualifications of the internal auditors.
 - C. Postengagement questionnaires to obtain information on how engagement clients perceive the internal audit activity.
 - D. Bulletins that highlight widespread or universal applications of engagement observations.
-
- Answer (A) is **correct**. A directive does not promote, but requires, the use of internal auditors. The result may be resentment towards the internal auditors and resistance to beneficial change. Education, communication, participation in decisions by those affected, facilitation and support, and negotiation are means of overcoming resistance to change.
 - Answer (B) is incorrect. Brochures are an effective way to promote internal auditors as leading agents for change within an organization. They are an educational and communication tool.
 - Answer (C) is incorrect. Questionnaires provide a means of engagement client participation in change.
 - Answer (D) is incorrect. Bulletins are an effective way to promote internal auditors as leading agents for change within an organization. They are an educational and communication tool.

[360] Gleim #: 5.3.118 -- Source: Publisher 2009

Control tools do not include

- A. Reconciliations.
 - B. Checklists.
 - C. Sharing of duties.
 - D. Exception reports.
-
- Answer (A) is incorrect. Reconciliations detect inconsistencies in financial calculations, e.g., bank reconciliations.
 - Answer (B) is incorrect. Checklists verify that a process has been completed.
 - Answer (C) is **correct**. Internal control is intended to mitigate risk associated with accomplishing an organization's objectives. Reconciliations, checklists, and exception reports all assist in mitigating risk by detecting or reporting errors. Sharing duties simply divides the workload without providing any cross check or second review of the work performed.
 - Answer (D) is incorrect. Exception reports, such as "receivables past due," report errors to be corrected.

[361] Gleim #: 5.4.119 -- Source: CIA 1190 I-49

An internal auditor fails to discover an employee fraud during an assurance engagement. The nondiscovery is **most** likely to suggest a violation of the Professional Practices Framework if it was the result of a

- A. Failure to perform a detailed review of all transactions in the area.
- B. Determination that any possible fraud in the area would not involve a material amount.
- C. Determination that the cost of extending procedures in the area would exceed the potential benefits.
- D. Presumption that the internal controls in the area were adequate and effective.

- Answer (A) is incorrect. Due professional care does not require detailed reviews of all transactions (PA 1220-1).
- Answer (B) is incorrect. The relative complexity, materiality, or significance of matters to which assurance procedures are applied should be considered.
- Answer (C) is incorrect. The internal auditor should consider the cost of assurance in relation to potential benefits.
- Answer (D) is **correct**. The IAA evaluates the adequacy and effectiveness of controls (Standard 2130.A1). Moreover, the IAA must assist the organization in maintaining effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement (Standard 2130). Thus, an internal auditor must not simply assume that controls are adequate and effective.

[362] Gleim #: 5.4.120 -- Source: CMA 682 3-17

From a modern internal auditing perspective, which one of the following statements represents the **most** important benefit of an internal auditing activity to management?

- A. Assurance that published financial statements are correct.
- B. Assurance that fraudulent activities will be detected.
- C. Assurance that the organization is complying with legal requirements.
- D. Assurance that there is reasonable control over day-to-day operations.

- Answer (A) is incorrect. Published financial statements are only required to be fairly presented. Internal audit activities cannot assure correctness.
- Answer (B) is incorrect. Internal auditing's responsibility with respect to fraud detection is to examine and evaluate the adequacy and effectiveness of internal control.
- Answer (C) is incorrect. Internal auditing evaluates and contributes to the improvement of risk management, control, and governance processes, but it cannot assure compliance with legal requirements.
- Answer (D) is **correct**. According to the definition of internal auditing, "Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes." Thus, it helps the organization to maintain effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement (Standard 2130).

[363] Gleim #: 5.4.121 -- Source: Publisher

The chief audit executive's responsibility for assessing and reporting on control processes includes

- A. Communicating to senior management and the board an annual judgment about internal control.
- B. Overseeing the establishment of internal control processes.
- C. Maintaining the organization's governance processes.
- D. Arriving at a single assessment based solely on the work of the internal audit activity.

- Answer (A) is **correct**. The CAE normally reports on control processes once a year to senior management and the board (PA 2130-1).
- Answer (B) is incorrect. Senior management is responsible for overseeing the establishment of internal control processes.
- Answer (C) is incorrect. The board is responsible for establishing and maintaining the organization's governance processes.
- Answer (D) is incorrect. The challenge for the internal audit activity is to evaluate the effectiveness of the organization's system of controls based on the aggregation of many individual assessments. Those assessments are largely gained from internal auditing engagements, management's self assessments, and external assurance providers' work.

[364] Gleim #: 5.4.122 -- Source: CMA 1288 3-25

The primary responsibility for overseeing the establishment and administration of internal control rests with

- A. The external auditor.
- B. Senior management.
- C. The controller.
- D. The treasurer.

- Answer (A) is incorrect. External auditors must consider internal control, but they do not establish and maintain it.
- Answer (B) is **correct**. Senior management's role is to oversee the establishment, administration, and assessment of the system of risk management and control processes (PA 2130-1).
- Answer (C) is incorrect. The controller is responsible only to the extent that (s)he is a part of the management team.
- Answer (D) is incorrect. The treasurer is responsible only to the extent that (s)he is a part of the management team.

[365] Gleim #: 5.4.123 -- Source: CMA 1284 3-22

Which of the following is **most** likely to be regarded as a strength in internal control in a traditional external audit?

- A. The performance of financial audits by the internal audit activity.
- B. The performance of operational engagements by internal auditors.
- C. The routine supervisory review of production planning.
- D. The existence of a preventive maintenance program.

- Answer (A) is **correct**. The external auditor's traditional role is to perform an audit to determine whether the externally reported financial statements are fairly presented. Thus, a financial audit by the IAA is relevant to the traditional external audit because it is an engagement in which the reliability and integrity of financial information is evaluated. Such an engagement is consistent with the *Standards*. According to Standard 2130.A1, the internal audit activity must evaluate the adequacy and effectiveness of controls in responding to risks within the organization's governance, operations, and information systems. This evaluation extends to the (1) reliability and integrity of financial and operational information; (2) effectiveness and efficiency of operations; (3) safeguarding of assets; and (4) compliance with laws, regulations, and contracts.
- Answer (B) is incorrect. Operational engagements are concerned with operational efficiency and effectiveness, matters that are not the primary focus of an external audit of financial statements.
- Answer (C) is incorrect. Routine supervisory review of production planning is a concern of management but does not directly affect the fair presentation of the financial statements.
- Answer (D) is incorrect. The existence of a preventive maintenance program is not directly relevant to a financial statement audit.

[366] Gleim #: 5.4.124 -- Source: CIA 592 II-16

Controls should be designed to ensure that

- A. Operations are performed efficiently.
 - B. Management's plans have not been circumvented by worker collusion.
 - C. The internal audit activity's guidance and oversight of management's performance is accomplished economically and efficiently.
 - D. Management's planning, organizing, and directing processes are properly evaluated.
-
- Answer (A) is **correct**. The purpose of control processes is to support people of the organization in the management of risks and the achievement of its established and communicated objectives. Control processes are expected to ensure operations are performed efficiently and achieve established results (PA 2130-1).
 - Answer (B) is incorrect. Collusion is an inherent limitation of internal control.
 - Answer (C) is incorrect. The board provides oversight of risk management and control processes administered by management.
 - Answer (D) is incorrect. Controls are actions by management, the board, and others to manage risk and increase the likelihood that established goals and objectives will be achieved (Glossary). The IAA evaluates the effectiveness of control processes (PA 2130-1). Thus, controls do not directly address management's planning, organizing, and directing processes. Internal auditors evaluate management processes to determine whether reasonable assurance exists that objectives and goals will be achieved.

[367] Gleim #: 5.4.125 -- Source: CIA 1192 II-15

Which of the following **best** defines control?

- A. Control is the result of proper planning, organizing, and directing by management.
 - B. Controls are statements of what the organization chooses to accomplish.
 - C. Control is provided when cost-effective measures are taken to restrict deviations to a tolerable level.
 - D. Control accomplishes objectives and goals in an accurate, timely, and economical fashion.
-
- Answer (A) is **correct**. According to the Glossary appended to the *Standards*, a control is "any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved." Thus, control is the result of proper planning, organizing, and directing by management.
 - Answer (B) is incorrect. Established objectives and goals are what the organization chooses to accomplish.
 - Answer (C) is incorrect. The IAA evaluates the efficiency of controls (Standard 2130), but the definition of control addresses effectiveness in achieving objectives and goals.
 - Answer (D) is incorrect. Efficient performance accomplishes objectives and goals in an accurate, timely, and economical fashion.

[368] Gleim #: 5.4.126 -- Source: CIA 1188 I-16

Controls that are designed to provide management with assurance of the realization of specified minimum gross margins on sales are

- A. Directive controls.
- B. Preventive controls.
- C. Detective controls.
- D. Output controls.

- Answer (A) is **correct**. A control is any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved (Glossary). The objective of directive controls is to cause or encourage desirable events to occur, e.g., providing management with assurance of the realization of specified minimum gross margins on sales.
- Answer (B) is incorrect. Preventive controls deter undesirable events from occurring.
- Answer (C) is incorrect. Detective controls uncover and correct undesirable events that have occurred.
- Answer (D) is incorrect. Output controls relate to the accuracy and reasonableness of information processed by a system, not to operating controls.

[369] Gleim #: 5.4.127 -- Source: CIA 1189 II-7

The procedure requiring preparation of a prelisting of incoming cash receipts, with copies of the prelist going to the cashier and to accounting, is an example of which type of control?

- A. Preventive.
- B. Corrective.
- C. Detective.
- D. Directive.

- Answer (A) is **correct**. A prelisting of cash receipts in the form of checks is a preventive control. It is intended to deter undesirable events from occurring. Because irregularities involving cash are most likely before receipts are recorded, either remittance advices or a prelisting of checks should be prepared in the mailroom so as to establish recorded accountability for cash as soon as possible. A cash register tape is a form of prelisting for cash received over the counter. One copy of a prelisting will go to accounting for posting to the cash receipts journal, and another is sent to the cashier for reconciliation with checks and currency received.
- Answer (B) is incorrect. A corrective control remedies an error or irregularity.
- Answer (C) is incorrect. A detective control uncovers an error or irregularity that has already occurred.
- Answer (D) is incorrect. A directive control causes or encourages a desirable event.

[370] Gleim #: 5.4.128 -- Source: CIA 1192 I-18

Controls may be classified according to the function they are intended to perform, for example, as detective, preventive, or directive. Which of the following is a directive control?

- A. Monthly bank statement reconciliations.
- B. Dual signatures on all disbursements over a specific amount.
- C. Recording every transaction on the day it occurs.
- D. Requiring all members of the internal audit activity to be CIAs.

- Answer (A) is incorrect. Monthly bank statement reconciliation is a detective control. The events audited have already occurred.
- Answer (B) is incorrect. Requiring dual signatures on all disbursements over a specific amount is a preventive control. The control is designed to deter an undesirable event.
- Answer (C) is incorrect. Recording every transaction on the day it occurs is a preventive control. The control is designed to deter an undesirable event.
- Answer (D) is **correct**. Requiring all members of the internal audit activity to be CIAs is a directive control. The control is designed to cause or encourage a desirable event to occur. The requirement enhances the professionalism and level of expertise of the internal audit activity.

[371] Gleim #: 5.4.129 -- Source: CIA 1195 I-67

Internal auditors regularly evaluate controls. Which of the following **best** describes the concept of control as recognized by internal auditors?

- A. Management regularly discharges personnel who do not perform up to expectations.
 - B. Management takes action to enhance the likelihood that established goals and objectives will be achieved.
 - C. Control represents specific procedures that accountants and internal auditors design to ensure the correctness of processing.
 - D. Control procedures should be designed from the “bottom up” to ensure attention to detail.
-
- Answer (A) is incorrect. Termination of employees who perform unsatisfactorily is not a comprehensive definition of control.
 - Answer (B) is **correct**. According to the Glossary appended to the *Standards*, a control is “any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved.” Thus, control is the result of proper planning, organizing, and directing by management.
 - Answer (C) is incorrect. Control is not limited to processing. Moreover, it is instituted by management, the board, and others, not internal auditors.
 - Answer (D) is incorrect. Some control procedures may be designed from the bottom up, but the concept of control flows from management and the board down through the organization.

[372] Gleim #: 5.4.130 -- Source: CIA 04 Model Exam I-46

Which of the following is **not** a responsibility of the chief audit executive?

- A. To communicate the internal audit activity’s plans and resource requirements to senior management and the board for review and approval.
 - B. To coordinate with other internal and external providers of audit and consulting services to ensure proper coverage and minimize duplication.
 - C. To oversee the establishment, administration, and assessment of the organization’s system of risk management processes.
 - D. To follow up on whether appropriate management actions have been taken on significant reported risks.
-
- Answer (A) is incorrect. The CAE should communicate the internal audit activity’s plans and resource requirements, including significant interim changes, to senior management and to the board for review and approval. The CAE also should communicate the impact of resource limitations (Standard 2020).
 - Answer (B) is incorrect. The CAE should share information and coordinate activities with other internal and external providers of relevant assurance and consulting services to ensure proper coverage and minimize duplication of efforts (Standard 2050).
 - Answer (C) is **correct**. Overseeing the establishment, administration, and assessment of the organization’s system of risk management processes is the role of senior management, not the CAE (PA 2120.A1-1).
 - Answer (D) is incorrect. The CAE should establish and maintain a system to monitor the disposition of results communicated to management (Standard 2500).

[373] Gleim #: 5.4.131 -- Source: CIA 04 Model Exam I-55

To minimize potential financial losses associated with physical assets, the assets should be insured in an amount that is:

- A. Supported by periodic appraisals.
- B. Determined by the board of directors.
- C. Automatically adjusted by an economic indicator such as the consumer price index.
- D. Equal to the book value of the individual assets.

- Answer (A) is **correct**. Based on the results of the risk assessment, the internal audit activity should evaluate the adequacy and effectiveness of controls encompassing the organization's governance, operations, and information systems. This should include, among other things, safeguarding of assets (2120.A1). Safeguarding assets includes insuring them. The types and amounts of insurance should be supported by periodic appraisals.
- Answer (B) is incorrect. The determination of insurance coverage is not a function of the board of directors.
- Answer (C) is incorrect. The consumer price index generally does not provide an appropriate adjustment factor for fixed assets.
- Answer (D) is incorrect. Book values may not reflect the replacement or real value of an asset.

[374] Gleim #: 5.4.132 -- Source: CIA 595 I-38

The chief audit executive (CAE) of a mid-sized internal audit activity (IAA) was concerned that management might outsource the internal auditing function. Thus, the CAE adopted a very aggressive program to promote the IAA within the organization. The CAE planned to present the results to senior management and the board and recommend modification of the IAA's charter after using the new program. The following lists six actions the CAE took to promote a positive image within the organization:

1. Engagement assignments concentrated on efficiency. The engagements focused solely on cost savings, and each engagement communication highlighted potential costs to be saved. Negative observations were omitted. The focus on efficiency was new, but the engagement clients seemed very happy.
2. Drafts of all engagement communications were carefully reviewed with the engagement clients to get their input. Their comments were carefully considered when developing the final engagement communication.
3. The information technology internal auditor participated as part of a development team to review the control procedures to be incorporated into a major computer application under development.
4. Given limited resources, the engagement manager performed a risk assessment to establish engagement work schedule priorities. This was a marked departure from the previous approach of ensuring that all operations are evaluated on at least a three-year interval.
5. To save time, the CAE no longer required that a standard internal control questionnaire be completed for each engagement.
6. When the internal auditors found that the engagement client had not developed specific criteria or data to evaluate operations, the internal auditors were instructed to perform research, develop specific criteria, review the criteria with the engagement client, and if acceptable, use them to evaluate the engagement client's operations. If the engagement client disagreed with the criteria, a negotiation took place until acceptable criteria could be agreed upon. The engagement communication commented on the engagement client's operations in conjunction with the agreed-upon criteria.

Is Action 5 inappropriate?

- A. Yes. Internal control should be evaluated on every engagement, but the internal control questionnaire is not the mandated approach to evaluate the controls.
- B. No. Internal auditors may omit necessary procedures if there is a time constraint. It is a matter of professional judgment.
- C. Yes. Internal control should be evaluated on every engagement, and the internal control questionnaire is the most efficient method to do so.
- D. No. Internal auditors are not required to fill out internal control questionnaires on every engagement.

- Answer (A) is incorrect. Internal control evaluations are not required on every engagement.
- Answer (B) is incorrect. Internal auditors cannot omit necessary procedures as a result of a time constraint.
- Answer (C) is incorrect. Internal control evaluations are not required on every engagement.
- Answer (D) is **correct**. The internal audit activity should assist the organization in maintaining effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement (Standard 2120). However, internal auditors are not required to fill out standard internal control questionnaires. The information documented in questionnaires may be found in other working papers, such as flowcharts, checklists, and narratives.

[375] Gleim #: 5.4.133 -- Source: CIA 1193 II-13

Senior management has requested a compliance audit of the organization's employee benefits package. Which of the following is considered the primary engagement objective by both the chief audit executive and senior management?

- A. The level of organizational contributions is adequate to meet the program's demands.
 - B. Individual programs are operating in accordance with contractual requirements and government regulations.
 - C. Participation levels support continuation of individual programs.
 - D. Benefit payments, when appropriate, are accurate and timely.
-
- Answer (A) is incorrect. Contributions concern specific engagement objectives that support the primary objective of compliance with laws, regulations, and contracts.
 - Answer (B) is **correct**. The IAA evaluates risk exposures related to governance, operations, and information systems regarding, among other things, compliance with laws, regulations, and contracts (Standard 2110.A2). Based on the risk assessment, the IAA evaluates the adequacy and effectiveness of controls encompassing governance, operations, and information systems. This evaluation should include, among other things, compliance with laws, regulations, and contracts (Standard 2120.A1). Operation in accordance with contracts and regulations takes precedence over all other objectives because it relates to the most basic aspects of the programs.
 - Answer (C) is incorrect. Participation levels concern specific engagement objectives that support the primary objective of compliance with laws, regulations, and contracts.
 - Answer (D) is incorrect. Benefit payments concern specific engagement objectives that support the primary objective of compliance with laws, regulations, and contracts.

[376] Gleim #: 5.4.134 -- Source: CIA 1190 I-21

You are an internal auditing supervisor who is reviewing the working papers of a staff internal auditor's overall examination of the firm's sales function. The pages are not numbered or cross-referenced. Furthermore, the working papers were dropped and reassembled at random before they were brought to you. You decide to put the working papers in the proper order according to the *Standards*. The first stage of this activity is to identify each page as a part of (A) the preliminary survey, (B) the review of the adequacy of control processes, (C) the review for effectiveness of control processes, or (D) the review of results. The first page the supervisor selects documents a test of controls performed during the course of the engagement. This page belongs with which activity?

- A. Preliminary survey.
 - B. Review for adequacy of control processes.
 - C. Review for effectiveness of control processes.
 - D. Review of results.
-
- Answer (A) is incorrect. A test from a prior engagement might be reviewed in the preliminary survey as background material. A current test would not yet be performed.
 - Answer (B) is incorrect. Adequacy is present if management has planned and designed in a manner that provides reasonable assurance that objectives and goals will be achieved efficiently and economically. Tests of controls are not performed in reviews for adequacy of the system.
 - Answer (C) is **correct**. Internal auditors are charged with evaluating risk exposures relating to, and the adequacy and effectiveness of controls encompassing, the organization's governance, operations, and information systems (Standards 2110.A2 and 2120.A1). Effectiveness is present if management directs processes so as to provide reasonable assurance that objectives and goals will be achieved (PA 2100). Thus, the internal auditor must determine effectiveness of control processes by performing tests designed to provide reasonable assurance that controls are being applied as prescribed.
 - Answer (D) is incorrect. Tests of controls are not performed in a review of results. Internal auditors review operations and programs to ascertain the extent to which results are consistent with goals and objectives. The purpose is to determine whether they are being implemented or performed as intended (Standard 2120.A3).

[377] Gleim #: 5.4.135 -- Source: CIA 1190 I-23

You are an internal auditing supervisor who is reviewing the working papers of a staff internal auditor's overall examination of the firm's sales function. The pages are not numbered or cross-referenced. Furthermore, the working papers were dropped and reassembled at random before they were brought to you. You decide to put the working papers in the proper order according to the *Standards*. The first stage of this activity is to identify each page as a part of (A) the preliminary survey, (B) the review of the adequacy of control processes, (C) the review for effectiveness of control processes, or (D) the review of results. The third page the supervisor selects is a blank copy of the sales contract form now in use by the organization. Annotated on the form in several places are the words "key control" followed by a brief explanation. The supervisor recognizes the writing as that of the staff internal auditor who performed the engagement. This document belongs with which activity?

- A. Preliminary survey.
- B. Review for adequacy of control processes.
- C. Review for effectiveness of control processes.
- D. Review of results.

- Answer (A) is incorrect. The standard sales contract form might be obtained during the on-site survey portion of the preliminary survey. An analysis of the form indicating the existence and adequacy of key control activities could also be performed as part of the preliminary survey. However, the activity described involves a review for adequacy regardless of its timing.
- Answer (B) is **correct**. Internal auditors are charged with evaluating risk exposures relating to, and the adequacy and effectiveness of controls encompassing, the organization's governance, operations, and information systems (Standards 2120.A1 and 2130.A1). Adequacy is present if management has planned and designed in a manner that provides reasonable assurance that objectives and goals will be achieved efficiently and economically. The sales contract form is apparently a "key control" that has been planned and designed into the system.
- Answer (C) is incorrect. The form is blank. A completed form would be required to provide information that the system is effective.
- Answer (D) is incorrect. The form is blank. No data are available for testing to determine results.

[378] Gleim #: 5.4.136 -- Source: Publisher

When an organization has strong internal control, management can expect various benefits. The benefit **least** likely to occur is

- A. Reduced cost of an external audit.
- B. Elimination of employee fraud.
- C. Improvement in the reliability and integrity of information for decision-making purposes.
- D. Some assurance of compliance with governmental regulations.

- Answer (A) is incorrect. Reduced cost of an external audit is a benefit of strong internal control. The cost of the external audit will be lower because of the reduction of the required effort related to substantive testing. Also, management will have better data for decision-making purposes and some assurance of compliance with laws, regulations, and contracts.
- Answer (B) is **correct**. Control is "any action taken by management, the board, and other parties to manage risk and increase the likelihood that established objectives and goals will be achieved. Management plans, organizes, and directs the performance of sufficient actions to provide reasonable assurance that objectives and goals will be achieved" (Glossary appended to the *Standards*). Thus, the best internal control cannot guarantee the complete elimination of employee fraud. Effective internal control will reduce the amount of employee fraud and probably detect losses on a timely basis.
- Answer (C) is incorrect. Improvement in the reliability and integrity of information for decision-making purposes is a benefit of strong internal control. The cost of the external audit will be lower because of the reduction of the required effort related to substantive testing. Also, management will have better data for decision-making purposes and some assurance of compliance with laws, regulations, and contracts.
- Answer (D) is incorrect. Some assurance of compliance with governmental regulations is a benefit of strong internal control. The cost of the external audit will be lower because of the reduction of the required effort related to substantive testing. Also, management will have better data for decision-making purposes and some assurance of compliance with laws, regulations, and contracts.

[379] Gleim #: 5.5.137 -- Source: CIA 597 1-39

If an engagement client's operating standards are vague and thus subject to interpretation, the internal auditor must

- A. Seek agreement with management as to the criteria to be used to measure operating performance.
 - B. Determine best practices in this area and use them as the standard.
 - C. Interpret the standards in their strictest sense because standards are otherwise only minimum measures of acceptance.
 - D. Omit any comments on standards and the engagement client's performance in relationship to those standards because such an analysis would be meaningless.
-
- Answer (A) is **correct**. Adequate criteria are needed to evaluate controls. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished. If adequate, internal auditors must use such criteria in their evaluation. If inadequate, internal auditors must work with management to develop appropriate evaluation criteria (Standard 2210.A3).
 - Answer (B) is incorrect. The internal auditor need not apply the principles of competitive benchmarking.
 - Answer (C) is incorrect. Circumstances will dictate the interpretation of vague operating standards.
 - Answer (D) is incorrect. The internal auditor must work with management to develop appropriate criteria.

[380] Gleim #: 5.5.138 -- Source: CIA 1190 II-49

An internal auditor must exercise due professional care in performing engagements. Due professional care includes

- A. Establishing direct communication between the chief audit executive and the board.
 - B. Evaluating established operating standards and determining whether those standards are adequate.
 - C. Accumulating sufficient information so that the internal auditor can give absolute assurance that irregularities do not exist.
 - D. Establishing suitable criteria of education and experience for filling internal auditing positions.
-
- Answer (A) is incorrect. Such communication promotes the independence of the IAA rather than the performance of engagements with due professional care.
 - Answer (B) is **correct**. In the exercise of due professional care, an internal auditor must, among other things, consider the adequacy and effectiveness of governance, risk management, and control processes (Standard 1220.A1). Furthermore, adequate criteria are needed to evaluate controls. Thus, internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished (Standard 2210.A3).
 - Answer (C) is incorrect. Assurance procedures alone, even when performed with due professional care, cannot guarantee that all significant risks will be identified (Standard 1220.A3).
 - Answer (D) is incorrect. Establishing suitable criteria of education and experience for filling internal auditing positions pertains to proficiency, not due professional care.

[381] Gleim #: 5.5.139 -- Source: CIA 590 I-1

An internal auditor's role with respect to operating objectives and goals includes

- A. Approving the operating objectives or goals to be met.
- B. Determining that they conform with those of the organization.
- C. Developing and implementing control procedures.
- D. Accomplishing desired operating program results.

- Answer (A) is incorrect. Approving the operating objectives or goals to be met is an operational matters that is the responsibility of management.
- Answer (B) is **correct**. Internal auditors should ascertain the extent to which operating and program goals and objectives have been established and conform to those of the organization (Standard 2130.A2).
- Answer (C) is incorrect. Developing and implementing control procedures is an operational matter that is the responsibility of management.
- Answer (D) is incorrect. Accomplishing desired operating program results is an operational matter that is the responsibility of management.

[382] Gleim #: 5.5.140 -- Source: Publisher

Internal auditors need to consider control criteria. Which of the following actions may be appropriate?

- I. Determining whether goals and objectives conform with those of the organization.
 - II. Determining whether results are consistent with established goals and objectives.
 - III. Working with management to develop appropriate criteria.
- A. I only.
 - B. I and II only.
 - C. I, II, and III.
 - D. II only.

- Answer (A) is incorrect. The internal auditors may take any of the actions described in statements I, II, and III.
- Answer (B) is incorrect. The internal auditors may take any of the actions described in statements I, II, and III.
- Answer (C) is **correct**. "Internal auditors should ascertain the extent to which operating and program goals and objectives have been established and conform to those of the organization" (Standard 2130.A2). Internal auditors also "should review operations and programs to ascertain the extent to which results are consistent with established goals and objectives to determine whether operations and programs are being implemented or performed as intended" (Standard 2130.A3). Furthermore, "Adequate criteria are needed to evaluate controls. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished. If adequate, internal auditors must use such criteria in their evaluation. If inadequate, internal auditors must work with management to develop appropriate evaluation criteria" (Standard 2210.A3).
- Answer (D) is incorrect. The internal auditors may take any of the actions described in statements I, II, and III.

[383] Gleim #: 5.5.141 -- Source: CIA 1188 II-3

In evaluating the effectiveness and efficiency with which resources are employed, an internal auditor is responsible for

- A. Determining the extent to which adequate operating criteria have been established.
- B. Verifying the existence of assets.
- C. Reviewing the reliability of operating information.
- D. Verifying the accuracy of asset valuation.

- Answer (A) is **correct**. The internal audit activity must evaluate control in responding to risks within governance, operations, and information systems. This evaluation includes the effectiveness and efficiency of operations (Standard 2130.A1). Moreover, the internal auditors must "ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished" (Standard 2210.A3).
- Answer (B) is incorrect. Verifying existence relates to the safeguarding of assets.
- Answer (C) is incorrect. The reliability of operating information concerns the reliability and integrity of information.
- Answer (D) is incorrect. Verifying the accuracy of asset valuation concerns the reliability and integrity of information.

[384] Gleim #: 5.5.142 -- Source: Publisher, 2009

All of the following are acceptable criteria on which an internal audit may be based **except**

- A. Policies and procedures.
- B. Standards or guidelines.
- C. Control frameworks.
- D. Management cooperation with audit activities.

- Answer (A) is incorrect. Policies and procedures are standards, measures, or expectations that may be used to make an evaluation. The internal auditor may evaluate the conditions and determine that the organization or process is in compliance with the policies and procedures.
- Answer (B) is incorrect. Standards or guidelines are standards, measures, or expectations that may be used to make an evaluation. The auditor may determine that the process being audited is in compliance with the standards or guidelines.
- Answer (C) is incorrect. The auditor decides whether the controls implemented are adequate and effective. A control framework is useful in such an evaluation.
- Answer (D) is **correct**. "Adequate criteria are needed to evaluate controls. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished. If adequate, internal auditors must use such criteria in their evaluation. If inadequate, internal auditors must work with management to develop appropriate evaluation criteria" (Standard 2210.A3). Management cooperation with audit activities is not a measure or expectation, but rather is a condition. A condition is the factual evidence that the internal auditor found in the course of the examination.

[385] Gleim #: 5.5.143 -- Source: CIA 595 I-39

The chief audit executive (CAE) of a mid-sized internal audit activity (IAA) was concerned that management might outsource the internal auditing function. Thus, the CAE adopted a very aggressive program to promote the IAA within the organization. The CAE planned to present the results to senior management and the board and recommend modification of the IAA's charter after using the new program. The following lists six actions the CAE took to promote a positive image within the organization:

1. Engagement assignments concentrated on efficiency. The engagements focused solely on cost savings, and each engagement communication highlighted potential costs to be saved. Negative observations were omitted. The focus on efficiency was new, but the engagement clients seemed very happy.
2. Drafts of all engagement communications were carefully reviewed with the engagement clients to get their input. Their comments were carefully considered when developing the final engagement communication.
3. The information technology internal auditor participated as part of a development team to review the control procedures to be incorporated into a major computer application under development.
4. Given limited resources, the engagement manager performed a risk assessment to establish engagement work schedule priorities. This was a marked departure from the previous approach of ensuring that all operations are evaluated on at least a three-year interval.
5. To save time, the CAE no longer required that a standard internal control questionnaire be completed for each engagement.
6. When the internal auditors found that the engagement client had not developed specific criteria or data to evaluate operations, the internal auditors were instructed to perform research, develop specific criteria, review the criteria with the engagement client, and if acceptable, use them to evaluate the engagement client's operations. If the engagement client disagreed with the criteria, a negotiation took place until acceptable criteria could be agreed upon. The engagement communication commented on the engagement client's operations in conjunction with the agreed-upon criteria.

Regarding Action 6, which of the following elements of the action **most** likely would have rendered it inappropriate if omitted?

- A. Seek agreement with the client about the criteria.
- B. Developing a set of criteria to present to the engagement client as a basis for evaluating the engagement client's operations.
- C. Commenting on the agreed-upon criteria.
- D. All of the answers are correct.

- Answer (A) is **correct**. If the criteria established by management to determine whether objectives and goals have been accomplished are inadequate, the internal auditors should work with management to develop appropriate evaluation criteria (Standard 2120.A4).
- Answer (B) is incorrect. Internal auditors may be required to interpret or select operating standards and then to seek agreement with engagement clients as to the criteria needed to measure operating performance.
- Answer (C) is incorrect. The engagement final communication should include observations and recommendations with the following attributes: criteria, condition, cause, and effect. Criteria are the standards, measures, or expectations used in making an evaluation or expectation. The effect is the impact of the difference between the criteria (what should exist) and the condition (what does exist).
- Answer (D) is incorrect. Two of the responses are incorrect.

[386] Gleim #: 5.5.144 -- Source: CIA 596 I-63

Developing engagement observations, conclusions, and recommendations involves comparing the condition with the relevant standard or criterion. Which of the following choices **best** represents an appropriate standard or criterion to support engagement observations, conclusions, and recommendations?

- A. A quality standard operating procedure (number and date) for the department.
 - B. An internal accounting control principle, cited and copied from a public accounting reference.
 - C. A sound industry practice, based on the internal auditor's knowledge and experience obtained during many engagement assignments within the organization.
 - D. All of the answers represent an appropriate standard or criterion to support engagement observations, conclusions, and recommendations.
- Answer (A) is incorrect. Standard operating procedures are a source of potentially valid criteria.
 - Answer (B) is incorrect. Professional standards are a source of potentially valid criteria.
 - Answer (C) is incorrect. Sound business practices are a source of potentially valid criteria.
 - Answer (D) is **correct**. Management is responsible for establishing adequate criteria to determine whether objectives and goals have been accomplished. Internal auditors must ascertain the extent to which criteria have been established. If they are adequate, internal auditors must use such criteria in their evaluation. If the criteria are inadequate, internal auditors must work with management to develop appropriate evaluation criteria (Standard 2210.A3). Moreover, internal auditors may recommend standards of control for systems without impairing their objectivity. Acceptable industry standards, standards developed by professions or associations, standards in law and government regulations, and other sound business practices are usually deemed to be appropriate criteria.

[387] Gleim #: 5.5.145 -- Source: CIA 04 Model Exam I-47

Which statement **most** accurately describes how criteria are established for use by internal auditors in determining whether goals and objectives have been accomplished?

- A. Management is responsible for establishing the criteria.
 - B. Internal auditors should use professional standards or government regulations to establish the criteria.
 - C. The industry in which a company operates establishes criteria for each member company through benchmarks and best practices for that industry.
 - D. Appropriate accounting or auditing standards, including international standards, should be used as the criteria.
- Answer (A) is **correct**. Internal auditors must ascertain the extent to which criteria have been established. If they are adequate, internal auditors must use such criteria in their evaluation. If the criteria are inadequate, internal auditors must work with management to develop appropriate evaluation criteria (Standard 2210.A3). Thus, management is always responsible for establishing the criteria.
 - Answer (B) is incorrect. If management has not established the criteria or if the established criteria are inadequate, the auditor should work with management to develop appropriate evaluation criteria.
 - Answer (C) is incorrect. Benchmarks and best industry practices are sources of information that will assist management in establishing objective, relevant, and meaningful criteria.
 - Answer (D) is incorrect. Accounting or auditing standards are not appropriate for this purpose.

[388] Gleim #: 5.5.146 -- Source: Publisher 2009

Before an assurance engagement can be performed, the auditor must identify appropriate criteria. The sources of such criteria are **least** likely to include

- A. Benchmarks for the leading firms in the industry.
- B. Best practices for another industry.
- C. Historical cost information for the processes examined.
- D. Government regulations for the industry.

- Answer (A) is incorrect. Benchmarks for the leading firms in the industry are more likely to provide adequate criteria than those for firms in an unrelated industry.
- Answer (B) is **correct**. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives have been accomplished. If these criteria are inadequate, the auditor must work with management to develop appropriate criteria (Standard 2120.A3). Some sources of criteria for an assurance engagement are (1) government rules and regulations, (2) guidance from trade groups, (3) standards issued by professional nongovernmental bodies, (4) professional literature, (5) historical experience of the organization, or (6) the results of benchmarking (e.g., best practices of the strongest competitors). However, best practices for an unrelated industry are unlikely to be helpful unless some processes are similar.
- Answer (C) is incorrect. Historical cost information for the processes examined is clearly relevant if they have not changed materially.
- Answer (D) is incorrect. Government regulations for the industry must be followed.

[389] Gleim #: 5.5.147 -- Source: Publisher 2009

Which of the following is a consulting standard for control?

- A. Evaluation of adequacy and effectiveness of controls in responding to risks.
- B. Incorporation of knowledge of controls gained from engagements into evaluation of control processes.
- C. Ascertain the extent to which operating a program goals and objectives have been established.
- D. Review of operations to ascertain the extent to which results are consistent with established goals.

- Answer (A) is incorrect. "The internal audit activity must evaluate the adequacy and effectiveness of controls in responding to risks within the organization's governance, operations, and information systems" (Standard 2130.A1).
- Answer (B) is **correct**. Standard 2130 states, "The internal audit activity must assist the organization in maintaining effective controls by evaluating their effectiveness and efficiency and by promoting continuous improvement." The related consulting Standard 2130.C2 states, "Internal auditors must incorporate knowledge of controls gained from consulting engagements into evaluation of the organization's control processes." The other three answer choices are related assurance standards.
- Answer (C) is incorrect. "Internal auditors should ascertain the extent to which operating and program goals and objectives have been established and conform to those of the organization" (Standard 2130.A2).
- Answer (D) is incorrect. "Internal auditors should review operations and programs to ascertain the extent to which results are consistent with established goals and objectives and to determine whether operations and programs are being implemented or performed as intended" (Standard 2130.A3).

[390] Gleim #: 6.1.1 -- Source: CIA 1196 III-22

A new manager of a production department has been asked to assess the effectiveness of that department. The organization needs to satisfy both internal and external constituents and takes a broad approach to effectiveness. To complete the assignment successfully, the manager should

- A. Measure the daily productivity of the department.
- B. Do a survey of employee morale, as it is often a major underlying factor in productivity.
- C. Compare the past year's production against annual goals.
- D. Consider short-, medium-, and long-term effectiveness.

- Answer (A) is incorrect. Daily productivity relates to short-term effectiveness only.
- Answer (B) is incorrect. A survey of employee morale may contribute to assessing effectiveness, but it is not sufficient for assessing overall effectiveness.
- Answer (C) is incorrect. Comparing production against goals is a measure of short-term effectiveness.
- Answer (D) is **correct**. Kreitner (6th ed., pages 279-80) states, "Organizational effectiveness can be defined as meeting organizational objectives and prevailing societal expectations in the near future, adapting and developing in the intermediate future, and surviving in the distant future. In the near term (about one year), it should be effective in achieving its goals, efficient in its use of resources, and a source of satisfaction to its constituencies (owners, employees, customers, and society). In the intermediate term (2 to 4 years), it should adapt to new possibilities and obstacles and develop its abilities and those of its members. In the long term (5+ years), the organization should be able to survive in an uncertain world."

[391] Gleim #: 6.1.2 -- Source: CIA 597 III-2

In organizations in which new product groups are often created, a structure that combines functional and product departmentation and creates dual lines of authority would be optimal. The **best** structure for this organization is

- A. Professional bureaucracy.
- B. Mechanistic.
- C. Matrix.
- D. Machine bureaucracy.

- Answer (A) is incorrect. A professional bureaucracy is a structure with high complexity and low formalization in which highly trained specialists have great autonomy.
- Answer (B) is incorrect. A mechanistic structure is complex, formal, and centralized. It adheres to the unity-of-command concept.
- Answer (C) is **correct**. A matrix organization is characterized by vertical and horizontal lines of authority because the product manager borrows specialists from various functions who continue to report to their functional managers. Thus, the resulting arrangement is a hybrid of functional and product departmentation. The advantage is flexibility and rapidity of response to new conditions. The disadvantage is violation of the unity-of-command concept.
- Answer (D) is incorrect. A machine bureaucracy is formal and complex.

[392] Gleim #: 6.1.3 -- Source: CIA 1196 III-1

When an organization depends to a great extent on its environment, which of the following statements **best** characterizes the relationship among an organization's environment, the level of uncertainty it faces, and its structure? The more dynamic and complex the environment, the

- A. More uncertainty the organization will face and the more organic the structure should be.
- B. More uncertainty the organization will face and the more mechanistic the structure should be.
- C. Less uncertainty the organization will face and the more autocratic the structure should be.
- D. Less uncertainty the organization will face and the more organic the structure should be.

- Answer (A) is **correct**. A dynamic and complex organizational environment faces constant change, so the level of uncertainty increases. The more uncertainty an organization faces, the more organic the structure should be. Organic organizations tend to be flexible and adaptive to change.
- Answer (B) is incorrect. A dynamic and complex environment is more uncertain, so it requires a flexible structure.
- Answer (C) is incorrect. A dynamic and complex environment is more uncertain, so it requires a flexible structure.
- Answer (D) is incorrect. A dynamic and complex environment is more uncertain, so it requires a flexible structure.

[393] Gleim #: 6.1.4 -- Source: CIA 595 III-9

In what form of organization does an employee report to multiple managers?

- A. Bureaucracy.
- B. Matrix.
- C. Departmental.
- D. Mechanistic.

- Answer (A) is incorrect. In a bureaucracy, each subordinate reports to a single manager.
- Answer (B) is **correct**. A matrix organization (project management) is characterized by vertical and horizontal lines of authority. The project manager borrows specialists from line functions as needed. This manager's authority is limited to the project, and the specialists will otherwise report to the line managers.
- Answer (C) is incorrect. Departmental organization structures represent the typical organization with unified and clear single lines of authority.
- Answer (D) is incorrect. Mechanistic organization structure is another term for a bureaucracy.

[394] Gleim #: 6.1.5 -- Source: CIA 1196 III-3

The relationship between organizational structure and technology suggests that, in an organization using mass production technology (for example, automobile manufacturing), the **best** structure is

- A. Organic, emphasizing loose controls and flexibility.
- B. Matrix, in which individuals report to both product and functional area managers.
- C. Mechanistic, that is, highly formalized with tight controls.
- D. Integrated, emphasizing cooperation among departments.

- Answer (A) is incorrect. An organic structure is flexible and therefore not suited to mass production.
- Answer (B) is incorrect. Matrix is not a type of structure but rather a type of departmentation.
- Answer (C) is **correct**. According to Joan Woodward's work on the relationship of technology and structure in manufacturing, companies may be categorized as engaged in unit production (units or small batches), mass production (large batches), or process production (continuous processing). Mass production is most effective if the entity has a mechanistic structure characterized by moderate vertical differentiation, high horizontal differentiation, and high formalization. This structure is one in which tasks are well defined, most communication is downward, and control is tight.
- Answer (D) is incorrect. An integrated structure is a nonsense term in this context.

[395] Gleim #: 6.1.6 -- Source: CIA 1195 III-24

As an organization increases the number of employees, its structure becomes more complex. Rules become more formalized and more supervisors are hired to direct the increased numbers of subordinates. What is the nature of the size-structure relationship?

- A. The size-structure relationship is linear.
- B. The structure becomes fixed once an organization attains a level of about 200 employees.
- C. The size-structure relationship is concave.
- D. None of the answers are correct.

- Answer (A) is incorrect. The size-structure relationship is likely to be linear but only within a narrow range.
- Answer (B) is incorrect. The size-structure relationship is likely to be linear but only within a narrow range.
- Answer (C) is incorrect. The size-structure relationship is likely to be linear but only within a narrow range.
- Answer (D) is **correct**. As an organization increases in size, its structure tends to become more formal and mechanistic. More policies and procedures are necessary to coordinate the increased number of employees, and more managers must be hired. However, the relationship between size and changes in structure is linear only within a certain range. For example, adding 100 employees to a company with 100 employees is likely to cause significant structural change, but adding the same number to a workforce of 10,000 is likely to have little impact. By the time a company reaches a certain size (1,500 to 2,000 or more), it usually has most of the qualities of a mechanistic structure.

[396] Gleim #: 6.1.7 -- Source: CIA 1194 III-9

Centralization and decentralization are defined according to the relative delegation of decision-making authority by top management. Many managers believe that decentralized organizations have significant advantages over centralized organizations. A major advantage of a decentralized organization is that decentralized

- A. Organizations are easier to control.
 - B. Structures streamline organizations and eliminate duplication of resources.
 - C. Organizations have fewer managers than centralized organizations.
 - D. Organizations encourage increased initiative among employees.
-
- Answer (A) is incorrect. Decentralized organizations are more difficult to control.
 - Answer (B) is incorrect. Centralized structures streamline organizations and eliminate duplication of resources.
 - Answer (C) is incorrect. The number of managers is not related to the degree of centralization or decentralization but is a function of the span of control.
 - Answer (D) is **correct**. A decentralized organization allows lower-level employees to participate in decision making. This increased involvement encourages initiative and creative thinking and is especially appropriate in complex and rapidly changing environments.

[397] Gleim #: 6.1.8 -- Source: CIA 1192 III-9

The optimal span of control of a manager is contingent upon several situational variables. For instance, a manager supervising workers within the same work area who are performing identical tasks that are simple and repetitive would **best** be able to supervise

- A. An unlimited number of employees.
 - B. Only a few workers (a narrow span of control).
 - C. A relatively large number of employees (a wide span of control).
 - D. Fewer workers than if the workers were geographically dispersed.
-
- Answer (A) is incorrect. Although a manager under these conditions would be able to supervise a large number of employees, an upper limit must exist.
 - Answer (B) is incorrect. The conditions described support a wide, rather than a narrow, span.
 - Answer (C) is **correct**. In any situation, there are underlying variables that influence the number of subordinates a manager can supervise. In general, if jobs are similar, procedures are standardized, and physical dispersion is minimized, a wide span of control is most effective.
 - Answer (D) is incorrect. Geographical dispersion would decrease rather than increase the span of control.

[398] Gleim #: 6.1.9 -- Source: Publisher 2009

A strategic business unit (SBU)

- A. Is a cost center.
 - B. Is subject to operational control by its parent.
 - C. A cluster organization.
 - D. Allows for entrepreneurship.
-
- Answer (A) is incorrect. An SBU is a profit center.
 - Answer (B) is incorrect. An SBU is an independent business.
 - Answer (C) is incorrect. A cluster organization is in essence a group of teams.
 - Answer (D) is **correct**. A strategic business unit (SBU) is an independent business that (a) serves a specific market outside the parent, (b) has outside competition, (c) makes key decisions about such matters as strategic planning and product development even though it shares the parent's resources, and (d) constitutes a profit center. An SBU allows for entrepreneurial risk taking, which might otherwise be limited by the parent's bureaucratic structure.

[399] Gleim #: 6.1.10 -- Source: Publisher

Which type of organization is based upon strategic long-term relationships based upon implicit contracts and coordination through adaptation?

- A. Hourglass organization.
- B. Cluster organization.
- C. Network organization.
- D. Virtual organization.

- Answer (A) is incorrect. An hourglass organization has three layers: a strategic layer, a group of middle managers, and lower-level technical specialists. There are also specific legal contracts in the form of employer-employee contracts.
- Answer (B) is incorrect. A cluster organization is essentially a group of teams. The teams are still part of an organization with explicit contracts, such as employer-employee contracts.
- Answer (C) is **correct**. A network organization is a network based upon coordination through adaptation. It also is based upon long-term relationships without specific legal ties.
- Answer (D) is incorrect. A virtual organization is a network of value-adding subcontractors who are linked by electronic mediums.

[400] Gleim #: 6.1.11 -- Source: Publisher

A public university is a

- A. Commonweal organization.
- B. Business organization.
- C. Nonprofit service organization.
- D. Mutual benefit organization.

- Answer (A) is incorrect. A commonweal organization provides a standard service to all members of the population. Examples include fire stations and police departments.
- Answer (B) is incorrect. Business organizations are engaged in to make a profit.
- Answer (C) is **correct**. Nonprofit service organizations include charities and universities. Nonprofit service organizations serve particular groups of clients.
- Answer (D) is incorrect. A mutual benefit organization is comprised of groups that serve their members such as labor unions or political parties.

[401] Gleim #: 6.1.12 -- Source: Publisher

Although bureaucracy is often perceived negatively by the public, it is a feature of nearly every large company. Which of the following is a sign that a bureaucracy is dysfunctional?

- A. A diversity of jobs.
- B. Rules that obscure responsibility.
- C. A large number of rules necessary for day-to-day operations.
- D. Obedience to authority.

- Answer (A) is incorrect. A diversity of jobs prevents employees from becoming bored with routine and unchallenging tasks.
- Answer (B) is **correct**. A sign that a bureaucracy is dysfunctional is the development of rules that are meaningless or that obscure accountability. A lack of accountability shows that the bureaucracy is ineffective at identifying the source problems and creating solutions to solve the problems.
- Answer (C) is incorrect. Many bureaucracies have rules to guide day to day operations. As long as the rules have a purpose and are not meaningless, the rules do not create a dysfunctional environment.
- Answer (D) is incorrect. Obedience to authority is required for a corporation's operations to run smoothly. However, obedience at all costs is a sign that the bureaucracy is dysfunctional.

[402] Gleim #: 6.1.13 -- Source: Publisher

Halo Corporation consists of ten groups, each of which is composed of multi-skilled workers. Workers are often transferred between teams as needed and communication between and within groups is emphasized. Halo Corporation is **best** described as a(n)

- A. Hourglass organization.
- B. Cluster organization.
- C. Network organization.
- D. Virtual organization.

- Answer (A) is incorrect. An hourglass organization has three layers: a strategic layer, a group of middle managers, and lower-level technical specialists.
- Answer (B) is **correct**. A cluster organization is essentially a group of teams. The workers are often multi-skilled and shift among teams as needed. The workers undergo special training and team-building exercises. The pay also is based upon knowledge.
- Answer (C) is incorrect. A network organization is a group of members who do not have legal ties but form a strategic relationship to have an advantage over competition.
- Answer (D) is incorrect. A virtual organization is typically a group of subcontractors who are linked via the Internet, fax machines, and telephones.

[403] Gleim #: 6.1.14 -- Source: CIA 586 III-5

The CEO of a rapidly growing high-technology firm has exercised centralized authority over all corporate functions. Because the company now operates in four geographically dispersed locations, the CEO is considering the advisability of decentralizing operational control over production and sales. Which of the following conditions probably will result from and be a valid reason for decentralizing?

- A. Greater local control over compliance with governmental regulations.
- B. More efficient use of headquarters staff officials and specialists.
- C. Lower overall operating costs.
- D. Quicker and better operating decisions.

- Answer (A) is incorrect. Compliance with governmental regulations is probably more easily achieved by centralization. A disadvantage of decentralization is the difficulty of ensuring uniform action by units of the entity that have substantial autonomy.
- Answer (B) is incorrect. Decentralization may result in duplication of efforts, resulting in less efficient use of headquarters staff officials and specialists.
- Answer (C) is incorrect. Decentralization may result in duplication of efforts, thereby increasing overall costs.
- Answer (D) is **correct**. Decentralization results in greater speed in making operating decisions because they are made by lower-level managers instead of being referred to top management. The quality of operating decisions should also be enhanced, assuming proper training of managers, because those closest to the problems should be the most knowledgeable about them.

[404] Gleim #: 6.1.15 -- Source: CIA 1196 II-29

Which organizational structure will likely have unity-of-command problems unless frequent and comprehensive communication occurs among the various functional and project managers?

- A. Line and staff.
- B. Strategic business unit.
- C. Centralized.
- D. Matrix.

- Answer (A) is incorrect. A line and staff structure is designed to maximize unity of command by giving only line managers the authority to make decisions affecting those in their chains of command.
- Answer (B) is incorrect. A strategic business unit is a subunit that is treated as an independent business. Thus, unity of command is not an issue for a strategic business unit.
- Answer (C) is incorrect. A centralized structure need not have unity-of-command problems if management is organized in a line and staff fashion.
- Answer (D) is **correct**. The matrix organizational structure allows authority to flow both vertically and horizontally. A manager is appointed for each project. This manager draws on personnel who are organized by function and report to a manager for each function. This structure violates the principle of unity of command, which states that each subordinate should have only one superior. Hence, frequent and comprehensive communication is necessary to prevent power struggles and conflicts of interest.

[405] Gleim #: 6.1.16 -- Source: CIA 588 III-4

Which management principle is violated when an employee answers to several bosses?

- A. Authority.
- B. Division of work.
- C. Span of control.
- D. Unity of command.

- Answer (A) is incorrect. Authority is the right to direct and exact performance from others. It includes the right to prescribe the means and methods by which the work will be done.
- Answer (B) is incorrect. Under the division-of-work principle, groups of people must divide their work and specialize to accomplish work most efficiently.
- Answer (C) is incorrect. Under the span-of-control principle, the number of subordinates a superior can effectively supervise is limited.
- Answer (D) is **correct**. Under the unity-of-command principle, each subordinate should have only one superior (although a superior may have as many subordinates as allowed by the superior's span of control). Violation of the principle of unity of command leads to confusion and frustration for the subordinate.

[406] Gleim #: 6.1.17 -- Source: CIA 594 III-52

How an organization's structure relates to the environment in which it operates is important to its success. The structure of the organization can be mechanistic (a rigid pyramid-shaped organization) or organic (a flexible and adaptive organization). Which of the following items is **not** characteristic of the interaction between an organization's environment and its structure?

- A. The more dynamic the environment, the more the organization's structure should be organic.
- B. The more complex the environment, the more the organization's structure should be mechanistic.
- C. The more stable the environment, the more the organization's structure should be mechanistic.
- D. The more scarce the environment, the more the organization's structure should be organic.

- Answer (A) is incorrect. A dynamic environment is characterized by a high degree of unpredictability. Thus, an organic structure is indicated.
- Answer (B) is **correct**. The complexity of an environment is a function of the heterogeneity and concentration of its elements. For example, an organization with numerous and constantly changing competitors faces a complex environment. Such an environment requires the flexibility and adaptability of an organic structure.
- Answer (C) is incorrect. A stable environment is the opposite of a dynamic environment, and a mechanistic structure is indicated.
- Answer (D) is incorrect. A scarce environment is one with little capacity for growth. A mechanistic structure is best suited for this environment.

[407] Gleim #: 6.1.18 -- Source: CIA 594 III-87

Environmental factors that are important to the organization include all of the following **except**

- A. Competitors.
- B. Physical resources.
- C. The economy.
- D. Uncertainty.

- Answer (A) is incorrect. Competitors are environmental factors.
- Answer (B) is incorrect. Physical resources are environmental factors.
- Answer (C) is incorrect. The economy is an environmental factor.
- Answer (D) is **correct**. Every organization's environment has three key dimensions: capacity, volatility, and complexity. Capacity is the degree of growth an environment can support. Volatility concerns the relative instability in the environment. Complexity refers to the amount of heterogeneity and concentration; e.g., an industry with a few very large firms is homogeneous and concentrated. Uncertainty is not a specific environmental factor. Rather, the foregoing factors determine the level of uncertainty present in the environment.

[408] Gleim #: 6.1.19 -- Source: CIA 594 III-84

Which of the following is **not** true with regard to matrix structures for organizations?

- A. It is akin to functional structures in that it fosters specialization.
- B. It is akin to divisional structures in that it has an explicit focus on results.
- C. It only works well when the organization's projects or products have a short life cycle.
- D. The major disadvantage of matrix structures is their potential for creating confusion and power struggles.

- Answer (A) is incorrect. As in functional structures, members are assigned to work groups based on their specialization.
- Answer (B) is incorrect. As in divisional structures, members are organized around specific products or projects.
- Answer (C) is **correct**. A matrix organization creates dual lines of authority by compromising between functional and product departmentation. For example, a manager may be appointed for each product who then draws on personnel organized by function. These individuals simultaneously report to a manager for each function. This form is used in research and development and in project management. No limitation on the length of the life cycle exists. Hence, research does not suggest that matrix structures work well only in short life cycles.
- Answer (D) is incorrect. The dual lines of authority found in matrix structures violate the principle of unity of command.

[409] Gleim #: 6.1.20 -- Source: CIA 1185 III-5

Which of the following is **most** likely to be a disadvantage of decentralization?

- A. Lower-level employees will develop less rapidly than in a centralized organization.
- B. Lower-level employees will complain of not having enough to do.
- C. Top management will have less time available to devote to unique problems.
- D. Lower-level managers may make conflicting decisions.

- Answer (A) is incorrect. Decentralization encourages development of lower-level managers. They will have greater authority.
- Answer (B) is incorrect. More tasks will be delegated to lower-level employees.
- Answer (C) is incorrect. Senior managers will be freed from operating problems.
- Answer (D) is **correct**. The disadvantages of decentralization include a tendency to focus on short-run results to the detriment of the long-term health of the entity, an increased risk of loss of control by senior management, the increased difficulty of coordinating interdependent units, and less cooperation and communication among competing decentralized unit managers.

[410] Gleim #: 6.1.21 -- Source: CIA 585 III-8

The difference between a tall organizational structure and a flat organizational structure is that in the former

- A. The communication process takes longer and is of poorer quality.
 - B. Maintenance of the organization is less costly.
 - C. The morale of lower-level employees is generally higher.
 - D. A higher degree of coordination and cooperation is created.
-
- Answer (A) is **correct**. Flat organizational structures have relatively few levels from top to bottom. Tall organizational structures have many levels between top and bottom. Flat structures have the advantages of fast information flow from top to bottom of the organization and increased employee satisfaction. Tall structures are faster and more effective at problem resolution because of the increased frequency of interaction between superior and subordinate and the greater order imposed by the hierarchy. Studies do not indicate great advantages for either flat or tall structures.
 - Answer (B) is incorrect. An advantage of a flat structure is that maintenance of the organization is less costly.
 - Answer (C) is incorrect. An advantage of a flat structure is that the morale of lower-level employees is generally higher.
 - Answer (D) is incorrect. An advantage of a flat structure is that a higher degree of coordination and cooperation is created.

[411] Gleim #: 6.1.22 -- Source: CIA 1191 III-3

Which of the following factors is **least** likely to affect a manager's optimal span of control?

- A. Frequency of supervisor-subordinate contact.
 - B. The manager's willingness to delegate authority.
 - C. The manager's training and communication skills.
 - D. Number of people in the organization.
-
- Answer (A) is incorrect. Managers who can contact subordinates frequently are able to control more people than those who have relatively infrequent contact with subordinates.
 - Answer (B) is incorrect. Managers who delegate authority have more time to control the subordinates who report to them. These individuals can therefore supervise more people than managers who prefer not to delegate authority.
 - Answer (C) is incorrect. Managers who have received effective training and are skillful communicators are equipped to control more individuals than managers who are untrained or have deficient communication skills.
 - Answer (D) is **correct**. The optimal span of control is the number of subordinates whom a given manager can effectively supervise. It is a function of many situational factors. However, the total number of people in an organization has no bearing on the optimal span of control of a particular manager.

[412] Gleim #: 6.1.23 -- Source: Publisher

Departmentation is the grouping of organizational subsystems. The greatest advantage of functional departmentation is that it

- A. Provides the benefits of specialization.
 - B. Facilitates communication among primary functions.
 - C. Helps to focus on achievement of organizational goals.
 - D. Is appropriate for geographically dispersed organizations.
-
- Answer (A) is **correct**. Departmentation by function is the most widely used method and is found in almost every enterprise at some level. The most common departments are selling, production, and finance (though other terms may be used). These often extend upward in the organizational chart to the level below the chief executive. If persons within a department have similar knowledge, skills, and interests, they can specialize in the solution of particular problems. Thus, problem solving becomes more efficient.
 - Answer (B) is incorrect. Departmentation by function facilitates communication within rather than among departments.
 - Answer (C) is incorrect. The focus may tend to be on departmental, not organizational, goals.
 - Answer (D) is incorrect. Territorial departmentation may be preferable for these organizations.

[413] Gleim #: 6.1.24 -- Source: Publisher

Dual reporting is **most** characteristic of which method of departmentation?

- A. Territorial.
- B. Functional.
- C. Product.
- D. Matrix.

- Answer (A) is incorrect. Departmentation by territory does not require violation of the unity of command principle.
- Answer (B) is incorrect. Departmentation by function does not require violation of the unity of command principle.
- Answer (C) is incorrect. Departmentation by product does not require violation of the unity of command principle.
- Answer (D) is **correct**. A matrix organization consists of a project team formed with people from various functional areas within the organization. These specialists report simultaneously to the project manager and the managers of their functional departments. At the end of the project, the team is disbanded.

[414] Gleim #: 6.1.25 -- Source: Publisher

A divisional arrangement organizational structure is **most** likely to be found in what kind of organizational structure?

- A. Mechanistic.
- B. Organic.
- C. Bureaucratic.
- D. Classical.

- Answer (A) is incorrect. The mechanistic model emphasizes clear definition of duties and authority by position in the hierarchy (vertical specialization); numerous, well-documented policies, procedures, and rules; complex formal controls; and centralized staff. The strong centralized control in this model is inconsistent with divisional structure.
- Answer (B) is **correct**. The organic structure is at the opposite end of the design continuum from a mechanistic organization. An organic structure has groupings of similar persons and resources in subunits (horizontal specialization); relatively few policies, procedures, and rules; less stringent formal controls; decentralized staff; and matrix or divisional departmentation.
- Answer (C) is incorrect. The bureaucratic model emphasizes clear definition of duties and authority by position in the hierarchy (vertical specialization); numerous, well-documented policies, procedures, and rules; complex formal controls; and centralized staff. The strong centralized control in this model is inconsistent with divisional structure.
- Answer (D) is incorrect. The classical model emphasizes clear definition of duties and authority by position in the hierarchy (vertical specialization); numerous, well-documented policies, procedures, and rules; complex formal controls; and centralized staff. The strong centralized control in this model is inconsistent with divisional structure.

[415] Gleim #: 6.1.26 -- Source: Publisher

The term for the organizational design strategy favored by the classical school of management is

- A. Mechanistic.
- B. Organic.
- C. Project management.
- D. Contingency.

- Answer (A) is **correct**. The traditional approach to organizing the structure of roles to facilitate the achievement of goals emphasizes authority, responsibility, tasks, hierarchy, etc. Because this approach tends to set up prescribed or dictated relationships, it has been called mechanistic.
- Answer (B) is incorrect. An organic organization has few hierarchical levels, low reliance on positional authority, and few dictated relationships among members.
- Answer (C) is incorrect. The matrix form of organization is used for project management. It temporarily combines product and functional structure for the duration of the project.
- Answer (D) is incorrect. The contingency or modern organizational structure is based on the particular situation, including environmental influences, technical considerations, and the size and age of the organization.

[416] Gleim #: 6.1.27 -- Source: Publisher

A large organization uses assembly line techniques to manufacture a single product. Its choice of relatively mechanistic organizational design was **most** likely based on its

- A. Need for rapid response to environmental change.
- B. Primary concern for operational efficiency.
- C. Low fixed technology requirement.
- D. Project management emphasis.

- Answer (A) is incorrect. Rapid response to environmental change is characteristic of an organic organization. This arrangement often works best when the fixed asset base is relatively small because the organization must respond rapidly to frequent environmental change.
- Answer (B) is **correct**. Mechanistic organizations have vertical structures with duties and authority clearly defined by position in the hierarchy, a stringent set of formal controls, and a centralized staff. Such organizations tend to emphasize efficiency and operate in a stable environment with well-established technology. Large firms in basic industries (autos, utilities) often adopt this structure.
- Answer (C) is incorrect. A low fixed technology requirement is characteristic of an organic organization. This arrangement often works best when the fixed asset base is relatively small because the organization must respond rapidly to frequent environmental change.
- Answer (D) is incorrect. A project management emphasis is characteristic of a matrix form of organization.

[417] Gleim #: 6.1.28 -- Source: Publisher

A characteristic of a bureaucratic organizational structure is that

- A. It is small and simple.
- B. Work assignments are rarely delegated.
- C. No hierarchy must be followed for communications purposes.
- D. The divisions of labor are distinct.

- Answer (A) is incorrect. Bureaucratic organizations are usually large and complex.
- Answer (B) is incorrect. In a bureaucratic organization, efficiency is most likely to be achieved through a high degree of task delegation.
- Answer (C) is incorrect. A bureaucratic organization is characterized by a hierarchy of authority, which is typically adhered to when communicating.
- Answer (D) is **correct**. Organizational structure is the order and disposition of lines of responsibility. A bureaucracy is an organizational structure in which tasks are specialized under a given set of rules and a hierarchy of authority. Division of labor is the separation of work loads into small segments to be performed by one or more people.

[418] Gleim #: 6.1.29 -- Source: Publisher

Which of the following is an advantage of bureaucratic organizational structures?

- A. The routine activities and performance methods related to a particular task are invariable and clearly defined to the employee.
 - B. Open positions are filled by individuals recruited from outside the organization to bring in new perspectives and backgrounds.
 - C. The organizations are typically decentralized to allow a subunit manager to make more timely decisions.
 - D. The minimization of the opportunity for social interaction enhances efficiency.
-
- Answer (A) is **correct**. Each employee's job description defines the related activities and procedures, which do not vary over time. The result is certainty and consistency with regard to the routines and procedures of a job function.
 - Answer (B) is incorrect. Open positions are usually filled by employees of the organization through promotion.
 - Answer (C) is incorrect. Centralization is typical of bureaucratic organizations.
 - Answer (D) is incorrect. The impersonality of bureaucracy reduces the human and social processes that promote individual employee growth.

[419] Gleim #: 6.1.30 -- Source: Publisher

A likely effect of a bureaucratic structure on employee motivation is that

- A. Employee performance will be mediocre because of inflexible standards and impersonal surroundings.
 - B. An employee will pursue organizational goals because of the employee's participation in establishing them.
 - C. Morale will be high because of each employee's feeling of belonging and ownership.
 - D. Job enrichment will be high because of each employee's involvement in developing and adapting his/her job description and required tasks.
-
- Answer (A) is **correct**. In a bureaucracy, standards for evaluating job performance do not fluctuate because required tasks change slowly, if at all. The work environment is impersonal, which limits individual growth of employees because no incentive for extraordinary performance is present.
 - Answer (B) is incorrect. Employees of a bureaucracy do not participate in decision making.
 - Answer (C) is incorrect. Employees are usually unsatisfied as a result of their lack of a sense of ownership and belonging.
 - Answer (D) is incorrect. Each job's description and tasks are essentially invariable. The employee has no input in the development of his/her function.

[420] Gleim #: 6.1.31 -- Source: Publisher

Which of the following is a disadvantage of a flat organizational structure?

- A. Employees are not encouraged to be creative.
 - B. The input of fresh ideas from outside the organization is limited because employee turnover is low.
 - C. Managers spend too much time training individuals and not enough time supervising.
 - D. Employees may not be performing work tasks properly.
-
- Answer (A) is incorrect. The lack of supervision increases employee flexibility.
 - Answer (B) is incorrect. The number of management levels limits the opportunity for advancement, which may cause high employee turnover.
 - Answer (C) is incorrect. Managers spend too much time supervising, and employees do not receive enough supervision.
 - Answer (D) is **correct**. A flat organizational structure concentrates decision-making authority at one level. Tasks and performance objectives may be unclear to employees because of a lack of supervision.

[421] Gleim #: 6.1.32 -- Source: Publisher

Which of the following is a likely effect of a narrow span of control?

- A. The manager closely supervises employees.
- B. Each employee is given more responsibility.
- C. The organizational structure is flexible.
- D. The manager's control over employees is limited.

- Answer (A) is **correct**. The span of control is the number of subordinates for which a manager or supervisor is responsible. When the span of control is narrow, a few subordinates are tightly controlled. A narrow span of control is typical of tall organizational structures.
- Answer (B) is incorrect. Greater employee responsibility is a likely effect of a wide span of control, which is likely to be found in flat organizational structures.
- Answer (C) is incorrect. Flexibility of structure is a likely effect of a wide span of control, which is likely to be found in flat organizational structures.
- Answer (D) is incorrect. Limited control over employees is a likely effect of a wide span of control, which is likely to be found in flat organizational structures.

[422] Gleim #: 6.1.33 -- Source: Publisher

When determining the appropriate span of control, the **most** important consideration is

- A. The set of policies and procedures currently in effect.
- B. The typical span of control used by other organizations.
- C. The preference of the organization's creditors.
- D. That all departments will be evaluated, whether or not they will be affected.

- Answer (A) is **correct**. The most important factors to consider are the employees' and manager's preferences and skills, the organization's culture, the tasks involved, physical location of the department, and established policies and procedures.
- Answer (B) is incorrect. Although examining similar entities may be useful, it is not one of the most important considerations.
- Answer (C) is incorrect. This consideration would only be necessary if required by an agreement with the creditors.
- Answer (D) is incorrect. Whether all departments will be evaluated is not normally considered in a span-of-control decision.

[423] Gleim #: 6.1.34 -- Source: CIA 1194 III-7

The organizational structure **most** appropriate for product development activity is

- A. Organic.
- B. Geographic.
- C. Centralized.
- D. Mechanistic.

- Answer (A) is **correct**. Organic organizations tend to be flexible and highly adaptive to change. They allow for participative lateral communication and informal interaction among departments and personnel. These characteristics are favorable for product development, a process requiring creativity, cooperation, and a rapid response to change. Organic organizations are the opposite of mechanistic organizations.
- Answer (B) is incorrect. Geographic location structure provides departmental resources closest to customers or sources of supply.
- Answer (C) is incorrect. Centralization is the relative retention of decision-making authority by top management.
- Answer (D) is incorrect. Mechanistic organizations tend to be bureaucratically rigid.

[424] Gleim #: 6.1.35 -- Source: CIA 1194 III-12

A small furniture manufacturer with 100 employees is located in a two-story building and does not plan to expand. The furniture manufactured is not special-ordered or custom-made. Its **most** likely organization structure is

- A. Functional departmentation.
- B. Product departmentation.
- C. Matrix organization.
- D. Divisional organization.

- Answer (A) is **correct**. Organizing by function categorizes jobs according to the activity performed. It avoids duplication of effort and allows for specialization. It permits workers with similar expertise to work in a coordinated subunit. If the same activities are required for the manufacture of all items produced, organizing production in accordance with those activities (functions) is efficient.
- Answer (B) is incorrect. Product departmentation is appropriate for organizations that produce multiple lines of products.
- Answer (C) is incorrect. Matrix organization is used in research and development and project management.
- Answer (D) is incorrect. Divisional organization is appropriate for large firms.

[425] Gleim #: 6.1.36 -- Source: CIA 1195 III-6

Internal auditors frequently recommend that formal policies be written. However, the presence of certain conditions in an organization minimizes the need for written policies. One condition that minimizes the need for written policies is

- A. A high division of labor.
- B. A strong organizational culture.
- C. A large span of control.
- D. A strict unity of command.

- Answer (A) is incorrect. High specialization of labor indicates a higher need for supervision and a correspondingly strong need for formal policies and procedures.
- Answer (B) is **correct**. If the culture is strong, the organization's key values are intensely held and widely shared. Substantial training has been expended to achieve this high degree of acceptance, minimizing the need for formal, written policies.
- Answer (C) is incorrect. Large spans of control minimize the ability of a manager to provide direct supervision. They increase the need for the indirect supervision provided by formalized policies and procedures.
- Answer (D) is incorrect. An organization exhibiting strict unity of command also most likely requires strict adherence to policies and procedures. Formalization of those policies and procedures promotes adherence.

[426] Gleim #: 6.1.37 -- Source: CIA 1195 III-21

An organization that combines strict adherence to the unity of command with high division of labor may cause problems for customers trying to obtain information. Of the following, which is the **most** probable type of internal environment this structure creates?

- A. Networked and formal.
- B. Compartmentalized and informal.
- C. Networked and informal.
- D. Compartmentalized and formal.

- Answer (A) is incorrect. The structure is not networked.
- Answer (B) is incorrect. The structure is not informal.
- Answer (C) is incorrect. The structure is not networked or informal.
- Answer (D) is **correct**. A high division of labor results in specialization. Unity of command clarifies authority and responsibility relationships. An organizational structure with a high division of labor and a strict unity of command is a classic bureaucracy. Thus, it is compartmentalized and formal.

[427] Gleim #: 6.1.38 -- Source: CIA 589 II-16

An organization manufactures mirror frames. Scrap is adequately accounted for at the point of generation. The scrap is sorted and sold frequently to the organization's regular buyer at a price negotiated between the scrap manager and buyer. An exposure caused by these procedures is that

- A. Excessive scrap has been generated.
- B. The price received for scrap may be inadequate.
- C. The production of scrap indicates inefficiencies in production.
- D. The collection of amounts receivable from the scrap buyer is questionable.

- Answer (A) is incorrect. Nothing suggests excessive scrap generation or inefficient production.
- Answer (B) is **correct**. Various problems may arise. For example, the scrap manager may be tempted to collude with the regular buyer to establish an inadequate price. In the absence of fraud, the failure to seek competing bids, the line manager's lack of expertise in negotiation, ignorance of quoted prices in established markets, and other factors may result in an inadequate price. Hence, a separate subunit of the organization may be necessary to manage all aspects of scrap disposition.
- Answer (C) is incorrect. Nothing suggests excessive scrap generation or inefficient production.
- Answer (D) is incorrect. A regular buyer is likely to be reliable.

[428] Gleim #: 6.1.39 -- Source: CIA 590 II-11

Management is concerned with the potential for unauthorized changes in the payroll. Which of the following is the proper organizational structure to prevent such unauthorized changes?

- A. The payroll department maintains and authorizes all changes in the personnel records.
- B. The payroll department is supervised by the management of the human resources division.
- C. The payroll department's functions are limited to maintaining the payroll records, distributing paychecks, and posting the payroll entries to the general ledger.
- D. The personnel department authorizes the hiring and pay levels of all employees.

- Answer (A) is incorrect. The personnel department should be responsible for these functions.
- Answer (B) is incorrect. The payroll and personnel departments should be independent.
- Answer (C) is incorrect. The payroll department should not post the payroll entries to the general ledger or distribute the paychecks. These functions are the responsibility of the accounting department and the treasurer's office, respectively.
- Answer (D) is **correct**. The payroll department is responsible for assembling payroll information (record keeping). The personnel department is responsible for authorizing and executing employee transactions such as hiring, firing, and changes in pay rates and deductions. Segregating these functions helps prevent fraud. Thus, the payroll for each period should be compared with the active employment files of the personnel department.

[429] Gleim #: 6.2.40 -- Source: Publisher

According to the contingency theory of leadership, a manager will be **most** effective when (s)he

- A. Consistently initiates structure.
- B. Adapts his/her style to specific circumstances.
- C. Is task oriented.
- D. Is relationship oriented.

- Answer (A) is incorrect. A relationship- (employee-) oriented approach may be preferable when tasks are highly structured.
- Answer (B) is **correct**. Fred E. Fiedler's contingency theory of management holds that no single style of directing is best for all occasions. A successful director (leader) must, for each situation, balance his/her formal authority, the task structure, and the leader's relationships with the pertinent group members.
- Answer (C) is incorrect. A relationship- (employee-) oriented approach may be preferable when tasks are highly structured.
- Answer (D) is incorrect. When tasks are ill-defined, the more effective manager may be one who concentrates on defining and organizing the jobs to be done rather than on motivating employees.

[430] Gleim #: 6.2.41 -- Source: Publisher

Which of the following is true regarding the **most** recent traitist approach to leadership?

- A. It attempts to identify traits possessed by leaders.
 - B. It has produced such a long list of leadership traits that, in effect, it identifies nothing.
 - C. It is based on scholarship, dependability, and social participation.
 - D. It is based on social skills, judgment, maturity, and emotional control.
- Answer (A) is incorrect. Each refers to the classical view of the traitist approach.
 - Answer (B) is incorrect. Each refers to the classical view of the traitist approach.
 - Answer (C) is incorrect. Each refers to the classical view of the traitist approach.
 - Answer (D) is **correct**. The most recent traitist approach is based on the emotional intelligence of leaders, that is, their social skills and judgment, maturity, and emotional control. These abilities can be learned, especially when a manager or employee understands that immaturity, erratic behavior, and uncontrolled negative emotions have a bad effect on the workplace.

[431] Gleim #: 6.2.42 -- Source: Publisher

Which of the following leadership types is **best** known as an agent of change?

- A. Participative leader.
 - B. Traitist leader.
 - C. Transformational leader.
 - D. Free-rein leader.
- Answer (A) is incorrect. A participative leader is simply one who allows employees to have input into the decision-making process.
 - Answer (B) is incorrect. "Traitist leader" is essentially a nonsense term as used here; the traitist approach was a field of study that attempted to identify the traits possessed by leaders.
 - Answer (C) is **correct**. A transformational leader is an agent of change who attempts to inspire the members of the organization to aspire to, and to achieve, more than they thought possible. Transformational leadership emphasizes vision, development of the individual, empowerment of the worker, and the challenging of traditional assumptions. The transformational leader normally has charisma, is motivational, provides intellectual stimulation to workers, and gives individualized consideration.
 - Answer (D) is incorrect. A free-rein leader is one who allows employees to make their own decisions.

[432] Gleim #: 6.2.43 -- Source: Publisher

Leadership situations vary with regard to the degree to which the leader can determine what subordinates will do, how they will do it, and what the results will be. According to Fiedler's contingency theory, a leader with a relationship-oriented management style will be **most** effective when (s)he exerts

- A. Great control.
- B. Moderate control.
- C. Little control.
- D. Great or little control.

- Answer (A) is incorrect. The relationship-oriented leader is least effective in this situation.
- Answer (B) is **correct**. A relationship-oriented manager is employee centered. His/her self-esteem is strongly affected by personal interactions with subordinates. Fiedler indicated that such a manager is most effective when not faced with the extremes of high- or low-control situations. High control follows from strong position power, a structured task, and good leader-member relations. A low-control situation has just the opposite characteristics. In a high-control environment, a concern for personal relations may be unimportant. In a low-control situation, the relationship-oriented leader may be unable to provide the needed task structuring. Thus, the moderate control situation is best. An example is an assembly-line situation (a structured task) in which leader-member relations are poor.
- Answer (C) is incorrect. The relationship-oriented leader is least effective in this situation.
- Answer (D) is incorrect. The relationship-oriented leader is least effective in this situation.

[433] Gleim #: 6.2.44 -- Source: CIA 1196 II-26

If a supervisor uses a supportive management approach, evidenced by positive feelings and concern for subordinates, a problem might result because

- A. An approach based on pure power makes it difficult to motivate staff.
- B. This approach depends on material rewards for the worker.
- C. This approach depends on people who want to work, grow, and achieve.
- D. The manager must believe in the teamwork approach.

- Answer (A) is incorrect. An approach based on pure power is an autocratic style of leadership, not a supportive approach.
- Answer (B) is incorrect. The custodial model depends on material rewards for the worker. This model is predicated on the belief that a happy worker is a productive worker.
- Answer (C) is **correct**. Supportive management techniques orient workers toward performance rather than obedience or happiness. The leader should have positive feelings for his/her employees and should attempt to encourage participation and involvement. This approach is effective when used with employees who are motivated to work, improve themselves and their abilities, and accomplish goals.
- Answer (D) is incorrect. The manager's beliefs are not sufficient. The workers must also believe in the system.

[434] Gleim #: 6.2.45 -- Source: Publisher

Which of the following statements is true regarding authoritarian leadership styles?

- A. The manager dictates all decisions to the employees, so communication is downward and tasks are clearly defined in authoritarian leadership.
- B. Employees in a group are given the authority and responsibility to make their own decisions in democratic leadership.
- C. The leader delegates substantial authority and employees participate in defining and assigning tasks in laissez faire leadership.
- D. None of the answers are correct.

- Answer (A) is **correct**. When a manager uses an authoritarian leadership style, he/she dictates all decisions to the employees, so communication is downward. Moreover, tasks are clearly defined. This is considered the classical approach to leadership. Employees are not allowed to give input.
- Answer (B) is incorrect. The leader delegates substantial authority in democratic leadership. In addition, employees participate in defining and assigning tasks. Therefore, communication is actively upward as well as downward.
- Answer (C) is incorrect. Employees in a group are given the authority and responsibility to make their own decisions in laissez faire leadership.
- Answer (D) is incorrect. One of the answer choices is correct.

[435] Gleim #: 6.2.46 -- Source: CIA 596 III-6

The manager of a team of actuaries has been asked to develop the basic pricing structure for a new health insurance product. The team has successfully designed other pricing structures in recent years. The manager was assigned to the team 6 months ago. What is the **best** leadership style for the manager of this team?

- A. Directive.
- B. Supportive.
- C. Participative.
- D. Achievement-oriented.

- Answer (A) is incorrect. Directive leadership provides highest subordinate satisfaction when a team encounters substantive internal conflict, when tasks are ambiguous, and when subordinates' locus of control is external.
- Answer (B) is incorrect. Supportive style is best when tasks are highly structured and the authority relationships are clear and bureaucratic.
- Answer (C) is **correct**. Participative style is most useful when subordinates believe they control their own destinies, that is, when they have an internal locus of control. Such individuals may be resentful if they are not consulted.
- Answer (D) is incorrect. Achievement-oriented style will increase subordinates' expectations that high performance will result from their best efforts.

[436] Gleim #: 6.2.47 -- Source: CIA 596 III-4

The workers in a factory have been told that their machines are obsolete and will be replaced by new, computer-assisted machines. The workers must be retrained and are eager to learn everything about the new machines. The manager was recently hired from a company where the new machines were extensively used and is very familiar with them. In this case, what is the **best** leadership style for the manager?

- A. Directive.
- B. Supportive.
- C. Participative.
- D. Achievement-oriented.

- Answer (A) is **correct**. According to path-goal theory, two groups of contingency factors affect the relationship between leadership behavior and outcomes (performance and satisfaction): environmental factors beyond subordinates' control (task structure, the formal authority system, and the work group) and subordinate factors. The latter include the subordinate's center of control, experience, and perceived ability. A leadership style should be chosen that complements but does not duplicate the factors in the environment and is consistent with subordinates' characteristics. A directive style is most effective when the subordinate's locus of control is external, tasks are ambiguous or stressful, and substantial conflict exists in the work group. Thus, a directive style is appropriate when subordinates do not have high perceived ability or experience.
- Answer (B) is incorrect. Subordinates who are neither competent nor confident are best led using the directive style.
- Answer (C) is incorrect. Subordinates with an internal locus of control need a leader with a participative style.
- Answer (D) is incorrect. Achievement-oriented leadership is appropriate when tasks are nonrepetitive and ambiguous and employee competence is high.

[437] Gleim #: 6.2.48 -- Source: CIA 596 III-5

A production team has been together for several years and has worked well together. However, severe arguments have recently occurred between two members of the group, and other members have begun to take sides. This problem has had a negative effect on production performance. The **best** leadership style for the manager in this situation is

- A. Directive.
- B. Supportive.
- C. Participative.
- D. Achievement-oriented.

- Answer (A) is **correct**. Directive leadership provides highest subordinate satisfaction when a team encounters substantive internal conflict. Thus, directive leadership is the appropriate complement to the environmental factors. The leader should intervene to compensate for the stress and strife in the workplace.
- Answer (B) is incorrect. Supportive style is best when tasks and authority relationships are highly structured.
- Answer (C) is incorrect. Participative style is most useful when subordinates believe they control their own destinies.
- Answer (D) is incorrect. Achievement-oriented leadership is appropriate when tasks are nonrepetitive and ambiguous and employee competence is high.

[438] Gleim #: 6.2.49 -- Source: CIA 596 III-7

A manager in a government agency supervises a section of clerical employees who review license applications for approval or denial. The clerical jobs are well defined procedurally and are covered by government regulations. In this case, what is the **best** leadership style for the manager?

- A. Directive.
- B. Supportive.
- C. Participative.
- D. Achievement-oriented.

- Answer (A) is incorrect. A directive style is most effective when the employees' locus of control is external, tasks are ambiguous or stressful, and substantial conflict exists in the work group. Thus, a directive style is appropriate when employees do not have high perceived ability or experience.
- Answer (B) is **correct**. A supportive style is best when tasks are highly structured and the authority relationships are clear and bureaucratic. This approach depends on people who want to work, grow, and achieve. The supportive style may be best when tasks are unsatisfying.
- Answer (C) is incorrect. A participative style is most useful when subordinates believe they control their own destinies.
- Answer (D) is incorrect. Achievement-oriented leadership is appropriate when tasks are nonrepetitive and ambiguous and employee competence is high.

[439] Gleim #: 6.2.50 -- Source: CIA, adapted

A leader who explains decisions and provides opportunity for clarification is described as having which leadership style?

- A. Selling.
- B. Telling.
- C. Participating.
- D. Delegating.

- Answer (A) is **correct**. According to Hersey and Blanchard, a selling style of leadership provides a high degree of task orientation and a high degree of relationship orientation. This type of leader explains decisions and provides opportunities for clarification. Thus, upward and downward, two-way communication is active. This approach is more democratic than authoritarian.
- Answer (B) is incorrect. A telling leadership style (high task and low relationship) provides specific instructions and closely supervises performance.
- Answer (C) is incorrect. A participating leadership style (low task and high relationship) encourages the sharing of ideas and facilitates decision-making.
- Answer (D) is incorrect. A delegating leadership style (low task and low relationship) turns over responsibility for decisions and implementation.

[440] Gleim #: 6.2.51 -- Source: Publisher

Which of the following constitute initiating structure behavior?

- I. Defining duties
 - II. Planning and organizing work
 - III. Helping with problems in the work
- A. I and II only.
 - B. I and III only.
 - C. II and III only.
 - D. I, II, and III.

- Answer (A) is **correct**. Initiating structure behavior is directed towards accomplishing tasks. Structure includes defining duties, establishing procedures, planning and organizing work. Consideration on the other hand, is the establishment of a personal relationship between the leader and the subordinate. High consideration by the leader includes warmth towards the employee as a person, psychological support for the employee, and helpfulness with problems in the work.
- Answer (B) is incorrect. Helping with problems in the work is consideration behavior.
- Answer (C) is incorrect. Helping with problems in the work is consideration behavior.
- Answer (D) is incorrect. Helping with problems in the work is consideration behavior.

[441] Gleim #: 6.2.52 -- Source: Publisher

In the leadership grid developed by Robert Blake and Jane Mouton, each axis has a scale of 1 to 9. A primary style of 9,9 indicates

- A. Little concern for production or people (impoverished management).
 - B. Moderate concern for production and people to maintain status quo (middle-of-the-road management).
 - C. Great concern for production and people, trust, teamwork, and commitment (team management).
 - D. Primary concern for production, little concern for people (authority-compliance management).
- Answer (A) is incorrect. Little concern for production or people is equivalent to 1,1 on the leadership grid.
 - Answer (B) is incorrect. Moderate concern for production and people to maintain status quo is equivalent to a 5,5 on the leadership grid.
 - Answer (C) is **correct**. A primary style that rates 9,9 on a scale of 1 to 9 indicates that it is at a maximum on both axes. Thus, there is great concern for production and great concern for people. This leadership style emphasizes output, cost control, and profit in addition to friendship, aiding employees, and addressing employee issues.
 - Answer (D) is incorrect. Primary concern for production with little concern for people is equivalent to a 9,1 on the leadership grid.

[442] Gleim #: 6.2.53 -- Source: Publisher

Leadership styles differ depending upon the personality type of the individual leader. A risk-averse leader will generally

- A. Make decisions more slowly.
- B. Require less information than a risk taker.
- C. Maintain status differences between themselves and others.
- D. Work well in participative efforts where joint responsibility is assumed by several people.

- Answer (A) is **correct**. A risk-averse leader will avoid risky situations, make decisions more slowly, and seek more information than a person who is described as a risk taker.
- Answer (B) is incorrect. A risk-averse person requires more information than a risk taker.
- Answer (C) is incorrect. The maintenance of status differences is an aspect of authoritativeness, not of risk aversion.
- Answer (D) is incorrect. Less authoritative individuals work well in participative efforts; this is not related to risk aversion.

[443] Gleim #: 6.2.54 -- Source: CIA 597 III-10

Leaders of work groups tend to be primarily task-motivated (getting the job done) or relationship-motivated (getting people to work effectively together). Studies have shown that either type of leader can be effective in certain situations. In which of the following situations is the relationship-motivated leader likely to be more effective than the task-motivated leader?

- A. A highly favorable situation, in which group members enjoy working together and have clearly defined tasks, and in which the leader exercises absolute authority over promotions and other rewards.
- B. A highly unfavorable situation, in which group members do not enjoy working together and have vaguely defined tasks, and in which the leader lacks formal authority to control promotions and other rewards.
- C. A moderately favorable situation, with a combination of favorable and unfavorable factors.
- D. All of the answers are correct.

- Answer (A) is incorrect. According to several studies, a task-motivated leader is likely to be most effective in a highly favorable situation.
- Answer (B) is incorrect. According to several studies, a task-motivated leader is likely to be most effective in a highly unfavorable situation.
- Answer (C) is **correct**. According to Fiedler, the contingency approach is based on the principle of “no one best way of leadership.” According to this principle, the effective leadership style or behavior depends on the situational requirements. The situational factors are leader-member relations, task structure, and position power. Hence, the leader’s style has to be matched to the situation by either changing the leader or changing the leader’s behavior. The task-motivated leader performs best when the situation is very favorable or unfavorable (relations are very good or bad, tasks are well or poorly defined, and the leader has or lacks clear formal authority). However, in a moderately favorable situation, the relationship-motivated leader can build on the favorable factors and work to help group members cope with the unfavorable factors.
- Answer (D) is incorrect. According to several studies, a task-motivated leader is likely to be most effective in a highly favorable or highly unfavorable situation.

[444] Gleim #: 6.2.55 -- Source: CIA 591 III-14

A production worker in a plant often speaks for the entire work force when problems arise between labor and management. Although this individual has the same level of authority and expertise as the individual’s coworkers, the worker seems to possess a degree of power that others do not have. What type of power does this individual apparently have?

- A. Coercive.
- B. Referent.
- C. Legitimate.
- D. Reward.

- Answer (A) is incorrect. Coercive power is rooted in fear or threat of punishment.
- Answer (B) is **correct**. Referent power is based on identification of subordinates with a superior. Thus, personal magnetism (charisma) may be a basis for influencing others to comply with a manager's directives.
- Answer (C) is incorrect. Legitimate power is based on formal authority or the organizational position held by a leader.
- Answer (D) is incorrect. Reward power is based on a person's ability to grant benefits.

[445] Gleim #: 6.2.56 -- Source: Publisher

The traitist approach attempted to identify the physical, mental, and psychological traits of various leaders. It produced such a long list of leadership traits that, in effect, it identified nothing. However, a few traits do seem to have significant correlation with a leader's effectiveness. These traits include all of the following **except**

- A. Social participation and interest.
- B. Socioeconomic status.
- C. Dependability.
- D. Height.

- Answer (A) is incorrect. Social participation and interest are traits that seem to have a significant correlation with a leader's effectiveness.
- Answer (B) is incorrect. Socioeconomic status is a trait that seems to have a significant correlation with a leader's effectiveness.
- Answer (C) is incorrect. Maturity is a trait that seems to have a significant correlation with a leader's effectiveness.
- Answer (D) is **correct**. The traits that seem to have a significant correlation with a leader's effectiveness include intelligence, scholarship, dependability, social participation, interest, and socioeconomic status. But height has little correlation with leadership ability. For example, many notable leaders have been short.

[446] Gleim #: 6.2.57 -- Source: Publisher

A manager that manages "by the book" exhibits which form of leadership style?

- A. Autocratic.
- B. Bureaucratic.
- C. Democratic.
- D. Free-rein.

- Answer (A) is incorrect. An autocratic manager dictates all decisions to the employees. It is the classical approach to leadership. Employees are not allowed to give input.
- Answer (B) is **correct**. A bureaucratic manager is characterized as one that must do everything according to procedure and policy. If there is no policy to cover a situation, the manager refers to the next level above him/herself.
- Answer (C) is incorrect. A democratic style of management allows employees to have input in the decision making process, and the manager must include subordinates' views in the decision.
- Answer (D) is incorrect. A manager that practices the free-rein style of leadership allows employees to make their own decisions.

[447] Gleim #: 6.2.58 -- Source: Publisher 2009

According to the COSO's Internal Control over Financial Reporting-Guidance for Smaller Public Companies, policies and procedures are expected to be found at which level(s) of the organization?

- I. Senior management
- II. Middle management
- III. Assembly line workers

- A. I only.
- B. II and III only.
- C. III only.
- D. I, II, and III.

- Answer (A) is incorrect. Policies and procedures also are expected to be found at the middle management and assembly line levels.
- Answer (B) is incorrect. Policies and procedures also are expected to be found at the senior management level.
- Answer (C) is incorrect. Policies and procedures also are expected to be found at the senior and middle management levels.
- Answer (D) is **correct**. The COSO model has five interrelated components, one of which is control activities. "Policies and procedures" is one of the basic principles of control activities. It states, "Policies should be developed and communicated throughout the company. Management directives should be executed using the procedures corresponding to the policies."

[448] Gleim #: 6.3.59 -- Source: CIA 1196 III-16

Lack of skills, threats to job status and security, and fear of failure have all been identified as reasons that employees often

- A. Want to change the culture of their organization.
- B. Are dissatisfied with the structure of their organization.
- C. Are unable to perform their jobs.
- D. Resist organizational change.

- Answer (A) is incorrect. These factors inhibit changes in the culture of the organization.
- Answer (B) is incorrect. The three factors are not symptoms of dissatisfaction with the structure of the organization.
- Answer (C) is incorrect. The three factors do not indicate an inability to perform.
- Answer (D) is **correct**. Employees resist change for many reasons: surprise, inertia, misunderstanding, ignorance, lack of skills, emotional effects, lack of trust, fear of failure, personality conflicts, poor timing, lack of tact, threats to job status and security, and breakup of the work group. Resistance may be overcome by involving employees to gain feedback and allay fears.

[449] Gleim #: 6.3.60 -- Source: CIA 597 III-15

A major corporation is considering significant organizational changes. Which of the following groups will **not** be responsible for implementing these changes?

- A. Employees.
- B. Top management.
- C. Common shareholders.
- D. Outside consultants.

- Answer (A) is incorrect. Organizational change is conducted through change agents, who may include employees.
- Answer (B) is incorrect. Organizational change is conducted through change agents, who may include managers.
- Answer (C) is **correct**. Common shareholders are not responsible for implementing decisions within the organization. If members of the management team also are common shareholders, they must make decisions consistent with their stewardship function. Thus, they must separate their ownership interests from their managerial responsibilities. Organizational change is conducted through change agents, who may include employees, managers, or outside consultants.
- Answer (D) is incorrect. Organizational change is conducted through change agents, who may include outside consultants. Outsiders can offer an objective, independent view, but they lack knowledge of the organization and do not have to cope with the effects of the changes.

[450] Gleim #: 6.3.61 -- Source: CIA 1196 III-18

Organizational development (OD) is one of the major approaches to proactive management of change in organizations. One of the major objectives of OD is to

- A. Increase the power of leaders.
 - B. Align the organization's and the employees' goals.
 - C. Attract better employees to the organization.
 - D. Provide the organization and its managers with ways to increase efficiency.
- Answer (A) is incorrect. OD focuses on participation and power sharing.
 - Answer (B) is **correct**. The objectives of OD are to deepen the sense of organizational purpose and align individuals with it; to promote interpersonal trust, communication, cooperation, and support; to encourage a problem-solving approach; to develop a satisfying work experience; to supplement formal authority with authority based on expertise; to increase personal responsibility; and to encourage willingness to change.
 - Answer (C) is incorrect. Attracting better applicants to an organization is not a major goal of OD.
 - Answer (D) is incorrect. OD provides an organization and its managers with higher effectiveness.

[451] Gleim #: 6.3.62 -- Source: CIA 596 III-24

An organization's management perceives the need to make significant changes. Which of the following factors is management **least** likely to be able to change?

- A. The organization's members.
 - B. The organization's structure.
 - C. The organization's environment.
 - D. The organization's technology.
- Answer (A) is incorrect. The organization's members are a factor that managers are clearly able to change.
 - Answer (B) is incorrect. The organization's structure is a factor that managers are clearly able to change.
 - Answer (C) is **correct**. The environment of an organization consists of external forces outside its direct control that may affect its performance. These forces include competitors, suppliers, customers, regulators, climate, culture, politics, technological change, and many other factors. The organization's members are a factor that managers are clearly able to change.
 - Answer (D) is incorrect. The organization's technology is a factor that managers are clearly able to change.

[452] Gleim #: 6.3.63 -- Source: CIA 1195 III-29

An internal auditor is conducting an operational review that affects several different functional units. The auditor believes that the process under review can be improved, but the operating managers are resistant to suggestions for change. There are several methods the auditor could use to overcome the operating managers' resistance. Identify the technique that will produce the highest probability of success with the fewest negative side effects.

- A. Negotiation with the operating managers.
 - B. Participation by the managers in the decision process.
 - C. Coercion of the managers through threats.
 - D. Cooperation by approaching each manager individually.
-
- Answer (A) is incorrect. Negotiation may result in sacrifice by one or both parties. Also, if significant concessions are made to one manager, the others will try to gain a similar advantage.
 - Answer (B) is **correct**. Participation by the operating managers in the decision process can improve the overall decision, reduce resistance, and secure their commitment to the change.
 - Answer (C) is incorrect. Coercion is a temporary solution. Resistance will only be subdued, not eliminated. In addition, future cooperation between the auditor and operating managers will be severely restricted.
 - Answer (D) is incorrect. Cooperation of individual managers is not optimal. A manager approached to obtain his/her endorsement may feel that (s)he is being used.

[453] Gleim #: 6.3.64 -- Source: Publisher

Mayan Tech changed its design software to meet competition. According to Nadler and Tushman, this kind of organizational change is a

- A. Strategic reactive change.
 - B. Incremental reactive change.
 - C. Strategic anticipatory change.
 - D. Incremental anticipatory change.
-
- Answer (A) is incorrect. The change was incremental (not strategic).
 - Answer (B) is **correct**. Change is either anticipatory or reactive. Anticipatory changes are systematically planned changes intended to take advantage of expected situations. Reactive changes are due to unexpected environmental events or pressures. Mayan Tech changed its software in reaction to changes by its competition. The scope of a change is either incremental or strategic. Incremental changes are subsystem adjustments needed to keep the organization on its chosen path. Strategic changes alter the overall shape or direction of the organization. Mayan Tech adapted an existing product in order to continue business as usual.
 - Answer (C) is incorrect. The change kept the organization on its chosen path and was a reaction to changes by the competition. The change was incremental and reactive (not strategic and anticipatory).
 - Answer (D) is incorrect. The change was a reaction to (not anticipation of) changes by the competition.

[454] Gleim #: 6.3.65 -- Source: Publisher

The employees of X Corp. displayed excessive optimism following an announcement by management of major strategic changes soon to be implemented. What stage of change will employees **most** often experience next?

- A. Constructive adjustment.
- B. Joking about the change.
- C. Lack of needed skills.
- D. Reality check.

- Answer (A) is incorrect. Constructive adjustment tends to follow excessive optimism and a reality check.
- Answer (B) is incorrect. Joking about the change is the second stage of a negative response by employees who fear the change.
- Answer (C) is incorrect. Lack of needed skills is a cause of resistance to change, not a stage of response to change.
- Answer (D) is **correct**. If employees like the change, their attitude, morale, and desire to make the change work often fluctuate over three stages: (1) excessive optimism, (2) reality check, and (3) constructive adjustment.

[455] Gleim #: 6.3.66 -- Source: Publisher

Co-optation is a

- A. Method of coping with employee resistance.
- B. Cause of resistance to change.
- C. Model for categorizing organizational changes.
- D. Way of allowing meaningful input by resistant employees.

- Answer (A) is **correct**. Methods of coping with employee resistance include co-optation through allowing some participation but without meaningful input.
- Answer (B) is incorrect. Co-optation is a method of coping with employee resistance.
- Answer (C) is incorrect. Co-optation is a method of coping with employee resistance.
- Answer (D) is incorrect. Co-optation is a way of allowing some participation but without meaningful input.

[456] Gleim #: 6.3.67 -- Source: Publisher

Employee resistance to change may be caused

- A. Only by simple surprise or by inertia.
- B. By manipulation of information or events.
- C. By bad timing.
- D. Coercion.

- Answer (A) is incorrect. Simple surprise and inertia are not the only possible causes of resistance.
- Answer (B) is incorrect. Manipulation of information or events is a method of coping with employee resistance to change.
- Answer (C) is **correct**. Resistance may be caused by simple surprise or by inertia, but it also may arise from (1) misunderstandings or lack of the needed skills; (2) lack of trust of, or conflicts with, management; (3) emotional reactions when change is forced; (4) bad timing; (5) insensitivity to employees' needs; (6) perceived threats to employees' status or job security; (7) dissolution of tightly knit work groups; and (8) interference with achievement of other objectives.
- Answer (D) is incorrect. Coercion is a method of coping with employee resistance.

[457] Gleim #: 6.3.68 -- Source: Publisher

Which stage of organizational development (OD) is the diagnosis stage?

- A. Change.
- B. Unfreezing.
- C. Refreezing.
- D. Liquidation.

- Answer (A) is incorrect. Change is the intervention in (altering of) the status quo. It occurs after unfreezing.
- Answer (B) is **correct**. Unfreezing is the diagnosis stage. It involves choosing a change strategy, preparing employees for the change, and offsetting resistance.
- Answer (C) is incorrect. Refreezing makes the change relatively permanent so that old habits will not reassert themselves. It is the follow-up stage to change.
- Answer (D) is incorrect. Liquidating is not a stage of OD.

[458] Gleim #: 6.3.69 -- Source: Publisher

A small group of employees at Mega Corp. have organized with the purpose of making a few small incremental changes within the company. This group of change agents has been very productive by taking thoughtful, well-prepared actions towards developing definitions of problems, evaluating assumptions, and estimating costs and benefits of solutions. Despite their initial success, these tempered radicals have had trouble carrying their plan forward due to the lack of a champion. This group is at what step in the 5P checklist for change agents?

- A. Preliminary.
- B. Persistence.
- C. Preparation.
- D. Progress.

- Answer (A) is incorrect. The preliminary step is not part of the 5P checklist.
- Answer (B) is incorrect. Persistence involves maintaining urgency, avoiding impatience, and keeping expectations realistic.
- Answer (C) is **correct**. The employees are still at the preparation step. The 5P checklist for change agents consists of the following:
 1. Preparation involves development of definitions of concepts or problems; evaluating assumptions, costs, and benefits; and naming a champion (driver) to lead the process;
 2. Purpose is the definition of clear and measurable objectives, milestones, and deadlines;
 3. Participation means refining concepts while recruiting influential supporters and neutralizing opponents;
 4. Progress relates to meeting milestones and deadlines, shoring up support, and overcoming or avoiding obstacles; and
 5. Persistence is maintaining urgency, avoiding impatience, and keeping expectations realistic.
- Answer (D) is incorrect. Preparation (not progress) includes naming a champion.

[459] Gleim #: 6.3.70 -- Source: CIA 04 Model Exam I-66

Of the following reasons for employees to resist a major change in organizational processes, which is **least** likely?

- A. Threat of loss of jobs.
- B. Required attendance at training classes.
- C. Breakup of existing work groups.
- D. Imposition of new processes by senior management without prior discussion.

- Answer (A) is incorrect. Real or imagined loss of jobs is a common reason for employees to resist any change.
- Answer (B) is **correct**. Change management is important to all organizations. An appropriate balance between change and stability is necessary if an organization is to thrive. Employee training programs educate employees to perform jobs in a new or different way. Thus, they are a means of coping with employee resistance to change through facilitation and support of the change.
- Answer (C) is incorrect. Members of work groups often exert peer pressure on one another to resist change, especially if social relationships are changed.
- Answer (D) is incorrect. Lack of communication and discussion of the need for change threatens the status quo, which fosters employee resistance.

[460] Gleim #: 6.3.71 -- Source: CIA 04 Model Exam I-68

An organization is changing to a quality assurance program that incorporates quality throughout the process. This is very different from its years of dependence on quality control at the end of the process. This type of change is a

- A. Cultural change.
- B. Product change.
- C. Structural change.
- D. Organizational change.

- Answer (A) is **correct**. A cultural change involves a change in attitudes and mindset.
- Answer (B) is incorrect. Product change is change in a product's physical attributes and usefulness to customers.
- Answer (C) is incorrect. No change to systems and structures is mentioned.
- Answer (D) is incorrect. No organizational change occurred. The change involves only quality assurance.

[461] Gleim #: 6.3.72 -- Source: CIA 04 Model Exam I-69

A chief audit executive plans to make changes that may be perceived negatively by the audit staff. The **best** way to reduce resistance would be to

- A. Develop the new approach fully before presenting it to the audit staff.
- B. Ask the chief executive officer (CEO) to approve the changes and have the CEO attend the departmental staff meeting when they are presented.
- C. Approach the staff with the general idea and involve them in the development of the changes.
- D. Get the internal audit activity's clients to support the changes.

- Answer (A) is incorrect. Fully developing the plan before presenting it to the audit staff will not help reduce their resistance to change.
- Answer (B) is incorrect. Involving the CEO will not necessarily reduce the audit staff's resistance to change.
- Answer (C) is **correct**. Change management is important to all organizations. An appropriate balance between change and stability is necessary. Organizational and procedural changes often are resisted by the individuals and groups affected. Involving the staff in the change from the beginning participation will reduce their resistance to change.
- Answer (D) is incorrect. Involving the internal audit activity's clients will not necessarily reduce the audit staff's resistance to change.

[462] Gleim #: 6.3.73 -- Source: Publisher

Organizational change must be considered in the light of potential employee resistance. Resistance

- A. May occur even though employees will benefit from the change.
- B. Will be greatest when informal groups are weakest.
- C. Will be insignificant if no economic loss by employees is expected.
- D. Is centered mostly on perceived threats to psychological needs.

- Answer (A) is **correct**. Resistance to change may be caused by fear of the personal adjustments that may be required. Employees may have a genuine concern about the usefulness of the change, perceive a lack of concern for workers' feelings, fear the outcome, worry about downgrading of job status, and resent deviations from past procedures for implementing change (especially if new procedures are less participative than the old). Social adjustments also may be required that violate the behavioral norms of informal groups or disrupt the social status quo within groups. Economic adjustments may involve potential economic loss or insecurity based on perceived threats to jobs. In general, any perceived deterioration in the work situation that is seen as a threat to economic, social, and/or psychological needs will produce resistance. The various adjustments required are most likely to be resisted when imposed unilaterally by higher authority. However, employees who share in finding solutions to the problems requiring change are less likely to resist because they will have some responsibility for the change.
- Answer (B) is incorrect. Strong informal groups are likely to offer more resistance.
- Answer (C) is incorrect. Resistance arises from threats to a complex pattern of economic, social, and psychological needs.
- Answer (D) is incorrect. Resistance arises from threats to a complex pattern of economic, social, and psychological needs.

[463] Gleim #: 6.3.74 -- Source: Publisher 2009

An organization has embarked on a program of process innovation and core process redesign. To counter resistance, it has adopted an organizational development (OD) approach that includes

- A. Inducing employees to share organizational purposes and values.
- B. Incremental change of subsystems.
- C. Focusing each division's attention on its own objectives.
- D. Manipulating information and events.

- Answer (A) is **correct**. The objectives of OD are to (1) deepen the sense of organizational purpose and values and align individuals with them; (2) promote interpersonal trust, communication, cooperation, and support; (3) encourage a problem-solving approach; (4) develop a satisfying work experience; (5) supplement formal authority with authority based on expertise; (6) increase personal responsibility; and (7) encourage willingness to change.
- Answer (B) is incorrect. The change (business process reengineering) is strategic.
- Answer (C) is incorrect. The organization should not promote the silo approach. Rather, it should promote adherence to the organization's culture, values, and objectives.
- Answer (D) is incorrect. Manipulation, co-optation, and coercion tend to be ineffective means of change management.

[464] Gleim #: 6.4.75 -- Source: Publisher

Matthew and Nick are working on similar projects. After a review, Matthew informs Nick that his work contains many errors and is not acceptable. Matthew discusses with Nick ways to improve the quality of his work. Nick acknowledges his mistakes and vows to work harder. He listens to Matthew's suggestions and corrects the errors on the current project. This is an example of

- A. Cooperative conflict.
- B. Competitive conflict.
- C. Destructive conflict.
- D. None of the answers are correct.

- Answer (A) is **correct**. Matthew's conflict with Nick is productive because dialogue between the two workers is productive. They share the same goals for a high quality project.
- Answer (B) is incorrect. The two employees are not competing with each other. Matthew is desiring to help Nick with his project.
- Answer (C) is incorrect. Matthew and Nick both displayed constructive behavior.
- Answer (D) is incorrect. The situation is an example of cooperative conflict.

[465] Gleim #: 6.4.76 -- Source: Publisher

Conflict may be

- I. Cooperative
 - II. Competitive
- A. I only.
 - B. II only.
 - C. Both I and II.
 - D. Neither I nor II.

- Answer (A) is incorrect. Conflict may be cooperative or competitive.
- Answer (B) is incorrect. Conflict may also be cooperative.
- Answer (C) is **correct**. Conflict may be either cooperative or competitive. Cooperative conflict is constructive and competitive conflict is destructive.
- Answer (D) is incorrect. Conflict may be both cooperative and competitive.

[466] Gleim #: 6.4.77 -- Source: Publisher

Which of the following conflict triggers is **best** resolved by reorganization?

- A. Scarcity of people, funds, or other resources.
- B. Badly defined job descriptions.
- C. Failure of communication.
- D. Deadlines.

- Answer (A) is incorrect. The scarcity of people, funds, or other resources is best resolved by increasing resources.
- Answer (B) is **correct**. If badly designed job descriptions occur, the best resolution is reorganization.
- Answer (C) is incorrect. Failure of communication is best resolved by removing obstacles to effective two-way communication.
- Answer (D) is incorrect. Deadlines may induce better performance or anger and frustration. Reorganization is not the best solution for conflicts with deadlines.

[467] Gleim #: 6.4.78 -- Source: CIA, adapted

Which of the following conflict resolution techniques has the goal of maintaining harmonious relationships by placing another's needs and concerns above your own?

- A. Accommodation.
- B. Compromise.
- C. Collaboration.
- D. Avoidance.

- Answer (A) is **correct**. The goal of accommodation is maintaining harmonious relationships by placing an emphasis on another's needs and concerns.
- Answer (B) is incorrect. Compromise resolves conflict through a process in which each side makes concessions.
- Answer (C) is incorrect. Collaboration resolves conflict. The parties work together to obtain a solution.
- Answer (D) is incorrect. Avoidance does not resolve conflict. It is nonaction.

[468] Gleim #: 6.4.79 -- Source: Publisher

Time consumption is a disadvantage when managers address conflict by

- A. Smoothing.
- B. Forcing.
- C. Problem solving.
- D. None of the answers are correct.

- Answer (A) is incorrect. Smoothing is a short-term avoidance approach.
- Answer (B) is incorrect. Forcing occurs when a superior uses his or her formal authority to order a particular outcome.
- Answer (C) is **correct**. Problem solving is a way managers address conflicts, but it requires a large amount of time to resolve.
- Answer (D) is incorrect. Problem solving takes managers a long time to resolve conflicts.

[469] Gleim #: 6.4.80 -- Source: Publisher

Carling, a manager, resolves a conflict between two employees, Philip and John, by recommending concessions to be made by both employees. The two employees agree to the concessions and the conflict is resolved. Both Philip and John gain and lose. Which of the following describes the way Carling addressed the conflict?

- A. Forcing.
- B. Smoothing.
- C. Compromise.
- D. Problem solving.

- Answer (A) is incorrect. Forcing occurs when a superior uses his or her formal authority to order a particular outcome. It does not resolve the conflict. Forcing may intensify it.
- Answer (B) is incorrect. Smoothing is a short-term avoidance approach. The parties in conflict are asked by management to submerge their differences temporarily until a project is completed.
- Answer (C) is **correct**. Compromise entails negotiation by the parties in conflict. The conflict is resolved through a process by which each side makes concessions. Thus, the parties both gain and lose. Because Philip and John each made concessions, the conflict was resolved through compromise.
- Answer (D) is incorrect. Problem solving is a means of resolving the conflict by confronting it and removing its causes. The emphasis is on facts and solutions, not personalities and assignment of blame.

[470] Gleim #: 6.4.81 -- Source: Publisher 2009

Which negotiation technique allows the parties to address the problem instead of their positions?

- A. Avoidance.
- B. Forcing.
- C. Interest-based bargaining.
- D. Smoothing.

- Answer (A) is incorrect. Avoidance (withdrawing) is nonaction. It suppresses the conflict but does not solve the problem.
- Answer (B) is incorrect. Forcing results when a superior orders resolution of the conflict. Thus, resolution of the conflict is not resolved and may intensify.
- Answer (C) is **correct**. In Interest-based bargaining, the parties realize that the conflict is between interests, not their opposed positions. The interests underlying the positions may be both conflicting and compatible. The strongest of these interests are basic human needs. By acknowledging and understanding the others' interests, the parties may be able to address the problem by bypassing their positions and finding a new option that serves their interests.
- Answer (D) is incorrect. Smoothing is a short-term avoidance approach. The parties are asked to submerge their differences temporarily.

[471] Gleim #: 6.4.82 -- Source: CIA 04 Model Exam I-70

During a meeting of an internal audit project team, two members of the team disagree, and one accuses the other of trying to advance personal interests over the interests of the audit. The audit manager should

- A. Discipline both auditors after the meeting for their lack of professional conduct.
- B. Continue the meeting but speak to the accusing auditor later regarding the inappropriate conduct.
- C. Meet with both auditors after the meeting to resolve the conflict and the inappropriate behavior.
- D. Stop the meeting and refer the matter to the entire team for discussion.

- Answer (A) is incorrect. The manager should address the behavior and not miss the opportunity for coaching and conflict resolution with both staff members.
- Answer (B) is incorrect. Although one auditor has behaved improperly, both auditors allowed the situation to occur, and both should be involved in its resolution to protect team morale and effectiveness.
- Answer (C) is **correct**. Effective interpersonal relationships and organizational change are closely tied to conflict management. Meeting with both auditors after the meeting allows both parties to discuss and resolve their differences under the supervision of the audit manager. Moreover, part of the CAE's responsibility for supervision is to adopt suitable policies and procedures for resolving professional differences (PA 2340-1).
- Answer (D) is incorrect. This conflict is not a matter for the entire team to address. The team may be advised after the resolution but should not be involved in a disciplinary action by the manager.

[472] Gleim #: 6.4.83 -- Source: Publisher

Which of the following is an example of a two-party negotiation?

- A. A person sells a car to a used car dealer.
 - B. A person requests a financial institution to pay another person.
 - C. A person sells stock through a broker.
 - D. A person sells a house through a real estate agent.
- Answer (A) is **correct**. A person's sale of a car to a used car dealer is an example of a two-party negotiation. Only the seller and dealer are involved in the negotiations.
 - Answer (B) is incorrect. A person who requests a financial institution to pay another person is engaged in a three-party negotiation. The three parties involved are the person requesting the financial institution to use funds from his or her account to pay another individual, the financial institution responsible for paying the payee, and the person receiving the funds from the financial institution.
 - Answer (C) is incorrect. A person who sells stock through a broker is engaged in a three-party negotiation. The seller, broker, and buyer are involved.
 - Answer (D) is incorrect. Sale of a house through a real estate agent is a three-party negotiation.

[473] Gleim #: 6.4.84 -- Source: Publisher

A reasonable BATNA (best alternative to a negotiated agreement) protects against bad decisions caused by the following

- I. Framing error
- II. Escalation of commitment
- III. Overconfidence

- A. I and III only.
 - B. I, II, and III.
 - C. I only.
 - D. II and III only.
- Answer (A) is incorrect. A reasonable BATNA also protects against escalation of commitment.
 - Answer (B) is **correct**. A reasonable BATNA protects against bad decisions caused by the following: framing error, escalation of commitment, and overconfidence. Framing error is a perceptual problem. The presentation or context of information may bias its interpretation and the resulting decision. Escalation of commitment is adherence to a failing course of action when a purely objective decision maker would abandon it. Overconfidence is the common tendency to overestimate the chances of success.
 - Answer (C) is incorrect. A reasonable BATNA also protects against escalation of commitment and overconfidence.
 - Answer (D) is incorrect. A reasonable BATNA also protects against framing errors.

[474] Gleim #: 6.4.85 -- Source: Publisher

In effective negotiation, a win-win attitude is characterized by

- A. Seeking mutual benefit and satisfaction.
 - B. Cooperative.
 - C. It promotes support of, and commitment to, the agreement.
 - D. All of the answers are correct.
-
- Answer (A) is incorrect. Cooperation and promoting support and commitment to the agreement are additional characteristics of a win-win attitude.
 - Answer (B) is incorrect. Seeking mutual benefit and satisfaction and supporting and committing to the agreement are characteristics of a win-win attitude.
 - Answer (C) is incorrect. Two additional characteristics of a win-win attitude are seeking mutual benefit and satisfaction and being cooperative.
 - Answer (D) is **correct**. In effective negotiation, a win-win attitude means seeking mutual benefit and satisfaction; being cooperative; and promoting support of, and commitment to, the agreement. In contrast with a win-win attitude, a win-lose attitude is competitive. It results in a zero-sum game instead of a positive-sum game.

[475] Gleim #: 6.4.86 -- Source: CIA, adapted

When planning for successful negotiations, the negotiator should

- A. Understand the implications for both sides if the negotiation fails.
 - B. Concentrate solely on the issues in the negotiation at hand.
 - C. Not deviate from stated positions.
 - D. Depend on the initial research prepared for the negotiation.
-
- Answer (A) is **correct**. Negotiators should assess the best alternatives for both themselves and the other parties to determine their relative strength in the negotiation process. If alternatives are not readily available or are unattractive, a party is under additional pressure to make the negotiation work.
 - Answer (B) is incorrect. The negotiator should evaluate all alternatives to avoid placing undue pressure on the success of the negotiation.
 - Answer (C) is incorrect. An objective perspective may assist the negotiator in identifying alternatives.
 - Answer (D) is incorrect. Additional research may be required to fully understand the other party's alternatives to negotiation.

[476] Gleim #: 6.4.87 -- Source: CIA, adapted

When negotiating with an analytical personality, the negotiator should

- A. Present facts and precedents in an organized manner.
 - B. Push the other party for quick closure of negotiations.
 - C. Focus on creating a bond with the other party.
 - D. Include unimportant items in the proposal for bargaining.
-
- Answer (A) is **correct**. An analytical person tends to be drawn to details and persuaded by factual information.
 - Answer (B) is incorrect. Pushing an analytical person may result in increased resistance.
 - Answer (C) is incorrect. Analytical personalities make decisions based on facts rather than on emotions.
 - Answer (D) is incorrect. The analytical person tends not to enjoy negotiation games as much as other personality types. If the other party believes the negotiator to be deceitful, they may be unwilling to cooperate or even stop negotiations altogether.

[477] Gleim #: 6.4.88 -- Source: Publisher

Which of the following is the acceptable minimum outcome if a negotiator cannot obtain the desired result?

- A. Win-win attitude.
- B. Cooperation.
- C. BATNA.
- D. Win-lose attitude.

- Answer (A) is incorrect. A win-win attitude is cooperative. It is founded on the principle that resources are sufficient for all and a third alternative is preferable.
- Answer (B) is incorrect. Cooperation is the act of seeking mutual benefit and satisfaction.
- Answer (C) is **correct**. The BATNA is the acceptable minimum outcome if a negotiator cannot obtain the desired result. The BATNA helps a negotiator to avoid accepting an unfavorable agreement and rejecting a favorable agreement.
- Answer (D) is incorrect. A win-lose attitude is competitive. It results as a zero-sum game.

[478] Gleim #: 6.4.89 -- Source: Publisher

Understanding the BATNA helps a negotiator to avoid which of the following?

- I. Accepting an unfavorable settlement.
 - II. Rejecting a favorable settlement
- A. I only.
 - B. II only.
 - C. I and II.
 - D. Neither I nor II.

- Answer (A) is incorrect. Rejecting a favorable settlement is avoided by understanding the BATNA.
- Answer (B) is incorrect. Accepting an unfavorable settlement is avoided by understanding the BATNA.
- Answer (C) is **correct**. Accepting an unfavorable settlement and rejecting a favorable settlement are two mistakes avoided by understanding the BATNA. The BATNA is the acceptable minimum outcome if a negotiator cannot obtain the desired result.
- Answer (D) is incorrect. Accepting an unfavorable settlement and rejecting a favorable settlement are avoided by understanding the BATNA.

[479] Gleim #: 6.4.90 -- Source: Publisher

Which of the following is an example of framing error?

- I. A job seeker may hope that the attractive appearance of a resume will sway the judgment of a potential employer.
 - II. A glass still holds 50% of its capacity whether the glass is described as half full or half empty. However, the former (latter) characterization may lead to a more (less) favorable opinion of the content.
- A. I only.
 - B. I and II.
 - C. II only.
 - D. Neither I nor II.

- Answer (A) is incorrect. Situation II is also an example of framing error. The favorably (unfavorably) presented information may be viewed more (less) favorably than its merits warrant.
- Answer (B) is **correct**. Framing error is a perceptual problem. The presentation or context of information may bias its interpretation and the resulting decision. Thus, favorably (unfavorably) presented information may be viewed more (less) favorably than its merits warrant. Both I and II are examples of framing errors.
- Answer (C) is incorrect. Situation I is also a correct example of framing error.
- Answer (D) is incorrect. Both of the situations listed are examples of framing error since the presentation or context of information may bias its interpretation and the resulting decision.

[480] Gleim #: 6.4.91 -- Source: CIA, adapted

The negotiator, when encountering unexpected resistance from another party, should first

- A. Attempt to determine the reason behind the resistance.
- B. Stop the meeting and address the other party's concerns privately.
- C. Restate the negotiator's position regarding the issue.
- D. Research the other party to determine the party's views and requirements.

- Answer (A) is **correct**. The first step in overcoming unexpected resistance is to attempt to determine the reason behind the resistance. Without knowing the reason, the negotiator is unable to counter it effectively. For example, knowing whether the other party is concerned about a major issue or a detail will affect the negotiator's response.
- Answer (B) is incorrect. Generally, a resolution should be attempted at the time. Only if one or both parties to the negotiation need additional time to evaluate new information or calm down should a break be taken.
- Answer (C) is incorrect. The negotiator should first work with the other party to determine the cause of disagreement.
- Answer (D) is incorrect. Research regarding the other party should occur prior to the initial negotiation meeting.

[481] Gleim #: 6.4.92 -- Source: Publisher

A parent wishes to sell a subsidiary for US \$1.6 billion. A buyer wishes to acquire the subsidiary for US \$1.1 billion, with the best alternative to a negotiated agreement (BATNA) of US \$1.4 billion. What is an acceptable BATNA for the seller in order for negotiation to be feasible?

- A. US \$1.3 billion.
- B. US \$1.5 billion.
- C. US \$1.7 billion.
- D. US \$1.75 billion.

- Answer (A) is **correct**. A BATNA of US \$1.3 billion is acceptable because the BATNA of the buyer is US \$1.4 billion. Any amount over US \$1.4 billion would cause negotiation to not be feasible.
- Answer (B) is incorrect. US \$1.5 billion is higher than the US \$1.4 billion BATNA of the buyer. The buyer will not be willing to negotiate with the seller.
- Answer (C) is incorrect. US \$1.7 billion is higher than the buyer's BATNA of US \$1.4 billion. Once again, negotiation is not feasible in this situation.
- Answer (D) is incorrect. US \$1.75 billion BATNA is higher than the US \$1.4 billion BATNA of the buyer.

[482] Gleim #: 6.4.93 -- Source: Publisher

Two individuals negotiate the details and put a deal in written form. The individuals have developed a good relationship and future negotiations will benefit. Which step of the value-added negotiating process has taken place?

- A. Perfect the deal.
- B. Identify options.
- C. Design alternative deal packages.
- D. Select a deal.

- Answer (A) is **correct**. The individuals performed a step in value-added negotiation by perfecting the deal. This step involves negotiating details and putting the deal in written form. The process creates relationships that will benefit later negotiations.
- Answer (B) is incorrect. The purpose of identifying options is to establish a "marketplace of value," i.e., the range of values each side can give the other.
- Answer (C) is incorrect. Designing alternative deal packages exemplifies the distinctive feature of added-value negotiation which provides for multiple win-win offers.
- Answer (D) is incorrect. Selecting a deal is completed after the parties have considered the deal packages.

[483] Gleim #: 6.4.94 -- Source: CIA 594 II-12

Two subordinate internal auditors disagree on a particular substantive engagement observation. The best long-term approach to resolving this conflict is to

- A. Have them jointly identify the cause of their disagreement.
- B. Tell them to settle down, that things will work themselves out.
- C. Seek a middle ground that may satisfy both internal auditors.
- D. Remind them this is a team effort and they should forget their differences.

- Answer (A) is **correct**. In the long run, problem solving is the only effective solution because it eliminates the sources of conflict. Problem solving requires the parties to identify the actual sources of conflict, focus on factual information, and seek creating solutions.
- Answer (B) is incorrect. Smoothing is a short-term approach to conflict resolution. It does not remove the sources of conflict.
- Answer (C) is incorrect. Compromise resolves conflict by permitting each side to achieve some of its objectives. However, each party also loses something, and compromise is therefore less effective than problem solving.
- Answer (D) is incorrect. An appeal to superordinate goals is a short-term solution.

[484] Gleim #: 6.4.95 -- Source: CIA 1196 II-33

During an internal audit, the auditor experienced difficulty obtaining required information from a specific employee. When this situation continued for one week, the auditor requested a private meeting with the employee for the purpose of identifying the problem and resolving the difficulty through open discussion. Which conflict management technique was the auditor applying?

- A. Problem solving.
- B. Expansion of resources.
- C. Authoritative command.
- D. Altering the human variable.

- Answer (A) is **correct**. The conflict management technique that involves face-to-face meetings is problem solving. Problem solving is a means of confronting the conflict and removing its causes. The emphasis is on facts and solutions, not personalities and assignment of blame.
- Answer (B) is incorrect. Expansion of resources addresses conflicts that arise from scarcity.
- Answer (C) is incorrect. The auditor is not using formal authority.
- Answer (D) is incorrect. The auditor is not using behavioral techniques to change attitudes and behavior.

[485] Gleim #: 6.4.96 -- Source: CIA 596 III-8

One division of a large manufacturing company has traditionally performed much better than any of the other divisions. The management team of this division has risen through the ranks together and exhibits no signs of conflict. Recently, earnings of the division have begun to decline, and market share has eroded. Senior management of the parent company has asked the director of internal audit whether the introduction of conflict by bringing in outside managers might help resolve the deteriorating situation. The **most** appropriate response would be that

- A. Conflict is dysfunctional and should not be risked under these circumstances.
- B. All conflict can be beneficially controlled and should be encouraged in this situation.
- C. The management team has been together for a long time and should be allowed to work through its problems.
- D. Varying the management team could introduce new ideas and be beneficial to the division, and some conflict is not a problem.

- Answer (A) is incorrect. Not all conflict is dysfunctional.
- Answer (B) is incorrect. Some conflict is dysfunctional.
- Answer (C) is incorrect. Ignoring the problem will not solve it.
- Answer (D) is **correct**. The interactionist view is that conflict may be constructive as well as destructive because it encourages self-criticism, creativity, and necessary change. Accordingly, managers may decide to stimulate controlled conflict. Techniques for this purpose may include ambiguous or threatening communications; hiring outsiders with different values, managerial styles, attitudes, and backgrounds; designating an individual to argue against the majority opinions of the group; and restructuring the organization to disrupt the status quo. Thus, bringing in outside managers may stimulate conflict but may also eliminate complacency and improve creativity.

[486] Gleim #: 6.4.97 -- Source: CIA 595 II-31

Upon completing an audit of a major operation of the company, the auditor is certain that a proposed recommendation should be made in the audit report. However, the auditor also understands that the recommendation will result in conflict between the auditee department and the accounting department. The organization is not bureaucratic and encourages the development of informal relationships across departments. Which of the following statements is true regarding the nature of conflict in organizations?

- A. Conflict is more likely to be functional in a bureaucratic organization than in a less formal (organic-type) organization.
 - B. Conflict reduces the likelihood that an acceptable solution can be implemented in highly structured organizations; thus the auditor should consider revising the recommendation in order to avoid conflict.
 - C. Conflict should be viewed as a healthy way to facilitate growth in an organization; thus the auditor should accept conflict that may result from normal audit recommendations.
 - D. Conflict is healthy unless it clearly points out differences in the goals and objectives of the organization's operating units.
-
- Answer (A) is incorrect. Whether conflict is functional depends on many variables. Hence, generalizations about the effect of organizational structure are untenable. However, one hypothesis is that conflict is more likely to be constructive when creative or unstructured decisions must be made.
 - Answer (B) is incorrect. Conflict avoidance may be necessary in the short run but does not resolve the underlying problem. Removing the causes of dysfunctional conflict is the best long-term approach.
 - Answer (C) is **correct**. The interactionist view holds that constructive or functional conflict is necessary for an organization to perform effectively. Functional conflict fosters self-criticism, innovation, and the ability to respond successfully to changing circumstances. It should be promoted, not suppressed.
 - Answer (D) is incorrect. Conflict that points out differences in goals and objectives facilitates discussion and eventual growth and is therefore beneficial.

[487] Gleim #: 7.1.1 -- Source: CIA 592 I-11

Internal auditors must develop and document a plan for each engagement. The planning process includes all of the following **except**

- A. Establishing engagement objectives and scope of work.
- B. Obtaining background information about the activities to be reviewed.
- C. Identifying procedures for gathering sufficient information to achieve engagement objectives.
- D. Determining how, when, and to whom the engagement results will be communicated.

- Answer (A) is incorrect. The planning process includes establishing engagement objectives and scope of work.
- Answer (B) is incorrect. The planning process includes obtaining background information.
- Answer (C) is incorrect. The planning process includes identifying procedures for gathering sufficient information to achieve engagement objectives.
- Answer (D) is **correct**. Planning includes (1) establishing engagement objectives and scope of work, (2) obtaining background information about the activities to be reviewed, (3) determining the resources necessary to perform the engagement, and (4) informing those in management who need to know about the engagement. However, this is done by the CAE (not auditors). Planning also includes performing, as appropriate, a survey to (1) become familiar with activities, risks, and controls; (2) identify areas for engagement emphasis; and (3) invite comments and suggestions from engagement clients. Furthermore, planning extends to developing work programs; determining how, when, and to whom engagement results will be communicated; and obtaining approval of the engagement work program. Identifying sufficient information to achieve engagement objectives is done during field work, not planning.

[488] Gleim #: 7.1.2 -- Source: CIA 1191 II-9

An external consultant is developing methods for the management of a city's capital facilities. An appropriate scope of an engagement to evaluate the consultant's product is to

- A. Review the consultant's contract to determine its propriety.
 - B. Establish the parameters of the value of the items being managed and controlled.
 - C. Determine the adequacy of the risk management and control systems for the management of capital facilities.
 - D. Review the handling of idle equipment.
- Answer (A) is incorrect. The review of the consultant's contract to determine its propriety is related to the procurement decision.
 - Answer (B) is incorrect. The establishment of parameters for values of items being managed and controlled is a management responsibility.
 - Answer (C) is **correct**. According to Standard 2201, "In planning the engagement, internal auditors must consider:
 - The objectives of the activity being reviewed and the means by which the activity controls its performance;
 - The significant risks to the activity, its objectives, resources, and operations and the means by which the potential impact of risk is kept to an acceptable level;
 - The adequacy and effectiveness of the activity's risk management and control systems compared to a relevant control framework or model; and
 - The opportunities for making significant improvements to the activity's risk management and control processes."
 - Answer (D) is incorrect. Management must determine policies regarding idle equipment. Some equipment may be retained for emergency use.

[489] Gleim #: 7.1.3 -- Source: CIA 1191 I-15

Documentation required to plan an internal audit engagement includes information that

- A. Resources needed to complete the engagement were considered.
 - B. Planned engagement work will be completed on a timely basis.
 - C. Intended engagement observations have been clearly identified.
 - D. Internal audit activity resources are efficiently and effectively employed.
- Answer (A) is **correct**. Internal auditors must develop and document a plan for each engagement, including the engagement's objectives, scope, timing, and resource allocations (Standard 2200).
 - Answer (B) is incorrect. Whether the planned work will actually be completed on time cannot be known in the planning phase.
 - Answer (C) is incorrect. Observations are what is actually found by performing procedures. Auditors must not anticipate the results of the work. To do so indicates a lack of objectivity.
 - Answer (D) is incorrect. Documenting the economic and efficient use of resources can be done only on completion of the engagement.

[490] Gleim #: 7.1.4 -- Source: CIA 587 II-15

Which of the following is **least** likely to be placed on the agenda for discussion at a pre-engagement meeting?

- A. Objectives and scope of the engagement.
- B. Client personnel needed.
- C. Sampling plan and key criteria.
- D. Expected starting and completion dates.

- Answer (A) is incorrect. Topics of discussion may include planned objectives and scope of work.
- Answer (B) is incorrect. Topics of discussion may include resources needed.
- Answer (C) is **correct**. Meetings are held with management responsible for the activity being examined (PA 2200-1). These pre-engagement meetings between the internal auditor and engagement client are opportunities to discuss planning and housekeeping matters regarding the forthcoming engagement. The sampling plan would probably not be discussed because it is not determined until the preliminary survey and evaluation of controls are completed.
- Answer (D) is incorrect. Topics of discussion may include the timing of the work.

[491] Gleim #: 7.1.5 -- Source: CIA 591 II-32

One of the primary roles of an engagement work program is to

- A. Serve as a tool for planning and conducting engagement work.
- B. Document an internal auditor's evaluations of controls.
- C. Provide for a standardized approach to the engagement.
- D. Assess the risks associated with the activity under review.

- Answer (A) is **correct**. Work programs (1) document procedures for collecting, analyzing, interpreting, and documenting information; (2) state engagement objectives; (3) state the nature and extent of testing; (4) identify technical requirements, objectives, risks, processes, and transactions to be examined; and (5) are prepared before work begins, with appropriate modification during the engagement (PA 2200-1).
- Answer (B) is incorrect. Engagement working papers include results of control evaluations.
- Answer (C) is incorrect. The work program may not be consistent from year to year given the changing conditions to which the engagement client must adapt. The work program must reflect the current year's situation. Thus, standardization may not be appropriate.
- Answer (D) is incorrect. The risk assessment in the planning phase helps to identify objectives, a step that must be taken before the work program can be developed.

[492] Gleim #: 7.1.6 -- Source: CIA 590 I-11

The chief audit executive was reviewing recent reports that had recommended additional engagements because of risk exposures to the organization. Which of the following represents the greatest risk and should be the next assignment?

- A. Three prenumbered receiving reports were missing.
- B. There were several purchase orders issued without purchase requisitions.
- C. Payment had been made for routine inventory items without a purchase order or receiving report.
- D. Several times cash receipts had been held over an extra day before depositing.

- Answer (A) is incorrect. The absence of a receiving report or purchase requisition will prevent payment if disbursements are properly controlled.
- Answer (B) is incorrect. Certain routine purchases may not require requisitions.
- Answer (C) is **correct**. Payment vouchers for merchandise should be supported by a properly authorized purchase requisition, a purchase order executing the transaction, a receiving report indicating all goods ordered have been received in good condition, and a vendor invoice confirming the amount owed. Lack of such support for cash payments suggests a high risk of fraud.
- Answer (D) is incorrect. Assuming other controls are in place, the extent of the risk is the loss of 1 day's receipts.

[493] Gleim #: 7.1.7 -- Source: Publisher 2009

As part of planning an engagement, the internal auditor in charge does all of the following **except**

- A. Determine the period covered.
- B. Conduct meetings with management responsible for the activity under review.
- C. Distribute reports from meetings with management.
- D. Determine to whom engagement results will be communicated.

- Answer (A) is incorrect. The internal auditor determines engagement requirements not determined by the CAE. The internal auditor's determinations include the period covered, estimated completion dates, and the final engagement communication format.
- Answer (B) is incorrect. The internal auditor informs those in management who need to know about the engagement and conducts meetings with management responsible for the activity under review.
- Answer (C) is incorrect. The internal auditor conducts meetings with management responsible for the activity under review, summarizes and distributes the discussions and any conclusions reached from the meetings, and retains the documentation in the engagement working papers.
- Answer (D) is **correct**. "The CAE determines how, when, and to whom engagement results will be communicated. The internal auditor documents this and communicates it to management, to the extent deemed appropriate, during the planning phase of the engagement. The internal auditor communicates to management subsequent changes that affect the timing or reporting of engagement results" (PA 2200-1).

[494] Gleim #: 7.1.8 -- Source: CIA 592 II-18

Engagement work programs testing controls ordinarily must

- A. Be specifically designed for each operation evaluated.
- B. Be generalized to fit all situations without regard to departmental lines.
- C. Be generalized so as to be usable at all locations of a particular department.
- D. Reduce costly duplication of effort by ensuring that every aspect of an operation is examined.

- Answer (A) is **correct**. A work program must be adapted to the specific needs of the engagement after the internal auditor establishes the engagement objectives and scope and determines the resources required. A pro forma (standard) work program is not appropriate for a complex or changing environment. Its stated objectives and procedures may no longer be relevant.
- Answer (B) is incorrect. A work program must allow for variations resulting from changing circumstances and varied conditions.
- Answer (C) is incorrect. A generalized program cannot consider variations in circumstances and conditions.
- Answer (D) is incorrect. Every aspect of an operation need not be examined. Only those likely to conceal problems and difficulties must be considered.

[495] Gleim #: 7.1.9 -- Source: CIA 1188 I-23

An internal auditing supervisor reviewed the system of controls and the organizational objective of the purchasing department. What facet of engagement planning was the supervisor developing?

- A. Internal auditing policy manual.
- B. Engagement work schedule.
- C. Engagement work program.
- D. Internal auditing budget.

- Answer (A) is incorrect. An internal auditing policy manual provides guidelines for all operations of the IAA.
- Answer (B) is incorrect. An engagement work schedule describes what activities are to be performed, when they will be performed, and the estimated time required.
- Answer (C) is **correct**. Internal auditors must develop and document work programs that achieve the engagement objectives (Standard 2240). The work program states the objectives of the engagement; identifies technical requirements, objectives, risks, processes, and transactions that are to be examined; states the nature and extent of testing required; documents the internal auditor's procedures for collecting, analyzing, interpreting, and documenting information during an engagement; and is modified, as appropriate, during the engagement with the approval of the chief audit executive (CAE), or his or her designee (PA 2200-1). Before work programs are developed, the internal auditor should review background information (e.g., organizational objectives and goals) and, if appropriate, conduct a survey. The survey involves familiarization with activities, risks, and controls; identification of areas for engagement emphasis; and solicitation of comments and suggestions from engagement clients (PA 2210.A1-1).
- Answer (D) is incorrect. An internal auditing budget embraces all activities for a specified period, not details of work on a given engagement.

[496] Gleim #: 7.1.10 -- Source: CIA 585 II-13

In developing an engagement work program and communicating engagement results, the internal auditor should be alert for a condition that might reflect low materiality of an observation but high relative risk to the overall operation of the organization. Which of the following conditions would reflect such a situation?

- A. Many random clerical errors arise from the desire of employees to meet production quotas.
 - B. No written quality-assurance procedure exists for a high-volume production line item with low unit cost that has a 15% scrap experience.
 - C. The cashier is commingling personal funds with a US \$1,000 imprest cash fund.
 - D. Levels of approval authority for purchasing personnel are not set forth in the manual of purchasing procedures.
-
- Answer (A) is incorrect. The condition has low relative risk.
 - Answer (B) is **correct**. Risk is the possibility of the occurrence of an event that could affect the achievement of objectives. It is measured in terms of impact and likelihood (Glossary appended to the *Standards*). Certain transactions (e.g., cash) are subject to a greater risk of fraud, and engagement procedures for them may need to be carried out in a more conclusive manner. Materiality is concerned with the qualitative or quantitative significance of an item. Thus, in planning the engagement, internal auditors consider, among other things, significant risks and opportunities for significant improvements (Standard 2201). A 15% scrap experience for a high-volume item with a low unit cost may not be material, but the absence of a quality assurance program suggests a high probability of errors or fraud (relative risk).
 - Answer (C) is incorrect. The condition is qualitatively material owing to the possibility of fraud.
 - Answer (D) is incorrect. The condition is qualitatively material owing to the apparent absence of proper authorization of transactions.

[497] Gleim #: 7.2.11 -- Source: CIA 1192 II-22

In the planning phase, the scope of an internal audit engagement is defined by the

- A. Engagement objectives.
 - B. Scheduling and time estimates.
 - C. Preliminary survey.
 - D. Engagement work program.
-
- Answer (A) is **correct**. Internal auditors must develop and document a plan for each engagement, including the engagement's objectives, scope, timing, and resource allocations (Standard 2200). According to Standard 2220, "The established scope must be sufficient to satisfy the objectives of the engagement."
 - Answer (B) is incorrect. The scheduling and time estimates are based on the objectives and scope of the engagement.
 - Answer (C) is incorrect. The preliminary survey is performed before the objectives are determined.
 - Answer (D) is incorrect. The work program is developed after the preliminary survey and is based on the objectives of the engagement.

[498] Gleim #: 7.2.12 -- Source: Publisher

The established scope of the engagement must be sufficient to satisfy the objectives of the engagement. When developing the objectives of the engagement, the internal auditor considers the

- A. Probability of significant noncompliance.
- B. Information included in the engagement work program.
- C. Results of engagement procedures.
- D. Resources required.

- Answer (A) is **correct**. According to Standard 2210.A2, internal auditors must consider the probability of significant errors, fraud, noncompliance, and other exposures when developing assurance engagement objectives. In a consulting engagement, the objectives must address governance, risk management, and control processes to the extent agreed upon with the client (Standard 2210.C1).
- Answer (B) is incorrect. Engagement objectives must be determined before the engagement work program is written.
- Answer (C) is incorrect. The objectives determine the procedures to be performed.
- Answer (D) is incorrect. Internal auditors determine the resources required to achieve the engagement objectives.

[499] Gleim #: 7.2.13 -- Source: CIA 1184 II-25

Which of the following is the **best** explanation of the difference, if any, between engagement objectives and procedures?

- A. Procedures establish broad general goals. Objectives specify the detailed work to be performed.
- B. Objectives are tailor-made for each engagement. Procedures are generic in application.
- C. Objectives define desired accomplishments. Procedures provide the means of reaching conclusions related to the objectives.
- D. Procedures and objectives are essentially the same.

- Answer (A) is incorrect. Objectives are broadly defined accomplishments, and procedures specify the detailed work.
- Answer (B) is incorrect. Both objectives and procedures must be defined specifically for each engagement.
- Answer (C) is **correct**. According to the Glossary, objectives are broad statements that define engagement accomplishments. According to PA 2210-1, internal auditors establish engagement objectives to address the risks associated with the activity under review. The risk assessment during the engagement's planning phase is used to further define the initial objectives and identify other significant areas of concern. After identifying the risks, the auditor determines the procedures to be performed and the scope (nature, timing, and extent) of those procedures. Engagement procedures performed within the appropriate scope are the means to derive conclusions related to the engagement objectives.
- Answer (D) is incorrect. Procedures are the means of collecting, analyzing, interpreting, and documenting information during the engagement to achieve the objectives.

[500] Gleim #: 7.2.14 -- Source: CIA 1192 II-23

Which of the following statements is an engagement objective?

- A. Observe the deposit of the day's cash receipts.
- B. Analyze the pattern of any cash shortages.
- C. Evaluate whether cash receipts are adequately safeguarded.
- D. Recompute each month's bank reconciliation.

- Answer (A) is incorrect. Observation is a procedure.
- Answer (B) is incorrect. Analysis is a procedure.
- Answer (C) is **correct**. Engagement objectives must be established for each engagement (Standard 2210). They are broad statements developed by internal auditors and define what the engagement is intended to accomplish (Glossary). Procedures are the means to reach conclusions related to the objectives. Evaluating whether cash receipts are adequately safeguarded is an objective because it states what the engagement is to accomplish.
- Answer (D) is incorrect. Recomputation is a procedure.

[501] Gleim #: 7.2.15 -- Source: CIA 1194 I-11

In planning an engagement, the internal auditor establishes objectives to address the risk associated with the activity. Risk is the

- A. Possibility that the balance or class of transactions and related assertions contains misstatements that could be material to the financial statements.
 - B. Uncertainty of the occurrence of an event that could affect the achievement of objectives.
 - C. Failure to adhere to organizational policies, plans, and procedures or to comply with relevant laws and regulations.
 - D. Failure to accomplish established objectives and goals for operations or programs.
- Answer (A) is incorrect. The risk of material misstatement in financial statement assertions consists of inherent risk, control risk, and detection risk is just one type of adverse effect that can result from unmitigated risk.
 - Answer (B) is **correct**. According to PA 2210-1, objectives address the risks associated with the activity under review. Risk is the possibility of an event occurring that will have an impact on the achievement of objectives. Risk is measured in terms of impact and likelihood.
 - Answer (C) is incorrect. The failure to adhere to organizational policies, plans, and procedures or to comply with relevant laws and regulations is just one type of adverse effect that can result from unmitigated risk.
 - Answer (D) is incorrect. The failure to accomplish established objectives and goals for operations or programs is just one type of adverse effect that can result from unmitigated risk.

[502] Gleim #: 7.2.16 -- Source: CIA 1194 I-9

Which of the following activities represents the greatest risk to a post-merger manufacturing organization and is therefore **most** likely to be the subject of an internal audit engagement?

- A. Combining imprest funds.
 - B. Combining purchasing functions.
 - C. Combining legal functions.
 - D. Combining marketing functions.
- Answer (A) is incorrect. Imprest funds are typically immaterial in amount.
 - Answer (B) is **correct**. According to Standard 2210.A1, "Internal auditors must conduct a preliminary assessment of the risks relevant to the activity under review. Engagement objectives must reflect the results of this assessment." In a consulting engagement, the objectives must address governance, risk management, and control processes to the extent agreed upon with the client (Standard 2210.C1). Purchasing functions ordinarily represent the greatest exposure to loss of the items listed and are therefore most likely to be evaluated. The financial exposure in the purchasing function is ordinarily greater than in, for example, the legal and marketing functions. After a merger, risk is heightened because of the difficulty of combining the disparate systems of the two organizations. Thus, the likelihood of an engagement is increased.
 - Answer (C) is incorrect. Legal functions do not typically represent a risk of loss as great as the purchasing functions.
 - Answer (D) is incorrect. Marketing functions do not typically represent a risk of loss as great as the purchasing functions.

[503] Gleim #: 7.2.17 -- Source: CIA 1194 I-14

In planning an assurance engagement, a survey could assist with all of the following **except**

- A. Obtaining engagement client comments and suggestions on control problems.
- B. Obtaining preliminary information on controls.
- C. Identifying areas for engagement emphasis.
- D. Evaluating the adequacy and effectiveness of controls.

- Answer (A) is incorrect. A survey could assist with obtaining client comments and suggestions on control problems.
- Answer (B) is incorrect. A survey could assist with obtaining preliminary information on controls.
- Answer (C) is incorrect. A survey could assist with identifying areas for engagement emphasis.
- Answer (D) is **correct**. A survey is a process for gathering information, without detailed verification, on the client being examined. According to PA 2210.A1-1, internal auditors conduct a survey to (1) become familiar with activities, risks, and controls; (2) identify areas for engagement emphasis; and (3) invite comments and suggestions from clients. A survey does not help in evaluating the adequacy and effectiveness of controls except to the extent the internal auditor gains familiarity with the controls. Evaluation requires testing.

[504] Gleim #: 7.2.18 -- Source: CIA R98 I-1

An assurance engagement in the quality control department is being planned. Which of the following is **least** likely to be used in the preparation of a preliminary survey questionnaire?

- A. An analysis of quality control documents.
- B. The permanent engagement file.
- C. The prior engagement communications.
- D. Management's charter for the quality control department.

- Answer (A) is **correct**. A survey is a process for gathering information, without detailed verification, on the client being examined. According to PA 2210.A1-1, internal auditors conduct a survey to (1) become familiar with activities, risks, and controls; (2) identify areas for engagement emphasis; and (3) invite comments and suggestions from clients. An analysis of quality control documents is a part of field work, which follows the survey.
- Answer (B) is incorrect. The permanent engagement file probably contains information, such as problems detected in prior years that will help in the development of appropriate questions to ask this year.
- Answer (C) is incorrect. The prior engagement communications will likely assist in developing the current year's questionnaire.
- Answer (D) is incorrect. Knowing what the department is supposed to do will help the internal auditor develop knowledgeable questions.

[505] Gleim #: 7.2.19 -- Source: CIA 1192 I-12

The internal-auditor-in-charge has just been informed of the next engagement and the assigned engagement team. What is the appropriate phase for identifying potential critical control points?

- A. During formulation of the internal audit activity's engagement work schedule.
- B. After the preliminary survey.
- C. During the initial planning meeting.
- D. After the completion of all field work.

- Answer (A) is incorrect. Potential critical control points are details not likely to be found in the engagement work schedule (the long-range plan of the IAA).
- Answer (B) is **correct**. Internal auditors summarize results from their review of (1) management's risk assessment, (2) the background information, and (3) any survey work. The summary includes potential critical control points, control deficiencies, or excess controls (PA 2210.A1-1).
- Answer (C) is incorrect. The project is not well defined during the initial planning meeting.
- Answer (D) is incorrect. After the completion of all field work, the bulk of staff hours have been expended, and the information is less useful.

[506] Gleim #: 7.2.20 -- Source: CIA 1192 I-21

An internal auditor has just completed a survey to become familiar with the organization's payroll operations. Which of the following **most** likely is performed next?

- A. Assign internal audit personnel.
- B. Establish initial engagement objectives.
- C. Write the engagement work program.
- D. Conduct field work.

- Answer (A) is incorrect. Internal audit personnel are usually assigned before the survey.
- Answer (B) is incorrect. Initial engagement objectives are established at the beginning of the planning process. They are specified before the survey.
- Answer (C) is **correct**. Internal auditors (1) consider management's assessment of risk, (2) obtain or update background information, and (3) may conduct a survey (PA 2210-A1-1). The work program lists the procedures to be followed during the engagement (Glossary). Thus, the work program is most likely to be written after the risk assessment, the review of background information, and survey. The work program is normally prepared after the survey. The survey allows the internal auditor to become familiar with the engagement client and therefore provides input to the work program.
- Answer (D) is incorrect. Field work can be performed only after the work program has been written and approved. Thus, field work does not normally follow the survey.

[507] Gleim #: 7.2.21 -- Source: CIA 589 II-14

During which phase of the engagement does the internal auditor identify the objectives and related controls of the activity being examined?

- A. Preliminary survey.
- B. Staff selection.
- C. Work program preparation.
- D. Final communication of results.

- Answer (A) is **correct**. Planning should include performing, as appropriate, a survey to become familiar with activities, risks, and controls; to identify areas for engagement emphasis; and to invite client comments and suggestions (PA 2210.A1-1).
- Answer (B) is incorrect. Staff selection is the process of deciding which internal auditors will work on the engagement.
- Answer (C) is incorrect. The work program is prepared after the preliminary survey.
- Answer (D) is incorrect. Final communication of results occurs after the completion of the engagement.

[508] Gleim #: 7.2.22 -- Source: CIA 595 I-70

The preliminary survey indicates that severe staff reductions at the engagement location have resulted in extensive amounts of overtime among accounting staff. Department members are visibly stressed and very vocal about the effects of the cutbacks. Accounting payrolls are nearly equal to prior years, and many key controls, such as segregation of duties, are no longer in place. The accounting supervisor now performs all operations within the cash receipts and posting process and has no time to review and approve transactions generated by the remaining members of the department. Journal entries for the last 6 months since the staff reductions show increasing numbers of prior-month adjustments and corrections, including revenues, cost of sales, and accruals that had been misstated or forgotten during month-end closing activity. The internal auditor should

- A. Discuss these observations with management of the internal audit activity to determine whether further work would be an efficient use of internal auditing resources at this time.
- B. Proceed with the scheduled engagement but add personnel based on the expected number of observations and anticipated lack of assistance from local accounting management.
- C. Research temporary help agencies and evaluate the cost and benefit of outsourcing needed services.
- D. Suspend further engagement work and issue the final communication of results because the conclusions are obvious.

- Answer (A) is **correct**. A preliminary survey allows the internal auditor to become familiar with activities, risks, and controls; to identify areas for engagement emphasis; and to invite engagement client comments and suggestions. Among other matters, the summary of results prepared at the conclusion of the reviews of (1) management's risk assessment, (2) the background information, and (3) any survey includes, when applicable, reasons for not continuing the engagement (PA 2210.A1-1). In this case, additional planning is necessary to modify the engagement for the difficult circumstances discovered during the preliminary survey and to address the responsibilities of the IAA.
- Answer (B) is incorrect. What additional work will be necessary is not clear in these circumstances.
- Answer (C) is incorrect. Management has not accepted this plan of action.
- Answer (D) is incorrect. A final communication of results would violate the *Standards*, including those relating to objectivity, due professional care, and performance of the engagement.

[509] Gleim #: 7.2.23 -- Source: CIA 597 1-30

Which of the following **best** describes a preliminary survey?

- A. A standardized questionnaire used to obtain an understanding of management objectives.
 - B. A statistical sample of key employee attitudes, skills, and knowledge.
 - C. A "walk-through" of the financial control system to identify risks and the controls that can address those risks.
 - D. A process used to become familiar with activities and risks to identify areas for engagement emphasis.
-
- Answer (A) is incorrect. Detailed procedures performed during a preliminary survey include use of standard questionnaires.
 - Answer (B) is incorrect. Detailed procedures performed during a preliminary survey include statistical sampling.
 - Answer (C) is incorrect. Detailed procedures performed during a preliminary survey include a walk-through.
 - Answer (D) is **correct**. Planning includes performing, as appropriate, a survey to (1) become familiar with the activities, risks, and controls; (2) identify areas for engagement emphasis; and (3) invite engagement client comments and suggestions (PA 2210.A1-1). Detailed procedures performed during a survey include use of standard questionnaires, statistical sampling, and a walk-through.

[510] Gleim #: 7.2.24 -- Source: CIA 597 1-42

The internal auditors of a financial institution are performing an engagement to evaluate the institution's investing and lending activities. During the last year, the institution has adopted new policies and procedures for monitoring investments and the loan portfolio. The internal auditors know that the organization has invested in new types of financial instruments during the year and is heavily involved in the use of financial derivatives to appropriately hedge risks. If the internal auditors were to conduct a preliminary review, which of the following procedures should be performed?

- A. Review reports of engagements performed by regulatory and external auditors since the last internal audit engagement.
 - B. Interview management to identify changes made in policies regarding investments or loans.
 - C. Review minutes of board meetings to identify changes in policies affecting investments and loans.
 - D. All of the answers are correct.
-
- Answer (A) is incorrect. During the survey, the internal auditors should review reports of engagements performed by regulatory and external auditors since the last internal audit engagement.
 - Answer (B) is incorrect. During the survey, the internal auditors should interview management to identify changes made in policies regarding investments or loans.
 - Answer (C) is incorrect. During the survey, the internal auditors should review minutes of board meetings to identify changes in policies affecting investments and loans.
 - Answer (D) is **correct**. As part of the preliminary assessment of risk in engagement planning, the internal auditors may conduct, as appropriate, a survey to (1) become familiar with activities, risks, and controls; (2) identify areas for engagement emphasis; and (3) invite engagement client comments and suggestions (PA 2210.A1-1). A survey may involve (1) discussions with the client; (2) interviews with individuals affected by the activity, e.g., users of the activity's output; (3) on-site observations; (4) review of management reports and studies; (5) analytical auditing procedures; (6) flowcharting; (7) functional "walk-through" (tests of specific work activities from beginning to end); (8) documenting key control activities; (9) results of other engagements; and (10) review of minutes of board meetings.

[511] Gleim #: 7.2.25 -- Source: CIA 1195 I-38

An internal auditor conducts a preliminary survey and identifies a number of significant engagement issues and reasons for pursuing them in more depth. The engagement client informally communicates concurrence with the preliminary survey results and asks that the internal auditor not report on the areas of significant concern until the client has an opportunity to respond to the problem areas. Which of the following engagement responses is **not** appropriate?

- A. Keep the engagement on schedule and discuss with management the need for completing the engagement on a timely basis.
 - B. Consider the risk involved in the areas involved, and, if the risk is high, proceed with the engagement.
 - C. Consider the engagement to be terminated with no communication of results needed because the engagement client has already agreed to take constructive action.
 - D. Work with the engagement client to keep the engagement on schedule and address the significant issues in more depth, as well as the client's responses, during the course of the engagement.
- Answer (A) is incorrect. The internal auditor has identified significant engagement issues. No basis is given for not pursuing the engagement.
 - Answer (B) is incorrect. The internal auditor should always consider the risk associated with the potential observations as a basis for determining the need for more immediate attention.
 - Answer (C) is **correct**. The apparently constructive action by the engagement client may be a delaying tactic intended to conceal more serious problems after the internal auditor has identified significant engagement issues. Moreover, no basis is given for not pursuing the engagement. The internal auditor always considers the risk associated with the potential observations as a basis for determining the need for more immediate attention.
 - Answer (D) is incorrect. The internal auditor has identified significant engagement issues. No basis is given for not pursuing the engagement.

[512] Gleim #: 7.2.26 -- Source: CIA 04 Model Exam I-79

During a preliminary survey, an auditor found that several accounts payable vouchers for major suppliers required adjustments for duplicate payment of prior invoices. This would indicate

- A. A need for additional testing to determine related controls and the current exposure to duplicate payments made to suppliers.
 - B. The possibility of unrecorded liabilities for the amount of the overpayments.
 - C. Insufficient controls in the receiving area to ensure timely notice to the accounts payable area that goods have been received and inspected.
 - D. The existence of a sophisticated accounts payable system that correlates overpayments to open invoices and therefore requires no further audit concern.
- Answer (A) is **correct**. Internal auditors must conduct a preliminary assessment of the risks relevant to the activity under review. Engagement objectives must reflect the results of this assessment (Standard 2210.A1). Thus, an engagement's objectives and procedures address the risks associated with the activities under review. Engagement objectives are broad statements of what is to be accomplished, and procedures are the means to derive conclusions about engagement objectives (PA 2210-1). Accordingly, this preliminary survey information should prompt the auditor to identify the magnitude of duplicate payments.
 - Answer (B) is incorrect. Unrecorded liabilities are not likely to result in the generation of duplicate accounts payable vouchers.
 - Answer (C) is incorrect. The existence of duplicate payments is most likely related to a problem in accounts payable.
 - Answer (D) is incorrect. Duplicate payments are not overpayments. They are exceptions and should be handled as such.

[513] Gleim #: 7.2.27 -- Source: CIA 04 Model Exam I-80

Which of the following procedures should be performed as part of a preliminary review in an audit of a bank's investing and lending activities?

- A. Review reports of audits performed by regulatory and outside auditors since the last internal audit engagement.
- B. Interview management to identify changes made in policies regarding investments or loans.
- C. Review minutes of the board of directors' meetings to identify changes in policies affecting investments and loans.
- D. All of the answers are correct.

- Answer (A) is incorrect. Reviewing reports is not the only procedure performed as part of a preliminary review.
- Answer (B) is incorrect. Interviewing management is not the only procedure performed as part of a preliminary review.
- Answer (C) is incorrect. Procedures in addition to reviewing the minutes of board meetings are performed in a preliminary review.
- Answer (D) is **correct**. Internal auditors must conduct a preliminary assessment of the relevant risks in the activity under review. Engagement objectives must reflect the results (Standard 2210.A1). A survey is usually performed to (1) become familiar with the client's activities, risks, and controls; (2) identify areas of emphasis; and (3) invite comments from the client. Possible survey procedures include (1) observations, (2) interviews, (3) report reviews, (4) analytical tests, (5) flowcharting, (6) a walk-through, and (7) control documentation.

[514] Gleim #: 7.2.28 -- Source: CIA 04 Model Exam I-82

An auditor experienced in air-quality issues discovered a significant lack of knowledge about legal requirements for controlling air emissions while interviewing the manager of the environmental, health, and safety (EHS) department. The auditor should

- A. Alter the scope of the engagement to focus on activities associated with air emissions.
- B. Share extensive personal knowledge with the EHS manager.
- C. Take note of the weakness and direct additional questions to determine the potential effect of the lack of knowledge.
- D. Report potential violations in this area to the appropriate regulatory agency.

- Answer (A) is incorrect. The scope of the engagement should not be altered too early. Maintaining a broad scope and not reducing the scope prematurely are important considerations in the engagement process.
- Answer (B) is incorrect. Although the auditor may be able to contribute to the EHS manager's knowledge of pertinent air-quality matters, the auditor should focus on, during this phase of the engagement, learning what the manager does.
- Answer (C) is **correct**. An engagement's objectives and procedures address the risks associated with the activities under review. The preliminary risk assessment identifies significant activities requiring examination as potential objectives. Thus, the auditor ensures that the field work is designed to identify potential instances of noncompliance. In the closing conference, the auditor should recommend additional training for the EHS manager.
- Answer (D) is incorrect. An auditor should not report violations or potential violations to regulatory agencies. Such matters are the responsibility of the organization's counsel.

[515] Gleim #: 7.2.29 -- Source: CIA 04 Model Exam I-86

If an auditor's preliminary evaluation of internal controls results in an observation that controls may be inadequate, the next step is to

- A. Expand audit work prior to the preparation of an engagement final communication.
- B. Prepare a flowchart depicting the internal control system.
- C. Note an exception in the engagement final communication if losses have occurred.
- D. Implement the desired controls.

- Answer (A) is **correct**. After identifying risks, the auditor determines the procedures to be performed and their nature, timing, and extent (PA 2210-1). If the preliminary evaluation indicates control problems, the auditor usually decides to apply additional engagement procedures to reach the engagement objectives.
- Answer (B) is incorrect. A flowchart is prepared during the preliminary evaluation.
- Answer (C) is incorrect. The auditor is not ready to report until more work has been performed.
- Answer (D) is incorrect. Managers, not auditors, implement controls.

[516] Gleim #: 7.2.30 -- Source: CIA 1190 I-22

You are an internal auditing supervisor who is reviewing the working papers of a staff internal auditor's overall examination of the firm's sales function. The pages are not numbered or cross-referenced. Furthermore, the working papers were dropped and reassembled at random before they were brought to you. You decide to put the working papers in the proper order according to the *Standards*. The first stage of this activity is to identify each page as a part of (A) the preliminary survey, (B) the review of the adequacy of control processes, (C) the review for effectiveness of control processes, or (D) the review of results. The second page the supervisor selects documents an interview with a salesperson discussing the overall sales cycle. This page belongs with which activity?

- A. Preliminary survey.
- B. Review for adequacy of control processes.
- C. Review for effectiveness of control processes.
- D. Review of results.

- Answer (A) is **correct**. Planning includes performing, if appropriate, a survey to become familiar with the activities, risks, and controls to be reviewed; to identify areas for engagement emphasis; and to invite comments and suggestions from engagement clients (PA 2210.A1-1). Interviews with the engagement client may be conducted as part of the survey to obtain an overall understanding of operations.
- Answer (B) is incorrect. The review for adequacy determines whether control processes exist that are properly planned and designed.
- Answer (C) is incorrect. The review for effectiveness determines whether management has directed processes to provide reasonable assurance that goals and objectives will be achieved.
- Answer (D) is incorrect. Internal auditors review operations and programs to ascertain the extent to which results are consistent with goals and objectives.

[517] Gleim #: 7.2.31 -- Source: CIA 592 I-15

As a means of controlling projects and avoiding time-budget overruns, decisions to revise time budgets for an engagement should normally be made

- A. Immediately after the survey.
- B. When a significant risk exposure has been substantiated.
- C. When inexperienced staff are assigned to an engagement.
- D. Immediately after expanding tests to establish reliability of observations.

- Answer (A) is **correct**. A survey is a process for gathering information, without detailed verification, on the activity being examined. If appropriate, a survey should be conducted to become familiar with the activities, risks, and controls; to identify areas for engagement emphasis; and to invite comments and suggestions from engagement clients (PA 2210.A1-1). This survey may lead to a determination that activities other than or in addition to those contemplated by the long-range engagement work schedule are necessary. Consequently, revision of the time budget may then be indicated.
- Answer (B) is incorrect. When a risk exposure has been substantiated, no further engagement work is required.
- Answer (C) is incorrect. The assignment of inexperienced staff should have no effect on the decision to revise the time budget.
- Answer (D) is incorrect. Expanded tests should have no effect on the time budget; the budget would have already been expanded as necessary.

[518] Gleim #: 7.2.32 -- Source: CIA 590 I-2

During an operational engagement, an internal auditor compares the inventory turnover rate of a subsidiary with established industry standards to

- A. Evaluate the accuracy of the subsidiary's internal financial reports.
- B. Test the subsidiary's controls designed to safeguard assets.
- C. Determine if the subsidiary is complying with organizational procedures regarding inventory levels.
- D. Assess the performance of the subsidiary and indicate where additional engagement work may be needed.

- Answer (A) is incorrect. This is a function of a financial audit.
- Answer (B) is incorrect. This is a function of a financial audit.
- Answer (C) is incorrect. Testing inventory turnover addresses economy and efficiency issues, not compliance.
- Answer (D) is **correct**. Inventory turnover equals cost of sales divided by average inventory. This activity ratio measures the subsidiary's use of assets to generate revenue and income. Calculation of inventory turnover and comparison of the result with industry standards is an analytical procedure. A high turnover relative to the industry standard is desirable because it signifies that the organization does not hold excess and therefore unproductive inventory. Efficient management should minimize the sum of investment in inventory, carrying costs, ordering costs, and stockout costs. Operational engagements address these efficiency and economy issues and the effectiveness with which objectives are achieved.

[519] Gleim #: 7.2.33 -- Source: CIA 588 II-12

While planning an engagement, an internal auditor establishes engagement objectives to describe what is to be accomplished. Which of the following is a key issue to consider in developing engagement objectives?

- A. The qualifications of the internal auditing staff selected for the engagement.
- B. Risks associated with the activities to be reviewed.
- C. Recommendations of the engagement client's employees.
- D. The recipients of the final engagement communication.

- Answer (A) is incorrect. The engagement objectives should regulate the selection of staff members, not vice versa.
- Answer (B) is **correct**. The engagement's objectives should address the risks associated with the activities under review. The purpose of the risk assessment during the planning phase is to identify significant areas of activity that should be examined as potential engagement objectives (PA 2210-1).
- Answer (C) is incorrect. Internal auditors must set their own objectives. Client input is more useful for defining the operating objectives to which the engagement objectives must relate.
- Answer (D) is incorrect. The needs of recipients addressed by the final engagement communication are determined by the engagement client's objectives.

[520] Gleim #: 7.2.34 -- Source: CIA 589 I-2

The preliminary survey phase of an engagement to evaluate recruiting activity shows that hotel and airfare expenses are approximately equal. Both hotel and airline arrangements are made by the recruiting group secretary. Based on this information, the scope of field work should include

- A. Considering competitive factors involved in the selection of hotel accommodations.
- B. Recommending that someone outside the recruiting group make hotel and airline reservations.
- C. Comparing the detail of hotel charges per candidate's expense reports to copies of hotel bills obtained directly from hotel sources.
- D. Obtaining assurance that candidates' legal rights are protected during the course of the interview experience.

- Answer (A) is **correct**. Internal auditors can provide assistance to managers who are developing operating goals, objectives, and systems by determining whether underlying assumptions are appropriate, information is current and relevant, and suitable controls are incorporated into the operation in question. The scope of an engagement to evaluate recruiting expenses should include an inquiry as to whether procedures to minimize costs are in place and functioning effectively.
- Answer (B) is incorrect. Recommending that someone outside the recruiting group make hotel and airline reservations is a recommendation, not the scope of the engagement effort.
- Answer (C) is incorrect. Comparing the detail of hotel charges per candidate's expense reports to copies of hotel bills obtained directly from hotel sources is an engagement work program step.
- Answer (D) is incorrect. The legal rights of interviewees are not relevant to an engagement to evaluate recruiting expenses.

[521] Gleim #: 7.2.35 -- Source: CIA 597 II-6

In advance of a preliminary survey, a chief audit executive sends a memorandum and questionnaire to the supervisors of the department to be evaluated. What is the **most** likely result of that procedure?

- A. It creates apprehension about the engagement.
- B. It involves the engagement client's supervisory personnel in the engagement.
- C. It is an uneconomical approach to obtaining information.
- D. It is only useful for engagements of distant locations.

- Answer (A) is incorrect. Greater knowledge of the upcoming engagement is more likely to remove some of the apprehension about the engagement.
- Answer (B) is **correct**. Sending a memorandum and questionnaire to the engagement client is part of a participative approach. It helps involve the supervisors of the engagement client's department and thereby encourages a more collegial approach to the engagement. Obtaining the assistance of the engagement client in data gathering, evaluating operations, and solving problems should result in improved relations and in more effective and efficient engagements.
- Answer (C) is incorrect. Sending a memorandum and questionnaire to the engagement client is normally more economical. Some of the basic data gathering will be done by those most competent to do it rapidly.
- Answer (D) is incorrect. Sending a memorandum and questionnaire is advantageous in most circumstances.

[522] Gleim #: 7.2.36 -- Source: CIA 1196 I-14

Two major retailers, both publicly traded and operating in the same geographic area, have recently merged. They are approximately the same size and have internal audit activities. Organization A has little EDI experience. Organization B has invested heavily in information technology and has EDI connections with its major vendors.

The audit committee has asked the internal auditors from both organizations to analyze risk areas that should be addressed after the merger. The chief audit executive of Organization B has suggested that the two IAAs have a planning meeting to share work programs, scope of coverage, and copies of engagement communications that were delivered to their audit committees. Management has also suggested that the internal auditors review the compatibility of the two computer systems and control philosophy for individual store operations.

One internal auditor has suggested that each IAA conduct an engagement to evaluate consumer satisfaction that would include an analysis of: (1) customer complaints recorded by the customer service department during the last three months, (2) merchandise returned in the last three months, and (3) responses to a survey of customers who made purchases in the last three months. Which of the following statements regarding this approach is true?

- A. Although useful, such an engagement does not address risk factors and would therefore not be compatible with the audit committee directives.
- B. The survey would not consider customers who did not make purchases in the last three months.
- C. Parts 1 and 2 of the engagement plan would not be necessary, or cost effective, if a comprehensive customer survey were developed.
- D. None of the answers are correct.

- Answer (A) is incorrect. Such an engagement would be compatible with audit committee directives. Risk factors are the criteria used to identify the relative significance of, and likelihood that, conditions or events may adversely affect the organization. Risk factors may include the effects of consumer attitudes.
- Answer (B) is **correct**. Because the survey is sent to customers who made purchases in the last 3 months, it ignores customers from previous periods. Consequently, it will not provide information on dissatisfied customers who are no longer doing business with the organization.
- Answer (C) is incorrect. Analyzing customer complaints and merchandise returns are cost effective procedures that provide better information than survey responses.
- Answer (D) is incorrect. The survey would not consider customers who did not make purchases in the last 3 months.

[523] Gleim #: 7.2.37 -- Source: CIA 1196 I-44

An internal auditor is assigned to perform an engagement to evaluate the organization's insurance program, including the appropriateness of the approach to minimizing risks. The organization self-insures against large casualty losses and health benefits provided for all its employees. It is a large national entity with over 15,000 employees located in various parts of the country. It uses an outside claims processor to administer its health care program. The organization's medical costs have been rising by approximately 8% per year for the past five years, and management is concerned with controlling these costs. The internal auditor needs to determine the scope of the proposed evaluation of insurance coverage. Which of the following statements are true regarding the potential scope of the engagement?

- I. The internal audit activity should concentrate on processing that occurs within the organization and not on evaluating the correctness of transactions processing by the health care processor.
- II. The internal auditor should interview management prior to beginning the engagement to understand (1) its concerns and (2) the underlying assumptions made and rationale used when making the self-insurance decision.
- III. The internal auditor should consider engaging an actuarial consultant to better understand the risks involved in order to help determine the scope of the engagement.

- A. I only.
- B. II only.
- C. I and II.
- D. II and III.

- Answer (A) is incorrect. The internal auditor needs to investigate the cause for the increase in costs and the accuracy with which the claims processor is handling claims. The internal auditor should routinely interview engagement client management and should also consider engaging an actuarial consultant.
- Answer (B) is incorrect. The internal auditor needs to investigate the cause for the increase in costs and the accuracy with which the claims processor is handling claims. The internal auditor should routinely interview engagement client management and should also consider engaging an actuarial consultant.
- Answer (C) is incorrect. The internal auditor needs to investigate the cause for the increase in costs and the accuracy with which the claims processor is handling claims. The internal auditor should routinely interview engagement client management and should also consider engaging an actuarial consultant.
- Answer (D) is **correct**. One step in planning the engagement is to define engagement objectives (intended engagement accomplishments) and procedures (means of achieving the objectives). Taken together, the objectives and procedures define the scope of the internal auditor's work. Objectives and procedures are documented in the engagement work program. Before the work program can be drafted, however, a preliminary assessment of the risks relevant to the activity under review is conducted (PA 2210.A1). This survey includes, among other steps, discussions with the engagement client to increase the internal auditor's familiarity with the activities to be reviewed. Furthermore, if the internal auditing staff does not have the requisite knowledge, skills, and other competencies to perform all or part of the engagement, the CAE must obtain competent advice and assistance (Standard 1210.A1). However, the outside claims processing function is an integral part of the organization's internal control. Thus, the scope of the internal auditor's work should extend to the adequacy and effectiveness of internal control over claims processing.

[524] Gleim #: 7.2.38 -- Source: CIA 592 II-12

Which of the following is an appropriate statement of an engagement objective?

- A. To observe the physical inventory count.
 - B. To determine whether inventory stocks are sufficient to meet projected sales.
 - C. To search for the existence of obsolete inventory by computing inventory turnover by product line.
 - D. To include information about stockouts in the final engagement communication.
-
- Answer (A) is incorrect. Observation of inventory is an engagement procedure.
 - Answer (B) is **correct**. Engagement objectives are developed after consideration of the engagement client's operating objectives. They address the risks, controls, and governance processes associated with the activities under review. Engagement objectives are broad statements developed by internal auditors to define what the engagement is intended to accomplish. Engagement procedures are the means to derive conclusions related to the engagement objectives (PA 2210-1). Accordingly, determination of the sufficiency of inventory is an engagement procedure.
 - Answer (C) is incorrect. Calculation of inventory turnover is an engagement procedure.
 - Answer (D) is incorrect. Inclusion of stockout information is a specification for an engagement communication.

[525] Gleim #: 7.2.39 -- Source: CIA 593 I-17

In an engagement to review a not-for-profit organization's special revenue fund, the primary engagement objective is to determine whether the entity

- A. Complied with existing fund requirements and performed specified activities.
 - B. Managed its resources economically and efficiently.
 - C. Prepared its financial statements in accordance with accounting principles generally accepted in its country.
 - D. Applies the funds in a way that would benefit the greatest number of people.
-
- Answer (A) is **correct**. A fund is a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with all related liabilities and residual equities and balances, and changes therein, that are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. Thus, the primary engagement objective is to determine whether the entity complied with the existing fund requirements and performed the specified activities.
 - Answer (B) is incorrect. The special purpose of the fund outweighs issues of economy and efficiency.
 - Answer (C) is incorrect. Not-for-profit entities may use a modified accrual accounting system that is not in accordance with GAAP.
 - Answer (D) is incorrect. Only the activities specified by fund restrictions are meant to be carried out.

[526] Gleim #: 7.2.40 -- Source: CIA 1189 I-13

Which of the following is an appropriate objective in an engagement to review a personnel department? Determining whether

- A. Hourly employees are being paid only for hours actually worked as indicated by time cards or similar reports.
- B. An equitable training program exists that provides all employees with approximately the same amount of training each year.
- C. Reference checks of prospective employees are being performed.
- D. Recruitment is being delegated to the various departments that have personnel needs.

- Answer (A) is incorrect. Whether hourly employees are being paid only for hours actually worked as indicated by time cards or similar reports is an objective of an engagement to review payroll.
- Answer (B) is incorrect. All employees do not need approximately the same annual training.
- Answer (C) is **correct**. An effective personnel function is necessary for hiring, training, and monitoring human resources. One purpose of this function is to recruit, select, hire, train, supervise, and evaluate individuals who are suitable in light of job requirements, job descriptions, and job specifications (the abilities needed for particular jobs). In a review of this function, an appropriate objective is to determine whether the selection process is being properly performed. Thus, a potential employee's references should be checked to determine whether (s)he is truthful and has the desired qualifications.
- Answer (D) is incorrect. The personnel department should usually perform recruiting tasks.

[527] Gleim #: 7.2.41 -- Source: CIA 1188 II-21

During a preliminary survey of the accounts receivable function, an internal auditor discovered a potentially major control deficiency while preparing a flowchart. What immediate action should the internal auditor take regarding the weakness?

- A. Perform sufficient testing to determine its cause and effect.
 - B. Report it to the level of management responsible for corrective action.
 - C. Schedule a separate engagement to evaluate that segment of the accounts receivable function.
 - D. Highlight the weakness to ensure that procedures to test it are included in the engagement work program.
- Answer (A) is incorrect. Testing of the control will be performed during the field work phase of the engagement.
 - Answer (B) is incorrect. There is no need to report the potential defect. Testing is needed before reporting the defect to management.
 - Answer (C) is incorrect. A separate engagement is not needed.
 - Answer (D) is **correct**. When planning the engagement, the internal auditor should identify and assess risks relevant to the activity under review. The engagement objectives must reflect the results of the risk assessment (Standard 2210.A1). A survey is a process for gathering information, without detailed verification, on the activity being reviewed. Its purposes include understanding the activity under review, identifying significant areas warranting special emphasis, obtaining information for use in performing the engagement, and determining whether further review is necessary (PA 2210.A1-1). A potentially major control deficiency is a significant area warranting special emphasis and should be noted to ensure the needed coverage in the engagement work program.

[528] Gleim #: 7.2.42 -- Source: CIA 1188 I-12

The internal auditor-in-charge has just been informed of the next engagement, and the engagement team has been assigned. Select the appropriate phase for finalizing the engagement budget.

- A. During formulation of the long-range plan.
 - B. After the preliminary survey.
 - C. During the initial planning meeting.
 - D. After the completion of all field work.
- Answer (A) is incorrect. An initial budget is determined during the formulation of the long-range plan, but revisions based on the preliminary survey may be required.
 - Answer (B) is **correct**. A survey permits an informed approach to planning and carrying out engagement work and is an effective tool for applying the IAA's resources where they can be used most effectively. Among other things, the results of the survey should include preliminary estimates of time and resource requirements (PA 2210.A1-1). Thus, after the preliminary survey has been completed, the final engagement budget can be prepared.
 - Answer (C) is incorrect. At the initial planning meeting stage, the project is not sufficiently defined to complete the final budget.
 - Answer (D) is incorrect. After the completion of the field work, the budget is no longer useful as a control and evaluation tool.

[529] Gleim #: 7.2.43 -- Source: CIA, adapted

Data-gathering activities such as interviewing operating personnel, identifying standards to be used to evaluate performance, and assessing risks inherent in a department's operations are typically performed in which phase of an audit engagement?

- A. Field work.
- B. Preliminary survey.
- C. Engagement program development.
- D. Examination and evaluation of evidence.

- Answer (A) is incorrect. The preliminary survey must be performed before the field work can be undertaken.
- Answer (B) is **correct**. According to Standard 2210.A1, "Internal auditors must conduct a preliminary assessment of the risks relevant to the activity under review. Engagement objectives must reflect the results of this assessment." Moreover, planning should include performing, as appropriate, a survey to become familiar with activities, risks, and controls; to identify areas for engagement emphasis; and to invite client comments and suggestions (PA 2210.A1-1). Thus, among many other things, a survey should include discussions with the engagement client (e.g., interviews with operating personnel) and documenting key control activities (including identifying performance standards).
- Answer (C) is incorrect. The preliminary survey must be performed before the engagement program can be developed.
- Answer (D) is incorrect. The preliminary survey must be performed before the evidence can be examined or evaluated.

[530] Gleim #: 7.2.44 -- Source: Publisher 2009

The audit committee has raised a few issues that the internal audit activity will examine during an operational audit for the current year. When performing the preliminary survey, which of the following is **not** an appropriate technique?

- A. Performing interviews.
- B. Developing questionnaires.
- C. Determining the largest risk of financial statement misstatement.
- D. All of the above are appropriate techniques.

- Answer (A) is incorrect. Performing interviews allows the auditor to explore objectives, goals, and standards of operation, along with its risks. The interview also allows the auditor to gain insights into management's style.
- Answer (B) is incorrect. Questionnaires can trigger appropriate preparation for the auditor's arrival as well as give the auditor insight into the organization's operations.
- Answer (C) is **correct**. Determining potential misstatements is not the objective of an operational audit. Additionally, a final risk analysis is developed at a later time in the audit, not during the preliminary survey. A preliminary risk assessment is appropriate during this stage.
- Answer (D) is incorrect. The development and use of risk analysis to determine the largest risk of misstatement is not an appropriate preliminary survey technique.

[531] Gleim #: 7.2.45 -- Source: Publisher 2009

Internal auditors must make a preliminary assessment of risks when conducting an assurance engagement. This assessment may involve quantitative (objective) and subjective factors. The **least** subjective factor is

- A. The organization's recognized losses on derivatives.
- B. The auditor's assessment of management responses.
- C. Changes in the auditee's business forecast.
- D. The evaluation of internal control.

- Answer (A) is **correct**. In planning the engagement, internal auditors must consider the significant risks and the means by which the potential impact of risk is kept to an acceptable level (Standard 2201). Risk factors have differing degrees of objectivity. The most objective (least subjective) factors are facts. The organization's losses on derivatives are facts and therefore objective to the extent measurable. Objective information is such that it can be supported by facts or numbers. Subjective information is the reader's judgment and may be interpreted differently by different people.
- Answer (B) is incorrect. The auditor's assessment of management responses is a professional judgment.
- Answer (C) is incorrect. The business forecast is not a fact.
- Answer (D) is incorrect. The evaluation of internal control is based on professional judgment. Information based on judgment is subjective.

[532] Gleim #: 7.2.46 -- Source: Publisher 2009

Which of the following statements applies only to consulting engagements?

- A. Engagement objectives must address governance to the extent agreed upon with the client.
 - B. Engagement objectives must reflect the results of the preliminary assessment of the risks relevant to the activity under review.
 - C. Internal auditors must consider the probability of significant errors, fraud, noncompliance, and other exposures when developing the engagement objectives.
 - D. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished.
-
- Answer (A) is **correct**. Consulting engagement objectives must address governance, risk management, and control processes to the extent agreed upon with the client (Standard 2210.C1).
 - Answer (B) is incorrect. Engagement objectives must reflect the results of the preliminary assessment of the risks relevant to the activity under review (Standard 2210.A1).
 - Answer (C) is incorrect. Internal auditors must consider the probability of significant errors, fraud, noncompliance, and other exposures when developing the engagement objectives (Standard 2210.A2).
 - Answer (D) is incorrect. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished (Standard 2210.A3).

[533] Gleim #: 7.2.47 -- Source: Publisher 2009

Levels of production stoppages over the past year at a large laminating business were abnormally high due to machine malfunctions. Would it be appropriate for the internal auditing function to develop a survey examining attitudes toward line operations, rotation of work zones, training, maintenance schedule, etc., for the machine operators to complete?

- A. Yes, the survey is reliable without corroboration.
 - B. Yes, the examined areas are relevant to the malfunctions.
 - C. No, the examined areas are irrelevant to the malfunctions.
 - D. No, the survey is inappropriate without corroboration.
-
- Answer (A) is incorrect. Reliability without corroboration is not the reason why the use of the survey is appropriate. The auditors should keep in mind the potential need to corroborate the information before making any final assessment.
 - Answer (B) is **correct**. Internal auditors must conduct a preliminary assessment of the risks relevant to the activity under review. Engagement objectives must reflect the results of this assessment (Standard 2210.A1). If appropriate, internal auditors conduct a survey to become familiar with the activities, risks, and controls to identify areas for engagement emphasis and to invite comments and suggestions from engagement clients (PA 2210.A1-1). The survey is appropriate as a means to conduct a preliminary assessment because the examined areas are relevant. The auditors should keep in mind the potential need to corroborate the information before making any final assessment, but this does not prevent use of the survey.
 - Answer (C) is incorrect. The examined areas are relevant to the malfunctions.
 - Answer (D) is incorrect. The need for corroboration will be determined after the survey is completed. Corroboration does not preclude the use of the survey.

[534] Gleim #: 7.3.48 -- Source: Publisher

The scope of an internal audit assurance engagement includes consideration of

- A. Only those systems and records under the control of the engagement client.
- B. Relevant physical properties under third-party control.
- C. Engagement observations, conclusions, and recommendations.
- D. Final engagement communications.

- Answer (A) is incorrect. Systems, records, personnel, and physical properties under third-party control should be considered if relevant.
- Answer (B) is **correct**. The scope of the engagement must include consideration of relevant systems, records, personnel, and physical properties, including those under the control of third parties (Standard 2220.A1).
- Answer (C) is incorrect. Engagement results reported in final engagement communications follow from performing the procedures and achieving the objectives that define the engagement scope.
- Answer (D) is incorrect. Engagement results reported in final engagement communications follow from performing the procedures and achieving the objectives that define the engagement scope.

[535] Gleim #: 7.3.49 -- Source: CIA 1194 I-12

As a particular engagement is being planned in a high-risk area, the chief audit executive determines that the available staff does not have the requisite skills to perform the assignment. The **best** course of action consistent with engagement planning principles is to

- A. Not perform the engagement because the requisite skills are not available.
- B. Use the engagement as a training opportunity and let the internal auditors learn as the engagement is performed.
- C. Consider using external resources to supplement the needed knowledge, skills, and other competencies and complete the assignment.
- D. Perform the engagement but limit the scope in light of the skill deficiency.

- Answer (A) is incorrect. Not performing the engagement is unacceptable, especially for a high-risk area.
- Answer (B) is incorrect. Engagements must be properly supervised. The IAA has no one to provide this supervision.
- Answer (C) is **correct**. In determining the resources needed to perform the engagement, the CAE must consider the knowledge, skills, and other competencies of the internal audit staff when selecting internal auditors for the engagement. The CAE considers the use of external resources when additional knowledge and competencies are required (PA 2230-1).
- Answer (D) is incorrect. Limiting the scope of the engagement is done only when the requisite skills are not available even from external resources. If the scope is limited, management must be informed of the constraint in an interim report.

[536] Gleim #: 7.3.50 -- Source: CIA 594 III-4

The chief audit executive of a multinational organization must form an engagement team to examine a newly acquired subsidiary in another country. Consideration should be given to which of the following factors?

- I. Local customs
- II. Language skills of the internal auditor
- III. Experience of the internal auditor
- IV. Monetary exchange rate

- A. I, II, and III.
- B. II, III, and IV.
- C. I and III.
- D. I and II.

- Answer (A) is **correct**. Internal auditors must determine appropriate and sufficient resources to achieve engagement objectives based on an evaluation of the nature and complexity of each engagement, time constraints, and available resources (Standard 2230). Thus, the knowledge, skills, and other competencies of the internal audit staff must be considered when selecting internal auditors for the engagement (PA 2230-1). Thus, in an engagement to be performed in a foreign country, the language skills of the internal auditor and knowledge of local customs must be considered. For example, gender and ethnic issues may be important in some countries because of religious restrictions and incompatibilities. As always, experience levels are relevant in making staff assignments.
- Answer (B) is incorrect. The exchange rate is irrelevant to determining the needed traits of the team members.
- Answer (C) is incorrect. The language skills of the internal auditor must be considered.
- Answer (D) is incorrect. Experience must always be considered.

[537] Gleim #: 7.3.51 -- Source: CIA 1190 I-30

In the preparation of an engagement work program, which of the following items is **least** essential?

- A. The performance of a preliminary risk assessment.
 - B. A review of material from prior engagement communications.
 - C. The preparation of a budget identifying the costs of resources needed.
 - D. A review of criteria established by management to determine whether operating goals and objectives have been accomplished.
-
- Answer (A) is incorrect. The preliminary risk assessment is required. Objectives must reflect this assessment (Standard 2210.A1).
 - Answer (B) is incorrect. Engagement communications contain, among other things, information about observations from prior engagements and corrective actions taken.
 - Answer (C) is **correct**. Standard 2230 states, "Internal auditors must determine appropriate and sufficient resources to achieve engagement objectives based on an evaluation of the nature and complexity of each engagement, time constraints, and available resources." Hence, it is implicit that the work program state the resources necessary to carry out the detailed tasks specified. However, quantification of costs is not essential to writing the work program.
 - Answer (D) is incorrect. Internal auditors must ascertain the extent to which management has established adequate criteria to determine whether objectives and goals have been accomplished (Standard 2210.A3).

[538] Gleim #: 7.3.52 -- Source: Publisher 2009

When reservations about the scope of consulting engagements arise, the internal auditors must

- A. Keep the matter confidential and continue the engagement.
 - B. Expand the scope without any consultation with management.
 - C. Report the concerns to senior management through the CAE.
 - D. Meet with the engagement client to discuss the auditor's reservations.
-
- Answer (A) is incorrect. This is a consulting engagement.
 - Answer (B) is incorrect. The concerns must be discussed with the client.
 - Answer (C) is incorrect. The internal auditors must discuss the reservations with the client.
 - Answer (D) is **correct**. The established scope must be sufficient to satisfy the objectives of the engagement (Standard 2220). In performing consulting engagements, internal auditors must ensure that the scope of the engagement is sufficient to address the agreed-upon objectives. If internal auditors develop reservations about the scope during the engagement, these reservations must be discussed with the client to determine whether to continue with the engagement (Standard 2220.C1).

[539] Gleim #: 7.4.53 -- Source: CIA 1194 I-13

Writing an engagement work program **most** likely occurs at which stage of the engagement?

- A. During the planning stage.
 - B. Subsequent to evaluating risk management and control systems.
 - C. As the engagement is performed.
 - D. At the end of each engagement when the standard work program should be revised for the next engagement to ensure coverage of noted problem areas.
-
- Answer (A) is **correct**. Standard 2200 states, "Internal auditors must develop and document a plan for each engagement." Thus, Standard 2240 states, "Internal auditors must develop and document work programs that achieve the engagement objectives." Furthermore, internal auditors develop, and obtain documented approval of, work programs before commencing the engagement (PA 2240-1). Accordingly, work programs are prepared during the planning stage.
 - Answer (B) is incorrect. The work program states the procedures to be followed during the engagement (Glossary). Hence, it normally is written in the planning stage.
 - Answer (C) is incorrect. The work program normally is written during the planning stage, not as the engagement is performed. However, the work program may be modified during the engagement.
 - Answer (D) is incorrect. Although revising the work program at the end of one engagement for the next engagement is allowed, it should still be written during the planning phase.

[540] Gleim #: 7.4.54 -- Source: CIA 1192 I-13

A work program for a comprehensive assurance engagement to evaluate a purchasing function should include

- A. Procedures arranged by relative priority based upon perceived risk.
 - B. A statement of the engagement objectives for the operation under review with agreement by the engagement client.
 - C. Procedures to accomplish engagement objectives.
 - D. A focus on risks affecting the financial statements as opposed to controls.
-
- Answer (A) is incorrect. Engagement procedures normally are arranged in an order that will most efficiently complete the work program.
 - Answer (B) is incorrect. Engagement objectives are stated, but they do not need to be agreed to by the engagement client.
 - Answer (C) is **correct**. Work programs are a necessary part of engagement planning. They must include the procedures for identifying, analyzing, evaluating, and documenting information during the engagement. Work programs must be approved prior to their implementation, and any adjustments must be approved promptly (Standard 2240.A1).
 - Answer (D) is incorrect. The engagement should not be narrowly focused on the reliability and integrity of financial information.

[541] Gleim #: 7.4.55 -- Source: CIA 1188 I-13

Which of the following is **not** ordinarily considered an essential criterion for developing engagement work programs?

- A. Description of the objectives of the engagement client operation to be evaluated.
 - B. Specificity as to the controls to be tested.
 - C. Specificity as to procedures to be followed.
 - D. Specificity as to the methodology to be used for the engagement procedures.
-
- Answer (A) is incorrect. Work programs are developed to achieve the engagement objectives.
 - Answer (B) is incorrect. The work program states the procedures to be followed during the engagement (Glossary). Hence, it normally is written in the planning stage. These include procedures for testing controls.
 - Answer (C) is incorrect. The work program must include the engagement procedures necessary to achieve engagement objectives.
 - Answer (D) is **correct**. Work programs are a necessary part of engagement planning. They consist of the specific work steps required for the engagement, but they must allow for some flexibility. Thus, they may be modified, provided that adjustments are approved promptly.

[542] Gleim #: 7.4.56 -- Source: Publisher

The engagement work program should be approved

- A. No later than the conclusion of engagement work.
- B. By the engagement client or designee.
- C. Orally in some circumstances.
- D. In writing by the board.

- Answer (A) is incorrect. Approval should be prior to the commencement of work.
- Answer (B) is incorrect. The engagement work program should be approved by the CAE or designee.
- Answer (C) is **correct**. An engagement work program must be approved prior to its implementation. Adjustments must be approved promptly. Initial approval may be obtained orally if circumstances preclude obtaining written approval prior to commencing engagement work.
- Answer (D) is incorrect. The engagement work program should be approved by the CAE or designee.

[543] Gleim #: 7.4.57 -- Source: CIA 592 I-13

Which of the following is a step in an engagement work program?

- A. The engagement will commence in 6 weeks and include tests of compliance with laws, regulations, and contracts.
- B. A determination is made concerning whether the manufacturing operations are effective and efficient.
- C. Internal auditors may not reveal engagement observations to nonsupervisory, operational personnel during the course of this engagement.
- D. The methods used to identify defective units produced are observed.

- Answer (A) is incorrect. A partial statement of the scope and the proposed starting time are not engagement procedures.
- Answer (B) is incorrect. Determination of whether operations are effective and efficient is an engagement objective.
- Answer (C) is incorrect. A prohibition on revealing observations is a rule for the conduct of the internal auditors.
- Answer (D) is **correct**. An engagement work program is a document that lists the procedures to be followed during an engagement. These procedures are designed to achieve the engagement objectives. Thus, observing the engagement client's execution of methods for identifying defects is an action performed to achieve the engagement objectives and should be included in the work program.

[544] Gleim #: 7.4.58 -- Source: CIA 588 I-28

The internal audit activity is planning a 3-year effort to perform engagements at all branches of a large international car rental agency. Management is especially concerned with standardized operation of the accounting, car rental, and inventory functions. What type of work program is **most** appropriate for this project?

- A. A pro forma program developed and tested by the internal audit activity.
- B. Individual programs developed by the internal auditor-in-charge after a preliminary survey of each branch.
- C. A checklist of branch standard operating procedures.
- D. An industry-developed engagement guide.

- Answer (A) is **correct**. A pro forma work program is designed to be used for repeated engagements related to similar operations. It is ordinarily modified over a period of years in response to problems encountered in the field. This type of program assures at least minimum coverage, provides comparability, and saves resources when operations at different locations have similar activities, risks, and controls.
- Answer (B) is incorrect. Use of work programs specifically designed for each branch may conflict with management's desire for standardization.
- Answer (C) is incorrect. A checklist of branch standard operating procedures is only one input into the development of a work program.
- Answer (D) is incorrect. An industry guide might not meet the specific needs of the organization.

[545] Gleim #: 7.4.59 -- Source: CIA 592 I-28

A standard engagement work program is **not** appropriate for which situation?

- A. A stable operating environment undergoing only minimal changes.
- B. A complex or changing operating environment.
- C. Multiple locations with similar operations.
- D. Subsequent engagements to provide assurance about inventory performed at same location.

- Answer (A) is incorrect. A standard work program is appropriate for use in a minimally changing operating environment. It may save effort and provide continuity.
- Answer (B) is **correct**. A standard work program is not appropriate for a complex or changing operating environment. The engagement objectives and related procedures may no longer be relevant.
- Answer (C) is incorrect. A standard work program can be used for engagements at multiple locations with similar operations if the same activities, risks, and controls are present.
- Answer (D) is incorrect. A standard work program is acceptable for conducting subsequent inventory engagements at the same location if the inventory functions performed have not varied substantially.

[546] Gleim #: 7.4.60 -- Source: CIA 590 II-2

What action should an internal auditor take upon discovering that an area was omitted from the engagement work program?

- A. Document the problem in the engagement working papers and take no further action until instructed to do so.
- B. Perform the additional work needed without regard to the added time required to complete the engagement.
- C. Continue the engagement as planned and include the unforeseen problem in a subsequent engagement.
- D. Evaluate whether completion of the engagement as planned will be adequate.

- Answer (A) is incorrect. The internal auditor must determine whether changes in the work program are needed.
- Answer (B) is incorrect. Changes in the engagement budgets must be authorized by appropriate persons.
- Answer (C) is incorrect. An engagement in the unforeseen area may be necessary to achieve current engagement objectives.
- Answer (D) is **correct**. Work programs are necessarily tentative because the internal auditors are likely to encounter unexpected situations while carrying out the detailed work. If they learn that an area is not covered, they must determine whether they can achieve the engagement objectives and satisfy their professional responsibilities without modification of the work program. Modification will necessitate consultation with supervisors to obtain authorization to adjust time and financial budgets.

[547] Gleim #: 7.4.61 -- Source: CIA 1195 I-56

An internal auditor has some suspicion of, but no information about, potential misstatement of financial statements. The internal auditor fails to exercise due professional care by

- A. Identifying potential ways in which a misstatement could occur and ranking the items for investigation.
- B. Informing the engagement manager of the suspicions and asking for advice on how to proceed.
- C. Not testing for possible misstatement because the engagement work program had already been approved by engagement management.
- D. Expanding the engagement work program, without the engagement client's approval, to address the highest ranked ways in which a misstatement may have occurred.

- Answer (A) is incorrect. Ranking the ways in which a misstatement could occur is consistent with the due professional care standard.
- Answer (B) is incorrect. Seeking advice is consistent with exercising the standard of due professional care.
- Answer (C) is **correct**. "Internal auditors must apply the care and skill expected of a reasonably prudent and competent internal auditor. Due professional care does not imply infallibility" (Standard 1220). Engagement work programs are expected to be modified to reflect changing circumstances. Thus, the internal auditor fails to exercise due professional care by not investigating a suspected misstatement solely because the work program had already been approved.
- Answer (D) is incorrect. The internal auditor does not need the engagement client's approval to expand the engagement work program.

[548] Gleim #: 7.4.62 -- Source: CIA 1190 I-12

Fieldwork is a systematic process of objectively gathering information about an entity's operations, evaluating it, and determining whether those operations meet acceptable standards. Which of the following is **not** part of the work performed during fieldwork?

- A. Expanding or altering engagement procedures if circumstances warrant.
 - B. Applying the engagement work program to accomplish engagement objectives.
 - C. Creating working papers that document the engagement.
 - D. Developing a written engagement work program.
- Answer (A) is incorrect. Engagement procedures, including the testing and sampling techniques employed, should be selected in advance, if practicable and expanded or altered if necessary. Thus, work programs may be modified during the fieldwork, that is, during the course of the engagement.
 - Answer (B) is incorrect. Fieldwork involves carrying out the work program to identify, analyze, evaluate, and record sufficient information to achieve the engagement objectives.
 - Answer (C) is incorrect. Working papers are prepared during fieldwork to record the information obtained and the analyses made and to support the bases for the observations, conclusions, and recommendations to be reported (PA 2330-1).
 - Answer (D) is **correct**. Internal auditors must develop and document a plan for each engagement (Standard 2200). As a part of engagement planning, internal auditors must develop and document a work program to achieve the engagement objectives (Standard 2240). Hence, a work program is not developed during fieldwork, although it may be modified at that time.

[549] Gleim #: 7.4.63 -- Source: CIA 1187 II-1

The action taken by an internal auditor who discovers a significant area **not** included in the engagement work program should be to

- A. Evaluate whether completion of the engagement as planned will be adequate.
 - B. Perform the additional work deemed necessary without regard to the additional time needed to complete the engagement.
 - C. Continue the engagement as planned and include the unforeseen area in a subsequent engagement.
 - D. Document the observation in the working papers and take no further action until instructed to do so.
- Answer (A) is **correct**. Engagement work programs must be developed to achieve the engagement objectives (Standard 2240). A work program documents engagement procedures selected in advance but should be modified, as appropriate, during the course of the engagement (PA 2200-1). A work program must be approved prior to its implementation and any adjustments approved promptly (Standard 2240.A1). Work programs are necessarily tentative because the internal auditors are likely to encounter unexpected situations while performing detailed procedures. If they learn that a significant area is not covered, the internal auditors must determine whether they can achieve the engagement objectives and satisfy their professional responsibilities without modification of the work program. Modification will necessitate consultation with superiors to obtain authorization to adjust time and financial budgets.
 - Answer (B) is incorrect. Changes in the engagement budgets should be authorized by appropriate persons.
 - Answer (C) is incorrect. Review of the unforeseen area may be necessary to achieve current engagement objectives.
 - Answer (D) is incorrect. The internal auditor must determine whether changes in the work program are needed.

[550] Gleim #: 7.4.64 -- Source: Publisher 2009

A docket is to a judge as what is to an auditor performing an engagement?

- A. Audit documentation.
- B. Audit report.
- C. Work program.
- D. Charter.

- Answer (A) is incorrect. Internal auditors use working papers to document relevant information to support the conclusions and engagement results. Although specific types of working papers (i.e., work programs) track audit progress as a docket tracks the workload of a judge, working papers in general cover a broad range of purposes.
- Answer (B) is incorrect. The audit report includes the auditor's findings and recommendations. A court docket tracks the workload. It does not record outcomes and the basis for them.
- Answer (C) is **correct**. Internal auditors must develop and document work programs that achieve the engagement objectives (Standard 2240). Work programs establish the procedures for collecting, analyzing, interpreting, and documenting information during the engagement. During the engagement, each procedure is signed off to indicate that the work has been completed. Like a court docket, a work program is used to keep track of the events/workload (i.e., audit procedures/court cases) to be accomplished.
- Answer (D) is incorrect. The charter defines the IAA's purpose, authority, and responsibility. The charter does not track the audit workload in the same way as a docket tracks the workload of the court.

[551] Gleim #: 7.5.65 -- Source: CIA 1184 I-23

The purpose of including a time budget in an engagement work program is to

- A. Provide an objective means of evaluating the internal auditor's competence.
- B. Assure timely completion of the engagement.
- C. Provide a means of controlling and evaluating the progress of the engagement.
- D. Restrict the scope of the engagement.

- Answer (A) is incorrect. Whether an internal auditor remains within the time budget is affected by many factors other than professional competence.
- Answer (B) is incorrect. The establishment of a budget cannot assure that work will be completed on a timely basis.
- Answer (C) is **correct**. Internal auditors must develop and document work programs to achieve the engagement objectives (Standard 2240). The work program lists the procedures to be followed during the engagement. Moreover, the process of collecting, analyzing, interpreting, and documenting information is to be supervised to provide reasonable assurance that objectivity is maintained and objectives are met (PA 2240-1). Accordingly, a work program is a useful tool for scheduling and controlling (supervising) the engagement. Supervision includes, among other things, ensuring that the approved work program is completed unless changes are justified and authorized (PA 2340-1). For this purpose, a time budget is necessary to evaluate and control the progress of the engagement. It permits comparison of the actual time spent on a procedure with its allotted time.
- Answer (D) is incorrect. A time budget is not intended to limit the scope of the engagement.

[552] Gleim #: 7.5.66 -- Source: CIA 588 II-14

Which of the following statements is true with respect to a time budget for an internal audit engagement?

- A. Requests for time budget adjustments should be approved by the audit committee.
- B. Time budgets should be strictly adhered to, regardless of circumstances.
- C. Time budgets should be used for financial audits, but not for operational audits.
- D. Time budgets should normally be prepared in terms of hours or days.

- Answer (A) is incorrect. Requests for time budget adjustments should be approved by the CAE, not the audit committee.
- Answer (B) is incorrect. Budgets should be subject to adjustment for unexpected conditions.
- Answer (C) is incorrect. Time budgets are equally applicable to all types of engagements.
- Answer (D) is **correct**. A budget is a plan that contains a quantitative statement of expected results. It may be defined as a quantified program. All engagement projects and other assignments must be kept under budgetary control. Time budgets for engagement projects are usually prepared in employee-hours or employee-days.

[553] Gleim #: 7.5.67 -- Source: CIA 592 I-26

The **best** control over the work on which internal auditors' opinions are based is

- A. Supervisory review of all engagement work.
- B. Preparation of time budgets for internal audit activities.
- C. Preparation of engagement working papers.
- D. Staffing of internal audit activities.

- Answer (A) is **correct**. The engagement must be properly supervised to ensure objectives are achieved, quality is assured, and staff is developed (Standard 2340). Supervision includes (1) ensuring the auditors possess the requisite knowledge, skills, and other competencies; (2) providing appropriate instructions during planning and approving the work program; (3) ensuring the approved work program is complete unless changes are justified and authorized; (4) determining working papers adequately support observations, conclusions, and recommendations; (5) ensuring communications are accurate, objective, clear, concise, constructive, and timely; (6) ensuring objectives are met; and (7) providing opportunities for developing internal auditors' knowledge, skills, and other competencies (PA 2340-1). Hence, supervision is a control that encompasses all aspects of engagements.
- Answer (B) is incorrect. Although useful, time budgets do not ensure the adequacy of work.
- Answer (C) is incorrect. Working papers support the conclusions and engagement results, but supervision is necessary to ensure the adequacy of work.
- Answer (D) is incorrect. Proper staffing is required, but supervision is essential to ensure the adequacy of work.

[554] Gleim #: 7.5.68 -- Source: CIA 1185 I-4

When engagements are performed for the internal audit activity by nonstaff members, the chief audit executive is responsible for

- A. Ensuring that the engagement communications are accurate, objective, clear, concise, constructive, and timely.
- B. Reviewing the engagement work programs for approval.
- C. Providing appropriate supervision from the beginning to the conclusion of the engagement.
- D. None of the work performed by those outside the internal audit activity.

- Answer (A) is incorrect. Ensuring that the engagement communications are accurate, objective, clear, concise, constructive, and timely is only one of the responsibilities of supervision.
- Answer (B) is incorrect. Supervision is a continuing process that begins with planning and continues throughout the engagement.
- Answer (C) is **correct**. All internal audit engagements, whether performed by or for the IAA, are the responsibility of the CAE. The CAE is responsible for all significant professional judgments made throughout the engagement (PA 2340-1).
- Answer (D) is incorrect. The CAE is responsible for all work performed by and for the IAA.

[555] Gleim #: 7.5.69 -- Source: CIA 594 III-92

Which of the following activities does **not** constitute engagement supervision?

- A. Preparing a preliminary engagement work program.
- B. Providing appropriate instructions to the internal auditors.
- C. Reviewing engagement working papers.
- D. Ensuring that engagement communications meet appropriate criteria.

- Answer (A) is **correct**. The engagement must be properly supervised to ensure objectives are achieved, quality is assured, and staff is developed (Standard 2340). Supervision includes, among other things, (1) providing appropriate instructions during the planning of the engagement and approving the work program; (2) determining that working papers adequately support observations, conclusions, and recommendations; and (3) ensuring that communications are accurate, objective, clear, concise, constructive, and timely (PA 2340-1). Preparing a preliminary engagement work program is part of engagement planning but not an aspect of engagement supervision.
- Answer (B) is incorrect. Providing appropriate instructions to the internal auditors is an aspect of engagement supervision.
- Answer (C) is incorrect. Reviewing engagement working papers is an aspect of engagement supervision.
- Answer (D) is incorrect. Ensuring that engagement objectives are achieved is an aspect of engagement supervision.

[556] Gleim #: 7.5.70 -- Source: CIA 591 I-14

Which of the following **best** describes what determines the extent of supervision required for a particular internal audit engagement?

- A. Whether the engagement involves possible fraud on the part of management.
 - B. Whether the engagement involves possible violations of laws or governmental regulations.
 - C. The proficiency of the internal auditors and the complexity of the engagement.
 - D. The internal audit activity's prior experience in dealing with the particular engagement client.
-
- Answer (A) is incorrect. Whether the engagement involves possible fraud on the part of management is less important for determining the extent of supervision than the proficiency of the internal auditors and the complexity of the engagement.
 - Answer (B) is incorrect. Whether the engagement involves possible violations of laws or governmental regulations is less important for determining the extent of supervision than the proficiency of the internal auditors and the complexity of the engagement.
 - Answer (C) is **correct**. The CAE is responsible for providing appropriate engagement supervision. The extent of supervision required will depend on the proficiency and experience of the internal auditors and the complexity of the engagement (Standard 2340 and Interpretation).
 - Answer (D) is incorrect. The internal audit activity's prior experience in dealing with the particular engagement client is less important for determining the extent of supervision than the proficiency of the internal auditors and the complexity of the engagement.

[557] Gleim #: 7.5.71 -- Source: CIA 1195 I-48

A new staff internal auditor's first assignment is to review the cash management operations of the organization. The staff internal auditor has no background in cash management. Under which of the following conditions would this arrangement be appropriate?

- I. The senior internal auditor is skilled in the area and closely supervises the staff internal auditor.
 - II. The staff internal auditor performs the work and prepares an engagement communication that is reviewed in detail by the chief audit executive.
-
- A. I only.
 - B. II only.
 - C. Both I and II.
 - D. Neither I nor II.

- Answer (A) is **correct**. Engagements must be properly supervised to ensure that objectives are achieved, quality is assured, and staff is developed (Standard 2340). Moreover, supervision includes ensuring that designated auditors collectively possess the necessary knowledge, skills, and other competencies to perform the engagement (PA 2340-1). The extent of supervision depends on the proficiency and experience of the internal auditors and the complexity of the engagement (interpretation). Thus, the skill of the senior auditor and the closeness of the supervision compensate for the new auditor's inexperience regarding cash management.
- Answer (B) is incorrect. Supervision involves far more than a review of the engagement communication.
- Answer (C) is incorrect. The internal auditors assigned to the engagement must have or obtain the necessary proficiency, and the staff internal auditor must be closely supervised.
- Answer (D) is incorrect. The internal auditors assigned to the engagement must have or obtain the necessary proficiency, and the staff internal auditor must be closely supervised.

[558] Gleim #: 7.5.72 -- Source: CIA 591 II-15

Which of the following **best** describes engagement supervision?

- A. The manager of each engagement has the ultimate responsibility for supervision.
 - B. Supervision is primarily exercised at the final review stage of an engagement to ensure the accuracy of the engagement communications.
 - C. Supervision is most important in the planning phase of the engagement to ensure appropriate coverage.
 - D. Supervision is a continuing process beginning with planning and ending with the conclusion of the engagement.
-
- Answer (A) is incorrect. The CAE has the ultimate responsibility for supervision.
 - Answer (B) is incorrect. Supervision begins with planning and continues throughout the engagement.
 - Answer (C) is incorrect. Supervision is equally important in all phases of the engagement.
 - Answer (D) is **correct**. The CAE (or designee) provides appropriate engagement supervision. Supervision is a process that begins with planning and continues throughout the engagement (PA 2340-1).

[559] Gleim #: 7.5.73 -- Source: CIA 1192 I-14

Supervision of an internal audit engagement includes

- A. Determining that engagement working papers adequately support the engagement observations.
 - B. Assigning staff members to the particular engagement.
 - C. Determining the scope of the engagement.
 - D. Appraising each internal auditor's performance on at least an annual basis.
-
- Answer (A) is **correct**. Supervision includes ensuring that the engagement working papers adequately support the engagement observations, conclusions, and recommendations (PA 2340-1).
 - Answer (B) is incorrect. The plan for an engagement includes resource allocations (Standard 2200). Thus, resource allocation is a planning function, not a supervisory function.
 - Answer (C) is incorrect. Determining the engagement scope is a planning function, not a supervisory function.
 - Answer (D) is incorrect. Appraising performance on an annual basis is not a supervisory function of a specific engagement but is part of the management of the human resources of the internal audit activity (PA 2030-1).

[560] Gleim #: 7.5.74 -- Source: CIA 587 II-17

The chief audit executive is responsible for engagement supervision. The **most** important form of supervision during the field work phase of engagements involves

- A. Ensuring that the approved engagement work program is completed unless changes are justified and authorized.
- B. Providing suitable instructions to subordinates at the outset of the engagement and approving the engagement work program.
- C. Appraising each internal auditor's performance at least annually.
- D. Making sure that communications are accurate, objective, clear, concise, constructive, and timely.

- Answer (A) is **correct**. Supervision includes (1) ensuring the auditors possess the requisite knowledge, skills, and other competencies; (2) providing appropriate instructions during planning and approving the work program; (3) ensuring the approved work program is complete unless changes are justified and authorized; (4) determining working papers adequately support observations, conclusions, and recommendations; (5) ensuring communications are accurate, objective, clear, concise, constructive, and timely; (6) ensuring objectives are met; and (7) providing opportunities for developing internal auditors' knowledge, skills, and other competencies (PA 2340-1). Execution of the work program requires supervision during field work. The other supervisory tasks generally are carried out before or after field work.
- Answer (B) is incorrect. "At the outset of the engagement" is not during field work.
- Answer (C) is incorrect. Annual performance appraisal is not specific to a particular engagement.
- Answer (D) is incorrect. Engagement communications are prepared at the conclusion of field work.

[561] Gleim #: 7.5.75 -- Source: CIA 592 I-16

Determining that engagement objectives have been met is part of the overall supervision of an engagement and is the ultimate responsibility of the

- A. Staff internal auditor.
- B. Board.
- C. Engagement supervisor.
- D. Chief audit executive.

- Answer (A) is incorrect. The chief audit executive, not a staff internal auditor, has the responsibility to determine that engagement objectives have been met.
- Answer (B) is incorrect. The chief audit executive, not the audit committee, has the responsibility to determine that engagement objectives have been met.
- Answer (C) is incorrect. The chief audit executive, not the engagement supervisor, has the responsibility to determine that engagement objectives have been met.
- Answer (D) is **correct**. The CAE (or designee) provides appropriate engagement supervision. Supervision is a process that begins with planning and continues throughout the engagement (PA 2340-1).

[562] Gleim #: 7.5.76 -- Source: CIA 1190 II-12

To determine the extent of testing to be performed during field work, preparing the engagement work program should be the next step after completing the

- A. Preliminary survey.
- B. Survey of company policies.
- C. Assignment of audit staff.
- D. Time budgets for specific audit tasks.

- Answer (A) is **correct**. Planning includes performing, if appropriate, a survey to become familiar with the activities, risks, and controls to be reviewed; to identify areas for engagement emphasis; and to invite comments and suggestions from engagement clients (PA 2210.A1-1). Writing the work program is the next step.
- Answer (B) is incorrect. This survey is not a sufficient basis for a work program, which is a detailed listing of engagement procedures.
- Answer (C) is incorrect. Staff assignments are made prior to the preliminary survey.
- Answer (D) is incorrect. Time budgets for specific tasks are determined as part of the preparation of the work program.

[563] Gleim #: 7.5.77 -- Source: CIA 595 II-20

Which of the following items does **not** constitute evidence of proper supervision of an internal auditing engagement?

- A. An internal audit manager approves the engagement work program and gives instructions to subordinates at the outset of the engagement, and is available for consultation, but does not actively participate in the performance of procedures.
 - B. An internal audit manager is not intimately involved in an engagement, but does review the results to ensure that all engagement objectives are being met.
 - C. A senior internal auditor continuously deviates from the approved engagement work program, but consistently completes the engagement within the approved time budget. The time budget is approved by the internal audit manager, and compliance with the time budget is reviewed by the internal audit manager.
 - D. The internal audit manager carefully reviews all analytical procedures performed by internal audit seniors during the preliminary planning for an engagement to determine if the conclusions are justified.
-
- Answer (A) is incorrect. Supervision includes approving the engagement work program; providing suitable instructions to subordinates; ensuring objectives were met and that engagement communications are accurate, timely, objective, clear, concise, and constructive; and determining that working papers adequately support the observations, conclusions, and recommendations.
 - Answer (B) is incorrect. Supervision includes approving the engagement work program; providing suitable instructions to subordinates; ensuring objectives were met and that engagement communications are accurate, timely, objective, clear, concise, and constructive; and determining that working papers adequately support the observations, conclusions, and recommendations.
 - Answer (C) is **correct**. Supervision includes determining that the approved engagement work program is carried out unless deviations are both justified and authorized (PA 2340-1). Accordingly, the deviations from the planned engagement work program by the senior internal auditor should be approved by a supervisor.
 - Answer (D) is incorrect. Supervision includes approving the engagement work program; providing suitable instructions to subordinates; ensuring objectives were met and that engagement communications are accurate, timely, objective, clear, concise, and constructive; and determining that working papers adequately support the observations, conclusions, and recommendations.

[564] Gleim #: 7.5.78 -- Source: CIA 588 II-7

When engagements are performed for the internal audit activity by nonstaff members, the chief audit executive is responsible for

- A. Ensuring that the engagement communications are objective, clear, and timely.
 - B. Reviewing the engagement work programs for approval.
 - C. Providing appropriate supervision from the beginning to the conclusion of the engagement.
 - D. None of the engagement work performed by those outside the department.
-
- Answer (A) is incorrect. Ensuring the quality of engagement communications is only one facet of supervision for which the CAE has ultimate, although perhaps not immediate, responsibility.
 - Answer (B) is incorrect. Approval of the engagement work program prior to the commencement of work by the CAE or a designee (PA 2240.A1-1) is only one facet of supervision for which the CAE has ultimate, although perhaps not immediate, responsibility.
 - Answer (C) is **correct**. The CAE is responsible for assuring that appropriate supervision is provided for all internal auditing assignments, whether performed by or for the IAA. Supervision is a process that begins with planning and continues throughout the engagement (PA 2340-1).
 - Answer (D) is incorrect. The CAE is responsible for all work performed by or for the IAA.

[565] Gleim #: 7.5.79 -- Source: CIA 588 I-15

Of the many tools available to assist an internal auditing supervisor, which of the following is of **least** assistance in the supervision of a specific engagement?

- A. Assignment board.
- B. Time budget.
- C. Weekly status report.
- D. Time report.

- Answer (A) is **correct**. An assignment board is a cork board that uses assignment slips and numbered tack heads to display the scheduled engagements weekly for up to a year. It provides an overview of which staff members are working on each project and is therefore of minimal assistance in the actual supervision of a specific engagement.
- Answer (B) is incorrect. A time budget is a tool for supervising a specific engagement.
- Answer (C) is incorrect. A weekly status report is a tool for supervising a specific engagement.
- Answer (D) is incorrect. A time report is a tool for supervising a specific engagement.

[566] Gleim #: 8.1.1 -- Source: Publisher

Updating the audit universe is useful in developing the internal audit plan. The audit universe

- A. Consists of all possible audits.
- B. Reflects only past organizational strategies.
- C. May not overlap with the organization's strategic plan.
- D. Is typically updated every 5 years.

- Answer (A) is **correct**. Developing or updating the audit universe is useful in developing the internal audit plan. The audit universe is a list of all possible audits that could be performed. It may include elements of the organization's strategic plan and is influenced by (1) the environment in which the organization operates and (2) the results of the risk management process. (PA 2010-1).
- Answer (B) is incorrect. The audit universe needs to reflect the most current strategies.
- Answer (C) is incorrect. The audit universe may include elements of the strategic plan and therefore reflect overall business objectives.
- Answer (D) is incorrect. The audit universe needs to be updated at least annually.

[567] Gleim #: 8.1.2 -- Source: CIA 1193 II-6

At a meeting with engagement managers, the chief audit executive is allocating the engagement work schedule for next year's plan. Which of the following methods will ensure that each manager receives an appropriate share of both the work schedule and internal audit activity resources?

- A. Work is assigned to each manager based on risk and skill analysis.
- B. Each of the managers selects the individual assignments desired, based on preferences for the area and the management personnel involved.
- C. Each manager chooses assignment preferences based on the total staff hours that are currently available to each manager.
- D. The full list of scheduled engagements is published for the staff, and work assignments are made based on career interests and travel requirements.

- Answer (A) is **correct**. Engagements must be performed with proficiency and due professional care (Standard 1200). Thus, professional care must be commensurate with the complexities of the engagement and must assure that the technical proficiency and educational background of the personnel assigned are appropriate. A skill analysis of tasks to be performed is therefore necessary. Furthermore, matters to be considered in establishing audit work schedule priorities include, among many other factors, an assessment of risk and exposures. Prioritizing is needed to make decisions about applying resources (PA 2010-1).
- Answer (B) is incorrect. Choice based on personal preference does not ensure the exercise of due professional care.
- Answer (C) is incorrect. Available staff hours do not correlate with risk or the composite skills necessary for individual assignments.
- Answer (D) is incorrect. Although career interests and travel requirements are considerations for staffing engagements, these factors do not constitute an objective basis for making assignments.

[568] Gleim #: 8.1.3 -- Source: CIA 592 II-11

The chief audit executive is preparing the audit work schedule for the next budget year and has limited resources. In deciding whether to schedule the purchasing or the personnel department for an engagement, which of the following is the **least** important factor?

- A. Major changes in operations have occurred in one of the departments.
 - B. The internal audit staff has recently added an individual with expertise in one of the areas.
 - C. More opportunities to achieve operating benefits are available in one of the departments than in the other.
 - D. Updated assessed risk is significantly greater in one department than the other.
- Answer (A) is incorrect. A major change in operations is a reason for an engagement.
 - Answer (B) is **correct**. Matters to be considered in establishing work schedule priorities may include (a) the dates and results of the last engagement; (b) updated assessments of risks and effectiveness of risk management and control processes; (c) requests by senior management and the board; (d) current issues relating to organizational governance; (e) major changes in the entity's business, operations, programs, systems, and controls; (f) opportunities to achieve operating benefits; and (g) changes in and capabilities of the staff. The work schedules should be sufficiently flexible to cover unanticipated demands on the IAA. The addition of a new staff member is probably less important than the other factors cited.
 - Answer (C) is incorrect. Potential operating benefits are a reason for an engagement.
 - Answer (D) is incorrect. Updated assessed risk is a reason for an engagement.

[569] Gleim #: 8.1.4 -- Source: CIA 594 III-3

Which of the following factors is **least** likely to be considered included in determining the audit work schedule?

- A. Engagement work programs.
 - B. The effectiveness of risk management and control processes.
 - C. Workload requirements.
 - D. Issues relating to organizational governance.
- Answer (A) is **correct**. Matters to be considered in establishing work schedule priorities may include (a) the dates and results of the last engagement; (b) updated assessments of risks and effectiveness of risk management and control processes; (c) requests by senior management and the board; (d) current issues relating to organizational governance; (e) major changes in the entity's business, operations, programs, systems, and controls; (f) opportunities to achieve operating benefits; and (g) changes in and capabilities of the staff. Development of work programs occurs during the planning phase of an individual engagement.
 - Answer (B) is incorrect. Determining an engagement work schedule includes considering the effectiveness of risk management and control processes.
 - Answer (C) is incorrect. Determining an engagement work schedule includes considering workload requirements.
 - Answer (D) is incorrect. Determining an engagement work schedule includes considering issues relating to organizational governance.

[570] Gleim #: 8.1.5 -- Source: CIA 1193 I-6

During discussions with senior management, the chief audit executive identified several strategic business issues to consider in preparing the annual audit work schedule. Which of the following does **not** represent a strategic issue for this purpose?

- A. A monthly budgeting process will be implemented.
- B. An international marketing campaign will be started to develop product recognition and also to leverage the new organization-based advertising department.
- C. Joint venture candidates will be sought to provide manufacturing and sourcing capabilities in European and Asian markets.
- D. A human resources database will be established to ensure consistent administration of policies and to improve data retention.

- Answer (A) is **correct**. The audit universe may include components from the organization's strategic plan. By including components of this plan, the audit universe will consider and reflect the overall business plan objectives (PA 2010-1). However, implementing a monthly budgeting process is an operating decision to facilitate the budgeting process and improve information. It does not constitute a strategic issue, but it does entail a major change in operations, etc.
- Answer (B) is incorrect. An international marketing campaign is a strategic issue. The CAE will need to ensure that the new marketing process and the centralized advertising department are recognized and monitored in risk assessment and planning activities.
- Answer (C) is incorrect. Extending operations to European and Asian markets is a strategic issue. The addition of joint-venture partners will add new or additional concerns for risk assessment and planning in the IAA.
- Answer (D) is incorrect. Establishing a human resources database is a strategic issue. The assumptions and ongoing activities related to a human resources database will require consideration in the planning of the IAA.

[571] Gleim #: 8.1.6 -- Source: CIA 591 I-11

Which of the following is the **best** source of a chief audit executive's information for planning staffing requirements?

- A. Discussions of internal audit needs with senior management and the board.
- B. Review of internal audit staff education and training records.
- C. Review internal audit staff size and composition of similarly sized organizations in the same industry.
- D. Interviews with existing internal audit staff.

- Answer (A) is **correct**. The CAE should establish risk-based plans to determine the priorities of the IAA. These plans should be consistent with the goals of the organization (Standard 2010). Input from senior management and the board is necessary for developing the IAA's risk-based plan of engagements (Standard 2010.A1).
- Answer (B) is incorrect. The scheduled work is the first consideration in determining the number and qualifications of the staff required. Review of staff education and training records is a subsequent step.
- Answer (C) is incorrect. The staffing plan must consider the unique needs of a particular organization. The review of staff size and composition of similarly sized organizations in the same industry may not satisfy the engagement objectives for a particular organization.
- Answer (D) is incorrect. The scheduled work is the first consideration in determining the number and qualifications of the staff required. Interviews with existing staff occur later.

[572] Gleim #: 8.1.7 -- Source: CIA 592 I-4

Which internal audit planning tool is general in nature and is used to ensure adequate engagement coverage over time?

- A. The audit plan.
- B. The engagement work program.
- C. The internal audit activity's budget.
- D. The internal audit activity's charter.

- Answer (A) is **correct**. The CAE should establish risk-based plans to determine the priorities of the IAA. These plans should be consistent with the goals of the organization (Standard 2010). The CAE submits annually to senior management and the board for review and approval a summary of the (1) internal audit plan, (2) work schedules, (3) staffing plan, and (4) financial budgets (PA 2020-1). Thus, the planning process involves establishing work schedules.
- Answer (B) is incorrect. The engagement work program is limited in scope to a particular project.
- Answer (C) is incorrect. The IAA's budget may be used to justify a head count, but it is not used to ensure adequate engagement coverage over time.
- Answer (D) is incorrect. The charter is not an engagement planning tool.

[573] Gleim #: 8.1.8 -- Source: CIA 591 II-11

A chief audit executive may use risk analysis in preparing work schedules. Which of the following is **not** considered in performing a risk analysis?

- A. Issues relating to organizational governance.
- B. Skills available on the internal audit staff.
- C. Results of prior engagements.
- D. Major operating changes.

- Answer (A) is incorrect. Issues relating to organizational governance are factors that should be considered.
- Answer (B) is **correct**. Matters to be considered in establishing work schedule priorities may include (a) the dates and results of the last engagement; (b) updated assessments of risks and effectiveness of risk management and control processes; (c) requests by senior management and the board; (d) current issues relating to organizational governance; (e) major changes in the entity's business, operations, programs, systems, and controls; (f) opportunities to achieve operating benefits; and (g) changes in and capabilities of the staff. The work schedules should be sufficiently flexible to cover unanticipated demands on the IAA. The skills of the staff do not affect the risk associated with potential engagement clients.
- Answer (C) is incorrect. Results of prior engagements should be considered.
- Answer (D) is incorrect. Major operating changes should be considered.

[574] Gleim #: 8.1.9 -- Source: CIA 594 I-68

A manager responsible for the supervision and review of other internal auditors needs the necessary skills, knowledge, and other competencies. Which of the following does **not** describe a skill, knowledge, or other competency necessary to supervise a particular engagement?

- A. The ability to review and analyze an engagement work program to determine whether the proposed engagement procedures will result in information relevant to the engagement's objectives.
- B. Assuring that an engagement communication is supported and accurate relative to the information documented in the engagement working papers.
- C. Using risk assessment and other judgmental processes to develop an engagement work schedule for the internal audit activity and present the schedule to the board.
- D. Determining that staff auditors have completed the engagement procedures and that engagement objectives have been met.

- Answer (A) is incorrect. Supervision includes approving the engagement work program; determining that the engagement working papers support observations, conclusions, and recommendations; and making certain that engagement objectives have been met (PA 2340-1).
- Answer (B) is incorrect. Supervision includes approving the engagement work program; determining that the engagement working papers support observations, conclusions, and recommendations; and making certain that engagement objectives have been met (PA 2340-1).
- Answer (C) is **correct**. The CAE, not a manager, establishes risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 2010). The CAE must communicate the IAA's plans and resource requirements, including significant interim changes, to senior management and the board for review and approval (PA 2020-1). Supervision includes approving the engagement work program; determining that the engagement working papers support observations, conclusions, and recommendations; and making certain that engagement objectives have been met (PA 2340-1).
- Answer (D) is incorrect. Supervision includes approving the engagement work program; determining that the engagement working papers support observations, conclusions, and recommendations; and making certain that engagement objectives have been met (PA 2340-1).

[575] Gleim #: 8.1.10 -- Source: CIA 1195 I-12

The chief audit executive for an organization has just completed a risk assessment process, identified the areas with the highest risks, and assigned an engagement priority to each. Which of the following conclusions **most** logically follow(s) from such a risk assessment?

- Items should be quantified as to risk in the rank order of quantifiable monetary exposure to the organization.
 - The risk priorities should be in order of major control deficiencies.
 - The risk assessment process, though quantified, is the result of professional judgments about both exposures and probability of occurrences.
- I only.
 - III only.
 - II and III only.
 - I, II, and III.

- Answer (A) is incorrect. Conclusions I and II state specific criteria that may not be consistent with sound professional judgment.
- Answer (B) is **correct**. Risk is the possibility of an event's occurrence that could have an impact on the achievement of objectives. Risk is measured in terms of impact (exposures) and likelihood (probability) (Glossary appended to the *Standards*). Work schedules are based on, among other things, an assessment of risk priority and exposure. Prioritizing is needed to make decisions for applying relative resources based on the significance of risk and exposure. A variety of risk models may assist the CAE in prioritizing potential engagement subject areas. Most of these models use risk factors to establish the priority of engagements, e.g., asset liquidity, management competence, quality of internal controls, degree of change or stability, time of last engagement, complexity, or employee and governmental relations (PA 2010-2). Higher priorities are usually assigned to activities with higher risks. However, an assessment of risk priority and exposure necessarily implies the exercise of professional judgment. Thus, although risk factors may be weighted to determine their relative significance, a ranking based solely on such specific criteria as monetary exposure or control deficiencies is not always indicated.
- Answer (C) is incorrect. Conclusions I and II state specific criteria that may not be consistent with sound professional judgment.
- Answer (D) is incorrect. Conclusions I and II state specific criteria that may not be consistent with sound professional judgment.

[576] Gleim #: 8.1.11 -- Source: CIA R98 I-1

Which of the following comments is(are) true regarding the assessment of risk associated with two projects that are competing for limited internal audit resources?

- I. Activities that are requested by the board always should be considered higher risk than those requested by management.
 - II. Activities with higher financial budgets always should be considered higher risk than those with lower financial budgets.
 - III. Risk always should be measured by the potential monetary or other adverse exposure to the organization.
- A. I only.
B. II only.
C. III only.
D. I and III.

- Answer (A) is incorrect. Activities requested by the board do not necessarily have greater risk.
- Answer (B) is incorrect. Activities with higher financial budgets do not necessarily have greater risk.
- Answer (C) is **correct**. Risk is the uncertainty of an event's occurrence that could have an impact on the achievement of objectives. Risk is measured in terms of impact (consequences) and likelihood (probability) (Glossary). Audit work schedules are based on, among other things, an assessment of risk priority and exposure (PA 2010-2). However, a rigid procedure for conducting the risk assessment, including the assignment of engagement priorities, should not be followed. Thus, a ranking based on the source of a request for performance of an engagement or the financial budget of an engagement client is unlikely to reflect a comprehensive assessment based on a sufficient number of risk factors. A criterion based on the degree of adverse exposure to the organization is preferable.
- Answer (D) is incorrect. A ranking based on the source of a request for performance of an engagement is unlikely to reflect a comprehensive assessment based on a sufficient number of risk factors

[577] Gleim #: 8.1.12 -- Source: CIA 1195 I-13

Which of the following represent(s) appropriate internal audit action in response to the risk assessment process?

- I. The low-risk areas may be delegated to the external auditor, but the high-risk areas should be performed by the internal audit activity.
 - II. The high-risk areas should be integrated into an audit work schedule along with the high-priority requests of senior management and the audit committee.
 - III. The risk analysis should be used in determining an annual audit work schedule. Thus, the risk analysis should be performed only on an annual basis.
- A. I only.
B. II only.
C. III only.
D. I and III only.

- Answer (A) is incorrect. Work should be coordinated with the external auditor to avoid duplication of effort and to ensure adequate coverage, but allocation of tasks to the external auditor and the IAA is not necessarily risk based. Moreover, changing conditions may require updating the risk assessment during the year.
- Answer (B) is **correct**. The risk assessment is preliminary to the development of the engagement work schedule. Higher priorities are usually assigned to engagement subject areas with higher risks. Thus, updated assessments of risks and effectiveness of risk management and control processes are considered in establishing engagement work schedule priorities. Matters to be considered in establishing work schedule priorities may include (a) the dates and results of the last engagement; (b) updated assessments of risks and effectiveness of risk management and control processes; (c) requests by senior management and the board; (d) current issues relating to organizational governance; (e) major changes in the entity's business, operations, programs, systems, and controls; (f) opportunities to achieve operating benefits; and (g) changes in and capabilities of the staff. The work schedules should be sufficiently flexible to cover unanticipated demands on the IAA. Work is coordinated with the external auditor to avoid duplication of effort and to ensure adequate coverage, but allocation of tasks to the external auditor and the IAA is not necessarily risk-based. Moreover, changing conditions may require updating the risk assessment during the year.
- Answer (C) is incorrect. Work should be coordinated with the external auditor to avoid duplication of effort and to ensure adequate coverage, but allocation of tasks to the external auditor and the IAA is not necessarily risk based. Moreover, changing conditions may require updating the risk assessment during the year.
- Answer (D) is incorrect. Work should be coordinated with the external auditor to avoid duplication of effort and to ensure adequate coverage, but allocation of tasks to the external auditor and the IAA is not necessarily risk based. Moreover, changing conditions may require updating the risk assessment during the year.

[578] Gleim #: 8.1.13 -- Source: CIA 1195 I-15

The internal auditor is considering making a risk analysis as a basis for determining the areas of the organization where engagements should be performed. Which one of the following statements is true regarding risk analysis?

- A. The extent to which management judgments are required in an area could serve as a risk factor in assisting the internal auditor in making a comparative risk analysis.
 - B. The highest risk assessment should always be assigned to the area with the largest potential loss.
 - C. The highest risk assessment should always be assigned to the area with highest probability of occurrence.
 - D. Risk analysis must be reduced to quantitative terms in order to provide meaningful comparisons across an organization.
-
- Answer (A) is **correct**. Most risk models use risk factors to establish the priority of engagements, for example, impact, likelihood, materiality, asset liquidity, management competence, quality of internal controls, degree of change or stability, time of last engagement, complexity, or employee or governmental relations (PA 2010-2). Hence, the internal auditor could appropriately consider the extent of management competence, including judgment, as a risk factor.
 - Answer (B) is incorrect. Risk analysis considers both the potential loss (or damages) and the probability of occurrence. An area with the largest potential loss may have a very low expected loss.
 - Answer (C) is incorrect. A high probability of occurrence may be associated with a small potential loss.
 - Answer (D) is incorrect. The concept of risk analysis is not limited to quantitative measures.

[579] Gleim #: 8.1.14 -- Source: CIA 1195 I-17

The chief audit executive set up a computerized spreadsheet to facilitate the risk assessment process involving a number of different divisions in the organization. The spreadsheet included the following factors:

- Pressure on divisional management to meet profit goals
- Complexity of operations
- Competence of divisional personnel
- The monetary amount of subjectively influenced accounts in the division, such as accounts in which management's judgment can affect the expense, e.g., postretirement benefits

The CAE used a group meeting of internal audit managers to reach a consensus on the competence of divisional personnel. Other factors were assessed as high, medium, or low by either the CAE or an internal audit manager who had performed an engagement at the division. The CAE assigned a weight ranging from 0.5 to 1.0 to each factor and then computed a composite risk score. Which statement is true?

- A. The risk analysis is not appropriate because it mixes both quantitative and qualitative factors, thereby making expected values calculation impossible.
 - B. Assessing factors at discrete levels such as high, medium, and low is inappropriate for the risk assessment process because the ratings are not quantifiable.
 - C. The weighting is subjective and should have been determined through a process such as multiple-regression analysis.
 - D. Using a subjective group consensus to assess personnel competence is appropriate.
-
- Answer (A) is incorrect. Risk analysis considers all appropriate factors. It need not be limited to quantitative or expected value calculations.
 - Answer (B) is incorrect. High, medium, and low may be the most precise measures available.
 - Answer (C) is incorrect. Subjective analysis is acceptable. Use of multiple-regression analysis to determine a weighted average for the risk-weighting model is not feasible because no criteria exist to determine the weightings.
 - Answer (D) is **correct**. The risk assessment incorporates information from a variety of sources, such as discussions with the board and management and with internal audit management and staff. Thus, seeking the consensus of experienced internal audit managers regarding personnel matters is appropriate. This method tends to eliminate the extreme judgments that might be made by a single evaluator.

[580] Gleim #: 8.1.15 -- Source: CIA 04 Model Exam I-22

A chief audit executive (CAE) uses a risk assessment model to establish the annual audit plan. Which of the following would be an appropriate action by the CAE?

- I. Maintain ongoing dialogue with management and the audit committee
 - II. Ensure that the schedule of audit priorities remains unchanged
 - III. Employ only quantitative methods to determine risk weightings
 - IV. Revise the risk assessment and audit priorities as warranted
-
- A. III only.
 - B. I and II only.
 - C. I and IV only.
 - D. III and IV only.

- Answer (A) is incorrect. The weighting of risk is both a quantitative and a qualitative (judgment) exercise.
- Answer (B) is incorrect. Audit schedules will likely change regularly to meet the needs of the organization, particularly if based on an effective risk assessment process.
- Answer (C) is **correct**. The CAE must establish risk-based plans to determine the priorities of the internal audit activity, consistent with the organization's goals (Standard 2010). It is a best practice for risk assessment to be a dynamic process, changing over time and as new information, business strategies, and risks are identified. Ongoing consultation with members of management and the board is a way for the internal audit activity to obtain such information and stay attuned to organizational developments that may affect existing audit priorities. To accommodate such emerging priorities, the work schedule may need to be altered.
- Answer (D) is incorrect. The weighting of risk is both a quantitative and a qualitative (judgment) exercise. Furthermore, the CAE should engage in ongoing consultation with members of management and the board.

[581] Gleim #: 8.1.16 -- Source: CIA 04 Model Exam I-23

When a risk assessment process has been used to construct an audit engagement schedule, which of the following should receive attention first?

- A. The external auditors have requested assistance for their upcoming annual audit.
 - B. A new accounts payable system is currently undergoing testing by the information technology department.
 - C. Management has requested an investigation of possible lapping in receivables.
 - D. The existing accounts payable system has not been audited over the past year.
- Answer (A) is incorrect. External audit requests for assistance should be subordinate to fraud investigations.
 - Answer (B) is incorrect. Given that the new system is not yet in production, it need not receive immediate attention.
 - Answer (C) is **correct**. Prioritizing is needed to make decisions about applying resources to engagements based on the relative significance of their risk and exposure estimates. Most risk models use risk factors to establish engagement priorities (PA 2010-2). Internal auditors traditionally regard fraud as significant even if the immediate exposure is not. Thus, management's request to investigate a possible fraud in the accounts receivable unit must take precedence.
 - Answer (D) is incorrect. A management request involving a fraud should take priority over a system that has not been audited over the past year.

[582] Gleim #: 8.1.17 -- Source: CIA R98 I-2

Which of the following factors is considered the **least** important in deciding whether existing internal audit resources should be moved from an ongoing compliance engagement to a divisional-level engagement requested by management?

- A. A financial audit of the division performed by the external auditor a year ago.
 - B. The potential for fraud associated with the ongoing engagement.
 - C. An increase in the level of expenditures experienced by the division for the past year.
 - D. The potential for significant regulatory fines associated with the ongoing engagement.
- Answer (A) is **correct**. Prioritizing is needed to make decisions about applying relative resources based on the significance of risk and exposure. Most risk models use risk factors to establish engagement priorities (PA 2010-2). One such factor is the potential for fraud. Internal auditors traditionally regard fraud as significant even if the immediate exposure is not significant. Increased expenditures also constitute a significant risk factor because they represent an increase in potential loss. For the same reason, potential regulatory fines may also create an exposure sufficiently great to affect the determination of priorities. Thus, the result of an external financial audit performed a year ago is the least likely to affect the current allocation of internal audit resources. Any adverse engagement observations most probably have been acted upon, and, in any case, may not be germane to the ongoing compliance engagement or the proposed divisional-level engagement.
 - Answer (B) is incorrect. Potential fraud is likely to be a more important factor in the use of limited internal audit resources than the results of an external financial audit.
 - Answer (C) is incorrect. Increased expenditures is likely to be a more important factor in the use of limited internal audit resources than the results of an external financial audit.
 - Answer (D) is incorrect. Potential significant fines are likely to be a more important factor in the use of limited internal audit resources than the results of an external financial audit.

[583] Gleim #: 8.1.18 -- Source: CIA 04 Model Exam I-24

A chief audit executive is reviewing the following enterprise-wide risk map:

I M P A C T	LIKELIHOOD		
	Remote	Possible	Likely
	Critical Risk A	Risk B	
	Major		Risk D
	Minor	Risk C	

Which of the following is the correct prioritization of risks, considering limited resources in the internal audit activity?

- A. Risk B, Risk C, Risk A, Risk D.
- B. Risk A, Risk B, Risk C, Risk D.
- C. Risk D, Risk B, Risk C, Risk A.
- D. Risk B, Risk C, Risk D, Risk A.

- Answer (A) is incorrect. Risk D clearly takes precedence over Risk C. It has a higher likelihood and a greater impact.
- Answer (B) is incorrect. Risk B clearly has a higher priority than Risk A. It has a higher likelihood and the same impact.
- Answer (C) is **correct**. Risk is the possibility of an event's occurrence that could have an impact on the achievement of objectives. Risk is measured in terms of impact (consequences) and likelihood (probability). Prioritizing is needed to make decisions for applying resources to engagements based on the relative significance of their risk and exposure estimates. The best order of priority listed (highest to lowest) is (1) Risk D (likely-major), (2) Risk B (possible-critical), (3) Risk C (possible-minor), and (4) Risk A (remote-critical). However, it is not entirely clear that Risk D and Risk C should have higher priorities than Risks B and A, respectively. For example, depending on the values assigned to the variables, a possible-critical impact (B) might have a higher priority than a likely-major impact (D).
- Answer (D) is incorrect. Risk D has a higher likelihood and a greater impact than Risk C.

[584] Gleim #: 8.1.19 -- Source: CIA 04 Model Exam I-25

Which of the following represents the **best** risk assessment technique?

- A. Assessment of the risk levels for future events based on the extent of uncertainty of those events and their impact on achievement of long-term organizational goals.
- B. Assessment of inherent and control risks and their impact on the extent of financial misstatements.
- C. Assessment of the risk levels of current and future events, their effect on achievement of the organization's objectives, and their underlying causes.
- D. Assessment of the risk levels of current and future events, their impact on the organization's mission, and the potential for elimination of existing or possible risk factors.

- Answer (A) is incorrect. Causation also should be considered.
- Answer (B) is incorrect. Risk events include more than those classified as inherent and control risks (terms used in the audit risk model used in financial statement audits). Moreover, a comprehensive approach should be adopted.
- Answer (C) is **correct**. Risk is the possibility of an event's occurrence that could have an impact on the achievement of objectives. Risk is measured in terms of impact (consequences) and likelihood (probability). Most risk models use risk factors to establish engagement priorities (PA 2010-2). This is the best response because it takes a comprehensive approach to risk assessment. It considers not only the event and the impact but also the causes.
- Answer (D) is incorrect. Elimination of risks is less likely than mitigation.

[585] Gleim #: 8.1.20 -- Source: CIA 04 Model Exam I-29

During the planning phase, a chief audit executive (CAE) is evaluating four audit engagements based on the following factors: the engagement's ability to reduce risk to the organization, the engagement's ability to save the organization money, and the extent of change in the area since the last engagement. The CAE has scored the engagements for each factor from low to high, assigned points, and calculated an overall ranking. The results are shown below with the points in parentheses:

<u>Audit</u>	<u>Risk Reduction</u>	<u>Cost Savings</u>	<u>Changes</u>
1	High (3)	Medium (2)	Low (1)
2	High (3)	Low (1)	High (3)
3	Low (1)	High (3)	Medium (2)
4	Medium (2)	Medium (2)	High (3)

Which audit engagements should the CAE pursue if all factors are weighed equally?

- A. 1 and 2 only.
- B. 1 and 3 only.
- C. 2 and 4 only.
- D. 3 and 4 only.

- Answer (A) is incorrect. Audit 1 has fewer total points than audit 4.
- Answer (B) is incorrect. Audits 1 and 3 have fewer total points than audits 2 and 4.
- Answer (C) is **correct**. The CAE must establish risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 2010). Among the many factors considered in setting priorities are (1) updated assessments of risks and the effectiveness of risk management and control; (2) major changes in the organization's business, operations, programs, systems, and controls; and (3) opportunities to achieve operating benefits. Accordingly, given that risk reduction, cost savings, and changes in areas to be audited are weighted equally, the CAE should pursue audits 2 and 4 because they have the highest total points.
- Answer (D) is incorrect. Audit 3 has fewer total points than audit 2.

[586] Gleim #: 8.1.21 -- Source: CIA 04 Model Exam I-30

During the planning phase, a chief audit executive (CAE) is evaluating four audit engagements based on the following factors: the engagement's ability to reduce risk to the organization, the engagement's ability to save the organization money, and the extent of change in the area since the last engagement. The CAE has scored the engagements for each factor from low to high, assigned points, and calculated an overall ranking. The results are shown below with the points in parentheses:

<u>Audit</u>	<u>Risk Reduction</u>	<u>Cost Savings</u>	<u>Changes</u>
1	High (3)	Medium (2)	Low (1)
2	High (3)	Low (1)	High (3)
3	Low (1)	High (3)	Medium (2)
4	Medium (2)	Medium (2)	High (3)

If the organization has asked the CAE to consider the cost savings factor to be twice as important as any other factor, which engagements should the CAE pursue?

- A. 1 and 2 only.
- B. 1 and 3 only.
- C. 2 and 4 only.
- D. 3 and 4 only.

- Answer (A) is incorrect. Audit 1 and audit 2 have 8 total points each.
- Answer (B) is incorrect. Audit 1 has 8 total points.
- Answer (C) is incorrect. Audit 2 has 8 total points.
- Answer (D) is **correct**. After doubling the cost savings points, audit 3 [$1 + (2 \times 3) + 2 = 9$] and audit 4 [$2 + (2 \times 2) + 3 = 9$] have the highest total points.

[587] Gleim #: 8.1.22 -- Source: CIA 04 Model Exam I-26

Which of the following is the **best** reason for the chief audit executive to consider the strategic plan in developing the annual audit plan?

- A. To ensure that the internal audit plan supports the overall business objectives.
- B. To ensure that the internal audit plan will be approved by senior management.
- C. To make recommendations to improve the strategic plan.
- D. To emphasize the importance of the internal audit function.

- Answer (A) is **correct**. The chief audit executive must establish risk-based plans to determine the priorities of the internal audit activity, consistent with the organization's goals (Standard 2010). Including the strategic plan in the audit universe ensures that it reflects the overall business objectives stated in the strategic plan.
- Answer (B) is incorrect. Making the internal audit plan fit better with the strategic plan may not have an effect on management's approval.
- Answer (C) is incorrect. Recommending improvements to the strategic plan is not the primary purpose of the CAE's review.
- Answer (D) is incorrect. The importance of the internal audit function depends on the authority granted to it by the board and senior management.

[588] Gleim #: 8.1.23 -- Source: CIA 04 Model Exam I-27

In assessing organizational risk in a manufacturing environment, which of the following would have the **most** long-range impact on the organization?

- A. Production scheduling.
- B. Inventory policy.
- C. Product quality.
- D. Advertising budget.

- Answer (A) is incorrect. Production scheduling is most likely to have short-term effects.
- Answer (B) is incorrect. An inventory policy is most likely to have short-term effects.
- Answer (C) is **correct**. Product quality has the greatest long-term effect on organizational risk. A decline in product quality poses grave risks to the success (and even the existence) of the organization. Loss of customer satisfaction because of poor quality results in a decline in competitiveness in the organization's markets.
- Answer (D) is incorrect. An advertising budget may be for an annual or shorter period. Thus, the effect of ineffective or underfunded advertising is more readily reversed than poor quality.

[589] Gleim #: 8.1.24 -- Source: CIA 04 Model Exam I-34

A chief audit executive **most** likely uses risk assessment for audit planning because it provides

- A. A systematic process for assessing and integrating professional judgment about probable adverse conditions.
- B. A listing of potentially adverse effects on the organization.
- C. A list of auditable activities in the organization.
- D. The probability that an event or action may adversely affect the organization.

- Answer (A) is **correct**. The chief audit executive must establish risk-based plans to determine the priorities of the internal audit activity, consistent with the organization's goals (Standard 2010). The audit plan is prepared based on (1) the audit universe, (2) input from senior management and the board, and (3) an assessment of risk and exposures (PA 2010-1).
- Answer (B) is incorrect. A listing of potentially adverse effects might convince the CAE of the need for risk assessment. But this process is not itself a risk assessment.
- Answer (C) is incorrect. A list of auditable activities is used in the risk assessment process but is not the rationale for using risk assessment.
- Answer (D) is incorrect. The probability that an event or action may adversely affect the organization is one definition of risk.

[590] Gleim #: 8.1.25 -- Source: Publisher, 2009

Which of the following is **not** reflected in an organization's audit universe?

- A. The organization's overall attitude toward risk.
- B. The degree of difficulty in achieving planned objectives.
- C. Overall business plan objectives.
- D. The internal audit activity's conformance with the *Standards*.

- Answer (A) is incorrect. The organization's overall attitude toward risk is included in the strategic plan, components of which are part of the audit universe.
- Answer (B) is incorrect. The degree of difficulty in achieving planned objectives is included in the strategic plan, components of which are part of the audit universe.
- Answer (C) is incorrect. Overall business plan objectives are included in the strategic plan, components of which are part of the audit universe.
- Answer (D) is **correct**. The audit universe is a list of all possible audits. It can include components from the organization's strategic plan. By incorporating components of the organization's strategic plan, the audit universe will consider and reflect the overall business plan objectives. Strategic plans also are likely to reflect the organization's attitude toward risk and the degree of difficulty in achieving planned objectives (PA 2010-1). The internal audit activity's conformance with the *Standards* is the object of ongoing and periodic internal assessments and periodic external assessments.

[591] Gleim #: 8.1.26 -- Source: CIA 1195 III-3

The internal auditing process is one of critical thinking, analysis, and careful evaluation. All mechanical procedures are integrated into a larger context of thoughtful inquiry. All engagements include a description and analysis of internal controls. Engagement clients are selected in a number of ways, with risk being the primary basis for selection. The departments being considered for possible review in the coming year and attributes of those departments are as follows:

<u>Department</u>	<u>Assets</u>	<u>Annual Costs</u>	<u>Probability of Loss</u>
Production A	US \$ 50,000	US \$ 700,000	10%
Production B	5,000,000	10,000,000	1%
Production C	1,000,000	1,000,000	1%
Purchasing	50,000	150,000	10%
Marketing	50,000	500,000	10%
Shipping	60,000	100,000	50%
Security	10,000	100,000	90%
Travel	6,000	30,000	50%

All of these departments, except two, are on the potential list of engagement clients because of a risk analysis performed by the chief audit executive. Production department A is on the list because the president thinks too many bottlenecks occur in that department. The marketing department is on the list because the chief of security received an anonymous phone call accusing a marketing manager of accepting substantial financial kickbacks from a media outlet. Internal controls seem adequate in all departments, with the possible exception of marketing. Assuming that total available resources remain the same, what activities should the internal audit activity perform to **best** serve the organization?

- Decrease engagement time in systems development.
- Increase engagement time in service branches.
- Increase engagement time in functions being centralized.
- Continue the allocation of engagement time as before.

- Answer (A) is incorrect. Major technology changes require that the engagement time devoted to systems development be increased.
- Answer (B) is incorrect. Given the major changes in other areas, limited IAA resources most likely must be shifted away from their primary focus on the service branches.
- Answer (C) is **correct**. Matters to be considered in establishing engagement work schedule priorities include changes in the organization's business, operations, programs, systems, and controls (PA 2010-1). For this service organization, major changes include decentralization of operations and centralization of support functions. These changes are occurring concurrently with the reengineering of business processes and the in-house development of technology. Accordingly, the IAA should increase engagement time in functions being centralized and in technology development. The CAE uses risk models to prioritize engagements. Most such models are based on risk factors, for example, the degree of change or stability, timing and results of the last audit engagement, and complexity (PA 2010-1). Thus, the relevant risk factors require a reallocation of limited audit resources.
- Answer (D) is incorrect. Major changes in the business, operations, programs, systems, and controls also require changes by the IAA.

[592] Gleim #: 8.1.27 -- Source: CIA 1194 I-1

The internal auditing process is one of critical thinking, analysis, and careful evaluation. All mechanical procedures are integrated into a larger context of thoughtful inquiry. All engagements include a description and analysis of internal controls. Engagement clients are selected in a number of ways, with risk being the primary basis for selection. The departments being considered for possible review in the coming year and attributes of those departments are as follows:

<u>Department</u>	<u>Assets</u>	<u>Annual Costs</u>	<u>Probability of Loss</u>
Production A	US \$ 50,000	US \$ 700,000	10%
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Production C	1,000,000	1,000,000	1%
Purchasing	50,000	150,000	10%
Marketing	50,000	500,000	10%
Shipping	60,000	100,000	50%
Security	10,000	100,000	90%
Travel	6,000	30,000	50%

All of these departments, except two, are on the potential list of engagement clients because of a risk analysis performed by the chief audit executive. Production department A is on the list because the president thinks too many bottlenecks occur in that department. The marketing department is on the list because the chief of security received an anonymous phone call accusing a marketing manager of accepting substantial financial kickbacks from a media outlet. Internal controls seem adequate in all departments, with the possible exception of marketing. Which department **most** likely needs a pure operational (nonfinancial) engagement?

- A. Production A.
- B. Production C.
- C. Purchasing.
- D. Marketing.

- Answer (A) is **correct**. An operational engagement includes reviewing the activities, systems, and controls within an organization to reach efficiency, effectiveness, economic, or other goals. A department that is causing bottlenecks needs an operational audit to aid in determining the cause of the bottlenecks and correcting the problem.
- Answer (B) is incorrect. The production department C appears to be operating efficiently and effectively.
- Answer (C) is incorrect. The purchasing department appears to be operating efficiently and effectively.
- Answer (D) is incorrect. The marketing department appears to be operating efficiently and effectively. The information relayed by the anonymous phone call is not relevant to the operating efficiency of the department.

[593] Gleim #: 8.1.28 -- Source: CIA 1194 I-2

During the planning phase, a chief audit executive (CAE) is evaluating four audit engagements based on the following factors: the engagement's ability to reduce risk to the organization, the engagement's ability to save the organization money, and the extent of change in the area since the last engagement. The CAE has scored the engagements for each factor from low to high, assigned points, and calculated an overall ranking. The results are shown below with the points in parentheses:

<u>Audit</u>	<u>Risk Reduction</u>	<u>Cost Savings</u>	<u>Changes</u>
1	High (3)	Medium (2)	Low (1)
2	High (3)	Low (1)	High (3)
3	Low (1)	High (3)	Medium (2)
4	Medium (2)	Medium (2)	High (3)

What is the chief audit executive's **most** logical definition of risk of loss to be used in selecting engagement clients?

- A. Amount of risk exposure times the probability of loss.
 - B. Amount of annual costs in a department.
 - C. Probability of loss.
 - D. Amount of assets in a department.
-
- Answer (A) is **correct**. The CAE prepares the internal audit activity's audit plan based on the audit universe, input from senior management and the board, and an assessment of risk and exposures affecting the organization (PA 2010-1). Risk is the uncertainty of the occurrence of an event that could affect the achievement of the organization's objectives. It is measured in terms of consequences and likelihood (Glossary appended to the *Standards*). Thus, risk of loss is most logically defined as an expected value. It equals the amount at risk times the probability of loss.
 - Answer (B) is incorrect. The amount of costs in a department is not necessarily the amount exposed to a risk of loss.
 - Answer (C) is incorrect. The probability of a loss must be multiplied by the amount exposed to possible loss.
 - Answer (D) is incorrect. The amount of assets in a department is not necessarily the amount exposed to a risk of loss.

[594] Gleim #: 8.1.29 -- Source: CIA 594 I-56

Which of the following statements is false regarding risk assessment as the term is used in internal auditing?

- A. Risk assessment is a judgmental process of assigning monetary amounts to the perceived level of risk found in an activity being evaluated. These amounts allow a chief audit executive to select the engagement clients most likely to result in identifiable savings.
- B. The chief audit executive should incorporate information from a variety of sources into the risk assessment process, including discussions with the board, management, external auditors, review of regulations, and analysis of financial/operating data.
- C. Risk assessment is a systematic process of assessing and integrating professional judgments about events that could affect the achievement of organizational objectives. It provides a means of organizing an engagement work schedule.
- D. As a result of an engagement or preliminary survey, the chief audit executive may revise the level of assessed risk of an engagement client at any time, making appropriate adjustments to the work schedule.

- Answer (A) is **correct**. The nature of work of the IAA is to evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach (Standard 2100). Accordingly, the CAE must establish risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 210). These plans are reflected in engagement work schedules based on, among other things, an assessment of risk priority and exposure. Priorities are decisions for applying resources based on the significance of risk and exposure. A variety of risk models exist to assist the CAE. Most risk models use risk factors, such as impact, likelihood, materiality, asset liquidity, management competence, quality of and adherence to internal controls, degree of change or stability, timing and results of last audit engagement, complexity, and employee and government relations (PA 210-1). Consequently, risk assessment is not a rigid process that can always be made in specific financial terms.
- Answer (B) is incorrect. Internal auditors are expected to identify and evaluate significant risk exposures in the normal course of their duties. Thus, they not only use risk analysis to plan engagements but also to assist management and the board by examining, evaluating, reporting, and recommending improvements on the adequacy and effectiveness of the management's risk processes (PA 2100-3). For these purposes, the CAE should incorporate information from a variety of sources into the risk assessment process. The *Standards* place no limit on such sources.
- Answer (C) is incorrect. An engagement work schedule is based on a risk assessment, undertaken at least annually.
- Answer (D) is incorrect. Risk assessments may be revised on the basis of new information.

[595] Gleim #: 8.1.30 -- Source: CIA 1191 II-6

Risk modeling or risk analysis is often used in conjunction with development of long-range engagement work schedules. The key input in the evaluation of risk is

- A. Previous engagement results.
- B. Management concerns and preferences.
- C. Specific requirements of professional standards.
- D. Judgment of the internal auditors.

- Answer (A) is incorrect. The informed judgment of the internal auditor is still required to assess the magnitude of risk indicated by previous engagement results.
- Answer (B) is incorrect. To assess the risk posed by management concerns, informed judgment of the internal auditor is required.
- Answer (C) is incorrect. Professional standards do not specify the basic inputs for a risk analysis.
- Answer (D) is **correct**. Matters to be considered in establishing engagement work schedule priorities should include the dates and results of the last engagement; updated assessments of risks and effectiveness of risk management and control processes; requests by senior management, the audit committee, and the governing body; current issues relating to organizational governance; major changes in the enterprise's business, operations, programs, systems, and controls; opportunities to achieve operating benefits; and changes to and capabilities of the internal auditing staff. Risk is concerned with the probability rather than the certainty of loss. Assessing the risk of an activity entails analysis of numerous factors, estimation of probabilities and amounts of potential losses, and an appraisal of the costs and benefits of risk reduction. Consequently, in assessing the magnitude of risk associated with any factor in a risk model, informed judgment by the internal auditor is required.

[596] Gleim #: 8.1.31 -- Source: CIA 1194 I-25

Risk assessment is a systematic process for assessing and integrating professional judgments about probable adverse conditions or events. Which of the following statements reflects the appropriate action for the chief audit executive to take?

- A. The CAE should generally assign engagement priorities to activities with higher risks.
- B. The CAE should restrict the number of sources of information used in the risk assessment process.
- C. Work schedule priorities should be established to lead the CAE in the risk assessment process.
- D. The risk assessment process should be conducted at least every three to five years.

- Answer (A) is **correct**. The nature of work of the IAA is to evaluate and contribute to the improvement of governance, risk management, and control processes using a systematic and disciplined approach (Standard 2100). Accordingly, the CAE must establish risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 210). These plans are reflected in engagement work schedules based on, among other things, an assessment of risk priority and exposure. Priorities are decisions for applying resources based on the significance of risk and exposure. A variety of risk models exist to assist the CAE. Most risk models use risk factors, such as impact, likelihood, materiality, asset liquidity, management competence, quality of and adherence to internal controls, degree of change or stability, timing and results of last audit engagement, complexity, and employee and government relations (PA 2010-1). Furthermore, the risk assessment process should be undertaken at least annually.
- Answer (B) is incorrect. Internal auditors are expected to identify and evaluate significant risk exposures in the normal course of their duties. Thus, they not only use risk analysis to plan engagements but also to assist management and the board by examining, evaluating, reporting, and recommending improvements on the adequacy and effectiveness of the management's risk processes. For these purposes, the CAE should incorporate information from a variety of sources into the risk assessment process. The *Standards* place no limit on such sources.
- Answer (C) is incorrect. The risk assessment process should be used to determine work schedule priorities.
- Answer (D) is incorrect. The risk assessment should be undertaken at least every year.

[597] Gleim #: 8.1.32 -- Source: CIA 1192 II-11

The chief audit executive for a retail merchandise sales organization is considering engagement assignments for inclusion in the work schedule for the upcoming year. The following areas have not been evaluated recently and there are no known reasons that they should be given immediate attention. If resources are scarce, which project should be given priority?

- A. Corporate code of ethics and conflict of interest policy.
- B. Cash management and credit policy.
- C. Employee time reporting system.
- D. Budget preparation and forecasts.

- Answer (A) is incorrect. Cash and credit policy has a greater risk of loss.
- Answer (B) is **correct**. Among other things, matters to be considered in establishing engagement work schedule priorities should include updated assessments of risks and effectiveness of risk management and control processes. Of the areas listed, cash management and credit policy in a retail merchandise sales organization would likely rank the highest in financial exposure and risk of potential loss.
- Answer (C) is incorrect. Cash and credit policy has a greater risk of loss.
- Answer (D) is incorrect. Cash and credit policy has a greater risk of loss.

[598] Gleim #: 8.1.33 -- Source: CIA 1188 I-11

The chief audit executive of a manufacturer is updating the long-range engagement work schedule. There are several possible assignments that can fill a given time spot. Information on potential monetary exposure and key internal controls has been gathered. Based on perceived risk, select the assignment of greatest merit.

- A. Precious metals inventory -- carrying amount, US \$1,000,000; separately stored, but access not restricted.
- B. Branch office petty cash -- ledger amount, US \$50,000; 10 branch offices, equal amounts; replenishment of accounts requires three separate approvals.
- C. Sales force travel expenses -- budget, US \$1,000,000; 50 sales people; all expenditures over US \$25 must be receipted.
- D. Expendable tools inventory -- carrying amount, US \$500,000; issued by tool crib attendant upon receipt of authorization form.

- Answer (A) is **correct**. The IAA should assist the organization by identifying and evaluating significant exposures to risk and contributing to the improvement of risk management and control processes. Among the many considerations in judging an item's risk are the ease with which it can be converted to cash, its accessibility, and its monetary value. The precious metals inventory should receive special emphasis because of its high inherent risk. The inventory can be easily converted to cash, access is not restricted, and its monetary value is relatively high.
- Answer (B) is incorrect. The monetary exposure of petty cash is much smaller than for the other proposed engagements, and the related controls are very stringent.
- Answer (C) is incorrect. Although the monetary value of the sales force travel expense is identical to that of the precious metal inventory, the exposure is divided among 50 people, and the receipting requirement provides substantial safety against false claims.
- Answer (D) is incorrect. The expendable tools inventory is subject to adequate control.

[599] Gleim #: 8.1.34 -- Source: CIA 594 II-17

Feedback allows the chief audit executive to monitor the internal audit activity's efficiency and effectiveness. Actions resulting from feedback include all of the following **except**

- A. Revising risk assessments made during the planning phase of an engagement.
 - B. Revising the actual engagement hours to reflect only budgeted hours.
 - C. Identifying areas for future engagements.
 - D. Performing periodic follow-up procedures for outstanding recommendations.
- Answer (A) is incorrect. Feedback is information gathered about completed activities. Revising risk assessments is an adjustment in the engagement process resulting from feedback.
 - Answer (B) is **correct**. The engagement budget should be analyzed to determine and report the variance between actual and budgeted hours. Actual hours should never be hidden.
 - Answer (C) is incorrect. Feedback is information gathered about completed activities. Identifying areas for future engagements is an adjustment in the engagement process resulting from feedback.
 - Answer (D) is incorrect. Feedback is information gathered about completed activities. Following up is an adjustment in the engagement process resulting from feedback.

[600] Gleim #: 8.1.35 -- Source: CIA 1192 I-5

The chief audit executive of an organization has developed a plan that includes a detailed schedule of engagements to be performed during the coming year, an estimate of the time required for each engagement, and the approximate starting date of each engagement. The scheduling of specific engagements was based upon the time elapsed since the last engagement in each area. The plan is inadequate because it fails to

- A. Cite authoritative support for such a plan.
 - B. Consider factors such as risk and effectiveness of risk management processes.
 - C. State whether all internal audit activity resources had been committed to the plan.
 - D. Seek senior management approval of the plan.
- Answer (A) is incorrect. The *Standards* state no requirement to cite authoritative support for the plan.
 - Answer (B) is **correct**. Matters to be considered in establishing engagement work schedule priorities should include the dates and results of the last engagement; updated assessments of risks and effectiveness of risk management and control processes; requests by senior management, the audit committee, and the governing body; current issues relating to organizational governance; changes in the organization's business, operations, programs, systems, and controls; opportunities to achieve operating benefits; and changes to and capabilities of the internal auditing staff.
 - Answer (C) is incorrect. The plan should be flexible in the event of unanticipated needs for IAA resources.
 - Answer (D) is incorrect. Activity reports should be submitted to senior management and to the board at least annually (PA 2060-1), but the *Standards* state no requirement for seeking approval of the annual engagement work schedule.

[601] Gleim #: 8.1.36 -- Source: CIA 592 I-7

Which of the following is **least** likely to be included in the engagement work schedule of the internal audit activity?

- A. To be consistent with its charter.
- B. To be capable of being accomplished.
- C. To include a list of activities to be performed.
- D. To include the basics of the engagement work program.

- Answer (A) is incorrect. Consistency with the charter is necessary.
- Answer (B) is incorrect. Goals should be capable of being accomplished.
- Answer (C) is incorrect. An engagement work schedule includes the activities to be performed.
- Answer (D) is **correct**. The chief audit executive must establish risk-based plans to determine the priorities of the internal audit activity, consistent with the organization's goals (Standard 2010). These plans should be consistent with the IAA's charter and with the goals of the organization. Moreover, the goals of the IAA should be capable of being accomplished within specified operating plans and budgets and, to the extent possible, should be measurable. They should be accompanied by measurement criteria and targeted dates of accomplishment. Furthermore, engagement work schedules should include (a) what activities are to be performed; (b) when they will be performed; and (c) the estimated time required, taking into account the scope of the engagement work planned and the nature and extent of related work performed by others. The basics of an engagement program for a specific engagement are not included in the long-range plans of the IAA. A work program documents the engagement procedures selected in advance of performing the engagement. However, it is normally prepared after background information has been gathered and a survey has been conducted.

[602] Gleim #: 8.1.37 -- Source: CIA R98 I-73

The internal audit activity of a large organization has established its operating plan and budget for the coming year. The operating plan is restricted to the following categories: a prioritized listing of all engagements, staffing, a detailed expense budget, and the commencement date of each engagement. Which of the following **best** describes the major deficiency of this operating plan?

- A. Requests by management for special projects are not considered.
- B. Opportunities to achieve operating benefits are ignored.
- C. Measurability criteria and targeted dates of completion are not provided.
- D. Knowledge, skills, and other competencies required to perform work are ignored.

- Answer (A) is incorrect. Requests by management would have been considered in establishing engagement work schedule priorities.
- Answer (B) is incorrect. Opportunities to achieve operating benefits would have been considered in establishing engagement work schedule priorities.
- Answer (C) is **correct**. The goals of the internal audit activity should be capable of accomplishment within given operating plans and budgets and should be measurable to the extent possible. They should be accompanied by measurement criteria and targeted dates of accomplishment.
- Answer (D) is incorrect. The appropriate resources, including staffing, needed to achieve engagement objectives would have been considered in establishing engagement work schedule priorities. Staff members must possess the knowledge, skills, and other competencies needed to perform their responsibilities (Standard 1210).

[603] Gleim #: 8.1.38 -- Source: CIA 588 II-11

Which of the following is a valid reason for an internal auditing engagement involving a payroll department to receive priority over a purchasing department engagement?

- A. The director of the payroll department requested that the payroll department engagement be performed first.
- B. The purchasing department engagement will require more time to perform.
- C. The payroll department's relative risk and exposure are greater.
- D. The purchasing department recently restructured its major operations.

- Answer (A) is incorrect. This request is not as compelling a reason for granting priority as the greater assessed risk of another engagement client.
- Answer (B) is incorrect. The time required may not correlate with risk and other factors that determine the IAA's priorities.
- Answer (C) is **correct**. The CAE establishes risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 2010). Matters to be considered in establishing engagement work schedule priorities should include (1) the dates and results of the last engagement; (2) updated assessments of risks and effectiveness of risk management and control processes; (3) requests by senior management, the audit committee, and the governing body; (4) regulatory requirements; (5) current issues relating to organizational governance; (6) major changes in the enterprise's business, operations, programs, systems, and controls; (7) opportunities to achieve operating benefits; and (8) changes to and capabilities of the engagement staff.
- Answer (D) is incorrect. The restructuring is a reason for giving priority to the purchasing department.

[604] Gleim #: 8.1.39 -- Source: CIA 588 II-20

An engagement work schedule for the internal audit activity is an essential part of

- A. Scheduling support for the external audit.
 - B. Establishing standards for employee performance.
 - C. Providing senior management with information about the quality of the internal audit activity's performance.
 - D. Planning for the internal audit activity.
- Answer (A) is incorrect. The engagement work schedule is not essential to proper support for the external audit.
 - Answer (B) is incorrect. Management sets operating standards.
 - Answer (C) is incorrect. An activity report is submitted periodically to senior management and the board compare actual performance with the IAA's goals and engagement work schedules and expenditures with financial budgets (PA 2060-1). The activity report therefore provides better information about the quality of performance.
 - Answer (D) is **correct**. Engagement work schedules should include the activities to be performed, when they will be performed, and the estimated time required, taking into account the scope of the engagement work planned and the nature and extent of related work performed by others. This work schedule in turn permits determination of staffing plans and financial budgets and furnishes a basis for the presentation of activity reports.

[605] Gleim #: 8.1.40 -- Source: CIA 1195 I-42

Management has just implemented a policy that every department must downsize by immediately cutting 10% of each department's staff and budget. The chief audit executive has reacted to the organization's recent plans for "downsizing" (reducing the size of staff across the board) by notifying the internal audit managers that the time allocated for all jobs must be cut by 10%. Which of the following statements regarding the CAE's action and potential internal audit manager's action is true?

- A. The CAE's action should result in approximately the same amount of risk coverage as the previous engagement work schedule but reduced by 10%.
- B. Individual internal audit managers can attain 90% of the previously defined engagement coverage by uniformly cutting engagement procedures by 10%.
- C. The CAE should have re-prioritized risks and eliminated specific engagements rather than cutting 10% across the board.
- D. All of the answers are correct.

- Answer (A) is incorrect. Reducing the time allocation for all jobs by 10% does not necessarily mean that the risks addressed will be reduced proportionately. The CAE should reprioritize the engagement work schedule to ensure the optimal mitigation of risk with the more limited resources.
- Answer (B) is incorrect. A uniform 10% reduction in engagement procedures or scope may result in gathering insufficient information and failure to meet engagement objectives for all projects.
- Answer (C) is **correct**. The CAE must establish risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 2010). Thus, engagement work schedules should be based on, among other things, an assessment of risk priority and exposure. Prioritizing is needed to make decisions for applying resources based on the significance of risk and exposure (PA 2010-1). Hence, when the IAA's resources are reduced, the CAE should allocate the remaining resources in the manner that best meets its goals. For this purpose, risk priorities must be reevaluated. Eliminating some projects may be preferable to reducing the effort devoted to all projects.
- Answer (D) is incorrect. Only one of the responses is true.

[606] Gleim #: 8.1.41 -- Source: CIA 1190 II-2

According to the *Standards*, the internal audit activity's goals should specify

- A. Engagement work schedules and activities to be reviewed.
 - B. Policies and procedures to guide the internal audit staff.
 - C. Measurement criteria and target dates for completion.
 - D. Staffing plans and financial budgets.
- Answer (A) is incorrect. Goals are statements of what is to be accomplished. Schedules and specification of reviewed activities are specific means of achieving goals.
 - Answer (B) is incorrect. Goals are statements of what is to be accomplished. Policies and procedures are specific means of achieving goals.
 - Answer (C) is **correct**. The goals of the internal audit activity should be capable of being accomplished within specified operating plans and budgets and, to the extent possible, should be measurable. They should be accompanied by measurement criteria and targeted dates of accomplishment.
 - Answer (D) is incorrect. Goals are statements of what is to be accomplished. Staffing plans and budgets are specific means of achieving goals.

[607] Gleim #: 8.1.42 -- Source: CIA 1187 I-6

Which of the following is the **best** means of aiding an internal audit activity in determining whether its goals are being met?

- A. Having the board periodically review the quality of the internal audit activity's work.
 - B. Developing measurement criteria to accompany its goals.
 - C. Scheduling an external assessment every 3 years.
 - D. Having external auditors review and evaluate the work of the internal audit activity.
- Answer (A) is incorrect. The CAE reports periodically to the board and senior management, for example, on the IAA's purpose, authority, responsibility, and performance relative to its plan, but the board should not be involved in the details of internal auditing work.
 - Answer (B) is **correct**. The goals of the IAA should be capable of being accomplished within specified operating plans and budgets and, to the extent possible, should be measurable. They should be accompanied by measurement criteria and targeted dates of accomplishment.
 - Answer (C) is incorrect. External assessments, such as quality assurance reviews, must be conducted at least every 5 years by a qualified, independent reviewer or review team from outside the organization (Standard 1312). However, an external assessment does not provide the immediate control furnished by comparison of results with established standards (measurement criteria).
 - Answer (D) is incorrect. An external assessment does not provide the immediate control furnished by comparison of results with established standards (measurement criteria).

[608] Gleim #: 8.1.43 -- Source: Publisher 2009

The chief audit executive develops a risk-based plan after updating the audit universe. The item **least** likely to be part of the audit universe is

- A. Major programs.
- B. Cost, profit, and investment centers.
- C. A component of the organization's strategic plan.
- D. The minutes from the last board of directors meeting.

- Answer (A) is incorrect. Major programs are activities of the organization and are thus part of the audit universe.
- Answer (B) is incorrect. Cost, profit, and investment centers are parts of the organization and are thus part of the audit universe.
- Answer (C) is incorrect. The audit universe can include components from the organization's strategic plan. By incorporating components of the organization's strategic plan, the audit universe will consider and reflect the overall business' objectives.
- Answer (D) is **correct**. The chief audit executive is responsible for developing a risk-based plan. The chief audit executive takes into account the organization's risk management framework, including using risk tolerances levels set by management for the different activities or parts of the organization. If a framework does not exist, the chief audit executive uses his/her own judgment of risks after consultation with senior management and the board (Interpretation of Standard 2010). In developing the internal audit activity's audit plan, many chief audit executives (CAEs) find it useful to first develop or update the audit universe. The audit universe is a list of all the possible audits that could be performed. The CAE may obtain input on the audit universe from senior management and the board.

[609] Gleim #: 8.1.44 -- Source: Publisher 2009

Risk is measured in terms of significance and likelihood. Excessive cash disbursements due to duplicate payments to vendors are events that most likely are placed in which area of a risk map?

- A. Low significance, low likelihood.
- B. Low significance, high likelihood.
- C. High significance, medium likelihood.
- D. High significance, low likelihood.

- Answer (A) is incorrect. Duplicate payments to vendors tend to have medium to high impact and more than a low likelihood.
- Answer (B) is incorrect. Duplicate payments to vendors tend to have medium to high impact and more than a low likelihood.
- Answer (C) is **correct**. Duplicate payments to vendors are considered high significance because they result in a material loss of cash if undetected. The likelihood is medium because they are a common irregularity. However, there is most often a good chance (not guaranteed) that a vendor will detect the error and correct it.
- Answer (D) is incorrect. The likelihood is more than low (rare or unlikely).

[610] Gleim #: 8.2.45 -- Source: CIA 595 III-33

Recent criticism of an internal audit activity suggested that engagement coverage was not providing adequate feedback to senior management on the processes used in the organization's key lines of business. The problem was further defined as lack of feedback on the recent implementation of automated support systems. Which two functions does the chief audit executive need to improve?

- A. Staffing and communicating.
- B. Staffing and decision making.
- C. Planning and organizing.
- D. Planning and communicating.

- Answer (A) is incorrect. The facts do not indicate the existence of staffing problems.
- Answer (B) is incorrect. Decision making and staffing are not problems.
- Answer (C) is incorrect. Nothing indicates that the structure of the entity is a problem.
- Answer (D) is **correct**. The lack of feedback indicates the CAE has problems in planning and allocating internal audit resources to communicate necessary information to management. The CAE must establish risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 2010). Also, "Internal auditors must review operations and programs to ascertain the extent to which results are consistent with established goals and objectives to determine whether operations and programs are being implemented or performed as intended" (Standard 2130.A3). Furthermore, internal auditors must communicate engagement results (Standard 2400), including applicable conclusions, recommendations, and action plans (Standard 2410).

[611] Gleim #: 8.2.46 -- Source: CIA 1187 I-4

Which of the following is an appropriate responsibility of an audit committee?

- A. Performing a review of the procurement function of the organization.
 - B. Reviewing the internal audit activity's engagement work schedule submitted by the chief audit executive.
 - C. Reviewing the engagement records of the public accounting firm to determine the firm's competence.
 - D. Recommending the assignment of specific internal audit staff members for specific engagements.
- Answer (A) is incorrect. Reviewing the procurement function of the organization requires detailed technical ability.
 - Answer (B) is **correct**. The audit committee consists of outside members of the board of directors (who should be independent of management). Regular communication with this committee helps assure independence and provides a means for the directors and the IAA to keep each other informed. According to Standard 2020, the CAE must communicate the IAA's plans and resource requirements to senior management and the board for review and approval. Moreover, PA 2020-1 states that the CAE annually will submit to senior management and the board for approval a summary of the (1) internal audit plan, (2) work schedule, (3) staffing plan, and (4) financial budget.
 - Answer (C) is incorrect. Reviewing the IAA's engagement work schedule requires detailed technical ability.
 - Answer (D) is incorrect. Specific assignments should be made by IAA management.

[612] Gleim #: 8.2.47 -- Source: Publisher, 2009

Who reviews and approves a summary of the internal audit plan?

- A. Senior management and the board.
 - B. The audit committee and the board.
 - C. Senior management only.
 - D. The chief audit executive (CAE) only.
- Answer (A) is **correct**. The CAE must communicate the IAA's plans and resource requirements to senior management and the board for review and approval (Standard 2020). The CAE submits annually to senior management and the board a summary of the internal audit plan, work schedule, staffing plan, and financial budget (PA 2020-1).
 - Answer (B) is incorrect. The CAE also submits the internal audit plan to senior management.
 - Answer (C) is incorrect. The CAE also submits the internal audit plan to the board.
 - Answer (D) is incorrect. The audit plan is submitted to senior management and the board.

[613] Gleim #: 8.2.48 -- Source: CIA 589 I-6

As the chief audit executive, you have determined that the acquisition of some expensive, state-of-the-art software for paperless working paper files will be useful. Identify the preferred method for presenting your request to senior management.

- A. The effect of not obtaining the software.
 - B. Statement of need.
 - C. Comparison with other internal audit activities.
 - D. Evaluation of the software's technical specifications.
-
- Answer (A) is **correct**. The CAE must communicate the IAA's plans and resource requirements to senior management and the board for review and approval. The CAE also must communicate the effect of resource limitations (Standard 2020).
 - Answer (B) is incorrect. The need must be weighed against the cost.
 - Answer (C) is incorrect. Other IAAs may have different cost-benefit relationships.
 - Answer (D) is incorrect. Specialists, not senior management, will perform this evaluation.

[614] Gleim #: 8.3.49 -- Source: CIA 592 II-7

A chief audit executive's activity report should

- A. List the material engagement observations of major engagements.
 - B. List uncorrected reported conditions.
 - C. Report the weekly activities of the individual internal auditors.
 - D. Compare engagements completed with engagements planned.
-
- Answer (A) is incorrect. A list of material engagement observations is not an activity report.
 - Answer (B) is incorrect. A list of uncorrected reported conditions is not an activity report.
 - Answer (C) is incorrect. A report of weekly activities is not an activity report.
 - Answer (D) is **correct**. The CAE reports on the IAA's performance relative to its plan (Standard 2060). Furthermore, activity reports are submitted periodically to senior management and the board. Among other things, they inform senior management and the board about significant deviations from (1) approved work schedules, staffing plans, and financial budgets; (2) the reasons for deviations; and (3) any action taken or needed (PA 2060-1). Accordingly, these reports compare actual performance (e.g., completed engagements) with the IAA's work schedules (e.g., planned engagements).

[615] Gleim #: 8.3.50 -- Source: CIA 595 III-23

The chief audit executive routinely presents an activity report to the board as part of the board meeting agenda each quarter. Senior management has asked to review this presentation before each board meeting so that any issues or questions can be discussed beforehand. The CAE needs to

- A. Provide the activity report to senior management as requested and discuss any issues that may require action to be taken.
- B. Withhold disclosure of the activity report to senior management because such matters are the sole province of the board.
- C. Disclose to the board only those matters in the activity report that pertain to expenditures and financial budgets of the internal audit activity.
- D. Provide information to senior management that pertains only to completed engagements and observations available in published engagement communications.

- Answer (A) is **correct**. The CAE needs to submit activity reports to senior management and to the board periodically. Among other things, they inform senior management and the board about significant deviations from (1) approved work schedules, staffing plans, and financial budgets; (2) the reasons for deviations; and (3) any action taken or needed (PA 2060-1).
- Answer (B) is incorrect. Activity reports must be presented to senior management.
- Answer (C) is incorrect. The report is not restricted to expenditures and financial budgets. Information about significant deviations from work schedules and staffing plans is included.
- Answer (D) is incorrect. The information need not be limited to completed engagements and observations available in published engagement communications.

[616] Gleim #: 8.3.51 -- Source: CIA 1191 I-5

The **best** means for the internal audit activity to determine whether its goal of implementing broader coverage of functional activities has been met is through

- A. Accumulation of engagement observations by engagement client.
 - B. Comparison of the engagement work schedule with actual engagement activity.
 - C. Surveys of management satisfaction with the internal audit activity.
 - D. Implementation of a quality assurance program.
-
- Answer (A) is incorrect. The number of engagement observations is not an indicator of breadth or quality of work.
 - Answer (B) is **correct**. Planning for the IAA should be consistent with the charter and the goals of the organization. Planning requires establishing goals, engagement work schedules, staffing plans and financial budgets, and activity reports. Activity reports should be submitted at least annually to senior management and the board. These reports compare (a) actual performance with the IAA's goals and work schedules and (b) expenditures with financial budgets. They should explain the reasons for major variances and indicate any action taken or needed (PA 2060-1).
 - Answer (C) is incorrect. Management satisfaction does not directly relate to the expressed goal (broader engagement coverage).
 - Answer (D) is incorrect. Implementation of a quality assurance program has no bearing on the stated goal.

[617] Gleim #: 8.3.52 -- Source: CIA 1187 II-7

An annual summary report of completed engagement work submitted to senior management and the board by the chief audit executive should

- A. Discuss the administrative condition of the internal audit activity.
 - B. Inform management of the scope of proposed work for the following year.
 - C. Describe the extent to which the internal audit activity has completed its engagement work schedule.
 - D. Emphasize the number of deficiency observations discovered by the internal auditors.
-
- Answer (A) is incorrect. The administrative condition of the IAA is a subject appropriate for an external assessment.
 - Answer (B) is incorrect. This information is contained in the summary of the engagement work schedule, staffing plan, and financial budget for the coming year submitted to senior management and the board (PA 2020-1).
 - Answer (C) is **correct**. Activity reports highlight significant engagement observations and recommendations and inform senior management and the board of any significant deviations from approved engagement work schedules, staffing plans, and financial budgets, and the reasons for them (PA 2060-1).
 - Answer (D) is incorrect. The materiality of observations, not their number, should be emphasized.

[618] Gleim #: 8.4.53 -- Source: CIA 1196 I-26

Audit committees have been identified as a major factor in promoting the independence of both internal and external auditors. Which of the following is the **most** important limitation on the effectiveness of audit committees?

- A. Audit committees may be composed of independent directors. However, those directors may have close personal and professional friendships with management.
 - B. Audit committee members are compensated by the organization and thus favor an owner's view.
 - C. Audit committees devote most of their efforts to external audit concerns and do not pay much attention to the internal audit activity and the overall control environment.
 - D. Audit committee members do not normally have degrees in the accounting or auditing fields.
- Answer (A) is **correct**. The audit committee is a subcommittee made up of outside directors who are independent of management. Its purpose is to help keep external and internal auditors independent of management and to assure that the directors are exercising due care. However, if independence is impaired by personal and professional friendships, the effectiveness of the audit committee may be limited.
 - Answer (B) is incorrect. The compensation audit committee members receive is usually minimal. They should be independent and therefore not limited to an owner's perspective.
 - Answer (C) is incorrect. Although audit committees are concerned with external audits, they also devote attention to the internal audit activity.
 - Answer (D) is incorrect. Audit committee members do not need degrees in accounting or auditing to understand engagement communications.

[619] Gleim #: 8.4.54 -- Source: CIA 1192 I-6

The audit committee may serve several important purposes, some of which directly benefit the internal audit activity. The **most** significant benefit provided by the audit committee to the internal audit activity is

- A. Protecting the independence of the internal audit activity from undue management influence.
 - B. Reviewing annual engagement work schedules and monitoring engagement results.
 - C. Approving engagement work schedules, scheduling, staffing, and meeting with the internal auditors as needed.
 - D. Reviewing copies of the procedures manuals for selected organizational operations and meeting with organizational officials to discuss them.
- Answer (A) is **correct**. The audit committee is a subcommittee of outside directors who are independent of corporate management. Its purpose is to help keep external and internal auditors independent of management and to assure that the directors are exercising due care. This committee often selects the external auditors, reviews their overall audit plan, and examines the results of external and internal audits.
 - Answer (B) is incorrect. Although the audit committee may participate in some of the identified activities, none is as beneficial as protecting the independence of the IAA.
 - Answer (C) is incorrect. Although the audit committee may participate in some of the identified activities, none is as beneficial as protecting the independence of the IAA.
 - Answer (D) is incorrect. Although the audit committee may participate in some of the identified activities, none is as beneficial as protecting the independence of the IAA.

[620] Gleim #: 8.4.55 -- Source: CIA 593 II-13

To avoid creating conflict between the chief executive officer (CEO) and the audit committee, the chief audit executive should

- A. Submit copies of all engagement communications to the CEO and audit committee.
- B. Strengthen independence through organizational status.
- C. Discuss all pending engagement communications to the CEO with the audit committee.
- D. Request board establishment of policies covering the internal audit activity's relationships with the audit committee.

- Answer (A) is incorrect. The CEO and audit committee most likely should receive summary reports. Senior management and the board ordinarily are not involved in the details of internal audit work.
- Answer (B) is incorrect. Independence is not sufficient to avert conflict unless reporting relationships are well defined.
- Answer (C) is incorrect. The CEO and audit committee most likely should receive summary reports. Senior management and the board ordinarily are not involved in the details of internal audit work.
- Answer (D) is **correct**. The charter of the audit committee is developed by its governing authority to describe its responsibilities. For example, The IIA's sample charter states the following responsibilities regarding the IAA: (1) review with management and the CAE the charter, plans, activities, staffing, and organizational structure of the internal audit function; (2) ensure there are no unjustified restrictions or limitations, and review and concur in the appointment, replacement, or dismissal of the CAE; (3) review the effectiveness of the internal audit function, including compliance with the *Standards*; and (4), on a regular basis, meet separately with the CAE to discuss any matters that the committee or internal audit believes should be discussed privately. The CEO and audit committee most likely should receive summary reports. Senior management and the board ordinarily are not involved in the details of internal audit work. Independence is not sufficient to avert conflict unless reporting relationships are well defined.

[621] Gleim #: 8.4.56 -- Source: CIA 591 II-3

Which of the following actions is an appropriate response by organizations wishing to improve the public's perception of their financial reporting?

- A. Increased adoption of audit committees composed of outside directors.
 - B. Viewing internal auditing as a transient profession -- a stepping stone to managerial positions.
 - C. Requiring internal auditors to report all significant observations of illegal activity to the chief executive officer.
 - D. Keeping external and internal auditing work separated to maintain independence.
- Answer (A) is **correct**. The audit committee consists of outside directors who are independent of management. Its purpose is to help keep external and internal auditors independent of management and to assure that the directors are exercising due care. This committee selects the external auditors, reviews their overall audit plan, examines the results of external and internal auditing engagements, meets regularly with the CAE, and reviews the IAA's engagement work schedule, staffing plan, and financial budget. These functions should increase public confidence that financial statements are fairly presented.
 - Answer (B) is incorrect. Transience of internal auditors impairs the proficiency of the IAA.
 - Answer (C) is incorrect. If illegal activities involve senior management, distribution of engagement communications should be to the audit committee, not the CEO.
 - Answer (D) is incorrect. The work of the internal and external auditors should be coordinated to minimize duplicate efforts. Coordination does not impair independence or reduce public confidence.

[622] Gleim #: 8.4.57 -- Source: CIA 1191 II-4

Which of the following is **not** an appropriate member of an audit committee?

- A. The vice president of the local bank used by the organization.
- B. An academic specializing in business administration.
- C. A retired executive of a firm that had been associated with the organization.
- D. The organization's vice president of operations.

- Answer (A) is incorrect. The vice president of the local bank used by the organization is an external party who is usually independent of the organization's internal operations.
- Answer (B) is incorrect. An academic specializing in business administration is an external party who is usually independent of the organization's internal operations.
- Answer (C) is incorrect. A retired executive of a firm that had been associated with the organization is an external party who is usually independent of the organization's internal operations.
- Answer (D) is **correct**. The audit committee consists of outside directors who are independent of management. Its purpose is to help keep external and internal auditors independent of management and to assure that the directors are exercising due care. This committee selects the external auditors, reviews their overall audit plan, examines the results of external and internal auditing engagements, meets regularly with the CAE, and reviews the IAA's engagement work schedule, staffing plan, and financial budget. Engagements may be performed in the vice president's area of responsibility. Thus, (s)he is not independent of the IAA. The vice president is also not an outside director. The vice president of the local bank used by the organization, an academic specializing in business administration, and a retired executive of a firm that had been associated with the organization are all external parties who are usually independent of the organization's internal operations.

[623] Gleim #: 8.4.58 -- Source: CIA 590 II-5

Which of the following audit committee activities is of the greatest benefit to the internal audit activity?

- A. Review and approval of engagement work programs.
 - B. Assurance that the external auditor will rely on the work of the internal audit activity whenever possible.
 - C. Review and endorsement of all internal auditing engagement communications prior to their release.
 - D. Determine whether scope limitations impede the ability of the internal audit activity to execute its responsibilities.
-
- Answer (A) is incorrect. Review and approval of engagement work programs is the responsibility of internal audit supervisors.
 - Answer (B) is incorrect. Whether the external auditor will make use of the work of internal auditing is not for the audit committee to decide.
 - Answer (C) is incorrect. Review and approval of internal audit engagement communications is the responsibility of the chief audit executive or his/her designee.
 - Answer (D) is **correct**. The CAE, reporting functionally to the board (audit committee) and administratively to the organization's CEO, facilitates organizational independence. At a minimum, the CAE needs to report to an individual in the organization with sufficient authority to promote independence and to ensure broad audit coverage, adequate consideration of engagement communications, and appropriate action on engagement recommendations. Functional reporting to the board typically involves, among other things, making appropriate inquiries of management and the CAE to determine whether audit scope or budgetary limitations impede the ability of the internal audit activity to execute its responsibilities.

[624] Gleim #: 8.4.59 -- Source: CIA 1190 II-7

Which of the following features of a large manufacturer's organizational structure is a control weakness?

- A. The information systems department is headed by a vice president who reports directly to the president.
 - B. The chief financial officer is a vice president who reports to the chief executive officer.
 - C. The audit committee of the board consists of the chief executive officer, the chief financial officer, and a major shareholder.
 - D. The controller and treasurer report to the chief financial officer.
-
- Answer (A) is incorrect. This reporting relationship is a strength. It prevents the information systems operation from being dominated by a user.
 - Answer (B) is incorrect. It is a normal and appropriate reporting relationship.
 - Answer (C) is **correct**. The audit committee has a control function because of its oversight of internal as well as external auditing. It should be made up of directors who are independent of management. The authority and independence of the audit committee strengthen the position of the internal audit activity.
 - Answer (D) is incorrect. It is a normal and appropriate reporting relationship.

[625] Gleim #: 8.4.60 -- Source: CIA 1189 II-8

The audit committee strengthens the control processes of an organization by

- A. Assigning the internal audit activity responsibility for interaction with governmental agencies.
- B. Using the chief audit executive as a major resource in selecting the external auditors.
- C. Following up on recommendations made by the chief audit executive.
- D. Approving internal audit activity policies.

- Answer (A) is incorrect. A direct strengthening of controls does not result from this activity.
- Answer (B) is incorrect. A direct strengthening of controls does not result from this activity.
- Answer (C) is **correct**. Internal auditors should have the support of senior management and the board (board of directors, audit committee, board of trustees of a nonprofit organization, etc.) to gain the cooperation of engagement clients and perform their work free from interference. At a minimum, the CAE needs to report to someone with sufficient authority to promote independence and ensure broad audit coverage, adequate consideration of engagement reports, and appropriate action on engagement recommendations (PA 1110-1). Moreover, among the audit committee's functions are to ensure that engagement results are given due consideration and to receive distributions of final engagement communications by the internal auditors (PA 2440-1). This enhancement of the position of internal auditing in turn strengthens control processes.
- Answer (D) is incorrect. A direct strengthening of controls does not result from this activity.

[626] Gleim #: 8.4.61 -- Source: CIA 1191 I-4

An audit committee of the board of directors of an organization is being established. Which of the following is normally a responsibility of the committee with regard to the internal audit activity?

- A. Approval of the selection and dismissal of the chief audit executive.
- B. Development of the annual engagement work schedule.
- C. Approval of engagement work programs.
- D. Determination of engagement observations appropriate for specific engagement communications.

- Answer (A) is **correct**. Independence is enhanced when the board concurs in the appointment or removal of the CAE (PA 1110-1). The audit committee is a subcommittee of outside directors who are independent of management. The term "board" includes the audit committee.
- Answer (B) is incorrect. Development of the annual engagement work schedule is an operational function of the CAE and the IAA staff. A summary of the (1) audit plan, (2) work schedule, (3) staffing plan, and (4) financial budget is submitted annually to senior management and the board (PA 2020-1).
- Answer (C) is incorrect. Approval of engagement work programs is a technical responsibility of the IAA staff.
- Answer (D) is incorrect. The determination of engagement observations appropriate for specific engagement communications is a field operation of the IAA staff.

[627] Gleim #: 8.4.62 -- Source: Publisher

The review of findings of regulatory agencies is consistent with which audit committee responsibility?

- A. Reporting responsibilities.
- B. Compliance.
- C. Internal audit.
- D. External audit.

- Answer (A) is incorrect. Reporting responsibilities involve reporting to parties such as the board of directors, management, and the external auditor.
- Answer (B) is **correct**. The audit committee's responsibility with regard to compliance involves reviewing the findings of any examinations by regulatory agencies and any auditor observations. Compliance relates to activities that must be addressed by laws and regulations.
- Answer (C) is incorrect. The internal audit involves the structure of the organization and the audit committee itself.
- Answer (D) is incorrect. The external audit function is concerned with the retention of the external auditor and communication with the external auditor.

[628] Gleim #: 8.4.63 -- Source: Publisher

What part of an audit committee charter states that the audit committee is required to assist the board of directors in fulfilling its oversight responsibilities?

- A. The audit committee's purpose.
- B. The audit committee's authority.
- C. The audit committee's composition.
- D. The audit committee's responsibilities.

- Answer (A) is **correct**. The IIA's sample charter for the audit committee includes the following purpose statement:

To assist the board of directors in fulfilling its oversight responsibilities for (1) the integrity of the company's financial statements, (2) the company's compliance with legal and regulatory requirements, (3) the independent auditor's qualifications and independence, and (4) the performance of the company's internal audit function and independent auditors. The audit committee will also prepare the report that regulations require be included in the company's annual proxy statement.

The statement of purpose is typically the first paragraph of the audit committee charter because it outlines the audit committee's intended function.

- Answer (B) is incorrect. The audit committee's authority is the scope of its power to oversee the external audit function, seek information, conduct investigations, etc.
- Answer (C) is incorrect. The audit committee's composition addresses how many members it has and who will be appointed.
- Answer (D) is incorrect. Audit committee responsibilities involve functions related to the financial statements and internal control.

[629] Gleim #: 8.4.64 -- Source: CIA 04 Model Exam I-50

During a review of contracts, a chief audit executive (CAE) suspects that a supplier was given an unfair advantage in bidding on a contract. After learning that the chief executive officer (CEO) of the company is a member of the supplier's board of directors, how should the CAE proceed?

- A. Submit a draft report to senior management, excluding the CEO.
- B. Contact the organization's external auditors for assistance.
- C. Obtain supporting documentation and present the finding to the chair of the audit committee.
- D. Immediately notify the board of directors.

- Answer (A) is incorrect. The CEO is a member of senior management. Other members of senior management may receive a final report that has been reviewed and approved by legal counsel.
- Answer (B) is incorrect. External auditors should not be contacted. External auditors may be given a final report that has been reviewed and approved by legal counsel.
- Answer (C) is **correct**. The CAE must communicate and interact directly with the board (e.g., audit committee) (Standard 1111). Moreover, internal auditors must consider the probability of fraud when developing engagement objectives (Standard 2010.A2). Also, the CAE must communicate final results to parties who can ensure that they receive due consideration (Standard 2440.A1). The results must be supported by documented, relevant information (Standard 2330).
- Answer (D) is incorrect. The CAE should obtain supporting documentation before informing the audit committee or the board.

[630] Gleim #: 8.4.65 -- Source: CIA 1185 I-7

Which of the following control and monitoring functions should have their planned activities considered in developing engagement work schedules?

- A. Legal and purchasing.
- B. Security and maintenance.
- C. Production scheduling and environmental.
- D. Compliance and business continuity.

- Answer (A) is incorrect. Purchasing is not a control function.
- Answer (B) is incorrect. Maintenance is not a control function.
- Answer (C) is incorrect. Production scheduling is not a control function.
- Answer (D) is **correct**. Consideration of the work of internal auditors is essential for the audit committee to gain a complete understanding of an organization's operations. A primary component of the CAE's role with the committee is to ensure this objective is accomplished and the committee views the CAE as their trusted advisor. The CAE can perform a number of activities to accomplish this role. One such activity is to provide information on the coordination with and oversight of other control and monitoring functions (e.g., risk management, compliance, security, business continuity, legal, ethics, environmental, external audit). Moreover, the internal audit activity should keep an open line of communication with other control functions within an organization to reduce duplicate effort.

[631] Gleim #: 8.4.66 -- Source: CIA 1196 III-10

An audit committee should be designed to enhance the independence of both the internal and external auditing functions and to insulate these functions from undue management pressures. Using this criterion, audit committees should be composed of

- A. A rotating subcommittee of the board of directors or its equivalent.
- B. Only members from the relevant outside regulatory agencies.
- C. Members from all important constituencies, specifically including representatives from banking, labor, regulatory agencies, shareholders, and officers.
- D. Only external members of the board of directors or its equivalent.

- Answer (A) is incorrect. The audit committee is not required to be rotated periodically.
- Answer (B) is incorrect. Regulators ordinarily do not serve as directors.
- Answer (C) is incorrect. Officers are not outside directors.
- Answer (D) is **correct**. The audit committee of the board of directors should be composed entirely of outside directors. Outside directors are members of the board who are independent of internal management. Because the primary purpose of the audit committee is to promote the independence of the internal and external auditors from management, an audit committee composed of inside directors would be ineffective.

[632] Gleim #: 8.5.67 -- Source: CIA 1192 II-8

The capabilities of individual staff members are key features in the effectiveness of an internal audit activity. What is the primary consideration used when staffing an internal audit activity?

- A. Background checks.
- B. Job descriptions.
- C. Continuing education.
- D. Organizational orientation.

- Answer (A) is incorrect. Background checks help assure that statements made by prospective employees are accurate. However, they are not the primary requisite.
- Answer (B) is **correct**. The skills, capabilities, and technical knowledge of internal audit staff are to be appropriate for planned activities (PA 2030-1). Properly formulated job descriptions provide a basis for identifying job qualifications (including training and experience). Hence, they facilitate recruiting human resources with the necessary attributes.
- Answer (C) is incorrect. Continuing education occurs after the proper people are hired.
- Answer (D) is incorrect. A thorough orientation helps the new employee become productive more rapidly. However, it will not compensate for hiring the wrong person.

[633] Gleim #: 8.5.68 -- Source: CIA 591 I-9

Having been given the task of developing a performance appraisal system for evaluating the performance of a large internal audit staff, you should

- A. Provide for an explanation of the appraisal criteria and methods at the time the appraisal results are discussed with the internal auditor.
- B. Provide general information concerning the frequency of evaluations and the way evaluations will be performed without specifying their timing and uses.
- C. Provide primarily for the evaluation of criteria such as diligence, initiative, and tact.
- D. Provide primarily for the evaluation of specific accomplishments directly related to the performance of the engagement work program.

- Answer (A) is incorrect. The personnel whose performance is being appraised should be notified of the criteria and methods at the time they begin employment.
- Answer (B) is incorrect. The timing and uses of evaluations are important matters that should be clearly communicated.
- Answer (C) is incorrect. The criteria listed are traits, not accomplishments. Although traits are important, an evaluation system for internal audit performance should primarily focus on specific accomplishments.
- Answer (D) is **correct**. An effective evaluation system should be based on relevant, reliable, and objective measures closely related to actual job performance on specific projects (e.g., execution of the engagement work program).

[634] Gleim #: 8.5.69 -- Source: CIA 592 II-6

Which of the following aspects of evaluating the performance of staff members is considered to be a violation of good human resources management techniques?

- A. The evaluator should justify very high and very low evaluations because of their impact on the employee.
- B. Evaluations should be made annually or more frequently to provide the employee feedback about competence.
- C. The first evaluation should be made shortly after commencing work to serve as an early guide to the new employee.
- D. Because there are so many employees whose performance is completely satisfactory, it is preferable to use standard evaluation comments.

- Answer (A) is incorrect. A very high or very low evaluation has behavioral and other implications that require special consideration.
- Answer (B) is incorrect. Evaluations should be made at least annually.
- Answer (C) is incorrect. Prompt feedback serves to provide the employee with early advice as to the acceptability of performed work.
- Answer (D) is **correct**. The evaluation provides a basis for counseling subordinates on their strong and weak attributes, opportunities for advancement, and programs for self-improvement. It also is a basis for promotions, transfers, and compensation adjustments. Thus, individualized attention is clearly desirable.

[635] Gleim #: 8.5.70 -- Source: CIA 591 II-9

Which of the following statements **most** accurately reflects the chief audit executive's responsibilities for internal audit resources?

- A. The CAE is responsible for ensuring that audit coverage is based on the periodic skills assessment.
 - B. The CAE is responsible for evaluating the detailed summary of audit resources presented by management to the board.
 - C. The CAE is not responsible for such human resource functions as evaluation and development.
 - D. The CAE is responsible for communicating resource needs to the board but has no explicit responsibility for administering the organization's compensation program.
-
- Answer (A) is incorrect. The CAE has responsibility for ensuring that the skills assessment is driven by the needs of the audit coverage, not by the capabilities already present in the IAA.
 - Answer (B) is incorrect. The CAE has responsibility for presenting a detailed summary of the status and adequacy of internal audit resources to the board.
 - Answer (C) is incorrect. The CAE has responsibility for considering human resource disciplines, such as succession planning and staff evaluation and development programs.
 - Answer (D) is **correct**. The CAE must ensure the sufficiency, appropriateness, and effective deployment of internal audit resources (Standard 2030). This includes effective communication of resource needs and status to senior management and the board (PA 2030-1). Responsibility for administering the organization's compensation program normally resides in the human resources (personnel) area.

[636] Gleim #: 8.5.71 -- Source: CIA 1192 I-9

In most organizations, the rapidly expanding scope of internal auditing responsibilities requires continual training. What is the main purpose of such a training program?

- A. To comply with continuing education requirements of professional organizations.
 - B. To use slack periods in engagement scheduling.
 - C. To help individuals to achieve personal career goals.
 - D. To achieve both individual and organizational goals.
-
- Answer (A) is incorrect. The CAE should establish a program for selecting and developing human resources, but compliance with continuing education requirements of professional organizations is not the primary purpose.
 - Answer (B) is incorrect. Training can be conducted during slack periods, but this is not the primary objective.
 - Answer (C) is incorrect. Both personal and IAA goals should be achieved.
 - Answer (D) is **correct**. By being informed and up to date, internal auditors are better prepared to reach their personal goals. In addition, IAA responsibilities are more readily discharged by auditors having the required knowledge, skills, and other competencies.

[637] Gleim #: 8.5.72 -- Source: CIA 591 I-10

The key factor in the success of an internal audit activity's human resources program is

- A. An informal program for developing and counseling staff.
 - B. A compensation plan based on years of experience.
 - C. A well-developed set of selection criteria.
 - D. A program for recognizing the special interests of individual staff members.
-
- Answer (A) is incorrect. The human resources program should be formal.
 - Answer (B) is incorrect. The quality of the human resources is more significant than compensation.
 - Answer (C) is **correct**. Internal auditors should be qualified and competent. Because the selection of a superior staff is dependent on the ability to evaluate applicants, selection criteria must be well-developed. Appropriate questions and forms should be prepared in advance to evaluate, among other things, the applicant's technical qualifications, educational background, personal appearance, ability to communicate, maturity, persuasiveness, self-confidence, intelligence, motivation, and potential to contribute to the organization.
 - Answer (D) is incorrect. The quality of the human resources is more significant than special interests of the staff.

[638] Gleim #: 8.5.73 -- Source: CIA 591 II-13

What is the **most** appropriate preventive measure for staff communication problems with engagement clients?

- A. Provide staff with sufficient training to enhance communication skills.
 - B. Avoid unnecessary communication with engagement clients.
 - C. Discuss communication problems with staff auditors.
 - D. Meet with engagement clients to resolve communication problems.
-
- Answer (A) is **correct**. Internal auditors must be skilled in oral and written communications so that they can clearly and effectively convey such matters as engagement objectives, evaluations, conclusions, and recommendations (PA 1210-1).
 - Answer (B) is incorrect. The issue is the quality rather than the quantity of communication.
 - Answer (C) is incorrect. Communication problems should be resolved through effective training.
 - Answer (D) is incorrect. Meeting with engagement clients will not resolve problems caused by poor staff communication skills.

[639] Gleim #: 8.5.74 -- Source: CIA 04 Model Exam I-18

In selecting an instructional strategy for developing internal audit staff, a chief audit executive begins by reviewing

- A. Organizational objectives.
 - B. Learning content.
 - C. Learners' readiness.
 - D. Budget constraints.
-
- Answer (A) is **correct**. The chief audit executive must ensure that internal audit resources are appropriate, sufficient, and effectively deployed to achieve the approved plan (Standard 2030). The approved plan must be consistent with the goals of the organization.
 - Answer (B) is incorrect. The learning content cannot be prepared without first reviewing the organizational objectives.
 - Answer (C) is incorrect. Learners' readiness should be considered later in the program development process.
 - Answer (D) is incorrect. Budget constraints should be considered later in the process.

[640] Gleim #: 8.5.75 -- Source: CIA 04 Model Exam I-20

The **most** important reason for the chief audit executive to ensure that the internal audit department has adequate and sufficient resources is to

- A. Ensure that the function is adequately protected from outsourcing.
- B. Demonstrate sufficient capability to meet the audit plan requirements.
- C. Establish credibility with the audit committee and management.
- D. Fulfill the need for effective succession planning.

- Answer (A) is incorrect. The decision to outsource the internal audit function is not primarily based on existing resources.
- Answer (B) is **correct**. Standard 2030 requires that internal audit resources be appropriate, sufficient, and effectively deployed to achieve the approved plan of engagements.
- Answer (C) is incorrect. The amount of resources is not a significant factor in establishing credibility.
- Answer (D) is incorrect. Succession planning is not related to the amount of audit resources.

[641] Gleim #: 8.5.76 -- Source: CIA 04 Model Exam I-38

The internal audit activity has recently experienced the departure of two internal auditors who cannot be immediately replaced due to budget constraints. Which of the following is the **least** desirable option for efficiently completing future engagements, given this reduction in resources?

- A. Using self-assessment questionnaires to address audit objectives.
- B. Employing information technology in audit planning, sampling, and documentation.
- C. Eliminating consulting engagements from the engagement work schedule.
- D. Filling vacancies with personnel from operating departments that are not being audited.

- Answer (A) is incorrect. Using self-assessment questionnaires are an efficient means of addressing the objectives of certain internal audits.
- Answer (B) is incorrect. Use of technology is an appropriate means of achieving efficiencies in audit execution.
- Answer (C) is **correct**. The chief audit executive must ensure that internal audit resources are appropriate, sufficient, and effectively deployed to achieve the approved plan (Standard 2030). The audit schedule is reduced as a last resort once all other alternatives have been explored, including the request for additional resources.
- Answer (D) is incorrect. Using operating personnel with internal audit expertise and corporate experience is an appropriate way to enhance internal audit resources.

[642] Gleim #: 8.5.77 -- Source: CIA, adapted

When conducting a performance appraisal of an internal auditor who has been a below-average performer, an inappropriate procedure is to

- A. Notify the internal auditor of the upcoming appraisal several days in advance.
- B. Use objective, impartial language.
- C. Use generalizations.
- D. Document the appraisal.

- Answer (A) is incorrect. This is an appropriate procedure when conducting a performance appraisal.
- Answer (B) is incorrect. This is an appropriate procedure when conducting a performance appraisal.
- Answer (C) is **correct**. In a performance appraisal of a below-average performer, it is appropriate and advisable to notify the employee of the upcoming appraisal, use objective language, and document the appraisal. It is not appropriate to use generalizations when making a performance appraisal of a below-average performer. Rather, the evaluator must cite specific information and be prepared to support assertions with evidence.
- Answer (D) is incorrect. This is an appropriate procedure when conducting a performance appraisal.

[643] Gleim #: 8.5.78 -- Source: CIA 594 III-93

The engagement team leader is **least** likely to have a primary role in

- A. Allocating budgeted engagement hours among assigned staff.
- B. Updating the permanent files.
- C. Reviewing the working papers.
- D. Preparing the critique sheet for the engagement.

- Answer (A) is incorrect. Allocating budgeted engagement hours among assigned staff is a planning task.
- Answer (B) is **correct**. The engagement team leader (sometimes called a senior) is responsible for planning the engagement, coordinating the staff, and supervising their work. Updating the permanent files is a task most likely performed by the staff.
- Answer (C) is incorrect. Reviewing the working papers is a supervisory activity.
- Answer (D) is incorrect. Preparing the critique sheet for the engagement is also a supervisory activity performed by the engagement team leader.

[644] Gleim #: 8.5.79 -- Source: CIA 594 I-58

When determining the number and experience level of an internal audit staff to be assigned to an engagement, the chief audit executive should consider all of the following **except** the

- A. Complexity of the engagement.
- B. Available internal audit activity resources.
- C. Training needs of internal auditors.
- D. Lapsed time since the last engagement.

- Answer (A) is incorrect. The complexity of the engagement determines the experience and skills required of the assigned staff.
- Answer (B) is incorrect. Available resources are a factor in a staffing decision.
- Answer (C) is incorrect. The training needs of individual auditors are a factor in a staffing decision.
- Answer (D) is **correct**. Staffing plans and financial budgets, including the number of auditors and the knowledge, skills, and other competencies required to perform their work, should be determined from engagement work schedules, administrative activities, education and training requirements, and audit research and development efforts. However, lapsed time since the last engagement is a factor affecting engagement scheduling, not staffing.

[645] Gleim #: 8.5.80 -- Source: CIA 1193 III-9

By comparing job descriptions with the qualifications and duties of the individuals currently holding those jobs, a manager can

- A. Complete the human resource planning cycle.
- B. Determine whether the organization is appropriately staffed.
- C. Forecast future personnel needs.
- D. Determine which employees should be promoted.

- Answer (A) is incorrect. The human resource planning cycle refers to the entire process. Examining job descriptions is merely a part of the job analysis process.
- Answer (B) is **correct**. A job description summarizes the duties and qualifications required for a job. It is prepared based on a job analysis, which is a systematic procedure for observing work and determining what tasks should be accomplished to achieve organizational goals. By comparing the job description with the actual employees and their qualifications, a manager can determine whether the organization has placed appropriate individuals in jobs best suited to their abilities.
- Answer (C) is incorrect. A forecast of future needs requires knowledge of future plans and a projection of resource and staff requirements.
- Answer (D) is incorrect. To determine which employees should be promoted, a manager needs performance data.

[646] Gleim #: 8.5.81 -- Source: CIA 591 III-12

Which of the following items would **not** be an appropriate staffing issue?

- A. Selecting qualified and competent individuals.
- B. Providing a competitive selection of employee benefits.
- C. Providing continuing educational opportunities for each internal auditor.
- D. Appraising each internal auditor's performance at least annually.

- Answer (A) is incorrect. Staffing addresses the selection of qualified and competent individuals.
- Answer (B) is **correct**. A program for selecting and developing human resources should include provisions for developing written job descriptions for each level of the IAA's staff, selecting qualified and competent individuals, training and providing continuing educational opportunities for each internal auditor, appraising each internal auditor's performance at least annually, and providing counsel to internal auditors on their performance and professional development. Thus, a program for selecting and developing human resources does not address employee compensation.
- Answer (C) is incorrect. Staffing addresses the provision of continuing educational opportunities for internal auditors.
- Answer (D) is incorrect. Staffing addresses the annual appraisal of each internal auditor's performance.

[647] Gleim #: 8.5.82 -- Source: CIA 592 I-12

When assigning individual staff members to actual engagements, internal auditing managers are faced with a number of important considerations related to needs, abilities, and skills. Which of the following is the **least** appropriate criterion for assigning a staff internal auditor to a specific engagement?

- A. The staff internal auditor's desire for training in the area.
- B. The complexity of the engagement.
- C. The experience level of the internal auditor.
- D. Special skills possessed by the staff internal auditor.

- Answer (A) is **correct**. The internal auditing activity's planning process involves establishing staffing plans and financial budgets. These plans and budgets, including the number of internal auditors and the knowledge, skills, and other competencies required to perform their work, should be determined from engagement work schedules, administrative activities, education and training requirements, and internal auditing research and development efforts. A staff internal auditor's desire for specific training is necessarily secondary to carrying out the responsibilities of the internal audit activity with regard to proper staffing.
- Answer (B) is incorrect. The complexity of the engagement determines the experience and skills required of the assigned staff.
- Answer (C) is incorrect. Experience is a factor in a staffing decision.
- Answer (D) is incorrect. Special expertise is a factor in a staffing decision.

[648] Gleim #: 8.5.83 -- Source: CIA 1192 II-9

Staff members should be afforded an appropriate means through which they can discuss problems and receive updates regarding internal audit activity's policies. The **most** appropriate forum for this objective is

- A. The internal audit activity's informal communication lines.
- B. Internal memoranda.
- C. Staff meetings.
- D. Employee evaluation conferences.

- Answer (A) is incorrect. Informal communication is not the most appropriate forum.
- Answer (B) is incorrect. Memoranda are usually impersonal and do not afford a good opportunity for maximum exchange of ideas.
- Answer (C) is **correct**. Formal staff meetings provide the best opportunity for ensuring that issues are addressed timely and efficiently. In *The Practice of Modern Internal Auditing*, Sawyer states that one reason for staff meetings is to explain “routine administrative matters, to teach new techniques, and even to let off steam.” For example, staff members should be able to raise questions about ineffective procedures, promotions, salaries, or other problems.
- Answer (D) is incorrect. The employee evaluation conference is not a timely place to discuss problems and receive updates.

[649] Gleim #: 8.5.84 -- Source: CIA 585 II-7

An important part of an internal audit activity’s personnel development plan should be on-the-job training. Which of the following activities is the **most** important in broadening a staff internal auditor’s knowledge?

- A. Rotating staff internal auditors through a variety of assignments.
 - B. Developing expertise in a few particular areas by continuously assigning the same internal auditor to those areas.
 - C. Allowing staff internal auditors to participate in choosing the projects assigned.
 - D. Assigning staff internal auditors to particular supervisor-trainers for extended periods.
- Answer (A) is **correct**. Internal auditors should possess the knowledge, skills, and other competencies needed to perform their individual responsibilities (Standard 1210). Moreover, the CAE must establish a program for selecting and developing the human resources of the IAA. Such a program should provide for, among other things, training and providing continuing educational opportunities for each internal auditor. The rotation of staff auditors not only provides necessary knowledge, experience, and training, but it also enhances internal auditor objectivity.
 - Answer (B) is incorrect. Developing expertise in a few particular areas by continuously assigning the same internal auditor to those areas defeats the purposes of professional development.
 - Answer (C) is incorrect. Allowing staff internal auditors to participate in choosing the projects assigned defeats the purposes of professional development.
 - Answer (D) is incorrect. Assigning staff internal auditors to particular supervisor-trainers for extended periods defeats the purposes of professional development.

[650] Gleim #: 8.5.85 -- Source: CIA 587 II-10

The chief audit executive can **best** ensure that staff internal auditors are prepared to meet their existing responsibilities by

- A. Enforcing established recruiting and selection criteria.
 - B. Counseling them on their performance and providing appropriate training opportunities.
 - C. Having experienced internal auditors supervise their work closely.
 - D. Conducting formal evaluations of their performance on each assignment.
- Answer (A) is incorrect. Enforcing established recruiting and selection criteria applies only to new hires.
 - Answer (B) is **correct**. The CAE should establish a program for selecting and developing the human resources of the IAA. This program includes, among other things, providing training, continuing educational opportunities, and counsel on performance and professional development.
 - Answer (C) is incorrect. Supervision does not necessarily prepare an internal auditor to perform his/her responsibilities.
 - Answer (D) is incorrect. Evaluation does not necessarily prepare an internal auditor to perform his/her responsibilities.

[651] Gleim #: 8.5.86 -- Source: CIA 587 II-8

Staff members of the internal audit activity should be assigned to engagements and training projects that will enable them to develop their potential. Which of the following should be the **most** important consideration in making assignments that will allow staff members to develop properly?

- A. The skills and experience levels of individual auditors.
- B. Specific training requirements imposed by the *Standards*.
- C. The importance of giving all staff members extensive supervisory experience.
- D. Special interests of individual staff members.

- Answer (A) is **correct**. The program for selecting and developing the human resources of the IAA should provide for written job descriptions for each level of the staff, selection of qualified and competent individuals, training and continuing educational opportunities, performance appraisals at least annually, and counsel on performance and professional development. Obviously, work assignments inconsistent with an internal auditor's abilities will defeat the purposes of human resources development.
- Answer (B) is incorrect. The *Standards* state no specific requirements.
- Answer (C) is incorrect. All staff members may not be ready for supervisory responsibility.
- Answer (D) is incorrect. Although interests are not irrelevant, they are secondary to skills and experience.

[652] Gleim #: 8.5.87 -- Source: CIA 587 II-12

The chief audit executive meets with the members of the internal audit activity at scheduled staff meetings. Which of the following is the **most** appropriate function of such a staff meeting?

- A. Developing the engagement work schedule.
- B. Revising travel, promotion, and compensation policies.
- C. Explaining administrative policies and obtaining suggestions from the staff.
- D. Developing long-range training programs that will meet the staff's needs.

- Answer (A) is incorrect. Management of the IAA should develop engagement work schedules.
- Answer (B) is incorrect. Management of the IAA should revise travel, promotion, and compensation policies.
- Answer (C) is **correct**. In *The Practice of Modern Internal Auditing*, Sawyer states that one reason for staff meetings is to explain "routine administrative matters, to teach new techniques, and even to let off steam." For example, staff members should be able to raise questions about ineffective procedures, promotions, salaries, or other problems.
- Answer (D) is incorrect. Developing long-range training programs that will meet the staff's needs should be done by management of the IAA.

[653] Gleim #: 8.5.88 -- Source: CIA 587 II-13

Any program for selecting and developing the human resources of the internal audit activity will fail unless compensation is adequate at all levels of responsibility. Policies concerning compensation should

- A. Link internal auditors' compensation to the pay for comparable positions in the controller's department.
- B. Provide for cost-of-living, longevity, and merit increases annually.
- C. Be informal and as flexible as possible to allow the chief audit executive to respond to unusual situations.
- D. Be clearly stated and based on evaluations of position requirements and individual performance.

- Answer (A) is incorrect. No necessary correlation exists between the work of internal auditors and of the controller's staff.
- Answer (B) is incorrect. Increases need not necessarily be annual.
- Answer (C) is incorrect. Formal, well-defined policies are preferable to avoid misunderstandings.
- Answer (D) is **correct**. Internal auditing job descriptions are important because, among other things, they may be used to justify adequate salaries. As part of an overall personnel management and development program, they should be used together with periodic, formal performance appraisals as a basis for compensation adjustments and promotions.

[654] Gleim #: 8.5.89 -- Source: CIA 588 I-12

An internal audit activity uses the pool concept to assign all staff and most senior internal auditors to engagements. Which of the following would **most** likely ensure effective staff use?

- A. Annual activity reports for the internal audit activity.
- B. Monthly engagement work schedules.
- C. Permanent files of the activities to be reviewed.
- D. Results of the last external assessment of the internal audit activity.

- Answer (A) is incorrect. Activity reports should be submitted periodically to senior management and the board, comparison of actual performance with the IAA's goals and work schedules and expenditures with financial budgets. However, they do not provide for detailed control of future resource usage.
- Answer (B) is **correct**. Staffing plans and financial budgets, including the number of internal auditors and the knowledge, skills, and other competencies required to perform their work, should be determined from engagement work schedules, administrative activities, education and training requirements, and engagement research and development efforts. Work schedules should include the number of hours each internal auditor will work on each engagement.
- Answer (C) is incorrect. Maintenance of the permanent files is not as specifically directed toward efficient resource use as detailed work schedules.
- Answer (D) is incorrect. External assessments provide infrequent feedback on the overall performance of the IAA.

[655] Gleim #: 8.5.90 -- Source: CIA 1189 II-5

Which of the following is a necessary part of a program for selecting and developing internal audit activity staff?

- A. Specifying that an accounting degree is necessary for employment.
- B. Developing a written job description for each level of the staff.
- C. Counseling each member of the staff on career opportunities.
- D. Requiring a written examination prior to employment.

- Answer (A) is incorrect. An IAA may need nonaccounting specialists.
- Answer (B) is **correct**. The program for selecting and developing human resources should include (1) developing written job descriptions for each level of the IAA's staff, (2) selection of qualified and competent individuals, (3) providing training and continuing educational opportunities for each internal auditor, (4) appraising performance at least annually, and (5) counseling internal auditors on their performance and professional development.
- Answer (C) is incorrect. Counseling must be provided regarding performance and professional development, not career opportunities.
- Answer (D) is incorrect. A written examination is often unnecessary.

[656] Gleim #: 8.5.91 -- Source: CIA 590 I-10

The advantage attributed to the establishment of internal auditing field offices for work at foreign locations is best described as

- A. The possibility of increased objectivity of personnel assigned to a field office.
- B. A reduction of travel time and related travel expense.
- C. The increased ease of maintaining uniform organization-wide standards.
- D. More contact with senior personnel leading to an increase in control.

- Answer (A) is incorrect. Field office personnel are more likely to lose objectivity through increased contact with engagement client personnel in the area served.
- Answer (B) is **correct**. The advantages of field offices compared with sending internal auditors from the home office include (1) reduced travel time and expense, (2) improved service in the operating locations served by the field offices, (3) better morale of internal auditors as a result of increased authority, and (4) the possibility of employing persons who do not wish to travel.
- Answer (C) is incorrect. Maintenance of organization-wide standards is more difficult after decentralization.
- Answer (D) is incorrect. Contact with and control over field office personnel will be reduced.

[657] Gleim #: 8.5.92 -- Source: CIA 590 II-8

The requirements for staffing level, education and training, and research should be included in

- A. The internal audit activity's charter.
- B. The internal audit activity's policies and procedures manual.
- C. The annual plan for the internal audit activity.
- D. Job descriptions for the various staff positions.

- Answer (A) is incorrect. The charter is an overall statement of purpose, authority, and responsibility.
- Answer (B) is incorrect. This manual describes engagement methods, not personnel and research matters.
- Answer (C) is **correct**. The IAA's planning process involves establishing staffing plans and financial budgets. These plans and budgets include the number of internal auditors and the knowledge, skills, and other competencies required to perform their work. They should be determined from (1) engagement work schedules, (2) administrative activities, (3) education and training requirements, and (4) internal auditing research and development efforts.
- Answer (D) is incorrect. Job descriptions do not reveal internal auditing research requirements.

[658] Gleim #: 8.5.93 -- Source: CIA 1190 I-3

An internal audit activity's staff development program will be deficient if individual employees are

- A. Given a large variety of tasks to perform.
- B. Expected to study current events on an independent basis.
- C. Assigned to a different supervisor on each job.
- D. Formally evaluated once every 2 years.

- Answer (A) is incorrect. A variety of tasks enhance an internal auditor's experience.
- Answer (B) is incorrect. An internal auditor should be aware of current events relevant to his/her profession.
- Answer (C) is incorrect. Rotation of supervisors broadens on-the-job training.
- Answer (D) is **correct**. The CAE should establish a program for selecting and developing the human resources of the IAA. The program should provide for (1) developing written job descriptions for each level of the internal auditing staff, (2) selecting qualified and competent individuals, (3) training and providing continuing educational opportunities for each internal auditor, (4) appraising each internal auditor's performance at least annually, and (5) providing counsel to internal auditors on their performance and professional development.

[659] Gleim #: 8.5.94 -- Source: CIA 1194 III-19

Although all the current members of an internal audit activity have good records of performance, the manager is not sure if any of the members are ready to assume a management role. Which of the following is an advantage of bringing in an outsider rather than promoting from within?

- A. Management training costs are reduced when a qualified outsider is hired.
- B. The manager can be sure that the new position will be filled by a competent employee.
- C. Bringing in an outsider is a less expensive alternative than promoting from within.
- D. The "modeling" effect is strengthened by bringing in a new role model.

- Answer (A) is **correct**. Hiring an experienced manager reduces management training costs because the person has already been trained.
- Answer (B) is incorrect. The manager is relying on outside information to evaluate the candidate and cannot be certain the employee is competent until (s)he begins work.
- Answer (C) is incorrect. Hiring an outsider is usually more expensive than promoting from within.
- Answer (D) is incorrect. The "modeling" effect occurs when employees see that deserving co-workers are promoted to better-paying, higher-status jobs.

[660] Gleim #: 8.5.95 -- Source: CIA 588 II-15

The effectiveness of an internal auditing engagement is related to the results and the action taken on those results. Which of the following activities contributes to engagement effectiveness?

- A. Conducting an exit interview with engagement clients.
- B. Adhering to a time budget.
- C. Preparing weekly time reports.
- D. Having budget revisions approved by the project supervisor.

- Answer (A) is **correct**. An exit interview (post-engagement meeting) is an opportunity for discussion of engagement results, i.e., observations, conclusions, and recommendations. The effectiveness of an engagement is enhanced by the exit interview because it provides the engagement client an opportunity to clarify specific items and to express views of the observations, conclusions, and recommendations.
- Answer (B) is incorrect. Adhering to a time budget contributes to efficiency, not effectiveness.
- Answer (C) is incorrect. Preparing weekly time reports contributes to efficiency, not effectiveness.
- Answer (D) is incorrect. Having budget revisions approved by the project supervisor contributes to efficiency, not effectiveness.

[661] Gleim #: 8.5.96 -- Source: Publisher 2009

After implementing a new organization control, many managers consider multiple teaching techniques for their subordinates. Which of the following provides the greatest chance of successful knowledge retention for employees?

- A. On-the-job training.
- B. Classroom learning.
- C. External seminars.
- D. Self-study.

- Answer (A) is **correct**. On-the-job training provides employees with first-hand experience with the new control. This will establish a thorough understanding of the control by means of an actual application, which will ultimately help overall retention.
- Answer (B) is incorrect. Although classroom learning is less costly, the first-hand experience provided by on-the-job training will lead to greater knowledge retention.
- Answer (C) is incorrect. External seminars will teach a broad set of rules or guidelines and cannot target the specific control.
- Answer (D) is incorrect. The set of rules from a book or manual will not always appear exactly as they would in a real-life situation. This is a disadvantage of training outside of the work environment, which will present many different situations to help learn the control better and retain its use.

[662] Gleim #: 8.5.97 -- Source: Publisher 2009

Numerous environmental laws and regulations affecting JAL Corp. have recently changed. The management of JAL has asked the internal audit activity to perform an environmental audit to be completed as soon as possible. The IAA currently is performing an operational audit. As a result, the chief audit executive (CAE) must make difficult decisions about resource allocation. Which of the following is the **least** significant issue in determining whether to reallocate audit resources?

- A. The potential fraud discovered during the operational audit.
- B. Potential cost to JAL for noncompliance with the new environmental laws and regulations.
- C. The knowledge, skills, and competencies of the internal audit staff.
- D. The results from the prior financial audits.

- Answer (A) is incorrect. The potential fraud or other illegal actions discovered during the operational audit are relevant. Fraud always must be evaluated for its effect on achievement of organizational objectives.
- Answer (B) is incorrect. Potential consequences, such as fines, penalties, and legal action against JAL, may be material.
- Answer (C) is incorrect. The knowledge, skills, and competencies of the internal audit staff are crucial. Proficiency is an ethical obligation of internal auditors.
- Answer (D) is **correct**. When determining resource allocation under time constraints, the auditor must consider all relevant factors. Relevant factors include (1) information about both the ongoing and new engagement; (2) the consequences of not completing either engagement in a timely manner; and (3) the knowledge, skills, and competencies of the internal audit staff. Information about other unrelated engagements, such as prior financial audits, is irrelevant.

[663] Gleim #: 8.6.98 -- Source: CIA 591 I-12

Which of the following is **most** essential for guiding the internal audit staff?

- A. Quality program assessments.
- B. Position descriptions.
- C. Performance appraisals.
- D. Policies and procedures.

- Answer (A) is incorrect. Quality program assessments do not provide specific daily guidance to the staff with respect to performance standards.
- Answer (B) is incorrect. Position descriptions do not provide specific daily guidance to the staff with respect to performance standards.
- Answer (C) is incorrect. Performance appraisals do not provide specific daily guidance to the staff with respect to performance standards.
- Answer (D) is **correct**. The chief audit executive must establish policies and procedures to guide the IAA (Standard 2040). The form and content of written policies and procedures are dependent upon the size and structure of the IAA and the complexity of its work (Interpretation). Formal administrative and technical manuals may not be needed by all IAAs. A small IAA may be managed informally. Its staff may be directed and controlled through daily, close supervision and memoranda. In a large IAA, more formal and comprehensive policies and procedures are essential to guide the staff in the execution of the internal audit plan (PA 2040-1). Quality program assessments, position descriptions, and performance appraisals do not provide specific daily guidance to the staff with respect to performance standards.

[664] Gleim #: 8.6.99 -- Source: CIA 596 III-2

In most cases, an internal audit activity should document policies and procedures to ensure the consistency and quality of its work. The exception to this principle is directly related to

- A. Departmentation.
- B. Division of labor.
- C. Size of the internal audit activity.
- D. Authority.

- Answer (A) is incorrect. Departmentation can improve communications among team members, but sufficient direct supervision may be lacking if spans of control are large.
- Answer (B) is incorrect. Division of labor produces highly specialized individuals, but formalized guidance is necessary for newer employees if the IAA is large.
- Answer (C) is **correct**. Formal administrative and technical manuals may not be needed by all internal audit entities. A small IAA may be managed informally. Its staff may be directed and controlled through daily, close supervision and written memoranda. In a large IAA, more formal and comprehensive policies and procedures are essential to guide the staff in the execution of the internal audit plan (PA 2040-1).
- Answer (D) is incorrect. Regardless of the degree of authority wielded by the chief audit executive, formal policies are needed in a large IAA.

[665] Gleim #: 8.6.100 -- Source: CIA 1192 I-8

Policies and procedures must be established to guide the internal audit activity. Which of the following statements is false with respect to this requirement?

- A. The form and content of written policies and procedures depend on the size of the internal audit activity.
 - B. All internal audit activities must have a detailed policies and procedures manual.
 - C. Formal administrative and technical manuals may not be needed by all internal audit activities.
 - D. A small internal audit activity may be managed informally through close supervision and memoranda.
-
- Answer (A) is incorrect. The form and content of policies and procedures depend on the size of the IAA.
 - Answer (B) is **correct**. The form and content of policies and procedures depend on the size and structure of the IAA and the complexity of its work (Interpretation of Standard 2040). A small IAA may be managed informally (PA 2040-1).
 - Answer (C) is incorrect. Formal administrative and technical manuals may not be needed by all IAAs.
 - Answer (D) is incorrect. A small IAA may be managed informally through close supervision and memos.

[666] Gleim #: 8.6.101 -- Source: CIA 1191 I-8

Which of the items below **most** likely reflects differences between the policies of a relatively large and a relatively small internal audit activity? The policies for the large activity should

- A. Define the scope of internal auditing.
 - B. Contain the authority to carry out engagements.
 - C. Be specific as to activities to be carried out.
 - D. Be in considerable detail.
-
- Answer (A) is incorrect. The scope of internal auditing are covered in the charter.
 - Answer (B) is incorrect. The authority to carry out engagements is covered in the charter.
 - Answer (C) is incorrect. Whether the IAA is large or small, it must have policies that specifically state its functions.
 - Answer (D) is **correct**. The chief audit executive must establish policies and procedures to guide the IAA (Standard 2040). The form and content of written policies and procedures are dependent upon the size and structure of the IAA and the complexity of its work (Interpretation). Formal administrative and technical manuals may not be needed by all IAAs. A small IAA may be managed informally. Its staff may be directed and controlled through daily, close supervision and memoranda. In a large IAA, more formal and comprehensive policies and procedures are essential to guide the staff in the execution of the internal audit plan (PA 2040-1). Quality program assessments, position descriptions, and performance appraisals do not provide specific daily guidance to the staff with respect to performance standards.

[667] Gleim #: 8.6.102 -- Source: CIA 591 I-15

Policies and procedures relative to managing the internal audit activity

- A. Ensure compliance with its performance standards.
- B. Give consideration to its structure and the complexity of the work performed.
- C. Result in the execution of the internal audit plan.
- D. Prescribe the format and distribution of engagement communications and the classification of engagement observations.

- Answer (A) is incorrect. Engagements must be properly supervised to ensure objectives are achieved, quality is assured, and staff is developed (Standard 2340). Compliance with performance standards is a quality issue, and ensuring quality requires more than establishing policies and procedures.
- Answer (B) is **correct**. The CAE must establish policies and procedures to guide the IAA (Standard 2040). The form and content of policies and procedures depend on the size and structure of the IAA and the complexity of its work (Interpretation).
- Answer (C) is incorrect. Whether policies and procedures are required depends on the size and structure of the IAA. Moreover, these measures alone do not result in the execution of the internal audit plan.
- Answer (D) is incorrect. Prescribing the format and distribution of engagement communications and the classification of engagement observations is a discretionary measure that depends on the size and structure of the IAA and the complexity of work performed.

[668] Gleim #: 8.6.103 -- Source: CIA 1185 II-2

The chief audit executive for a large decentralized organization has developed a manual containing comprehensive detailed written procedures as a guide for the decentralized engagement work groups, each of which has 20 to 30 internal auditors. The organization recently acquired a small entity that has an internal audit activity consisting of a supervisor and two staff personnel. Which of the following actions is the most practical in providing administrative guidance for this new internal audit activity?

- A. Select key procedures from the manual and use informal supervisory direction for other engagement management issues.
 - B. Use informal supervisory direction for engagement management issues.
 - C. Use the already developed manual.
 - D. Adopt the administrative procedures being followed by the internal auditors of the acquired entity.
- Answer (A) is **correct**. Orientation to acquaint the acquired entity's staff with the established environment should be through exposure to selected key procedures from the formal manual. The form and content of written policies and procedures should be appropriate to the size and structure of the IAA. Thus, a small IAA may be managed less formally, for example, through daily close supervision and written memoranda (PA 2040-1).
 - Answer (B) is incorrect. The use of informal supervisory direction alone for new staff is inadequate.
 - Answer (C) is incorrect. Complete reliance on the existing manual would require more formal management than is necessary for a small IAA.
 - Answer (D) is incorrect. Management of the new internal auditing entity should not be inconsistent with the rest of the organization.

[669] Gleim #: 8.6.104 -- Source: CIA 588 I-9

Written policies and procedures relative to managing the internal audit activity should

- A. Ensure compliance with its performance standards.
 - B. Give consideration to its structure and the complexity of the work performed.
 - C. Result in consistent job performance.
 - D. Prescribe the format and distribution of engagement communications and the classification of observations.
- Answer (A) is incorrect. Consistent performance depends on various factors, especially adequate training and supervision.
 - Answer (B) is **correct**. The form and content of written policies and procedures should be appropriate to the size and structure of the IAA and the complexity of its work. Thus, formal administrative and technical manuals may not be needed by every IAA. A small IAA may be managed informally (PA 2040-1).
 - Answer (C) is incorrect. Consistent performance depends on various factors, especially adequate training and supervision.
 - Answer (D) is incorrect. The format and distribution of engagement communications and the classification of observations may vary from engagement to engagement.

[670] Gleim #: 8.6.105 -- Source: CIA 1188 I-10

Which of the following, though **not** appropriate for use with a large internal audit activity, is an acceptable approach for managing a small internal audit activity?

- A. Preparing comprehensive policies and procedures.
- B. Writing detailed instructions and guidelines for each engagement area.
- C. Using only daily, close supervision and written memoranda.
- D. Developing technical manuals to guide performance.

- Answer (A) is incorrect. Preparing comprehensive policies and procedures is more appropriate for managing a large IAA.
- Answer (B) is incorrect. Writing detailed instructions and guidelines for each engagement area is more appropriate for managing a large IAA.
- Answer (C) is **correct**. The form and content of written policies and procedures should be appropriate to the size and structure of the IAA and the complexity of its work. A small IAA may be managed informally. Its staff may be directed and controlled through daily, close supervision and written memoranda (PA 2040-1).
- Answer (D) is incorrect. Developing technical manuals to guide performance is more appropriate for managing a large IAA.

[671] Gleim #: 8.6.106 -- Source: CIA 1190 I-4

Policies and procedures should be established to guide the internal audit activity. Which of the following statements is false with respect to this requirement?

- A. The form and content of written policies and procedures should be appropriate to the size of the internal audit activity.
- B. All internal auditing entities should have a detailed policies and procedures manual.
- C. Formal administrative and technical manuals may not be needed by all internal auditing entities.
- D. A small internal audit activity may be managed informally through close supervision and written memos.

- Answer (A) is incorrect. The form and content of written policies and procedures should be appropriate to the size of the IAA.
- Answer (B) is **correct**. The form and content of written policies and procedures should be appropriate to the size and structure of the IAA and the complexity of its work. A small IAA may be managed informally (PA 2040-1).
- Answer (C) is incorrect. Formal administrative and technical manuals may not be needed by all IAA's.
- Answer (D) is incorrect. A small IAA may be managed informally through close supervision and written memos.

[672] Gleim #: 9.1.1 -- Source: CIA 04 Model Exam I-32

Who has primary responsibility for providing information to the board on the professional and organizational benefits of coordinating internal audit activities with those of other providers of similar services?

- A. The external auditor.
- B. The chief audit executive.
- C. The chief executive officer.
- D. Each assurance and consulting function.

- Answer (A) is incorrect. The CAE is responsible for ensuring that the IAA's work maximizes the benefits achievable from coordination with other assurance and consulting activities. Comments on this function should always form part of any activity reports by the CAE, not the external auditor, to the board.
- Answer (B) is **correct**. The chief audit executive should share information and coordinate activities with other internal and external providers of assurance and consulting services to ensure proper coverage and minimize duplication of efforts (Standard 2050). The CAE also is responsible for regular evaluations of the coordination between internal and external auditors. Such evaluations may include assessments of the overall efficiency and effectiveness of internal and external audit activities, including aggregate audit cost. The CAE communicates the results of these evaluations to senior management and the board, including relevant comments about the performance of external auditors (PA 2050-1).
- Answer (C) is incorrect. The CEO normally is not responsible for planning, work, and coordination related to internal audit assurance and consulting engagements or coordination with other assurance and consulting activities.
- Answer (D) is incorrect. Not all other assurance and consulting activities are organizationally responsible to the board for their work. Moreover, they may not have the opportunity to report information directly to the board.

[673] Gleim #: 9.1.2 -- Source: CIA 1196 III-35

Which of the following is a false statement about the relationship between internal auditors and external auditors?

- A. Oversight of the work of external auditors is the responsibility of the chief audit executive.
 - B. Sufficient meetings are scheduled between internal and external auditors to assure timely and efficient completion of the work.
 - C. Internal and external auditors may exchange engagement communications and management letters.
 - D. Internal auditors may provide engagement work programs and working papers to external auditors.
- Answer (A) is **correct**. Oversight of the work of the independent outside auditor, including coordination with the IAA, is generally the responsibility of the board. Actual coordination is the responsibility of the CAE. Moreover, the CAE regularly evaluates that coordination and may assess internal and external audit activities (PA 2050-1).
 - Answer (B) is incorrect. Coordination between internal and external auditors involves, among other things, sufficient meetings to ensure coordination of work and efficient and timely completion of activities, and to determine whether observations and recommendations from work performed to date require that the scope of planned work be adjusted.
 - Answer (C) is incorrect. Coordination between internal and external auditors involves, among other things, access to internal audit communications and external auditors' management letters.
 - Answer (D) is incorrect. Coordination between internal and external auditors involves, among other things, access to each other's work programs and working papers.

[674] Gleim #: 9.1.3 -- Source: CIA 594 III-90

Which two factors have changed the relationship between internal auditors and external auditors so that internal auditors are partners rather than subordinates?

- A. The increasing liability of external auditors and the increasing professionalism of internal auditors.
- B. The increasing professionalism of internal auditors and the evolving economics of external auditing.
- C. The use of computerized accounting systems and the evolving economics of external auditing.
- D. The globalization of audit entities and the increased reliance on computerized accounting systems.

- Answer (A) is incorrect. Increasing liability makes external auditors less likely to determine that the work of the internal auditors has an effect on the external audit procedures.
- Answer (B) is **correct**. An external auditor may decide that the internal auditors' work will have an effect on audit procedures if (1) that work is relevant, (2) it is efficient to consider how the work may affect the audit, and (3) the external auditor determines that the internal auditors are sufficiently competent and objective. Hence, internal auditors may be viewed as partners in the audit because of their increasing professionalism. Moreover, the evolving economics of external auditing creates an imperative to control audit fees by eliminating duplication of effort and monitoring more closely the hours worked by external auditors.
- Answer (C) is incorrect. The use of computerized accounting systems has no significant effect on the relative roles of external and internal auditors.
- Answer (D) is incorrect. The globalization of audit entities has no significant effect on the relative roles of external and internal auditors.

[675] Gleim #: 9.1.4 -- Source: CIA 592 II-8

You are the chief audit executive of a parent organization that has foreign subsidiaries. Independent external audits performed for the parent are not conducted by the same firm that conducts the foreign subsidiary audits. Because the internal audit activity occasionally provides direct assistance to both external firms, you have copies of audit programs and selected working papers produced by each firm. The foreign subsidiary's auditors would like to rely on some of the work performed by the parent organization's audit firm, but they need to review the working papers first. They have asked you for copies of the working papers of the parent organization's audit firm. What is the **most** appropriate response to the foreign subsidiary's auditors?

- A. Provide copies of the working papers without notifying the parent's audit firm.
 - B. Notify the parent's auditors of the situation and request that they either provide the working papers or authorize you to do so.
 - C. Provide copies of the working papers and notify the parent's audit firm that you have done so.
 - D. Refuse to provide the working papers under any circumstances.
- Answer (A) is incorrect. The working papers are the property of the parent's external auditors, and their confidentiality should be respected.
 - Answer (B) is **correct**. Coordination of internal and external auditing efforts involves access to each other's work programs and working papers. However, such access carries with it the responsibility to respect the confidentiality of those programs and working papers (PA 2050-1). Hence, the internal auditors must seek the approval of the parent's external auditors before granting access to their working papers to the external auditors of the subsidiaries.
 - Answer (C) is incorrect. The external auditors must give prior authorization for the release of their working papers.
 - Answer (D) is incorrect. The CAE has the responsibility to ensure proper coordination with external auditors.

[676] Gleim #: 9.1.5 -- Source: CIA 592 II-9

You are the chief audit executive of a parent organization that has foreign subsidiaries. Independent external audits performed for the parent are not conducted by the same firm that conducts the foreign subsidiary audits. Because the internal audit activity occasionally provides direct assistance to both external firms, you have copies of audit programs and selected working papers produced by each firm. The foreign subsidiary's external audit firm wants to rely on an audit of a function at the parent organization. The audit was conducted by the internal audit activity. To place reliance on the work performed, the foreign subsidiary's auditors have requested copies of the working papers. What is the **most** appropriate response to the foreign subsidiary's auditors?

- A. Provide copies of the working papers.
- B. Ask the parent's audit firm if it is appropriate to release the working papers.
- C. Ask the board for permission to release the working papers.
- D. Refuse to provide the working papers under any circumstances.

- Answer (A) is **correct**. Internal and external auditing efforts should be coordinated to ensure adequate coverage and to minimize duplication of effort. Coordination involves access to each other's work programs and working papers. Access to the internal auditors' work programs and working papers should be given to the external auditors in order for them to be satisfied as to the acceptability, for external audit purposes, of relying on the internal auditors' work (PA 2050-1).
- Answer (B) is incorrect. The working papers are the property of the organization. The responsibility of the CAE is to maintain the security of the working papers and to coordinate efforts with the external auditors. Thus, the decision belongs not to the parent's external auditors but to the CAE.
- Answer (C) is incorrect. Access to working papers by external auditors is subject to the approval of the CAE (PA 2330.A1-1).
- Answer (D) is incorrect. The CAE ensures proper coordination with external auditors by, among other things, granting the external auditors access to the internal auditors' working papers.

[677] Gleim #: 9.1.6 -- Source: CIA 592 II-3

To improve their efficiency, internal auditors may rely upon the work of external auditors if it is

- A. Performed after the internal auditing work.
 - B. Primarily concerned with operational objectives and activities.
 - C. Coordinated with internal auditing work.
 - D. Conducted in accordance with the Code of Ethics.
- Answer (A) is incorrect. Duplication of effort may result if the external audit is performed after the internal auditing engagement.
 - Answer (B) is incorrect. Internal auditing encompasses both financial and operational objectives and activities. Thus, internal auditing coverage could also be provided by external audit work that included primarily financial objectives and activities.
 - Answer (C) is **correct**. In coordinating the work of internal auditors with the work of external auditors, the CAE should ensure that work to be performed by internal auditors does not duplicate the work of the external auditors that can be relied upon for purposes of internal auditing coverage. To the extent that professional and organizational reporting responsibilities allow, internal auditors should perform services in a manner that allows for maximum coordination and efficiency (PA 2050-1).
 - Answer (D) is incorrect. External auditing work is conducted in accordance with auditing standards generally accepted in the host country.

[678] Gleim #: 9.1.7 -- Source: CIA 594 III-1

Which of the following is **not** a true statement about the relationship between internal auditors and external auditors?

- A. External auditors must assess the competence and objectivity of internal auditors.
 - B. There may be periodic meetings between internal and external auditors to discuss matters of mutual interest.
 - C. There may be an exchange of engagement communications and management letters.
 - D. Internal auditors may provide engagement work programs and working papers to external auditors.
- Answer (A) is **correct**. The external auditor assesses the objectivity and competence of the internal auditors if their activities are relevant to the external audit and it is efficient to consider how that work may affect the nature, timing, and extent of external audit procedures. If the internal auditors are found to be sufficiently competent and objective, the external auditor then considers how their work will affect the external audit. Thus, external auditors are not required to assess the competence and objectivity of internal auditors.
 - Answer (B) is incorrect. The relationship involves a sufficient number of meetings (PA 2050-1).
 - Answer (C) is incorrect. The relationship involves reasonable mutual access to engagement communications and management letters (PA 2050-1).
 - Answer (D) is incorrect. The relationship involves reasonable mutual access to engagement work programs and working papers (PA 2050-1).

[679] Gleim #: 9.1.8 -- Source: CIA 04 Model Exam I-31

If a department outside of the internal audit activity is responsible for reviewing a function or process, the internal auditors should

- A. Consider the work of the other department when assessing the function or process.
 - B. Ignore the work of the other department and proceed with an independent audit.
 - C. Reduce the scope of the audit since the work has already been performed by the other department.
 - D. Yield the responsibility for assessing the function or process to the other department.
-
- Answer (A) is **correct**. The chief audit executive should share information and coordinate activities with other internal and external providers of relevant assurance and consulting services to ensure proper coverage and minimize duplication of efforts (Standard 2050). This standard applies not only to external auditors but also to other “providers,” such as regulatory bodies (e.g., governmental auditors) and certain of the organization’s other subunits (e.g., a health and safety department). Review and testing of the other department’s work may reduce necessary audit coverage of the function or process.
 - Answer (B) is incorrect. Concentrating on the function or process might lead to a duplication of efforts.
 - Answer (C) is incorrect. The internal auditor cannot rely on the work of others without verifying the results.
 - Answer (D) is incorrect. The internal audit activity’s overall responsibility for assessing the function or process is not affected by the other department’s coverage.

[680] Gleim #: 9.1.9 -- Source: CIA 04 Model Exam I-49

Assessments of the work of external auditors may be made by the chief audit executive

- A. When the external auditor is appointed.
 - B. When the CAE oversees their work.
 - C. When their work is relied upon by the internal auditors.
 - D. As part of the evaluation of the coordination between the internal and external auditors.
-
- Answer (A) is incorrect. The assessment is part of the regular evaluation of the coordination of audit work.
 - Answer (B) is incorrect. The board oversees external audit work.
 - Answer (C) is incorrect. The assessment arises from the evaluation of coordination, not reliance.
 - Answer (D) is **correct**. The CAE is responsible for regular evaluations of the coordination between internal and external auditors. Such evaluations may also include assessments of the overall efficiency and effectiveness of internal and external audit activities, including aggregate audit cost. The CAE communicates the results of these evaluations to senior management and the board, including relevant comments about the performance of external auditors.

[681] Gleim #: 9.1.10 -- Source: CIA 1193 II-2

An internal audit activity is often requested to coordinate its work with that of the external auditors. Which of the following activities is **most** likely to be restricted to the external auditor?

- A. Evaluating the system of controls over cash collections and similar transactions.
- B. Attesting to the fairness of presentation of cash position.
- C. Evaluating the adequacy of the organization’s overall system of internal controls.
- D. Reviewing the system established to ensure compliance with laws, regulations, and contracts.

- Answer (A) is incorrect. Evaluating controls is part of the internal auditor's scope of work.
- Answer (B) is **correct**. Professional standards place sole responsibility for the attest function on the external auditors. Only the external auditors have the necessary independence to permit the provision of assurance to external parties. Unlike circumstances in which the external auditors use the work of other independent auditors, the responsibility cannot be shared with the internal auditors.
- Answer (C) is incorrect. Senior management and the board normally expect that the IAA will perform sufficient engagement work and gather other available information during the year to form an overall judgment about the adequacy and effectiveness of the control process. The CAE should communicate that judgment to senior management and the board.
- Answer (D) is incorrect. Evaluating compliance is part of the internal auditor's scope of work.

[682] Gleim #: 9.1.11 -- Source: CIA 594 I-15

Which of the following statements is true regarding coordination of internal and external auditing efforts?

- A. The chief audit executive should not give information about illegal acts to an external auditor because external auditors may be required to report the matter to the board or regulatory agencies.
 - B. Ownership and the confidentiality of the external auditor's working papers prohibit their review by internal auditors.
 - C. The chief audit executive should determine that appropriate follow-up and corrective action was taken by management when required regarding matters discussed in the external auditor's management letter.
 - D. If internal auditors provide assistance to the external auditors in connection with the annual audit, such assistance is not subject to the *Standards*.
-
- Answer (A) is incorrect. Internal auditors should give external auditors access to their engagement work programs, working papers, and communications. Thus, information about illegal acts should be communicated to the external auditor.
 - Answer (B) is incorrect. Internal auditors and external auditors may grant access to each other's working papers.
 - Answer (C) is **correct**. Internal auditors need access to independent outside auditors' management letters. Matters discussed in management letters assist internal auditors in planning the areas to emphasize in future internal audit work. After review of management letters and initiation of any needed corrective action by appropriate members of management and the board, the CAE should ensure that appropriate follow-up and corrective action have been taken (PA 2050-1).
 - Answer (D) is incorrect. All work done by internal auditors should be done in accordance with the *Standards*.

[683] Gleim #: 9.1.12 -- Source: CIA 591 I-21

The chief audit executive plans to meet with the independent external auditor to discuss joint efforts regarding an upcoming external audit of the organization's pension plan. The independent external auditor has performed all external audit work in this area in the past. The CAE's objective is to

- A. Determine whether work in this area could not be performed exclusively by the internal auditors.
- B. Coordinate the external audit so as to fulfill professional responsibilities and not duplicate work of the independent external auditor.
- C. Ascertain which account balances have been tested by the independent external auditor so that the internal auditors may test the internal controls to determine the reliability of these balances.
- D. Determine whether the independent external auditor's techniques, methods, and terminology should be used by internal auditors in this area to conform with past work or to use techniques consistent with those used by other internal auditors.

- Answer (A) is incorrect. The independent external auditor is not permitted to delegate certain work to the internal auditors, for example, the verification of material account balances related to a pension plan.
- Answer (B) is **correct**. In coordinating the work of internal auditors with the work of independent external auditors, the CAE should ensure that work to be performed by internal auditors does not duplicate the work of the independent external auditors that can be relied on for purposes of internal auditing coverage. To the extent that professional and organizational reporting responsibilities allow, internal auditors should conduct engagements in a manner that allows for maximum coordination and efficiency.
- Answer (C) is incorrect. Testing internal controls to determine the reliability of account balances is an example of duplicate work.
- Answer (D) is incorrect. Common understanding of techniques, methods, and terminology is involved in coordination of activities with other internal and external providers of relevant assurance and consulting services, and the use of common techniques, methods, and terminology may be efficient. However, the objective of coordination of efforts is to ensure adequate engagement coverage and to minimize duplication of efforts (Standard 2050), not to determine whether one set of techniques should be used to the exclusion of another.

[684] Gleim #: 9.1.13 -- Source: CIA 588 II-10

Exchange of engagement communications and management letters by internal and external auditors is

- A. Consistent with the coordination responsibilities of the chief audit executive.
 - B. Not consistent with the independence guidelines of the *Standards*.
 - C. A violation of the Code of Ethics.
 - D. Not addressed by the *Standards*.
-
- Answer (A) is **correct**. The internal and external auditing work should be coordinated by the CAE to ensure adequate engagement coverage and to minimize duplicate efforts. Coordination involves periodic meetings to discuss matters of mutual interest; access to each other's engagement work programs and working papers; exchange of engagement communications and management letters; and common understanding of techniques, methods, and terminology (PA 2050-1).
 - Answer (B) is incorrect. The standard independence guidelines are not relevant to this exchange between internal and external auditors.
 - Answer (C) is incorrect. The exchange does not violate the Code of Ethics.
 - Answer (D) is incorrect. The *Standards* address the coordination of internal and external auditing work.

[685] Gleim #: 9.1.14 -- Source: CIA 1190 II-5

Coordination of internal and external auditing can reduce the overall costs. Who is responsible for actual coordination of internal and external auditing efforts?

- A. Chief audit executive.
 - B. External auditor.
 - C. The board.
 - D. Management.
-
- Answer (A) is **correct**. The CAE should share information and coordinate activities with other internal and external providers of relevant assurance and consulting services to ensure proper coverage and minimize duplication of efforts (Standard 2050). The CAE is responsible for actual coordination, and the board is responsible for oversight of the work of the external auditors, including coordination with the IAA. Coordination involves periodic meetings to discuss matters of mutual interest; access to each other's work programs and working papers; exchange of engagement communications and management letters; and common understanding of techniques, methods, and terminology (PA 2050-1).
 - Answer (B) is incorrect. The external auditor is an interested party but not one that has direct responsibility for coordinating internal and external auditing efforts.
 - Answer (C) is incorrect. The board has oversight responsibility, but the CAE is responsible for the actual coordination of internal and external auditing work.
 - Answer (D) is incorrect. Management is an interested party but not one that has direct responsibility for coordinating internal and external auditing efforts.

[686] Gleim #: 9.1.15 -- Source: Publisher 2009

According to the Framework, which of the following are responsibilities of the chief audit executive (CAE)?

- I. Coordinating activities with other providers of assurance and consulting services.
- II. Understanding the work of external auditors.
- III. Providing sufficient information to the external auditors to permit them to understand the internal auditors' work.

- A. I and II only.
- B. II and III only.
- C. I and III only.
- D. I, II, and III.

- Answer (A) is incorrect. Providing sufficient information to the external auditors to permit them to understand the internal auditors' work is a responsibility of the CAE when external auditors rely on the IAA's work.
- Answer (B) is incorrect. Coordinating activities with other providers of assurance and consulting services is a responsibility of the CAE.
- Answer (C) is incorrect. Understanding the work of external auditors is necessary whenever external auditors provide assurance about matters within the scope of the IAA.
- Answer (D) is **correct**. Organizations may use the work of external auditors to provide assurance related to activities within the scope of internal auditing. In these cases, the CAE takes the steps necessary to understand the work performed by the external auditors. Moreover, the external auditor may rely on the work of the IAA in performing their work. In this case, the CAE needs to provide sufficient information to enable external auditors to understand the internal auditor's techniques, methods, and terminology to facilitate reliance by external auditors on work performed. Also, the CAE is responsible for regular evaluations of the coordination between internal and external auditors. Such evaluations may include assessments of the overall efficiency and effectiveness of internal and external audit activities, including aggregate audit cost. The CAE communicates the results of these evaluations to senior management and the board, including relevant comments about the performance of external auditors (PA 2050-1).

[687] Gleim #: 9.2.16 -- Source: CIA 1196 III-31

A quality assurance and improvement program (QAIP) of an internal audit activity provides reasonable assurance that internal auditing work is performed in accordance with its charter. Which of the following are designed to provide feedback on the effectiveness of an internal audit activity?

- I. Proper supervision
- II. Proper training
- III. Internal reviews
- IV. External reviews

- A. I, II, and III only.
- B. II, III, and IV only.
- C. I, III, and IV only.
- D. I, II, III, and IV.

- Answer (A) is incorrect. Proper training is a feedforward, not a feedback, control
- Answer (B) is incorrect. Proper training is a feedforward, not a feedback, control
- Answer (C) is **correct**. A QAIP is designed to provide reasonable assurance to the various stakeholders of the IAA that it (1) performs in accordance with its charter, (2) operates effectively and efficiently, and (3) is perceived by the stakeholders as adding value and improving operations. The program includes appropriate supervision, periodic internal assessment and ongoing monitoring of quality assurance, and periodic external assessments (PA 1300-1).
- Answer (D) is incorrect. Proper training is a feedforward, not a feedback, control

[688] Gleim #: 9.2.17 -- Source: Publisher 2009

The internal audit activity's quality assurance and improvement program is the responsibility of

- A. External auditors.
- B. The chief audit executive.
- C. The board.
- D. The audit committee.

- Answer (A) is incorrect. External auditors may perform an external assessment, but the CAE is responsible for it.
- Answer (B) is **correct**. The chief audit executive must develop and maintain a quality assurance and improvement program that covers all aspects of the internal audit activity (Standard 1300). This program includes periodic internal and external quality assessments and ongoing internal monitoring.
- Answer (C) is incorrect. The CAE may report results to the board, but the program is the CAE's responsibility.
- Answer (D) is incorrect. The CAE may report results to the audit committee, but the program is the CAE's responsibility.

[689] Gleim #: 9.3.18 -- Source: CIA 04 Model Exam I-21

Which of the following is part of an internal audit activity's quality assurance program, rather than being included as part of other responsibilities of the chief audit executive (CAE)?

- A. The CAE provides information about and access to internal audit workpapers to the external auditors to enable them to understand and determine the degree to which they may rely on the internal auditors' work.
- B. Management approves a formal charter establishing the purpose, authority, and responsibility of the internal audit activity.
- C. Each individual internal auditor's performance is appraised at least annually.
- D. Supervision of an internal auditor's work is performed throughout each audit engagement.

- Answer (A) is incorrect. Providing working papers to the external auditors relates to the responsibility of the CAE to coordinate with external auditors.
- Answer (B) is incorrect. A CAE's responsibility to seek approval of a charter to establish the authority, purpose, and responsibility of the IAA is not part of a quality assurance program.
- Answer (C) is incorrect. Individual performance appraisals are part of a CAE's responsibility for personnel management and development.
- Answer (D) is **correct**. The CAE develops and maintains a quality assurance and improvement program (QAIP) that includes ongoing and periodic assessments. Ongoing monitoring is incorporated into the routine policies and practices used to manage the IAA. The processes and tools used in ongoing internal assessments include engagement supervision, checklists and procedures, feedback from stakeholders, peer reviews of working papers, project budgets, timekeeping systems, audit plan completion, cost recoveries, and analyses of other performance metrics (Interpretation of Standard 1311 and PA 1311-1).

[690] Gleim #: 9.3.19 -- Source: CIA 594 I-17

The chief audit executive should develop and maintain a quality assurance and improvement program that covers all aspects of the internal audit activity and continuously monitors its effectiveness. All of the following are included in a quality program **except**

- A. Annual appraisals of individual internal auditors' performance.
- B. Periodic internal assessment.
- C. Supervision.
- D. Periodic external assessments.

- Answer (A) is **correct**. A quality assurance and improvement program should be designed to provide reasonable assurance to the various stakeholders of the IAA that it (1) performs in accordance with its charter, which should be consistent with the *Standards* and the Code of Ethics; (2) operates effectively and efficiently; and (3) is perceived by the stakeholders as adding value and improving operations. The program should include appropriate supervision, periodic internal assessment and ongoing monitoring of quality assurance, and periodic external assessments (PA 1300-1). The program for selecting and developing the human resources of the IAA provides for, among other things, appraising each internal auditor's work at least annually.
- Answer (B) is incorrect. Internal assessment is an element of a quality program.
- Answer (C) is incorrect. Supervision is an element of a quality program. Ongoing reviews are internal assessments that include engagement supervision.
- Answer (D) is incorrect. External assessment is an element of a quality program.

[691] Gleim #: 9.3.20 -- Source: CIA 591 I-4

An individual became head of the internal audit activity (IAA) of an organization one week ago. An engagement client has come to the person complaining vigorously that one of the internal auditors is taking up an excessive amount of client time on an engagement that seems to be lacking a clear purpose. In handling this conflict with a client, the person should consider

- A. Discounting what is said, but documenting the complaint.
 - B. Whether existing procedures within the internal audit activity provide for proper planning and quality assurance.
 - C. Presenting an immediate defense of the internal auditor based upon currently known facts.
 - D. Promising the client that the internal auditor will finish the work within 1 week.
-
- Answer (A) is incorrect. The CAE has responsibilities for planning engagement work schedules and maintaining a quality assurance and improvement program and cannot afford to ignore a potentially valid complaint.
 - Answer (B) is **correct**. The CAE should examine departmental procedures and the conduct of the specific engagement mentioned to ascertain that proper planning and quality assurance procedures are in place and are being followed. The CAE must establish risk-based plans to determine the priorities of the IAA, consistent with the organization's goals (Standard 2010). Planning includes determining goals and developing work schedules, staffing plans, and financial budgets. They should be accompanied by measurement criteria and targeted dates of accomplishment. A quality assurance and improvement program that includes appropriate supervision, periodic internal assessment and ongoing monitoring of quality assurance, and periodic external assessments is also necessary (PA 1300-1). Thus, taking a neutral position with the complaining client and promptly following up is appropriate.
 - Answer (C) is incorrect. Taking a defensive position with the client stifles communication, hampers future engagement involvements, and ignores basic responsibilities for managing the IAA.
 - Answer (D) is incorrect. Making a promise to end the work within a specified time without knowledge of the work schedule jeopardizes the authority of the CAE and the IAA in the current and future engagements. The CAE has an obligation to assure that adequate time is allowed for achieving engagement objectives.

[692] Gleim #: 9.3.21 -- Source: CIA 585 II-11

Procedures describing how the supervisory review of staff auditors will be accomplished should be fully documented so that the internal audit activity will

- A. Comply with the *Standards*.
- B. Have a consistent framework for evaluating staff performance.
- C. Have a basis for promotions, pay raises, or disciplinary actions, if required.
- D. Have substantiation of its quality assurance and improvement program.

- Answer (A) is incorrect. Compliance with the *Standards* is just one element of a quality assurance and improvement program.
- Answer (B) is **correct**. The internal audit activity's quality assurance and improvement program (QAIP) should provide reasonable assurance to the stakeholders of the IAA that it (1) performs in accordance with its charter, which should be consistent with the *Standards* and The IIA Code of Ethics; (2) operates effectively and efficiently; and (3) is perceived by stakeholders as adding value and improving operations. These processes should include (1) supervision, (2) periodic internal assessments and monitoring of quality assurance, and (3) periodic external assessments. One key element of a QAIP is oversight of the training and development of staff, including performance evaluation (PA 1300-1). Moreover, appropriate evidence of supervision should be documented and retained (Interpretation of Standard 2340). Presumably, such documentation includes the framework for evaluating staff performance.
- Answer (C) is incorrect. Having a basis for promotions, etc., follows from a proper evaluation of auditor performance.
- Answer (D) is incorrect. Substantiating the QAIP program is a significant but secondary result of documenting supervisory review.

[693] Gleim #: 9.3.22 -- Source: CIA 593 II-7

Ordinarily, those conducting internal quality program assessments report to

- A. The board.
- B. The chief audit executive.
- C. Senior management.
- D. The internal audit staff.

- Answer (A) is incorrect. At least annually, the CAE reports the results of internal assessments to the board.
- Answer (B) is **correct**. "The CAE establishes a structure for reporting results of internal assessments that maintains appropriate credibility and objectivity. Generally, those assigned responsibility for conducting ongoing and periodic reviews report to the CAE while performing the reviews and communicate results directly to the CAE" (PA 1311-1).
- Answer (C) is incorrect. The CAE shares information about internal assessments with appropriate persons outside the IAA, such as senior management.
- Answer (D) is incorrect. Results ordinarily are communicated directly to the CAE. Given a self-assessment, reporting to the internal audit staff essentially involves having the staff report to itself.

[694] Gleim #: 9.3.23 -- Source: CIA 1195 I-39

Supervision of the work of internal auditors should be carried out continually. Which of the following statements regarding supervision is(are) true?

- I. "Continually" indicates that supervision should be performed throughout the engagement.
 - II. Supervision should also be extended to training, time reporting, and expense control.
 - III. The extent of supervision needs to be documented.
- A. I only.
 - B. I and III only.
 - C. II only.
 - D. I, II, and III.

- Answer (A) is incorrect. Statements II and III are true.
- Answer (B) is incorrect. Statement II is true
- Answer (C) is incorrect. Statements I and III are true.
- Answer (D) is **correct**. Ongoing internal assessments are usually incorporated into the routine policies and practices used to manage the IAA. They should be conducted by means of such procedures and tools as (1) supervision; (2) checklists; (3) feedback; (4) project budgets, timekeeping systems, audit plan completion, and cost recoveries; and (5) analyses of other performance metrics (PA 1311-1). Supervision is a process that begins with planning and continues throughout the examination, evaluation, communication, and follow-up phases of the engagement. It extends to staff training and development, employee performance evaluation, time and expense control, and similar administrative areas. Furthermore, engagement working papers should be reviewed to ensure that they properly support the engagement communications and that all necessary procedures have been performed. Adequate evidence of supervision should be documented and retained, and the extent of supervision required will depend on the proficiency and experience of internal auditors and the complexity of the engagement (Interpretation of Standard 2340).

[695] Gleim #: 9.3.24 -- Source: CIA 1186 I-30

As a part of a quality program, internal assessment teams **most** likely will examine which of the following to evaluate the quality of engagement planning and documentation for individual engagements?

- A. Written engagement work programs.
- B. Project assignment documentation.
- C. Weekly status reports.
- D. The long-range engagement work schedule.

- Answer (A) is **correct**. Internal assessments should include ongoing monitoring of the performance of the IAA and periodic reviews performed through self-assessment or by other persons within the organization with knowledge of internal auditing practices (Standard 1311). Because an engagement work program establishes the procedures for identifying, analyzing, evaluating, and recording information during the engagement, it is an essential part of planning the engagement. Lack of documentation of the work program is a serious failing.
- Answer (B) is incorrect. Project assignment documentation contains less relevant information for assessment purposes than work programs.
- Answer (C) is incorrect. Status reports do not bear directly on planning.
- Answer (D) is incorrect. The long-range engagement work schedule does not relate to planning and documentation for individual engagements.

[696] Gleim #: 9.4.25 -- Source: CIA 1192 II-10

Quality program assessments may be performed internally or externally. A distinguishing feature of an external assessment is its objective to

- A. Identify tasks that can be performed better.
- B. Determine whether internal audit services meet professional standards.
- C. Set forth the recommendations for improvement.
- D. Provide independent assurance.

- Answer (A) is incorrect. An internal assessment will identify tasks that can be performed better.
- Answer (B) is incorrect. An internal assessment will determine whether internal audit services meet professional standards.
- Answer (C) is incorrect. An internal assessment will set forth recommendations for improvement.
- Answer (D) is **correct**. External assessments must be conducted at least once every 5 years by a qualified, independent reviewer or review team from outside the organization (Standard 1312). Individuals who perform the external assessment are free of any obligation to, or interest in, the organization whose IAA is assessed (PA 1312-1).

[697] Gleim #: 9.4.26 -- Source: CIA 1191 II-3

External assessment of an internal audit activity is **not** likely to evaluate

- A. Adherence to the internal audit activity's charter.
- B. Conformance with the *Standards*.
- C. Detailed cost-benefit analysis of the internal audit activity.
- D. The tools and techniques employed by the internal audit activity.

- Answer (A) is incorrect. Adherence to the IAA's charter is within the broad scope of coverage of the external assessment.
- Answer (B) is incorrect. Conformance with the *Standards* is within the broad scope of coverage of the external assessment.
- Answer (C) is **correct**. The external assessment has a broad scope of coverage that includes (1) conformance with The IIA's mandatory guidance and the IAA's charter, plans, policies, procedures, practices, and applicable legislative and regulatory requirements; (2) the expectations of the IAA expressed by the board, senior management, and operational managers; (3) the integration of the IAA into the governance process; (4) the tools and techniques employed by the IAA; (5) the mix of knowledge, experience, and disciplines within the staff, including staff focus on process improvement; and (6) the determination whether the internal audit activity adds value and improves operations (PA 1312-1). However, the costs and benefits of internal auditing are neither easily quantifiable nor the subject of an external assessment.
- Answer (D) is incorrect. The tools and techniques of the IAA are within the broad scope of coverage of the external assessment.

[698] Gleim #: 9.4.27 -- Source: Publisher

The final results of an external assessment review of an internal audit activity (IAA) are communicated to the chief audit executive (CAE) or other appropriate authorizing official. This communication includes

- A. The reviewer's statement of an action plan in response to the recommendations.
- B. An opinion on whether the practices of the IAA as a whole conform with the *Standards*.
- C. An opinion on the IAA's conformance with its charter.
- D. The reviewer's assessment of the use of best practices, other recommendations, and statement of implementation dates for responses to the review.

- Answer (A) is incorrect. The communication includes responses from the CAE that include an action plan and implementation dates.
- Answer (B) is **correct**. The communication includes an opinion on the IAA's conformance with the Definition of Internal Auditing, the Code of Ethics, and the *Standards* based on a structured rating process. Conformance means that the practices of the IAA, taken as a whole, satisfy the requirements of the Definition of Internal Auditing, the Code of Ethics, and the *Standards* (PA 1312-1).
- Answer (C) is incorrect. An opinion on conformance with the Definition of Internal Auditing, the Code of Ethics, and the *Standards* is expressed.
- Answer (D) is incorrect. The communication includes the CAE's responses that describe an action plan and state implementation dates for the plan.

[699] Gleim #: 9.4.28 -- Source: CIA 1185 I-2

External assessments of an internal audit activity should assess (and may express an opinion on) the

- A. Internal audit activity's compliance with the *Standards*.
- B. Effectiveness of the internal auditing coverage.
- C. Adequacy of internal control.
- D. Conformance with the internal audit activity's charter.

- Answer (A) is **correct**. External assessments of an IAA should appraise (and “may” express an opinion on) the IAA’s compliance with the *Standards* and, as appropriate, should include recommendations for improvement. On completion of the review, a formal communication should be given to the board and to senior management (PA 1312-1). Standard 1312 states that the CAE must discuss the results of external assessments with the board.
- Answer (B) is incorrect. The scope of an external assessment embraces more than the effectiveness of the internal auditing coverage.
- Answer (C) is incorrect. An external assessment addresses the IAA, not the adequacy of the organization’s controls.
- Answer (D) is incorrect. An opinion may be expressed on compliance with the *Standards*. However, the scope of the coverage of the external assessment also extends to, among other things, compliance with The IIA Code of Ethics and the IAA’s (1) charter, (2) plans, (3) policies, (4) procedures, (5) practices, and (6) regulatory requirements.

[700] Gleim #: 9.4.29 -- Source: CIA 1190 I-6

The interpretation related to quality assurance given by the *Standards* is that

- A. External assessments can provide senior management and the board with independent assurance about the quality of the internal audit activity.
 - B. Appropriate follow-up to an external assessment is the responsibility of the chief audit executive’s immediate supervisor.
 - C. The internal audit activity is primarily measured against the Institute’s Code of Ethics.
 - D. Continual supervision is limited to the planning, examination, evaluation, communication, and follow-up process.
-
- Answer (A) is **correct**. External assessments of the IAA should be performed at least once every five years by an independent reviewer or review team. The external assessment should appraise (and may express an opinion on) the IAA’s compliance with the *Standards* and, if appropriate, should include recommendations for improvement. On completion of the review, a formal communication should be given to the board and senior management (PA 1312-1). Thus, an external assessment provides independent assurance of quality to senior management and the board. The CAE should involve senior management and the board in the selection of an external reviewer (PA 1312-1).
 - Answer (B) is incorrect. The communication of final results of an external assessment should include the CAE’s responses. These include an action plan and implementation dates.
 - Answer (C) is incorrect. The external assessment considers the IAA’s compliance with the *Standards*, The IIA Code of Ethics, and the IAA’s (1) charter, (2) plans, (3) policies, (4) procedures, (5) practices, and (6) regulatory requirements.
 - Answer (D) is incorrect. Ongoing internal assessments are usually incorporated into the routine policies and practices used to manage the IAA. They should be conducted by means of such procedures and tools as (1) supervision; (2) checklists; (3) feedback; (4) project budgets, timekeeping systems, audit plan completion, and cost recoveries; (5) analyses of other performance metrics; and (6) selective peer reviews of working papers.

[701] Gleim #: 9.4.30 -- Source: Publisher

Which of the following statements concerning an external assessment of the internal audit activity is false?

- A. The evaluation of compliance with the *Standards* is a critical component of an external assessment.
 - B. The board scope of coverage should include compliance with the applicable regulatory requirements.
 - C. The report may include appropriate recommendations for improvement.
 - D. The report shall be addressed to the audit committee.
-
- Answer (A) is incorrect. The evaluation of compliance with the *Standards* is a critical component of an external assessment of the IAA.
 - Answer (B) is incorrect. The board scope of coverage should include compliance with the applicable regulatory requirements.
 - Answer (C) is incorrect. The report may include appropriate recommendations for improvement.
 - Answer (D) is **correct**. Upon completion of an external assessment, the final results should be communicated to the CAE or other authorizing official, with copies preferably sent to senior management and the board. The communication should contain (1) an opinion on the IAA’s compliance with the *Standards*, (2) an evaluation of the use of best practices, (3) recommendations for improvement, and (4) responses from the CAE that include an action plan and dates of implementation (PA 1312-1).

[702] Gleim #: 9.5.31 -- Source: Publisher

Disclosure must be made to senior management and the board whenever

- A. The internal audit activity does not conform with the *Standards*.
- B. The internal auditors do not conform with the Code of Ethics.
- C. The internal audit activity does not conform with the *Standards*, or the internal auditors do not conform with the Code of Ethics.
- D. Nonconformance with the *Standards* or the Code of Ethics affects the overall operation of the internal audit activity.

- Answer (A) is incorrect. Nonconformance must affect the IAA's overall scope or operation.
- Answer (B) is incorrect. Nonconformance must affect the IAA's overall scope or operation.
- Answer (C) is incorrect. Nonconformance must affect the IAA's overall scope or operation.
- Answer (D) is **correct**. "When nonconformance with the Definition of Internal Auditing, the Code of Ethics, or the *Standards* impacts the overall scope or operation of the internal audit activity, the chief audit executive must disclose the nonconformance and the impact to senior management and the board" (Standard 1322).

[703] Gleim #: 9.5.32 -- Source: Publisher

Internal auditors may report that their activities conform with the *Standards*. They may use this statement only if

- A. It is supported by the results of the quality program.
- B. An independent external assessment of the internal audit activity is conducted annually.
- C. Senior management or the board is accountable for implementing a quality program.
- D. External assessments of the internal audit activity are made by external auditors.

- Answer (A) is **correct**. "The chief audit executive may state that the internal audit activity conforms with the *International Standards for the Professional Practice of Internal Auditing* only if the results of the quality assurance and improvement program support this statement" (Standard 1321).
- Answer (B) is incorrect. An independent external assessment of the IAA must be conducted at least once every 5 years (Standard 1312).
- Answer (C) is incorrect. The CAE must develop and maintain a QAIP that covers all aspects of the IAA (Standard 1300).
- Answer (D) is incorrect. Assessments also may be made by others who are (1) independent and (2) competent in the professional practice of internal auditing and the external assessment process (Interpretation of Standard 1312).

[704] Gleim #: 9.5.33 -- Source: Publisher

When is initial use of the conformance phrase by internal auditors appropriate?

- A. After an internal review completed within the past 5 years.
- B. After an external review completed within the past 10 years.
- C. After an internal review completed within the past 10 years.
- D. After an external review completed within the past 5 years.

- Answer (A) is incorrect. Initial use of the conformance phrase requires the completion of an external review.
- Answer (B) is incorrect. Initial use of the conformance phrase requires the completion of a review within the past 5 years.
- Answer (C) is incorrect. Initial use of the conformance phrase requires the completion of an external review within the past 5 years.
- Answer (D) is **correct**. To use the phrase, an external assessment is required at least once during each 5-year period, along with ongoing monitoring and periodic internal assessments. These activities need to have concluded that the IAA is in conformance with the Definition of Internal Auditing, the Code of Ethics, and the *Standards*. Initial use of the phrase is not appropriate until an external review has demonstrated that the IAA is in conformance with the Definition of Internal Auditing, the Code of Ethics, and the *Standards*.

[705] Gleim #: 9.5.34 -- Source: Publisher

Following an external assessment of the internal audit activity, who is (are) responsible for communicating the results to the board?

- A. Internal auditors.
- B. Audit committee.
- C. Chief audit executive.
- D. External auditors.

- Answer (A) is incorrect. The chief audit executive (not internal auditors) is responsible for communicating the results of external assessments to the board.
- Answer (B) is incorrect. The chief audit executive (not the audit committee) is responsible for communicating the results of external assessments to the board.
- Answer (C) is **correct**. The chief audit executive must communicate the results of the QAIP to senior management and the board (Standard 1320).
- Answer (D) is incorrect. The chief audit executive (not external auditors) is responsible for communicating the results of external assessments to the board.

[706] Gleim #: 9.5.35 -- Source: Publisher

To demonstrate conformance of the internal audit activity with the mandatory guidance of The IIA,

- A. The chief audit executive determines the form and content of the results communicated.
- B. The results of external assessments are communicated upon their completion.
- C. The results of periodic internal assessments are communicated at least annually.
- D. The results of ongoing monitoring are communicated upon their completion.

- Answer (A) is incorrect. "The form, content, and frequency of communicating the results of the quality assurance and improvement program is established through discussions with senior management and the board and considers the responsibilities of the internal audit activity and chief audit executive as contained in the internal audit charter (Interpretation of Standard 1320)."
- Answer (B) is **correct**. "The form, content, and frequency of communicating the results of the quality assurance and improvement program is established through discussions with senior management and the board and considers the responsibilities of the internal audit activity and chief audit executive as contained in the internal audit charter. To demonstrate conformance with the Definition of Internal Auditing and the *Standards*, and application of the Code of Ethics, the results of external and periodic internal assessments are communicated upon completion of such assessments and the results of ongoing monitoring are communicated at least annually. The results include the reviewer's or review team's assessment with respect to the degree of conformance" (Interpretation of Standard 1320).
- Answer (C) is incorrect. The results of periodic internal assessments are communicated upon their completion.
- Answer (D) is incorrect. The results of ongoing monitoring are communicated at least annually.

[707] Gleim #: 9.6.36 -- Source: Publisher

Which of the following statements regarding benchmarking is false?

- A. Benchmarking involves continuously evaluating the practices of best-in-class organizations and adapting company processes to incorporate the best of these practices.
- B. Benchmarking, in practice, usually involves a company's formation of benchmarking teams.
- C. Benchmarking is an ongoing process that entails quantitative and qualitative measurement of the difference between the company's performance of an activity and the performance by the best in the world or the best in the industry.
- D. The benchmarking organization against which a firm is comparing itself must be a direct competitor.

- Answer (A) is incorrect. Benchmarking is a continuous evaluation of the practices of the best organizations in their class, and the adaptation of processes to reflect the best of these practices
- Answer (B) is incorrect. One of the phases of the benchmarking process involves the organization of benchmarking teams that thoroughly investigate and document the organization's internal processes.
- Answer (C) is incorrect. Benchmarking is an ongoing process that entails quantitative and qualitative measurement of the difference between the company's performance of an activity and the performance by a best-in-class organization.
- Answer (D) is **correct**. Benchmarking is an ongoing process that entails quantitative and qualitative measurement of the difference between the company's performance of an activity and the performance by a best-in-class organization. The benchmarking organization against which a firm is comparing itself need not be a direct competitor. The important consideration is that the benchmarking organization be an outstanding performer in its industry.

[708] Gleim #: 9.6.37 -- Source: CIA

An example of an internal nonfinancial benchmark is

- A. The labor rate of comparably skilled employees at a major competitor's plant.
 - B. The average actual cost per pound of a specific product at the company's most efficient plant.
 - C. A \$50,000 limit on the cost of employee training programs at each of the company's plants.
 - D. The percentage of customer orders delivered on time at the company's most efficient plant.
- Answer (A) is incorrect. The labor rate of a competitor is a financial benchmark.
 - Answer (B) is incorrect. The cost per pound at the company's most efficient plant is a financial benchmark.
 - Answer (C) is incorrect. The cost of a training program is a financial benchmark.
 - Answer (D) is **correct**. Benchmarking is a continuous evaluation of the practices of the best organizations in their class and the adoption of processes to reflect the best of these practices. It entails analysis and measurement of key outputs against those of the best organizations. This procedure also involves identifying the underlying key actions and causes that contribute to the performance difference. The percentage of orders delivered on time at the company's most efficient plant is an example of an internal nonfinancial benchmark.

[709] Gleim #: 9.6.38 -- Source: Publisher

In a benchmarking activity, the critical steps for researching and identifying best-in-class performance are

- A. Setting up databases, identifying performance gaps, understanding the reasons they exist, and prioritizing the key activities that will facilitate changes needed to implement recommendations.
 - B. Setting up databases, choosing information-gathering methods, formatting questionnaires, and selecting benchmarking partners.
 - C. Setting up databases, applying quality principles, integrating information technology and auditing, and developing performance measures.
 - D. Identifying performance gaps, understanding the reasons they exist, choosing information-gathering methods, and prioritizing the key activities that will facilitate changes needed to implement recommendations.
- Answer (A) is incorrect. Identifying performance gaps, understanding the reasons they exist, and prioritizing the key activities that will facilitate the behavioral and process changes needed to implement recommendations are part of the data analysis phase.
 - Answer (B) is **correct**. Benchmarking consists of six phases. Researching and identifying best-in-class performance is often the most difficult phase. It consists of four critical steps: (1) setting up databases, (2) choosing information-gathering methods (internal sources, external public domain sources, and original research are the possible approaches), (3) formatting questionnaires, and (4) selecting benchmarking partners.
 - Answer (C) is incorrect. Applying quality principles, integrating information technology and auditing, and developing performance measures are all "best practices for an internal auditing activity" as cited in *Sawyer's Internal Auditing* (5th ed.), page 278.
 - Answer (D) is incorrect. Identifying performance gaps, understanding the reasons they exist, and prioritizing the key activities that will facilitate the behavioral and process changes needed to implement recommendations are part of the data analysis phase.

[710] Gleim #: 9.6.39 -- Source: Publisher 2009

The internal audit activity has undertaken an audit of the centralized shipping and receiving department of a department store chain. The best engagement tool for this purpose **most** likely is

- A. Competitive benchmarking.
- B. Strategic benchmarking.
- C. Internal benchmarking.
- D. Process benchmarking.

- Answer (A) is incorrect. Competitive benchmarking is restricted to entities in the same industry.
- Answer (B) is incorrect. Strategic benchmarking is a search for successful competitive strategies.
- Answer (C) is incorrect. Best practices for a centralized shipping and receiving department are not likely to be found elsewhere in the entity.
- Answer (D) is **correct**. Process (function) benchmarking studies operations of organizations with similar processes regardless of industry. Thus, the benchmark need not be a competitor or even a similar entity. This method may introduce new ideas that provide a significant competitive advantage. The advantage of process benchmarking is that it permits a wider choice of benchmarked organizations. Thus, the best practices for a shipping and receiving function may not be found in the same industry.

[711] Gleim #: 9.6.40 -- Source: Publisher

Which of the following are phases in the benchmarking process?

- A. Organization of benchmarking teams and data analysis.
- B. Setting up databases and implementation.
- C. Data analysis and identifying performance gaps
- D. Develop a family of measures indicating process performance and develop a process taxonomy.

- Answer (A) is **correct**. Benchmarking is a tool used in the implementation of a total quality management approach. Benchmarking is a continuous evaluation of the practices of the best organizations in an organization's class and consists of six phases: (1) selecting and prioritizing benchmarking projects, (2) organizing benchmarking teams, (3) investigating and documenting the organization's internal processes, (4) researching and identifying best-in-class performance, (5) data analysis, and (6) implementation.
- Answer (B) is incorrect. Setting up databases is only one of four steps in the fourth phase (research and identify best-in-class performance).
- Answer (C) is incorrect. Identifying performance gaps is part of the data analysis phase (not a separate phase in benchmarking).
- Answer (D) is incorrect. Developing (1) a family of measures indicating process performance and (2) a process taxonomy are tasks performed by the benchmarking team during the investigation and documentation of internal processes. Another task in that phase is tracing the path a request for a product or service takes through the organization.

[712] Gleim #: 10.1.1 -- Source: CIA 596 II-9

An internal auditing team developed a preliminary questionnaire with the following response choices:

- I. Probably not a problem
- II. Possibly a problem
- III. Probably a problem

The questionnaire illustrates the use of

- A. Trend analysis.
- B. Ratio analysis.
- C. Unobtrusive measures or observations.
- D. Rating scales.

- Answer (A) is incorrect. Trend analysis extrapolates past and current conditions.
- Answer (B) is incorrect. Ratio analysis considers the internal relationships of financial data.
- Answer (C) is incorrect. Use of rating scales requires the participant to participate actively. Thus, it is not unobtrusive.
- Answer (D) is **correct**. A rating scale may be used when a range of opinions is expected. The scale represents a continuum of responses. In this case, it reflects probability statements.

[713] Gleim #: 10.1.2 -- Source: Publisher 2009

The annual internal audit plan includes an audit of a sales discount campaign. Concern has arisen about the size of the discount in relation to the effectiveness of the campaign. The engagement procedures **least** likely to provide relevant information about the effectiveness of the campaign is

- A. A comparison of the profit margin before and during the campaign.
- B. A comparison of the cost of goods sold before and during the campaign.
- C. A comparison of sales of the discounted products before and during the campaign.
- D. A comparison of total revenue before and during the campaign.

- Answer (A) is incorrect. The profit margin is useful in determining the most effective discount.
- Answer (B) is **correct**. PA 2210-1 states, "Internal auditors establish engagement objectives to address the risks associated with the activity under review. For planned engagements, the objectives are consistent with those initially identified during the risk assessment process from which the internal audit plan is derived. For unplanned engagements, the objectives are established prior to the start of the engagement and are designed to address the specific issue that prompted the engagement. After identifying risks, the auditor determines the procedures to be performed and the scope of those procedures. Engagement procedures performed within the appropriate scope are the means to derive conclusions related to the engagement objectives." The audit objective is to determine the effectiveness of the campaign. A comparison of the COGS before and during the campaign may be import to management for other reasons, but it is irrelevant to determining the effectiveness of the discounts. Thus, it is outside the scope of the audit.
- Answer (C) is incorrect. A comparison of sales of discounted products is useful in determining the effectiveness of discounting.
- Answer (D) is incorrect. A comparison of total revenue is useful in determining the effectiveness of discounting.

[714] Gleim #: 10.1.3 -- Source: Publisher 2009

A farm cooperative sets acceptable levels of annual spoilage for each year. The following procedure that does **not** evaluate the effectiveness of controls related to annual spoilage is

- A. Reviewing shipping reports for deliveries returned by customers.
- B. Inspecting current inventory.
- C. Interviewing field workers about spoilage.
- D. Surveying managers about labor benefits.

- Answer (A) is incorrect. A review of returned goods may reveal additional spoiled goods.
- Answer (B) is incorrect. An inspection of current inventory will reveal the volume of goods likely to spoil.
- Answer (C) is incorrect. Interviewing field workers may reveal the volume of goods that spoil in the field.
- Answer (D) is **correct**. The objective is to evaluate the effectiveness of controls related to annual spoilage. Engagement procedures performed within the appropriate scope are the means to derive conclusions about the engagement objectives. A survey of managers concerning labor benefits has nothing to do with spoilage levels.

[715] Gleim #: 10.1.4 -- Source: Publisher 2009

In an audit of a shipping department, the internal auditors conducted a survey to become familiar with its operations. The survey included interviewing key personnel using formal questionnaire. The disadvantage of this procedure is that the interviewer is

- A. Less likely to record information not specifically addressed in the questionnaire.
- B. Able to ask clarifying questions.
- C. Face-to-face with the interviewee.
- D. May ask questions requiring an explanatory response.

- Answer (A) is **correct**. Questionnaires (1) are difficult to prepare, (2) are time-consuming to administer, (3) cannot address all circumstances, and (4) permit interviewees to anticipate preferred responses. Interviews are preferable because they give interviewers greater freedom to pursue promising lines of inquiry. Furthermore, a questionnaire tends to limit the focus of the interviewer. (S)he is less likely to address responses not within the parameters of the questionnaire.
- Answer (B) is incorrect. It is an advantage to be able to ask clarifying questions.
- Answer (C) is incorrect. It is an advantage to be face-to-face with the interviewee.
- Answer (D) is incorrect. It is an advantage to ask questions requiring an explanatory response.

[716] Gleim #: 10.1.5 -- Source: Publisher 2009

In an operational audit, the internal auditors discovered an increase in absenteeism. Accordingly, the chief audit executive decided to identify information about workforce morale. To achieve this engagement objective, the internal auditors must understand that

- A. Morale cannot be reliably analyzed.
- B. Only outcomes that are directly quantifiable can be reliably analyzed.
- C. Reliable information may be obtained about morale factors such as job satisfaction.
- D. Morale is always proportional to compensation.

- Answer (A) is incorrect. Difficulty of analysis does not preclude reliability.
- Answer (B) is incorrect. With proper engagement tools, even emotional responses may be measured and analyzed reliably.
- Answer (C) is **correct**. Internal auditors must identify (1) sufficient (factual, adequate, and convincing), (2) reliable (best attainable), (3) relevant (supportive of conclusions), and (4) useful (helpful in meeting goals) information. (Standard 2310). Such information need not consist only of quantifiable outcomes, such as rates of workforce turnover and absenteeism. Sufficient, relevant, reliable, and useful information may be identified about such difficult to measure things as attitudes towards supervisors, other workers, and compensation. For example, surveys may produce statistically valid information about job satisfaction.
- Answer (D) is incorrect. According to research and common human experience, the availability of, for example, intrinsic awards (e.g., personal achievement), may offset a low level of extrinsic awards (e.g., compensation).

[717] Gleim #: 10.1.6 -- Source: CIA 595 II-6

Internal auditors must use both inductive and deductive reasoning when gathering information and reaching conclusions. They must also understand the differences between the two types of reasoning in order to assess the strengths and weaknesses of each. Which of the following procedures uses deductive reasoning?

- A. The internal auditor uses generalized audit software to select a sample of items for confirmation. Based on the confirmation responses, the auditor concludes that accounts receivable as recorded exist.
- B. The internal auditor performs analytical procedures to estimate the accuracy of the sales account balance. No material differences are noted. Based on this, the internal auditor assumes that the underlying record keeping must be correct.
- C. The internal auditor observes the client's physical inventory process and records test counts of inventory. Those test counts are traced to the year-end inventory compilation, and no exceptions are noted. The internal auditor concludes that the compiled inventory exists.
- D. The internal auditor examines sales transactions recorded during January Year 2 and finds that none of those sales represent Year 1 sales. The internal auditor concludes that Year 1 sales are recorded properly.

- Answer (A) is incorrect. Sampling receivables is an example of an inductive process. It entails gathering empirical data about particular items and then determining the general principle that the evidence supports.
- Answer (B) is **correct**. Deductive reasoning is the inference of a conclusion about particulars from general or universal premises. In contrast, inductive reasoning is the inference of a generalized conclusion from particular instances. Analytical procedures are based on the general premise that plausible relationships among the data may reasonably be expected to continue in the absence of known conditions to the contrary. For example, absent unusual circumstances, the sales balance is relatively predictable given its known relationship to other factors, such as cost of sales. Thus, the process is one of deductive reasoning because a general premise (the known relationship of sales to other data) is applied to draw a conclusion about a particular instance (the sales balance).
- Answer (C) is incorrect. Test counting inventory is an example of an inductive process. It entails gathering empirical data about particular items and then determining the general principle that the evidence supports.
- Answer (D) is incorrect. Examining sales recorded after the balance sheet date is an example of an inductive process. It entails gathering empirical data about particular items and then determining the general principle that the evidence supports.

[718] Gleim #: 10.1.7 -- Source: CIA 596 I-36

The internal auditor is concerned about whether all the debits to the computer security expense account are appropriate expenditures. The **most** appropriate engagement procedure is to

- A. Take an attribute sample of computing invoices and determine whether all invoices are properly classified.
- B. Perform an analytical review comparing the amount of expenditures incurred this year with the amounts incurred on a trend line for the past 5 years.
- C. Take an attribute sample of employee wage expenses incurred by the outsourcing organization and trace to the proper account classification.
- D. Take a sample of all debits to the account and investigate by examining source documents to determine the nature and authority of the expenditure.

- Answer (A) is incorrect. The sample would be too broad to be efficient. The auditor is specifically interested in the debits to the account.
- Answer (B) is incorrect. Analytical procedures provide information as to whether the total expense is reasonable. They do not determine whether specific debits are correct.
- Answer (C) is incorrect. This procedure furnishes some information about the wage component of costs, but it is not relevant to other computer security costs.
- Answer (D) is **correct**. The sample should be taken from the population of interest, that is, debits to the expense account. The proper engagement procedure is to vouch the accounting records to the source documents.

[719] Gleim #: 10.1.8 -- Source: CIA 594 I-10

A production manager for a moderate-sized manufacturer began ordering excessive raw materials and had the materials delivered to a wholesaler the manager runs as a side business. The manager falsified receiving documents and approved the invoices for payment. Which of the following engagement procedures **most** likely will detect this fraud?

- A. Take a sample of cash disbursements; compare purchase orders, receiving reports, invoices, and check copies.
 - B. Take a sample and confirm the amount purchased, purchase price, and date of shipment with the vendors.
 - C. Observe the receiving dock and count materials received; compare the counts to receiving reports completed by receiving personnel.
 - D. Prepare analytical tests comparing production, materials purchased, and raw materials inventory levels and investigate differences.
- Answer (A) is incorrect. Documents have been falsified, and all supporting documents should match for each cash disbursement.
 - Answer (B) is incorrect. All transactions will appear to be valid from the perspective of vendors.
 - Answer (C) is incorrect. Fraudulent orders are shipped to another location. Thus, the receiving dock activities will appear to be satisfactory.
 - Answer (D) is **correct**. Because the materials are shipped to and used in another business, the analytic comparisons (variance analysis) will show an unexplained increase in materials used.

[720] Gleim #: 10.1.9 -- Source: CIA 1190 II-15

To determine whether credit controls are inconsistently applied, preventing valid sales to creditworthy customers, the internal auditor should

- A. Confirm current accounts receivable.
 - B. Trace postings on the accounts receivable ledger.
 - C. Analyze collection rates and credit histories.
 - D. Compare credit histories for those receiving credit and for those denied credit.
- Answer (A) is incorrect. If credit is not granted, there would be no balance to confirm.
 - Answer (B) is incorrect. If credit is not granted, there would be no posting to trace.
 - Answer (C) is incorrect. If credit is not granted, there would be no receivable to collect.
 - Answer (D) is **correct**. Credit policy should maximize profits by balancing bad debt losses and the increase in sales derived from granting credit. One concern in an engagement involving credit management is whether credit policies and procedures are fairly administered.

[721] Gleim #: 10.1.10 -- Source: CIA 595 I-45

The internal audit activity has been assigned to perform an engagement involving a division. Based on background review, the internal auditor knows the following about management policies:

- Organizational policy is to rapidly promote divisional managers who show significant success. Thus, successful managers rarely stay at a division for more than 3 years.
- A significant portion of division management's compensation comes in the form of bonuses based on the division's profitability.

The division was identified by senior management as a turnaround opportunity. The division is growing but is not scheduled for a full audit by the external auditors this year. The division has been growing about 7% per year for the past 3 years and uses a standard cost system.

During the preliminary review, the internal auditor notes the following changes in financial data compared with the prior year:

- Sales have increased by 10%.
- Cost of goods sold has increased by 2%.
- Inventory has increased by 15%.
- Divisional net profit has increased by 8%.

It is November and the internal auditing manager is finalizing plans for a year-end engagement at the division. Based on the data, the engagement procedure with highest priority is to

- A. Select sales transactions and trace shipping documents to entries into cost of goods sold to determine whether all shipments were recorded.
- B. Schedule a complete count of inventory at year-end and have the internal auditor observe and test the year-end inventory.
- C. Schedule a complete investigation of the standard cost system by preparing cost buildups of a sample of products.
- D. Schedule a year-end sales cutoff test.

- Answer (A) is incorrect. Testing sales is appropriate, but the major problem appears to be the existence of inventory, and the internal auditor should start there.
- Answer (B) is **correct**. Given that sales increased by 10% and inventory by 15% while cost of goods sold increased by only 2%, the data indicate that inventory is overstated and cost of goods sold is understated. Inventory might be overstated because of either quantity or cost differences. Because year-end is near, the most appropriate procedure is to begin a physical observation of inventory and extend the engagement to price tests after establishing the existence of inventory.
- Answer (C) is incorrect. Investigating the standard cost system is appropriate, but the major problem appears to be the existence of inventory, and the internal auditor should start there.
- Answer (D) is incorrect. The problem is occurring during normal operations. Because of the red flags, the internal auditor should schedule a cutoff test, but the existing red flags point primarily to a problem with inventory overstatement.

[722] Gleim #: 10.1.11 -- Source: CIA 1196 I-50

Assume the internal auditor becomes concerned that significant fraud may be taking place by dentists who are billing the health care processor for services that were not provided. For example, employees may have their teeth cleaned, but the dentist charges the processor for pulling teeth and developing dentures. The **most** effective procedure to determine whether such a fraud exists is to

- A. Develop a schedule of payments made to individual dentists. Verify that payments were made to the dentists by confirming the payments with the health care processor.
- B. Take a random sample of payments made to dentists and confirm the amounts paid with the dentists' offices to determine that the amounts agree with the amounts billed by the dentists.
- C. Take a random sample of claims submitted by dentists and trace through the system to determine whether the claims were paid at the amounts billed.
- D. Take a discovery sample of employee claims that were submitted through dentist offices, and confirm the type of service performed by the dentist through direct correspondence with the employee who had the service performed.

- Answer (A) is incorrect. Developing a schedule of payments and verifying that the payments were made does not reveal whether the claims were proper or fraudulent.
- Answer (B) is incorrect. Verifying that dentists were paid the amounts that they billed does not reveal whether the claims were proper or fraudulent.
- Answer (C) is incorrect. Verifying that claims were paid at the amounts billed does not reveal whether the claims were proper or fraudulent.
- Answer (D) is **correct**. A discovery sample is used to identify critical errors or irregularities, that is, when a single deviation is critical. This method cannot be used to evaluate the results statistically if deviations are found. Because dentists are suspected of filing fraudulent claims, the auditor should take a discovery sample of employee claims. The internal auditor should then confirm the work done by the dentist according to the claim with the employee. The employee is the best source of information as to whether the service was provided.

[723] Gleim #: 10.1.12 -- Source: CIA 1193 II-9

The internal auditor found that the purchasing department has a policy of setting all purchasing lead times to the highest number of days experienced within each product subassembly, even though some subassemblies required 3 or more months to complete. To address the objective of reducing inventory holding costs related to this policy, the internal auditor should focus on

- A. Reviewing production requirements for a sample of products to determine at which point in the production process materials and subassemblies are needed.
 - B. Evaluating whether product-line assignments were rotated among the members of the purchasing department.
 - C. Identifying signature approval authority among members of the purchasing department in relation to any computer system controls.
 - D. Testing those products having the highest sales to determine the average number of days that the completed products were held in inventory.
- Answer (A) is **correct**. The effect of the current policy is to increase inventory holding costs. Using the longest lead time avoids stockout costs but ensures that many items will be delivered long before they are needed.
 - Answer (B) is incorrect. Rotating assignments would not directly affect holding costs.
 - Answer (C) is incorrect. Approval requirements would not increase holding costs.
 - Answer (D) is incorrect. This would address holding costs for finished goods, but not for raw materials and subassemblies.

[724] Gleim #: 10.1.13 -- Source: CIA 593 I-16

A large manufacturer has a transportation division that supplies gasoline for the organization's vehicles. Gasoline is dispensed by an attendant who records the amount issued on a serially prenumbered gasoline disbursement form, which is then given to the accounting department for proper recording. When the quantity of gasoline falls to a certain level, the service station attendant prepares a purchase requisition and sends it to the purchasing department where a purchase order is prepared and recorded in a gasoline purchases journal. Which of the following engagement procedures will **best** determine whether gasoline disbursements are fully and completely recorded?

- A. Compare the gasoline purchase requisitions with the gasoline disbursement records.
- B. Select a number of gasoline purchases from the gasoline purchases journal and compare them with their corresponding purchase orders and ascertain that they are serially prenumbered, are matched with purchase requisitions, and are authorized by someone independent of employees of the service station.
- C. Perform analytical procedures comparing this period's gasoline consumption with prior periods.
- D. Match the quantity of gasoline disbursed according to disbursement forms with an independent reading of quantity disbursed at the pump.

- Answer (A) is incorrect. Matching the gasoline purchase requisitions with the gasoline disbursement records is not a meaningful procedure. Temperature-related expansion and contraction can cause significant differences between purchases and disbursements.
- Answer (B) is incorrect. Matching entries from the gasoline purchases journal with the corresponding purchase orders ascertains that purchases are supported by proper source documents but does not assure the completeness of the disbursement records.
- Answer (C) is incorrect. Performing analytical procedures does not provide any information regarding proper controls over gasoline purchases.
- Answer (D) is **correct**. Physical information is best obtained through direct observation or inspection by the internal auditor. Because the gasoline disbursement forms are prenumbered, the internal auditor is able to match them with the independent reading of quantity disbursed at the pump to test the completeness of disbursement records.

[725] Gleim #: 10.1.14 -- Source: CIA 1190 II-19

Which of the following engagement techniques would be **most** persuasive in determining that significant inventory values on the books of an acquiree are accurately stated?

- A. Obtain a management representation letter stating that inventory values are correctly stated.
 - B. Flowchart the inventory and warehousing cycle and form an opinion based on the quality of internal controls.
 - C. Conduct a physical inventory and bring in an independent expert if necessary to value inventory items.
 - D. Interview purchasing and materials control personnel to ascertain the quality of internal controls over inventory.
-
- Answer (A) is incorrect. Management certification as a means of attesting inventory values does not provide sufficient, reliable, relevant, and useful information.
 - Answer (B) is incorrect. Flowcharting the internal controls is not an accurate test of inventory value.
 - Answer (C) is **correct**. A physical inventory should almost certainly be requested for an acquisition involving significant inventory values. The internal auditor's direct observation of inventory provides the most reliable information. Appraisal by an outside service provider may be necessary if the internal audit activity lacks the necessary expertise.
 - Answer (D) is incorrect. Testimonial information is not sufficient to determine the correctness of inventory values.

[726] Gleim #: 10.1.15 -- Source: CIA 1193 I-10

Cash receipts should be deposited on the day of receipt or the following business day. Select the **most** appropriate engagement procedure to determine that cash is promptly deposited.

- A. Review cash register tapes prepared for each sale.
 - B. Review the functions of cash handling and maintaining accounting records for proper separation of duties.
 - C. Compare the daily cash receipts totals with the bank deposits.
 - D. Review the functions of cash receiving and disbursing for proper separation of duties.
-
- Answer (A) is incorrect. Cash register tapes will not ensure that cash is deposited.
 - Answer (B) is incorrect. Separating functions will not ensure that cash is deposited.
 - Answer (C) is **correct**. A standard control over the cash receipts function is to require that daily cash receipts be deposited promptly and intact. Hence, the total of cash receipts for a day should equal the bank deposit because no cash disbursements are made from the daily receipts. To determine whether cash receipts are promptly deposited, the internal auditor should compare the daily cash receipts totals with bank deposits.
 - Answer (D) is incorrect. Separate receiving and disbursing functions will not ensure that cash is promptly deposited.

[727] Gleim #: 10.1.16 -- Source: CIA 593 II-19

One of the engagement objectives of a financial audit of the organization's accounts receivable function is to determine whether prescribed standard procedures are followed when credit is granted. Which of the following engagement procedures will produce the **most** reliable information?

- A. Ask management of the credit department if specific policies and procedures are followed when granting credit.
 - B. Select a statistical sample of credit applications and test them for conformance with prescribed procedures.
 - C. Analytically review the relationships between trends in credit sales and bad debts.
 - D. Review procedures for periodically aging accounts receivable.
-
- Answer (A) is incorrect. Interviews with credit department management produce testimonial information that is more useful in gaining an understanding of operations or providing insight into the reasons for exceptions.
 - Answer (B) is **correct**. To determine whether the accounts receivable function is following prescribed standards for the granting of credit, the internal auditor should select a statistical sample of credit applications and test them for conformance with prescribed procedures. Detailed testing of actual credit applications produces direct information about the application (or the lack of application) of specific procedures, for example, authorization of credit by an appropriate individual.
 - Answer (C) is incorrect. Analytical procedures can be used to isolate unusual or unexplained fluctuations but do not locate the cause.
 - Answer (D) is incorrect. An aged accounts receivable schedule provides information about whether a particular account might be collected, not the application of credit procedures.

[728] Gleim #: 10.1.17 -- Source: CIA 588 I-13

In a review of the accounting department's bank reconciliation unit, which of the following is an appropriate engagement procedure to test canceled checks for authorized signatures?

- A. Compare the check date with the first cancellation date.
 - B. Determine that all checks are signed by individuals authorized by the board.
 - C. Examine a representative sample of signed checks and determine that the signatures are authorized in the organization's signature book.
 - D. Complete the tests of controls over check signatures in 4 hours.
-
- Answer (A) is incorrect. Comparing the check date with the first cancellation date has no bearing on a review for authorized signatures.
 - Answer (B) is incorrect. A statement of an engagement objective is not an engagement procedure.
 - Answer (C) is **correct**. Cash disbursements must be properly authorized. The issuance of checks is performed by the treasury function after review of supporting documents, including a payment voucher prepared by the accounts payable department. Proper control procedures require that check-signing responsibility be limited to a few persons whose signatures are kept on file at the financial institutions where the organization has accounts.
 - Answer (D) is incorrect. A time budget goal is not an engagement procedure.

[729] Gleim #: 10.1.18 -- Source: CIA 588 II-23

During an engagement to review the December 31, Year 2, accounts payable balance of a division, the internal auditor has received from the division controller's office a schedule listing the creditors and the amount owed to each at December 31, Year 2. Which of the following engagement procedures **best** determines that no individual account payable has been omitted from the schedule?

- A. Send confirmation requests to a randomly selected sample of creditors listed on the schedule.
- B. Send confirmation requests to creditors listed on the schedule that were not listed on the corresponding December 31, Year 1, schedule.
- C. Examine support for selected January Year 3 payments to creditors, ascertaining that those relating to Year 3 are not on the schedule.
- D. Examine support for selected January Year 3 payments to creditors, ascertaining that those relating to Year 2 are on the schedule.

- Answer (A) is incorrect. Confirmation is unlikely to detect unrecorded amounts owed to creditors not listed on the schedule.
- Answer (B) is incorrect. Confirmation of zero balances might be more useful to detect unrecorded amounts than confirming amounts owed currently.
- Answer (C) is incorrect. This procedure is intended to detect overstatement, not understatement, of Year 2 payables.
- Answer (D) is **correct**. The greatest danger in an engagement involving accounts payable is that unrecorded liabilities exist. Omission of an entry to record a payable is an irregularity more difficult to detect than an inaccurate or false entry. The search for unrecorded payables should include examining cash disbursements made after the balance sheet date for expenditures for goods and services received prior to year-end and comparing them with the accounts payable trial balance, sending confirmations to vendors with zero balances, and reconciling payable balances with vendors' documentation.

[730] Gleim #: 10.1.19 -- Source: CIA 588 I-24

Which is the **best** engagement procedure to obtain information to support the legal ownership of real property?

- A. Examination of board resolutions with regard to approvals to acquire real property.
 - B. Examination of closing documents, deeds, and ownership documents registered and on file in local government records.
 - C. Discussion with the organization's legal counsel concerning the acquisition of a specific piece of property.
 - D. Confirmation with the title company that handled the escrow account and disbursement of proceeds on the closing of the property.
- Answer (A) is incorrect. An examination of board resolutions will not provide information about actual ownership, only approval to acquire the property.
 - Answer (B) is **correct**. Examination of title documents, the deed, and any other supporting documents, such as closing documents, will be helpful in verifying ownership. But these records are not conclusive. An inspection of public records will determine whether any interests in the property (e.g., mortgages, judgment liens, or claims to the title) exist that do not appear in the engagement client's records.
 - Answer (C) is incorrect. The testimony of legal counsel provides only corroborating information.
 - Answer (D) is incorrect. Confirmation with an escrow agent provides information only about the closing. It does not provide information regarding subsequent transactions, such as a mortgage liability not recorded in the accounting records.

[731] Gleim #: 10.1.20 -- Source: CIA 597 I-43

The internal auditors are evaluating the adequacy of the new policies and procedures in maintaining an appropriate risk profile. Which of the following engagement procedures is **least** relevant to the accomplishment of the engagement objective?

- A. Meet with operational management to determine its interpretation of those procedures that are not clear.
- B. Meet with senior management or a board member, if necessary, to clarify policy issues.
- C. Test a sample of investments for compliance with the new procedures.
- D. Review recent regulatory pronouncements to determine whether the new procedures are consistent with regulatory requirements.

- Answer (A) is incorrect. The internal auditors must seek authoritative interpretations of vague operating standards.
- Answer (B) is incorrect. Policy issues that are not clear should be clarified by upper management or the board.
- Answer (C) is **correct**. Based on the results of the risk assessment, the internal audit activity should evaluate the adequacy and effectiveness of controls (for example, the new policies and procedures for monitoring investments and loans) encompassing the organization's governance, operations, and information systems. This should include, among other things, the reliability and integrity of financial information (Standard 2120.A1). Adequacy of risk management, control, and governance processes is present when management plans and designs them so that they provide reasonable assurance that organizational objectives and goals will be achieved efficiently and economically. Testing for compliance with controls is a procedure to determine their effectiveness, that is, whether management has directed processes so that they provide reasonable assurance that organizational objectives and goals will be achieved (PA 2100-1).
- Answer (D) is incorrect. The auditors should determine whether the criteria used by the organization comply with laws, regulations, and contracts.

[732] Gleim #: 10.1.21 -- Source: CIA 04 Model Exam I-94

A company maintains production data on personal computers, connected by a local area network (LAN), and uses the data to generate automatic purchases via electronic data inter-change. Purchases are made from authorized vendors based on production plans for the next month and on an authorized materials requirements plan (MRP) which identifies the parts needed for each unit of production. The production line has experienced shutdowns because needed production parts were not on hand. Which of the following audit procedures would **best** identify the cause of the parts shortages?

- A. Determine if access controls are sufficient to restrict the input of incorrect data into the production database.
 - B. Use generalized audit software to develop a complete list of the parts shortages that caused each of the production shutdowns, and analyze this data.
 - C. Select a random sample of parts on hand per the personal computer databases and compare with actual parts on hand.
 - D. Select a random sample of production information for selected days and trace input into the production database maintained on the LAN.
- Answer (A) is incorrect. Access controls are not necessarily directly relevant. Authorized but incorrect data also could be the problem.
 - Answer (B) is **correct**. Internal auditors apply engagement (audit) procedures to obtain sufficient, competent, relevant, and useful information (evidence) to achieve the internal audit engagement's objectives. Analysis results in an understanding of a situation, set of circumstances, or process. It means understanding a whole by studying its parts. Analysis of a complete list of parts shortages establishes the cause.
 - Answer (C) is incorrect. Testing a sample provides useful information, but it is not as comprehensive as analyzing the complete list of parts shortages.
 - Answer (D) is incorrect. This procedure tests only one source of the data inaccuracy (that is, the input of production data). Other sources of potential error are ignored.

[733] Gleim #: 10.1.22 -- Source: CIA 04 Model Exam I-95

A company maintains production data on personal computers, connected by a local area network (LAN), and uses the data to generate automatic purchases via electronic data inter-change. Purchases are made from authorized vendors based on production plans for the next month and on an authorized materials requirements plan (MRP) which identifies the parts needed for each unit of production. Which of the following audit procedures would be **most** effective in determining if purchasing requirements have been updated for changes in production techniques?

- A. Recalculate parts needed based on current production estimates and the MRP for the revised production techniques. Compare these needs with purchase orders generated from the system for the same period.
- B. Develop test data to input into the LAN and compare purchase orders generated from test data with purchase orders generated from production data.
- C. Use generalized audit software to develop a report of excess inventory. Compare the inventory with current production volume.
- D. Select a sample of production estimates and MRPs for several periods and trace them into the system to determine that input is accurate.

- Answer (A) is **correct**. Recalculating parts needed based on current information and comparing current purchase orders is the most appropriate procedure to determine the cause of the already known problem. This direct comparison of current parts requirements with purchase orders being generated allows for differences to be identified and corrective action taken.
- Answer (B) is incorrect. The test data approach provides evidence that all items entered are processed. Comparison of these results with currently generated purchase orders does not provide evidence about whether the correct parts are being ordered.
- Answer (C) is incorrect. Generalized audit software is a good method to identify an inventory problem. However, the excess inventory may not be the result of a revised production technique.
- Answer (D) is incorrect. This procedure provides evidence about the input of data into the system, but it does not provide evidence about whether changes in the production process have been implemented.

[734] Gleim #: 10.1.23 -- Source: CIA 1189 I-12

To ascertain that all credit sales are recorded in accounts receivable, an internal auditor should

- A. Confirm selected accounts receivable balances by direct correspondence with customers.
 - B. Vouch a sample of subsidiary ledger entries to related sales invoices and to related shipping documents.
 - C. Compare a sample of customer purchase orders with related shipping documents.
 - D. Trace a sample of shipping documents to related sales invoices and the subsidiary ledger.
- Answer (A) is incorrect. Confirming accounts receivable will not detect an unrecorded and unbilled receivable.
 - Answer (B) is incorrect. Vouching entries will not detect an unrecorded and unbilled receivable.
 - Answer (C) is incorrect. Comparing customer orders with shipping documents does not determine whether goods shipped were billed.
 - Answer (D) is **correct**. Customer orders should be approved and sales invoices prepared before shipping documents are created. To determine that all credit sales are recorded, the proper direction of testing is from the shipping records, such as bills of lading, to the sales invoices and the accounts receivable subsidiary ledger.

[735] Gleim #: 10.1.24 -- Source: CIA 04 Model Exam I-93

Divisional management stated that a recent gross margin increase was due to increased efficiency in manufacturing operations. Which of the following audit procedures would be **most** relevant to that assertion?

- A. Obtain a physical count of inventory.
 - B. Select a sample of products, then compare costs-per-unit this year to those of last year, test cost buildups, and analyze standard cost variances.
 - C. Take a physical inventory of equipment to determine if there were significant changes.
 - D. Select a sample of finished goods inventory and trace raw materials cost back to purchase prices in order to determine the accuracy of the recorded raw materials price.
- Answer (A) is incorrect. A physical inventory count is useful only to determine whether the gross margin increase was due to overstated inventory.
 - Answer (B) is **correct**. An analysis of operations is relevant to determining the efficiency of operations. An increase in gross margin (sales – cost of sales) may result from an increase in unit sales or cost of sales, a decrease in unit cost of sales, an increase in inventory, or a combination of these factors. An increase in efficiency implies a greater output for a given level of cost. Accordingly, tests of unit costs and cost balance and analysis of variances are relevant procedures.
 - Answer (C) is incorrect. Simply counting equipment has little relevance to determining whether manufacturing costs per unit have decreased. The count does not determine whether the new equipment (if any) is more efficient.
 - Answer (D) is incorrect. This procedure is relevant in determining the correctness of materials purchases, but it does not provide any evidence regarding the efficiency of operations.

[736] Gleim #: 10.1.25 -- Source: CIA 1188 II-34

One of the objectives of an inventory system audit is to determine whether merchandise levels are replenished on a timely basis. An appropriate audit procedure for this objective involves detailed testing of the

- A. Edit program that lists all quantities sold.
 - B. Update program that creates new part numbers.
 - C. Edit program that lists batch totals for shipments.
 - D. Update program that creates new purchase orders.
-
- Answer (A) is incorrect. Quantities sold decrease the inventory level but do not reflect replenishment activity.
 - Answer (B) is incorrect. New part descriptions indicate activity only for new inventory items.
 - Answer (C) is incorrect. Batch totals for shipments would reflect only general information for lower inventory levels.
 - Answer (D) is **correct**. New purchase orders are evidence of the updating of inventory records for replenishment. An examination of the basis for initiation of orders would determine the timeliness of records. Also, the auditor should monitor perpetual inventory records to determine quantities on hand when restocking shipments are received.

[737] Gleim #: 10.1.26 -- Source: CIA 595 I-41

Observation is considered a reliable audit procedure, but one that is limited in usefulness. However, observation is used in a number of different audit situations. Which of the following statements is true regarding observation as an audit technique?

- A. Observation is the most effective audit methodology to use in filling out internal control questionnaires.
 - B. Observation is the most persuasive methodology to learn how transactions are really processed during the period under audit.
 - C. Observation is rarely sufficient to satisfy any audit assertion other than existence.
 - D. Observation is the most persuasive audit technique for determining if fraud has occurred.
-
- Answer (A) is incorrect. Interviews are the most effective method to fill out questionnaires. The interview results should be supplemented with observations.
 - Answer (B) is incorrect. Observation provides information on how transactions are processed at one moment in time, not how they are processed throughout the period under audit investigation.
 - Answer (C) is **correct**. Observation is effective for verifying whether particular assets such as inventory or equipment exist at a given date. However, it is of limited use in addressing other assertions. Thus, it provides less persuasive evidence about the assertions of completeness, rights, valuation, and presentation and disclosure. For example, merely observing inventory does not determine whether the auditee has rights in it.
 - Answer (D) is incorrect. The auditor will very seldom be able to observe a fraud.

[738] Gleim #: 10.1.27 -- Source: CIA 581 II-26

An individual has been assigned to audit the maintenance department of an organization. Which of the following is likely to produce the **least** reliable audit evidence?

- A. Notes on discussions with mechanics in the maintenance operation.
- B. A schedule comparing actual maintenance expenses with budgeted expenses and those of the prior period and disclosing important differences.
- C. A narrative covering review of user reports on maintenance service.
- D. An analysis of changes in certain maintenance department ratios.

- Answer (A) is **correct**. Although representations by personnel of the auditee are evidence, auditor observation and analysis of documents provide more reliable evidence.
- Answer (B) is incorrect. The comparison provides more reliable evidence relative to the maintenance department's operations. Such documentary evidence is presumably prepared independently of the audited department.
- Answer (C) is incorrect. Reports by users of maintenance services are likewise independent evidence. They are of interest to internal auditors because they bear on the quality of performance.
- Answer (D) is incorrect. Analytical procedures are typically considered more reliable than representations by client personnel.

[739] Gleim #: 10.1.28 -- Source: CIA 1196 I-2

The auditor finds a situation in which one person has the ability to collect receivables, make deposits, issue credit memos, and record receipt of payments. The auditor suspects the individual may be stealing from cash receipts. Which of the following audit procedures will be **most** effective in discovering fraud in this scenario?

- A. Send positive confirmations to a random selection of customers.
 - B. Send negative confirmations to all outstanding accounts receivable customers.
 - C. Perform a detailed review of debits to customer discounts, sales returns, or other debit accounts, excluding cash posted to the cash receipts journal.
 - D. Take a sample of bank deposits and trace the detail in each bank deposit back to the entry in the cash receipts journal.
-
- Answer (A) is incorrect. An employee who performs asset custody, authorization, and recording functions can conceal the theft by debiting customer discounts or sales returns. Customers would be unaware of the activity because their balances would reflect their expectations.
 - Answer (B) is incorrect. An employee who performs asset custody, authorization, and recording functions can conceal the theft by debiting customer discounts or sales returns. Customers would be unaware of the activity because their balances would reflect their expectations.
 - Answer (C) is **correct**. The most effective procedure is to perform a detailed review of debits to customer discounts, sales returns, and other debit accounts. These accounts could be used to conceal a theft of cash payments without alerting customers.
 - Answer (D) is incorrect. Bank deposits will agree with journal entries. The stolen amounts are never recorded.

[740] Gleim #: 10.1.29 -- Source: CIA 1185 II-25

A large university has relatively ineffective internal control. The university's auditor seeks assurance that all tuition revenue has been recorded. The auditor could **best** obtain the desired assurance by

- A. Confirming a sample of tuition payments with the students.
 - B. Observing tuition payment procedures on a surprise basis.
 - C. Comparing business office revenue records with registrar's office records of students enrolled.
 - D. Preparing a year-end bank reconciliation.
-
- Answer (A) is incorrect. Confirmations of payments do not detect unrecorded receipts.
 - Answer (B) is incorrect. Observation is a test of controls, not a substantive test of the completeness assertion for the revenue balance.
 - Answer (C) is **correct**. To be assured that all tuition revenue is being recorded, the auditor must perform substantive tests, which are tests of details and analytical procedures to detect misstatements in an account balance, transaction class, or disclosure component. Comparing business office revenue records with registrar's office records of students enrolled provides analytical evidence based on independently generated records.
 - Answer (D) is incorrect. Preparing a year-end bank reconciliation would only detect an unrecorded deposit or other cash accounting error.

[741] Gleim #: 10.1.30 -- Source: CMA 686 3-18

The **most** effective audit procedure for determining the collectibility of an account receivable is the

- A. Confirmation of the account.
 - B. Examination of the related sales invoice(s).
 - C. Review of the subsequent cash collections.
 - D. Review of authorization of credit sales to the customer and the previous history of collections.
-
- Answer (A) is incorrect. A confirmation of the account provides evidence that a contract exists and that the debtor acknowledges the debt. Confirmation tends to be more effective in providing evidence about the existence than the valuation (collectibility) assertion.
 - Answer (B) is incorrect. Examination of the related sales invoice(s) is a test of the validity, not the collectibility, of a receivable.
 - Answer (C) is **correct**. Collectibility pertains to the assertion of valuation. It is the principal issue with regard to the adequacy of the allowance for doubtful accounts. The best way to determine collectibility is to learn whether the receivable was subsequently collected. Reviewing the subsequent collection of the receivable is the only means of gaining complete assurance that the amount will be paid.
 - Answer (D) is incorrect. Experience is a good indicator of collectibility but is not as good as collection.

[742] Gleim #: 10.1.31 -- Source: CIA 1193 II-24

A firm has recently converted its purchasing cycle from a manual system to an online computer system. The internal auditor in charge of the first post-implementation audit of the new system has access to a generalized audit software package. One audit objective is to determine whether all material liabilities for trade accounts payable have been recorded. Which of the following is **most** useful in achieving this objective?

- A. A listing of all purchase transactions processed after the cutoff date.
 - B. A listing of all accounts payable ledger accounts with a post office box given as the vendor mailing address.
 - C. A listing of all duplicate purchase orders, receiving reports, and vendor invoices.
 - D. A listing of all vendors with a debit balance in the accounts payable ledgers.
-
- Answer (A) is **correct**. Examining a listing of all purchase transactions processed after the cutoff date tests the completeness of accounts payable. It investigates the possibility that accounts payable have been recorded in the wrong period.
 - Answer (B) is incorrect. Listing payables with post office boxes is useful in the detection of fraud, but has little efficacy in the determination of the completeness of accounts payable.
 - Answer (C) is incorrect. Listing duplicate documents is not helpful in the search for all legitimate accounts payable.
 - Answer (D) is incorrect. Liability accounts typically have a credit balance. An account payable with a debit balance is often the result of the misclassification of a receivable. The result of such an error is the overstatement of accounts payable. The internal auditor is testing for an understatement of accounts payable.

[743] Gleim #: 10.1.32 -- Source: CIA 589 II-21

In a payables application, checks are authorized and paid based on matching purchase orders, receiving reports, and vendor invoices. Partial payments are common. An appropriate audit procedure for verifying that a purchase order has **not** been paid twice is to sort the

- A. Receiving report file by purchase order, compute total amounts received by purchase order, compare total amounts received with purchase order amounts, and investigate any discrepancies between the total amounts received and purchase order amounts.
 - B. Vendor invoice file by purchase order, compute total amounts invoiced by purchase order, compare total amounts invoiced with purchase order amounts, and investigate any discrepancies between the total amounts invoiced and purchase order amounts.
 - C. Receiving report file by vendor invoice amounts and investigate any discrepancies between the total amounts received and vendor invoice amounts.
 - D. Check register file by purchase order, compute total amounts paid by purchase order, compare total amounts paid with purchase order amounts, and investigate any discrepancies between the total amounts paid and purchase order amounts.
- Answer (A) is incorrect. The procedure described compares goods received with goods ordered.
 - Answer (B) is incorrect. The procedure described compares goods invoiced by the vendor and goods ordered.
 - Answer (C) is incorrect. The procedure described compares goods received and goods invoiced.
 - Answer (D) is **correct**. The audit objectives for payables include the discovery of unrecorded liabilities and overpayments. Effective internal control over payments avoids these problems by matching supporting documents, using proper check preparation methods, and providing for stringent authorization procedures. The audit process described tests the effectiveness of internal control over payments in a way that merely tracing a sample of checks to purchase orders could not.

[744] Gleim #: 10.1.33 -- Source: CIA 1187 I-9

Using a wide variety of solicitation techniques, a large public charity raises funds for medical research from the general public. In an audit of donations, the internal auditor is **least** likely to use which of the following audit procedures?

- A. Written confirmation of a sample of direct mail pledges.
 - B. Reconciliation of depository bank accounts.
 - C. Surprise observation of door-to-door solicitation teams.
 - D. Reconciliation of raffle tickets sold to amounts deposited in the bank.
- Answer (A) is incorrect. Written confirmation of mail pledges provides evidence of existence.
 - Answer (B) is incorrect. Reconciliation of depository bank accounts provides evidence of the completeness of cash.
 - Answer (C) is **correct**. An analysis of the instructions given to door-to-door solicitation teams is more appropriate than a surprise observation. The lack of materiality of individual donations, the presence of other controls, and the inability to sample enough teams all make direct observation an inefficient audit procedure.
 - Answer (D) is incorrect. Reconciliation of raffle tickets sold to amounts deposited in the bank tests completeness of the raffle revenues.

[745] Gleim #: 10.1.34 -- Source: CIA 1195 I-25

The auditor of a construction company that builds foundations for bridges and large buildings performed a review of the expense accounts for equipment (augers) used to drill holes in rocks to set the foundation for the buildings. During the review, the auditor noted that the expenses related to some of the auger accounts had increased dramatically during the year. The auditor inquired of the construction manager who offered the explanation that the augers last two to three years and are expensed when purchased. Thus, the auditor should see a decrease in the expense accounts for these augers in the next year but would expect an increase in the expenses of other augers. The auditor also found out that the construction manager is responsible for the inventorying and receiving of the augers and is a part owner of a company that supplies augers to the company. The supplier was approved by the president of the company to improve the quality of equipment.

Which of the following procedures is the **least** appropriate engagement procedure to address these analytical observations?

- A. Note the explanation in the working papers for investigation during the next engagement and perform no further work at this time.
- B. Develop a comparative analysis of auger expense over the past few years to determine if the relationship held in previous years.
- C. Take a sample of debits to the auger expense account and trace to independent shipping documents and to invoices for the augers.
- D. Arrange to take an inventory of augers to determine if the augers purchased this year were on hand and would be available for use in the next 2 years.

- Answer (A) is **correct**. Performing no further work is the least appropriate engagement procedure because it defers the investigation to the following year. The construction manager's conflict of interest provides the motive for fraud, and the ineffective controls allow its commission and concealment.
- Answer (B) is incorrect. A comparative analysis is an effective procedure to establish the reasonableness of the manager's explanation. If the relationship is valid, it should also have held in previous years.
- Answer (C) is incorrect. The internal auditor should obtain independent information as to whether the goods invoiced were received. The internal auditor should search for receiving reports signed by parties other than the construction manager and should verify that those individuals exist. The construction manager is in a position to bill the organization for more augers than are actually received and to conceal the shortage.
- Answer (D) is incorrect. Taking an inventory of the augers enables the internal auditor to verify their existence and condition.

[746] Gleim #: 10.1.35 -- Source: CIA 597 I-44

The internal auditors of a financial institution are evaluating the institution's investing and lending activities. During the last year, the institution has adopted new policies and procedures for monitoring investments and the loan portfolio. The internal auditors know that the organization has invested in new types of financial instruments during the year and is heavily involved in the use of financial derivatives to hedge risks appropriately. The audit committee has expressed concern that the financial institution has been taking on higher-risk loans in pursuit of short-term profit goals. Which of the following engagement procedures provides the **least** amount of information to address this concern?

- A. Perform an analytical review of interest income as a percentage of the investment portfolio in comparison with a group of peer financial institutions.
- B. Take a random sample of loans made during the period and compare the riskiness of the loans with that of a random sample of loans made 2 years ago.
- C. Perform an analytical review that involves developing a chart to compare interest income plotted over the past 10 years.
- D. Develop a multiple-regression time-series analysis of income over the past 5 years including such factors as interest rate in the economy, size of loan portfolio, and monetary amount of new loans each year.

- Answer (A) is incorrect. Higher-risk loans should generate higher short-term interest income compared with that earned by comparable institutions. Higher-risk loans have higher yields.
- Answer (B) is incorrect. A historical comparison of loan risk for the institution addresses the engagement objective.
- Answer (C) is **correct**. Plotting the changes in interest income over the past 10 years is the least useful procedure. It does not consider other important factors, such as size of the portfolio, changes in interest rates, the development of new financial instruments, the level of inflation, and government regulation.
- Answer (D) is incorrect. Multiple regression explains the change in a dependent variable (interest income) attributable to two or more independent variables. Thus, it allows the internal auditor to estimate how much of the change might be due to a change in the riskiness of the loans.

[747] Gleim #: 10.1.36 -- Source: CIA 593 I-15

An internal audit activity has stated an engagement objective of determining whether property, plant, and equipment employed in manufacturing are properly reflected in the accounting records. Which of the following approaches is likely to be **most** useful in meeting this objective?

- A. Interviewing members of the accounting department.
 - B. Examining documentation concerning the cost of property, plant, and equipment used in the manufacturing process.
 - C. Inspecting property, plant, and equipment used in the manufacturing process and tracing to the asset subsidiary ledger.
 - D. Selecting items from the asset subsidiary ledger and recalculating depreciation.
- Answer (A) is incorrect. Interviewing members of the accounting department does not provide direct information about the existence of property, plant, and equipment.
 - Answer (B) is incorrect. Examining documentation concerning the cost of property, plant, and equipment used in the manufacturing process does not provide direct information about the existence of property, plant, and equipment assets.
 - Answer (C) is **correct**. Direct knowledge obtained through the internal auditor's physical observation is the most reliable information about the existence of property, plant, and equipment. Inspecting the assets and tracing them to the asset subsidiary ledger provides specific information about whether they exist and are properly recorded.
 - Answer (D) is incorrect. Selecting items from asset subsidiary ledger and recalculating depreciation does not provide direct information about the existence of property, plant, and equipment.

[748] Gleim #: 10.1.37 -- Source: CIA 595 I-19

Management of a telephone and cable television enterprise has requested an engagement to evaluate its service department. The department is responsible for handling all customer inquiries regarding telephone or cable performance and assigning staff personnel to fix the problem, installing new cable lines and hooking them up to the customer's home, selling complementary products such as designer telephones, selling complementary services such as premium cable television services, and additional telephone services such as call-waiting, three-line hookup, etc.

Management is very customer oriented and has a policy that 95% of customer complaints or inquiries must be fully addressed to the customer's satisfaction within 24 hours of receiving the call. All customer service inquiries that require a service technician must be logged in by the responding service agent. Although the department exists to handle customer needs, it is also viewed by management as a profit center. All revenue is generated from the sale of complementary services or equipment and from service revenue. The department has been in existence for only three years and management has not developed a mechanism to evaluate the department's performance. However, management is concerned that the department might not be meeting management's goals.

During the preliminary planning, the following information is gathered.

Preliminary Information	Current Year (19X3)	Prev. Year (19X2)	Prior Year (19X1)
Number of complaints logged	37,500	35,000	34,000
Number of service calls at customer locations	10,080	10,000	8,640
Number of customers	1,250,000	1,100,000	1,000,000
Service call revenue	US \$ 510,000	US \$ 500,000	US \$ 432,000
Sales of complementary services or equipment	US \$6,250,000	US \$4,400,000	US \$3,750,000
Number of support staff	7	7	5
Number of technicians	7	7	6
Total Service Department costs	US \$1,344,000	US \$1,275,000	US \$1,056,000

If the data are correct, which of the following conclusions reached by the internal auditor is justified?

- I. The rate of customer complaints logged is decreasing.
 - II. The number of service calls made at customer locations seems to be more closely related to the number of technicians than the number of customer complaints.
 - III. The average sale of complementary services has remained about the same per customer.
- A. I, II, and III.
 - B. I and II.
 - C. II and III.
 - D. II only.
- Answer (A) is incorrect. Over the last two years, the increase in sales of complementary services was 67%, but the increase in the number of customers was only 25%. In previous years, the average customer purchased about US \$4 of complementary services. In the current year, this amount has risen to about US \$5.
 - Answer (B) is **correct**. The rate of customer complaints (customer complaints ÷ number of customers) has decreased each year from approximately 3.4% two years ago to 3.0% in the current year. However, the number of service calls appears to be closely related to the number of technicians (7 in the last two years, but only 6 in the prior year). The number of service calls increased dramatically when an additional technician was hired.
 - Answer (C) is incorrect. Over the last two years, the increase in sales of complementary services was 67%, but the increase in the number of customers was only 25%. In previous years, the average customer purchased about US \$4 of complementary services. In the current year, this amount has risen to about US \$5.
 - Answer (D) is incorrect. Item I is also a justifiable conclusion.

[749] Gleim #: 10.1.38 -- Source: CIA 595 I-20

Management of a telephone and cable television enterprise has requested an engagement to evaluate its service department. The department is responsible for handling all customer inquiries regarding telephone or cable performance and assigning staff personnel to fix the problem, installing new cable lines and hooking them up to the customer's home, selling complementary products such as designer telephones, selling complementary services such as premium cable television services, and additional telephone services such as call-waiting, three-line hookup, etc.

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Based on the data, the internal auditor can justifiably conclude that

- I. Total revenue is increasing more rapidly than is total cost.
 - II. The service department is more efficient because revenue has increased dramatically in the current year.
 - III. The service department is more efficient because revenue has increased by a greater percentage than the increase in costs in the current year.
 - IV. The service department has excess capacity because 11 total staff members serviced 1,000,000 customers. Thus, 14 total staff members should be able to service more than 1,250,000 customers.
- A. I, II, III, IV.
 - B. I, II, and III.
 - C. III and IV only.
 - D. I only.

- Answer (A) is incorrect. The evidence is not sufficient to reach either conclusion II or III. The increase in revenue may be due more to greater demand by customers or special promotions by the company than to the efficiency of the department. Similarly, conclusion III is not justified because cost seems to be related to the number of employees, and the amount of service performed per staff member, especially technicians, does not show any increase. Conclusion IV is not appropriate because each staff member is supporting over approximately 90,000 customers under both scenarios. Thus, a conclusion of excess capacity is not justified.
- Answer (B) is incorrect. The evidence is not sufficient to reach either conclusion II or III. The increase in revenue may be due more to greater demand by customers or special promotions by the company than to the efficiency of the department. Similarly, conclusion III is not justified because cost seems to be related to the number of employees, and the amount of service performed per staff member, especially technicians, does not show any increase.
- Answer (C) is incorrect. The evidence is not sufficient to reach either conclusion III or IV. Conclusion III is not justified because cost seems to be related to the number of employees, and the amount of service performed per staff member, especially technicians, does not show any increase. Conclusion IV is not appropriate because each staff member is supporting over approximately 90,000 customers under both scenarios. Thus, a conclusion of excess capacity is not justified.
- Answer (D) is **correct**. Sales have increased more rapidly than costs. Most of the increase, however, is due to the increase in the average purchase of complementary services per customer.

[750] Gleim #: 10.1.39 -- Source: CIA 595 I-21

Management of a telephone and cable television enterprise has requested an engagement to evaluate its service department. The department is responsible for handling all customer inquiries regarding telephone or cable performance and assigning staff personnel to fix the problem, installing new cable lines and hooking them up to the customer's home, selling complementary products such as designer telephones, selling complementary services such as premium cable television services, and additional telephone services such as call-waiting, three-line hookup, etc.

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The **best** engagement procedure to determine whether the organization is meeting its objective of satisfying 95% of customer inquiries within 24 hours is to

- A. Select an attribute sample from the population of logged-in customer complaints and trace to records indicating its disposition, noting time and nature of disposition.
 - B. Develop a customer satisfaction survey and send it to all customers, and include a question about the timeliness of service.
 - C. Develop a customer satisfaction survey and send it to a statistically selected sample of customers based on mean-per-unit sampling and ask them to identify the time it took for the service department to satisfactorily address their problem. Calculate a mean and standard deviation.
 - D. Select a mean-per-unit statistical sample from the total population base and trace the sample to the customer complaint log to determine whether or not 95% of the sample had their complaints addressed within 24 hours.
- Answer (A) is **correct**. The best method is to take an attribute sample from the log of customer complaints. Whether inquiries have been satisfied promptly is a yes/no, either/or proposition appropriate for this sampling method. The sampled items should be traced to documentation that should evidence the completion of customer service.
 - Answer (B) is incorrect. Surveying all customers would be costly. The procedure also has two additional faults: (1) the customer might not recall the time necessary for the repair, and (2) the customer might not respond.
 - Answer (C) is incorrect. Surveying a sample of customers suffers from the same two faults noted above. Moreover, MPU is a variables sampling technique that is appropriate for testing values, not binary propositions.
 - Answer (D) is incorrect. Sampling from the total customer population is inefficient. Not all customers have complained during the year. Also MPU is inappropriate.

[751] Gleim #: 10.1.40 -- Source: CIA 595 I-22

Management of a telephone and cable television enterprise has requested an engagement to evaluate its service department. The department is responsible for handling all customer inquiries regarding telephone or cable performance and assigning staff personnel to fix the problem, installing new cable lines and hooking them up to the customer's home, selling complementary products such as designer telephones, selling complementary services such as premium cable television services, and additional telephone services such as call-waiting, three-line hookup, etc.

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The internal auditor wishes to investigate whether the number of service calls is based more on the number of service technicians than on the number of complaints that actually merit service. The following are four engagement procedures that would be performed in sequence. Indicate when the internal auditor should have sufficient information to reach a conclusion on the assertion.

- Step 1: Perform an analytical review by comparing the number of service calls per service technician and determine the average number of calls per year by technician.
- Step 2: Obtain the customer complaint backlog file and determine the extent to which there is a backlog of service complaints that need to be addressed. Calculate an average number of backlogged complaints per technician.
- Step 3: Send a confirmation to all customers who are shown on the backlog of complaints requesting information on the length of time for the backlog.
- Step 4: Based on the customer's response in Step 3, calculate an average number of backlog complaints and determine the number of new service technicians that would have to be added to address the complaints.

The engagement assertion will be sufficiently addressed when the following steps are completed:

- A. Step 1.
- B. Steps 1 and 2.
- C. Steps 1, 2, and 3.
- D. Steps 1, 2, 3, and 4.

- Answer (A) is incorrect. Step 1 establishes a relationship between service calls and service technicians but does not address the demand factor.
- Answer (B) is **correct**. Step 1 establishes that the number of service calls is directly correlated with the number of technicians. Step 2 supplements Step 1 by gathering information regarding the backlog of service complaints. The absence of a backlog would suggest that the increase in service calls is more closely related to the number of technicians than to increased demand between service calls and service technicians, but both are related to the demand for such service.
- Answer (C) is incorrect. Information from customers shown on the backlog is no better than that obtained in Step 2.
- Answer (D) is incorrect. Information from customers shown on the backlog is no better than that obtained in Step 2.

[752] Gleim #: 10.1.41 -- Source: CIA 589 I-9

Which of the following is the primary advantage of using an internal control questionnaire?

- A. The questionnaire provides a clear picture of the interrelationships that exist between the various controls.
 - B. The questionnaire reduces the risk of overlooking important aspects of the system.
 - C. The questionnaire forces an internal auditor to acquire a full understanding of the system.
 - D. The negative responses indicate the only areas needing further engagement work.
- Answer (A) is incorrect. The understanding can only be obtained by applying a variety of procedures, including but not limited to use of questionnaires, observation, interviews, flowcharting, and examination of documentation.
 - Answer (B) is **correct**. An internal control questionnaire consists of a series of questions about control designed to prevent or detect errors or fraud. Answers to the questions help the internal auditor to identify specific controls relevant to specific assertions and to design tests of controls to evaluate the effectiveness of their design and operation. The questionnaire provides a framework to assure that specific concerns are not overlooked, but it is not a sufficient means of understanding the entire system.
 - Answer (C) is incorrect. The understanding can only be obtained by applying a variety of procedures, including but not limited to use of questionnaires, observation, interviews, flowcharting, and examination of documentation.
 - Answer (D) is incorrect. Tests of compliance must still be performed to determine whether controls said to be in use are actually in place and operating effectively.

[753] Gleim #: 10.1.42 -- Source: CIA 1193 I-11

Select the appropriate population from which to draw a sample when the engagement objective is to evaluate compliance with controls designed to ensure that all shipments are billed.

- A. Prenumbered customer invoices.
 - B. Customer accounts receivable.
 - C. Prenumbered shipping documents.
 - D. Cash receipts records.
- Answer (A) is incorrect. Sampling invoices will not detect shipments that have not been invoiced.
 - Answer (B) is incorrect. Sampling receivables will not detect shipments that have not been invoiced.
 - Answer (C) is **correct**. The proper direction of testing is from the shipping documents to the billing documents. Tracing a sample of the shipping documents to customer invoices tests whether each recorded shipment has been billed.
 - Answer (D) is incorrect. Sampling cash receipts will not detect shipments that have not been invoiced.

[754] Gleim #: 10.1.43 -- Source: CIA 1193 I-9

During the year-end physical inventory process, the internal auditor observed items of significant value staged in the shipping area and marked "Sold -- Do Not Inventory." The customer had been on credit hold for 3 months because of bankruptcy proceedings, but the sales manager had ordered the shipping supervisor to treat the inventory as sold for physical inventory purposes. The internal auditor noted the terms of sale were FOB Warehouse. After confirming no change in organizational policy, the internal auditor should

- A. Recommend that the inventory staged in the shipping area be counted and included along with the rest of the physical inventory results.
- B. Make test counts and trace the results to appropriate records to ensure that the cost is properly relieved from inventory.
- C. Follow up with appropriate procedures to ensure that the inventory staged in the shipping area appears on related invoicing documentation.
- D. Request copies of the signed bills of lading to include with working papers for this physical inventory.

- Answer (A) is **correct**. The physical inventory process is a periodic control to ensure that sales-related controls are effective. Improperly excluding inventory from physical count inflates revenues and profitability for the current period. The only issue is whether the items should be included. Given that payment is unlikely to be remitted because of the bankruptcy proceedings, the inventory will ultimately be resold and therefore should be included in the physical count.
- Answer (B) is incorrect. The inventory has not been sold and transacted according to established procedures.
- Answer (C) is incorrect. The inventory has not been sold and transacted according to established procedures.
- Answer (D) is incorrect. The inventory has not been sold and transacted according to established procedures.

[755] Gleim #: 10.1.44 -- Source: CIA 596 I-15

A manufacturer's inventory includes a significant investment in precious metals. The internal auditors' review of management's system of internal controls over these items **most** likely includes

- I. Reviewing procedures to ensure that the value of the materials is properly stated on the balance sheet.
- II. Reviewing materials acquisition forms for approvals and tracing release forms to perpetual inventory records to verify that inventory is issued upon proper authorization.
- III. Observing inventory transactions to ascertain if materials thefts are occurring.
- IV. Reviewing the manufacturing department's system for comparing the usage of these metals with standards.

- A. III and IV.
- B. I and IV.
- C. I only.
- D. II and III.

- Answer (A) is incorrect. Observing inventory transactions is not likely to identify materials thefts.
- Answer (B) is **correct**. An internal auditor must conduct substantive tests to verify the reported inventory valuation, for example, by observing inventory taking, considering the quality of inventory on hand, and testing inventory pricing. In the case of precious metals, market prices may be volatile. Furthermore, a fundamental component of the control loop is comparison of actual results with standards (e.g., budgeted amounts).
- Answer (C) is incorrect. The internal auditor should review procedures for comparing actual and budgeted usage.
- Answer (D) is incorrect. Tracing inventory issuance forms to inventory records does not ensure proper authorizations. Instead, the inventory issuance forms should be compared with authorized materials requisitions.

[756] Gleim #: 10.1.45 -- Source: CIA 595 I-46

The internal audit activity has been assigned to perform an engagement involving a division. Based on background review, the internal auditor knows the following about management policies:

- Organizational policy is to rapidly promote divisional managers who show significant success. Thus, successful managers rarely stay at a division for more than 3 years.
- A significant portion of division management's compensation comes in the form of bonuses based on the division's profitability.

The division was identified by senior management as a turnaround opportunity. The division is growing but is not scheduled for a full audit by the external auditors this year. The division has been growing about 7% per year for the past 3 years and uses a standard cost system.

During the preliminary review, the internal auditor notes the following changes in financial data compared with the prior year:

- Sales have increased by 10%.
- Cost of goods sold has increased by 2%.
- Inventory has increased by 15%.
- Divisional net profit has increased by 8%.

If the internal auditor decides that significant problems exist in the standard cost system, the next procedure to perform is to

- A. Interview divisional management to determine why the standard cost system has not been updated on a timely basis.
 - B. Select a random sample of products and review the standard cost buildup by tracing purchases to the standard cost record.
 - C. Use generalized audit software to prepare a listing of gross margin by product by comparing standard cost with sales price. Select all high gross margin items for further investigation.
 - D. Schedule all variances and determine their source and their disposition, i.e., whether they are allocated to inventory or cost of goods sold.
-
- Answer (A) is incorrect. Interviewing management to determine why the standard costs have not been updated is premature when the internal auditor does not yet have information that the standard costs are misstated.
 - Answer (B) is incorrect. Tracing purchases to the standard cost record is insufficient. The internal auditor also needs to test for proper allocation of labor and overhead costs.
 - Answer (C) is incorrect. Selecting products with high gross margins may have merit, but there is no indication that higher gross margin products are the ones with standard cost problems.
 - Answer (D) is **correct**. A problem with standard costs will be indicated by variances. Because variance analysis is an analytical procedure, it is not costly and provides the best direction for further detailed testing. Moreover, improper disposition of significant variances may contribute to misstatement of cost of sales and inventories.

[757] Gleim #: 10.1.46 -- Source: IIA, adapted

Questions used to interrogate individuals suspected of fraud should

- A. Adhere to a predetermined order.
- B. Cover more than one subject or topic.
- C. Move from the general to the specific.
- D. Direct the individual to a desired answer.

- Answer (A) is incorrect. The interviewee's answer may suggest a follow-up question that should be asked before asking the next planned question.
- Answer (B) is incorrect. This interviewing technique may be confusing for the respondent.
- Answer (C) is **correct**. Internal auditors should be skilled in dealing with people and in communicating effectively. One important communications skill is the ability to conduct an effective interview. For example, initial questions in a fraud interview should be broad. In contrast with a directive approach emphasizing narrowly focused questions, this nondirective approach is more likely to elicit clarifications and unexpected observations from employees who are under suspicion.
- Answer (D) is incorrect. The interrogator should avoid leading questions, that is, questions that suggest an answer.

[758] Gleim #: 10.1.47 -- Source: CIA 594 II-16

Checklists used to assess risk have been criticized for all of the following reasons **except**

- A. Providing a false sense of security that all relevant factors are addressed.
 - B. Inappropriately implying equal weight to each item on the checklist.
 - C. Decreasing the uniformity of data acquisition.
 - D. Being incapable of translating the experience or sound reasoning intended to be captured by each item on the checklist.
- Answer (A) is incorrect. A checklist may omit factors the importance of which could not be foreseen.
 - Answer (B) is incorrect. Each item will not be of equal significance.
 - Answer (C) is **correct**. Checklists increase the uniformity of data acquisition. They ensure that a standard approach to assessing risk is taken and minimize the possibility of omitting consideration of factors that can be anticipated.
 - Answer (D) is incorrect. A checklist does not substitute for the sound professional judgment needed to understand the process of assessing risk.

[759] Gleim #: 10.2.48 -- Source: CIA 1193 I-45

A primary purpose of establishing a code of conduct within a professional organization is to

- A. Reduce the likelihood that members of the profession will be sued for substandard work.
 - B. Ensure that all members of the profession perform at approximately the same level of competence.
 - C. Promote an ethical culture among professionals who serve others.
 - D. Require members of the profession to exhibit loyalty in all matters pertaining to the affairs of their organization.
- Answer (A) is incorrect. Although this result may follow from establishing a code of conduct, it is not the primary purpose. To consider it so would be self-serving.
 - Answer (B) is incorrect. A code of conduct may help to establish minimum standards of competence, but it would be impossible to legislate equality of competence by all members of a profession.
 - Answer (C) is **correct**. The IIA Code of Ethics is typical. Its purpose is "to promote an ethical culture in the profession of internal auditing." The definition of internal auditing states that it is "an independent, objective assurance and consulting activity." Moreover, internal auditing is founded on "the trust placed in its objective assurance about risk management, control, and governance." The IIA Code of Ethics further emphasizes that it provides guidance to internal auditors "serving others."
 - Answer (D) is incorrect. In some situations, responsibility to the public at large may conflict with and be more important than loyalty to one's organization.

[760] Gleim #: 10.2.49 -- Source: CIA 1196 I-16

In analyzing the differences between two recently merged businesses, the chief audit executive of Organization A notes that it has a formal code of ethics and Organization B does not. The code of ethics covers such things as purchase agreements, relationships with vendors, and other issues. Its purpose is to guide individual behavior within the firm. Which of the following statements regarding the existence of the code of ethics in A can be logically inferred?

- I. A exhibits a higher standard of ethical behavior than does B.
 - II. A has established objective criteria by which an individual's actions can be evaluated.
 - III. The absence of a formal code of ethics in B would prevent a successful review of ethical behavior in that organization.
- A. I and II.
 - B. II only.
 - C. III only.
 - D. II and III.
- Answer (A) is incorrect. The mere existence of A's code of ethics does not assure that its tenets are followed.
 - Answer (B) is **correct**. A formal code of ethics effectively communicates acceptable values to all members, provides a method of policing and disciplining members for violations, establishes objective standards against which individuals can measure their own performance, and communicates the organization's value system to outsiders.
 - Answer (C) is incorrect. A review of ethical behavior is not dependent on the existence of a formal code of ethics. Policies, however, may provide the criteria for such an engagement.
 - Answer (D) is incorrect. A review of ethical behavior is not dependent on the existence of a formal code of ethics. Policies, however, may provide the criteria for such an engagement.

[761] Gleim #: 10.2.50 -- Source: CIA 1193 I-44

A code of conduct was developed several years ago and distributed by a large financial institution to all its officers and employees. What is the internal auditor's **best** approach to providing the board with the highest level of comfort about the code of conduct?

- A. Fully evaluate the comprehensiveness of the code and compliance with it and report the results to the board.
 - B. Fully evaluate organizational practices for compliance with the code, and report to the board.
 - C. Review employee activities for compliance with provisions of the code, and report to the board.
 - D. Perform tests on various employee transactions to detect potential violations of the code of conduct.
- Answer (A) is **correct**. When evaluating a code of conduct, it is important to consider two items: comprehensiveness and compliance. The code should address the ethical issues that the employees are expected to encounter and provide suitable guidance. The internal auditor also must consider the extent to which employees are complying with the standards established.
 - Answer (B) is incorrect. Evaluating practices and reporting to the board is not the best approach.
 - Answer (C) is incorrect. Reviewing employee activities does not provide as much comfort about the code of conduct as evaluation of comprehensiveness.
 - Answer (D) is incorrect. Performing tests on employee transactions is not the best approach.

[762] Gleim #: 10.2.51 -- Source: CIA 1193 II-44

An accounting association established a code of ethics for all members. What is one of the association's primary purposes of establishing the code of ethics?

- A. To outline criteria for professional behavior to maintain standards of integrity and objectivity.
- B. To establish standards to follow for effective accounting practice.
- C. To provide a framework within which accounting policies could be effectively developed and executed.
- D. To outline criteria that can be used in conducting interviews of potential new accountants.

- Answer (A) is **correct**. The IIA Code of Ethics includes Principles and Rules of Conduct. Internal auditors are expected to apply and uphold four principles: integrity, objectivity, confidentiality, and competence.
- Answer (B) is incorrect. National standard-setting bodies, not a code of ethics, provide guidance for effective accounting practice.
- Answer (C) is incorrect. A code of ethics does not provide the framework within which accounting policies are developed.
- Answer (D) is incorrect. The primary purpose is not for interviewing new accountants.

[763] Gleim #: 10.2.52 -- Source: CIA 1193 II-46

A review of an organization's code of conduct revealed that it contained comprehensive guidelines designed to inspire high levels of ethical behavior. The review also revealed that employees were knowledgeable of its provisions. However, some employees still did not comply with the code. What element should a code of conduct contain to enhance its effectiveness?

- A. Periodic review and acknowledgment by all employees.
 - B. Employee involvement in its development.
 - C. Public knowledge of its contents and purpose.
 - D. Provisions for disciplinary action in the event of violations.
- Answer (A) is incorrect. Periodic review and acknowledgment would ensure employee knowledge and acceptance of the code, which are not at issue.
 - Answer (B) is incorrect. Employee involvement in development would encourage employee acceptance, which is not at issue.
 - Answer (C) is incorrect. Public knowledge might affect the behavior of some individuals but not to the same extent as the perceived likelihood of sanctions for wrongdoing.
 - Answer (D) is **correct**. Penalties for violations of a code of conduct should enhance its effectiveness. Some individuals will be deterred from misconduct if they expect it to be detected and punished.

[764] Gleim #: 10.2.53 -- Source: CIA 590 I-43

The **best** reason for establishing a code of conduct within an organization is that such codes

- A. Are typically required by governments.
 - B. Express standards of individual behavior for members of the organization.
 - C. Provide a quantifiable basis for personnel evaluations.
 - D. Have tremendous public relations potential.
- Answer (A) is incorrect. Governments typically have no such requirement.
 - Answer (B) is **correct**. An organization's code of ethical conduct is the established general value system the organization wishes to apply to its members' activities by communicating organizational purposes and beliefs and establishing uniform ethical guidelines for members, which include guidance on behavior for members in making decisions. Because laws and specific rules cannot cover all situations, organizations can benefit from having an established ethical code. It effectively communicates acceptable values to all members, including recruits and subcontractors. It also provides a method of policing and disciplining members for violations through formal review panels and group pressure (informal). A code establishes high standards against which individuals can measure their own performance and communicates to those outside the organization the value system from which its members must not be asked to deviate.
 - Answer (C) is incorrect. Codes of conduct provide qualitative, not quantitative, standards.
 - Answer (D) is incorrect. Other purposes of a code of conduct are much more significant.

[765] Gleim #: 10.2.54 -- Source: CIA 593 II-42

Which of the following statements is not appropriate to include in a manufacturer's conflict of interest policy? An employee shall not

- A. Accept money, gifts, or services from a customer.
- B. Participate (directly or indirectly) in the management of a public agency.
- C. Borrow from or lend money to vendors.
- D. Use organizational information for private purposes.

- Answer (A) is incorrect. A conflict of interest policy should prohibit the transfer of benefits between an employee and those with whom the organization deals.
- Answer (B) is **correct**. A prohibition on public service is ordinarily inappropriate. Public service is a right, if not a duty, of all citizens.
- Answer (C) is incorrect. A conflict of interest policy should prohibit financial dealings between an employee and those with whom the organization deals.
- Answer (D) is incorrect. The IIA Code of Ethics prohibits use of information for personal gain (Rule of Conduct 3.2).

[766] Gleim #: 10.2.55 -- Source: CIA 1190 I-46

The code of ethics of a professional organization sets forth

- A. Broad standards of conduct for the members of the organization.
- B. The organizational details of the profession's governing body.
- C. A list of illegal activities that are proscribed to the members of the profession.
- D. A basis for the measurement of internal audit performance.

- Answer (A) is **correct**. An organization's code of ethical conduct is the established general value system the organization wishes to apply to its members' activities by communicating organizational purposes and beliefs and establishing uniform ethical guidelines for members, which include guidance on behavior for members in making decisions. Because laws and specific rules cannot cover all situations, organizations benefit from having an established ethical code. It effectively communicates acceptable values to all members, including recruits and subcontractors. It also provides a method of policing and disciplining members for violations through formal review panels and group pressure (informal). A code establishes high standards against which individuals can measure their own performance and communicates to those outside the organization the value system from which the organization's members must not be asked to deviate.
- Answer (B) is incorrect. The organizational details of the profession's governing body are stated in the by-laws of a professional organization.
- Answer (C) is incorrect. Certain actions may be legal, but contrary to an organization's code of ethics. For example, an internal auditor may not perform a service for which (s)he does not possess the necessary knowledge, skills, and experience.
- Answer (D) is incorrect. The *Standards* establish a basis for the measurement of internal audit performance.

[767] Gleim #: 10.3.56 -- Source: CIA 596 I-61

The chief audit executive (CAE) has been appointed to a committee to evaluate the appointment of the external auditors. The engagement partner for the external accounting firm wants the CAE to join her for a week of hunting at her private lodge. The CAE should

- A. Accept, assuming both their schedules allow it.
- B. Refuse on the grounds of conflict of interest.
- C. Accept as long as it is not charged to employer time.
- D. Ask the comptroller whether accepting the invitation is a violation of the organization's code of ethics.

- Answer (A) is incorrect. The auditor should not accept.
- Answer (B) is **correct**. Under Rule of Conduct 2.1, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization." Furthermore, under Rule of Conduct 2.2, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
- Answer (C) is incorrect. Not changing the time to the company is not sufficient to eliminate conflict-of-interest concerns.
- Answer (D) is incorrect. The auditor should know that accepting the invitation raises conflict of interest issues.

[768] Gleim #: 10.3.57 -- Source: CIA 592 II-49

The IIA Code of Ethics requires internal auditors to perform their work with

- A. Honesty, diligence, and responsibility.
- B. Timeliness, sobriety, and clarity.
- C. Knowledge, skills, and competencies.
- D. Punctuality, objectivity, and responsibility.

- Answer (A) is **correct**. Four rules are stated under the integrity principle. According to Rule of Conduct 1.1 of The IIA Code of Ethics, "Internal auditors shall perform their work with honesty, diligence, and responsibility."
- Answer (B) is incorrect. Timeliness, sobriety, and clarity are not mentioned in the Code.
- Answer (C) is incorrect. Knowledge, skills, and competencies are mentioned in the *Standards for the Professional Practice of Internal Auditing*.
- Answer (D) is incorrect. Punctuality is not mentioned in the Code.

[769] Gleim #: 10.3.58 -- Source: CIA 597 1-64

A CIA is working in a noninternal-auditing position as the director of purchasing. The CIA signed a contract to procure a large order from the supplier with the best price, quality, and performance. Shortly after signing the contract, the supplier presented the CIA with a gift of significant monetary value. Which of the following statements regarding the acceptance of the gift is true?

- A. Acceptance of the gift is prohibited only if it is not customary.
 - B. Acceptance of the gift violates The IIA Code of Ethics and is prohibited for a CIA.
 - C. Because the CIA is no longer acting as an internal auditor, acceptance of the gift is governed only by the organization's code of conduct.
 - D. Because the contract was signed before the gift was offered, acceptance of the gift does not violate either The IIA Code of Ethics or the organization's code of conduct.
-
- Answer (A) is incorrect. Acceptance of the gift could easily be presumed to have impaired the CIA's professional judgment.
 - Answer (B) is **correct**. Members of The Institute of Internal Auditors and recipients of, or candidates for, IIA professional certifications are subject to disciplinary action for breaches of The IIA Code of Ethics. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
 - Answer (C) is incorrect. The CIA is still governed by The IIA's code of conduct.
 - Answer (D) is incorrect. The timing of signing the contract is irrelevant.

[770] Gleim #: 10.3.59 -- Source: CIA 592 I-47

During the course of an engagement, an internal auditor discovers that a clerk is embezzling funds from the organization. Although this is the first embezzlement ever encountered and the organization has a security department, the internal auditor decides to interrogate the suspect. If the internal auditor is violating The IIA Code of Ethics, the rule violated is **most** likely

- A. Failing to exercise due diligence.
- B. Lack of loyalty to the organization.
- C. Lack of competence in this area.
- D. Failing to comply with the law.

- Answer (A) is incorrect. The requirement to perform work with diligence does not override the competency Rules of Conduct or the need to use good judgment.
- Answer (B) is incorrect. Loyalty is better exhibited by consulting professionals and knowing the limits of competence.
- Answer (C) is **correct**. Rule of Conduct 4.1 under the competency principle states, "Internal auditors shall engage only in those services for which they have the necessary knowledge, skills, and experience." Internal auditors may not have and are not expected to have knowledge equivalent to that of a person whose primary responsibility is to detect and investigate fraud.
- Answer (D) is incorrect. The internal auditor may violate the suspect's civil rights as a result of inexperience.

[771] Gleim #: 10.3.60 -- Source: CIA 589 I-44

Internal auditors who fail to maintain their proficiency through continuing education could be found to be in violation of

- A. *The International Standards for the Professional Practice of Internal Auditing*.
- B. The IIA's Code of Ethics.
- C. Both the *International Standards for the Professional Practice of Internal Auditing* and The IIA's Code of Ethics.
- D. None of the answers are correct.

- Answer (A) is incorrect. The Code and the SPPIA would be violated.
- Answer (B) is incorrect. The Code and the SPPIA would be violated.
- Answer (C) is **correct**. The IIA's Code of Ethics (Rule of Conduct 4.3) states, "Internal auditors shall continually improve their proficiency and the effectiveness and quality of their services." The Code also requires compliance with the *Standards* (Rule of Conduct 4.2). Furthermore, Standard 1230 states, "Internal auditors should enhance their knowledge, skills, and competencies through continuing professional development." Hence, both The IIA's Code of Ethics and the *Standards* are violated by failing to earn continuing education credits.
- Answer (D) is incorrect. The Code and the SPPIA would be violated.

[772] Gleim #: 10.3.61 -- Source: CIA 596 I-68

In a review of travel and entertainment expenses, a certified internal auditor questioned the business purposes of an officer's reimbursed travel expenses. The officer promised to compensate for the questioned amounts by not claiming legitimate expenses in the future. If the officer makes good on the promise, the internal auditor

- A. Can ignore the original charging of the nonbusiness expenses.
- B. Should inform the tax authorities in any event.
- C. Should still include the finding in the final engagement communication.
- D. Should recommend that the officer forfeit any frequent flyer miles received as part of the questionable travel.

- Answer (A) is incorrect. The possibly fraudulent behavior of the officer is a material fact that should be reported regardless of whether the questioned expenses are reimbursed.
- Answer (B) is incorrect. The *Standards* require the CAE to disseminate results to the appropriate individuals (Standard 2440). However, communication of results outside the organization is not required in the absence of a legal mandate.
- Answer (C) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."
- Answer (D) is incorrect. Management should determine what constitutes just compensation.

[773] Gleim #: 10.3.62 -- Source: CIA 595 I-53

During an engagement performed at a manufacturing division of a defense contractor, the internal auditor discovered that the organization apparently was inappropriately adding costs to a cost-plus governmental contract. The internal auditor discussed the matter with senior management, which suggested that the internal auditor seek an opinion from legal counsel. Upon review, legal counsel indicated that the practice was questionable but was not technically in violation of the government contract. Based on legal counsel's decision, the internal auditor decided to omit any discussion of the practice in the final engagement communication sent to senior management and the board. However, the internal auditor did informally communicate legal counsel's decision to senior management. Did the internal auditor violate The IIA's Code of Ethics?

- A. No. The internal auditor followed up the matter with appropriate personnel within the organization and reached a conclusion that no fraud was involved.
 - B. No. If a fraud is suspected, it should be resolved at the divisional level where it is taking place.
 - C. Yes. It is a violation because all important information, even if resolved, should be reported to the board.
 - D. Yes. Internal legal counsel's opinion is not sufficient. The internal auditor should have sought advice from outside legal counsel.
-
- Answer (A) is **correct**. Although an argument can be made that the internal auditor should report the matter to the board and senior management, there is no indication that the internal auditor is deliberately withholding material facts that, if not disclosed, may distort reports of activities under review (Rule of Conduct 2.3). Hence, no violation of the Code occurred.
 - Answer (B) is incorrect. Material fraud, if suspected, should be brought to the attention of management. However, in this case, the internal auditor gathered sufficient information to dispel the suspicion of fraud.
 - Answer (C) is incorrect. The internal auditor did not deliberately withhold important information.
 - Answer (D) is incorrect. The internal auditor has gathered sufficient information. Internal legal counsel's opinion appears to be sufficient.

[774] Gleim #: 10.3.63 -- Source: CIA 04 Model Exam I-91

Which of the following fraudulent entries is **most** likely to be made to conceal the theft of an asset?

- A. Debit expenses and credit the asset.
 - B. Debit the asset and credit another asset account.
 - C. Debit revenue and credit the asset.
 - D. Debit another asset account and credit the asset.
-
- Answer (A) is **correct**. Most fraud perpetrators attempt to conceal their theft by charging it against an expense account. The result is that the recorded asset balance equals the actual amount on hand, and applying procedures to it will not detect the theft.
 - Answer (B) is incorrect. Debiting the stolen asset account simply increases the discrepancy between the recorded amount and the amount on hand.
 - Answer (C) is incorrect. An entry decreasing revenue is unusual and would attract attention.
 - Answer (D) is incorrect. This entry would not permanently conceal the fraud. It would simply shift the irreconcilable balance to another asset account.

[775] Gleim #: 10.3.64 -- Source: CIA 596 I-17

In applying the Rules of Conduct set forth in The IIA Code of Ethics, internal auditors are expected to

- A. Not be unduly influenced by their own interests in forming judgments.
- B. Compare them with standards of other professions.
- C. Be guided by the desires of the engagement client.
- D. Use discretion in deciding whether to use them.

- Answer (A) is **correct**. According to the objectivity principle stated in The IIA Code of Ethics, internal auditors exhibit the highest level of professional objectivity in gathering, evaluating, and communicating information about the activity or process being examined. Internal auditors make a balanced assessment of all the relevant circumstances and are not unduly influenced by their own interests or by others in forming judgments.
- Answer (B) is incorrect. Standards of other professions are not intended to provide guidance to internal auditors serving others.
- Answer (C) is incorrect. Auditors should be independent of the engagement client.
- Answer (D) is incorrect. Internal auditors must follow The IIA Code of Ethics.

[776] Gleim #: 10.3.65 -- Source: CIA 596 I-70

The IIA Rules of Conduct set forth in The IIA Code of Ethics

- A. Describe behavior norms expected of internal auditors.
- B. Are guidelines to assist internal auditors in dealing with engagement clients.
- C. Are interpreted by the Principles.
- D. Apply only to particular conduct specifically mentioned.

- Answer (A) is **correct**. A code of ethics is necessary and appropriate for the profession of internal auditing, founded as it is on the trust placed in its objective assurance about risk management, control, and governance. The Institute's Code of Ethics extends beyond the definition of internal auditing to include two essential components: (1) Principles that are relevant to the profession and practice of internal auditing and (2) Rules of Conduct that describe behavior norms expected of internal auditors. These rules are an aid to interpreting the Principles into practical applications and are intended to guide the ethical conduct of internal auditors.
- Answer (B) is incorrect. The Rules of Conduct provide guidance to internal auditors in the discharge of their responsibility to all those whom they serve. Engagement clients are not the only parties served by internal auditing.
- Answer (C) is incorrect. The Rules of Conduct are an aid in interpreting the Principles.
- Answer (D) is incorrect. The conduct may be unacceptable or discreditable although not mentioned in the Rules of Conduct.

[777] Gleim #: 10.3.66 -- Source: CIA 1196 I-32

Which of the following is permissible under The IIA Code of Ethics?

- A. Disclosing confidential, engagement-related, information that is potentially damaging to the organization in response to a court order.
- B. Using engagement-related information in a decision to buy an ownership interest in the employer organization.
- C. Accepting an unexpected gift from an employee whom the internal auditor has praised in a recent engagement communication.
- D. Not reporting significant observations and recommendations about illegal activity to the board because management has indicated it will address the issue.

- Answer (A) is **correct**. Under Rule of Conduct 1.2, "Internal auditors shall observe the law and make disclosures expected by the law and the profession." Thus, the requirement not to use information in any manner detrimental to the legitimate and ethical objectives of the organization (Rule of Conduct 3.2) does not override the legal obligation to respond to a court order.
- Answer (B) is incorrect. Rule of Conduct 3.2 prohibits internal auditors from using information for personal gain.
- Answer (C) is incorrect. Rule of Conduct 2.2 prohibits internal auditors from accepting anything that may impair or be presumed to impair their professional judgment.
- Answer (D) is incorrect. Rule of Conduct 1.3 prohibits knowingly being a party to any illegal activity. Internal auditors must also disclose all material facts known to them that, if not disclosed, might distort the reporting of activities under review (Rule of Conduct 2.3).

[778] Gleim #: 10.3.67 -- Source: CIA 589 II-45

An internal auditor working for a chemical manufacturer believed that toxic waste was being dumped in violation of the law. Out of loyalty to the organization, no information regarding the dumping was collected. The internal auditor

- A. Violated the Code of Ethics by knowingly becoming a party to an illegal act.
 - B. Violated the Code of Ethics by failing to protect the well-being of the general public.
 - C. Did not violate the Code of Ethics. Loyalty to the employer in all matters is required.
 - D. Did not violate the Code of Ethics. Conclusive information about wrongdoing was not gathered.
-
- Answer (A) is **correct**. Rule of Conduct 1.3 prohibits knowingly being a party to any illegal activity. Internal auditors must also disclose all material facts known to them that, if not disclosed, might distort the reporting of activities under review (Rule of Conduct 2.3). The internal auditor apparently also failed to perform his/her work with diligence (Rule of Conduct 1.1).
 - Answer (B) is incorrect. The IIA Code of Ethics does not impose a duty to the general public.
 - Answer (C) is incorrect. An internal auditor may not use information in any manner detrimental to the legitimate and ethical objectives of the organization (Rule of Conduct 3.2) and must respect and contribute to such objectives (Rule of Conduct 1.4). However, illegal dumping of toxic waste is neither legitimate nor ethical.
 - Answer (D) is incorrect. The internal auditor should have collected and reported such information in accordance with the SPPIA.

[779] Gleim #: 10.3.68 -- Source: CIA 1190 II-47

An internal auditor discovered some material inefficiencies in a purchasing function. The purchasing manager is the internal auditor's next-door neighbor and best friend. In accordance with The IIA Code of Ethics, the internal auditor should

- A. Objectively include the facts of the case in the engagement communications.
 - B. Not report the incident because of loyalty to the friend.
 - C. Include the facts of the case in a special communication submitted only to the friend.
 - D. Not report the friend unless the activity is illegal.
-
- Answer (A) is **correct**. Under Rule of Conduct 2.3, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review." Furthermore, under Rule of Conduct 1.4, "Internal auditors shall respect and contribute to the legitimate and ethical objectives of the organization."
 - Answer (B) is incorrect. This action is at variance with the internal auditor's duties.
 - Answer (C) is incorrect. This action is at variance with the internal auditor's duties.
 - Answer (D) is incorrect. This action is at variance with the internal auditor's duties.

[780] Gleim #: 10.3.69 -- Source: CIA 1196 I-43

An internal auditor for a large regional bank was asked to serve on the board of directors of a local bank. The bank competes in many of the same markets as the regional bank but focuses more on consumer financing than on business financing. In accepting this position, the internal auditor

- I. Violates The IIA Code of Ethics because serving on the board may be in conflict with the best interests of the internal auditor's employer
 - II. Violates The IIA Code of Ethics because the information gained while serving on the board of directors of the local bank may influence recommendations regarding potential acquisitions
- A. I only.
B. II only.
C. I and II.
D. Neither I nor II.

- Answer (A) is incorrect. Serving on the board of the local bank creates a conflict of interest and may prejudice the internal auditor's ability to perform his or her duties.
- Answer (B) is incorrect. Serving on the board of the local bank creates a conflict of interest and may prejudice the internal auditor's ability to perform his or her duties.
- Answer (C) is **correct**. Under Rule of Conduct 2.1, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization." Accordingly, service on the board of the local bank constitutes a conflict of interest and may prejudice the internal auditor's ability to carry out objectively his or her duties regarding potential acquisitions.
- Answer (D) is incorrect. Serving on the board of the local bank creates a conflict of interest and may prejudice the internal auditor's ability to perform his or her duties.

[781] Gleim #: 10.3.70 -- Source: CIA 1186 II-45

Which of the following concurrent occupations could appear to subvert the ethical behavior of an internal auditor?

- A. Internal auditor and a well-known charitable organization's local in-house chairperson.
B. Internal auditor and part-time business insurance broker.
C. Internal auditor and adjunct faculty member of a local business college that educates potential employees.
D. Internal auditor and landlord of multiple housing that publicly advertises for tenants in a local community newspaper listing monthly rental fees.
- Answer (A) is incorrect. The activities of a charity are unlikely to be contrary to the interests of the organization.
 - Answer (B) is **correct**. Under Rule of Conduct 2.1, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization." As a business insurance broker, the internal auditor may lose his or her objectivity because (s)he might benefit from a change in the employer's insurance coverage.
 - Answer (C) is incorrect. Teaching is compatible with internal auditing.
 - Answer (D) is incorrect. Whereas dealing in commercial properties might involve a conflict, renting residential units most likely does not.

[782] Gleim #: 10.3.71 -- Source: CIA 1190 II-45

Internal auditors should be prudent in their relationships with persons and organizations external to their employers. Which of the following activities will **most** likely not adversely affect internal auditors' ethical behavior?

- A. Accepting compensation from professional organizations for consulting work.
B. Serving as consultants to competitor organizations.
C. Serving as consultants to suppliers.
D. Discussing engagement plans or results with external parties.

- Answer (A) is **correct**. Professional organizations are unlikely to be employees, clients, customers, suppliers, or business associates of the organization. Hence, the consulting fees are not likely to impair or be presumed to impair the internal auditors' professional judgment (Rule of Conduct 2.2). Moreover, relationships with professional organizations are not likely to create a conflict of interest or impair or be presumed to impair internal auditors' unbiased judgment (Rule of Conduct 2.1). Also, the consulting engagement should not result in the improper use of information (Rule of Conduct 3.2).
- Answer (B) is incorrect. Serving as a consultant to competitors might create a conflict of interest.
- Answer (C) is incorrect. Serving as a consultant to suppliers might create a conflict of interest.
- Answer (D) is incorrect. Internal auditors should "be prudent in the use and protection of information acquired in the course of their duties" (Rule of Conduct 3.1). Furthermore, such discussion might be "detrimental to the legitimate and ethical objectives of the organization" (Rule of Conduct 3.2).

[783] Gleim #: 10.3.72 -- Source: CIA 1195 I-52

An internal auditor has been assigned to an engagement at a foreign subsidiary. The internal auditor is aware that the social climate of the country is such that "facilitating payments" (bribes) are an accepted part of doing business. The internal auditor has completed the engagement and has found significant weaknesses relating to important controls. The subsidiary's manager offers the internal auditor a substantial "facilitating payment" to omit the observations from the final engagement communication with a provision that the internal auditor could revisit the subsidiary in 6 months to verify that the problem areas have been properly addressed. The internal auditor should

- A. Not accept the payment because such acceptance is in conflict with the Code of Ethics.
 - B. Not accept the payment, but omit the observations as long as a verification visit is made in 6 months.
 - C. Accept the offer because it is consistent with the ethical concepts of the country in which the subsidiary is doing business.
 - D. Accept the payment because it has the effect of doing the greatest good for the greatest number; the internal auditor is better off, the subsidiary is better off, and the organization is better off because there is strong motivation to correct the deficiencies.
- Answer (A) is **correct**. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
 - Answer (B) is incorrect. Rule of Conduct 2.3 requires internal auditors to "disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."
 - Answer (C) is incorrect. The profession's standards, not the customs of individual countries or regions, should guide the internal auditor's conduct.
 - Answer (D) is incorrect. The action is explicitly prohibited by the Code of Ethics.

[784] Gleim #: 10.3.73 -- Source: CIA 588 I-48

An internal auditor engages in the preparation of income tax forms during the tax season. For which of the following activities will the internal auditor **most** likely be in violation of The IIA Code of Ethics?

- A. Writing a tax guide intended for publication and sale to the general public.
 - B. Preparing the personal tax return, for a fee, for one of the organization's division managers.
 - C. Teaching an evening tax seminar, for a fee, at a local university.
 - D. Preparing tax returns for elderly citizens, regardless of their associations, as a public service.
- Answer (A) is incorrect. It is an activity separate from the interests and activities of the organization. No impairment of professional judgment exercised during the internal auditor's duties is likely to result from such an activity.
 - Answer (B) is **correct**. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment." Preparing a personal tax return for a division manager for a fee falls under this prohibition.
 - Answer (C) is incorrect. It is an activity separate from the interests and activities of the organization. No impairment of professional judgment exercised during the internal auditor's duties is likely to result from such an activity.
 - Answer (D) is incorrect. It is an activity separate from the interests and activities of the organization. No impairment of professional judgment exercised during the internal auditor's duties is likely to result from such an activity.

[785] Gleim #: 10.3.74 -- Source: CIA 1188 II-47

An internal auditing team has made observations and recommendations that should significantly improve a division's operating efficiency. Out of appreciation of this work, and because it is the holiday season, the division manager presents the in-charge internal auditor with a gift of moderate value. Which of the following **best** describes the action prescribed by The IIA Code of Ethics?

- A. Not accept it prior to submission of the final engagement communication.
 - B. Not accept it if the gift is presumed to impair the internal auditor's judgment.
 - C. Not accept it, regardless of other circumstances, because its value is significant.
 - D. Accept it, regardless of other circumstances, because its value is insignificant.
-
- Answer (A) is incorrect. The timing of the gift is irrelevant.
 - Answer (B) is **correct**. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
 - Answer (C) is incorrect. According to Rule of Conduct 2.2, the decision whether to accept a gift should be based on the potential impairment of the auditor's judgment.
 - Answer (D) is incorrect. The gift's acceptance should be based on whether the internal auditor's professional judgment will be impaired or be presumed to be impaired.

[786] Gleim #: 10.3.75 -- Source: CIA 1196 I-6

In some countries, governmental units have established audit standards. For example, in the United States, the Government Accountability Office has developed standards for the conduct of governmental audits, particularly those that relate to compliance with government grants. In performing governmental grant compliance audits, the auditor should

- A. Be guided only by the governmental standards.
 - B. Be guided only by The IIA Standards because they are more encompassing.
 - C. Be guided by the more general standards that have been issued by the public accounting profession.
 - D. Follow both The IIA Standards and any additional governmental standards.
-
- Answer (A) is incorrect. The internal auditor should follow both The IIA Standards and governmental standards.
 - Answer (B) is incorrect. The internal auditor should follow both The IIA Standards and governmental standards.
 - Answer (C) is incorrect. The internal auditor should follow both The IIA Standards and governmental standards.
 - Answer (D) is **correct**. Rule of Conduct 4.2 of The IIA Code of Ethics states, "Internal auditors shall perform internal auditing services in accordance with the *International Standards for the Professional Practice of Internal Auditing*." Furthermore, an internal auditor is legally obligated to adhere to governmental standards when performing governmental grant compliance audits.

[787] Gleim #: 10.3.76 -- Source: CIA 1193 II-45

An organization has recently placed a former operating manager in the position of chief audit executive (CAE). The new CAE is not a member of The IIA and is not a CIA. Henceforth, the internal audit activity will be run strictly by the CAE's standards, not The IIA's. All four staff internal auditors are members of The IIA, but they are not CIAs. According to The IIA Code of Ethics, what is the **best** course of action for the staff internal auditors?

- A. The Code does not apply because they are not CIAs.
- B. They should comply with the *International Standards for the Professional Practice of Internal Auditing*.
- C. They must respect the legitimate and ethical objectives of the organization and ignore the *Standards*.
- D. They must resign their jobs to avoid improper activities.

- Answer (A) is incorrect. The IIA Code of Ethics may be enforced against IIA members and recipients of, or candidates for, IIA professional certifications.
- Answer (B) is **correct**. Rule of Conduct 4.2 of The IIA Code of Ethics states, "Internal auditors shall perform internal auditing services in accordance with the *International Standards for the Professional Practice of Internal Auditing*." Because the internal auditors are members of The Institute, The IIA Code of Ethics is enforceable against them even though they are not CIAs.
- Answer (C) is incorrect. Internal auditors should respect and contribute to the legitimate and ethical objectives of the organization, but an IIA member, a holder of an IIA professional certification, or a candidate for certification may be liable for disciplinary action for failure to adhere to the *Standards*.
- Answer (D) is incorrect. The IIA Code of Ethics says nothing about resignation to avoid improper activities.

[788] Gleim #: 10.3.77 -- Source: CIA 1195 I-54

A new staff internal auditor was told to perform an engagement in an area with which the internal auditor was not familiar. Because of time constraints, no supervision was provided. The assignment represented a good learning experience, but the area was clearly beyond the internal auditor's competence. Nonetheless, the internal auditor prepared comprehensive working papers and communicated the results to management. In this situation,

- A. The internal audit activity violated the *Standards* by hiring an internal auditor without proficiency in the area.
- B. The internal audit activity violated the *Standards* by not providing adequate supervision.
- C. The chief audit executive has not violated The IIA Code of Ethics because it does not address supervision.
- D. The *Standards* and The IIA Code of Ethics were followed by the internal audit activity.

- Answer (A) is incorrect. All internal auditors need not be proficient in all areas. The internal audit activity should have an appropriate mix of skills.
- Answer (B) is **correct**. Although The IIA Code of Ethics does not address supervision directly, it does require that the *Standards* be followed (Rule of Conduct 4.2). The *Standards* require engagements to be performed with proficiency and due professional care (Standard 1200). They also should be properly supervised to ensure that objectives are achieved, quality is assured, and staff is developed (Standard 2340).
- Answer (C) is incorrect. The Code requires compliance with the *Standards*, and the *Standards* require proper supervision.
- Answer (D) is incorrect. The *Standards* and the Code were not followed.

[789] Gleim #: 10.3.78 -- Source: CIA 594 I-66

Which situation **most** likely violates The IIA Code of Ethics and the *Standards*?

- A. The chief audit executive (CAE) disagrees with the engagement client about the observations and recommendations in a sensitive area. The CAE discusses the detail of the observations and the proposed recommendations with a fellow CAE from another organization.
- B. An organization's charter for the internal audit activity requires the chief audit executive (CAE) to present the yearly engagement work schedule to the board for its approval and suggestions.
- C. The engagement manager has removed the most significant observations and recommendations from the final engagement communication. The in-charge internal auditor opposed the removal, explaining that (s)he knows the reported conditions exist. The in-charge internal auditor agrees that, technically, information is not sufficient to support the observations, but management cannot explain the conditions, and the observations are the only reasonable conclusions.
- D. Because the internal audit activity lacks skill and knowledge in a specialty area, the chief audit executive (CAE) has hired an expert. The engagement manager has been asked to review the expert's approach to the assignment. Although knowledgeable about the area under review, the manager is hesitant to accept the assignment because of lack of expertise.

- Answer (A) is **correct**. According to Rule of Conduct 3.1 of The IIA Code of Ethics, "Internal auditors shall be prudent in the use and protection of information acquired in the course of their duties." According to Rule of Conduct 3.2, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization." Consequently, discussion of sensitive matters with an unauthorized party is the situation most likely to be considered a Code violation. The information conveyed might be used to the detriment of the organization.
- Answer (B) is incorrect. Approval of the engagement work schedule by the board and senior management is required (Standard 2020).
- Answer (C) is incorrect. Information must be sufficient to achieve engagement objectives (Standard 2300).
- Answer (D) is incorrect. The *Standards* allow use of experts when needed.

[790] Gleim #: 10.3.79 -- Source: CIA 597 1-70

Which of the following situations is a violation of The IIA Code of Ethics?

- A. An internal auditor was ordered to testify in a court case in which a merger partner claimed to have been defrauded by the internal auditor's organization. The internal auditor divulged confidential information to the court.
 - B. An internal auditor for a manufacturer of office products recently completed an engagement to evaluate the marketing function. Based on this experience, the internal auditor spent several hours one Saturday working as a paid consultant to a hospital in the local area that intended to conduct an engagement to evaluate its marketing function.
 - C. An internal auditor gave a speech at a local IIA chapter meeting outlining the contents of a program the internal auditor had developed for engagements relating to electronic data interchange (EDI) connections. Several internal auditors from major competitors were in the audience.
 - D. During an engagement, an internal auditor learned that the organization was about to introduce a new product that would revolutionize the industry. Because of the probable success of the new product, the product manager suggested that the internal auditor buy an additional interest in the organization, which the internal auditor did.
- Answer (A) is incorrect. According to Rule of Conduct 1.2, "Internal auditors shall observe the law and make disclosures expected by the law and the profession." Failure to comply with a court order is illegal.
 - Answer (B) is incorrect. The hospital is not a competitor or supplier of the internal auditor's employer. Hence, no conflict of interest is involved.
 - Answer (C) is incorrect. Giving a speech is not a violation of The IIA Code of Ethics. In fact, The IIA's motto is "progress through sharing."
 - Answer (D) is **correct**. According to Rule of Conduct 3.2, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization."

[791] Gleim #: 10.3.80 -- Source: CIA 1186 II-48

Which of the following actions taken by a chief audit executive (CAE) could be considered professionally ethical under The IIA Code of Ethics?

- A. The CAE decides to delay an engagement at a branch so that his nephew, the branch manager, will have time to "clean things up."
- B. To save organizational resources, the CAE cancels all staff training for the next 2 years on the basis that all staff are too new to benefit from training.
- C. To save organizational resources, the CAE limits procedures at foreign branches to confirmations from branch managers that no major personnel changes have occurred.
- D. The CAE refuses to provide information about organizational operations to his father, who is a part owner.

- Answer (A) is incorrect. According to Rule of Conduct 1.1, "Internal auditors shall perform their work with honesty, diligence, and responsibility."
- Answer (B) is incorrect. According to Rule of Conduct 4.3, "Internal auditors shall continually improve their proficiency and the effectiveness and quality of their services."
- Answer (C) is incorrect. According to Rule of Conduct 4.2, "Internal auditors shall perform internal auditing services in accordance with the *International Standards for the Professional Practice of Internal Auditing*." The *Standards* require supporting information to be sufficient, reliable, relevant, and useful.
- Answer (D) is **correct**. According to Rule of Conduct 3.1 of The IIA Code of Ethics, "Internal auditors shall be prudent in the use and protection of information acquired in the course of their duties." According to Rule of Conduct 3.2, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization." Thus, such use of information by the CAE might be illegal under insider trading rules.

[792] Gleim #: 10.3.81 -- Source: CIA 597 1-34

During an examination of grants awarded by a nonprofit organization, an internal auditor discovered a number of grants made without the approval of the grant authorization committee (which includes outside representatives), as required by the organization's charter. All the grants, however, were approved and documented by the president. The chair of the grant authorization committee, who is also a member of the board of directors, proposes that the committee meet and retroactively approve all the grants before the engagement communication is issued. If the committee meets and approves the grants before such issuance, the internal auditor should

- A. Not report the grants in question because they were approved before the issuance of the engagement communication.
 - B. Discuss the matter with the chair of the grant committee to determine the rationale for not approving the grants earlier. If the grants are routine, discussion of the grant committee's inaction should be omitted from the engagement communication.
 - C. Include the items in the communication as an override of the organization's controls. Details about each grant should be reported, and the internal auditor should investigate further for fraud.
 - D. Report the override of control to the board.
- Answer (A) is incorrect. The control override should be reported.
 - Answer (B) is incorrect. The routine nature of the grants is irrelevant to the issue of the violation of the charter.
 - Answer (C) is incorrect. Details about each grant need not be included unless the internal auditor believes that fraud may have occurred. Moreover, the appropriate organizational authorities should be informed if wrongdoing is suspected.
 - Answer (D) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review." The management override of an important control over approval of grants created a material risk exposure. Thus, the internal auditor is ethically obligated to report the matter to senior officials charged with performing the governance function.

[793] Gleim #: 10.3.82 -- Source: CIA 1192 I-49

A chief audit executive (CAE) learned that a staff internal auditor provided confidential information to a relative. Both the CAE and staff internal auditor are CIAs. Although the internal auditor did not benefit from the transaction, the relative used the information to make a significant profit. The **most** appropriate way for the CAE to deal with this problem is to

- A. Verbally reprimand the internal auditor.
- B. Summarily discharge the internal auditor and notify The IIA.
- C. Take no action because the internal auditor did not benefit from the transaction.
- D. Inform The Institute's Board of Directors and take the personnel action required by organizational policy.

- Answer (A) is incorrect. The internal auditor has violated Rule of Conduct 3.2 regarding use of information. The IIA should be notified.
- Answer (B) is incorrect. Summary discharge may not be in accordance with company personnel policies.
- Answer (C) is incorrect. The auditor improperly used information and violated The IIA Code of Ethics. Some action is warranted.
- Answer (D) is **correct**. The staff internal auditor has violated Rule of Conduct 3.2 regarding use of information. A violation of The IIA Code of Ethics is the basis for a complaint to the International Ethics Committee, which is responsible for receiving, interpreting, and investigating all complaints against members or CIAs on behalf of the Board of Directors of The IIA, and making recommendations to the Board on actions to be taken (Administrative Directive 5). In addition, organizational policy must be followed.

[794] Gleim #: 10.3.83 -- Source: CIA 597 1-66

An internal auditor, nearly finished with an engagement, discovers that the director of marketing has a gambling habit. The gambling issue is not directly related to the existing engagement, and the internal auditor is under pressure to complete it quickly. The internal auditor notes the problem and passes the information on to the chief audit executive but does no further follow-up. The internal auditor's actions

- A. Are in violation of The IIA Code of Ethics for withholding meaningful information.
- B. Are in violation of the *Standards* because the internal auditor did not properly follow up on a red flag that might indicate the existence of fraud.
- C. Are not in violation of either The IIA Code of Ethics or the *Standards*.
- D. Are in violation of The IIA Code of Ethics for withholding meaningful information and are in violation of the *Standards* because the internal auditor did not properly follow up on a red flag that might indicate the existence of fraud.

- Answer (A) is incorrect. The internal auditor did not withhold information but properly followed up upon learning of the information.
- Answer (B) is incorrect. The internal auditor did not withhold information but properly followed up upon learning of the information.
- Answer (C) is **correct**. There is no violation of either The IIA Code of Ethics or the *Standards*. The internal auditor did not withhold information but properly followed up upon learning of the information.
- Answer (D) is incorrect. The internal auditor did not withhold information but properly followed up upon learning of the information.

[795] Gleim #: 10.3.84 -- Source: CIA 588 II-46

An engagement at a foreign subsidiary disclosed payments to local government officials in return for orders. What action does The IIA Code of Ethics suggest for an internal auditor in such a case?

- A. Refrain from any action that might be detrimental to the organization.
- B. Report the incident to appropriate regulatory authorities.
- C. Inform appropriate organizational officials.
- D. Report the practice to the board of The Institute of Internal Auditors.

- Answer (A) is incorrect. Informing organizational officials is not detrimental to the organization.
- Answer (B) is incorrect. The Code does not require that the incident be reported to regulatory authorities.
- Answer (C) is **correct**. Such payments may be illegal. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."
- Answer (D) is incorrect. The Code does not require reporting to The IIA.

[796] Gleim #: 10.3.85 -- Source: CIA 1196 I-33

During an engagement, an employee with whom you have developed a good working relationship informs you that she has some information about senior management that is damaging to the organization and may concern illegal activities. The employee does not want her name associated with the release of the information. Which of the following actions is considered to be inconsistent with The IIA Code of Ethics and the *Standards*?

- A. Assure the employee that you can maintain her anonymity and listen to the information.
 - B. Suggest that the employee consider talking to legal counsel.
 - C. Inform the employee that you will attempt to keep the source of the information confidential and will look into the matter further.
 - D. Inform the employee of other methods of communicating this type of information.
-
- Answer (A) is **correct**. An internal auditor cannot guarantee anonymity. Information communicated to an internal auditor is not subject to a testimonial privilege. Moreover, Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review." The identity of the informant may be such a material fact.
 - Answer (B) is incorrect. Suggesting that the person seek expert legal advice from a qualified individual is appropriate.
 - Answer (C) is incorrect. Promising merely to attempt to keep the source of the information confidential is allowable. This promise is not a guarantee of confidentiality.
 - Answer (D) is incorrect. The employee could be directed to other methods of communicating the information in order to maintain her anonymity.

[797] Gleim #: 10.3.86 -- Source: CIA 1192 II-47

The chief audit executive is aware of a material inventory shortage caused by internal control deficiencies at one manufacturing plant. The shortage and related causes are of sufficient magnitude to affect the external auditor's report. Based on The IIA Code of Ethics, what is the CAE's **most** appropriate course of action?

- A. Say nothing; guard against interfering with the independence of the external auditors.
 - B. Discuss the issue with management and take appropriate action to ensure that the external auditors are informed.
 - C. Inform the external auditors of the possibility of a shortage but allow them to make an independent assessment of the amount.
 - D. Communicate the shortages to the board and allow them to communicate it to the external auditor.
-
- Answer (A) is incorrect. The shortage is a material fact that could distort a report of activities under review if not revealed.
 - Answer (B) is **correct**. The IIA's Code of Ethics calls for compliance with the *Standards* (Rule of Conduct 4.2). The CAE should share information and coordinate activities with other internal and external providers of relevant assurance and consulting services (Standard 2050). In addition, all material facts known by the internal auditors should be disclosed (Rule of Conduct 2.3). Because the shortage affects the external auditor's work in which the internal auditors are participating, the situation must be divulged.
 - Answer (C) is incorrect. The condition is known and the external auditors should be told more than that a possibility of a shortage exists.
 - Answer (D) is incorrect. Information should be shared and activities coordinated with the external auditor.

[798] Gleim #: 10.3.87 -- Source: CIA 595 I-43

Which of the following **most** likely constitutes a violation of The IIA Code of Ethics?

- A. Auditor A has accepted an assignment to perform an engagement at the electronics manufacturing division. Auditor A has recently joined the internal audit activity. But Auditor A was senior auditor for the external audit of that division and has audited many electronics organizations during the past 2 years.
 - B. Auditor B has been assigned to perform an engagement at the warehousing function 6 months from now. Auditor B has no expertise in that area but accepted the assignment anyway. Auditor B has signed up for continuing professional education courses in warehousing that will be completed before the assignment begins.
 - C. Auditor C is content as an internal auditor and has come to look at it as a regular 9-to-5 job. Auditor C has not engaged in continuing professional education or other activities to improve effectiveness during the last 3 years. However, Auditor C feels performance of quality work is the same as before.
 - D. Auditor D discovered an internal financial fraud during the year. The books were adjusted to properly reflect the loss associated with the fraud. Auditor D discussed the fraud with the external auditor when the external auditor reviewed working papers detailing the incident.
-
- Answer (A) is incorrect. No professional conflict of interest exists per se, especially given that the internal auditor was previously in public accounting. However, the internal auditor should be aware of potential conflicts.
 - Answer (B) is incorrect. According to Rule of Conduct 4.1, "Internal auditors shall engage only in those services for which they have the necessary knowledge, skills, and experience." Thus, Auditor B may perform this service if the necessary knowledge, etc., is obtained.
 - Answer (C) is **correct**. Rule of Conduct 4.3 states, "Internal auditors shall continually improve their proficiency and the effectiveness and quality of their services."
 - Answer (D) is incorrect. The information was disclosed as part of the normal process of cooperation between the internal and external auditor. Because the books were adjusted, the external auditor was expected to inquire as to the nature of the adjustment.

[799] Gleim #: 10.3.88 -- Source: CIA 590 II-43

Through an engagement performed at the credit department, the chief audit executive (CAE) became aware of a material misstatement of the year-end accounts receivable balance. The external auditors have completed their engagement without detecting the misstatement. What should the CAE do in this situation?

- A. Inform the external auditors of the misstatement.
 - B. Report the misstatement to management when the external auditors present a report.
 - C. Exclude the misstatement from the final engagement communication because the external auditors are responsible for expressing an opinion on the financial statements.
 - D. Perform additional engagement procedures on accounts receivable balances to benefit the external auditors.
-
- Answer (A) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."
 - Answer (B) is incorrect. The CAE should share information and coordinate activities with the external auditors (Standard 2050).
 - Answer (C) is incorrect. Although the internal audit activity's main focus may be on risk management, control, and governance processes, a material misstatement must be communicated.
 - Answer (D) is incorrect. When performing an audit, the external auditors should determine what work should be performed by the internal auditor.

[800] Gleim #: 10.3.89 -- Source: CIA 1195 I-53

An internal auditor has uncovered facts that could be interpreted as indicating unlawful activity on the part of an engagement client. The internal auditor decides not to inform senior management and the board of these facts because of lack of proof. The internal auditor, however, decides that, if questions are raised regarding the omitted facts, they will be answered fully and truthfully. In taking this action, the internal auditor

- A. Has not violated The IIA Code of Ethics or the *Standards* because confidentiality takes precedence over all other standards.
 - B. Has not violated The IIA Code of Ethics or the *Standards* because the internal auditor is committed to answering all questions fully and truthfully.
 - C. Has violated The IIA Code of Ethics because unlawful acts should have been reported to the appropriate regulatory agency to avoid potential “aiding and abetting” by the internal auditor.
 - D. Has violated the *Standards* because the internal auditor should inform the appropriate authorities in the organization if fraud may be indicated.
-
- Answer (A) is incorrect. Reporting a possible irregularity to the appropriate organizational authorities is not a breach of the duty of confidentiality owed to the organization.
 - Answer (B) is incorrect. The internal auditor has an affirmative duty to report the results of his or her work.
 - Answer (C) is incorrect. The possibility of unlawful activities should be reported to the appropriate personnel within the organization.
 - Answer (D) is **correct**. The internal auditor should inform the appropriate authorities in the organization if the indicators of the commission of a fraud are sufficient to recommend an investigation. Hence, the internal auditor has a duty to act even though the available facts do not prove that an irregularity has occurred. Moreover, Rule of Conduct 2.3 states, “Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review.”

[801] Gleim #: 10.3.90 -- Source: CIA 1195 I-51

Today’s internal auditor will often encounter a wide range of potential ethical dilemmas, not all of which are explicitly addressed by The IIA’s Code of Ethics. If the internal auditor encounters such a dilemma, the internal auditor should always

- A. Seek counsel from an independent attorney to determine the personal consequences of potential actions.
 - B. Apply and uphold the principles embodied in The IIA Code of Ethics.
 - C. Seek the counsel of the board before deciding on an action.
 - D. Act consistently with the code of ethics adopted by the organization even if such action is not consistent with The IIA’s Code of Ethics.
-
- Answer (A) is incorrect. Seeking the advice of legal counsel on all ethical decisions is impracticable.
 - Answer (B) is **correct**. The Code includes Principles (integrity, objectivity, confidentiality, and competency) relevant to the profession and practice of internal auditing and Rules of Conduct that describe behavioral norms for internal auditors and that interpret the Principles. Internal auditors are expected to apply and uphold the Principles. Furthermore, that a particular conduct is not mentioned in the Rules does not prevent it from being unacceptable or discreditable.
 - Answer (C) is incorrect. Seeking the advice of the board on all ethical decisions is impracticable. Furthermore, the advice might not be consistent with the profession’s standards.
 - Answer (D) is incorrect. If the organization’s standards are not consistent with, or as high as, the profession’s standards, the internal auditor is held to the standards of the profession.

[802] Gleim #: 10.3.91 -- Source: CIA 1184 II-21

In complying with The IIA Code of Ethics, an internal auditor should

- A. Use individual judgment in the application of the principles set forth in the Code.
- B. Respect and contribute to the objectives of the organization even if it is engaged in illegal activities.
- C. Go beyond the limitation of personal technical skills to advance the interest of the organization.
- D. Primarily apply the competency principle in establishing trust.

- Answer (A) is **correct**. The IIA Code of Ethics includes principles that internal auditors are expected to apply and uphold. They are interpreted by the Rules of Conduct, behavior norms expected of internal auditors. That a particular conduct is not mentioned in the Rules of Conduct does not prevent it from being unacceptable or discreditable. Consequently, a reasonable inference is that individual judgment is necessary in the application of the principles and the Rules of Conduct. Ethics provide basic principles in the practice of internal auditing. Members or CIAs should realize that their individual judgment is required in the application of these principles.
- Answer (B) is incorrect. An internal auditor "shall not knowingly be a party to any illegal activity." Furthermore, an internal auditor is bound to respect and contribute only to the legitimate and ethical objectives of the organization.
- Answer (C) is incorrect. Internal auditors "shall engage only in those services for which they have the necessary knowledge, skills, and experience."
- Answer (D) is incorrect. Applying and upholding the integrity principle is the means by which an internal auditor establishes trust as a basis for reliance on his/her judgment.

[803] Gleim #: 10.3.92 -- Source: CIA 1187 II-50

An internal auditor has been assigned to an engagement to evaluate a possible acquisition. Coincidentally, a significant portion of this internal auditor's personal investment portfolio is composed of the target organization's stock. What is the internal auditor's preferable course of action in this situation based on The IIA Code of Ethics?

- A. Acquaint the chief audit executive with the situation and ask to be assigned to another audit.
 - B. Acquaint the chief audit executive with the situation and offer assurance that it will have no impact on objectivity.
 - C. Proceed with the audit because the personal investments are not an issue.
 - D. Proceed with the audit because the investment is insignificant relative to the whole of the target company's stock.
-
- Answer (A) is **correct**. Under Rule of Conduct 2.1, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization." In these circumstances, the internal auditor lacks the appearance of objectivity because the outcome of the engagement could directly affect the acquisition decision and the price of the stock. The use of the information also would be a violation of the Code and possibly of insider trading rules as well. Under Rule of Conduct 3.2, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization."
 - Answer (B) is incorrect. The appearance as well as the reality of loss of independence must be considered.
 - Answer (C) is incorrect. The internal auditor might be deemed to have a personal stake in the results of the engagement.
 - Answer (D) is incorrect. The investment is significant to the internal auditor.

[804] Gleim #: 10.3.93 -- Source: CIA 591 II-5

Under The IIA Code of Ethics, an entity that provides internal auditing services is specifically required to

- A. Maintain certain predetermined staffing requirements for engagements.
 - B. Comply with the International Standards for the Professional Practice of Internal Auditing.
 - C. Comply with organizational policy.
 - D. Participate in a formal continuing education program.
-
- Answer (A) is incorrect. Staffing requirements must be determined based on the circumstances of each engagement.
 - Answer (B) is **correct**. The IIA Code of Ethics applies not only to individuals but also to entities that provide internal auditing services. Under Rule of Conduct 4.2, "Internal auditors shall perform internal auditing services in accordance with the International Standards for the Professional Practice of Internal Auditing."
 - Answer (C) is incorrect. The Code requires internal auditors to respect and contribute to the legitimate and ethical objectives of the organization and not engage in acts discreditable to the organization. However, the Code does not specifically mention compliance with organizational policy.
 - Answer (D) is incorrect. The Code requires compliance with the Standards, and the Standards require internal auditors to enhance their knowledge, skills, and other competencies through continuing professional development, but neither the Code nor the Standards require formal continuing education.

[805] Gleim #: 10.3.94 -- Source: CIA 585 I-15

Which of the following situations is a violation of The IIA Code of Ethics?

- A. An internal auditor, with the knowledge and consent of management, accepted a token gift from a customer of the organization that was not presumed to impair and did not impair judgment.
- B. Knowing that management was aware of the situation, an internal auditor purposely left a description of an unlawful practice out of the final engagement communication.
- C. An internal auditor shared techniques with internal auditors from another organization.
- D. Based upon knowledge of the probable success of the employer's business, an internal auditor invested in a mutual fund that specialized in the same industry.

- Answer (A) is incorrect. Acceptance of anything from a customer is prohibited but only if it would impair or be presumed to impair professional judgment.
- Answer (B) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review." Moreover, under Rule of Conduct 1.3, "Internal auditors shall not knowingly be a party to any illegal activity, or engage in acts that are discreditable to the profession of internal auditing or to the organization."
- Answer (C) is incorrect. Under Rule of Conduct 4.3, "Internal auditors shall continually improve their proficiency and the effectiveness and quality of their services."
- Answer (D) is incorrect. Although an internal auditor is prohibited from using confidential information for personal gain, and an investment in the organization's stock would be questionable, an investment in a mutual fund is acceptable.

[806] Gleim #: 10.3.95 -- Source: CIA 597 I-10

During the course of an engagement, an internal auditor discovered that a research and development employee has been patenting new developments that are unrelated to the basic business of the organization. The organization does not have a specific policy addressing patents on developments that are not related to its basic business, but it has a general policy that all important new discoveries by employees are the property of the organization. The employee is considered one of the most prestigious in the field. The employee's actions have been condoned by local management as an extra incentive to keep the employee at the lab. A decision **not** to report the employee's action is

- A. A violation of The IIA Code of Ethics.
- B. A violation of the reporting requirements in the Standards.
- C. Justified because divisional management is aware of the practice, and it is not in violation of organizational policies.
- D. Both a violation of The IIA Code of Ethics AND a violation of the reporting requirements in the Standards.

- Answer (A) is incorrect. Failing to report the violation of organizational policy is contrary to The IIA Code of Ethics and the Standards.
- Answer (B) is incorrect. Failing to report the violation of organizational policy is contrary to The IIA Code of Ethics and the Standards.
- Answer (C) is incorrect. The employee's patenting of new developments violates the general policy that all important new discoveries are the property of the organization. Furthermore, if the practice is an alternative way to provide benefits to an employee, it may violate employee compensation rules. It may also need to be reported to various taxing authorities.
- Answer (D) is **correct**. Under the Standards, internal auditors should communicate engagement results. Rule of Conduct 4.2 states, "Internal auditors shall perform internal auditing services in accordance with the Standards for the Professional Practice of Internal Auditing." Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review." Hence, the failure to report violates The IIA Code of Ethics and the Standards.

[807] Gleim #: 10.3.96 -- Source: CIA 1190 II-48

Which of the following actions could be construed as a violation of The IIA Code of Ethics?

- A. Failing to report to management information that would be material to management's judgment.
- B. Expressing an opinion on internal financial statements.
- C. Turning a case over to the security department when an internal auditor suspects fraud but has no proof.
- D. Including an internal control problem in a final engagement communication, when it has been corrected prior to completion of the engagement.

- Answer (A) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."
- Answer (B) is incorrect. Expressing an opinion on internal financial statements is acceptable for internal use only.
- Answer (C) is incorrect. Turning a case over to the security department is acceptable as long as the internal auditor is careful not to state any final conclusions that are not supported by factual information.
- Answer (D) is incorrect. Such reporting is routine.

[808] Gleim #: 10.3.97 -- Source: CIA 593 I-45

During an engagement, an internal auditor learned that certain individuals in the organization were involved in industrial espionage for the benefit of the organization. According to The IIA Code of Ethics, what is the internal auditor's proper course of action?

- A. Report the facts to the appropriate individuals within the organization.
- B. No action is required because this condition is not detrimental to the organization.
- C. Note the condition in the working papers but refrain from reporting it because it benefits the organization.
- D. Report the condition to the appropriate governmental regulatory agency.

- Answer (A) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review." Moreover, under Rule of Conduct 1.3, "Internal auditors shall not knowingly be a party to any illegal activity, or engage in acts that are discreditable to the profession of internal auditing or to the organization."
- Answer (B) is incorrect. Internal auditors must report material facts that, if not disclosed, could distort the reporting of activities. They also may not knowingly be a party to an illegal activity.
- Answer (C) is incorrect. Internal auditors must report material facts that, if not disclosed, could distort the reporting of activities. They also may not knowingly be a party to an illegal activity.
- Answer (D) is incorrect. Internal auditors ordinarily are not required to disclose voluntarily any illegal or improper acts to outside individuals or organizations. They should try to work within their organizations. However, under Rule of Conduct 1.2, they should make any disclosures expected by the law or by the profession.

[809] Gleim #: 10.3.98 -- Source: CIA 1184 I-40

Which of the following activities of an internal auditor is **most** likely to be acceptable under The IIA Code of Ethics?

- A. Late arrivals and early departures from work because this practice is common in the organization.
- B. Frequent luncheons and other socializing with major suppliers of the organization without the consent of senior management.
- C. Conducting an unrelated business outside of office hours.
- D. Acceptance of a material gift from a supplier.

- Answer (A) is incorrect. Internal auditors should exercise diligence in performing their duties.
- Answer (B) is incorrect. According to Rule of Conduct 2.1, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization."
- Answer (C) is **correct**. Nothing in The IIA Code of Ethics prohibits operating an unrelated business outside of regular office hours. The activity does not, in itself, constitute a conflict of interest, a use of information for personal gain, or an impairment of the internal auditor's unbiased assessment.
- Answer (D) is incorrect. According to Rule of Conduct 2.2, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."

[810] Gleim #: 10.3.99 -- Source: CIA 588 II-50

Which of the following **most** likely constitutes a violation of The IIA Code of Ethics by an internal auditor?

- A. Discussing at a trade convention the organization's controls over its computer networks.
 - B. Purchasing stock in a target entity after overhearing an executive's discussion of a possible acquisition.
 - C. Deleting sensitive information from a final engagement communication at the request of senior management.
 - D. Investigating executive expense reports based completely on rumors of padding.
-
- Answer (A) is incorrect. Disclosure of information technology controls is not detrimental to the objectives of the organization. They are not likely to be trade secrets.
 - Answer (B) is **correct**. Insider trading may be prohibited by securities law. According to Rule of Conduct 3.1, "Internal auditors shall be prudent in the use and protection of information acquired in the course of their duties." Furthermore, according to Rule of Conduct 3.2, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization."
 - Answer (C) is incorrect. If senior management permits the omission, the internal auditor is not guilty of failing to disclose material facts.
 - Answer (D) is incorrect. An investigation of expense accounts is within the internal auditor's normal responsibilities, but further investigation of fraud should ordinarily be made by investigative specialists.

[811] Gleim #: 10.3.100 -- Source: Publisher

The IIA Code of Ethics does not require

- A. Contribution to the legitimate and ethical objectives of the organization.
 - B. Objectivity, honesty, and diligence.
 - C. Continual improvement in proficiency.
 - D. A report on each engagement.
-
- Answer (A) is incorrect. Rule of Conduct 1.4 states, "Internal auditors shall respect and contribute to the legitimate and ethical objectives of the organization."
 - Answer (B) is incorrect. Rule of Conduct 1.1 imposes an obligation of honesty, diligence, and responsibility. Moreover, objectivity is one of the four Principles stated in the Code.
 - Answer (C) is incorrect. Continual improvement in proficiency and in the effectiveness and quality of services is required by Rule of Conduct 4.3.
 - Answer (D) is **correct**. The IIA Code of Ethics contains 12 Rules of Conduct, none of which requires a report on each engagement. However, the Standards require internal auditors to communicate the engagement results.

[812] Gleim #: 10.3.101 -- Source: Publisher

The IIA Code of Ethics incorporates by reference which of the following rules?

- A. Duty to disclose all material facts when reporting on activities.
 - B. Performance with proficiency and due professional care.
 - C. Prudent and lawful use of information.
 - D. No acceptance of anything that may impair professional judgment.
-
- Answer (A) is incorrect. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
 - Answer (B) is **correct**. Rule of Conduct 4.2 states, "Internal auditors shall perform internal auditing services in accordance with the International Standards for the Professional Practice of Internal Auditing." Attribute Standard 1200 under the Standards requires engagements to be performed with proficiency and due professional care.
 - Answer (C) is incorrect. Rule of Conduct 3.1 states, "Internal auditors shall be prudent in the use and protection of information acquired in the course of their duties." Rule of Conduct 3.2 states, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization."
 - Answer (D) is incorrect. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."

[813] Gleim #: 10.3.102 -- Source: Publisher

Why does The IIA Code of Ethics in Rule of Conduct 4.2 require that due professional care be used in obtaining information to support an engagement opinion?

- A. Sufficient, reliable, relevant, and useful information lends credibility to the opinion.
 - B. To preclude any conflict of interest.
 - C. To require honesty in performing work.
 - D. If internal auditors were permitted to communicate engagement results without obtaining sufficient information, they would be in a position to accept fees or gifts from engagement clients.
-
- Answer (A) is **correct**. Engagements must be performed with proficiency and due professional care (Standard 1200), and the engagement results must be communicated (Standard 2400). Engagement results include observations, conclusions, opinions, recommendations, and action plans (PA 2410-1). If internal auditors expressed opinions or otherwise communicated engagement results without substantive investigation and compliance with the Standards, such communications would be meaningless. The Standards are therefore incorporated by reference into The IIA Code of Ethics by Rule of Conduct 4.2. Thus, internal auditors must identify sufficient, reliable, relevant, and useful information to achieve the engagement's objectives (Standard 2310).
 - Answer (B) is incorrect. A separate ethics rule prohibits conflicts of interest. Rule of Conduct 2.1 states, "Internal auditors shall not participate in any activity or relationship that may impair or be presumed to impair their unbiased assessment. This participation includes those activities or relationships that may be in conflict with the interests of the organization."
 - Answer (C) is incorrect. Rule of Conduct 1.1 requires honesty, diligence, and responsibility in the performance of work.
 - Answer (D) is incorrect. Rule of Conduct 2.2 prohibits accepting anything that may impair or be presumed to impair the professional judgment of an internal auditor.

[814] Gleim #: 10.3.103 -- Source: Publisher

An internal auditor is performing services in a division in which the chief financial officer is a close personal friend, and the internal auditor learns that the friend is to be replaced after a series of critical labor negotiations. The internal auditor relays this information to the friend. Has a violation of The IIA Code of Ethics occurred?

- A. No. The use of the confidential information resulted in no personal gain to the internal auditor.
- B. No. The internal auditor was just being honest with his/her friend.
- C. Yes. The internal auditor had a conflict of interest with the organization.
- D. Yes. The internal auditor was not prudent in the use of information acquired in the course of his/her duties.

- Answer (A) is incorrect. The Rules of Conduct specifically prohibit using information in a manner that would be detrimental to the legitimate and ethical objectives of the organization.
- Answer (B) is incorrect. The Rules of Conduct specifically prohibit using information in a manner that would be detrimental to the legitimate and ethical objectives of the organization.
- Answer (C) is incorrect. The facts do not suggest that a conflict of interest existed. However, such a conflict would be present, for example, if the internal auditor used confidential information to seize a business opportunity that rightfully belonged to the organization.
- Answer (D) is **correct**. These facts constitute a violation of The IIA Code of Ethics. Rule of Conduct 3.1 states, "Internal auditors shall be prudent in the use and protection of information acquired in the course of their duties." Rule of Conduct 3.2 states, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization." In this case, the decision whether to notify the financial officer of his/her replacement was properly the organization's. Accordingly, the internal auditor was bound not to tell his/her friend.

[815] Gleim #: 10.3.104 -- Source: Publisher

Which situation is **most** likely a violation of The IIA Code of Ethics?

- A. Reporting apparent violations of antitrust statutes by chief executive officers to government regulators.
 - B. Cooperating with the government's criminal investigation of the organization.
 - C. Reporting apparent violations of antitrust statutes by chief executive officers to the audit committee of the board of directors.
 - D. Immediately reporting a violent crime observed at work to local law enforcement agencies.
- Answer (A) is **correct**. An internal auditor should not knowingly be a party to any illegal activity (Rule of Conduct 1.3), but (s)he must disclose all material facts known to him/her that, if not disclosed, might distort the reporting of activities under review (Rule of Conduct 2.3). An internal auditor also should respect and contribute to the legitimate and ethical objectives of the organization (Rule of Conduct 1.4). Thus, when apparent violations of antitrust statutes by chief executive officers come to the internal auditor's attention, (s)he should report to the audit committee of the board of directors rather than directly to the government regulators. However, an internal auditor should observe the law and make any disclosures required by the law or by the profession (Rule of Conduct 1.2).
 - Answer (B) is incorrect. Everyone has a legal obligation to cooperate with a criminal investigation. An internal auditor should observe the law and make any disclosures required by the law or by the profession.
 - Answer (C) is incorrect. An internal auditor should report apparent improprieties to the audit committee.
 - Answer (D) is incorrect. Everyone has a legal and moral obligation to report violent crimes immediately.

[816] Gleim #: 10.3.105 -- Source: CIA 1189 I-45

Which of the following items is a violation by an internal auditor of The IIA Code of Ethics?

- A. Certain facts recorded in the internal auditor's working papers that helped to support the basic allegations made by the internal auditor regarding a case of fraud were not included in the final engagement communication.
- B. Information in the internal auditor's working papers that proved a criminal act was included in the internal auditor's draft communication. The comments were later removed by internal audit management.
- C. To keep the engagement effort within the budgeted time, the internal auditor was directed to and did curtail testing in an area that looked suspicious and later was proved to contain massive irregularities.
- D. A control system that had been recommended by the internal audit staff during the previous engagement was found to be defective. The internal auditor reported the defective function as an engagement client failure.

- Answer (A) is incorrect. Immaterial facts need not be included.
- Answer (B) is incorrect. The ethical transgression, if any, was not made by the internal auditor but by internal audit management.
- Answer (C) is incorrect. The ethical transgression, if any, was not made by the internal auditor but by internal audit management.
- Answer (D) is **correct**. Reporting the defective function as an engagement client failure is a violation of the internal auditor's ethical obligation to disclose all material facts known to him/her that, if not disclosed, may distort the reporting of activities under review (Rule of Conduct 2.3).

[817] Gleim #: 10.3.106 -- Source: CIA 590 I-45

Which of the following actions by an internal auditor would violate The IIA Code of Ethics?

- A. Attendance at an educational program offered by an engagement client to all employees.
 - B. Acceptance of airline tickets from an engagement client.
 - C. Disclosure, in an engagement communication, of all material facts relevant to the area reviewed.
 - D. Disposal of a small ownership interest in the organization prior to learning of a business downturn.
- Answer (A) is incorrect. Continuing education is consistent with the duty to continually improve proficiency and the effectiveness and quality of services (Rule of Conduct 4.3).
 - Answer (B) is **correct**. "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment" (Rule of Conduct 2.2).
 - Answer (C) is incorrect. Rule of Conduct 2.3 requires full disclosure of material facts when reporting on activities.
 - Answer (D) is incorrect. A stock transaction not based on insider information is not an impropriety.

[818] Gleim #: 10.3.107 -- Source: CIA 1190 I-48

An internal auditor may receive which of the following without violating The IIA Code of Ethics?

- A. A pen received from the sales manager of a subsidiary with the imprinted name of the organization's product and a phone number.
 - B. A dinner and baseball tickets from the manager of a department being reviewed. The tickets are usually made available to employees of that department.
 - C. A dinner and baseball tickets from the manager of a department that has never been reviewed and for which there are no plans for a future engagement. The tickets are usually made available to employees of that department.
 - D. A bottle of whiskey from the organization's treasurer.
- Answer (A) is **correct**. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment." A small promotional item, such as a pen of minimal value, is unlikely to affect an auditor's judgment.
 - Answer (B) is incorrect. A gift from an employee whose department may be reviewed most likely violates Rule of Conduct 2.2.
 - Answer (C) is incorrect. A gift from an employee whose department may be reviewed most likely violates Rule of Conduct 2.2.
 - Answer (D) is incorrect. A gift from an employee whose department may be reviewed most likely violates Rule of Conduct 2.2.

[819] Gleim #: 10.3.108 -- Source: CIA 1184 I-33

In their reporting, internal auditors are required by The IIA Code of Ethics to

- A. Present sufficient factual information without revealing confidential matters that could be detrimental to the organization.
- B. Disclose all material information obtained by the auditor as of the date of the final engagement communication.
- C. Obtain factual information within the established time and budget parameters.
- D. Disclose material facts known to the internal auditor that could distort the final engagement communication if not revealed.

- Answer (A) is incorrect. This requirement is not in the Code.
- Answer (B) is incorrect. This requirement is not in the Code.
- Answer (C) is incorrect. This requirement is not in the Code.
- Answer (D) is **correct**. Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."

[820] Gleim #: 10.3.109 -- Source: CIA 1187 II-48

Which of the following actions by an internal auditor is **most** likely a violation of The IIA Code of Ethics?

- A. Accepting payment for teaching auditing at a local university.
- B. Having a material ownership interest in a competitor.
- C. Accepting a moderate gift from a customer of his/her organization.
- D. Allowing use of the Certified Internal Auditor designation in a context not involving his/her employment.

- Answer (A) is incorrect. Teaching is compatible with internal auditing.
- Answer (B) is incorrect. Having a material ownership interest in a competitor is more likely to cause a conflict for a director or officer than an internal auditor. An internal auditor would seldom be able during the course of his/her employment to take action that would enhance the value of the ownership interest.
- Answer (C) is **correct**. Rule of Conduct 2.2 of The IIA Code of Ethics states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
- Answer (D) is incorrect. The IIA Code of Ethics does not specifically mention use of the CIA designation. Acts discreditable to the profession or the organization are prohibited, but use of the CIA designation outside the employment context is not per se discreditable.

[821] Gleim #: 10.3.110 -- Source: CIA 1194 I-57

Which of the following is permissible under The IIA Code of Ethics?

- A. Disclosing confidential, engagement-related information that is potentially damaging to the organization in a court of law in response to a subpoena.
- B. Using engagement-related information in a decision to buy an ownership interest in the employer.
- C. Accepting an unexpected gift from an employee who was praised in a recent engagement communication.
- D. Not reporting significant observations about illegal activity to the audit committee because management has indicated it will handle the issue.

- Answer (A) is **correct**. Rule of Conduct 1.2 states, "Internal auditors shall observe the law and make disclosures expected by the law and the profession." Thus, complying with a valid subpoena does not violate The IIA Code of Ethics.
- Answer (B) is incorrect. Rule of Conduct 3.2 states, "Internal auditors shall not use information for any personal gain or in any manner that would be contrary to the law or detrimental to the legitimate and ethical objectives of the organization."
- Answer (C) is incorrect. Rule of Conduct 2.2 states, "Internal auditors shall not accept anything that may impair or be presumed to impair their professional judgment."
- Answer (D) is incorrect. Rule of Conduct 1.3 states, "Internal auditors shall not knowingly be a party to any illegal activity, or engage in acts that are discreditable to the profession of internal auditing or to the organization." Moreover, Rule of Conduct 2.3 states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."

[822] Gleim #: 10.3.111 -- Source: CIA 595 I-57

An internal auditor, recently terminated by an organization due to downsizing, has found a job with another organization in the same industry. Which of the following disclosures made by the internal auditor to the new organization would constitute a violation of The IIA's Code of Ethics?

- A. The internal auditor used the risk assessment approach that was used by the internal auditor's former employer in determining priorities in the new job.
- B. The new internal audit activity does not use PPS sampling, and the internal auditor believes PPS sampling has advantages for many of the engagements conducted by the new employer. The internal auditor conducts training sessions and develops forms to implement sampling in the same manner as the previous employer.
- C. While at the previous firm, the internal auditor conducted a great deal of research to identify "best practices" for the management of the treasury function. Because most of the research was done at home and during non-office hours, the internal auditor retained much of the research and plans to use it in conducting a review of the treasury function at the new employer.
- D. None of the answers represent a violation of the Code.

- Answer (A) is incorrect. Disclosing the former employer's risk assessment approach does not violate the Code.
- Answer (B) is incorrect. Disclosing sampling methods does not violate the Code.
- Answer (C) is incorrect. Disclosing information about best practices of other entities does not violate the Code.
- Answer (D) is **correct**. The former employer's risk assessment approach may be viewed as general information about "best practices." Hence, applying this approach on behalf of a new employer is acceptable. With regard to the former employer's sampling methods, the internal auditor is applying knowledge of a commonly used engagement procedure. It is not confidential information. Moreover, gathering information about best practices of other organizations is part of the continuing education of the internal auditor. Thus, the listed responses are not violations of the Code.

[823] Gleim #: 10.3.112 -- Source: Publisher

In their communication of results, internal auditors are required by The IIA Code of Ethics to

- A. Obtain factual information within the established time and budget parameters.
- B. Reveal material facts that could distort communications if not revealed.
- C. Present sufficient factual information without revealing confidential information that could be detrimental to the organization.
- D. Disclose all material information obtained as of the date of the final engagement communication.

- Answer (A) is incorrect. Obtaining information pertains to performing the engagement, not communicating results.
- Answer (B) is **correct**. Internal auditors should disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review (Rule of Conduct 2.3).
- Answer (C) is incorrect. The Code of Ethics does not prohibit communicating confidential information to appropriate parties within the organization, e.g., senior management and the board.
- Answer (D) is incorrect. Disclosures by the internal auditors are not limited to information obtained as of the date of the final engagement communication.

[824] Gleim #: 10.3.113 -- Source: CIA, adapted

Which of the following is permissible under The IIA Code of Ethics?

- A. In response to a subpoena, an auditor appeared in a court of law and disclosed confidential, audit-related information that could potentially damage the auditor's organization.
 - B. An auditor used audit-related information in a decision to buy stock issued by the employer corporation.
 - C. After praising an employee in a recent audit engagement communication, an auditor accepted a gift from the employee.
 - D. An auditor did not report significant observations about illegal activity to the board because management indicated that it would resolve the issue.
- Answer (A) is **correct**. According to Rule of Conduct 1.2, "Internal auditors shall observe the law and make disclosures expected by the law and the profession." Thus, auditors must comply with subpoenas.
 - Answer (B) is incorrect. Rule of Conduct 3.2 prohibits auditors from using audit information for personal gain.
 - Answer (C) is incorrect. Rule of Conduct 2.2 prohibits an auditor from accepting anything that might be presumed to impair the auditor's professional judgment.
 - Answer (D) is incorrect. Rule of Conduct 1.3 prohibits auditors from knowingly being a party to any illegal or improper activity. Significant observations of illegal activity should be reported to the audit committee.

[825] Gleim #: 10.3.114 -- Source: CIA, adapted

An internal auditor who encounters an ethical dilemma not explicitly addressed by The IIA Code of Ethics should always

- A. Seek counsel from an independent attorney to determine the personal consequences of potential actions.
 - B. Take action consistent with the principles embodied in The IIA Code of Ethics.
 - C. Seek the counsel of the audit committee before deciding on an action.
 - D. Act consistently with the employing organization's code of ethics even if such action would not be consistent with The IIA Code of Ethics.
- Answer (A) is incorrect. The auditor must act consistently with the spirit of The IIA Code of Ethics. It is not practical to seek the advice of legal counsel for all ethical decisions. Moreover, unethical behavior may not be illegal.
 - Answer (B) is **correct**. The IIA Code of Ethics is based on principles relevant to the profession and practice of internal auditing that internal auditors are expected to apply and uphold: integrity, objectivity, confidentiality, and competency. Furthermore, the Code states that particular conduct may be unacceptable or discreditable even if it is not mentioned in the Rules of Conduct.
 - Answer (C) is incorrect. It is not feasible to seek the audit committee's advice for all potential dilemmas. Furthermore, the advice might not be consistent with the profession's standards.
 - Answer (D) is incorrect. If the organization's standards are not consistent with, or as high as, the profession's standards, the internal auditor should abide by the latter.

[826] Gleim #: 10.4.115 -- Source: CIA 590 I-47

In the course of their work, internal auditors must be alert for fraud and other forms of white-collar crime. The important characteristic that distinguishes fraud from other varieties of white-collar crime is that

- A. Fraud encompasses an array of irregularities and illegal acts that involve intentional deception.
- B. Unlike other white-collar crimes, fraud is always perpetrated against an outside party.
- C. White-collar crime is usually perpetrated for the benefit of an organization, but fraud benefits an individual.
- D. White-collar crime is usually perpetrated by outsiders to the detriment of an organization, but fraud is perpetrated by insiders to benefit the organization.

- Answer (A) is **correct**. Fraud encompasses an array of irregularities and illegal acts characterized by intentional deception or misrepresentation. It can be perpetrated for the benefit of or to the detriment of the organization and by persons outside or inside the organization.
- Answer (B) is incorrect. Fraud may be perpetrated internally.
- Answer (C) is incorrect. Fraud may be perpetrated for the organization's benefit or for otherwise unselfish reasons.
- Answer (D) is incorrect. Fraud may be perpetrated by insiders and outsiders, and it may be either beneficial or detrimental to an organization.

[827] Gleim #: 10.4.116 -- Source: CIA 597 1-57

Which of the following statements is(are) true regarding the prevention of fraud?

- I. The primary means of preventing fraud is through internal control established and maintained by management.
 - II. Internal auditors are responsible for assisting in the prevention of fraud by examining and evaluating the adequacy of the internal control system.
 - III. Internal auditors should assess the operating effectiveness of fraud-related communication systems.
- A. I only.
 - B. I and II only.
 - C. II only.
 - D. I, II, and III.

- Answer (A) is incorrect. Internal auditors are responsible for assisting in the prevention of fraud by examining and evaluating the adequacy of the internal control system, and internal auditors should assess the operating effectiveness of fraud-related communication systems.
- Answer (B) is incorrect. Internal auditors should assess the operating effectiveness of fraud-related communication systems.
- Answer (C) is incorrect. The primary means of preventing fraud is through internal control established and maintained by management, and internal auditors should assess the operating effectiveness of fraud-related communication systems.
- Answer (D) is **correct**. The principal mechanism for preventing fraud is internal control. Responsibility for establishing and maintaining control rests with management. Furthermore, internal auditors are responsible for assisting in the prevention of fraud by examining and evaluating the adequacy and the effectiveness of the system of internal control, commensurate with the extent of the potential exposure within the organization. Internal auditors also should assess the operating effectiveness of fraud-related communication systems and practices and support fraud-related training initiatives.

[828] Gleim #: 10.4.117 -- Source: CIA 591 II-50

In an organization with a separate division that is primarily responsible for the prevention of fraud, the internal audit activity is responsible for

- A. Examining and evaluating the adequacy and effectiveness of that division's actions taken to prevent fraud.
 - B. Establishing and maintaining that division's system of internal control.
 - C. Planning that division's fraud prevention activities.
 - D. Controlling that division's fraud prevention activities.
- Answer (A) is **correct**. Control is the principal mechanism for the prevention of fraud. Management, in turn, is primarily responsible for the establishment and maintenance of control. Internal auditors are primarily responsible for preventing fraud by examining and evaluating the adequacy and effectiveness of control.
 - Answer (B) is incorrect. Establishing and maintaining control is a responsibility of management.
 - Answer (C) is incorrect. Planning fraud prevention activities is a responsibility of management.
 - Answer (D) is incorrect. Controlling fraud prevention activities is a responsibility of management.

[829] Gleim #: 10.4.118 -- Source: CIA 597 1-9

After noting some red flags, an internal auditor has an increased awareness that fraud may be present. Which of the following **best** describes the internal auditor's responsibility?

- A. Expand activities to determine whether an investigation is warranted.
- B. Report the possibility of fraud to senior management and the board and ask them how they would like to proceed.
- C. Consult with external legal counsel to determine the course of action to be taken, including the approval of the proposed engagement work program to make sure it is acceptable on legal grounds.
- D. Report the matter to the audit committee and request funding for outside service providers to help investigate the possible fraud.

- Answer (A) is **correct**. An internal auditor's responsibilities for detecting fraud include evaluating fraud indicators and deciding whether any additional action is necessary or whether an investigation should be recommended.
- Answer (B) is incorrect. The internal auditor should notify the appropriate authorities within the organization if (s)he has determined that the indicators of fraud are sufficient to recommend an investigation.
- Answer (C) is incorrect. The internal auditor does not have the authority to consult with external legal counsel.
- Answer (D) is incorrect. The internal auditor should report the matter and request funding for outside service providers only if (s)he has determined that the indicators of fraud are sufficient to recommend an investigation.

[830] Gleim #: 10.4.119 -- Source: Publisher

The internal audit activity's responsibility for preventing fraud is to

- A. Establish internal control.
- B. Maintain internal control.
- C. Evaluate the system of internal control.
- D. Exercise operating authority over fraud prevention activities.

- Answer (A) is incorrect. Management's responsibility is to establish internal control.
- Answer (B) is incorrect. Management's responsibility is to maintain internal control.
- Answer (C) is **correct**. The principal mechanism for preventing fraud is control, and management has the primary responsibility for establishing and maintaining control. Internal auditors are responsible for assisting in the prevention of fraud by examining and evaluating the adequacy and the effectiveness of the system of internal control.
- Answer (D) is incorrect. The IAA will not be independent if it exercises operating authority.

[831] Gleim #: 10.4.120 -- Source: CIA 1194 I-10

An internal auditor who suspects fraud should

- A. Determine that a loss has been incurred.
- B. Interview those who have been involved in the control of assets.
- C. Identify the employees who could be implicated in the case.
- D. Recommend an investigation after determining that fraud has occurred.

- Answer (A) is incorrect. Determining the loss could alert the perpetrator of the fraud. The perpetrator could then destroy or compromise evidence.
- Answer (B) is incorrect. Interviewing those who have been involved in the control of assets is part of the fraud investigation.
- Answer (C) is incorrect. Identifying the employees who could be implicated in the case is part of the fraud investigation.
- Answer (D) is **correct**. An internal auditor's responsibilities for detecting fraud include evaluating fraud indicators and deciding whether any additional action is necessary or whether an investigation should be recommended. The internal auditor should notify the appropriate authorities within the organization if (s)he has determined that the indicators of fraud are sufficient to recommend an investigation.

[832] Gleim #: 10.4.121 -- Source: CIA 1192 I-50

The internal auditors' responsibility regarding fraud includes all of the following **except**

- A. Determining whether the control environment sets the appropriate tone at top.
- B. Ensuring that fraud will not occur.
- C. Being aware of activities in which fraud is likely to occur.
- D. Evaluating the effectiveness of control activities.

- Answer (A) is incorrect. Internal auditing is responsible for evaluating the organization's control environment.
- Answer (B) is **correct**. Control is the principal mechanism for preventing fraud. Internal auditors are responsible for assisting in the prevention of fraud by examining and evaluating the adequacy and the effectiveness of the system of internal control, commensurate with the extent of the potential exposure in the organization. However, management is responsible for establishing and maintaining internal control. Moreover, due professional care requires the conduct of examinations and verifications to a reasonable extent but does not require detailed reviews of all transactions. Thus, the internal auditors cannot give absolute assurance that noncompliance or irregularities do not exist.
- Answer (C) is incorrect. The internal auditor should have sufficient knowledge of fraud indicators and be alert to opportunities that could allow fraud.
- Answer (D) is incorrect. Assessing the design and operating effectiveness of fraud-related controls is the responsibility of internal auditing.

[833] Gleim #: 10.4.122 -- Source: CIA 1193 I-49

A significant employee fraud took place shortly after an internal auditing engagement. The internal auditor may not have properly fulfilled the responsibility for the prevention of fraud by failing to note and report that

- A. Policies, practices, and procedures to monitor activities and safeguard assets were less extensive in low-risk areas than in high-risk areas.
- B. A system of control that depended upon separation of duties could be circumvented by collusion among three employees.
- C. There were no written policies describing prohibited activities and the action required whenever violations are discovered.
- D. Divisional employees had not been properly trained to distinguish between bona fide signatures and cleverly forged ones on authorization forms.

- Answer (A) is incorrect. For cost-benefit reasons, controls should be more extensive in high-risk areas.
- Answer (B) is incorrect. Even the best system of control can often be circumvented by collusion.
- Answer (C) is **correct**. Management is responsible for establishing and maintaining internal control. Thus, management also is responsible for the fraud prevention program. The control environment element of this program includes a code of conduct, ethics policy, or fraud policy to set the appropriate tone at the top. Moreover, organizations should establish effective fraud-related information and communication practices, for example, documentation and dissemination of policies, guidelines, and results.
- Answer (D) is incorrect. Forgery, like collusion, can circumvent even an effective control.

[834] Gleim #: 10.4.123 -- Source: CIA 590 I-50

When conducting fraud investigations, internal auditors should

- A. Clearly indicate the extent of the internal auditors' knowledge of the fraud when questioning suspects.
- B. Assign personnel to the investigation in accordance with the engagement schedule established at the beginning of the fiscal year.
- C. Perform its investigation independently of lawyers, security personnel, and specialists from outside the organization who are involved in the investigation.
- D. Assess the probable level of, and the extent of complicity in, the fraud within the organization.

- Answer (A) is incorrect. By always giving the impression that additional evidence is in reserve, the internal auditors are more apt to obtain complete and truthful answers.
- Answer (B) is incorrect. Fraud investigations usually occur unexpectedly and cannot be scheduled in advance. Also, the fraud investigation must be conducted by individuals having the appropriate expertise, even if another engagement must be delayed.
- Answer (C) is incorrect. The internal auditors should coordinate their activities with management, legal counsel, and other specialists.
- Answer (D) is **correct**. When conducting fraud investigations, internal auditors or others should assess the probable level of, and the extent of complicity in, the fraud within the organization. This assessment can be critical to ensuring that (1) crucial evidence is not tainted or destroyed and (2) misleading information is not obtained from persons who may be involved.

[835] Gleim #: 10.4.124 -- Source: CIA 04 Model Exam I-88

The manager of a production line has the authority to order and receive replacement parts for all machinery that requires periodic maintenance. The internal auditor received an anonymous tip that the manager ordered substantially more parts than were necessary from a family member in the parts supply business. The unneeded parts were never delivered. Instead, the manager processed receiving documents and charged the parts to machinery maintenance accounts. The payments for the undelivered parts were sent to the supplier, and the money was divided between the manager and the family member. Which of the following tests would **best** assist the auditor in deciding whether to investigate this anonymous tip further?

- A. Comparison of the current quarter's maintenance expense with prior-period activity.
 - B. Physical inventory testing of replacement parts for existence and valuation.
 - C. Analysis of repair parts charged to maintenance to review the reasonableness of the number of items replaced.
 - D. Review of a test sample of parts invoices for proper authorization and receipt.
- Answer (A) is incorrect. The current quarter's expense may not vary significantly from the prior period's unless the manager just started this fraud. The auditor has no information on how long this might have been occurring.
 - Answer (B) is incorrect. Physical testing would not locate nonexistent parts that already have been charged to maintenance.
 - Answer (C) is **correct**. Analytical procedures are evaluations of financial information made by a study of plausible relationships among both financial and nonfinancial data. They involve comparisons of recorded amounts, or ratios developed from recorded amounts, with expectations developed by the internal auditor. A basic premise underlying the application of analytical procedures is that plausible relationships among data may reasonably be expected to exist and continue in the absence of known conditions to the contrary. Thus, an analysis of repair parts charged to maintenance would quantify the excessive number of items and raise a red flag that abuse may be occurring.
 - Answer (D) is incorrect. Lack of segregation of duties allowed the fraud to occur. The manager was authorized to process both the purchase and receipt, so the test would only verify the fraudulent paperwork.

[836] Gleim #: 10.4.125 -- Source: CIA 597 I-32

Auditors must always be alert for the possibility of fraud. Assume the controls over each risk listed below are marginal. Which of the following possible frauds or misuses of organization assets should be considered the area of greatest risk?

- A. The president is using company travel and entertainment funds for activities that might be considered questionable.
- B. Purchases of supplies are made from fictitious vendors.
- C. Grants are made to organizations that might be associated with the president or are not for purposes dictated in the organization's charter.
- D. The payroll clerk has added ghost employees.

- Answer (A) is incorrect. Administrative expense is 2% ($10 \div 500$) of current revenue.
- Answer (B) is incorrect. Purchases of supplies from fictitious vendors involve risk exposures that are far less than those arising from inappropriate grants.
- Answer (C) is **correct**. Grants represent 83.6% ($418 \div 500$) of current revenue. Consequently, fraudulent grants constitute a much greater risk exposure than any of the other items listed.
- Answer (D) is incorrect. The payroll clerk's addition of ghost employees involve risk exposures that are far less than those arising from inappropriate grants.

[837] Gleim #: 10.4.126 -- Source: CIA 593 I-47

Internal auditors have a responsibility for helping to deter fraud. Which of the following **best** describes how this responsibility is usually met?

- A. By coordinating with security personnel and law enforcement agencies in the investigation of possible frauds.
 - B. By testing for fraud in every engagement and following up as appropriate.
 - C. By assisting in the design of control systems to prevent fraud.
 - D. By evaluating the adequacy and effectiveness of controls in light of the potential exposure or risk.
- Answer (A) is incorrect. Investigating possible frauds involves detection, not deterrence.
 - Answer (B) is incorrect. Testing for fraud in every engagement is not required.
 - Answer (C) is incorrect. Designing systems impairs an internal auditor's objectivity (PA 1120-1).
 - Answer (D) is **correct**. Internal auditing is responsible for assisting in the deterrence of fraud by examining and evaluating the adequacy and the effectiveness of controls, commensurate with the extent of the potential exposure/risk in the various segments of the organization's operations. However, management, not internal auditing, is responsible for establishing and maintaining internal control. Moreover, given its inherent limitations, even effective internal control cannot provide more than reasonable assurance that fraud will be prevented. Thus, the internal auditor cannot guarantee that fraud will not occur.

[838] Gleim #: 10.4.127 -- Source: CIA 594 I-14

When an internal auditor identifies multiple factors that have been linked with possible fraudulent conditions, and suspects that fraud has taken place, the auditor should

- A. Immediately report to senior management and the board.
 - B. Immediately report to the board.
 - C. Notify the appropriate authorities within the organization and recommend an investigation.
 - D. Extend tests to determine the extent of the fraud.
- Answer (A) is incorrect. Immediate reporting by the CAE to senior management and the board is required only after a sufficient investigation has been made to establish reasonable certainty that a significant fraud has occurred. Thus, reasonable certainty is necessary before any fraud reporting is made.
 - Answer (B) is incorrect. Immediate reporting by the CAE to senior management and the board is required only after a sufficient investigation has been made to establish reasonable certainty that a significant fraud has occurred. Thus, reasonable certainty is necessary before any fraud reporting is made.
 - Answer (C) is **correct**. The internal auditor's responsibilities for detecting fraud when conducting engagements include notifying the appropriate authorities within the organization if a determination is made that there are sufficient indicators of the commission of a fraud to recommend an investigation. Furthermore, immediate reporting by the CAE to senior management and the board is required only after a sufficient investigation has been made to establish reasonable certainty that a significant fraud has occurred. Thus, reasonable certainty is necessary before any fraud reporting is made.
 - Answer (D) is incorrect. Extended tests to determine the extent of fraud are performed after the fraud has in fact been determined, not suspected.

[839] Gleim #: 10.4.128 -- Source: CIA 1193 II-47

The internal audit activity has concluded a fraud investigation that revealed a previously undiscovered materially adverse impact on the financial position and results of operations for 2 years on which financial statements have already been issued. The chief audit executive should immediately inform

- A. The external auditing firm responsible for the financial statements affected by the discovery.
 - B. The appropriate governmental or regulatory agency.
 - C. Senior management and the board.
 - D. The internal accounting function ultimately responsible for making corrective journal entries.
-
- Answer (A) is incorrect. Management should communicate with the external auditors.
 - Answer (B) is incorrect. Management should communicate with the governmental agencies.
 - Answer (C) is **correct**. The CAE is responsible for reporting immediately any incident of significant fraud to senior management and the board. However, before any fraud reporting is made, a sufficient investigation should establish with reasonable certainty that a fraud occurred. Presumably, this fraud investigation established to a reasonable certainty a previously undiscovered materially adverse effect on the financial position and results of operations of an organization for one or more years on which financial statements have already been issued. Hence, the CAE should immediately inform senior management and the board.
 - Answer (D) is incorrect. Management should communicate with the accounting function.

[840] Gleim #: 10.4.129 -- Source: CIA 594 I-13

Internal auditors are more likely to detect fraud by developing/strengthening their ability to

- A. Recognize and question changes that occur in organizations.
 - B. Interrogate fraud perpetrators to discover why the fraud was committed.
 - C. Develop internal controls to prevent the occurrence of fraud.
 - D. Document computerized operating system programs.
-
- Answer (A) is **correct**. The responsibilities of internal auditors for detecting fraud including having sufficient knowledge of fraud to be able to identify indicators that fraud may have been committed. Fraud may be indicated by negative organizational changes. Thus, the recognition and questioning of change is critical to the detection of fraud.
 - Answer (B) is incorrect. Interrogation of fraud perpetrators occurs after detection. The danger signals of fraud often involve negative organizational changes.
 - Answer (C) is incorrect. The controls mentioned are preventive, not detective.
 - Answer (D) is incorrect. Documentation of operating systems is not within the scope of internal auditing and would do little to enhance fraud detection skills.

[841] Gleim #: 10.4.130 -- Source: CIA 589 II-46

Which of the following wrongful acts committed by an employee constitutes fraud?

- A. Libel.
- B. Embezzlement.
- C. Assault.
- D. Harassment.

- Answer (A) is incorrect. Defamation is the unjustifiable communication (publication) to a third party of a false statement that injures the plaintiff's reputation and holds him/her up to hatred, contempt, or ridicule. Oral defamation is slander. Defamation published in more permanent form (newspaper, letter, film) is libel.
- Answer (B) is **correct**. Fraud encompasses an array of irregularities and illegal acts characterized by intentional deception. It can be perpetrated for the benefit of or to the detriment of the organization and by persons outside as well as inside the organization. Embezzlement is the intentional appropriation of property entrusted to one's care. The embezzler converts property to his/her own use and conceals the theft.
- Answer (C) is incorrect. The tort of assault entails placing another in reasonable fear of a harmful or offensive bodily contact.
- Answer (D) is incorrect. Harassment is the act of persistently annoying another.

[842] Gleim #: 10.4.131 -- Source: CIA 1189 I-46

An internal auditor suspects that a mailroom clerk is embezzling funds. In exercising due professional care, the internal auditor should

- A. Reassign the clerk to another department.
 - B. Institute stricter controls over mailroom operations.
 - C. Inform the appropriate authorities in the organization.
 - D. Confront the clerk with the auditor's suspicions.
- Answer (A) is incorrect. The internal auditor has no operating responsibility, e.g., for assigning personnel or implementing controls.
 - Answer (B) is incorrect. The internal auditor has no operating responsibility, e.g., for assigning personnel or implementing controls.
 - Answer (C) is **correct**. The internal auditor should inform the appropriate authorities within the organization when wrongdoing is suspected, recommend any necessary investigation, and follow up to see that the internal audit activity's responsibilities have been met.
 - Answer (D) is incorrect. An internal auditor should not confront a suspect until the proper authorities have been notified and have determined the appropriate action.

[843] Gleim #: 10.4.132 -- Source: CIA 1189 I-50

An internal auditor's responsibility for reporting fraud includes

- A. Notifying management of fraud when the internal auditor has exhaustively reviewed all the data related to the fraud.
 - B. Issuing a written report at the conclusion of the investigation and not sooner.
 - C. Notifying management if fraud has been established to a reasonable certainty.
 - D. Providing a draft of the report only to senior management.
- Answer (A) is incorrect. The internal auditor should report to senior management and the board as soon as a sufficient investigation has been made to establish the occurrence of fraud to a reasonable certainty.
 - Answer (B) is incorrect. Reporting of fraud consists of the various oral or written interim or final communications to management regarding the status and results of fraud investigations.
 - Answer (C) is **correct**. The CAE has the responsibility to report immediately any incident of significant fraud to senior management and the board. Sufficient investigation should be made to establish to a reasonable certainty that a fraud has occurred before any fraud reporting is made.
 - Answer (D) is incorrect. A draft of the proposed final communications on fraud should be submitted to legal counsel for review. When the internal auditor wishes to invoke client privilege, the report may be addressed to legal counsel.

[844] Gleim #: 10.4.133 -- Source: CIA 590 II-50

After completing an investigation, internal auditing has concluded that an employee has stolen a significant amount of cash receipts. A draft of the proposed communication on this observation should be submitted for review to

- A. Legal counsel.
- B. The board.
- C. The chief executive officer of the organization.
- D. The organization's outside auditors.

- Answer (A) is **correct**. The internal auditor must be concerned about the possibility of inclusion (and dissemination) of a statement for which the accused employee could sue the organization. Thus, a draft of the proposed final communications on fraud should be submitted to legal counsel for review. If the internal auditor wants to invoke client privilege, consideration should be given to addressing the report to legal counsel.
- Answer (B) is incorrect. The board should receive a final draft of the report after it has been reviewed and approved by legal counsel.
- Answer (C) is incorrect. If appropriate, the CEO may receive a final draft of the report after it has been reviewed and approved by legal counsel.
- Answer (D) is incorrect. If it is customary to send the outside auditors copies of all internal auditing reports, they should receive a final draft that has been reviewed and approved by legal counsel.

[845] Gleim #: 10.4.134 -- Source: CIA 1184 I-17

Which of the following gives the internal auditor the authority to investigate fraud?

- A. The Standards.
- B. Common law.
- C. Management.
- D. The Institute of Internal Auditors Code of Ethics.

- Answer (A) is incorrect. The internal auditor has authority only to recommend an investigation.
- Answer (B) is incorrect. An internal auditor has no authority under common law.
- Answer (C) is **correct**. When an internal auditor suspects wrongdoing, the appropriate authorities within the organization should be informed. The internal auditor may recommend whatever investigation is considered necessary in the circumstances. Thereafter, the auditor should follow up to see that the internal audit activity's responsibilities have been met. Ordinarily, specialists should investigate fraud. Any investigation undertaken by internal auditors must be authorized by management.
- Answer (D) is incorrect. The IIA Code of Ethics does not mention fraud investigation.

[846] Gleim #: 10.4.135 -- Source: CIA 1185 II-13

An internal auditor's field work uncovers a series of transactions that indicate a possible embezzlement. Which of the following actions should the chief audit executive take?

- A. Confront the suspected embezzler to determine that the facts are correct.
- B. Review the finding with the suspect's fellow workers to see whether the workers can furnish additional evidence.
- C. Consult with security personnel.
- D. Discuss the case with the board.

- Answer (A) is incorrect. The internal auditor should avoid confronting suspected employees. Employees suspected of theft or fraud have certain common law and statutory rights that, if infringed upon, can be costly to the organization.
- Answer (B) is incorrect. Fellow workers may also be involved in the embezzlement.
- Answer (C) is **correct**. When an internal auditor suspects wrongdoing, the appropriate authorities within the organization should be informed, e.g., security personnel. The internal auditor may then recommend whatever investigation is considered necessary. Thereafter, the internal auditor should follow up to see that the IAA's responsibilities have been met.
- Answer (D) is incorrect. Although the audit committee may also be notified, the internal auditor should notify appropriate authorities within the organization. Senior management and the board must be notified when a reasonable certainty has been established that a significant fraud has occurred.

[847] Gleim #: 10.4.136 -- Source: CIA 587 I-49

A preliminary report (oral or written) is issued following the detection phase of a fraud investigation. Such a report should

- A. Include the internal auditor's conclusion as to whether sufficient information exists to conduct an investigation.
 - B. Identify the perpetrators of the fraud.
 - C. Never include the observations that serve as the basis for the internal auditor's conclusion.
 - D. Never be submitted to the board.
- Answer (A) is **correct**. A preliminary or final report may be desirable at the conclusion of the detection phase. The report should include the internal auditor's conclusion as to whether sufficient information exists to conduct a full investigation. It should also summarize observations and recommendations that serve as the basis for such decision.
 - Answer (B) is incorrect. Identification may be impossible at this stage of the investigation.
 - Answer (C) is incorrect. These observations should be included.
 - Answer (D) is incorrect. Management and the board should receive the report.

[848] Gleim #: 10.4.137 -- Source: CIA 588 I-47

A chief audit executive obtains factual documentation of unethical business dealings by the vice president in charge of internal auditing. The CAE should

- A. Conduct an investigation to determine the extent of the vice president's personal involvement in the unethical conduct.
 - B. Confront the vice president with the information before proceeding.
 - C. Schedule an engagement to review the involved business function.
 - D. Report the facts to the chief executive officer and the audit committee.
- Answer (A) is incorrect. The first step is to notify the proper authorities within the organization.
 - Answer (B) is incorrect. The actual investigation should probably be carried on by someone expert in criminal investigation.
 - Answer (C) is incorrect. The decision whether to perform an engagement is secondary to the immediate obligation to report the facts.
 - Answer (D) is **correct**. When an internal auditor suspects wrongdoing, the appropriate authorities within the organization should be informed. In all cases, it should be someone superior to the person suspected of wrongdoing. In this case, it could only be the chief executive officer and the audit committee of the board of directors.

[849] Gleim #: 10.4.138 -- Source: CIA 1188 I-49

A key feature that distinguishes fraud from other types of crime or impropriety is that fraud always involves the

- A. Violent or forceful taking of property.
- B. Deceitful wrongdoing of management-level personnel.
- C. Unlawful conversion of property that is lawfully in the custody of the perpetrator.
- D. False representation or concealment of a material fact.

- Answer (A) is incorrect. Fraud usually does not involve force or violence.
- Answer (B) is incorrect. Employees at any level in an organization can commit fraud.
- Answer (C) is incorrect. Embezzlement is the unlawful conversion of property that is lawfully in the custody of the perpetrator.
- Answer (D) is **correct**. Fraud is present when there has been a misstatement of a material fact with the intent to deceive, on which the plaintiff justifiably relied to his/her detriment.

[850] Gleim #: 10.4.139 -- Source: CIA 1188 I-50

Prior to issuing a final communication on a fraud investigation, the internal auditor should submit a proposed draft for review by the

- A. Organization's legal counsel.
- B. Engagement client's management.
- C. Organization's public relations department.
- D. Board.

- Answer (A) is **correct**. A draft of the proposed final communications on fraud should be submitted to legal counsel for review. When the internal auditor wants to invoke client privilege, consideration should be given to addressing the report to legal counsel.
- Answer (B) is incorrect. There is not always an identifiable engagement client, and review by such a client is not always appropriate.
- Answer (C) is incorrect. Publicity is inappropriate when the final communication has not been completed.
- Answer (D) is incorrect. The board should receive the final communication, not the proposed draft.

[851] Gleim #: 10.4.140 -- Source: CIA 589 I-46

One factor that distinguishes fraud from other employee crimes is that fraud involves

- A. Intentional deception.
- B. Personal gain for the perpetrator.
- C. Collusion with a party outside the organization.
- D. Malicious motives.

- Answer (A) is **correct**. Fraud encompasses an array of irregularities and illegal acts characterized by intentional deception. It can be perpetrated for the benefit of or to the detriment of the organization and by persons outside as well as inside the organization.
- Answer (B) is incorrect. Fraud may be perpetrated for the organization's benefit or for otherwise unselfish reasons.
- Answer (C) is incorrect. An employee may act alone.
- Answer (D) is incorrect. Fraud may be perpetrated for the organization's benefit or for otherwise unselfish reasons.

[852] Gleim #: 10.4.141 -- Source: CIA 589 I-49

Which of the following describes one of the responsibilities of the internal auditor for the deterrence of fraud in an organization?

- A. Implementation of systems to discourage fraud.
- B. Prosecuting perpetrators of fraud.
- C. Reporting suspected fraud to law enforcement personnel.
- D. Evaluating the adequacy of controls to prevent fraud.

- Answer (A) is incorrect. Implementing systems is an operating function for which management is responsible.
- Answer (B) is incorrect. It is a responsibility of management.
- Answer (C) is incorrect. It is a responsibility of management.
- Answer (D) is **correct**. Internal auditors are responsible for assisting in the deterrence of fraud by examining and evaluating the adequacy and the effectiveness of controls, commensurate with the extent of the potential exposure or risk in the various segments of the entity's operations.

[853] Gleim #: 10.4.142 -- Source: CIA 590 II-46

Internal auditing is responsible for assisting in the prevention of fraud by

- A. Informing the appropriate authorities within the organization and recommending whatever investigation is considered necessary in the circumstances when wrongdoing is suspected.
 - B. Establishing the organization's governance, operations, and information systems concerning compliance with laws, regulations, and contracts.
 - C. Examining and evaluating the adequacy and the effectiveness of control, commensurate with the extent of the potential exposure or risk in the various segments of the organization's operations.
 - D. Determining whether operating standards are acceptable and are being met.
- Answer (A) is incorrect. Informing appropriate authorities in the organization when the internal auditor suspects wrongdoing concerns the internal auditor's obligation for detecting, not preventing, fraud.
 - Answer (B) is incorrect. Management is responsible for establishing these systems.
 - Answer (C) is **correct**. Deterrence consists of those actions taken to discourage the perpetration of fraud and limit the exposure if fraud does occur. The principal mechanism for deterring fraud is control. Primary responsibility for establishing and maintaining control rests with management. However, internal auditors are responsible for assisting in the deterrence of fraud by examining and evaluating the adequacy and the effectiveness of control, commensurate with the extent of the potential exposure or risk in the various segments of the entity's operations. In carrying out this responsibility, internal auditors should, for example, determine whether the organizational environment fosters control consciousness; realistic organizational goals and objectives are set; written policies (e.g., a code of conduct) exist that describe prohibited activities and the action required whenever violations are discovered; appropriate authorization policies for transactions are established and maintained; policies, practices, procedures, reports, and other mechanisms are developed to monitor activities and safeguard assets, particularly in high-risk areas; communication channels provide management with adequate and reliable information; and recommendations need to be made for the establishment or enhancement of cost-effective controls to help deter fraud.
 - Answer (D) is incorrect. These standards are criteria to determine whether operational objectives and goals have been accomplished. They do not concern prevention of fraud.

[854] Gleim #: 10.4.143 -- Source: CIA 1195 I-62

An internal auditor is performing an operational engagement at a division and observes that an unusually large quantity of goods is on hand in the shipping and materials rework areas. The items are labeled as re-ship items. Upon inquiry the internal auditor is told that these are goods that have been returned by customers and have either been repaired and shipped back to the original customer or repaired and shipped out as new products because they are fully warranted. Assume the internal auditor found that most of the goods were repaired and sold as new items. Such sales are both (1) against organizational policy and (2) against governmental regulations. The internal auditor does not know whether fraud was involved or the extent of divisional management's involvement in the scheme. The internal auditor should report the observations to

- A. Divisional management only because it is responsible for correcting the problem.
- B. Divisional management and relevant regulatory bodies.
- C. Divisional management, the board, and senior management.
- D. The board and senior management only.

- Answer (A) is incorrect. Divisional management, the board, and senior management should be informed.
- Answer (B) is incorrect. The internal auditor is not responsible for reporting such observations to a regulatory body. The internal auditor needs to report the observations to the appropriate authorities within the organization.
- Answer (C) is **correct**. Results should be communicated to those with authority to ensure that corrective action is taken. Reporting to divisional management is appropriate because the internal auditor does not know whether fraud was involved or the extent of lower management's involvement. When an internal auditor suspects wrongdoing, appropriate authorities within the organization should be informed and whatever investigation is necessary in the circumstances should be recommended. Thereafter, the internal auditor should follow up. Furthermore, the CAE should report immediately any incident of significant fraud to senior management and the board. However, a sufficient investigation must be conducted to establish to a reasonable certainty that a fraud has occurred before any fraud reporting is made. Accordingly, fraud reporting is not appropriate but senior management and the board nevertheless should be informed because they are appropriate authorities within the organization, given the seriousness of the matter.
- Answer (D) is incorrect. The observations should also be reviewed with divisional management.

[855] Gleim #: 10.4.144 -- Source: CIA 1195 I-63

An internal auditor is performing an operational engagement at a division and observes that an unusually large quantity of goods is on hand in the shipping and materials rework areas. The items are labeled as re-ship items. Upon inquiry the internal auditor is told that these are goods that have been returned by customers and have either been repaired and shipped back to the original customer or repaired and shipped out as new products because they are fully warranted. Assume that subsequent investigation shows that previously issued financial statements were materially misstated due to the improper recognition of sales. The internal auditor's next step should be to

- A. Immediately inform the external auditor and the divisional manager.
- B. Inform divisional management of the preliminary observation, but wait until a formal engagement communication is issued to inform the board.
- C. Inform the external auditor, senior management, and the board.
- D. Inform senior management and the board.

- Answer (A) is incorrect. The auditor should inform senior management, the board, and the audit committee.
- Answer (B) is incorrect. The auditor should inform senior management, the board, and the audit committee.
- Answer (C) is incorrect. The auditor should inform senior management, the board, and the audit committee.
- Answer (D) is **correct**. When a sufficient investigation has established to a reasonable certainty that a significant fraud has occurred, senior management and the board should be notified immediately. Moreover, the results of a fraud investigation may indicate that fraud has had a previously undiscovered materially adverse effect on the financial position and results of operations of an organization for one or more years on which financial statements have already been issued. Internal auditors should inform appropriate management and the audit committee of the board of directors of such a discovery.

[856] Gleim #: 10.4.145 -- Source: IIA, adapted

An auditor uncovers a plan to overstate inventory and thereby increase reported profits for a division. The auditor has substantial evidence that the divisional manager was aware of and approved the plan to overstate inventory. There is also some evidence that the manager may have been responsible for the implementation of the plan. The auditor should

- A. Continue to conduct interviews with subordinates until a definite case is made, and then report the case to the audit committee.
- B. Inform senior management and the audit committee of the findings and discuss possible further investigation.
- C. Inform the divisional manager of the auditor's suspicions and obtain the manager's explanation of the findings before pursuing the matter further.
- D. Document the case thoroughly and report the suspicions to the external auditor for further review.

- Answer (A) is incorrect. The auditor has sufficient evidence to bring the matter to the attention of senior management and the audit committee. They can then decide the method of further investigation.
- Answer (B) is **correct**. When an internal auditor suspects wrongdoing, the appropriate authorities within the organization should be informed. The internal auditor may recommend whatever investigation is considered necessary in the circumstances. Thereafter, the auditor should follow up to see that the internal audit activity's responsibilities have been met. Furthermore, The IIA Code of Ethics states, "Internal auditors shall disclose all material facts known to them that, if not disclosed, may distort the reporting of activities under review."
- Answer (C) is incorrect. Divisional management should not be informed about the auditor's suspicions. It is appropriate to interview divisional management but only for data gathering purposes.
- Answer (D) is incorrect. The auditor's responsibility is to report inside the organization.

[857] Gleim #: 10.4.146 -- Source: IIA, adapted

Which of the following **best** describes an auditor's responsibility after noting some indicators of fraud?

- A. Expand activities to determine whether an investigation is warranted.
 - B. Report the possibility of fraud to senior management and ask how to proceed.
 - C. Consult with external legal counsel to determine the course of action to be taken.
 - D. Report the matter to the audit committee and request funding for outside specialists to help investigate the possible fraud.
-
- Answer (A) is **correct**. An internal auditor's responsibilities for detecting fraud include evaluating fraud indicators and deciding whether any additional action is necessary or whether an investigation should be recommended.
 - Answer (B) is incorrect. The internal auditor should notify senior management and the board only if (s)he has determined that the indicators of fraud are sufficient to recommend an investigation.
 - Answer (C) is incorrect. The internal auditor does not have the authority to consult with external legal counsel.
 - Answer (D) is incorrect. The internal auditor should notify the audit committee only if (s)he has determined that the indicators of fraud are sufficient to recommend an investigation.

[858] Gleim #: 10.4.147 -- Source: IIA, adapted

If an internal auditor is interviewing three individuals, one of whom is suspected of committing a fraud, which of the following is the **least** effective approach?

- A. Ask each individual to prepare a written statement explaining the individual's actions.
 - B. Take the role of one seeking the truth.
 - C. Listen carefully to what each interviewee has to say.
 - D. Attempt to get the suspected individual to confess.
-
- Answer (A) is incorrect. A written statement by the interviewee provides admissions of fact that may be compared with other evidence for possible inconsistencies or that may provide starting points for further investigation.
 - Answer (B) is incorrect. The interviewer should be objective, unemotional, and nonthreatening.
 - Answer (C) is incorrect. Effective listening is a vital communication skill in many situations.
 - Answer (D) is **correct**. Because of the legal hazards and their lack of expertise in criminal interrogation, internal auditors should often defer to security specialists. Internal auditors should apply many of the interviewing methods used in other circumstances. The approach should be unemotional and nonthreatening, and the interviewee should be presumed innocent. The interview should be performed by two persons, with one serving as a witness. Interviewers should not interrupt the interviewee (except for clarification) and should attempt to gain his/her confidence. Interviewers must be certain of their facts before proceeding with an interview of a suspect. Thus, an attempt to obtain a confession is inconsistent with the foregoing methods. It is threatening, contrary to the presumption of innocence, and not likely to gain the confidence of the interviewee.

[859] Gleim #: 10.5.148 -- Source: CIA 597 1-53

Red flags are conditions that indicate a higher likelihood of fraud. Which of the following is **not** considered a red flag?

- A. Management has delegated the authority to make purchases under a certain value to subordinates.
- B. An individual has held the same cash-handling job for an extended period without any rotation of duties.
- C. An individual handling marketable securities is responsible for making the purchases, recording the purchases, and reporting any discrepancies and gains/losses to senior management.
- D. The assignment of responsibility and accountability in the accounts receivable department is not clear.

- Answer (A) is **correct**. Delegating the authority to make purchases under a certain value to subordinates is an acceptable and common practice intended to limit risk while promoting efficiency. It is not, by itself, considered a red flag.
- Answer (B) is incorrect. Lack of rotation of duties or cross-training for sensitive jobs is a red flag. Such a person may have a greater opportunity to commit and conceal fraud.
- Answer (C) is incorrect. An inappropriate combination of duties is a red flag.
- Answer (D) is incorrect. Establishing clear lines of authority and accountability not only helps to assign culpability but also has preventive effects.

[860] Gleim #: 10.5.149 -- Source: CIA 593 II-45

Which of the following policies is **most** likely to result in an environment conducive to the occurrence of fraud?

- A. Budget preparation input by the employees who are responsible for meeting the budget.
- B. Unreasonable sales and production goals.
- C. The division's hiring process frequently results in the rejection of adequately trained applicants.
- D. The application of some accounting controls on a sample basis.

- Answer (A) is incorrect. Participatory budgeting can reduce antagonism to budgets and reduce the likelihood of inappropriate means of meeting the budget.
- Answer (B) is **correct**. Unrealistically high sales or production quotas can be an incentive to falsify the records or otherwise take inappropriate action to improve performance measures so that the quotas appear to have been met.
- Answer (C) is incorrect. Hiring policies should be based on factors other than adequate training, such as the applicants' personal integrity. Furthermore, hiring of all adequately trained applicants is unlikely to be necessary.
- Answer (D) is incorrect. Under the reasonable assurance concept, the cost of controls should not exceed their benefits. The cost of applying controls to all relevant transactions rather than a sample may be greater than the resultant savings.

[861] Gleim #: 10.5.150 -- Source: CIA 594 I-12

When comparing perpetrators who have embezzled an organization's funds with perpetrators of financial statement fraud (falsified financial statements), those who have falsified financial statements are less likely to

- A. Have experienced an autocratic management style.
- B. Be living beyond their obvious means of support.
- C. Rationalize the fraudulent behavior.
- D. Use organizational expectations as justification for the act.

- Answer (A) is incorrect. Autocratic management styles have been linked to management (financial statement) fraud.
- Answer (B) is **correct**. Living beyond one's means has been linked to employee fraud (embezzlement), not to financial statement fraud. Fraud perpetrated for the benefit of the organization ordinarily benefits the wrongdoer indirectly, whereas fraud that is detrimental to the organization provides immediate, direct benefits to the employee.
- Answer (C) is incorrect. Rationalization is common to all fraud.
- Answer (D) is incorrect. High expectations are often given as a motivating factor by those who have committed financial statement fraud.

[862] Gleim #: 10.5.151 -- Source: CIA 1194 I-66

The following are facts about a subsidiary:

1. The subsidiary has been in business for several years and enjoyed good profit margins although the general economy was in a recession, which affected competitors.
2. The working capital ratio has declined from a healthy 3:1 to 0.9:1.
3. Turnover for the last several years has included three controllers, two supervisors of accounts receivable, four payables supervisors, and numerous staff in other financial positions.
4. Purchasing policy requires three bids. However, the supervisor of purchasing at the subsidiary has instituted a policy of sole-source procurement to reduce the number of suppliers.

When conducting a financial audit of the subsidiary, the internal auditor should

- A. Most likely not detect 1., 2., or 3.
 - B. Ignore 2. since the economy had a downturn during this period.
 - C. Consider 3. to be normal turnover, but be concerned about 2. and 4. as warning signals of fraud.
 - D. Consider 1., 2., 3., and 4. as warning signals of fraud.
- Answer (A) is incorrect. The items described can be detected through usual procedures in a financial audit.
 - Answer (B) is incorrect. Although the economy suffered a downturn, the change in working capital is unusual in light of the continuing strong profit margins and should be investigated.
 - Answer (C) is incorrect. The working capital ratio, the high employee turnover rate, and the sole-source procurement policy are all warning signals of fraud.
 - Answer (D) is **correct**. That the organization has reported high profits when competitors have not may indicate a misstatement of the financial statements. Insufficient working capital may indicate such problems as overexpansion, decreases in revenues, transfers of funds to other organizations, insufficient credit, and excessive expenditures. The internal auditor should be alert for the diversion of funds for personal use through such methods as unrecorded sales and falsified expenditures. Rapid turnover in financial positions may signify existing problems with which the individuals feel uncomfortable but that they do not want to disclose. Accountability for funds and other resources should be determined upon termination of employment. Use of sole-source procurement does not encourage competition to assure that the organization is obtaining the required materials or equipment at the best price. Sole-source procurement, if not adequately justified, indicates potential favoritism or kickbacks.

[863] Gleim #: 10.5.152 -- Source: CIA 04 Model Exam I-87

The manager of a production line has the authority to order and receive replacement parts for all machinery that requires periodic maintenance. The internal auditor received an anonymous tip that the manager ordered substantially more parts than were necessary from a family member in the parts supply business. The unneeded parts were never delivered. Instead, the manager processed receiving documents and charged the parts to machinery maintenance accounts. The payments for the undelivered parts were sent to the supplier, and the money was divided between the manager and the family member. Which of the following internal controls would have **most** likely prevented this fraud from occurring?

- A. Establishing predefined spending levels for all vendors during the bidding process.
 - B. Segregating the receiving function from the authorization of parts purchases.
 - C. Comparing the bill of lading for replacement parts to the approved purchase order.
 - D. Using the company's inventory system to match quantities requested with quantities received.
- Answer (A) is incorrect. Predefined spending levels would probably already include the fraudulent amounts and would only limit the size of the fraud.
 - Answer (B) is **correct**. Separating the parts authorization and receiving functions would have improved internal control. If the parts in question had been sent to the company and a receiving report had been prepared by an employee other than the one ordering the goods, the fraud could not have occurred. Moreover, the receiving department should not accept goods unless it has a blind copy of a properly approved purchase order for the items.
 - Answer (C) is incorrect. The bill of lading would agree with the purchase order. The quantity received (verified by a third party) should be compared to both the bill of lading and the purchase order.
 - Answer (D) is incorrect. The computer matching would only verify the fraudulent paperwork.

[864] Gleim #: 10.5.153 -- Source: CIA 1195 I-50

Internal auditors have been advised to consider red flags to determine whether management is involved in a fraud. Which of the following does **not** represent a difficulty in using the red flags as fraud indicators?

- A. Many common red flags are also associated with situations in which no fraud exists.
 - B. Some red flags are difficult to quantify or to evaluate.
 - C. Red flag information is not gathered as a normal part of an engagement.
 - D. The red flags literature is not well enough established to have a positive impact on internal auditing.
-
- Answer (A) is incorrect. Red flags are developed by correlation analysis, not necessarily by causation analysis.
 - Answer (B) is incorrect. Many red flags, such as management's attitude, are difficult to quantify.
 - Answer (C) is incorrect. Internal auditors should be able to identify fraud indicators and should be alert to opportunities that could allow fraud. However, internal auditors do not normally perform procedures specifically to gather red flag information.
 - Answer (D) is **correct**. The state of red flags literature is not a difficulty. It is well established and will be refined in the future as research is done. Thus, it does not preclude consideration of red flags.

[865] Gleim #: 10.5.154 -- Source: CIA 593 I-46

An internal auditor should be concerned about the possibility of fraud if

- A. Cash receipts, net of the amounts used to pay petty cash-type expenditures, are deposited in the bank daily.
 - B. The monthly bank statement reconciliation is performed by the same employee who maintains the perpetual inventory records.
 - C. The accounts receivable subsidiary ledger and accounts payable subsidiary ledger are maintained by the same person.
 - D. One person, acting alone, has sole access to the petty cash fund (except for a provision for occasional surprise counts by a supervisor or auditor).
-
- Answer (A) is **correct**. Paying petty cash expenditures from cash receipts facilitates the unauthorized removal of cash before deposit. All cash receipts should be deposited intact daily. Petty cash expenditures should be handled through an imprest fund.
 - Answer (B) is incorrect. The monthly bank reconciliation should not be performed by a person who makes deposits or writes checks, but the inventory clerk has no such responsibilities.
 - Answer (C) is incorrect. There is no direct relationship between the transactions posted to the accounts receivable and accounts payable subsidiary ledgers; having the same person maintain both does not create a control weakness.
 - Answer (D) is incorrect. To establish accountability for petty cash, only one person should have access to the fund.

[866] Gleim #: 10.5.155 -- Source: CIA 594 I-48

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

Randy decided to expand the business and opened several new stores. (2) *Randy was always handling the most urgent problem ... crisis management is what his college professors had termed it.* John assisted with the problems when his other duties allowed him time.

Although successful at work, John had (3) *difficulties with personal financial problems.*

At first, the amounts stolen by John were small. John didn't even worry about making the accounts balance. But John became greedy. "How easy it is to take the money," he said. He felt that he was a critical member of the business team (4) *and that he contributed much more to the success of the company than was represented by his salary.* It would take two or three people to replace me, he often thought to himself. As the amounts became larger and larger, (5) *he made the books balance.* Because of these activities, John was able to purchase an expensive car and take his family on several trips each year. (6) *He also joined an expensive country club.* Things were changing at home, however. (7) *John's family observed that he was often argumentative and at other times very depressed.*

The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 1, "John was trusted completely . . .," is an example of a(n)

- A. Document symptom.
- B. Situational pressure.
- C. Opportunity to commit.
- D. Physical symptom.

- Answer (A) is incorrect. Complete trust is an opportunity to commit a fraud.
- Answer (B) is incorrect. Complete trust is an opportunity to commit a fraud.
- Answer (C) is **correct**. Complete trust in an individual represents an opportunity to commit fraud. John's actions went unscrutinized because of the absence of an appropriate segregation of functions and his ability to override whatever control procedures were in place.
- Answer (D) is incorrect. Complete trust is an opportunity to commit a fraud.

[867] Gleim #: 10.5.156 -- Source: CIA 594 I-49

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

Randy decided to expand the business and opened several new stores. (2) *Randy was always handling the most urgent problem ... crisis management is what his college professors had termed it.* John assisted with the problems when his other duties allowed him time.

Although successful at work, John had (3) *difficulties with personal financial problems.*

At first, the amounts stolen by John were small. John didn't even worry about making the accounts balance. But John became greedy. "How easy it is to take the money," he said. He felt that he was a critical member of the business team (4) *and that he contributed much more to the success of the company than was represented by his salary.* It would take two or three people to replace me, he often thought to himself. As the amounts became larger and larger, (5) *he made the books balance.* Because of these activities, John was able to purchase an expensive car and take his family on several trips each year. (6) *He also joined an expensive country club.* Things were changing at home, however. (7) *John's family observed that he was often argumentative and at other times very depressed.*

The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 2, "Randy was always handling the most urgent . . .," is an example of a(n)

- A. Opportunity to commit.
- B. Analytical symptom.
- C. Situational pressure.
- D. Rationalization.

- Answer (A) is **correct**. When a manager continually handles the most pressing issues of a company, an opportunity for the manager to commit fraud is created. The lack of long-range planning creates a potential for fraud because organizational objectives may have been replaced with individual initiatives.
- Answer (B) is incorrect. Crisis management provides an opportunity to commit fraud.
- Answer (C) is incorrect. Crisis management provides an opportunity to commit fraud.
- Answer (D) is incorrect. Crisis management provides an opportunity to commit fraud.

[868] Gleim #: 10.5.157 -- Source: CIA 594 I-50

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

Randy decided to expand the business and opened several new stores. (2) *Randy was always handling the most urgent problem ... crisis management is what his college professors had termed it.* John assisted with the problems when his other duties allowed him time.

Although successful at work, John had (3) *difficulties with personal financial problems.*

At first, the amounts stolen by John were small. John didn't even worry about making the accounts balance. But John became greedy. "How easy it is to take the money," he said. He felt that he was a critical member of the business team (4) *and that he contributed much more to the success of the company than was represented by his salary.* It would take two or three people to replace me, he often thought to himself. As the amounts became larger and larger, (5) *he made the books balance.* Because of these activities, John was able to purchase an expensive car and take his family on several trips each year. (6) *He also joined an expensive country club.* Things were changing at home, however. (7) *John's family observed that he was often argumentative and at other times very depressed.*

The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 3, "Difficulties with personal financial problems," is an example of a(n)

- A. Behavioral symptom.
- B. Situational pressure.
- C. Rationalization.
- D. Opportunity to commit.

- Answer (A) is incorrect. Personal financial problems are a situational pressure to commit a fraud.
- Answer (B) is **correct**. Financial difficulties create situational pressures or temptations that may contribute to fraud. These situational pressures result from high personal indebtedness, extravagant lifestyles, gambling problems, etc.
- Answer (C) is incorrect. Personal financial problems are a situational pressure to commit a fraud.
- Answer (D) is incorrect. Personal financial problems are a situational pressure to commit a fraud.

[869] Gleim #: 10.5.158 -- Source: CIA 594 I-51

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

Randy decided to expand the business and opened several new stores. (2) *Randy was always handling the most urgent problem ... crisis management is what his college professors had termed it.* John assisted with the problems when his other duties allowed him time.

Although successful at work, John had (3) *difficulties with personal financial problems.*

At first, the amounts stolen by John were small. John didn't even worry about making the accounts balance. But John became greedy. "How easy it is to take the money," he said. He felt that he was a critical member of the business team (4) *and that he contributed much more to the success of the company than was represented by his salary.* It would take two or three people to replace me, he often thought to himself. As the amounts became larger and larger, (5) *he made the books balance.* Because of these activities, John was able to purchase an expensive car and take his family on several trips each year. (6) *He also joined an expensive country club.* Things were changing at home, however. (7) *John's family observed that he was often argumentative and at other times very depressed.*

The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 4, "and that he contributed much more . . .," is an example of a

- A. Rationalization.
- B. Behavioral symptom.
- C. Situational pressure.
- D. Physical symptom.

- Answer (A) is **correct**. Rationalization occurs when one attributes actions to rational and creditable motives without analysis of one's true and especially unconscious motives. Thus, a feeling that one is contributing more than one is paid would be a rationalization for committing fraud.
- Answer (B) is incorrect. The belief that compensation is inadequate is a possible rationalization for improprieties.
- Answer (C) is incorrect. The belief that compensation is inadequate is a possible rationalization for improprieties.
- Answer (D) is incorrect. The belief that compensation is inadequate is a possible rationalization for improprieties.

[870] Gleim #: 10.5.159 -- Source: CIA 594 I-52

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

Randy decided to expand the business and opened several new stores. (2) *Randy was always handling the most urgent problem ... crisis management is what his college professors had termed it.* John assisted with the problems when his other duties allowed him time.

Although successful at work, John had (3) *difficulties with personal financial problems.*

At first, the amounts stolen by John were small. John didn't even worry about making the accounts balance. But John became greedy. "How easy it is to take the money," he said. He felt that he was a critical member of the business team (4) *and that he contributed much more to the success of the company than was represented by his salary.* It would take two or three people to replace me, he often thought to himself. As the amounts became larger and larger, (5) *he made the books balance.* Because of these activities, John was able to purchase an expensive car and take his family on several trips each year. (6) *He also joined an expensive country club.* Things were changing at home, however. (7) *John's family observed that he was often argumentative and at other times very depressed.*

The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 5, "he made the books balance," is an example of a(n)

- A. Physical symptom.
- B. Analytical symptom.
- C. Lifestyle symptom.
- D. Document symptom.

- Answer (A) is incorrect. Making the "books balance" is an example of a document symptom.
- Answer (B) is incorrect. Making the "books balance" is an example of a document symptom.
- Answer (C) is incorrect. Making the "books balance" is an example of a document symptom.
- Answer (D) is **correct**. Tampering with the company's books is a document symptom. In other words, the indicator of fraud consists of the changes in actual company records.

[871] Gleim #: 10.5.160 -- Source: CIA 594 I-53

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

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The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 6, "He also joined an expensive country club," is an example of a

- A. Rationalization.
- B. Lifestyle symptom.
- C. Behavioral symptom.
- D. Physical symptom.

- Answer (A) is incorrect. Joining an expensive country club is an example of a lifestyle symptom.
- Answer (B) is **correct**. John was living beyond his means. The change in lifestyle was a symptom that indicated the presence of fraud.
- Answer (C) is incorrect. Joining an expensive country club is an example of a lifestyle symptom.
- Answer (D) is incorrect. Joining an expensive country club is an example of a lifestyle symptom.

[872] Gleim #: 10.5.161 -- Source: CIA 594 I-54

Randy and John had known each other for many years. They had become best friends in college, where they both majored in accounting. After graduation, Randy took over the family business from his father. His family had been in the grocery business for several generations. When John had difficulty finding a job, Randy offered him a job in the family store. John proved to be a very capable employee. As John demonstrated his abilities, Randy began delegating more and more responsibility to him. After a period of time, John was doing all of the general accounting and authorization functions for checks, cash, inventories, documents, records, and bank reconciliations. (1) *John was trusted completely and handled all financial functions.* No one checked his work.

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The fraud continued for 6 years. Each year the business performed more and more poorly. In the last year, the stores had a substantial net loss. Randy's bank required an audit. John confessed when he thought the auditors had discovered his embezzlements.

When discussing frauds, the pressures, opportunities, and rationalizations that cause/allow a perpetrator to commit the fraud are often identified. Symptoms of fraud are also studied.

Number 7, "John's family observed that he was often argumentative . . .," is an example of a

- A. Rationalization.
- B. Lifestyle symptom.
- C. Behavioral symptom.
- D. Physical symptom.

- Answer (A) is incorrect. Being argumentative is an example of a behavioral symptom.
- Answer (B) is incorrect. Being argumentative is an example of a behavioral symptom.
- Answer (C) is **correct**. A drastic change in an employee's behavior may indicate the presence of fraud. The guilt and the other forms of stress associated with perpetrating and concealing the fraud may induce noticeable changes in behavior.
- Answer (D) is incorrect. Being argumentative is an example of a behavioral symptom.

[873] Gleim #: 10.5.162 -- Source: CIA 594 I-11

Internal auditors should have knowledge about factors (red flags) that have proven to be associated with management fraud. Which of the following factors have generally **not** been associated with management fraud?

- A. Generous performance-based reward systems.
- B. A domineering management.
- C. Regular comparison of actual results with budgets.
- D. A management preoccupation with increased financial performance.

- Answer (A) is incorrect. Generous reward systems provide incentives for management to distort performance.
- Answer (B) is incorrect. Pressure from superiors provides an incentive for management to distort performance.
- Answer (C) is **correct**. Regular comparison of actual results to budgets provides feedback and is a normal and necessary part of the control loop. Ineffective control is an indicator of possible fraud.
- Answer (D) is incorrect. A management preoccupation with increased financial performance provides an incentive for managers to distort performance.

[874] Gleim #: 10.5.163 -- Source: CIA 1192 II-48

Which of the following is an indicator of possible financial reporting fraud being perpetrated by management of a manufacturer?

- A. A trend analysis discloses (1) sales increases of 50% and (2) cost of goods sold increases of 25%.
 - B. A ratio analysis discloses cost of goods sold is 50% of sales.
 - C. A cross-sectional analysis of common size statements discloses (1) the firm's percentage of cost of goods sold to sales is 40% and (2) the industry average percentage of cost of goods sold to sales is 50%.
 - D. A cross-sectional analysis of common size statements discloses (1) the firm's percentage of cost of goods sold to sales is 50% and (2) the industry average percentage of cost of goods sold to sales is 40%.
-
- Answer (A) is **correct**. A 50% increase in sales supported by a 25% increase in cost of goods sold is either fortuitous or fraudulent. Increases in sales are usually accompanied by close to proportional increases in cost of goods sold. Examples of situations in which increases in sales can be disproportionately larger than increases in cost of goods sold include (1) operations within the realm of economies of scale (increasing returns to scale) and (2) the introduction of a highly accepted fashion item. Cases in which disproportionately large sales increases indicate fraudulent conduct include (1) collusion by the host firm's sales personnel and the buying firm's purchasing personnel and (2) collusion by members of two departments within the host firm, such as sales and transportation. Because the internal auditor would not know whether the disproportionately large increase in sales is legitimate, the auditor should view this condition as an indicator of possible fraud.
 - Answer (B) is incorrect. A gross profit margin (GPM) of 50% is not an indicator of fraud. Manufacturers can expect a range of 40-60% for this ratio.
 - Answer (C) is incorrect. These data indicate an industry GPM of 50% and host firm GPM of 40%. The greater GPM realized by the host firm may result from any number of reasonable causes. These include (1) greater efficiencies exercised by the host firm, (2) greater sales effort (or a more highly accepted product), and (3) measurement errors.
 - Answer (D) is incorrect. These data indicate an industry GPM of 40% and a host firm GPM of 50%. The lower GPM realized by the host firm may result from such causes as (1) host firm inefficiencies; (2) less acceptance of host firm product, or less sales effort; and (3) measurement errors.

[875] Gleim #: 10.5.164 -- Source: CIA 596 II-1

A company, which has many branch stores, has decided to benchmark one of its stores for the purpose of analyzing the accuracy and reliability of branch store financial reporting. Which one of the following is the **most** likely measure to be included in a financial benchmark?

- A. High turnover of employees.
 - B. High level of employee participation in setting budgets.
 - C. High amount of bad debt write-offs.
 - D. High number of suppliers.
-
- Answer (A) is incorrect. Turnover of employees is not a financial benchmark.
 - Answer (B) is incorrect. Employee participation in setting budgets is not a financial benchmark.
 - Answer (C) is **correct**. The level of bad debts written off as uncollectible is a benchmark stated in financial terms. A level exceeding the benchmark could indicate fraud, which compromises the accuracy and reliability of financial reports. Bad debt write-offs may result from recording fictitious sales.
 - Answer (D) is incorrect. The number of suppliers is not a financial benchmark.

[876] Gleim #: 10.5.165 -- Source: CIA 597 1-7

Which of the following would indicate that fraud may be taking place in a marketing department?

- A. There is no documentation for some fairly large expenditures made to a new vendor.
- B. A manager appears to be living a lifestyle that is in excess of what could be provided by a marketing manager's salary.
- C. The control environment can best be described as "very loose." However, this attitude is justified by management on the grounds that it is needed for creativity.
- D. All of the answers are correct.

- Answer (A) is incorrect. Lack of documentation for expenditures is a potential fraud symptom.
- Answer (B) is incorrect. A manager's inappropriate lifestyle is a potential fraud symptom.
- Answer (C) is incorrect. Management's careless approach to control is a potential fraud symptom.
- Answer (D) is **correct**. An internal auditor's responsibilities for the detection of fraud include having sufficient knowledge to identify indicators that fraud may have been committed; being alert to opportunities, such as control weaknesses, that could allow fraud to occur; and evaluating the indicators of fraud sufficiently to determine whether any further action is needed or whether a fraud investigation should be recommended. Among the many such indicators are lack of timely and appropriate documentation (including information about authorization) for material transactions, suspicious lifestyle characteristics of employees in a position to commit fraud, and management's failure to display and communicate an appropriate attitude toward internal control.

[877] Gleim #: 10.5.166 -- Source: CIA 1193 II-49

When an internal auditor followed up on a significant increase in maintenance supplies during the past year, a purchasing agent explained to the internal auditor that the primary reason for the increase was painting services and supplies. The internal auditor found a blanket purchase order without the normal bid or quote documentation. The blanket purchase order had been signed by the general manager and named the general manager's father as the sole contractor for painting services on the organization's projects. The auditor also found a number of large invoices, authorized for payment by the general manager, that showed the general manager's father as the person who signed for the receipt of the material at the supplier. Which is not a symptom of fraud as described in this situation?

- A. Purchased material is not received by authorized organizational personnel.
- B. Routine controls are suspended for certain transactions.
- C. Purchased material is not delivered to a central location on the organization's premises.
- D. The use of blanket purchase orders.

- Answer (A) is incorrect. The receipt of goods or services by non-organizational personnel is a symptom of fraud.
- Answer (B) is incorrect. Suspension of normal and appropriate procedures is a fraud indicator.
- Answer (C) is incorrect. The receipt of goods or services off-site is a symptom of fraud.
- Answer (D) is **correct**. Fraud is characterized by intentional deception and can be perpetrated for the benefit or to the detriment of the organization. However, the use of blanket purchase orders is a normal business practice.

[878] Gleim #: 10.5.167 -- Source: CIA 1193 II-50

When an internal auditor followed up on a significant increase in maintenance supplies during the past year, a purchasing agent explained to the internal auditor that the primary reason for the increase was painting services and supplies. The internal auditor found a blanket purchase order without the normal bid or quote documentation. The blanket purchase order had been signed by the general manager and named the general manager's father as the sole contractor for painting services on the organization's projects. The auditor also found a number of large invoices, authorized for payment by the general manager, that showed the general manager's father as the person who signed for the receipt of the material at the supplier. What is the common indicator of fraud recognized by the internal auditor in this scenario?

- A. Analytical procedures revealed an extraordinary increase in account balances.
- B. Paint and supplies are being purchased for a contractor.
- C. The purchasing agent is selecting the contractor on the basis of a blanket purchase order.
- D. Invoices are being authorized for payment by the general manager.

- Answer (A) is **correct**. Analytical procedures are commonly performed by internal auditors to assess and evaluate information collected in an engagement. The assessment results from comparing information with expectations identified or developed by the internal auditor. Thus, an extraordinary increase in an account balance should be detected and investigated as the result of applying analytical methods.
- Answer (B) is incorrect. The provision of paint is not an issue.
- Answer (C) is incorrect. The purchasing agent is fulfilling this responsibility in accordance with the authority of a purchasing agent's position.
- Answer (D) is incorrect. The general manager may appropriately authorize payment.

[879] Gleim #: 10.5.168 -- Source: CIA 593 II-46

Bank management suspects that a bank loan officer frequently made loans to fictitious entities, disbursed loan proceeds to personally established accounts, and then let the loans go into default. Some pertinent facts about the loan officer include

- A high standard of living, explained as the result of sound investments and not taking vacations,
- An expensive personal car obtained through business contacts,
- Gasoline and repair bills submitted for a car assigned by the bank that are higher than the organization's average (mileage logs were submitted on a quarterly basis), and
- Marked annoyance with questions from internal auditors.

In this situation, typical indicators of the suspected fraud include all of the following **except**

- A. Not taking an annual vacation.
- B. Becoming easily annoyed with auditor inquiries about questionable loans.
- C. Explaining a high standard of living as the result of investments.
- D. Submitting gasoline and repair bills that are higher than company average.

- Answer (A) is incorrect. Not taking an annual vacation suggests that the loan officer fears discovery of wrongdoing in his/her absence.
- Answer (B) is incorrect. Becoming defensive may indicate a guilty conscience.
- Answer (C) is incorrect. A high standard of living may be inconsistent with the loan officer's income.
- Answer (D) is **correct**. Submitting gasoline and repair bills that are higher than average is not correlated with making fraudulent loans. These factors are not controllable by the loan officer, so they cannot be indicators of unusual activity by him/her.

[880] Gleim #: 10.5.169 -- Source: CIA 593 II-47

Bank management suspects that a bank loan officer frequently made loans to fictitious entities, disbursed loan proceeds to personally established accounts, and then let the loans go into default. Some pertinent facts about the loan officer include

- A high standard of living, explained as the result of sound investments and not taking vacations,
- An expensive personal car obtained through business contacts,
- Gasoline and repair bills submitted for a car assigned by the bank that are higher than the organization's average (mileage logs were submitted on a quarterly basis), and
- Marked annoyance with questions from internal auditors.

The **most** appropriate trend analysis to indicate this potential fraud is

- A. Loan default rates by loan officer.
- B. Accumulation of unpaid vacation days.
- C. Automobile operating expenses by loan officer.
- D. Total monetary volume of loans by loan officer.

- Answer (A) is **correct**. Trend analysis would detect an unexplained increase in the default rate caused by bogus loans.
- Answer (B) is incorrect. Trend analysis would not detect annual vacation not taken.
- Answer (C) is incorrect. Although trend analysis could detect higher than average expenses for operation of the car, these expenses have no relationship to suspected fraudulent loans.
- Answer (D) is incorrect. The default rate is a better indicator than monetary volume.

[881] Gleim #: 10.5.170 -- Source: CIA 1191 II-50

An unexpected decrease in which of the following ratios could indicate that fictitious inventory has been recorded?

- A. Average collection period.
- B. Total asset turnover.
- C. Price-earnings.
- D. Current.

- Answer (A) is incorrect. The average collection period equals average receivables divided by average daily net sales. An increase in reported inventory does not affect it.
- Answer (B) is **correct**. The total asset turnover ratio equals sales divided by total assets. An increase in reported inventory will increase total assets and decrease the ratio.
- Answer (C) is incorrect. The price-earnings ratio (price per share ÷ EPS) is not directly affected by fictitious inventory.
- Answer (D) is incorrect. The current ratio (current assets ÷ current liabilities) is increased.

[882] Gleim #: 10.5.171 -- Source: CIA 589 I-48

Which of the following is an indicator of increased risk of fraud? The treasurer

- A. Takes all vacations and has just accepted a promotion to vice president of finance.
- B. Takes no vacations and has just accepted a promotion to vice president of finance.
- C. Takes all vacations and has refused promotion to vice president of finance.
- D. Takes no vacations and has refused promotion to vice president of finance.

- Answer (A) is incorrect. This combination of behaviors is not unusual.
- Answer (B) is incorrect. This combination of behaviors is not unusual.
- Answer (C) is incorrect. This combination of behaviors is not unusual.
- Answer (D) is **correct**. Sawyer, in Sawyer's Internal Auditing (p. 1018), states that "refusing to take vacations and shunning promotions" may indicate a fear of detection. The apparent lack of ambition is inconsistent with the treasurer's diligence.

[883] Gleim #: 10.5.172 -- Source: CIA 1194 I-67

An engagement had been scheduled by the chief audit executive to address unusual inventory shortages revealed in the annual physical inventory process at a large consumer goods warehouse operation. A cycle count program had been installed in the storeroom at the beginning of the year in place of the disruptive process of counting one entire product line at the end of each month. The cycle count program appeared effective because only nine minor adjustments had been made for the entire year on the several thousand different products located in the storeroom. The storeroom supervisor explained that each of the 15 stockroom personnel selected one item each day for cycle count based on how efficiently the item could be counted. The opportunity for control-related problems including fraud has been increased in the stockroom because

- A. Items for cycle count are selected by stockroom personnel.
- B. A cycle count program has been installed in place of a less efficient program.
- C. Only nine minor adjustments have been recorded as a result of the cycle count process.
- D. Stockroom personnel record cycle count information.

- Answer (A) is **correct**. The opportunity for fraud has been increased because stockroom personnel select the items for cycle count. Selection of items should be based on relative values or the relationship of an item to the total volume of transactions. Moreover, personnel who do not have custodial or record-keeping responsibilities should control the counts.
- Answer (B) is incorrect. An appropriate and effective cycle count process should improve control.
- Answer (C) is incorrect. The number of adjustments is not indicative of the level of control in this situation.
- Answer (D) is incorrect. A properly controlled cycle count process could involve stockroom personnel in performing counts.

[884] Gleim #: 10.5.173 -- Source: CIA 595 I-44

The internal audit activity has been assigned to perform an engagement involving a division. Based on background review, the internal auditor knows the following about management policies:

- Organizational policy is to rapidly promote divisional managers who show significant success. Thus, successful managers rarely stay at a division for more than 3 years.
- A significant portion of division management's compensation comes in the form of bonuses based on the division's profitability.

The division was identified by senior management as a turnaround opportunity. The division is growing but is not scheduled for a full audit by the external auditors this year. The division has been growing about 7% per year for the past 3 years and uses a standard cost system.

During the preliminary review, the internal auditor notes the following changes in financial data compared with the prior year:

- Sales have increased by 10%.
- Cost of goods sold has increased by 2%.
- Inventory has increased by 15%.
- Divisional net profit has increased by 8%.

Which of the following items might alert the internal auditor to the possibility of fraud in the division?

- A. The division is not scheduled for an external audit this year.
 - B. Sales have increased by 10%.
 - C. A significant portion of management's compensation is directly tied to reported net profit of the division.
 - D. All of the answers are correct.
-
- Answer (A) is incorrect. Lack of an external audit this year has not been identified as a significant red flag. In addition, the division is reviewed by the IAA.
 - Answer (B) is incorrect. Sales have normally been increasing by about 7% at this division. Thus, an increase of 10%, by itself, is not unexpected and does not raise a red flag.
 - Answer (C) is **correct**. The internal auditor's responsibilities for detecting fraud include having sufficient knowledge of fraud to be able to identify indicators that fraud may have been committed. This knowledge includes the characteristics of fraud, the techniques used to commit fraud, and the types of frauds associated with the activities reviewed. For example, performance may be distorted because promotion and compensation (e.g., bonuses) are tied to profitability.
 - Answer (D) is incorrect. Not all responses are red flags.

[885] Gleim #: 10.5.174 -- Source: CIA 1195 I-58

An internal auditor is investigating the performance of a division with an unusually large increase in sales, gross margin, and profit. Which of the following indicators is **least** likely to indicate the possibility of sales-related fraud in the division?

- A. A significant portion of divisional management's compensation is based on reported divisional profits.
- B. There is an unusually large amount of sales returns recorded after year-end.
- C. The internal auditor has taken a random sample of sales invoices but cannot locate a shipping document for a number of the sales transactions selected for November and December.
- D. One of the division's major competitors went out of business during the year.

- Answer (A) is incorrect. Basing management compensation on reported profits creates an incentive for fraud.
- Answer (B) is incorrect. An unusually large amount of sales returns after year-end may indicate that invalid sales were recorded near the end of the year.
- Answer (C) is incorrect. The lack of shipping documents may indicate that invalid sales were recorded during November and December.
- Answer (D) is **correct**. A decrease in the number of competitors during the year is a potential explanation for the increase in sales and profits.

[886] Gleim #: 10.5.175 -- Source: IIA, adapted

Which of the following is **most** likely to be considered an indication of possible fraud?

- A. The replacement of the management team after a hostile takeover.
- B. Rapid turnover of the organization's financial executives.
- C. Rapid expansion into new markets.
- D. A government audit of the organization's tax returns.

- Answer (A) is incorrect. The replacement of the management team after a hostile takeover is not unusual.
- Answer (B) is **correct**. Even the most effective internal control can sometimes be circumvented – perhaps by collusion of two or more employees. Thus, an auditor must be sensitive to certain conditions that might indicate the existence of fraud, including high personnel turnover. In the case of financial executives, high turnover may suggest a pattern of inflation of profits to obtain bonuses or other benefits, to secure advantages in the marketplace, or to conceal incompetence, or rash actions.
- Answer (C) is incorrect. Rapid expansion into new markets is not unusual.
- Answer (D) is incorrect. A government audit of the organization's tax returns is not unusual.

[887] Gleim #: 10.5.176 -- Source: IIA, adapted

Which of the following would not be considered a condition that indicates a higher likelihood of fraud?

- A. Management has delegated the authority to make purchases under a certain monetary limit to subordinates.
- B. An individual has held the same cash-handling job for an extended period without any rotation of duties.
- C. An individual handling marketable securities is responsible for making the purchases, recording the purchases, and reporting any discrepancies and gains or losses to senior management.
- D. The assignment of responsibility and accountability in the accounts receivable department is not clear.

- Answer (A) is **correct**. Delegating authority for purchases below a certain limit is a common and an acceptable control procedure aimed at limiting risk while promoting efficiency. It is not, by itself, considered a condition that indicates a higher likelihood of fraud.
- Answer (B) is incorrect. Lack of rotation of duties or cross-training for sensitive jobs is an identified red flag.
- Answer (C) is incorrect. An inappropriate segregation of duties is an identified red flag. The same person should not authorize, execute, and account for transactions and have custody of the assets.
- Answer (D) is incorrect. Lack of recorded accountability for assets is an identified red flag.

[888] Gleim #: 10.5.177 -- Source: IIA, adapted

The **most** common motivation for management fraud is the existence of:

- A. Vices, such as a gambling habit.
- B. Job dissatisfaction.
- C. Financial pressures on the organization.
- D. The challenge of committing the perfect crime.

- Answer (A) is incorrect. Vices are an example of motivators of fraud perpetrated for the benefit of individuals and to the organization's detriment.
- Answer (B) is incorrect. Job dissatisfaction is an example of motivators of fraud perpetrated for the benefit of individuals and to the organization's detriment.
- Answer (C) is **correct**. Management fraud benefits organizations rather than individuals, so the existence of financial pressures is the most common motivation. Management perpetrators attempt to make their financial statements appear more attractive because of the financial pressures of restrictive loan covenants, a poor cash position, loss of significant customers, etc.
- Answer (D) is incorrect. The challenge of committing the perfect crime is an example of motivators of fraud perpetrated for the benefit of individuals and to the organization's detriment.

[889] Gleim #: 10.6.178 -- Source: CIA 597 1-40

A production manager for a moderate-sized manufacturer began ordering excessive raw materials and had them delivered to a wholesale business that the manager was running on the side. The manager falsified receiving documents and approved the invoices for payment. Which of the following procedures is **most** likely to detect this fraud?

- A. Take a sample of cash disbursements; compare purchase orders, receiving reports, invoices, and check copies.
 - B. Take a sample of cash disbursements; confirm the amount purchased, purchase price, and date of shipment with the vendors.
 - C. Observe the receiving dock and count materials received; compare the counts with receiving reports completed by receiving personnel.
 - D. Perform analytical tests, comparing production, materials purchased, and raw materials inventory levels; investigate differences.
-
- Answer (A) is incorrect. Given that documents have been falsified, supporting documents exist for each cash disbursement.
 - Answer (B) is incorrect. The vendors will confirm all transactions.
 - Answer (C) is incorrect. Given that the improper orders are shipped to another location, observing receiving dock counts will not detect the fraud.
 - Answer (D) is **correct**. The application of analytical procedures is based on the premise that, in the absence of known conditions to the contrary, relationships among information may reasonably be expected to exist and continue. Examples of contrary conditions include unusual or nonrecurring transactions or events; accounting, organizational, operational, environmental, and technological changes; inefficiencies; ineffectiveness; errors; irregularities; or illegal acts. Hence, the analytical procedures should identify an unexplained increase in materials used.

[890] Gleim #: 10.6.179 -- Source: CIA 594 I-19

Jane Jackson had been the regional sales manager for an organization for over 10 years. During this time, she had become very close friends with Frank Hansen, an internal audit manager. In addition to being neighbors, Jane and Frank had many of the same interests and belonged to the same tennis club. They trusted each other. Frank had helped Jane solve some sales problems, and Jane had given Frank some information that led to significant engagement observations during the past three engagements.

Below are selected analytical data from the organization that have led staff internal auditors to believe that there has been a financial statement fraud. The perpetrator appears to have falsified sales information for the past 2 years. Frank is concerned because he recently completed an engagement in the area and accepted Jane's explanation for differences in the analytical data. Frank is now certain that Jane is involved in the fraud.

	<u>Current Year</u>	<u>Last Year</u>	<u>-2 Year</u>	<u>-3 Year</u>	<u>-4 Year</u>
Percent increase in sales	10%	8%	6%	4%	5%
Inventory turnover	5	4	5	3.5	4
Gross margin percentage	54	49	42	39	40
Percent change in sales returns	8%	6%	3%	2.5%	3%

Which combination of the following analytical data provides the strongest indication of the possibility of the fraud?

- A. Percentage increase in sales and inventory turnover.
 - B. Gross margin percentage and change in sales returns.
 - C. Inventory turnover and change in sales returns.
 - D. Percentage increase in sales and gross margin percentage.
- Answer (A) is incorrect. The increase in percentage change in sales is not unreasonable, and, given the constant increase, one might expect increases in inventory that could keep turnover constant.
 - Answer (B) is **correct**. Rapid increases in gross margin percentage are expected if sales are fictitious, that is, if sales are recorded without shipments and a consequent increase in cost of sales. The large increase in returns is also symptomatic of falsified sales.
 - Answer (C) is incorrect. The turnover and return figures, when taken together, are not indications of sales overstatements.
 - Answer (D) is incorrect. If the increase in sales was due to a market sales price increase, one might expect these results.

[891] Gleim #: 10.6.180 -- Source: CIA 594 I-20

Jane Jackson had been the regional sales manager for an organization for over 10 years. During this time, she had become very close friends with Frank Hansen, an internal audit manager. In addition to being neighbors, Jane and Frank had many of the same interests and belonged to the same tennis club. They trusted each other. Frank had helped Jane solve some sales problems, and Jane had given Frank some information that led to significant engagement observations during the past three engagements.

Below are selected analytical data from the organization that have led staff internal auditors to believe that there has been a financial statement fraud. The perpetrator appears to have falsified sales information for the past 2 years. Frank is concerned because he recently completed an engagement in the area and accepted Jane's explanation for differences in the analytical data. Frank is now certain that Jane is involved in the fraud.

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Percent change in sales returns	8%	6%	3%	2.5%	3%

The current dilemma in which Frank finds himself was **least** likely caused by

- A. Not rotating engagements every year.
 - B. Accepting an engagement in an area where he was a close personal friend of management.
 - C. Failing to select the appropriate analytical procedures.
 - D. Accepting the response of management without additional testing.
- Answer (A) is incorrect. Failure to rotate engagements seems to have contributed to Frank's decision to accept management's explanation for the analytical findings.
 - Answer (B) is incorrect. Frank's friendship with Jane impaired his objectivity.
 - Answer (C) is **correct**. The information given suggests that Frank applied the proper analytical procedures but accepted management's explanation of the findings.
 - Answer (D) is incorrect. Frank's acceptance of management's explanations apparently resulted in his failure to obtain sufficient information.

[892] Gleim #: 10.6.181 -- Source: CIA 1194 I-69

The internal auditor reviewed documentation showing that a customer had recently returned three expensive products to the regional service center for warranty replacement. The documentation also showed that the warranty clerk had rejected the claim and sent it to the customer's local distributor. The claim was rejected because the serial numbers listed in the warranty claim were not found in the computer's sales history file. Subsequently, the distributor supplied three different serial numbers, all of which were validated by the computer system, and the clerk completed the warranty claim for replacements. What is the **best** course of action for the internal auditor under the circumstances?

- A. Determine if the original serial numbers provided by the customer can be traced to other records, such as production and inventory records.
- B. Notify the appropriate authorities within the organization that there are sufficient indicators that a fraud has been committed.
- C. Verify with the appropriate supervisor that the warranty clerk had followed relevant procedures in the processing and disposition of this claim.
- D. Summarize this item along with other valid transactions in the internal auditor's test of warranty transactions.

- Answer (A) is **correct**. The best course of action for the internal auditor is to determine whether the original serial numbers provided by the customer can be traced to other records, such as production and inventory records. The internal auditor should determine whether the related equipment had actually been reported in a sales transaction.
- Answer (B) is incorrect. The internal auditor should pursue additional information before alerting authorities.
- Answer (C) is incorrect. Verifying that the warranty clerk followed procedures does not provide more information about the validity of the warranty claim.
- Answer (D) is incorrect. The internal auditor should obtain more information about the validity of the transaction.

[893] Gleim #: 10.6.182 -- Source: CIA 1196 I-3

While reviewing a division's accounts, an internal auditor becomes concerned that the division's management may have shipped poor quality merchandise to boost sales and profitability and thereby increase the manager's bonus. For this reason, the internal auditor suspects that returned goods are being shipped to other customers as new products without full correction of their defects. Which of the following engagement procedures is the **least** effective in determining whether such shipments took place?

- A. Examine credit memos issued after year-end for goods shipped before year-end.
 - B. Physically observe the shipping and receiving area for information of returned goods.
 - C. Interview customer service representatives regarding unusual amounts of customer complaints.
 - D. Require the division to take a complete physical inventory at year-end, and observe the taking of the inventory.
- Answer (A) is incorrect. Examining credit memos issued after year-end for goods shipped before year-end would show that customers are returning inferior goods.
 - Answer (B) is incorrect. Physically observing the shipping and receiving area might reveal goods returned that are not yet accounted for.
 - Answer (C) is incorrect. Unusual amounts of customer complaints may suggest a condition not explained by normal spoilage rates.
 - Answer (D) is **correct**. Taking a complete year-end inventory is an ineffective engagement procedure. The goods returned and reshipped without the correction of defects would not be on hand to be counted.

[894] Gleim #: 10.6.183 -- Source: CIA 597 1-29

Contributions to a nonprofit organization have been constant for the past 3 years. The audit committee has become concerned that the president may have embarked on a scheme in which some of the contributions from many sustaining members have been redirected to other organizations. The audit committee suspects that the scheme may involve taking major contributions and depositing them in alternative accounts or soliciting contributions to be made in the name of another organization. Which of the following procedures should be **most** effective in detecting the existence of such a fraud?

- A. Use generalized audit software to take a sample of pledged receipts not yet collected and confirm the amounts due with the donors.
- B. Take a sample that includes all large donors for the past 3 years and a statistical sample of others and request a confirmation of total contributions made to the organization or to affiliated organizations.
- C. Take a discovery sample of cash receipts and confirm the amounts of the receipts with the donors. Investigate any differences.
- D. Use analytical review procedures to compare contributions generated with those of other comparable institutions over the same period of time. If the amount is significantly less, take a detailed sample of cash receipts and trace to the bank statements.

- Answer (A) is incorrect. Sampling amounts listed as unpaid does not provide evidence about contributions previously paid or shifted to another organization.
- Answer (B) is **correct**. The engagement objective is to determine whether contributions have been wrongly directed to alternate accounts or solicited for other organizations. Consequently, an appropriate procedure is to send confirmation requests to donors. However, testing transactions recorded by the accounting system will not result in sufficient information about solicitation of contributions for other organizations. The internal auditor must therefore make inquiries of the sustaining members about such solicitations.
- Answer (C) is incorrect. Sampling cash receipts that have been recorded by the organization provides no evidence about unrecorded receipts or contributions diverted elsewhere.
- Answer (D) is incorrect. Analytical procedures are of limited use. Also, the follow-up procedure only provides evidence that recorded receipts were also deposited.

[895] Gleim #: 10.6.184 -- Source: CIA 1194 I-3

The chief of an organization's security received an anonymous call accusing a marketing manager of taking kickbacks from a media outlet. Thus, the marketing department is on the list of possible engagement clients for the coming year. The internal audit activity is assigned responsibility for investigating fraud by its charter. If obtaining access to outside media outlet records and personnel is not possible, the **best** action an internal auditor could take to investigate the allegation of marketing kickbacks is to

- A. Search for unrecorded liabilities from media outlets.
- B. Obtain a list of approved media outlets.
- C. Develop a financial and behavioral profile of the suspect.
- D. Vouch any material past charge-offs of receivables.

- Answer (A) is incorrect. If the employee is taking kickbacks, unrecorded liabilities are not being created.
- Answer (B) is incorrect. A list of approved media outlets would not provide any information about kickbacks.
- Answer (C) is **correct**. The best action is to develop a financial and behavioral profile of the marketing manager. A common indicator of fraud by an employee is an unexplained change in his/her financial status. A standard of living not commensurate with the employee's income may signify wrongdoing. The employee's behavior may also be suspicious (for example, constant association with, and entertainment by, a member of the media outlet's staff). The profile may help to corroborate illegal income and thereby provide a basis for tracing illegal payments to the employee.
- Answer (D) is incorrect. The receipt of kickbacks would have no effect on accounts receivable.

[896] Gleim #: 10.6.185 -- Source: CIA 595 I-61

During an engagement performed at a smaller division, the internal auditor notes the following regarding the purchasing function:

- There are three purchasing agents. Agent 1 is responsible for ordering all large component parts, agent 2 for electric motors, and agent 3 for smaller parts such as fasteners.
- There are separate accounts payable and receiving departments.
- In order to hold vendors more responsible, all invoices are sent to the purchasing agent placing the order. The purchasing agent matches the vendor invoice, receiving slip, and purchase order. If all match, the purchasing agent sends the documents forward to the accounts payable department. Differences are investigated by the purchasing agent.
- Only the accounts payable department has the ability to authorize an item for payment.
- All recorded receipts are immediately recorded into a perpetual inventory record by the department to which the goods are transferred after receipt.

The internal auditor interviewed both management and the purchasing agents. Both groups were very satisfied with the current system because it helps maintain vendor accountability and provides sufficient segregation of duties given that only the accounts payable department can authorize an item for payment.

Which of the following engagement procedures is **most** effective in determining whether material fraud was taking place?

- A. Take a random sample of cash disbursements and trace to approved purchase orders and receiving slips.
 - B. Reconcile the perpetual inventory to the general ledger and investigate any differences.
 - C. Take a random sample of purchase orders. Trace each purchase order to a receiving slip, vendor invoice, and approval by the accounts payable department.
 - D. Perform an analytical review of inventory by product line to determine whether a particular product line has increased. Inquire of the purchasing agent as to the reason for the inventory increase.
- Answer (A) is incorrect. Cash disbursements are authorized by accounts payable and are not made in the absence of approved documents. Purchasing agents have control of these documents. Hence, if they are falsified by the purchasing agents, merely verifying that documents exist to support payments is ineffective.
 - Answer (B) is **correct**. A fraud could result in an overstatement of inventory in the ledger. However, the perpetual inventory reflects the actual goods received.
 - Answer (C) is incorrect. Tracing purchase orders to receiving slips, invoices, and accounts payable approvals verifies only that purchase orders were processed. It would not detect fictitious purchase orders.
 - Answer (D) is incorrect. Analytical review of inventory by product line provides limited evidence on the possibility of fraud but would not be as effective as reconciling inventory.

[897] Gleim #: 10.6.186 -- Source: CIA 595 I-62

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- There are three purchasing agents. Agent 1 is responsible for ordering all large component parts, agent 2 for electric motors, and agent 3 for smaller parts such as fasteners.
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- In order to hold vendors more responsible, all invoices are sent to the purchasing agent placing the order. The purchasing agent matches the vendor invoice, receiving slip, and purchase order. If all match, the purchasing agent sends the documents forward to the accounts payable department. Differences are investigated by the purchasing agent.
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The internal auditor interviewed both management and the purchasing agents. Both groups were very satisfied with the current system because it helps maintain vendor accountability and provides sufficient segregation of duties given that only the accounts payable department can authorize an item for payment.

The internal auditor is responsible for evaluating internal control to determine whether it allows undetected fraud. Based on the information presented, the **most** likely undetected fraud, if any, is that the

- A. Purchasing agent is purchasing the majority of products from a favorite vendor because rotation among purchasing agents is not mandatory.
 - B. Purchasing agent is sending fake purchase orders to a dummy vendor, inserting a receiving slip, and having payments made to the dummy vendor.
 - C. Receiving department is diverting receipts to different locations and failing to create receiving reports.
 - D. Production department is deflating the price of products purchased and thereby increasing the reported gross margin of sales.
- Answer (A) is incorrect. Purchasing most goods from a particular vendor may be justified.
 - Answer (B) is **correct**. Internal control is unlikely to detect the purchasing agent's fraud because this individual is in a position to perpetrate and conceal irregularities. Receiving documents and vendors' invoices should be sent to accounts payable, not to the purchasing agent.
 - Answer (C) is incorrect. This possible fraud should be detected by the absence of receiving reports to support vendors' invoices.
 - Answer (D) is incorrect. This response is unrelated to the purchasing environment.

[898] Gleim #: 10.6.187 -- Source: CIA 595 I-63

During an engagement performed at a smaller division, the internal auditor notes the following regarding the purchasing function:

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- There are separate accounts payable and receiving departments.
- In order to hold vendors more responsible, all invoices are sent to the purchasing agent placing the order. The purchasing agent matches the vendor invoice, receiving slip, and purchase order. If all match, the purchasing agent sends the documents forward to the accounts payable department. Differences are investigated by the purchasing agent.
- Only the accounts payable department has the ability to authorize an item for payment.
- All recorded receipts are immediately recorded into a perpetual inventory record by the department to which the goods are transferred after receipt.

The internal auditor interviewed both management and the purchasing agents. Both groups were very satisfied with the current system because it helps maintain vendor accountability and provides sufficient segregation of duties given that only the accounts payable department can authorize an item for payment.

Which of the following controls, if properly implemented, is **most** likely to decrease the likelihood of fraud?

- A. Require periodic rotation of purchases among different vendors.
 - B. Require rotation of duties among the three purchasing agents.
 - C. Require that receiving reports be sent directly to accounts payable.
 - D. Require that the updates to the perpetual inventory record be made by the receiving department.
-
- Answer (A) is incorrect. Rotation of vendors might partially alleviate the problem, but the purchasing agent could develop new dummy vendors.
 - Answer (B) is incorrect. Rotation of duties will not affect the type of fraud that could occur in this environment. The purchasing agent could develop another dummy vendor for the new product line.
 - Answer (C) is **correct**. This change in procedures prevents the purchasing agent from falsifying receiving reports. An even better procedure is to have both the receiving reports and the vendors' invoices sent to accounts payable.
 - Answer (D) is incorrect. This procedure will create an additional opportunity for fraud by the receiving department.

[899] Gleim #: 10.6.188 -- Source: CIA 1194 I-70

During an engagement relating to purchasing, the internal auditor finds that the largest blanket purchase order is for tires, which are expensed as vehicle maintenance items. The fleet manager requisitions tires against the blanket order for the company's 400-vehicle service fleet based on a visual inspection of the cars and trucks in the parking lot each week. Sometimes the fleet manager picks up the tires but always signs the receiving report for payment. Vehicle service data are entered into a maintenance database by the mechanic after the tires are installed. What is the **best** course of action for the internal auditor in these circumstances?

- A. Determine whether the number of tires purchased can be reconciled to maintenance records.
 - B. Count the number of tires on hand and trace them to the related receiving reports.
 - C. Select a judgmental sample of requisitions and verify that each one is signed by the fleet manager.
 - D. Compare the number of tires purchased under the blanket purchase order with the number of tires purchased in the prior year for reasonableness.
-
- Answer (A) is **correct**. The best course of action for the internal auditor is to determine whether the number of tires purchased can be reconciled to maintenance records. That the fleet manager both requisitions and receives the tires provides an opportunity for fraud. The internal auditor should verify whether fraud has occurred. A separate receiving function would diminish the possibility of fraud by providing an independent count of items received.
 - Answer (B) is incorrect. Tracing the tires on hand to the receiving reports would not reveal a fraud. The manager signs the receiving report.
 - Answer (C) is incorrect. Testing for signed requisitions would not necessarily reveal whether fraud is present.
 - Answer (D) is incorrect. A fraud could have occurred during the prior year also.

[900] Gleim #: 10.6.189 -- Source: CIA 1193 I-48

During a post-completion engagement related to a warehouse expansion, the internal auditor noted several invoices for redecorating services from a local merchant that were account-coded and signed for payment only by the cost engineer. The internal auditor should

- A. Compare the cost and description of the services with the account code used in the construction project and with related estimates in the construction-project budget.
 - B. Consult with the cost engineer for assurance that these purchases were authorized for this construction project.
 - C. Obtain a facsimile of the cost engineer's signature from the accounts payable group and compare it with the signature on the invoices.
 - D. Recommend reclassifying the expenditure to the appropriate account code for redecorating services.
- Answer (A) is **correct**. The internal auditor needs to determine the validity of the transaction because the engineer is performing incompatible tasks. Comparing the cost and description of the services with the account code and the budget will verify the transaction. However, normal controls over disbursements need to be established.
 - Answer (B) is incorrect. The cost engineer's assurance would not confirm the authorization of these expenditures.
 - Answer (C) is incorrect. The primary focus is the validity of the transaction within this construction project.
 - Answer (D) is incorrect. There is no basis for reclassifying the transaction within this context.

[901] Gleim #: 10.6.190 -- Source: CIA 1195 I-65

The internal auditor suspects a disbursements fraud in which an unknown employee(s) is submitting and approving invoices for payment. Before discussing the potential fraud with management, the internal auditor decides to gather additional information. Which of the following procedures is **most** helpful in providing the additional information?

- A. Use software to develop a list of vendors with post office box numbers or other unusual features. Select a sample of those items and trace to supporting documents such as receiving reports.
 - B. Select a sample of payments made during the year and investigate each one for approval.
 - C. Select a sample of receiving reports representative of the period under investigation and trace to approved payment. Note any items not properly processed.
 - D. Take a sample of invoices received during the past month, examine to determine whether properly authorized for payment, and trace to underlying documents.
- Answer (A) is **correct**. A disbursements fraud may be accomplished through the use of fictitious vendors. Investigating vendors with suspicious characteristics appropriately focuses on payees as sources of additional information.
 - Answer (B) is incorrect. The individual perpetrating the fraud may have been in a position to obtain approvals.
 - Answer (C) is incorrect. The problem is more likely to be with payments for which no valid support exists.
 - Answer (D) is incorrect. Sampling invoices for the past month is not as effective as investigating suspicious vendors. It focuses only on a short period of time, and it does not emphasize the items most likely to be fraudulent.

[902] Gleim #: 10.6.191 -- Source: CIA 595 I-68

During an engagement, the internal auditor found a scheme in which the warehouse director and the purchasing agent for a retail organization diverted a significant amount of goods to their own warehouse, then sold the goods to third parties. The fraud was not noted earlier because the warehouse director forwarded receiving reports (after updating the perpetual inventory records) to the accounts payable department for processing. Which of the following procedures **most** likely led to the discovery of the missing materials and the fraud?

- A. Take a random sample of receiving reports and trace to the recording in the perpetual inventory record. Note differences and investigate by type of product.
 - B. Take a random sample of purchase orders and trace them to receiving documents and to the records in the accounts payable department.
 - C. Take an annual physical inventory, reconciling amounts with the perpetual inventory, noting the pattern of differences and investigating.
 - D. Take a random sample of sales invoices and trace to the perpetual records to see if inventory was on hand. Investigate any differences.
-
- Answer (A) is incorrect. Sampling receiving reports would not have detected the fraud. The warehouse director updates the perpetual inventory records before forwarding the false receiving reports to accounts payable.
 - Answer (B) is incorrect. Taking a sample of purchase orders would not have detected the irregularities. All the goods were ordered, and the perpetrators colluded to falsify receiving reports even when the goods were diverted to another location.
 - Answer (C) is **correct**. Taking an annual physical inventory should lead to the identification of systematic shrinkages in the inventory. The pattern of the shrinkages should implicate the warehouse director. At that time, a fraud investigation should be undertaken.
 - Answer (D) is incorrect. The warehouse director falsified the inventory records.

[903] Gleim #: 10.6.192 -- Source: CIA 1196 I-2

The internal auditor finds a situation in which one person has the ability to collect receivables, make deposits, issue credit memos, and record receipt of payments. The internal auditor suspects the individual may be stealing from cash receipts. Which of the following engagement procedures is **most** effective in discovering fraud in this scenario?

- A. Send positive confirmations to a random selection of customers.
 - B. Send negative confirmations to all outstanding accounts receivable customers.
 - C. Perform a detailed review of debits to customer discounts, sales returns, or other debit accounts, excluding cash posted to the cash receipts journal.
 - D. Take a sample of bank deposits and trace the detail in each bank deposit back to the entry in the cash receipts journal.
-
- Answer (A) is incorrect. An employee who performs asset custody, authorization, and recording functions can conceal the theft by debiting customer discounts or sales returns.
 - Answer (B) is incorrect. Seeking information from customers and tracing bank balances will not detect the fraud because neither customer statements nor bank records will contain evidence of fraud.
 - Answer (C) is **correct**. The most effective procedure is to perform a detailed review of debits to customer discounts, sales returns, etc. These accounts could be used to conceal a theft of cash payments without alerting customers. Seeking confirmation from customers and tracing bank balances will not detect the fraud because neither customer statements nor bank records will contain evidence of fraud.
 - Answer (D) is incorrect. Bank deposits will agree with journal entries. The stolen amounts are never recorded.

[904] Gleim #: 10.6.193 -- Source: CIA 1196 I-63

Management has requested that the internal auditor investigate the possibility that a purchasing agent is receiving kickbacks. Which of the following procedures is **least** effective in addressing management's concern?

- A. Confirm all contract terms with vendors.
 - B. Analyze, by purchasing agent, all increases in cost of procured goods from specific vendors.
 - C. Take a statistical sample of goods purchased and compare purchase prices for goods with those of other sources of similar goods, such as other organizations or catalogs.
 - D. Observe any changes in the lifestyles or individual consumption habits of the purchasing agents involved.
-
- Answer (A) is **correct**. Confirming contract terms is the least useful procedure because the contract terms are already known. The confirmation would have to be expanded to inquire as to whether the purchasing agent has pressured vendors to make kickbacks. That approach is useful only if the kickbacks were initiated by the purchasing agent rather than the vendor.
 - Answer (B) is incorrect. Analyzing increases in the cost of procured goods from specific vendors provides insight as to what products and which purchasing agent may be involved.
 - Answer (C) is incorrect. Sampling goods purchased and comparing prices against other sources of similar goods provides information on excess purchase prices.
 - Answer (D) is incorrect. Unexplained changes in personal habits of purchasing agents may reveal the purchasing agent involved in receiving the kickbacks.

[905] Gleim #: 10.6.194 -- Source: CIA 1196 I-23

An investment portfolio manager has the authority to use financial derivatives to hedge transactions but is not supposed to take speculative positions. However, the manager launches a scheme that includes (1) taking a position larger than required by the hedge, (2) putting the speculative gains in a suspense account, and (3) transferring the funds to a nonexistent broker and from there to a personal account. Which of the following engagement procedures is **least** effective in detecting this fraud?

- A. Examine individual trades to determine whether the trades violate the authorization limit for the manager.
 - B. Sample individual trades and determine the exact matching of a hedge. Schedule and investigate all differences.
 - C. Sample all debits to the suspense account and examine their disposition.
 - D. Sample fund transfers to brokers and determine if the brokers are on the organization's authorized list for transactions.
-
- Answer (A) is **correct**. Examining individual trades to determine whether they violate the authorization limit would not detect the fraud. The speculative nature of the transaction, not its amount, is the violation of policy.
 - Answer (B) is incorrect. Sampling individual trades may detect an unauthorized speculation.
 - Answer (C) is incorrect. All debits to the suspense account should be sampled given the potential for using such an account for irregularities.
 - Answer (D) is incorrect. Sampling fund transfers to brokers and determining whether the brokers are on the authorized list for transactions may detect a fictitious party.

[906] Gleim #: 10.6.195 -- Source: CIA 1191 I-16

When testing the year-end balance for trade accounts payable, the use of a software package to identify unauthorized vendors in a vendor database is **most** valuable in developing tests to determine

- A. Existence of valid recorded liabilities.
- B. Accuracy of the receiving cutoff used.
- C. Ownership of the recorded payables.
- D. Valuation of recorded transactions.

- Answer (A) is **correct**. Identifying unauthorized vendors helps to test the existence assertion for record liabilities. Purchases should be made only from enterprises on the approved-vendor list. Irregularities in vendor information indicate the potential for recording invalid liabilities, such as those for excessive amounts, to fictitious suppliers, or for items not meeting specifications.
- Answer (B) is incorrect. Irregularities in vendor information have little bearing on the cut-off used.
- Answer (C) is incorrect. Recorded payables are liabilities, not assets.
- Answer (D) is incorrect. Valuation is not directly determined by review of vendor information irregularities.

[907] Gleim #: 10.6.196 -- Source: CIA 595 I-65

While performing analytical procedures related to an engagement involving a social services agency of a government entity, the internal auditor noted an unusually large increase in payments to individual recipients who are under the direction of a particular social worker in the agency. Which of the following engagement procedures is the **best** procedure to investigate this observation?

- A. Use generalized audit software to sort payments to recipients by social worker. Then sort the payments by common addresses and names.
 - B. Implement an integrated test facility and monitor transactions throughout the year to identify unusual items.
 - C. Implement the snapshot approach and tag transactions that are related to the social worker identified with the unusually large increases.
 - D. Use generalized audit software to take a random sample of recipients and investigate by sending confirmations to them to determine whether they had received proper payments.
-
- Answer (A) is **correct**. Generalized audit software (GAS) is appropriate for such routine computer tasks as extracting, sorting, comparing, and summarizing data. Sorting payments by social worker and by addresses and names is the best procedure because it efficiently determines whether an obvious fraudulent pattern exists in the payments under the control of the social worker.
 - Answer (B) is incorrect. An integrated test facility (ITF) is designed to test the correctness of processing, not whether only valid recipients are receiving payments.
 - Answer (C) is incorrect. The snapshot technique would not provide much information about fraudulent items currently contained in the file. Like the ITF, the snapshot technique concentrates on the processing of data, not the validity of new recipients.
 - Answer (D) is incorrect. Sending confirmations to the recipients listed on the file should not be the first approach used. If the recipients are indeed fraudulent, the social worker will receive the confirmation (all sent to a common address) and will be able to respond positively.

[908] Gleim #: 10.6.197 -- Source: CIA 1196 I-19

Two merging retail enterprises agree to share data on store operations. The data reveal that three stores in Organization A are characterized by:

- Significantly lower gross margins,
- Higher-than-average sales volume, and
- Higher levels of employee bonuses.

Assume the internal auditor for the merged enterprise concludes that inventory fraud is the most reasonable explanation of the observed data. Which of the following engagement procedures will provide the **most** persuasive information that fraud is taking place?

- A. Use an integrated test facility (ITF) to compare individual sales transactions with test transactions submitted through the ITF. Investigate all differences.
- B. Interview the three individual store managers to determine if their explanations about the observed differences are the same. Compare their explanations with those of the section manager.
- C. Schedule a surprise physical inventory. Investigate areas of inventory shrinkage.
- D. Take a sample of individual store prices and compare them with the sales entered on the cash register for the same items.

- Answer (A) is incorrect. An integrated test facility is used to test the correctness of computer processing.
- Answer (B) is incorrect. Interviews are not an effective or reliable way to gather information. A wrongdoer has an incentive to lie.
- Answer (C) is **correct**. Taking a surprise physical inventory is a highly effective way to uncover inventory fraud. This procedure prevents the suspected wrongdoers from concealing irregularities. Variances between amounts on hand and recorded quantities should be investigated.
- Answer (D) is incorrect. Comparing prices with cash register entries does not address the inventory shrinkage problem.

[909] Gleim #: 10.6.198 -- Source: CIA 594 I-36

An accounting clerk developed a scheme to enter fraudulent invoices into the computer system for nonexistent vendors. All the payments were sent to the same address. The internal auditor suspects a possible fraud. The internal auditor should test all of the vendor information rather than a sample of the vendor transactions because

- A. Although nonsampling error is reduced, sampling error is larger when computers are used to draw the sample.
 - B. The engagement procedures used to compare vendor information require the reading of all records.
 - C. The Standards prohibit the use of sampling if fraud is expected.
 - D. The only effective approach requires performing procedures "through the computer."
- Answer (A) is incorrect. Sampling risk is not increased by using a computer. Indeed, a computer may eliminate sampling risk by permitting examination of all items in a population.
 - Answer (B) is **correct**. Because possible fraud exists, sampling is inappropriate. The engagement procedure to be applied requires a matching of all records to identify vendor addresses that are the same. Generalized audit software would allow this procedure to be applied most efficiently.
 - Answer (C) is incorrect. The Standards do not prohibit the use of sampling.
 - Answer (D) is incorrect. Examining vendor information manually is effective but inefficient.

[910] Gleim #: 10.6.199 -- Source: CIA 597 I-11

An internal auditor becomes concerned that fraud, in the form of payments to bogus entities, may exist. Buyers, who are responsible for all purchases for specific product lines, are able to approve expenditures up to US \$50,000 without any other approval. Which of the following procedures would be **most** effective in addressing the internal auditor's concerns?

- A. Use generalized audit software to list all purchases over US \$50,000 to determine whether the expenditures were properly approved.
 - B. Develop a "snapshot" technique to trace all transactions by suspected buyers.
 - C. Use generalized audit software to take a random sample of all expenditures under US \$50,000 to determine whether the expenditures were properly approved.
 - D. Use generalized audit software to list all major vendors by product line; select a sample of paid invoices to new vendors and examine information indicating that services or goods were received.
- Answer (A) is incorrect. Purchases above US \$50,000 must be approved by someone other than the buyer.
 - Answer (B) is incorrect. The snapshot technique captures data at a specific point in the processing stream. Thus, it does not provide information on the validity of the transaction.
 - Answer (C) is incorrect. The issue is not whether the buyer approved a transaction but whether the approval was valid.
 - Answer (D) is **correct**. The primary use of GAS is to select and summarize a client's records for additional testing. These packages permit the internal auditor to audit through the computer; to extract, compare, analyze, and summarize data; and to generate output for use in the engagement. They allow the internal auditor to exploit the computer to examine many more records than otherwise possible with far greater speed and accuracy. Hence, GAS is an effective and efficient means of extracting sample data.

[911] Gleim #: 10.6.200 -- Source: CIA 593 II-48

Bank management suspects that a bank loan officer frequently made loans to fictitious entities, disbursed loan proceeds to personally established accounts, and then let the loans go into default. Some pertinent facts about the loan officer include

- A high standard of living, explained as the result of sound investments and not taking vacations,
- An expensive personal car obtained through business contacts,
- Gasoline and repair bills submitted for a car assigned by the bank that are higher than the organization's average (mileage logs were submitted on a quarterly basis), and
- Marked annoyance with questions from internal auditors.

The extent of loans made to fictitious borrowers by the loan officer could **best** be determined by

- A. Reviewing a representative sample of the loan officer's transactions for compliance with bank policies and procedures.
 - B. Reviewing a representative sample of loan files for properly completed documents, such as loan agreements, credit approvals, and approval of secured collateral.
 - C. Comparing current loan approval balances with those of prior years.
 - D. Requesting positive confirmations for all outstanding loans made by the loan officer.
-
- Answer (A) is incorrect. A review for compliance would not show which loans were made to fictitious borrowers.
 - Answer (B) is **correct**. Reviewing a representative sample of loan files for properly completed documents, such as loan agreements, credit approvals, and approval of secured collateral, could uncover fictitious borrowers. Secured collateral would be difficult to obtain. Hence, approval of secured collateral is probably missing from the fraudulent loan documents.
 - Answer (C) is incorrect. The loan officer's level of activity might be higher or lower without regard to fraudulent activity.
 - Answer (D) is incorrect. Positive confirmations could easily be made by the perpetrator.

[912] Gleim #: 10.6.201 -- Source: CIA 593 II-49

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- An expensive personal car obtained through business contacts,
- Gasoline and repair bills submitted for a car assigned by the bank that are higher than the organization's average (mileage logs were submitted on a quarterly basis), and
- Marked annoyance with questions from internal auditors.

The extent of loans made to fictitious borrowers by the loan officer is **least** likely to be discovered by

- A. Analyses of the number of loans made by each loan officer.
 - B. Analysis of total monetary volume of loans by loan officer.
 - C. External audits of loan files.
 - D. Reconciliation of total loans outstanding to the general ledger balance.
-
- Answer (A) is incorrect. An excessive number or amount of loans may suggest suspicious activity.
 - Answer (B) is incorrect. An excessive number or amount of loans may suggest suspicious activity.
 - Answer (C) is incorrect. An external audit should detect the fraud.
 - Answer (D) is **correct**. Reconciling outstanding loans to the general ledger will not detect fraud because the fraudulent loans will be properly accounted for. The loan officer received the loans by manipulating actual loan documents, not by merely taking the money.

[913] Gleim #: 10.6.202 -- Source: CIA 591 II-47

Purchases from two new vendors increased dramatically after a new buyer was hired. The buyer was obtaining kickbacks from the two vendors based on sales volume. A possible means of detection is

- A. Periodically surveying vendors regarding potential buyer conflict of interest or ethics violations.
 - B. The receipt of an invoice to put new vendors on the master file.
 - C. The use of purchase orders for all purchases.
 - D. The use of change analysis and trend analysis of buyer or vendor activity.
-
- Answer (A) is incorrect. If the vendor is in collusion with the buyer, either no response or an incorrect response will be elicited.
 - Answer (B) is incorrect. The receipt of an invoice to put new vendors on the master file will not detect an improper choice of vendors.
 - Answer (C) is incorrect. The use of purchase orders for all purchases will not detect an improper choice of vendors.
 - Answer (D) is **correct**. Analytical procedures may detect the conflict of interest. The abrupt increase in business awarded to the vendors will be indicated by change and trend analysis.

[914] Gleim #: 10.6.203 -- Source: CIA 591 II-48

One remote unit's petty cash custodian, because of the small staff, also had responsibility for the imprest fund checking account reconciliation. The cashier concealed a diversion of funds by altering the beginning balance on the monthly reconciliations sent to the group office. A possible engagement procedure to detect this fraud is to

- A. Compare monthly balances and use change and trend analysis.
 - B. Require additional monitoring by headquarters whenever improper segregation of duties exists at remote units.
 - C. Determine whether any employees have high personal debt.
 - D. Determine whether any employees are leading expensive lifestyles.
-
- Answer (A) is **correct**. Comparing the beginning balance one month with the ending balance of the prior month is a means of uncovering this fraud. Applying analytical procedures is also a way to detect the diversion of funds. It will isolate unexpected and unexplained fluctuations.
 - Answer (B) is incorrect. Requiring additional monitoring whenever improper segregation of duties exists is not always possible or desirable and is not necessarily cost justified.
 - Answer (C) is incorrect. Rumors about personal finances may be unfounded, and it may be illegal to make inquiries without the employee's knowledge.
 - Answer (D) is incorrect. Rumors about personal finances may be unfounded, and it may be illegal to make inquiries without the employee's knowledge.

[915] Gleim #: 10.6.204 -- Source: CIA 589 II-29

A common fraud against banks is drawing checks on accounts with insufficient funds and depositing the checks to other accounts. An engagement procedure that is probably the **most** helpful in detecting this form of fraud is to

- A. Investigate all accounts whose average daily balances are low compared with the total deposit level.
- B. Confirm accounts requiring a deposit to prevent the account from becoming overdrawn based on the account's opening balance.
- C. Institute an automated procedure to identify accounts for further investigation that have attributes associated with kiting.
- D. Inspect account activity for accounts with deposits on more than 8 to 10 days per month.

- Answer (A) is incorrect. A low balance signifies that the depositor is placing its resources in higher-yield investments.
- Answer (B) is incorrect. A low balance signifies that the depositor is placing its resources in higher-yield investments.
- Answer (C) is **correct**. Kiting is the recording of a deposit from an interbank transfer in the current period, while failing to record the related disbursement until the next period. It is an irregularity that exploits the lag (float period) between the deposit of a check in one account and the time it clears the bank on which it is drawn. To detect kiting, the internal auditor should examine a schedule of bank transfers for a period covering a few days before and after the balance sheet date. Because the check used to make the bank transfer is not recorded in the current period, the check is not listed as outstanding on the reconciliation of the bank account on which it was drawn. The internal auditor detects kiting by comparing paid checks, returned in the next period and dated prior to year-end, with the checks listed as outstanding on the related bank reconciliation. In other words, the internal auditor searches for checks that should have been listed as outstanding but were not.
- Answer (D) is incorrect. Daily deposits are routine for many entities.

[916] Gleim #: 10.6.205 -- Source: CIA 585 II-15

An internal auditor is more likely to detect duplicate vendor payments in a high exposure environment with certain internal control weaknesses by using which of the following procedures?

- A. Trend analysis.
- B. Monetary validity.
- C. Proportional analysis.
- D. Substantive testing.

- Answer (A) is incorrect. Trend analysis is a specific analytical procedure. Trend analysis involves a review of operating data for prior years to determine reasonableness of income or expense. Proportional analysis considers the relation of one item of income or expense to others.
- Answer (B) is incorrect. Monetary validity is a nonsense term in this context.
- Answer (C) is incorrect. Proportional analysis is a specific analytical procedure. Trend analysis involves a review of operating data for prior years to determine reasonableness of income or expense. Proportional analysis considers the relation of one item of income or expense to others.
- Answer (D) is **correct**. An internal auditor who knows that internal control is ineffective and that exposure to the risk of fraud is great should change the nature, timing, and extent of substantive testing. Substantive testing consists of analytical procedures and tests of details and balances.

[917] Gleim #: 10.6.206 -- Source: CIA 591 I-49

A subsidiary president terminated a controller and hired a replacement without the required organizational approvals. Sales, cash flow, and profit statistics were then manipulated by the new controller and president via accelerated depreciation and sale of capital assets to obtain larger performance bonuses for the controller and the subsidiary president. An approach that might detect this fraudulent activity is

- A. Analysis of overall management control for segregation of duties.
- B. Required exit interviews for all terminated employees.
- C. Periodic changes of outside public accountants.
- D. Regular analytical review of operating divisions.

- Answer (A) is incorrect. Analysis of segregation of duties will not detect fraudulent activity; it merely indicates where opportunity exists.
- Answer (B) is incorrect. Exit interviews are not effective at the officer level. Most individuals will not want to compromise severance arrangements.
- Answer (C) is incorrect. Changing outside auditors will not necessarily result in more effective audits.
- Answer (D) is **correct**. Analytical procedures permit evaluations of financial information made by a study and comparison of the relationships among data. The premise is that certain relationships prevail in the absence of known conditions to the contrary. Analytical procedures identify such things as the existence of unusual transactions and events and amounts, ratios, and trends that might indicate matters that have financial statement ramifications. Deviations from expectations should be investigated and the reasons therefore determined.

[918] Gleim #: 10.6.207 -- Source: CIA 1194 I-65

An employee of an insurer processed a fraudulent policy loan application for an amount less than the established level requiring supervisory review. The employee then obtained the check and cashed it by forging the endorsement. To prevent the loan's appearance on a subsequent policyholder statement, the loan amount was transferred to a "suspense" account. Which of the following should expose this situation at the earliest date?

- A. A computer report identifying unusual entries to the suspense account.
- B. The use of prenumbered checks that are periodically accounted for.
- C. An annual engagement performed by the internal audit activity.
- D. Regular reconciliation of the "suspense" account performed by an independent employee.

- Answer (A) is **correct**. Because the employee transferred the loan amount to a "suspense" account, a computer system programmed to report unusual entries should expose the fraudulent loan at the earliest date.
- Answer (B) is incorrect. The use of prenumbered documents detects missing transactions but does not determine the validity of the transactions accounted for.
- Answer (C) is incorrect. An annual engagement performed by the IAA is not likely to discover a small loan.
- Answer (D) is incorrect. The regular reconciliation may detect the fraudulent loan, but the computer report identifying unusual entries will expose the loan at the earliest date.

[919] Gleim #: 10.6.208 -- Source: CIA 1195 I-59

An internal auditor is investigating the performance of a division with an unusually large increase in sales, gross margin, and profit. If the internal auditor continued to suspect fraudulent recording of transactions to increase reported profits, which of the following procedures would be **least** effective?

- A. Take a physical inventory.
- B. Develop a schedule of inventory by month and investigate unusual fluctuations by reference to the perpetual inventory records.
- C. Prepare a schedule of sales fluctuations and gross margin by month. Investigate unusually high months of sales and gross margin by examining support for sales.
- D. Perform year-end sales and purchase cut-off tests.

- Answer (A) is incorrect. A physical inventory is an effective procedure. One way to overstate the gross margin is to overstate ending inventory.
- Answer (B) is **correct**. Investigating fluctuations in the inventory records is the least effective procedure because the records may have been falsified. Conducting a year-end physical inventory provides more reliable information.
- Answer (C) is incorrect. Analysis of sales and gross margin fluctuations is a useful procedure. Sales that vary excessively from expectations may indicate that fictitious sales have been recorded.
- Answer (D) is incorrect. Cut-off tests are effective in identifying transactions recorded in the wrong period.

[920] Gleim #: 10.6.209 -- Source: CIA 1195 I-60

An internal auditor is investigating the performance of a division with an unusually large increase in sales, gross margin, and profit. Assume that the analysis shows unusually high sales and gross margin during the months of November and December and the internal auditor wishes to investigate further. Which of the following engagement procedures will be **most** effective in analyzing whether fraudulent sales may have been recorded?

- A. Take a sample of shipping documents and compare them with the related sales invoices, noting that all items were properly billed.
- B. Confirm accounts receivable with large customers.
- C. Perform an analytical review comparing sales and gross margin with the previous 10 months and the first month of the following year.
- D. Use regression analysis techniques for the first 10 months to estimate the sales and cost of goods sold for the last 2 months.

- Answer (A) is incorrect. Sampling shipping documents only provides information that shipments were billed. The issue is whether sales have been recorded for shipments not made.
- Answer (B) is **correct**. If fictitious sales are recorded, the most likely corresponding debit is to accounts receivable. Confirmation provides independent information about the validity of receivables. Thus, confirming receivables is an effective procedure assuming that the customers are willing to respond. The best alternative is to vouch recorded sales to the underlying documents.
- Answer (C) is incorrect. Analytical procedures, such as regression analysis, have already been performed and indicate the possibility of a misstatement. The internal auditor now needs to perform detailed tests to determine the existence of misstatements.
- Answer (D) is incorrect. Analytical procedures, such as regression analysis, have already been performed and indicate the possibility of a misstatement. The internal auditor now needs to perform detailed tests to determine the existence of misstatements.

[921] Gleim #: 10.6.210 -- Source: CIA 1195 I-61

An internal auditor is performing an operational engagement at a division and observes that an unusually large quantity of goods is on hand in the shipping and materials rework areas. The items are labeled as re-ship items. Upon inquiry the internal auditor is told that these are goods that have been returned by customers and have either been repaired and shipped back to the original customer or repaired and shipped out as new products because they are fully warranted. The internal auditor has not yet performed any detailed engagement work. Based on the information given, the **most** appropriate action for the internal auditor to take is to

- A. Report the items to divisional management and ask for management's explanation before determining whether to include the observations in an engagement communication.
 - B. Take a sample of the items on hand and compare the sample items with the underlying documents, such as receiving reports and sales orders, to determine how the goods were handled.
 - C. Report the observations but do not perform any additional work without the approval of the chief audit executive because such work is clearly a scope expansion.
 - D. Take an inventory of the goods on hand so the monetary amount can be included in the engagement communications along with the explanation of the problem.
- Answer (A) is incorrect. The internal auditor should gather information to corroborate the testimonial information before inquiring of divisional management.
 - Answer (B) is **correct**. Sampling items on hand and reviewing the related documents assist the internal auditor in understanding the details of the transactions. This procedure should be performed before taking any further action.
 - Answer (C) is incorrect. The observations should not be included in an engagement communication until the internal auditor has corroborating information and an understanding of the nature of the potential problem.
 - Answer (D) is incorrect. The observations should not be included in an engagement communication until the internal auditor has corroborating information and an understanding of the nature of the potential problem.

[922] Gleim #: 10.6.211 -- Source: IIA, adapted

A chief audit executive (CAE) suspects that several employees have used desktop computers for personal gain. In conducting an investigation, the primary reason that the CAE chose to engage a forensic information systems auditor rather than using the organization's information systems auditor is that a forensic information systems auditor would possess

- A. Knowledge of the computing system that would enable a more comprehensive assessment of the computer use and abuse.
- B. Knowledge of what constitutes evidence acceptable in a court of law.
- C. Superior analytical skills that would facilitate the identification of computer abuse.
- D. Superior documentation and organization skills that would facilitate in the presentation of findings to senior management and the board.

- Answer (A) is incorrect. The organization's information systems auditor would probably have more knowledge of the organization's computing systems than a forensic auditor.
- Answer (B) is **correct**. The distinguishing characteristic of forensic auditing is the knowledge needed to testify as an expert witness in a court of law. Although a forensic auditor may possess the other attributes listed, the organization's information systems auditor may also possess these skills or knowledge elements.
- Answer (C) is incorrect. A forensic auditor would not necessarily have analytical skills that are superior to those of the organization's auditor.
- Answer (D) is incorrect. A forensic auditor would not necessarily have organizational skills that are superior to those of the organization's auditor.

[923] Gleim #: 10.6.212 -- Source: IIA, adapted

What computer-assisted audit technique would an auditor use to identify a fictitious or terminated employee?

- A. Parallel simulation of payroll calculations.
- B. Exception testing for payroll deductions.
- C. Recalculations of net pay.
- D. Tagging and tracing of payroll tax-rate changes.

- Answer (A) is incorrect. In a parallel simulation, data that were processed by the engagement client's system are reprocessed through the auditor's program to determine whether the output obtained matches the output generated by the client's system. This technique might identify problems with the client's processing but would not identify a fictitious or terminated employee.
- Answer (B) is **correct**. Exception testing for payroll deductions is a type of computer-assisted audit technique (CAAT) that can identify employees who have no deductions. This is important because fictitious or terminated employees will generally not have any deductions.
- Answer (C) is incorrect. A CAAT program can recalculate such amounts as gross pay, net pay, taxes and other deductions, and accumulated or used leave times. These recalculations can help determine whether the payroll program is operating correctly or employee files have been altered, but it would not identify a fictitious or terminated employee.
- Answer (D) is incorrect. In this type of CAAT program, certain actual transactions are "tagged." As they proceed through the system, a data file is created that traces the processing through the system and permits subsequent review of that processing. However, this procedure would not identify a fictitious or terminated employee.

[924] Gleim #: 10.6.213 -- Source: IIA, adapted

An auditor for a major retail company suspects that inventory fraud is occurring at three stores that have high cost of goods sold. Which of the following audit activities would provide the **most** persuasive evidence that fraud is occurring?

- A. Use an integrated test facility (ITF) to compare individual sales transactions with test transactions submitted through the ITF. Investigate all differences.
- B. Interview the three individual store managers to determine if their explanations about the observed differences are the same, and then compare their explanations to that of the section manager.
- C. Schedule a surprise inventory audit to include a physical inventory. Investigate areas of inventory shrinkage.
- D. Select a sample of individual store prices and compare them with the sales entered on the cash register for the same items.

- Answer (A) is incorrect. The ITF only provides evidence of the correctness of computer processing. This evidence is not relevant to discovery of many forms of inventory fraud, such as physical theft.
- Answer (B) is incorrect. Interviews provide a weak form of evidence when the auditor has no substantive documentary evidence.
- Answer (C) is **correct**. Observation of the taking of inventory, including test counts by the auditors, is the traditional method for verifying the fairness of inventory. Determining the actual balance is a starting point for evaluating whether inventory fraud has occurred.
- Answer (D) is incorrect. The problem is with inventory shrinkage, not with whether items are appropriately keyed or scanned at the cash register.

[925] Gleim #: 10.7.214 -- Source: CIA 593 I-48

A purchasing agent acquired items for personal use with the organization's funds. The organization allowed designated employees to purchase a specified amount per day in merchandise under open-ended contracts. Supervisory approval of the purchases was required, but that information was not communicated to the vendor. Instead of reviewing and authorizing each purchase order, supervisors routinely signed the authorization sheet at the end of the month without reviewing any of the supporting documentation. Because purchases of this nature were not subject to normal receiving policies, the dishonest employee picked up the supplies at the vendor's warehouse. All purchases were for items routinely ordered by the organization. During the past year, the employee amassed enough merchandise to start a printing and photography business. Which of the following controls would have been **most** effective in preventing this fraud?

- A. Allowing purchases only from a list of pre-approved vendors.
 - B. Requiring the use of prenumbered purchase orders for all purchases of merchandise.
 - C. Canceling supporting documents, such as purchase orders and receiving reports, at the time invoices are paid.
 - D. Establishing separation of duties between the ordering and receiving of merchandise.
-
- Answer (A) is incorrect. The facts do not suggest that the vendor's actions were inappropriate.
 - Answer (B) is incorrect. Prenumbering would not have prevented the fraud. The weakness is in the authorization and receiving procedures.
 - Answer (C) is incorrect. Canceling supporting documents when invoices are paid prevents the same document from being used to support two identical payments, but that is not the abuse here.
 - Answer (D) is **correct**. Separating the purchasing and receiving functions would have improved internal control. If the supplies in question had been sent to the organization, and a receiving report had been prepared by an employee other than the one ordering the goods, the fraud could not have occurred. Moreover, the receiving department should not accept goods unless it has a blind copy of a properly approved purchase order for the items.

[926] Gleim #: 10.7.215 -- Source: CIA 593 I-49

A purchasing agent acquired items for personal use with the organization's funds. The organization allowed designated employees to purchase a specified amount per day in merchandise under open-ended contracts. Supervisory approval of the purchases was required, but that information was not communicated to the vendor. Instead of reviewing and authorizing each purchase order, supervisors routinely signed the authorization sheet at the end of the month without reviewing any of the supporting documentation. Because purchases of this nature were not subject to normal receiving policies, the dishonest employee picked up the supplies at the vendor's warehouse. All purchases were for items routinely ordered by the organization. During the past year, the employee amassed enough merchandise to start a printing and photography business. Which of the following engagement procedures, performed by the internal auditor, is **most** likely to detect this fraud?

- A. Tracing selected canceled checks to the cash payments journal and to the related vendors' invoices.
 - B. Performing a trend analysis of printing supplies expenses for a 2-year period.
 - C. Tracing prices and quantities on selected vendors' invoices to the related purchase orders.
 - D. Recomputing the clerical accuracy of selected vendors' invoices, including discounts and sales taxes.
-
- Answer (A) is incorrect. A legitimate vendor's invoice existed for each cash payment related to this fraud.
 - Answer (B) is **correct**. Analytical procedures are evaluations of financial information made by a study of plausible relationships among both financial and nonfinancial data. They involve comparisons of recorded amounts, or ratios developed from recorded amounts with expectations developed by the internal auditor. A basic premise underlying the application of analytical procedures is that plausible relationships among data may reasonably be expected to exist and continue in the absence of known conditions to the contrary. Thus, performing a trend analysis of printing supplies expenses for a 2-year period should identify an excess use of supplies.
 - Answer (C) is incorrect. The issue is not whether the invoices are accurate but whether the transactions are authorized.
 - Answer (D) is incorrect. The issue is not whether the invoices are accurate but whether the transactions are authorized.

[927] Gleim #: 10.7.216 -- Source: CIA 597 1-14

Which of the following controls is the **least** effective in preventing a fraud conducted by sending purchase orders to bogus vendors?

- A. Require that all purchases be made from an authorized vendor list maintained independently of the individual placing the purchase order.
 - B. Require that only approved vendors be paid for purchases, based on actual production.
 - C. Require contracts with all major vendors from whom production components are purchased.
 - D. Require that total purchases for a month not exceed the total budgeted purchases for that month.
-
- Answer (A) is incorrect. Segregating the selection and approval of reputable vendors from placement of actual orders is an effective means of preventing fraud.
 - Answer (B) is incorrect. Restricting payment to approved vendors is an effective means of preventing fraud.
 - Answer (C) is incorrect. Requiring contracts with major vendors is an effective means of preventing fraud.
 - Answer (D) is **correct**. Requiring that total purchases for a month not exceed the total budgeted purchases for that month is the least effective procedure. It controls the total amount of expenditures, not whether a purchase has been requested and authorized, with whom the purchase orders are placed, or whether goods purchased are received.

[928] Gleim #: 10.7.217 -- Source: CIA 597 1-22

A potential problem for a manufacturer is that purchasing agents may take kickbacks or receive gifts from vendors in exchange for favorable contracts. Which of the following is the **least** effective in preventing this problem?

- A. A specific organizational policy prohibiting the acceptance of anything of value from a vendor.
 - B. An organizational code of ethics that prohibits such activity.
 - C. A requirement for the purchasing agent to develop a profile of all vendors before the vendors are added to the authorized vendor list.
 - D. The establishment of long-term contracts with major vendors, with the contract terms approved by senior management.
-
- Answer (A) is incorrect. A policy prohibiting kickbacks and gifts from vendors provides guidance and influences behavior.
 - Answer (B) is incorrect. A code of ethics gives direction to the purchasing agents and is helpful in influencing behavior.
 - Answer (C) is **correct**. A requirement for the purchasing agent to develop a profile of all vendors is the least effective approach because it concerns only the authorization of vendors, a function that should be performed independently of the purchasing agent. It does not address the purchasing agent's relationships with approved vendors.
 - Answer (D) is incorrect. Approval of long-term vendor contracts by senior management is an effective procedure that is increasingly being used by many organizations.

[929] Gleim #: 10.7.218 -- Source: CIA 1191 I-46

A purchasing agent received expensive gifts from a vendor in return for directing a significant amount of business to that vendor. Which of the following organizational policies **most** effectively prevents such an occurrence?

- A. All purchases exceeding specified monetary amounts should be approved by an official who determines compliance with budgetary requirements.
- B. Important high-volume materials should regularly be purchased from at least two different sources in order to afford supply protection.
- C. The purchasing function should be decentralized so each department manager or supervisor does his/her own purchasing.
- D. Competitive bids should be solicited on purchases to the maximum extent that is practicable.

- Answer (A) is incorrect. The problem is vendor selection, not authorization of purchases.
- Answer (B) is incorrect. A purchasing agent could still display favoritism to one of the vendors.
- Answer (C) is incorrect. Decentralization creates more opportunities for buyer fraud.
- Answer (D) is **correct**. In the absence of special circumstances, competitive bidding is a legitimate and effective means of obtaining the lowest price consistent with quality. It is a practice that exploits competition in the market place. Competitive bidding also serves as a control over fraud by restricting the ability of a purchasing agent to reward a favored vendor.

[930] Gleim #: 10.7.219 -- Source: CIA 594 I-3

A fraud was perpetrated in a moderate-sized organization when the accounting clerk was delegated too much responsibility. During the year, the organization switched suppliers of a service to a new vendor. The accounting clerk continued to submit fraudulent invoices from the "old supplier." Because contracting for services and approval of supplier invoices had been delegated to the clerk, it was possible for the clerk to continue billings from the old supplier and deposit the subsequent checks, which the clerk was responsible to mail, into a new account the clerk opened in the name of the old supplier. The clerk was considered an excellent employee and eventually was improperly given the added responsibility of preparing the department budgets. This added responsibility allowed the clerk to budget for the amount of the fraudulent payments. Which of the following controls would have been **least** likely to prevent or detect the fraud described?

- A. Requiring authorization of payments by someone other than the clerk negotiating the contract.
 - B. Comparison by the person signing checks of invoices with an independent verification of services received.
 - C. Budget preparation by someone other than the person signing contracts and approving payment.
 - D. Mailing of checks by someone other than the person responsible for check signing or invoice approval.
-
- Answer (A) is incorrect. Separating contracting for services and approval of invoices would have prevented the fraud.
 - Answer (B) is incorrect. An independent verification of services received reviewed by the check signer would have prevented payment for services not received.
 - Answer (C) is incorrect. Independent budget preparation would have allowed an actual-with-budget comparison to detect the payments.
 - Answer (D) is **correct**. Once invoices have been approved, and checks prepared and signed, the mailing of the check by an independent person provides no means of preventing improper payments. The person responsible for the treasury function should sign the checks, transmit them, and cancel the supporting documents.

[931] Gleim #: 10.7.220 -- Source: CIA 594 I-4

A fraud was perpetrated in a moderate-sized organization when the accounting clerk was delegated too much responsibility. During the year, the organization switched suppliers of a service to a new vendor. The accounting clerk continued to submit fraudulent invoices from the "old supplier." Because contracting for services and approval of supplier invoices had been delegated to the clerk, it was possible for the clerk to continue billings from the old supplier and deposit the subsequent checks, which the clerk was responsible to mail, into a new account the clerk opened in the name of the old supplier. The clerk was considered an excellent employee and eventually was improperly given the added responsibility of preparing the department budgets. This added responsibility allowed the clerk to budget for the amount of the fraudulent payments. Which of the following engagement procedures is **most** likely to detect the fraud?

- A. Take a sample of paid invoices and verify receipt of services by departments involved.
- B. Trace a sample of checks disbursed to approved invoices for services.
- C. Perform a bank reconciliation and account for all outstanding checks.
- D. Trace a sample of receiving documents to invoices and to checks disbursed.

- Answer (A) is **correct**. Confirming with the using department the receipt of services that have been paid for would uncover the fraud.
- Answer (B) is incorrect. The fraudulent invoices were approved by the clerk, and each check is therefore supported by an approved invoice.
- Answer (C) is incorrect. Bank reconciliations do not test the validity of the cash payments.
- Answer (D) is incorrect. Beginning with valid receiving reports will not detect the fraud. The direction of testing is inappropriate.

[932] Gleim #: 10.7.221 -- Source: CIA 1194 I-59

A programmer's accumulation of roundoff errors into one account, which is later accessed by the programmer, is a type of computer fraud. The **best** way to prevent this type of fraud is to

- A. Build in judgment with reasonableness tests.
- B. Independently test programs during development and limit access to the programs.
- C. Segregate duties of systems development and programming.
- D. Use control totals and check the results of the computer.

- Answer (A) is incorrect. Reasonableness tests will not detect this irregularity. In this particular type of fraud, all of the amounts will balance.
- Answer (B) is **correct**. Programmers should not have access to programs used in processing. The accumulation of roundoff errors into one person's account is a procedure written into the program. Independent testing of a program will lead to discovery of this programmed fraud.
- Answer (C) is incorrect. Segregation of duties between systems development and programming would not prevent this type of error. The skills required to construct the program are possessed by programmers.
- Answer (D) is incorrect. This particular fraud will result in balanced entries. Thus, control totals would not detect the fraud.

[933] Gleim #: 10.7.222 -- Source: CIA 1196 I-37

An organization has grown rapidly and has just automated its human resource system. The organization has developed a large database that tracks employees, employee benefits, payroll deductions, job classifications, ethnic code, age, insurance, medical protection, and other similar information. Management has asked the internal audit activity to review the new system. An employee in the payroll department is contemplating a fraud involving the addition of a fictitious employee and the entry of fictitious hours worked. The paycheck would then be sent to the payroll employee's home address. The **most** effective control procedure to prevent this type of fraud is to require that

- A. A report of all new employees added be approved by someone outside of the payroll department. Also, a report showing all employees and hours worked should be sent to the supervisor's department for review.
- B. All new employees and their hours worked be entered by the human resources department.
- C. All changes to employee records be approved by supervisors outside of both human resources and payroll.
- D. The payroll department physically delivers paychecks to employees rather than mailing them.

- Answer (A) is **correct**. The payroll department has a recording function. It should not authorize pay rate changes or the addition or deletion of employees from the payroll. Accordingly, authorization of such changes should be made by an individual outside the department. Verification of payroll data should also be made outside the department. Proper segregation of duties is critical in the prevention of payroll fraud.
- Answer (B) is incorrect. The entry of new employees and their hours should be segregated. The human resources department should not be responsible for both activities.
- Answer (C) is incorrect. Approving changes in existing employee records does not prevent the fraud of entering a fictitious employee.
- Answer (D) is incorrect. Physical delivery of paychecks does not prevent the payroll employee from withholding the fictitious employee's check. Moreover, a department with a recording function should not have an asset custody function.

[934] Gleim #: 10.7.223 -- Source: CIA 587 I-28

The risk of the addition of fictitious employees to the payroll by the person performing the payroll processing function is reduced by

- A. Requiring that payroll additions be approved by the controller.
 - B. Requiring the same employee to perform the monthly payroll bank reconciliation.
 - C. Performing periodic floor checks of employees on the payroll.
 - D. Requiring a reconciliation of hours between time cards and hours paid.
-
- Answer (A) is incorrect. Payroll additions should be authorized by the personnel department, not by the controller (chief accounting officer), an official with record keeping responsibility.
 - Answer (B) is incorrect. For a proper segregation of functions, the reconciliation should be performed by someone who has no payroll processing duties.
 - Answer (C) is **correct**. One control used to detect the addition of fictitious persons to the payroll is for the auditor to make a periodic comparison of the names on the payroll with persons observed working for the company. Observation of payroll distribution is such a control.
 - Answer (D) is incorrect. The amount, not the validity, of the payment is verified.

[935] Gleim #: 10.7.224 -- Source: CIA 588 I-46

During an engagement involving the purchasing department, an internal auditor learned that one vendor rewarded buyers in proportion to the size of the orders received. What recommendation should the internal auditor make to reduce the likelihood of future acceptance of such rewards by the buyers?

- A. Establishing an employee counseling program.
 - B. Periodic review of buyer lifestyles.
 - C. A policy of identifying and reducing buyer situational pressures.
 - D. A strong, written statement of management's commitment to organizational ethics.
-
- Answer (A) is incorrect. Counseling is unlikely to change the behavior of dishonest employees.
 - Answer (B) is incorrect. Such review is a detective control that would not uncover fraud unless a lifestyle change occurred.
 - Answer (C) is incorrect. Situational pressures external to the organization may be beyond its control. Pressures within the organization, e.g., to improve performance, should not cause a buyer to take bribes from vendors.
 - Answer (D) is **correct**. Management is responsible for establishing and maintaining effective internal control to prevent or detect fraud at a reasonable cost (PA 1210.A2-2). A component of internal control is the control environment. Among other factors in that environment are integrity and ethical values and management's philosophy and operating style (Glossary appended to the Standards). A strong commitment by management to ethical conduct reflected in its written policies, personnel practices, interest in effective control, etc., will foster creation of the appropriate environment.

[936] Gleim #: 10.7.225 -- Source: CIA 1191 II-45

Fraudulent use of the organization's credit cards is minimized by which of the following internal control procedures?

- A. Establishing an organizational policy on the issuance of credit cards to authorized employees.
- B. Reviewing the validity of credit card need at executive and operating levels on a periodic basis.
- C. Reconciling the monthly statement from the credit card issuer with the submitted copies of the cardholder's charge slips.
- D. Subjecting credit card charges to the same expense controls as those used on regular organizational expense forms.

- Answer (A) is incorrect. Establishing a policy on the issuance of credit cards relates to appropriate issuance, not fraudulent use.
- Answer (B) is incorrect. Reviewing the validity of credit card need at executive and operating levels relates to appropriate issuance of credit cards, not fraudulent use.
- Answer (C) is incorrect. The reconciliation tests correct invoicing by the credit card issuers for credit charges. It would not necessarily detect personal or fraudulent use if the payees and amounts were not suspicious.
- Answer (D) is **correct**. Fraudulent use of credit cards implies charging the organization for unauthorized expenditures, presumably personal charges. The problem is the same for any type of expense account expenditures, whether credit card or cash. Thus, normal expense controls should preclude credit card fraud by employees.

[937] Gleim #: 10.7.226 -- Source: CIA 591 I-48

An organization hired a highly qualified accounts payable manager who had been terminated from another organization for alleged wrongdoing. Six months later, the manager diverted US \$12,000 by sending duplicate payments of invoices to a relative. A control that might have prevented this situation is to

- A. Adequately check prior employment backgrounds for all new employees.
- B. Not hire individuals who appear overqualified for a job.
- C. Verify educational background for all new employees.
- D. Check to see whether close relatives work for vendors.

- Answer (A) is **correct**. Staffing concerns providing the necessary personnel to achieve organizational objectives economically. Because honest and capable personnel also help create an environment conducive to effective internal control, hiring policies and procedures are crucial. Background checks, for example, may screen out potential hirees of questionable character and serve to prevent potential fraud.
- Answer (B) is incorrect. Being overqualified is not an indicator of bad character.
- Answer (C) is incorrect. Checking prior employment is more likely to uncover prior fraudulent behavior.
- Answer (D) is incorrect. Checking to see whether close relatives work for vendors is not an adequate control in this scenario.

[938] Gleim #: 10.7.227 -- Source: CIA 595 I-48

Internal auditors and management have become increasingly concerned about computer fraud. Which of the following control procedures is **least** important in preventing computer fraud?

- A. Program change control requiring a distinction between production programs and test programs.
- B. Testing of new applications by users during the systems development process.
- C. Segregation of duties between the applications programmer and the program librarian function.
- D. Segregation of duties between the programmer and systems analyst.

- Answer (A) is incorrect. A program should be redesigned using a working copy, not the version in use.
- Answer (B) is incorrect. Testing of new applications by users is one of the most important controls to help prevent computer fraud.
- Answer (C) is incorrect. Adequate control over program changes is one of the most important control procedures in a computerized environment. Programmers should not have access to operational progress, and librarians should not be able to program.
- Answer (D) is **correct**. Segregation of the programming and systems analysis functions is of least concern given that the analyst is responsible for communicating the nature of the design to the programmer. There is no control reason not to combine these functions.

[939] Gleim #: 10.7.228 -- Source: CIA 591 I-23

A means of ensuring that payroll checks are drawn for properly authorized amounts is to

- A. Conduct periodic floor verification of employees on the payroll.
- B. Require that undelivered checks be returned to the cashier.
- C. Require supervisory approval of employee time cards.
- D. Witness the distribution of payroll checks.

- Answer (A) is incorrect. Employees may be properly included on payroll, but the amounts paid may be unauthorized.
- Answer (B) is incorrect. Returning undelivered checks to the cashier provides no information regarding the validity of the amounts of checks.
- Answer (C) is **correct**. Review and approval of time cards by line supervisors is appropriate because they should know whether work has been performed. Also, because they do not distribute paychecks, they are not in a position to divert falsely authorized checks.
- Answer (D) is incorrect. Witnessing a payroll distribution does not assure that the amounts paid are authorized.

[940] Gleim #: 10.7.229 -- Source: CIA 1191 II-11

A payroll clerk working through a computerized payroll system increased the hourly pay rate of two employees and shared the resulting overpayments with the employees. Which of the following would have **best** served to prevent this illegal act?

- A. Requiring that all changes to pay records be recorded on a standard form.
- B. Limiting access to master payroll records to supervisory personnel in the payroll department.
- C. Reconciling pay rates per personnel records with those of the payroll system annually.
- D. Monitoring of payroll costs by department heads on a monthly basis.

- Answer (A) is incorrect. Requiring a standard form does not prevent an unauthorized pay rate change if it can be made without the form. The requirement that all changes to pay records be recorded on a standard form does not restrict access to the computer files. Hence, unauthorized changes could still be made.
- Answer (B) is **correct**. The best preventive control is to restrict the ability of employees to gain access to sensitive information. The computer security system should therefore incorporate measures (such as password protection and device authorization tables) that will prevent an unauthorized person from changing stored information.
- Answer (C) is incorrect. Annual reconciliation of pay rates per personnel records with those of the payroll system is detective rather than preventive.
- Answer (D) is incorrect. Monitoring of payroll costs by department heads on a monthly basis is detective rather than preventive.